

Taxation (Income Tax & GST)

Concept-First Notes + Exam Q&A — CA Intermediate

Complete conceptual explanations with worked exam questions & answers

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Chapter 01 — Basic Concepts of Income Tax

Applicable-AY flag: This chapter teaches the *structure and logic* that almost never change. The *numbers* (slab rates, surcharge thresholds, rebate ceilings, cess rate) DO change with every Finance Act. The figures used below are drawn from recent Finance Acts and are illustrative of the mechanism.

Before your attempt, verify the exact rates, limits, and the applicable Assessment Year in the current ICAI Study Material / RTP for your exam sitting. If you learn *why* a slab or surcharge exists, plugging in the year's actual number is trivial.

1. The Problem — why does an income tax exist at all, and why is it so complicated?

A government must pay for things nobody buys individually: national defence, courts, highways, public health, the tax administration itself. It needs a steady, large, recurring pool of money. Where does it come from?

Three broad options exist:

1. **Tax what people own** (wealth tax, property tax) — but wealth is hard to value every year and taxing a static stock discourages saving.
2. **Tax what people spend** (GST, customs) — good, but it hits the poor proportionally harder because they spend nearly all they earn.
3. **Tax what people earn** — income. This is the sweet spot: income is a *flow* that recurs every year, it can be measured reasonably objectively, and — critically — it can be made to rise *more than proportionally* with the earner's capacity to pay.

That last point is the entire moral engine of an income tax. A person earning ₹5,00,000 and a person earning ₹5,00,00,000 both need food and shelter; the second person's *surplus* capacity to contribute is vastly larger. So the state says: **tax should rise with ability to pay** — the principle of *progressivity*. This single idea forces almost every structural feature you are about to learn (slabs, surcharge, rebate, exemption limit).

But now three hard sub-problems appear, and the Income-tax Act, 1961 is essentially a giant machine built to answer them:

- **WHO do we tax?** (Every human? Companies? Foreigners? Trusts?) → gives us *person, assessee, residential status*.
- **WHAT exactly is "income"?** (Salary obviously — but a lottery win? A gift? A capital gain? Agricultural produce?) → gives us the *definition of income* and the *5 heads*.
- **WHEN and HOW MUCH?** (Earned continuously — when do we cut the year and compute? At what rate?) → gives us *previous year vs assessment year, charge of tax (Sec 4), rates/surcharge/cess*.

Everything in this chapter is one of those three questions being answered.

2. The Core Idea

Income tax = a progressive, annual charge on the total income of a "person," computed by first classifying income into heads, aggregating it for a defined "previous year," and taxing it in the following "assessment year" at rates that climb with ability to pay.

Read that sentence again — it contains, in order, every keyword of the chapter:

- *progressive* → slabs, surcharge, marginal relief
- *annual* → previous year / assessment year split
- *person* → the taxable unit
- *total income* → the aggregate after heads + set-off + deductions
- *classifying into heads* → the 5 heads and why
- *charge* → Section 4, the switch that turns the machine on
- *rates that climb* → the rate schedule, regimes (old vs new / Sec 115BAC)

The Act is not a random pile of sections. It is a **pipeline**:

Person → *determine residential status* → *identify income under each of 5 heads* → *aggregate (Gross Total Income)* → *subtract Chapter VI-A deductions* → *Total Income* → *apply rate schedule* → *add surcharge* → *subtract rebate* → *add cess* → *Tax Payable*.

Hold that pipeline in your head. Every later chapter is a zoom-in on one pipe segment.

3. Why it's built this way

Why an Act and not just a rate card? Because "income" is slippery. Tax the naive way ("pay 20% of what you earn") and every taxpayer will argue their receipt isn't income, or is income of a different year, or of a different person. The Act exists to **remove discretion and disputes** by defining terms precisely, fixing timing rules, and prescribing computation for each type of income. Complexity is the price of *fairness + certainty*.

Why classify income into heads instead of one big pot? Because *different kinds of income behave differently* and deserve different rules:

- A salary is a near-certain periodic receipt with almost no expenses — so it's taxed on a near-gross basis with a flat standard deduction.
- A business income is volatile and needs you to spend money (rent, salaries, raw material) to earn it — so it's taxed on *net profit* after allowing those expenses.
- A capital gain is a *one-time* accretion on an asset held for years — taxing it at full slab rates in the year of sale would be brutally unfair (the gain accrued over many years but lands in one), so it gets *special rates* and indexation logic.

If you dumped all these into one formula you couldn't give each the deduction/rate logic it deserves. **Heads = specialised sub-machines, each with its own computation.** (Detailed in §4.)

Why a separate "previous year" and "assessment year"? Because income is earned *over* a year, but you can only *know* the full year's income *after* the year ends. You cannot assess income that hasn't finished

happening. So the law fixes: earn in Year 1 (previous year), declare-and-assess in Year 2 (assessment year). More on the elegance of this in §4.

Why progressive rates + surcharge + rebate? Ability-to-pay. But pure progressivity creates edge-effects (a rupee more of income pushing you into a higher bracket could cost more than a rupee of tax) — hence *marginal relief* and *slab-wise* (not flat) taxation. Each corrective exists to smooth an unfairness the previous rule created.

4. Full Technical Content — every provision, wrapped in its reason

4.1 The taxable unit — "Person" [Sec 2(31)] and "Assessee" [Sec 2(7)]

The problem: "Tax people" is too narrow — a company is not a "person" in ordinary English, yet it clearly earns and must be taxed. A partnership firm, a temple trust, a club, the local municipality — all handle money. The law needs a *bucket wide enough to catch every money-handling entity*.

Sec 2(31) — "Person" includes SEVEN categories:

#	Category	Memory hook / why separate
1	Individual	A natural human being
2	HUF (Hindu Undivided Family)	A uniquely Indian joint-family entity — taxed separately from its members
3	Company	Separate legal person; different rate structure
4	Firm (incl. LLP)	Partnership as a unit
5	AOP / BOI (Association of Persons / Body of Individuals)	People who band together for a common income-earning purpose but aren't a firm
6	Local authority	Municipality, panchayat, cantonment board
7	AJP (Artificial Juridical Person)	Catch-all for entities that fit none above — e.g., a deity, a university, an idol

Memory hook: "I HFC A B — LA, AJP" or simply remember the sweep: *humans* → *families* → *companies* → *firms* → *groups* → *government bodies* → *everything-else*. The 7th category (AJP) exists precisely so **nothing escapes**.

Sec 2(7) — "Assessee": a person *by whom any tax or any other sum (interest, penalty) is payable*, OR against whom any proceeding has been taken, OR who is deemed to be an assessee, OR an assessee-in-default (e.g., an employer who failed to deduct TDS).

Why the distinction between "person" and "assessee"? *Person* is the universe of potential taxpayers (a definitional category). *Assessee* is a person who has actually entered the tax machinery — owes something or is under proceedings. Every assessee is a person; not every person is an assessee in a given year.

Representative assessee & deemed assessee: where the real earner can't be taxed directly (a minor, a non-resident, a deceased person's estate), the law taxes a *representative* (guardian, agent, legal heir) so the income doesn't slip through. Reason: **collect from someone who can actually pay/answer.**

4.2 "Income" [Sec 2(24)] — an *inclusive*, not exhaustive, definition

The problem: if the law lists income exhaustively, the first clever taxpayer invents a receipt not on the list and pays nothing. So Sec 2(24) says income "**includes**" — an open-ended list that can stretch.

Key inclusions worth knowing (each is there because it was once argued *not* to be income):

- profits and gains of business/profession;
- dividends;
- **voluntary contributions** received by a charitable trust (else trusts would claim donations aren't income);
- the value of **perquisites / profits in lieu of salary**;
- any **capital gains** chargeable u/s 45;
- **winnings** from lotteries, crosswords, races, card games, gambling, betting (taxed at a flat high rate — see §4.7);
- any sum received under a **Keyman insurance policy**;
- **gifts** — money/property received without consideration exceeding the threshold u/s 56(2)(x).

Core characteristics of income (conceptual tests examiners love):

1. **Regular or one-time — both can be income.** Salary recurs; a lottery win is once — both taxed.
2. **Cash or kind.** A rent-free flat (perquisite) is income though no cash changes hands.
3. **Legal or illegal source is irrelevant.** Smuggling profits are still income — the taxman doesn't bless the source, he taxes the gain.
4. **Temporary or permanent — irrelevant.**
5. **Received or accrued — either triggers tax** (see PY discussion).
6. **Application vs diversion of income:** if income is diverted *before it reaches you* by an overriding legal obligation (diversion at source by *overriding title*) it's not your income; if it reaches you and you then *spend/apply* it toward an obligation, it is your income first, then spent. (A recurring exam trap — see §8.)
7. **Income must come from outside** — you cannot earn taxable income by trading with yourself (mutuality).

Reason for the inclusive definition: the state wants a *net* wide enough to catch tomorrow's cleverness, not just today's known receipts.

4.3 Gross Total Income vs Total Income [Sec 2(45), Sec 80B(5)] — and why two levels

- **Gross Total Income (GTI)** = sum of income under all 5 heads *after* intra/inter-head set-off, but *before* Chapter VI-A deductions.
- **Total Income (TI)** = GTI **minus** deductions under Chapter VI-A (80C, 80D, 80G, etc.). This is the figure on which tax is finally computed.

Why two levels? Because the *heads* answer "what did you earn?" while *Chapter VI-A* answers "what socially-desirable things did you do with it (save, insure, donate, repay an education loan)?" The state first measures

your economic income (GTI), then rewards chosen behaviours with deductions to arrive at the amount it will actually tax (TI). Keeping them separate keeps *measurement* and *policy incentive* cleanly distinguishable.

4.4 Previous Year [Sec 3] and Assessment Year [Sec 2(9)] — WHY two years

Assessment Year (AY) [Sec 2(9)]: the period of 12 months commencing on **1st April** every year, in which income of the previous year is *assessed to tax*.

Previous Year (PY) [Sec 3]: the financial year (1 April – 31 March) *immediately preceding* the assessment year — the year in which the income is actually *earned*.

So income earned in **PY 2025-26 (1 Apr 2025 – 31 Mar 2026)** is taxed in **AY 2026-27 (1 Apr 2026 – 31 Mar 2027)**.

Why can't earning-year and tax-year be the same? You can't compute a full year's income until the year is over. Salary of March, business profit of the last quarter, a capital gain on 31 March — all belong to the year and must be counted. Assessing *during* the year would mean guessing. So: **earn fully first (PY), then declare-and-assess (AY)**. The one-year lag is the price of accuracy.

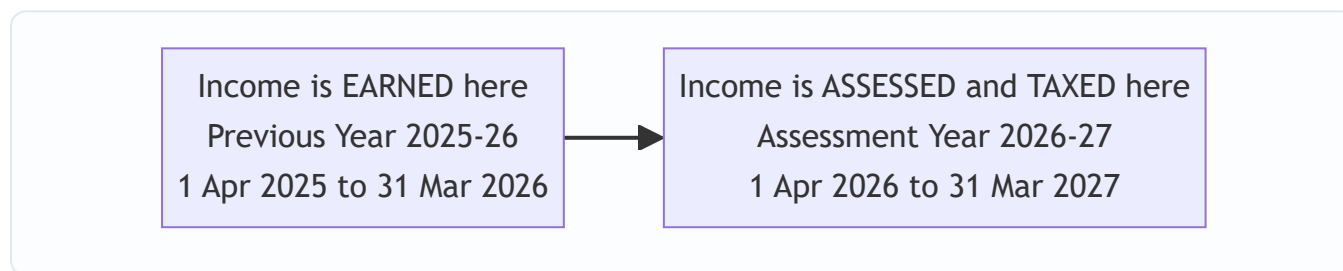


Figure 4.4 — The one-year lag: you finish earning, then you compute and pay. PY is always the FY immediately before the AY.

Uniform PY for everyone [Sec 3]: every taxpayer's PY is the *financial year* (Apr–Mar), regardless of when they keep their books. Reason: a single national tax calendar makes filing, TDS, and administration uniform — no chaos of a million different accounting periods.

Exceptions — when income of a PY is taxed in the same year (why the lag is dropped): if the state waited a full year, the money might vanish (person leaving India, a one-off venture, a body about to dissolve). The Act therefore taxes *immediately* in five situations:

Sec	Situation	Why taxed in same year
172	Non-resident's shipping business	Ship may sail away; collect before it leaves
174	Persons leaving India likely permanently	May not return to be assessed next year
174A	AOP/BOI/AJP formed for a particular event/purpose , likely to dissolve	Entity may cease to exist by next AY
175	Person likely to transfer assets to avoid tax	Prevent asset-stripping before assessment
176	Discontinued business	Business gone; assess the final stretch now

Memory hook — "Ships Leaving Are Transferring & Discontinuing" (172, 174, 174A, 175, 176). All five share one logic: *the taxpayer or the income might not be around next year, so tax now.*

4.5 Charge of Income Tax [Sec 4] — the master switch

The problem: you can define income, persons, and years perfectly, but *nothing is taxable until a law says "charge it."* Sec 4 is that command.

Sec 4(1) — where any Central Act (the annual Finance Act) enacts that income tax shall be charged for any assessment year at the specified rate(s), tax shall be charged **for that AY** on the **total income of the previous year** of every person, at those rates.

Unpack the four things Sec 4 stitches together (notice it *references everything above*):

1. **Charge is created by the annual Finance Act** — that's *why* rates change yearly and *why* you must verify the AY's rates. The Income-tax Act provides the *machinery*; the Finance Act provides the *rate*.
2. **Charged for the assessment year** — ties to Sec 2(9).
3. **On total income of the previous year** — ties to Sec 3 and Sec 2(45).
4. **Of every person** — ties to Sec 2(31).

Sec 4(2) — income tax is *deducted at source (TDS)* or *paid in advance* where the Act so requires, even though the final charge is by reference to the AY. Reason: the government can't wait a year for cash flow; **pay-as-you-earn** (TDS/advance tax) funds the state through the year, and it's all reconciled at assessment.

One-line intuition for Sec 4: *"For each year Parliament announces, tax every person on last year's total income at this year's rates — and collect some of it in advance."* It is the constitutional-style trigger the whole Act hangs on.

4.6 The Five Heads of Income [Sec 14] — and WHY exactly five

The problem (restated): different income *types* need different computation and rate logic (§3). But how many buckets? Too few and you can't tailor rules; too many and it's chaos. The Act settles on **five**, each defined by *the source/nature of the income*:

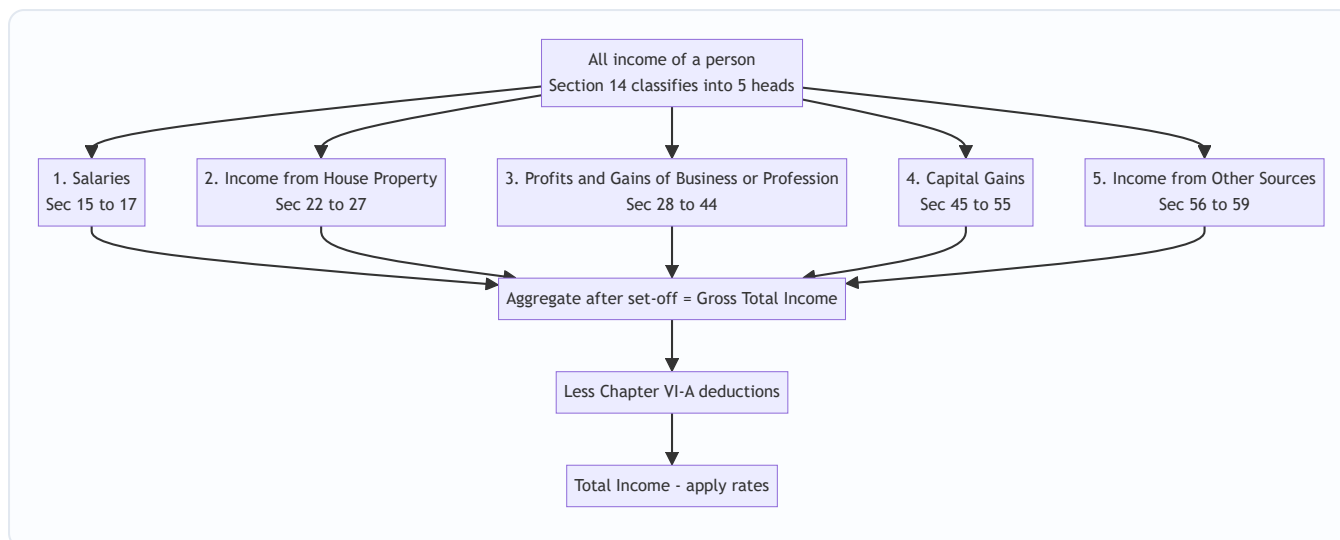


Figure 4.6 — Section 14's five heads funnel into GTI, then deductions give Total Income. Head 5 is the residuary catch-all.

#	Head	Sections	Why it deserves its own machine (the logic)
1	Salaries	15–17	Employer–employee relationship; near-certain periodic pay, minimal expenses → taxed near-gross with a standard deduction instead of itemising expenses
2	House Property	22–27	Tax on the <i>inherent earning capacity</i> of owned property (annual value), not actual rent alone → needs a notional-income concept and a standard 30% deduction for upkeep
3	Profits & Gains of Business/Profession (PGBP)	28–44	You spend money to make money; profit is volatile → taxed on net profit after allowing genuine business expenses/depreciation
4	Capital Gains	45–55	<i>One-time</i> accretion on a capital asset accrued over years → needs special rates , holding-period rules (short vs long term) and indexation to avoid bunching injustice
5	Income from Other Sources	56–59	The residuary head — anything that is income but fits none of the above (interest, dividends, lottery, gifts, family pension). Reason: <i>guarantees no income falls through the cracks</i>

Why classification matters practically: the *same* rupee can be taxed differently depending on its head. Interest on a business's idle funds may be PGBP or Other Sources; rent may be House Property or PGBP (if letting is the business). The head decides the deductions and sometimes the rate — hence exams test *head identification* relentlessly.

Memory hook: "She Has Big Capital Outflows" → Salaries, House property, Business, Capital gains, Other sources. Head 5 (Other Sources) is always the *last resort residuary* — if it's income and homeless, it lives here.

4.7 Rates of Tax — the progressive schedule (VERIFY the year's figures)

The logic first. Ability-to-pay demands rates that *rise* with income. The Act achieves this with **slabs** — not a single flat rate on the whole income, but *marginal* rates applied slice-by-slice. Crucially:

A higher slab rate applies only to the income *within* that slab, never to your whole income.

Crossing into the 30% bracket does *not* tax your entire income at 30% — only the rupees above the threshold. This is *why* "I don't want a raise, it'll push me into a higher bracket and I'll take home less" is (almost always) a myth.

There are now **two regimes** (see §4.9). Illustrative slab schedules:

Old regime — resident individual < 60 yrs (illustrative):

Total Income slab	Rate
Up to ₹2,50,000	Nil
₹2,50,001 – ₹5,00,000	5%
₹5,00,001 – ₹10,00,000	20%
Above ₹10,00,000	30%

(Basic exemption is higher for senior citizens — ₹3,00,000 for 60–80 yrs, ₹5,00,000 for 80+ — because earning capacity falls with age: ability-to-pay again.)

New regime u/s 115BAC (illustrative, per recent Finance Act):

Total Income slab	Rate
Up to ₹4,00,000	Nil
₹4,00,001 – ₹8,00,000	5%
₹8,00,001 – ₹12,00,000	10%
₹12,00,001 – ₹16,00,000	15%
₹16,00,001 – ₹20,00,000	20%
₹20,00,001 – ₹24,00,000	25%
Above ₹24,00,000	30%

⚠ **Verify these slabs, the exemption limit, and the AY against current ICAI material — they were revised by recent Finance Acts and change often. Learn the *shape* (more, finer slabs + higher entry threshold in the new regime), not the digits.**

Rebate u/s 87A — why the "zero-tax up to X" headline exists. A resident *individual* whose total income is up to a ceiling gets a rebate that wipes out the tax up to a cap. Purpose: **relieve small taxpayers entirely** — collecting tiny amounts from low earners costs more in administration/hardship than it's worth. The ceiling and cap differ by regime and change yearly (e.g., historically ₹5,00,000 income / ₹12,500 rebate under old regime; a substantially higher income ceiling and rebate under the new regime). **Verify current figures.**

Note: 87A rebate does *not* apply to income taxed at *special rates* (like lottery winnings).

Special (non-slab) rates — some income bypasses slabs entirely because of its nature:

- **Winnings from lottery/betting/gambling [Sec 115BB]** — flat high rate (e.g., 30% + surcharge + cess), *no basic exemption, no deductions, no 87A*. Reason: windfall, no effort, no expenses — the state taxes it hard and clean.
- **Long-term capital gains** and certain **short-term capital gains on listed securities** — concessional special rates (learnt in the Capital Gains chapter).

4.8 Surcharge, Marginal Relief, and Health & Education Cess — why three add-ons stack on top

The base slab rate isn't the end. Three layers sit above it, each solving a distinct problem:

(a) Surcharge — extra progressivity for the very rich. Slabs top out at 30%. But should someone earning ₹6 crore pay the same *marginal* rate as someone earning ₹11 lakh? Ability-to-pay says no. **Surcharge is a % of the tax** (not of income) levied once income crosses high thresholds — pushing the effective rate higher for the wealthy. Illustrative individual surcharge slabs:

Total Income exceeds	Surcharge rate (on tax)
₹50 lakh	10%
₹1 crore	15%
₹2 crore	25%
₹5 crore	37% (capped lower — e.g., 25% — under the new regime)

Verify the thresholds, rates, and the new-regime cap for your AY. Logic to remember: *surcharge = a surtax on the tax of the rich, in bands.*

(b) Marginal Relief — the fairness patch on surcharge (and on the exemption edge).

The problem it fixes: surcharge kicks in the moment income *crosses* ₹50 lakh. Without a patch, earning ₹1 more than ₹50,00,000 could trigger surcharge on the *entire* tax — so a ₹1 extra of income could cost you thousands of extra rupees of tax. That's absurd (you'd be worse off for earning more).

Marginal relief rule: the **extra tax (including surcharge)** payable on crossing the threshold **cannot exceed the extra income** earned above that threshold. In effect, surcharge is trimmed so that *income above ₹50 lakh is never taxed at more than ~100% at the margin*.

Intuition: marginal relief guarantees "*a rupee more of income never costs you more than a rupee more of tax.*" It smooths the cliff created by surcharge. (Worked in Example 3.)

(c) Health & Education Cess — earmarked top-up. After surcharge, a **cess (illustratively 4%) is levied on (income tax + surcharge)**. Reason: it *earmarks* revenue for health and education — a small, universal, ability-neutral top-up on everyone who pays tax. It applies to *all* taxpayers who have a tax liability, rich or modest.

Order of stacking (memorise the sequence):

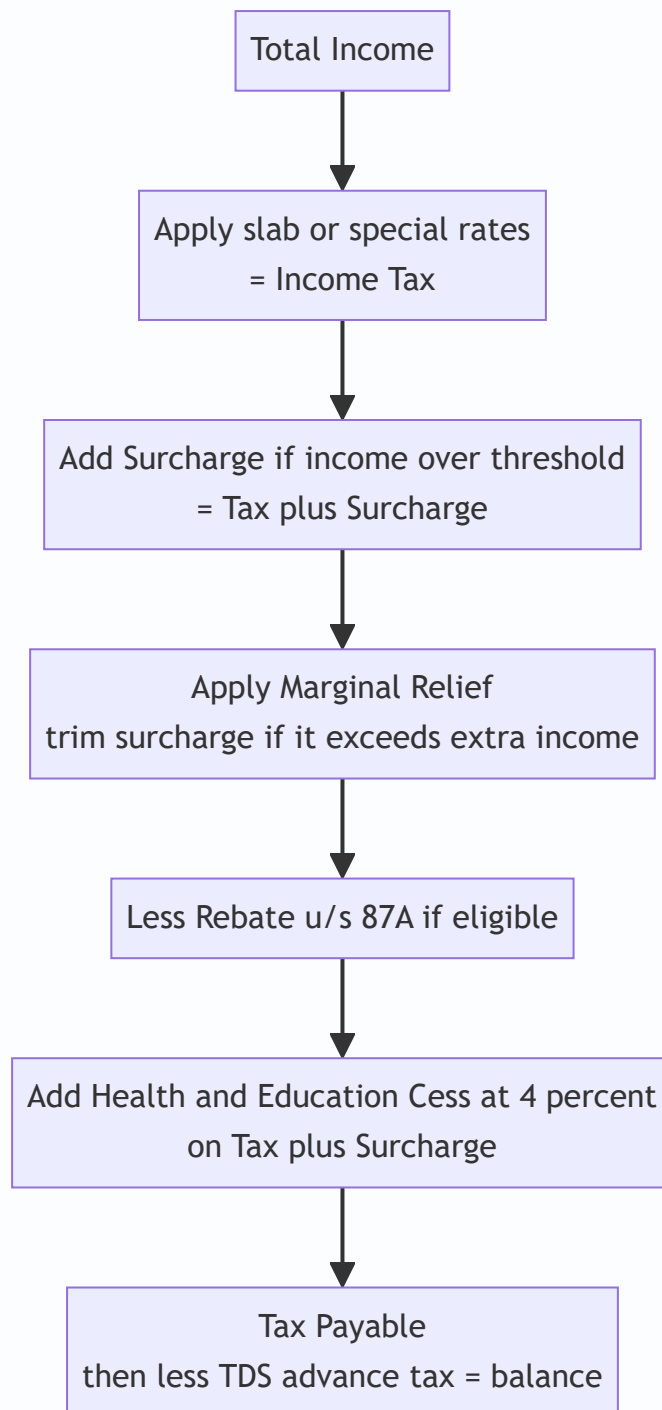


Figure 4.8 — The stacking order: rate → surcharge → marginal relief → rebate → cess. Cess is always LAST and computed on tax-plus-surcharge.

4.9 Old vs New Regime — Section 115BAC

The policy problem: the old regime is riddled with *dozens* of exemptions and deductions (HRA, LTA, 80C, 80D, home-loan interest...). This is great for tax-planning but (a) complex to comply with, (b) distorts choices (people invest to save tax, not because it's a good investment), and (c) benefits mostly those who can afford advisers. The government's response: offer a **simpler, lower-rate regime with most deductions stripped away** — you choose lower rates *or* the deductions, not both.

Sec 115BAC — the "new regime":

- **Now the *default* regime.** If you do nothing, you're taxed under the new regime. (Reason: nudge the nation toward simplicity.)
- **Lower slab rates + higher basic exemption** (see §4.7), **but most exemptions/deductions are forgone** — no 80C, 80D (largely), HRA, LTA, etc. A limited **standard deduction on salary** and **employer's NPS contribution (80CCD(2))** are still allowed. (*Verify the exact allowed/disallowed list for your AY — it has been loosened over time.*)
- **Opting out (choosing the old regime):** a salaried person with no business income can choose each year. A person with **business/professional income** who opts out can generally switch back to the new regime **only once** — reason: businesses shouldn't flip-flop yearly to game rates; the law wants a stable, considered choice.

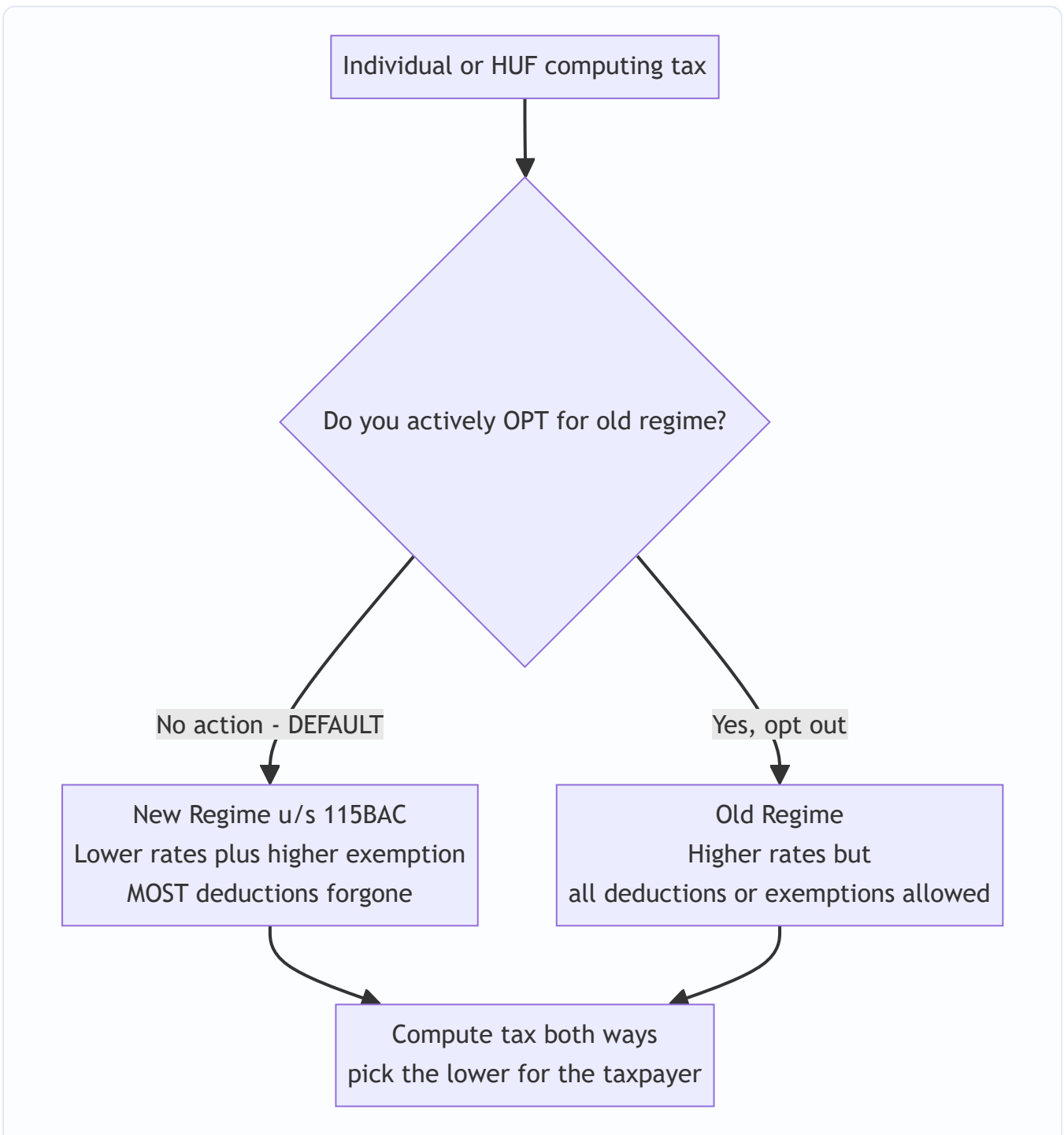


Figure 4.9 — 115BAC decision tree. New regime is the default; you must actively opt out to claim the old regime's deductions. In practice you compute both and choose the lower.

How to reason about it, not memorise it: the new regime wins for people who *don't* have big deductions (little 80C investment, no home loan, no HRA). The old regime wins for people *loaded* with deductions. The exam-and-life skill is to **compute both and compare**.

5. Worked Examples — full step-by-step computations

All examples use illustrative slab/surcharge/rebate/cess figures. **Verify the AY's actual numbers.** The *method* is what transfers.

Example 1 (Easy) — Identify person, PY, AY, and the head

Mr. A, aged 35, resident, earns during 1 Apr 2025 – 31 Mar 2026: salary ₹8,00,000; interest on savings bank ₹6,000; rent from a let-out flat ₹1,20,000; profit from his part-time trading business ₹40,000; and ₹10,000 winnings from an online quiz. Classify each and state PY and AY.

Solution. - **Person:** Individual [Sec 2(31)(i)]. He is an **assessee** as tax is payable by him [Sec 2(7)]. - **Previous Year [Sec 3]:** 2025-26 (1 Apr 2025 – 31 Mar 2026). - **Assessment Year [Sec 2(9)]:** 2026-27. - **Head classification [Sec 14]:**

Receipt	Head	Section family
Salary ₹8,00,000	Salaries	15–17
Rent ₹1,20,000	Income from House Property	22–27
Business profit ₹40,000	PGBP	28–44
SB interest ₹6,000	Income from Other Sources	56
Quiz winnings ₹10,000	Income from Other Sources (special rate, Sec 115BB)	56 / 115BB

Reconciliation check: every receipt has found exactly one head; the residuary head (Other Sources) absorbed the two that fit nowhere else. ✓

Example 2 (Moderate) — Full tax computation, new vs old regime, with rebate

Ms. B, aged 40, resident. For PY 2025-26: salary income ₹9,50,000 (before standard deduction). She has 80C investments of ₹1,50,000 and 80D medical insurance of ₹25,000. Standard deduction on salary is ₹50,000 (old) / ₹75,000 (new) — illustrative. Compute tax under BOTH regimes and advise. Use illustrative slabs from §4.7; 87A rebate: old regime nil-tax up to TI ₹5,00,000; new regime nil-tax up to TI ₹12,00,000. Cess 4%.

Solution.

Old regime:

Step	₹
Gross salary	9,50,000
Less: Standard deduction	(50,000)
Income under Salaries = GTI	9,00,000
Less: 80C	(1,50,000)
Less: 80D	(25,000)
Total Income	7,25,000

Tax on ₹7,25,000 (old slabs): - 0–2,50,000 → Nil - 2,50,001–5,00,000 → $5\% \times 2,50,000 = 12,500$ - 5,00,001–7,25,000 → $20\% \times 2,25,000 = 45,000$ - **Tax = 57,500** - 87A rebate? TI ₹7,25,000 > ₹5,00,000 → **not eligible**. - Add cess $4\% \times 57,500 = 2,300$ - **Tax payable (old) = ₹59,800**

New regime:

Step	₹
Gross salary	9,50,000
Less: Standard deduction (new)	(75,000)
Total Income (80C & 80D NOT allowed)	8,75,000

Tax on ₹8,75,000 (new slabs): - 0–4,00,000 → Nil - 4,00,001–8,00,000 → $5\% \times 4,00,000 = 20,000$ - 8,00,001–8,75,000 → $10\% \times 75,000 = 7,500$ - **Tax before rebate = 27,500** - 87A rebate? TI ₹8,75,000 ≤ ₹12,00,000 → **eligible** → **rebate wipes out the ₹27,500**. - Tax after rebate = **Nil**; cess on nil = nil. - **Tax payable (new) = ₹0**

Advice: New regime → **₹0** vs Old regime → **₹59,800**. Choose the **new regime**; the generous 87A ceiling makes her tax-free despite losing 80C/80D.

Reconciliation/insight: the deductions she loses (₹1,75,000) are worth *less* to her than the new regime's higher exemption + huge rebate. This is exactly the "compute both, compare" skill. ✓

Example 3 (Exam-hard) — Surcharge + Marginal Relief

Mr. C, resident individual, aged 45, PY 2025-26, Total Income = ₹51,00,000 (all normal-rate income, old regime). Illustrative: surcharge 10% once TI exceeds ₹50,00,000; cess 4%; old slabs from §4.7. Compute tax payable, demonstrating marginal relief.

Solution.

Step 1 — Income tax on ₹51,00,000 (old slabs): - 0–2,50,000 → Nil - 2,50,001–5,00,000 → $5\% \times 2,50,000 = 12,500$ - 5,00,001–10,00,000 → $20\% \times 5,00,000 = 1,00,000$ - 10,00,001–51,00,000 → $30\% \times 41,00,000 = 12,30,000$ - **Income tax = ₹13,42,500**

Step 2 — Surcharge @10% (TI > ₹50 lakh): - $10\% \times 13,42,500 = ₹1,34,250$ - Tax + surcharge = 13,42,500 + 1,34,250 = **₹14,76,750**

Step 3 — Marginal Relief test. Compare with the tax on exactly ₹50,00,000 (no surcharge there):

Tax on ₹50,00,000: - Nil + 12,500 + 1,00,000 + (30% × 40,00,000 = 12,00,000) = **₹13,12,500** (no surcharge).

- **Extra income** above ₹50,00,000 = ₹1,00,000.
- **Extra tax (with surcharge)** = 14,76,750 – 13,12,500 = ₹1,64,250.
- Since extra tax (₹1,64,250) **exceeds** extra income (₹1,00,000), **marginal relief applies**.
- Relief = 1,64,250 – 1,00,000 = **₹64,250**.
- Surcharge after relief = 1,34,250 – 64,250 = **₹70,000**.

Step 4 — Recompute: - Tax + surcharge after relief = 13,42,500 + 70,000 = 14,12,500 - Add cess 4% × 14,12,500 = 56,500 - **Tax payable = ₹14,69,000**

Reconciliation/insight: without marginal relief the tax-plus-surcharge was ₹14,76,750; the earner's *extra* ₹1,00,000 of income should never cost more than ₹1,00,000 of extra tax. After relief, tax-plus-surcharge (₹14,12,500) – tax at ₹50L (₹13,12,500) = exactly **₹1,00,000**. Marginal relief did precisely its job. ✓

6. Computation Format / Presentation (memorise this skeleton)

Every income-tax answer follows this master format. Reproduce it exactly in exams — examiners award method marks for the structure itself.

Computation of Total Income of <Assessee> for AY 20XX-XX
 (Residential status: _____; Regime: Old / New u/s 115BAC)

1. Income from Salaries	xxxxx
2. Income from House Property	xxxxx
3. Profits & Gains of Business or Profession	xxxxx
4. Capital Gains (short-term / long-term shown separately)	xxxxx
5. Income from Other Sources	xxxxx

Gross Total Income	xxxxx
Less: Deductions under Chapter VI-A	(xxxx)

TOTAL INCOME (rounded to nearest ₹10, Sec 288A)	xxxxx
	=====

Computation of Tax Liability

Tax on Total Income (slab / special rates, shown separately)	xxxx
Add: Surcharge (if applicable)	xxxx
Less: Marginal Relief (if applicable)	(xx)
Less: Rebate u/s 87A (if eligible)	(xx)

Tax + Surcharge	xxxx
Add: Health & Education Cess @ 4%	xxxx

Gross Tax Liability	xxxx
Less: TDS / TCS / Advance Tax / Relief 89/90/91	(xx)

Tax Payable / (Refund) (rounded, Sec 288B)	xxxx
	=====

Presentation rules (each with its reason): - **Special-rate income (lottery, LTCG) is shown and taxed separately** from slab income — because 87A/basic-exemption don't apply to it. - **Round Total Income to nearest ₹10 [Sec 288A]** and **tax payable to nearest ₹10 [Sec 288B]** — administrative simplicity. - **State residential status and regime at the top** — because both change the very numbers you compute.

7. Connections — how this chapter wires into the rest of the syllabus

- **Residential Status (next chapter):** Sec 4 taxes the *total income* — but *scope* of total income (Sec 5) depends on whether the person is Resident/Not-Ordinarily-Resident/Non-Resident. This chapter defines *what* and *when*; residence defines *how much of the world's income* India can tax.
- **Each of the 5 head chapters:** Salaries, House Property, PGBP, Capital Gains, Other Sources are each a deep-dive into one bucket of §4.6.
- **Clubbing & Set-off:** the "aggregate the heads" step hides two sub-rules — clubbing others' income into yours, and setting off losses across heads — done *before* GTI.

- → **Chapter VI-A deductions:** the GTI → TI step (80C, 80D, 80G...).
 - → **Advance tax / TDS / Return filing:** Sec 4(2)'s pay-as-you-earn promise is operationalised there.
 - → **GST/indirect tax:** contrast — income tax is *direct* (borne by the earner, progressive); GST is *indirect* (borne by the consumer, on spending). Same government, opposite base.
-

8. Traps & Examiner Tricks

1. **"Higher slab taxes all income" myth.** Only the *slice* in a slab is taxed at that slab's rate. Never apply 30% to the whole income.
 2. **87A on special-rate income.** Rebate u/s 87A does **not** reduce tax on lottery/casual winnings (Sec 115BB) or (generally) on special-rate capital gains. Examiners plant a small lottery win to see if you wrongly zero-out the tax.
 3. **Cess is on (tax + surcharge), not on income, and comes AFTER marginal relief and after rebate.** Order matters — compute cess last.
 4. **Marginal relief direction.** It only *reduces* surcharge (or tax at the exemption edge); it never increases tax. Apply the "extra tax ≤ extra income" test only when income just crosses a threshold.
 5. **Default regime is NEW.** If the question says nothing, tax under **115BAC (new)**. A candidate who defaults to the old regime out of habit loses marks. Business-income assessee who opt out get *one* switch back.
 6. **PY = same-year taxation exceptions (172/174/174A/175/176).** A question about "a person leaving India permanently in Oct 2025" wants same-year assessment, not next-year.
 7. **Application vs diversion of income.** "Mr. X's income is paid, under a court decree, directly to his ex-wife before it reaches him" = **diversion by overriding title** → **not X's income**. "Mr. X earns income and then pays his ex-wife maintenance out of it" = **application** → **fully X's income first**. The trigger word is *before it reaches him*.
 8. **Illegal income is still taxable.** Don't exclude smuggling/bribe income.
 9. **Rounding.** Round Total Income and tax to nearest ₹10 (Sec 288A/288B) — small marks, easy to bag.
 10. **HUF/AOP are separate persons.** Income of an HUF is taxed in the HUF's hands, *not* the karta's — a classic "who is the assessee" trap.
 11. **Senior/super-senior higher exemption applies only in the OLD regime** (the new regime's exemption is uniform regardless of age). Verify current stance.
 12. **"Person" ≠ "assessee".** A person with only exempt/agricultural income below limits may not be an assessee at all.
-

9. First-Principles Recap

Rebuild the whole chapter from one seed idea: **a state needs recurring revenue and should collect it in proportion to ability to pay**. From that alone:

- To tax *ability to pay*, tax **income** (a recurring flow), progressively → **slabs, surcharge, rebate**.
- To tax fairly you must know *whom* → **person [2(31)]** (seven buckets so nothing escapes) and *who's in the machine* → **assessee [2(7)]**.
- You must know *what counts* → **income [2(24)]**, defined *inclusively* so cleverness can't dodge it.

- You can only measure income *after* the year ends → split **previous year [Sec 3]** from **assessment year [2(9)]**; drop the lag when the taxpayer might vanish (172/174/174A/175/176).
- A law must *command* the tax → **Sec 4**, which ties the Finance Act's *rates* to the *AY* on the *PY's total income* of *every person*, and lets the state collect early via TDS/advance tax.
- Different income types need different treatment → **5 heads [Sec 14]**, aggregating into **GTI**, less **Chapter VI-A = Total Income**.
- Apply the climbing rate schedule → slab rate → **surcharge** (extra progressivity) → **marginal relief** (patch the cliff) → **rebate 87A** (spare the small) → **cess** (earmark for health/education).
- Simplify the whole thing → **new regime u/s 115BAC** (default; low rates, few deductions) vs **old regime** (high rates, many deductions) → *compute both, choose lower*.

If you can narrate that chain aloud, you never have to memorise the chapter — you can *derive* it.

10. Quick-Revision Sheet

Key sections & definitions:

Section	Concept	One-line why
2(7)	Assessee	Person who owes tax / is under proceeding
2(9)	Assessment Year	12 months from 1 Apr; year of assessment
2(24)	Income	<i>Inclusive</i> definition — nets future cleverness
2(31)	Person (7 categories)	Wide net so nothing escapes
2(45)	Total Income	GTI minus Chapter VI-A; base for tax
3	Previous Year	FY in which income is earned
4	Charge of tax	Master switch: FA rates × AY × PY's TI × every person
5	Scope of total income	(Next ch.) depends on residence
14	Heads of income	5 buckets — S/H/B/C/O
15–17	Salaries	Head 1
22–27	House Property	Head 2
28–44	PGBP	Head 3
45–55	Capital Gains	Head 4
56–59	Other Sources	Head 5 (residuary)
80B(5)	Gross Total Income	Pre-deduction aggregate
87A	Rebate	Spare small taxpayers
115BB	Winnings — flat rate	No exemption/deduction/87A
115BAC	New (default) regime	Low rates, few deductions
172/174/174A/175/176	PY = AY exceptions	Taxpayer/income may vanish
288A / 288B	Rounding TI / tax	Nearest ₹10

Same-year taxation (memory hook): *Ships(172) Leaving(174) Associations-for-an-event(174A) Transferring(175) Discontinuing(176).*

Heads memory hook: She Has Big Capital Outflows.

Persons memory hook: Individual, HUF, Company, Firm, AOP/BOI, Local authority, AJP — *humans* → *families* → *companies* → *firms* → *groups* → *govt bodies* → *everything else*.

Stacking order of tax: Slab/special rate → **+Surcharge** → **–Marginal relief** → **–87A rebate** → **+4% Cess** → –TDS/Advance tax = **Tax payable**.

Illustrative limits to VERIFY each year:

Item	Illustrative figure	△ Verify
Basic exemption (old, <60)	₹2,50,000	Yes
Basic exemption (new)	₹4,00,000	Yes
Senior / super-senior exemption (old)	₹3,00,000 / ₹5,00,000	Yes
87A ceiling (old / new)	TI ₹5,00,000 / ₹12,00,000	Yes
Surcharge bands	10/15/25/37% (new-regime cap lower)	Yes
Health & Education Cess	4%	Yes
Lottery rate (115BB)	30% flat	Yes

Final reminder: every number above is *illustrative of the mechanism*. Rates, thresholds, exemption limits, the 87A ceiling, surcharge bands and the list of deductions allowed under 115BAC are amended almost every Finance Act. **Confirm the exact figures and the applicable Assessment Year from current ICAI Study Material / RTP / Finance Act for your attempt.** Master the *structure* here; slot in the year's digits at revision time.

Q&A — Basic Concepts of Income Tax

Scope note: All rates, surcharge thresholds, rebate limits and slab figures below are illustrated for **AY 2025-26 (PY 2024-25)** under the Income-tax Act, 1961. **Rates and limits change every Finance Act — always re-verify against the ICAI Study Material / RTP applicable to your attempt before the exam.** Section numbers are stable; numbers are not.

Section A — Concept-Check (short questions + answers)

- A1. Define "person" and list the seven categories under section 2(31). Ans.** Under **Sec 2(31)**, "person" includes: (i) an Individual, (ii) a Hindu Undivided Family (HUF), (iii) a Company, (iv) a Firm, (v) an Association of Persons (AOP) or Body of Individuals (BOI), (vi) a Local Authority, and (vii) every Artificial Juridical Person not falling in the above. Explanation: an entity need not be formed for profit to be a "person" (e.g., a club or deity). This matters because tax is charged *on a person* — no person, no charge.
- A2. Distinguish "assessee" [Sec 2(7)] from "person". Ans.** Every assessee is a person, but not every person is an assessee. **Sec 2(7)** "assessee" = a person by whom any tax **or any other sum** (interest/penalty) is payable, OR against whom any proceeding has been taken, OR a *deemed assessee* (e.g., legal representative u/s 159), OR an *assessee-in-default* (e.g., failure to deduct/pay TDS). So "assessee" is a person *connected to a proceeding or liability*.
- A3. Why does income tax use two years — Previous Year and Assessment Year? Ans.** **Sec 3** defines Previous Year (PY) = the financial year in which income is *earned*. **Sec 2(9)** defines Assessment Year (AY) = the financial year immediately following the PY, in which income is *assessed and taxed*. Income can only be measured *after* the year ends (you cannot total a year's income mid-year), so a following year is needed to file, assess and pay. Both are always 1 April–31 March.
- A4. State the charging section and its four ingredients. Ans.** **Sec 4** is the charging section: (1) tax is charged for *every assessment year* (2) at rates fixed by the *annual Finance Act* (3) on the *total income* (4) of *every person*. Without Sec 4 the Act has no operative force — it is the section that actually imposes the tax.
- A5. Differentiate Gross Total Income (GTI) from Total Income (TI). Ans.** **GTI** [Sec 80B(5)] = aggregate of income computed under the five heads (Sec 14) *after* inter-head/intra-head set-off but *before* Chapter VI-A deductions. **TI** [Sec 2(45)] = GTI **minus** deductions under Chapter VI-A (Sec 80C to 80U). Tax is levied on TI, not GTI.
- A6. Name the five heads of income (Sec 14) and explain why five. Ans.** Sec 14: (A) Salaries, (B) Income from House Property, (C) Profits & Gains of Business or Profession, (D) Capital Gains, (E) Income from Other Sources. Five heads exist because each income *type* has a different economic character and therefore needs its own computation rules (e.g., standard deduction for salary, 30% flat deduction for house property, indexation for capital gains). The residuary head (E) ensures *no income escapes* charge.
- A7. What is a "casual" appearance of the AY-before-PY rule? Give one exception. Ans.** Normally income of PY is taxed in the *next* AY. **Exceptions** (Sec 172, 174, 174A, 175, 176) tax income *in the PY itself* — e.g., shipping business of non-residents (Sec 172), persons likely to leave India (Sec 174), or a discontinued business (Sec 176) — to protect revenue collection.

A8. What is "marginal relief"? Ans. Where income marginally crosses a surcharge threshold, marginal relief caps the surcharge so that the *extra tax + surcharge* does not exceed the *income earned above the threshold*. It prevents a small rise in income from causing a disproportionately large jump in tax.

A9. Under the default regime, which section governs the new tax regime for individuals/HUF? Ans.

Sec 115BAC. From AY 2024-25 the new regime is the **default**; the assessee may *opt out* to the old regime.

Salaried persons without business income can switch each year; those with business/professional income can revert to old regime only *once*.

Section B — Graded Computational Problems (easy → exam-hard)

B1 (Easy) — GTI to Total Income

Mr. A (age 40, resident) for PY 2024-25: Salary income ₹6,00,000; House property income ₹1,20,000; Interest on savings ₹15,000. Chapter VI-A: 80C ₹1,00,000; 80TTA ₹10,000. Compute GTI and TI.

Solution. | Head | ₹ | |---|---| | Salaries (Sec 15) | 6,00,000 | | House Property (Sec 22) | 1,20,000 | | Other Sources (Sec 56) | 15,000 | | **GTI (Sec 80B(5))** | **7,35,000** | | Less: 80C | (1,00,000) | | Less: 80TTA | (10,000) | | **Total Income (Sec 2(45))** | **6,25,000** |

Check: $7,35,000 - 1,10,000 = 6,25,000$. ✓

B2 (Moderate) — Old regime tax with rebate 87A

Using B1's **TI = ₹6,25,000** (old regime, individual < 60). Compute tax.

Solution. Old-regime slabs (resident individual < 60): nil up to 2,50,000; 5% on 2,50,001–5,00,000; 20% on 5,00,001–10,00,000. - $5\% \times (5,00,000 - 2,50,000) = 5\% \times 2,50,000 = \mathbf{12,500}$ - $20\% \times (6,25,000 - 5,00,000) = 20\% \times 1,25,000 = \mathbf{25,000}$ - Tax before rebate = $12,500 + 25,000 = \mathbf{37,500}$ - Rebate u/s 87A: available only if $TI \leq ₹5,00,000$ (old regime). $TI = 6,25,000 > 5,00,000 \rightarrow$ **no rebate**. - Add Health & Education Cess (HEC) @ $4\% = 4\% \times 37,500 = \mathbf{1,500}$ - **Total tax = ₹39,000**. ✓

B3 (Exam-level) — New regime 115BAC vs Old regime comparison

Ms. R (age 45, resident, salaried, no business income) PY 2024-25: Gross salary ₹12,00,000. She has 80C investments ₹1,50,000 and 80D ₹25,000. Standard deduction ₹50,000 available under **both** regimes for salary. Determine which regime is cheaper.

Solution — Old Regime. | Item | ₹ | |---|---| | Gross salary | 12,00,000 | | Less: Std deduction (Sec 16(ia)) | (50,000) | | Salary income = GTI | 11,50,000 | | Less: 80C | (1,50,000) | | Less: 80D | (25,000) | | **Total Income** | **9,75,000** |

Old-regime tax: $12,500$ (up to 5L) + $20\% \times (9,75,000 - 5,00,000) = 12,500 + 20\% \times 4,75,000 = 12,500 + 95,000 = \mathbf{1,07,500}$. Cess $4\% = 4,300$. **Total = ₹1,11,800**.

Solution — New Regime (Sec 115BAC), AY 2025-26 slabs. Chapter VI-A (80C/80D) **not allowed**; standard deduction ₹50,000 **is** allowed. - Total Income = $12,00,000 - 50,000 = \mathbf{11,50,000}$. - Slabs (AY 25-26): 0–3L nil; 3–7L @5%; 7–10L @10%; 10–12L @15%; 12–15L @20%; >15L @30%. - $5\% \times (7,00,000 - 3,00,000) = 20,000$ - $10\% \times (10,00,000 - 7,00,000) = 30,000$ - $15\% \times (11,50,000 - 10,00,000) = 22,500$ - Tax = $20,000 + 30,000 + 22,500 = \mathbf{72,500}$. Cess $4\% = 2,900$. **Total = ₹75,400**.

Conclusion: New regime (₹75,400) is cheaper than old (₹1,11,800) by **₹36,400**. *Even though old regime allows ₹1,75,000 of deductions, the lower/ wider new-regime slabs win here.* ✓

B4 (Exam-hard) — Surcharge + Marginal Relief

Mr. K (individual, old regime) has **Total Income = ₹51,00,000** for PY 2024-25. Compute tax including surcharge and marginal relief. (Surcharge @10% applies where TI > ₹50,00,000.)

Solution. Step 1 — Tax on ₹51,00,000 (old slabs): 12,500 + 1,00,000 (20% of 5L) + 30% × (51,00,000 – 10,00,000). - 30% × 41,00,000 = 12,30,000 - Tax before surcharge = 12,500 + 1,00,000 + 12,30,000 = **13,42,500**. Step 2 — Surcharge @10% = 1,34,250. Tax + SC = **14,76,750**.

Step 3 — **Marginal relief** check. Tax on ₹50,00,000 (threshold) = 12,500 + 1,00,000 + 30% × 40,00,000 = 12,500 + 1,00,000 + 12,00,000 = **13,12,500** (no surcharge at exactly 50L). - Income above threshold = 51,00,000 – 50,00,000 = **1,00,000**. - Tax+SC at 51L (14,76,750) exceeds [tax at 50L + excess income] = 13,12,500 + 1,00,000 = 14,12,500 by **64,250**. - Marginal relief = **₹64,250**. Surcharge is reduced from 1,34,250 to (1,34,250 – 64,250) = **70,000**. Step 4 — Tax + reduced SC = 13,42,500 + 70,000 = **14,12,500**. Add HEC 4% = 56,500. - **Total tax = ₹14,69,000.** ✓

Logic check: after marginal relief, total tax before cess (14,12,500) – tax at 50L (13,12,500) = 1,00,000 = exactly the extra income. Marginal relief worked. ✓

Section C — Past-Paper-Style Full Questions

C1. "Explain the concept of Previous Year and Assessment Year with the rationale for the two-year system. Also state the exceptions where income of a PY is taxed in the PY itself." (6 marks)

Model Answer. As per **Sec 3**, "Previous Year" is the financial year in which income is *earned/accrued/received*; the first PY of a newly set-up business begins on the date of set-up and ends on the following 31 March. As per **Sec 2(9)**, "Assessment Year" is the financial year immediately following the PY, running 1 April to 31 March, in which the income of the PY is *charged to tax* (Sec 4).

Rationale: income of a year can be aggregated, quantified and assessed only *after* the year has ended. A separate following year is therefore necessary for return filing, verification and assessment. This gives certainty and prevents part-year estimation.

Exceptions (PY taxed in PY itself) to protect revenue where the assessee/income may not be traceable in the next AY: - **Sec 172** — shipping business of non-residents; - **Sec 174** — persons likely to leave India permanently/for long; - **Sec 174A** — AOP/BOI/AJP formed for a particular event likely to dissolve; - **Sec 175** — persons likely to transfer property to avoid tax; - **Sec 176** — discontinued business/profession.

C2. "Discuss the scheme of charge of income tax under section 4 and how total income is arrived at from the five heads." (5 marks)

Model Answer. **Sec 4** is the charging section. Its scheme: income tax *shall be charged* for every assessment year, at the rate(s) prescribed by the **annual Finance Act**, in respect of the **total income** of the previous year of **every person**. Where the Act so provides, tax is also deducted at source or paid in advance.

Route from raw income to total income: 1. Classify each income into one of the **five heads (Sec 14)** — Salaries, House Property, PGBP, Capital Gains, Other Sources. 2. Compute income under each head per its own provisions. 3. Apply **intra-head and inter-head set-off** (Sec 70–71). 4. Aggregate → **Gross Total Income** [Sec 80B(5)]. 5. Deduct **Chapter VI-A** (Sec 80C–80U) → **Total Income** [Sec 2(45)]. 6. Apply Finance Act rates + surcharge (with marginal relief) + rebate (Sec 87A) + HEC 4% → tax payable.

C3. "State whether the following are 'persons' u/s 2(31): (a) a partnership firm, (b) a minor child, (c) Delhi Municipal Corporation, (d) an idol/deity in a temple." (4 marks)

Model Answer. (a) **Firm** — yes, expressly listed [Sec 2(31)(iv)]. (b) **Minor child** — yes, an *individual*; but minor's income is generally clubbed with a parent u/s 64(1A). (c) **Delhi Municipal Corporation** — yes, a *local authority* [Sec 2(31)(vi)]. (d) **Idol/deity** — yes, an *artificial juridical person* [Sec 2(31)(vii)] (settled by judicial precedent). All four are "persons."

Section D — MCQs / Case Scenarios

D1. Total Income is defined in which section? (a) 2(24) (b) 2(45) (c) 2(31) (d) 80B(5) **Ans: (b).** Sec 2(45) defines "total income"; Sec 80B(5) defines GTI.

D2. For AY 2025-26, the *default* tax regime for an individual is: (a) Old regime (b) New regime u/s 115BAC (c) Optional either (d) 115BAB **Ans: (b).** From AY 2024-25 the new regime u/s 115BAC is the default; the old regime must be opted for.

D3. Rebate u/s 87A under the **old regime** is available where total income does not exceed: (a) ₹5,00,000 (b) ₹7,00,000 (c) ₹2,50,000 (d) ₹3,00,000 **Ans: (a).** Old regime 87A limit is ₹5,00,000 (rebate up to ₹12,500). *New-regime 87A limit is higher — verify current figure.*

D4. "Income" under Sec 2(24) is: (a) an exhaustive list (b) an inclusive definition (c) only monetary receipts (d) only revenue receipts **Ans: (b).** Sec 2(24) is *inclusive* ("income includes..."), so the term is wide and open-ended, catching profits, dividends, capital gains, winnings, gifts, etc.

D5 (Case). A non-resident earns freight from shipping cargo at an Indian port and the ship is about to leave India. When is this taxed? (a) Next AY (b) In the PY itself u/s 172 (c) Exempt (d) Only on filing return **Ans: (b).** Sec 172 charges the shipping income of non-residents in the PY itself, as an exception to the normal PY→AY rule.

D6 (Case). Mr. X failed to deduct TDS on a payment. He is best described as: (a) Deemed assessee (b) Representative assessee (c) Assessee-in-default [Sec 2(7)] (d) Not an assessee **Ans: (c).** Failure to deduct/pay TDS makes him an *assessee-in-default*, covered within Sec 2(7).

D7 (Case). Marginal relief primarily prevents: (a) double taxation (b) surcharge exceeding the incremental income above the threshold (c) cess (d) slab jump **Ans: (b).** Marginal relief limits surcharge so incremental tax does not exceed incremental income beyond the surcharge threshold.

Flow Diagram — From Income to Tax Payable

Income earned by a Person - Sec 2 31



Classify into 5 Heads - Sec 14



Compute each head



Set-off Sec 70-71



Gross Total Income - Sec 80B 5



Less Chapter VI-A 80C-80U



Total Income - Sec 2 45



Apply Finance Act rates - Charge Sec 4



Add Surcharge + Marginal Relief



Less Rebate 87A



Add Health & Education Cess 4%



Tax Payable by Assessee - Sec 27

Quick-Revision Sheet — Sections & Limits

Concept	Section	Key point
Person	2(31)	7 categories; need not be profit-seeking
Assessee	2(7)	Includes deemed / representative / in-default
Income	2(24)	Inclusive (open) definition
Previous Year	3	Year income earned; FY basis
Assessment Year	2(9)	Following FY; year of assessment
Charge of tax	4	Every AY, Finance Act rates, on TI, every person
Heads of income	14	Salaries, HP, PGBP, Cap Gains, Other Sources
Gross Total Income	80B(5)	After set-off, before Chapter VI-A
Total Income	2(45)	GTI – Chapter VI-A
Rebate	87A	Old regime TI $\leq$ ₹5,00,000 → up to ₹12,500
New regime	115BAC	Default from AY 2024-25; opt-out to old
PY-taxed-in-PY exceptions	172,174,174A,175,176	Shipping NR, leaving India, AOP event, transfer to avoid tax, discontinuance

Slab quick-recall (AY 2025-26 — VERIFY): - *Old regime (individual <60):* Nil $\leq$ 2.5L; 5% 2.5–5L; 20% 5–10L; 30% > 10L. - *New regime 115BAC:* Nil $\leq$ 3L; 5% 3–7L; 10% 7–10L; 15% 10–12L; 20% 12–15L; 30% > 15L. Std deduction ₹50,000 for salary allowed; most Chapter VI-A deductions not allowed. - *Surcharge (illustrative):* 10% > 50L, 15% > 1cr, 25% > 2cr, 37% > 5cr (37% capped at 25% under new regime); **HEC 4%** on tax + surcharge for all.

Final reminder: confirm every rate, slab, surcharge rate and rebate limit against the ICAI material for *your* attempt's AY — the Finance Act revises them annually.

Chapter 02 — Residential Status & Scope of Total Income

Rates & limits change every year. This chapter teaches the *structure and logic* of residence and the scope of income — which almost never changes. The day-count numbers (182, 60, 365, 730) and the ₹15 lakh threshold are stable but **always verify the exact figures, provisos, and the applicable Assessment Year against current ICAI study material before your attempt.**

1. The Problem — Who does a country get to tax, and on what?

Imagine you are the Government of India designing an income-tax. You immediately hit a boundary question that comes *before* any rate, any head of income, any deduction:

Whose income can I legitimately tax, and how much of it — only the income that arose inside my borders, or their worldwide income?

This is not a trivia question. Consider four people, all earning income in the same year:

- **A** — born, lives, works, and earns entirely in Mumbai.
- **B** — an Indian citizen who took a job in Dubai on 1 April and will live there for years, but still earns rent from a flat in Pune.
- **C** — a British consultant who flew into India for a 3-week project, earned a fee here, and flew home.
- **D** — a returning NRI who came back to India permanently after 20 years abroad and still has a US bank account earning interest.

If India taxes **worldwide income of everyone physically present**, then C — here for 3 weeks — would have to disclose and pay Indian tax on his UK salary, his UK house, his UK dividends. That is absurd and unenforceable; no country would accept it, and no professional would ever visit India. If instead India taxes **only income arising in India, for everyone**, then B could shift his entire economic life offshore, keep deep roots in India, and pay India almost nothing — a giant leak.

So a flat rule fails at both ends. The tax base must depend on **how strongly a person is connected to India** — and that connection must be measured by something *objective, verifiable, and hard to game*, not by a subjective "does he feel Indian?" test.

That measuring device is **residential status**. It is the gatekeeper of the entire Income-tax Act: before you can compute a single rupee of tax, you must know *which basket of income is even taxable* — and that depends on residence, not on citizenship, not on domicile, not on where the person banks.

2. The Core Idea — Tax follows *economic allegiance* (nexus), measured by presence

The organising principle behind residence is called **economic allegiance** or, in modern terms, **nexus**: a country may tax income to the extent a person *benefits from and is connected to* that country's economy, infrastructure, legal protection, and markets.

There are two natural nexuses:

Nexus	Question it asks	Who it should catch
Source nexus	Did the income <i>arise here</i> ?	Everyone, regardless of where they live — India built the road, the market, the court that made the income possible.
Residence nexus	Does the person <i>live here</i> / have their economic home here?	Residents — India provides them ongoing protection and services, so it can reach their <i>global</i> income.

India's design decision, embodied in **Section 5**, is:

- **Everyone** pays tax on **India-source income** (source nexus is universal — you can't escape it by living abroad).
- **Residents additionally** pay tax on **foreign income** (residence nexus is the "extra reach" that only applies once you're economically anchored here).

The crucial insight your notes should burn in:

Residential status does NOT decide the *rate* of tax. It decides the *SCOPE* — the size of the net, i.e. *which income falls into the taxable basket*. Two people with identical incomes but different residential statuses can owe very different tax, purely because one basket includes foreign income and the other doesn't.

And how do we *measure* residence objectively? Not by intention (unprovable), not by citizenship (a person can be a citizen yet live abroad for decades). We measure it by **physical presence in India, counted in days**. Days are on the passport, on immigration records, on flight tickets — hard to fake, easy to verify. That is *why* the whole test is a day-count test.

3. Why it's built this way — the logic behind every design choice

Before the sections, understand the five design decisions. Once these click, the rules feel inevitable rather than arbitrary.

(a) Why citizenship is irrelevant. Citizenship is a legal/political bond; income tax is about *economic* connection. A US citizen running a factory in India for 5 years is economically Indian; an Indian citizen who has settled in Canada is not. Taxing by citizenship would tax the wrong people. (The USA is a rare exception that taxes citizens worldwide — India deliberately does not.)

(b) Why days, not intention. Intention ("I meant to leave permanently") is unverifiable and manipulable. Days present are objective. So residence = a function of *days in India during the previous year* (and, for one category, prior years too).

(c) Why there are TWO layers of conditions (basic + additional). A simple resident/non-resident split is too blunt. Consider the returning NRI (D above): the day he lands permanently, he becomes a resident — but is it *fair* to instantly tax his foreign pension, foreign interest, foreign business built up over 20 years, the moment he steps off the plane? He hasn't re-integrated yet; taxing his global income immediately would punish return and encourage people to stay away. So India inserts a **middle, transitional category** — *Resident but Not Ordinarily Resident (RNOR)* — a soft-landing status. To sort people into ROR / RNOR / NR

you need a *second* test measuring **depth and continuity** of connection, not just presence this year. Hence **additional conditions**.

(d) Why 182 / 60 / 365 days. These thresholds encode "roughly half the year, OR here-this-year-plus-substantial-recent-history." 182 $\approx$ half of 365 (majority of the year $\rightarrow$ clearly resident). The 60-days-this-year *plus* 365-days-in-4-prior-years combination catches someone who spends part of every year in India — no single year hits 182, but the *pattern* shows a real, recurring connection. The **relaxations** to 60 $\rightarrow$ 182 exist to *not punish* Indians who leave for employment or come home to visit.

(e) Why RNOR is a shield only for *foreign* income. RNOR still lives in India this year, so India's *source* nexus is full — all Indian income is taxed. What RNOR shields is *foreign* income (except foreign income from a business *controlled from* India). The logic: give the returnee time to repatriate/settle before the global net closes on him.

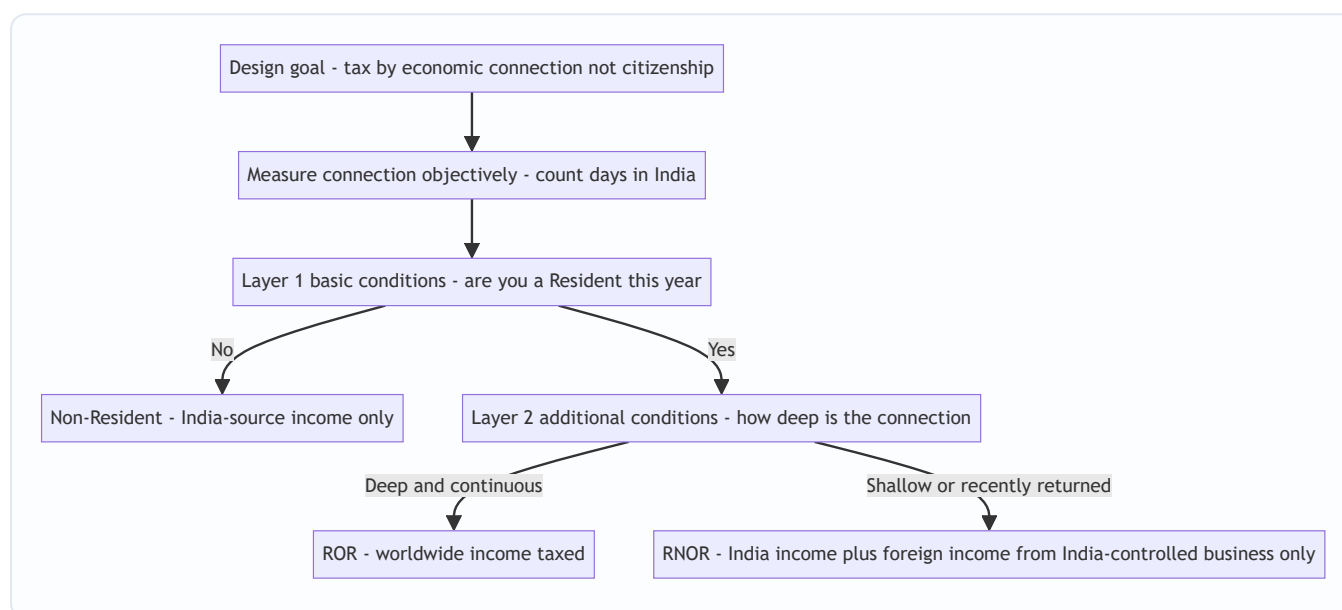


Figure 1 — The policy logic: two layers of tests sort people into three baskets of scope.

4. Full Technical Content — sections, definitions, tests, and their "why"

4.1 The statutory map

Section	Deals with	One-line "why"
Sec 6	How residential status is determined (individuals, HUF, firm, company)	The measuring device (day-count / control tests)
Sec 5	Scope of total income for each status	The gatekeeper — which income basket is taxable
Sec 7	Income <i>deemed to be received</i> in India	Plug a timing/location loophole
Sec 9	Income <i>deemed to accrue or arise</i> in India	Plug a "where did it arise?" loophole

Memory hook: "6 decides *WHO* you are; 5 decides *WHAT* is caught; 7 & 9 stop you from arguing your way out."

4.2 Residential status of an INDIVIDUAL — Section 6(1)

Everything starts with **Previous Year (PY)** presence. (Recall Ch.1: PY = the year income is earned; AY = the following year it is taxed.) You test residence *for each PY separately* — a person can be resident one year, NR the next.

Step 1 — Basic Conditions [Sec 6(1)]: Are you a RESIDENT at all?

An individual is **Resident** in India for a PY if he satisfies **at least ONE** of these:

- **(a)** In India for ≥ 182 days during the PY; **OR**
- **(b)** In India for ≥ 60 days during the PY **AND** ≥ 365 days during the **4 years immediately preceding** the PY.

If he satisfies **neither**, he is a **Non-Resident (NR)**.

Why "at least one"? Either you're here most of the year (182), or you're here a chunk this year *and* have a clear recent pattern of coming (60 + 365). Both signal a real connection.

Memory hook for the numbers: "182 = half a year. 60-this-year + 365-over-4-years = a habit, not a visit."

The relaxations to condition (b) — 60 days becomes 182 days [Explanation 1 to Sec 6(1)]

Condition (b)'s 60-day trigger is *harsh* for two sympathetic groups. So the law **replaces 60 with 182** (i.e. only condition (a) can make them resident) in these cases:

1. **An Indian citizen who leaves India during the PY for the purpose of employment outside India** (or as a member of the crew of an Indian ship). — *Why:* We should not tax the global salary of Indians going abroad to work merely because they were physically here for the first two months before departing. Punishing labour export makes no policy sense.
2. **An Indian citizen or Person of Indian Origin (PIO)** who, being outside India, **comes on a visit to India** during the PY. — *Why:* NRIs visiting family should not risk becoming residents (and exposing worldwide income) just for a long holiday.

PIO definition (remember it): A person is of Indian origin if **he, or either of his parents, or any of his grandparents, was born in undivided India** (i.e. India as it existed before Partition — includes present-day Pakistan and Bangladesh territory). *Why grandparents?* To keep the diaspora connection meaningful across generations without being infinite.

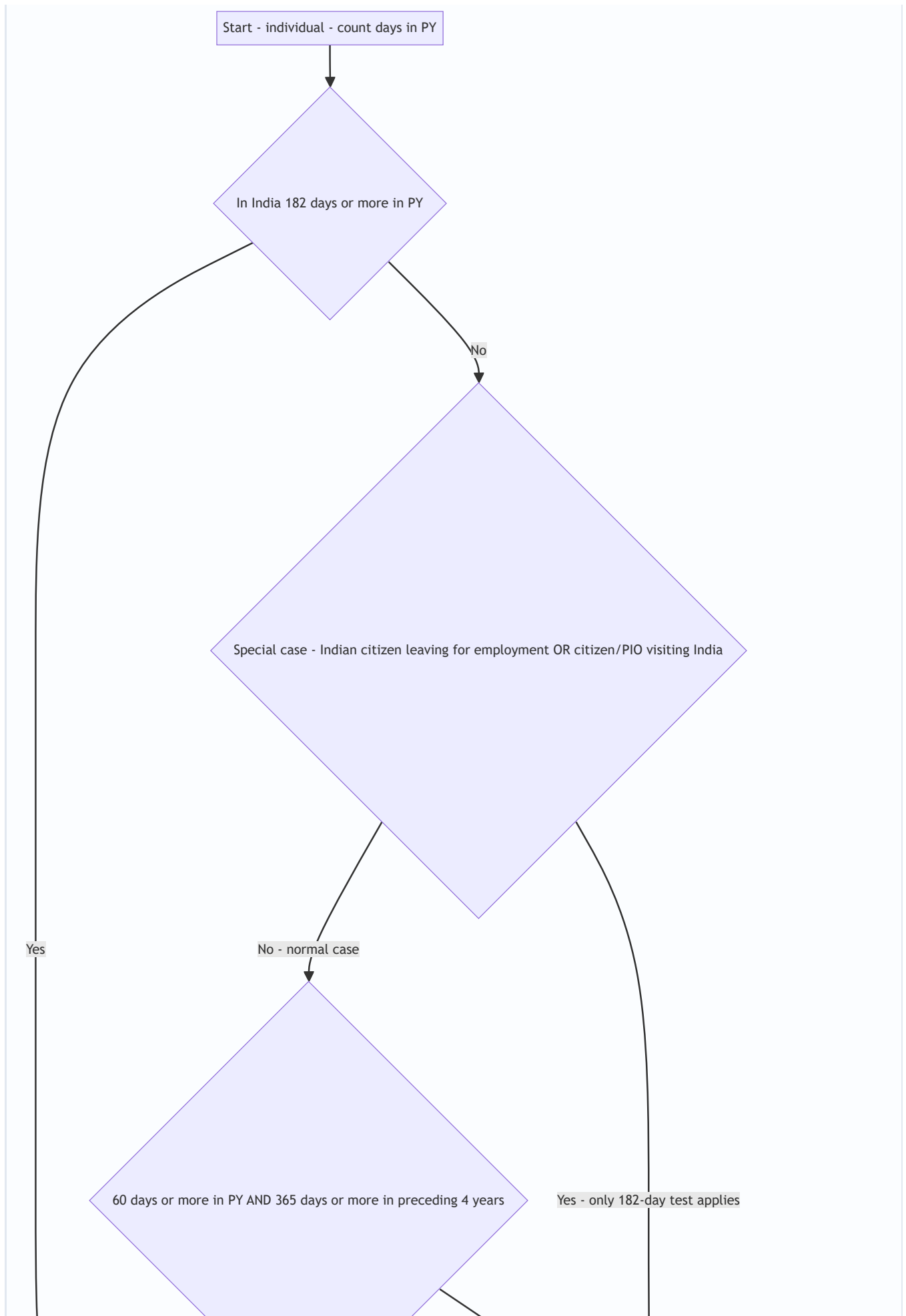
The high-income NRI carve-back — the ₹15 lakh rule [Explanation 1(b) proviso & Sec 6(1A)]

A modern anti-abuse layer. Wealthy Indians were arranging their days to be resident *nowhere* ("stateless" for tax) and paying tax in no country. Two responses:

- **Modified visit relaxation:** For the PIO/citizen *visiting* India whose **total income (other than foreign-source income) exceeds ₹15,00,000** in the PY, the 60-day limit is relaxed only to **120 days** (not 182). So a high-earning visitor who stays 120+ days can become resident. *Why:* the relaxation was meant to protect ordinary NRIs, not high-income individuals gaming presence.

- **Deemed resident [Sec 6(1A)]:** An **Indian citizen** with **total income (other than foreign source) > ₹15,00,000** who is **not liable to tax in any other country** by reason of domicile/residence → **deemed to be resident in India** regardless of days. *Why:* to end "stateless" tax residency for high-income Indian citizens. Such a person is always classified **RNOR** (see below) — India gets its source income but doesn't overreach on genuine foreign income.

Verify: the ₹15,00,000 figure and the 120-day figure — confirm both in the current AY's ICAI material.



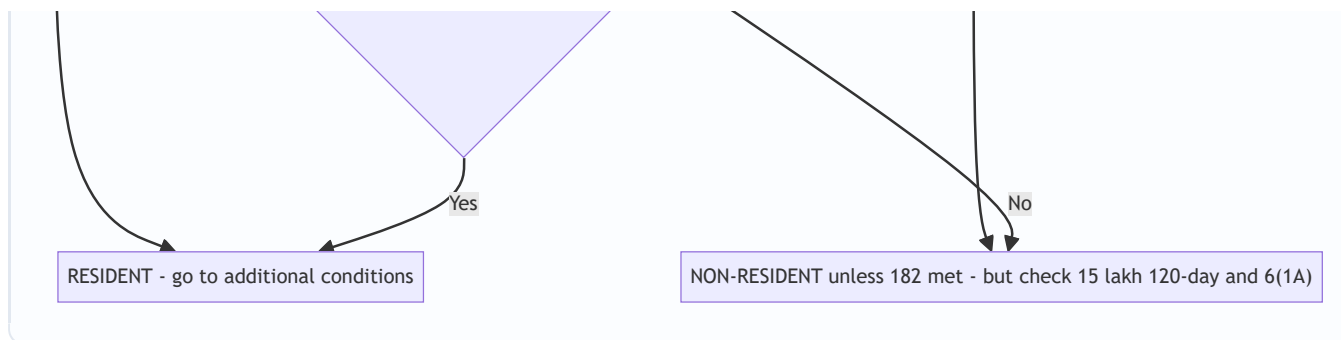


Figure 2 — Step 1 decision tree: are you a Resident (basic conditions and their relaxations)?

Step 2 — Additional Conditions [Sec 6(6)]: ROR or RNOR?

Only if Step 1 made you a Resident. Now measure **depth/continuity** of the connection. A resident is **Resident and Ordinarily Resident (ROR)** only if he satisfies **BOTH** additional conditions:

- (i) He has been **Resident in India in at least 2 out of the 10** previous years immediately preceding the PY; **AND**
- (ii) He has been in India for **≥ 730 days in the 7** previous years immediately preceding the PY.

If a resident **fails either** of these → he is **Resident but Not Ordinarily Resident (RNOR)**.

Why "2 out of 10" and "730 in 7"? Both encode *established, long-term* presence. "Resident in 2 of last 10 years" screens out someone only recently connected. "730 days in 7 years" ≈ an average of ~104 days/year — a genuine, sustained physical footprint. Fail either → you're too new (or too intermittent) to have your *global* income taxed → the softer RNOR basket.

Memory hook: "To be *ORDINARY* (ROR) you need *HISTORY*: 2/10 and 730/7. Miss the history → you're 'not ordinarily' (RNOR)."

Additional RNOR triggers (attach to the same test): - The **120-day visitor** (₹15L case) who becomes resident is treated as **RNOR**. - The **Sec 6(1A) deemed resident** is treated as **RNOR**. - A person who is resident this year but was NR in 9 of the last 10 years, or here <730 days in last 7, is the classic *returning NRI* → RNOR for a couple of years until history builds up.

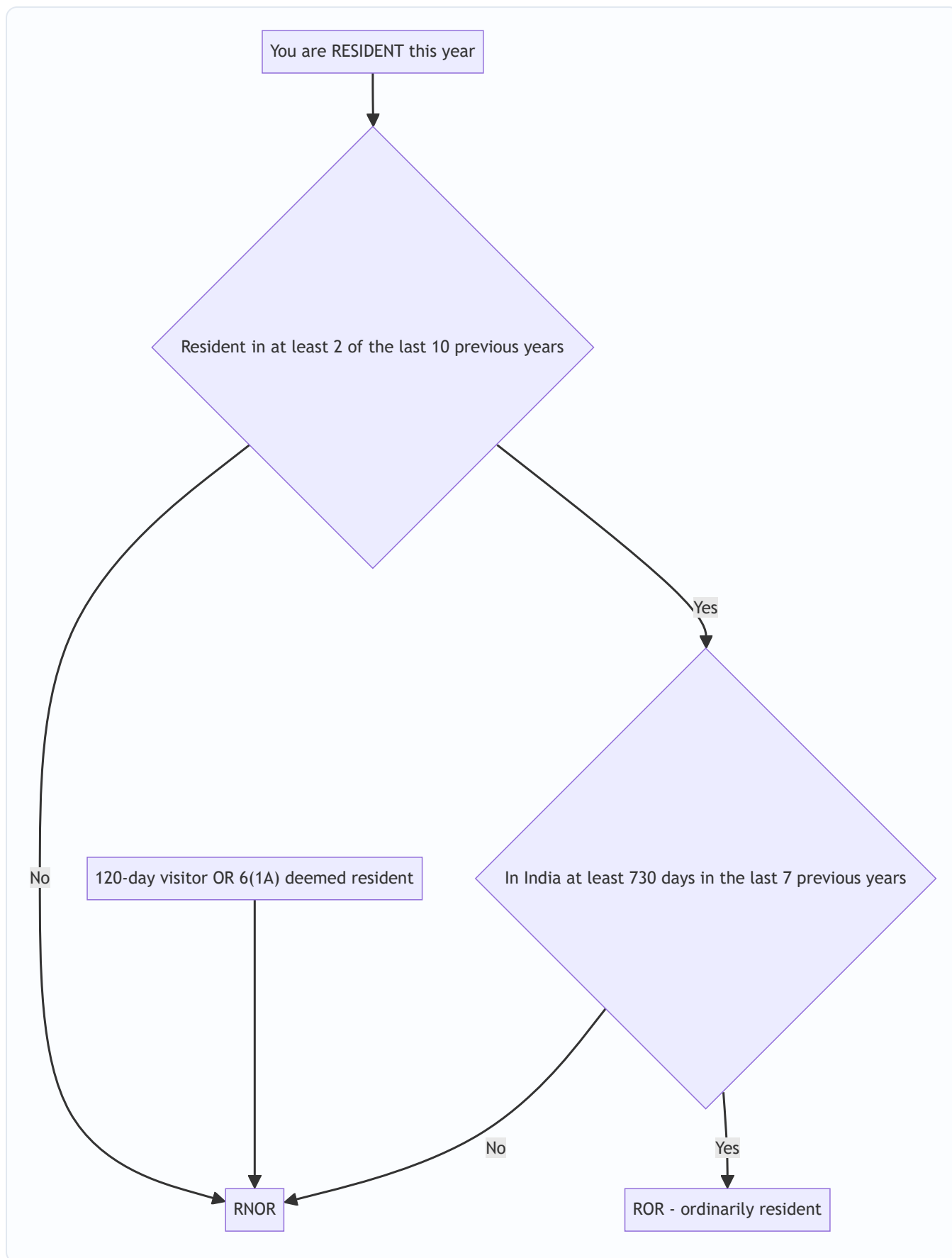


Figure 3 — Step 2: ROR needs BOTH additional conditions; failing either (or being a special-case resident) means RNOR.

4.3 Residential status of an HUF — Section 6(2)

An HUF (Hindu Undivided Family) is a person too, but it can't "be present" in days. So the test shifts to **where the family's decisions are made**:

- **Resident**: an HUF is resident if the **control and management of its affairs is situated wholly or partly IN India** during the PY.
- **Non-Resident**: only if control & management is situated **wholly OUTSIDE** India.

Why "wholly or partly in India" for resident, but "wholly outside" for NR? The bar to be resident is *low* (even partial Indian control ⇒ resident) and the bar to escape is *high* (must be **entirely** offshore). This reflects source-country protection of the tax base — it's easy to be caught, hard to slip out.

ROR vs RNOR for HUF: determined by testing the **KARTA** (manager) against the *individual additional conditions* [Sec 6(6)(b)]. If the karta satisfies both additional conditions → HUF is ROR; else RNOR. *Why the karta?* He is the mind and will of the family; his depth of Indian connection stands in for the family's.

4.4 Residential status of a FIRM / AOP / other persons — Section 6(2) & 6(4)

Same **control-and-management** logic as HUF, but no ROR/RNOR sub-split (that split exists only for individuals and HUFs):

- **Resident** if control & management is **wholly or partly in India**.
- **Non-Resident** only if **wholly outside** India.

4.5 Residential status of a COMPANY — Section 6(3)

A company is resident in India in a PY if **either**:

- **(a)** it is an **Indian company** (incorporated in India) — *always resident*, no matter where managed; **OR**
- **(b)** its **Place of Effective Management (POEM)** is **in India** in that year.

Why two tests? (a) Incorporation is a bright-line: if you chose to register under Indian law and enjoy its corporate personality, you're in. (b) **POEM** — "the place where key management and commercial decisions necessary for the conduct of the business as a whole are, in substance, made" — is a *substance-over-form* test to stop a foreign-incorporated shell that is really run from a Mumbai boardroom from claiming NR status. It replaced the older, easily-gamed "control and management wholly in India" test. *Memory hook*: "**Indian company = always resident; foreign company = resident only if the real brain (POEM) sits in India.**"

4.6 SCOPE OF TOTAL INCOME — Section 5 (the payoff)

Now that Sec 6 has labelled the person, **Sec 5 tells us which income basket is taxable**. Build it from three raw types of income:

1. **Income received or deemed to be received in India** (Sec 7 handles the "deemed received").
2. **Income which accrues or arises, or is deemed to accrue or arise, in India** (Sec 9 handles the "deemed").
3. **Income which accrues or arises AND is received OUTSIDE India** (pure foreign income).

The scope table — the single most important table in this chapter:

Type of income	ROR	RNOR	NR
Received / deemed received in India	✓ Taxable	✓ Taxable	✓ Taxable
Accrues / deemed to accrue in India	✓ Taxable	✓ Taxable	✓ Taxable
Accrues AND received outside India , from a business controlled from / profession set up in India	✓ Taxable	✓ Taxable	✗ Not taxable
Accrues AND received outside India , any other foreign income	✓ Taxable	✗ Not taxable	✗ Not taxable

Read the pattern, don't memorise the grid:

- **All three statuses** pay on **anything connected to India** (received in India or accruing in India). That's the *universal source nexus* — nobody escapes India-source income.
- **ROR** additionally pays on **all foreign income** — full *residence nexus*, worldwide.
- **RNOR** is ROR *minus* passive foreign income — it pays foreign income **only if it flows from a business controlled from India / profession set up in India**. *Why that one exception?* Because a business run *from* India is really an extension of Indian economic activity; only genuinely detached foreign income gets the shield.
- **NR** pays on **India-connected income only** — nothing foreign.

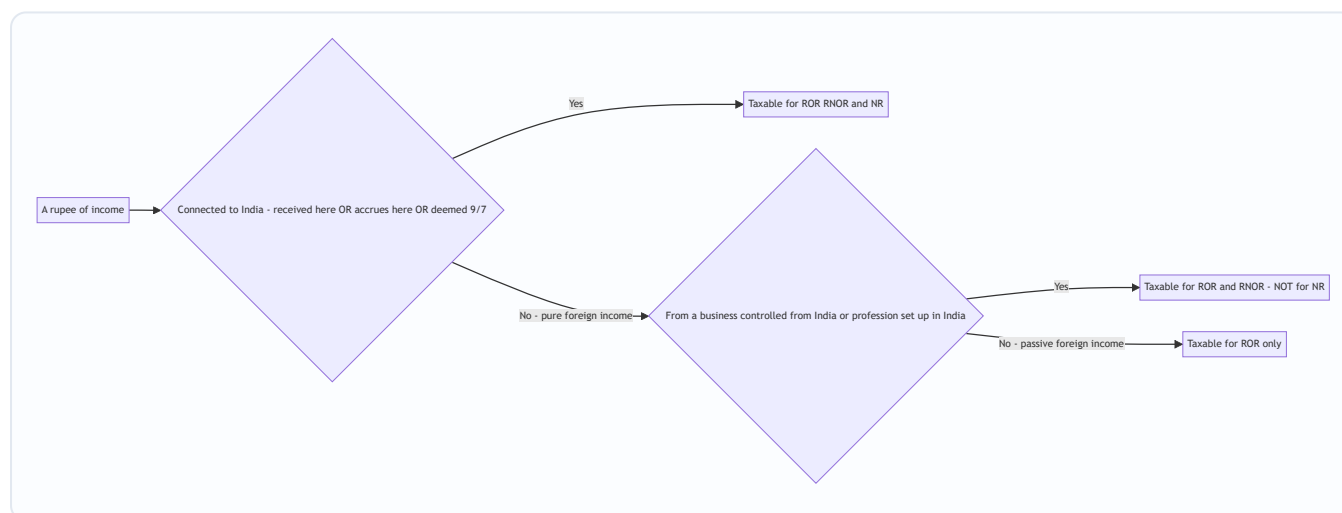


Figure 4 — Scope of income as a flow: follow the rupee and ask "how connected to India is it?"

Trap on "received": Received means **first receipt**. If salary is *first received* in India and then remitted abroad, it was received in India. But **remittance to India of income already received abroad is NOT "received in India"** — it was received the first time, abroad. Re-bringing money to India does not create fresh taxability. *Why:* to tax it again on remittance would be double-counting the same receipt event.

4.7 Income *deemed to accrue or arise* in India — Section 9 (why it exists)

Left alone, "accrues in India" could be argued away. Sec 9 **defines** certain incomes as arising in India *by law*, closing the argument. Know the main heads and each rationale:

Sec 9(1) item	Deemed to arise in India because...
(i) Income from any business connection in India, property/asset/source in India, or transfer of a capital asset situate in India	The economic root is Indian soil/market. Includes indirect transfer of shares deriving substantial value from Indian assets — <i>anti-avoidance so you can't sell "the Indian business" by selling an offshore holding company.</i>
(ii) Salary for services rendered in India	Work physically done here → India-source, even if paid abroad.
(iii) Salary paid by the Government of India to an Indian citizen for services outside India	India is the paymaster of its own citizen-servants; a sovereign taxing its diplomats' pay is fair. (<i>The allowances/perks abroad are separately exempt u/s 10 — different chapter.</i>)
(iv) & (v) Dividend paid by an Indian company ; Interest payable by Govt / by a resident (with exceptions) / by an NR on money used for a business in India	The payer is Indian / the funds fuel Indian business → Indian source.
(vi) & (vii) Royalty and Fees for Technical Services (FTS) payable by Govt / by a resident / by an NR for use in a business in India	The IP or service is <i>consumed</i> in India → India taxes the source.

Memory hook for Sec 9: "*Business connection, Indian property, salary-for-work-here, Govt-salary-to-citizens, and India-sourced dividend/interest/royalty/FTS — the law refuses to let you pretend these arose abroad.*"

Section 7 — income deemed to be *received*: e.g. the **employer's contribution to a recognised provident fund** in excess of limits, and **interest credited** to RPF beyond the notified rate, and **transferred balance** — treated as received even though not paid out in cash. *Why:* prevents disguising real receipts as untouchable fund entries.

5. Worked Examples — full, reconciling computations

These illustrate *classification* (the exam's favourite) and then *scope application*. Use the figures as method, not as current-year law.

Example 1 (Easy) — plain individual, both basic conditions in play

Facts: Mr. Arun stayed in India **65 days** in PY 2025-26. In the **4 preceding years** he was present **100 + 90 + 95 + 120 = 405 days**. He is an ordinary Indian resident (no employment-abroad, not a visitor). Classify him.

Solution — Step 1 (basic): - Condition (a): 65 days $\geq$ 182? **No.** - Condition (b): 65 days $\geq$ 60? **Yes.** AND 405 days $\geq$ 365 in prior 4 years? **Yes.** → Condition (b) **satisfied.** - Satisfies at least one basic condition ⇒ **RESIDENT.**

Step 2 (additional) — assume he has lived in India every year for the last decade, so easily: resident in ≥ 2 of last 10 (yes) and ≥ 730 days in last 7 (yes). $\Rightarrow$ Both satisfied $\Rightarrow$ **Resident and Ordinarily Resident (ROR)**.

Reconciliation: He was here only 65 days this year, but the *recurring pattern* (405 days across 4 years) plus deep history makes him ROR — exactly the "habit, not a visit" logic. **His worldwide income is taxable.**

Example 2 (Moderate) — the employment-abroad relaxation

Facts: Mr. Bhaskar, an **Indian citizen**, left India for the **first time on 15 September 2025** to take up employment in Singapore. He had lived in India all his life before that. Days in India in PY 2025-26 = 1 April to 15 September = **168 days** (assume). His non-foreign total income is ₹8 lakh. Classify.

Solution — Step 1: - Because he is an Indian citizen **leaving for employment abroad**, the relaxation applies: condition (b)'s 60-day trigger is **replaced by 182 days** $\rightarrow$ *only* condition (a) can make him resident. - Condition (a): 168 days $\geq$ 182? **No.** - (₹15L rule doesn't bite: this relaxation is the pure "employment abroad" one under 6(1A)/Expl.1(a); his income ₹8L < ₹15L anyway, and the 120-day variant is for *visitors*, not those leaving for employment.) - $\Rightarrow$ **NON-RESIDENT** for PY 2025-26.

Scope consequence (Sec 5): As NR, **only his India-connected income is taxable** — his Indian salary for 1 April–15 Sept (services rendered in India, Sec 9(1)(ii)) and any Indian rent/interest. His **Singapore salary from 16 Sept onwards is foreign income $\rightarrow$ NOT taxable in India.**

Reconciliation: The relaxation did its job — India isn't taxing the global salary of a citizen who left to work abroad merely because he was here for the first 168 days. Note the knife-edge: had he stayed **182+ days** before leaving, condition (a) alone would make him resident.

Example 3 (Exam-hard) — returning NRI, RNOR, and full scope computation

Facts: Ms. Chandni, an Indian citizen, had lived in the **USA for 20 years** (NR throughout). She returned to India **permanently on 1 April 2025**, so she is present in India the **entire PY 2025-26 (365 days)**. During PY 2025-26 she earned:

1. Salary for consultancy performed in India — **₹18,00,000** (received in India).
2. Rent from her flat in Bengaluru — **₹3,00,000** (received in India).
3. Interest on her US bank deposits — **₹4,00,000** (accrued and received in USA; a passive foreign source).
4. Profit from a **software business she controls from India**, operations in USA, income received in USA — **₹6,00,000**.
5. Dividend from a US company, received in USA — **₹1,00,000** (passive foreign).

Determine her residential status and her **total income taxable in India**.

Step 1 — basic conditions: Present 365 days $\geq$ 182 $\Rightarrow$ **RESIDENT**.

Step 2 — additional conditions: - (i) Resident in ≥ 2 of the **last 10** previous years? She was **NR in all 10** prior years (20 years abroad). **Fails.** - Failing even one $\Rightarrow$ **Resident but Not Ordinarily Resident (RNOR)**.

Step 3 — apply the Sec 5 scope grid to each item:

#	Income	Nature	Taxable for RNOR?	Amount ₹
1	Consultancy salary, services in India, received in India	India-source (received + accrues here)	✓	18,00,000
2	Bengaluru rent, received in India	India-source	✓	3,00,000
3	US bank interest, accrues + received in USA	Passive foreign	✗	—
4	Business income received in USA but controlled from India	Foreign income from India-controlled business	✓	6,00,000
5	US dividend, received in USA	Passive foreign	✗	—
Total income taxable in India				27,00,000

Reconciliation & the teaching point: Items 3 and 5 (₹5,00,000 of passive foreign income) escape *only because* she is RNOR, not ROR. The RNOR shield protects **passive** foreign income but **not** item 4 — a business **controlled from India** is treated as economically Indian, so ₹6,00,000 is caught. This is exactly the design in Section 4.6.

Contrast — if she had been ROR (say she'd returned years earlier and built the required history): items 3 and 5 would *also* be taxable, giving total income of **₹32,00,000**. Same person, same money — **₹5,00,000 difference in the tax base created purely by residential status**. That is Section 2's core idea made numerical.

Contrast — if she were NR: item 4 would *also* fall out (NR is never taxed on foreign income, even from an India-controlled business), leaving only items 1 + 2 = **₹21,00,000**.

Status	Items taxed	Total income ₹
ROR	1,2,3,4,5	32,00,000
RNOR	1,2,4	27,00,000
NR	1,2	21,00,000

One set of facts, three baskets — the entire chapter in one table.

6. Computation Format / Presentation (how to write it in the exam)

Examiners award marks for a **clean, staged layout**. Use this skeleton:

Part A — Determination of Residential Status

Step 1 Basic conditions [Sec 6(1)]

(a) Days in PY = XX → ≥182 ? Yes/No

(b) Days in PY ≥ 60 ? Yes/No

Days in preceding 4 yrs = XXX → ≥365 ? Yes/No

[Note any relaxation: Indian citizen employment abroad / PIO visit → 60 replaced by 18]

Conclusion: Resident / Non-Resident

Step 2 (only if Resident) Additional conditions [Sec 6(6)]

(i) Resident in ≥2 of last 10 PYs ? Yes/No

(ii) In India ≥730 days in last 7 PYs ? Yes/No

Conclusion: ROR (both satisfied) / RNOR (either failed)

Part B — Scope of Total Income [Sec 5] — one row per income item, a column of "Taxable? (reason)", and a total. Always **state the reason** (received in India / accrues in India / deemed u/s 9 / foreign income from India-controlled business / passive foreign). The reason column is where the marks live.

Golden rules: - Determine status **first, completely**, then apply scope. Never mix. - **Count days carefully** — day of arrival and day of departure are *both* counted as days in India (a standard ICAI convention). Verify the convention in your material. - Quote the **section** beside each conclusion.

7. Connections — where this plugs into the rest of the syllabus

- **Chapter 1 (Basic Concepts):** *Previous Year* and *Assessment Year* — residence is tested **per previous year**. *Person* — each type of person has its own Sec 6 test.
- **Salary head:** Sec 9(1)(ii)/(iii) decide when foreign-earned salary is Indian-source; the RNOR/NR shield decides whether foreign salary is taxed at all.
- **Capital Gains:** Sec 9(1)(i) + **indirect transfer** rule decides when a non-resident's sale of shares is taxed in India.
- **Deductions & DTAA / Sec 90/91 (relief from double taxation):** an ROR taxed on worldwide income may have *already* paid foreign tax — hence **foreign tax credit / double-tax relief**. Residence is the *reason* double taxation arises.
- **TDS (Sec 195):** payments to non-residents are the trigger for withholding — you must know NR status to apply it.
- **Exempt incomes (Sec 10):** several exemptions (e.g. for non-residents, for Govt employees abroad) interact with the deeming rules.

8. Traps & Examiner Tricks

1. **Citizenship ≠ residence.** A foreign citizen present 182+ days is a *resident*; an Indian citizen abroad can be *NR*. The exam plants this constantly.
2. **"Received in India" vs "remitted to India."** Foreign income *remitted* to India stays foreign — remittance is **not** first receipt. Don't tax NR/RNOR on money they merely bring home.

3. **Forgetting the relaxation.** For an Indian citizen *leaving for employment* or a *citizen/PIO visiting*, the 60-day condition is **inoperative (raised to 182, or 120 if non-foreign income > ₹15L)**. Students wrongly apply 60 and mis-classify.
 4. **The RNOR business exception.** Foreign income from a **business controlled from India / profession set up in India** is taxable for RNOR. Students often exempt all foreign income for RNOR — wrong.
 5. **Day counting.** Both arrival and departure days count as in-India days. Off-by-one errors flip 182/60/730 thresholds.
 6. **"2 out of 10" tests RESIDENT-years, not presence-years.** Condition 6(6)(i) asks in how many of the last 10 years he was a *resident*, not how many days.
 7. **HUF/firm/company use CONTROL, not days.** Applying the day-count to an HUF or company is a classic error. And: **Indian company is always resident** regardless of POEM.
 8. **RNOR only exists for individuals & HUFs.** Firms/AOP/companies are just Resident or NR — no "ordinarily" split.
 9. **Sec 6(1A) deemed resident** applies only to **Indian citizens** with non-foreign income > ₹15L who are **not liable to tax anywhere** — and they are **RNOR**, not ROR.
 10. **Salary by Govt to citizen abroad** is deemed to arise in India [Sec 9(1)(iii)] — taxable even for an NR, because the source is Indian.
-

9. First-Principles Recap

Strip everything away and one chain remains:

A country taxes income to the extent it has an **economic claim (nexus)** on it. India has a **source claim** on all income arising here — so *everyone* pays on India-connected income. India has a **residence claim** on those economically anchored here — so *residents* additionally pay on foreign income. Because "anchored" is a matter of degree, India uses **objective day-counts** (Sec 6) to sort people into **NR** (no anchor → source income only), **RNOR** (new/shallow anchor → source income + India-controlled foreign business, a soft landing), and **ROR** (deep anchor → worldwide). **Section 5** is just this logic written as a grid; **Sections 7 & 9** stop taxpayers from arguing that Indian-source income arose or was received abroad.

If you can re-derive Figure 4 and the Sec 5 grid from "source nexus is universal, residence nexus is the extra reach," you never need to memorise the grid — you can *rebuild* it.

10. Quick-Revision Sheet

Sections at a glance

Section	Content
6(1)	Basic conditions for individual — Resident or NR
6(1A)	Deemed resident — Indian citizen, non-foreign income > ₹15L, not taxable anywhere → RNOR
6(2)	HUF / firm / AOP — control & management test
6(3)	Company — Indian company OR POEM in India
6(6)	Additional conditions — ROR vs RNOR (individual & HUF)
Expl. 1 to 6(1)	Relaxations: 60→182 (employment abroad / citizen-PIO visit); 60→120 if visitor's non-foreign income > ₹15L
5	Scope of total income by status
7	Income deemed to be received (e.g. excess RPF employer contribution/interest)
9	Income deemed to accrue/arise in India

Day-count / threshold table (VERIFY current AY)

Test	Threshold	Meaning
Basic (a)	182 days in PY	Majority of year → resident
Basic (b)	60 days in PY + 365 days in prior 4 yrs	Recurring pattern → resident
Relaxation	60 → 182	Citizen leaving for employment / citizen-PIO visiting
Relaxation (high income)	60 → 120	Visitor with non-foreign income > ₹15,00,000
Deemed resident 6(1A)	non-foreign income > ₹15,00,000 , stateless	Indian citizen → RNOR
Additional (i)	Resident in ≥ 2 of last 10 PYs	Long-term connection
Additional (ii)	≥ 730 days in last 7 PYs	Sustained presence

Status → scope (the grid to reproduce)

Income	ROR	RNOR	NR
Received / accrues in India (incl. deemed 7 & 9)	✓	✓	✓
Foreign income from business controlled from / profession set up in India	✓	✓	X
Other (passive) foreign income	✓	X	X

Non-individual persons

Person	Resident if...	ROR/RNOR split?
HUF	control & mgmt wholly or partly in India ; ROR/RNOR by testing karta on 6(6)	Yes
Firm / AOP	control & mgmt wholly or partly in India	No
Company	Indian company (always) OR POEM in India	No

Three memory hooks

- "6 = WHO, 5 = WHAT, 7 & 9 = no escape."
- "182 half-a-year; 60+365 a habit; 2/10 & 730/7 = history for ROR."
- "Source nexus catches everyone; residence nexus is the extra reach that only closes fully on ROR."

Final reminder: confirm the ₹15,00,000 threshold, the 120-day figure, day-counting convention, and every numeric limit against **current ICAI study material for your applicable Assessment Year** before the exam.

Q&A — Residential Status & Scope of Total Income

CA Intermediate · Taxation (Income Tax) · Income-tax Act, 1961 · Currency: Rupees (₹) Every question is immediately followed by a complete model answer citing the relevant Section. **Rates, thresholds and provisos change with the Assessment Year.** The day-counts (182 / 60 / 365 / 730), the ₹15,00,000 limit and the 120-day figure are used here for method — **verify the exact numbers and the applicable AY against current ICAI study material before your attempt.**

SECTION A — Concept-Check (Short Answer)

A1. What does residential status decide — the *rate* of tax or the *scope* of income? Which section governs scope? Answer. It decides the **scope** (which basket of income is taxable), **not the rate**. Two people with identical incomes but different statuses can owe very different tax because one basket includes foreign income and the other does not. Scope is governed by **Section 5**; status itself is determined under **Section 6**. Memory hook: "Sec 6 = *WHO* you are; Sec 5 = *WHAT* is caught."

A2. State the two Basic Conditions under Section 6(1) for an individual. Answer. An individual is **Resident** if he satisfies **at least one**: **(a)** in India for **≥ 182 days** in the previous year (PY); **OR (b)** in India for **≥ 60 days** in the PY **AND ≥ 365 days** in the **4 years immediately preceding** the PY. Satisfying neither → **Non-Resident**.

A3. State the two Additional Conditions under Section 6(6) and what failing them means. Answer. A resident is **Ordinarily Resident (ROR)** only if he satisfies **both**: **(i)** resident in India in **≥ 2 of the 10** preceding PYs; **AND (ii)** in India for **≥ 730 days in the 7** preceding PYs. Failing **either** → **Resident but Not Ordinarily Resident (RNOR)**. These test depth/continuity of connection: " $2/10$ and $730/7$ = history for ROR."

A4. Explain the two relaxations that replace "60 days" with "182 days" [Explanation 1 to Sec 6(1)]. Answer. For **(a)** an **Indian citizen leaving India for employment abroad** (or as a crew member of an Indian ship), and **(b)** an **Indian citizen or Person of Indian Origin (PIO) coming on a visit** to India, condition (b)'s 60-day trigger is inoperative — only the 182-day test can make them resident. Rationale: do not penalise Indians who export their labour or NRIs who visit family.

A5. Who is a "Person of Indian Origin" (PIO)? Answer. A person is of Indian origin if **he, or either of his parents, or any of his grandparents, was born in undivided India** (India as it existed before Partition, including present-day Pakistan and Bangladesh territory).

A6. What is the ₹15 lakh / 120-day rule and Section 6(1A) deemed residence? Answer. (i) For a **citizen/PIO visiting India** whose **total income other than foreign-source income exceeds ₹15,00,000**, the 60-day limit is relaxed only to **120 days** (not 182). (ii) **Sec 6(1A)**: an **Indian citizen** with non-foreign total income **> ₹15,00,000** who is **not liable to tax in any other country** (by domicile/residence) is **deemed resident** regardless of days. Both anti-abuse measures target "stateless" tax residency; such deemed residents / 120-day visitors are classified **RNOR**.

A7. How is residence of an HUF, firm and company determined? Which of these have an ROR/RNOR split? Answer. **HUF, firm/AOP [Sec 6(2)]**: resident if **control and management is wholly or partly in India**; NR only if **wholly outside** India. **Company [Sec 6(3)]**: resident if it is an **Indian company (always)** OR its **Place of Effective Management (POEM) is in India**. Only **individuals and HUFs** have the

ROR/RNOR split; firms and companies are simply Resident or NR. For an HUF the ROR/RNOR test is applied to the **karta** under Sec 6(6)(b).

A8. Distinguish "received in India" from "remitted to India." Answer. *Received* means **first receipt**.

Income first received abroad and later **remitted** to India was already received abroad — remittance does **not** create fresh taxability. Only income *first* received (or deemed received u/s 7) in India is "received in India."

A9. What do Sections 7 and 9 do, and why are they needed? Answer. **Sec 7** deems certain amounts *received* in India (e.g., excess employer contribution to a recognised provident fund and interest credited beyond notified rate). **Sec 9** deems certain incomes to *accrue or arise* in India (business connection, Indian property, salary for services rendered in India, Govt salary to citizens abroad, dividend from an Indian company, and certain interest/royalty/FTS). They close the loophole of arguing that Indian-source income arose or was received abroad. "7 & 9 = no escape."

SECTION B — Graded Computational Problems (Easy → Exam-Hard)

B1 (Easy) — Basic condition (b) with a recurring pattern

Mr. Arun (ordinary Indian resident, no relaxation applies) stayed in India **65 days** in PY 2025-26. In the 4 preceding years he was present **100 + 90 + 95 + 120 = 405 days**. He has lived in India throughout the last decade. Classify him.

Answer. Step 1 — Basic [Sec 6(1)]: (a) $65 \geq 182$? No. (b) $65 \geq 60$? **Yes** AND $405 \geq 365$? **Yes** → condition (b) satisfied → **Resident**. **Step 2 — Additional [Sec 6(6)]:** resident in ≥ 2 of last 10 PYs — Yes; ≥ 730 days in last 7 — Yes (lived here throughout). Both satisfied → **ROR**. **Conclusion: Resident and Ordinarily Resident**. His **worldwide income** is taxable. The recurring 405-day pattern is the "habit, not a visit" logic.

B2 (Easy-Moderate) — Employment-abroad relaxation

Mr. Bhaskar, an **Indian citizen**, left India for the **first time on 15 September 2025** to take up employment in Singapore, having lived here all his life. Days in India in PY 2025-26 (1 Apr – 15 Sep) = **168 days**. Non-foreign total income ₹8,00,000. Classify and state the scope consequence.

Answer. Step 1: He is an Indian citizen **leaving for employment abroad** → Explanation 1(a) relaxation applies → only the **182-day** test operates. $168 \geq 182$? **No**. (₹15L rule irrelevant — his income is ₹8L and the 120-day variant is for *visitors*, not those leaving to work.) → **Non-Resident**. **Scope [Sec 5]:** As NR, only **India-connected income** is taxable — Indian salary for 1 Apr–15 Sep (services rendered in India, Sec 9(1)(ii)) plus any Indian rent/interest. **Singapore salary from 16 Sep is foreign income → not taxable in India**. **Knife-edge:** had he stayed **182+ days** before leaving, condition (a) alone would make him resident.

B3 (Moderate) — The 120-day high-income visitor

Mr. Charan, a **PIO** settled in Dubai, visited India in PY 2025-26 and stayed **135 days**. In the 4 preceding years he was in India **400 days** in total. His **total income other than foreign-source income is ₹22,00,000**. He is not covered by Sec 6(1A). Classify.

Answer. Step 1: He is a PIO **on a visit**, so normally $60 \rightarrow 182$. But his non-foreign income $> ₹15,00,000$, so the relaxation is only to **120 days** (proviso to Explanation 1). Test: $135 \geq 182$? No. Modified condition: $135 \geq$

120 AND $400 \geq 365$ in prior 4 years? Yes and Yes → Resident. Step 2 [Sec 6(6)]: A PIO visitor who becomes resident via the 120-day route is treated as **RNOR** (he also fails the history conditions after years abroad). **Conclusion: RNOR.** Taxable: all Indian income + foreign income only from a business controlled from India; passive foreign income (Dubai) is shielded. Had he stayed **119 days**, he would have been **NR**.

B4 (Moderate-Hard) — Section 6(1A) deemed resident

Ms. Divya, an **Indian citizen**, spent only **90 days** in India in PY 2025-26 and the rest travelling; she is **not liable to tax in any country** (arranged to be tax-resident nowhere). Her total income other than foreign-source income is **₹40,00,000** (Indian dividends and Indian consultancy). Classify and state scope.

Answer. Step 1 — normal test: $90 \geq 182$? No. She left neither for employment nor is a mere visitor, but her days fail both basic conditions on their own. **Sec 6(1A):** Indian citizen + non-foreign income **> ₹15,00,000 + not liable to tax anywhere → deemed resident** regardless of days. **Step 2:** A Sec 6(1A) deemed resident is always classified **RNOR**. **Scope [Sec 5]:** taxable on all Indian-source income (dividends + consultancy = ₹40,00,000) and on foreign income only if from a business controlled from India; genuine passive foreign income is shielded. The rule ends "stateless" residency without overreaching on real foreign income.

B5 (Exam-Hard) — Returning NRI: ROR / RNOR / NR scope contrast (full computation)

Ms. Chandni, an Indian citizen, lived in the **USA for 20 years** (NR throughout) and returned to India **permanently on 1 April 2025**, present the **entire PY 2025-26 (365 days)**. During PY 2025-26: 1. Consultancy performed in India — **₹18,00,000** (received in India) 2. Rent from her Bengaluru flat — **₹3,00,000** (received in India) 3. Interest on US bank deposits — **₹4,00,000** (accrued and received in USA; passive) 4. Profit from a **software business she controls from India**, operations in USA, income received in USA — **₹6,00,000** 5. Dividend from a US company, received in USA — **₹1,00,000** (passive)

Determine her status and total income taxable in India; contrast with ROR and NR.

Answer. Step 1 — Basic [Sec 6(1)]: $365 \geq 182 \rightarrow$ **Resident. Step 2 — Additional [Sec 6(6)]:** (i) resident in ≥ 2 of last 10 PYs? She was **NR in all 10 → Fails**. Failing one condition → **RNOR**.

Step 3 — Scope grid [Sec 5]:

#	Income	Nature	Taxable for RNOR?	Amount ₹
1	Consultancy, services in India, received in India	India-source (Sec 9(1)(ii))	✓	18,00,000
2	Bengaluru rent, received in India	India-source	✓	3,00,000
3	US bank interest, accrues + received in USA	Passive foreign	✗	—
4	Business income received in USA but controlled from India	Foreign income from India-controlled business	✓	6,00,000
5	US dividend, received in USA	Passive foreign	✗	—
	Total income taxable in India (RNOR)			27,00,000

The three-status contrast (same facts):

Status	Items taxed	Total income ₹
ROR	1,2,3,4,5	32,00,000
RNOR	1,2,4	27,00,000
NR	1,2	21,00,000

Reconciliation: Items 3 + 5 (₹5,00,000 passive foreign) escape *only because* she is RNOR — the soft-landing shield. But item 4 (₹6,00,000) is caught even for RNOR because a **business controlled from India** is economically Indian. If NR, item 4 would also fall out (NR is never taxed on foreign income). **One set of facts → ₹11,00,000 spread in the tax base created purely by residential status** — Section 5's core idea made numerical.

SECTION C — Past-Paper-Style Full Questions

C1. Full determination + scope (individual)

Mr. Ravi, an Indian citizen, went to Germany on 20 August 2025 for the first time for employment and did not return during PY 2025-26 (days in India = 142). In PY 2025-26 he earned: (i) Indian salary up to departure ₹5,00,000; (ii) German salary (received in Germany) ₹12,00,000; (iii) interest on Indian savings account ₹40,000; (iv) rent from a house in Germany, received there ₹2,00,000. Determine his residential status and total income taxable in India. Cite sections.

Answer. Residential status [Sec 6(1)]: Indian citizen **leaving for employment abroad** → Explanation 1(a): 60 → 182. Days = 142 ≥ 182? **No** → **Non-Resident** for PY 2025-26. **Scope [Sec 5], NR — only India-connected income:**

Income	Reason	Taxable?	₹
Indian salary ₹5,00,000	Services rendered in India, Sec 9(1)(ii)	✓	5,00,000
German salary ₹12,00,000	Services rendered abroad, received abroad → foreign	X	—
Indian savings interest ₹40,000	Accrues in India	✓	40,000
German house rent ₹2,00,000	Foreign income	X	—
Total taxable in India			₹5,40,000

Conclusion: Total income taxable in India = **₹5,40,000**. His German salary and rent escape because an NR is taxed only on India-source income.

C2. HUF residence and the karta test

The Sharma HUF's business is managed partly from Mumbai and partly from Dubai during PY 2025-26. The karta, Mr. Sharma, has been resident in India in 7 of the last 10 years and was in India for 900 days in the last 7 years. Determine the residential status of the HUF. Cite sections.

Answer. Step 1 — HUF residence [Sec 6(2)]: control and management is **partly in India** (Mumbai) → an HUF is resident if control is **wholly or partly in India** → **Resident. Step 2 — ROR/RNOR [Sec 6(6)(b)]:** test

the **karta** on the individual additional conditions — resident in ≥ 2 of 10 years (7 ✓) and ≥ 730 days in last 7 years (900 ✓). **Both satisfied** → **HUF is Resident and Ordinarily Resident**. **Note:** the bar to be resident is low (partial Indian control suffices); the bar to escape is high (control must be *wholly outside* India). The karta stands in for the family's depth of connection.

C3. Company residence and POEM

BetaTech Inc. is incorporated in Singapore. During PY 2025-26 all its board meetings, and the key management and commercial decisions for the business as a whole, are in substance taken from its Bengaluru office.

AlphaSoft Ltd is incorporated in India but its entire operations and management are in the UK. Determine the residential status of each company. Cite sections.

Answer. AlphaSoft Ltd [Sec 6(3)(a)]: an **Indian company** (incorporated in India) is **always resident**, regardless of where it is managed → **Resident**. **BetaTech Inc. [Sec 6(3)(b)]:** a foreign company is resident if its **Place of Effective Management (POEM)** — where key management and commercial decisions are *in substance* made — is in India. Its decisions are made from Bengaluru → **POEM in India** → **Resident**.

Principle: "Indian company = always resident; foreign company = resident only if the real brain (POEM) sits in India." POEM is a substance-over-form anti-avoidance test; companies have **no** ROR/RNOR split.

C4. Deeming under Section 9 for a non-resident

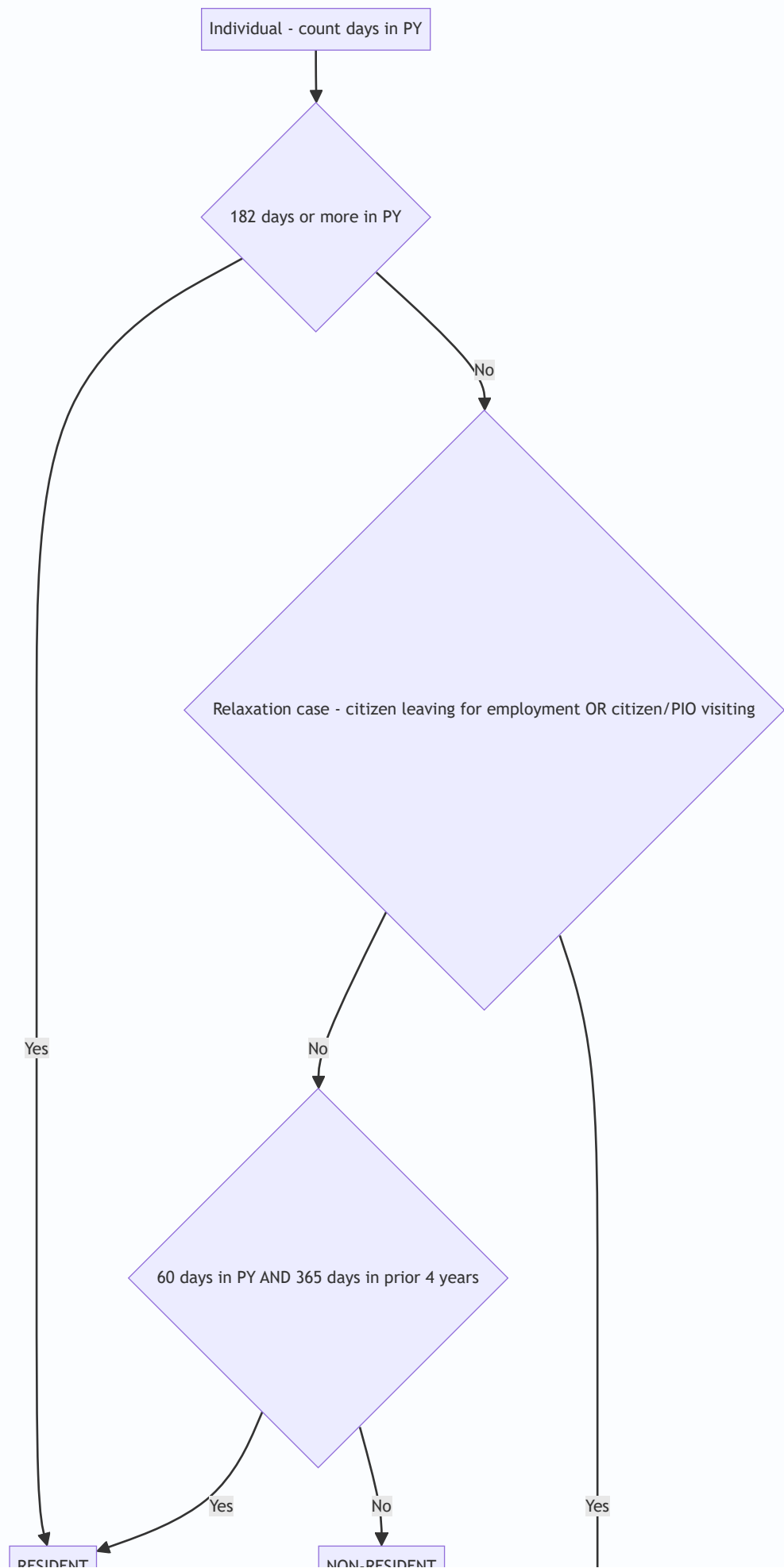
Mr. Lee, a resident of Korea and an NR for Indian tax, receives in PY 2025-26: (i) salary from the Government of India for services rendered in Korea ₹6,00,000 (he is an Indian citizen); (ii) dividend from an Indian company ₹1,00,000 received in Korea; (iii) fee for technical services rendered to and paid by a Korean company for its Korean business ₹3,00,000; (iv) royalty from an Indian resident for a patent used in India ₹2,00,000. State what is taxable in India. Cite sections.

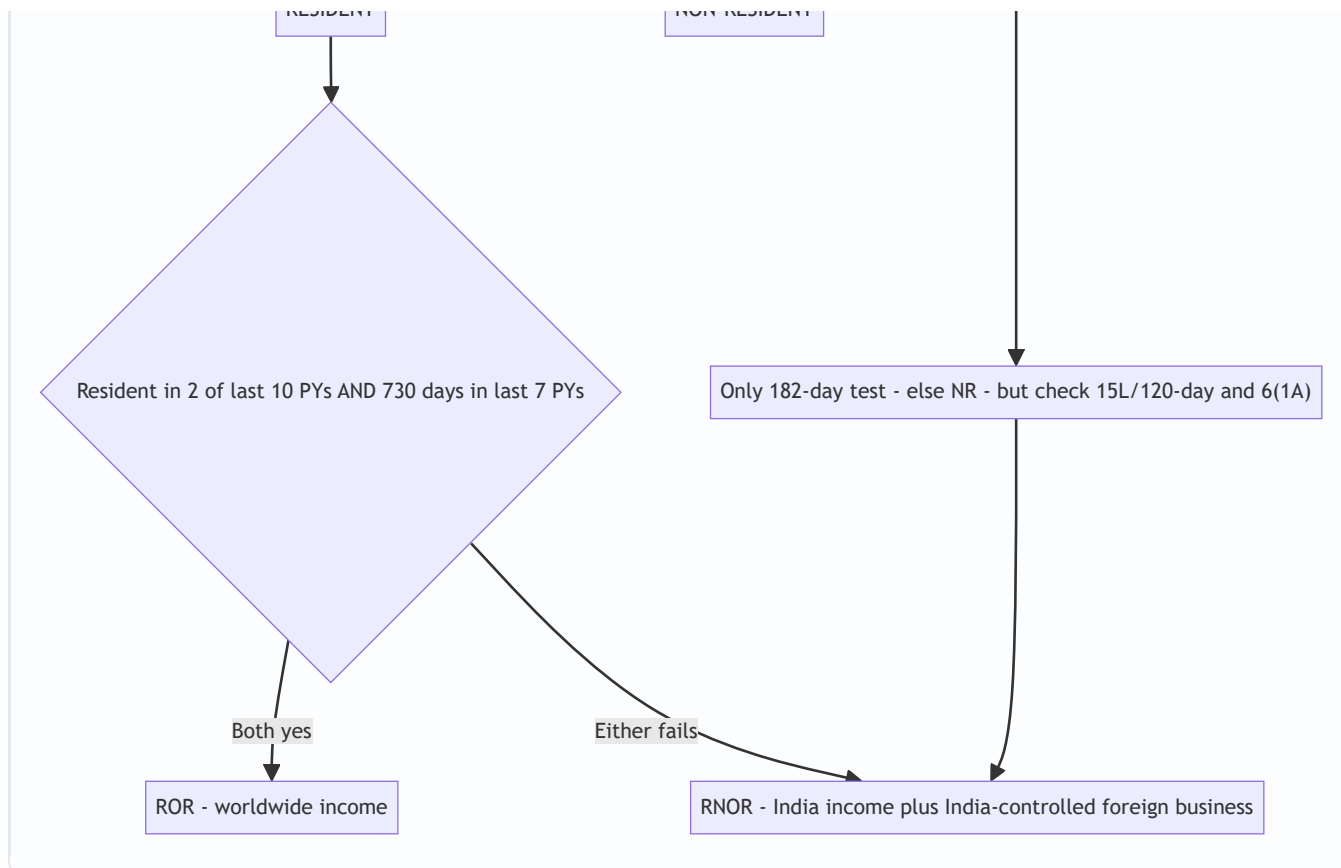
Answer.

Income	Deeming provision	Taxable in India?	₹
Govt salary to Indian citizen for service abroad	Sec 9(1)(iii) — deemed to arise in India	✓	6,00,000
Dividend from Indian company (received abroad)	Sec 9(1)(iv) — payer is Indian	✓	1,00,000
FTS paid by a Korean company for its Korean business	Not covered by Sec 9(1)(vii) — used abroad	✗	—
Royalty from Indian resident for patent used in India	Sec 9(1)(vi) — IP used in India	✓	2,00,000
Total taxable in India			₹9,00,000

Point: even a non-resident is taxed on Indian-source income. Note item (i): Government salary to a citizen for services abroad is deemed Indian-source — a classic trap. The Korean-business FTS has no Indian nexus and escapes.

Quick-Reference Decision Flow





SECTION D — MCQs & Case Scenarios

D1. Residential status determines the ___ of tax. (a) rate (b) **scope** (c) rebate (d) surcharge **Answer: (b)** — Sec 5 fixes which income basket is taxable, not the rate.

D2. An Indian citizen leaving India for employment abroad is tested using — (a) 60-day condition (b) **only the 182-day condition** (c) 120-day condition (d) POEM **Answer: (b)** — Explanation 1(a) to Sec 6(1) makes the 60-day trigger inoperative.

D3. Which is **NOT** an additional condition under Sec 6(6)? (a) Resident in ≥ 2 of last 10 PYs (b) ≥ 730 days in last 7 PYs (c) **≥ 182 days in current PY** (d) both (a) and (b) must be met for ROR **Answer: (c)** — 182 days is a *basic* condition [Sec 6(1)], not an additional one.

D4. An Indian company is — (a) resident only if POEM in India (b) **always resident** (c) NR if managed abroad (d) RNOR if managed abroad **Answer: (b)** — Sec 6(3)(a): incorporation in India makes it resident regardless of management.

D5. Foreign income already received abroad and later remitted to India is — (a) taxable on remittance for all (b) **not taxable merely on remittance** (c) taxable only for NR (d) deemed received in India **Answer: (b)** — Remittance is not "first receipt"; only NR/RNOR foreign income stays outside scope.

D6. RNOR is taxed on foreign income if it is — (a) any foreign income (b) **from a business controlled from / profession set up in India** (c) foreign dividend (d) foreign salary **Answer: (b)** — Sec 5(1) proviso; passive foreign income is shielded for RNOR.

D7. The ROR/RNOR distinction exists for — (a) all persons (b) companies only (c) **individuals and HUFs only** (d) firms only **Answer: (c)** — Firms/AOP/companies are simply Resident or NR.

D8. Salary paid by the Government of India to an Indian citizen for services rendered abroad is — (a) exempt for all (b) taxable only for ROR (c) **deemed to accrue in India [Sec 9(1)(iii)]** (d) foreign income **Answer: (c)** — Indian source; taxable even for an NR.

D9 (Case). *Mr. Y, an Indian citizen, is not liable to tax in any country and has non-foreign income of ₹18,00,000; he was in India only 50 days this year.* His status is — (a) NR (b) ROR (c) **RNOR (deemed resident u/s 6(1A))** (d) not chargeable **Answer: (c)** — Sec 6(1A) deems him resident; such deemed residents are RNOR.

D10 (Case). *A PIO visits India for 130 days; his non-foreign total income is ₹10,00,000 (< ₹15L); he was in India 380 days in the prior 4 years.* His status (assume no ROR history) is — (a) **NR** (b) RNOR (c) ROR (d) deemed resident **Answer: (a)** — Income ≤ ₹15L, so the ordinary visitor relaxation (60 → 182) applies; 130 < 182 and the 120-day rule does not bite → NR.

D11 (Case). *Ms. Z was in India 190 days this PY, was resident in 6 of the last 10 PYs, but in India only 500 days in the last 7 PYs.* Her status is — (a) NR (b) ROR (c) **RNOR** (d) deemed resident **Answer: (c)** — Basic condition (a) met (Resident), but additional condition (ii) fails (500 < 730) → RNOR.

One-Line Quick-Revision Recap

- **Sec 6 = WHO** (status), **Sec 5 = WHAT** (scope), **Sec 7 & 9 = no escape** (deeming).
- **Basic [6(1)]:** 182 days, OR 60 + 365. **Additional [6(6)]:** 2/10 and 730/7 for ROR.
- **Relaxations:** citizen leaving for employment / citizen-PIO visiting → 60 becomes **182** (or **120** if non-foreign income > ₹15L). **Sec 6(1A):** stateless Indian citizen with >₹15L non-foreign income → deemed resident → **RNOR**.
- **Non-individuals:** HUF/firm by **control & management**; company by **Indian incorporation OR POEM**. ROR/RNOR split only for **individuals & HUFs**.
- **Scope:** everyone pays on India-connected income; **RNOR** adds India-controlled foreign business; **ROR** adds all foreign income.
- **Verify** ₹15,00,000, 120-day, day-count convention and every limit against **current ICAI material for your AY**.

Chapter 03 — Income under the Head "Salaries"

A note on rates and limits before we begin. This chapter teaches the *structure and logic* of salary taxation, which is stable across decades. The exact monetary limits (HRA caps, gratuity ceiling, standard deduction amount, perquisite valuation rates) are tuned by Parliament almost every year. **Always verify the exact rates, limits and the applicable Assessment Year in current ICAI study material for your attempt.** The reasoning below tells you *why* a limit exists; that never changes.

1. The Problem — Why "Salaries" Needs Its Own Rulebook

Imagine you are the tax department. A country has crores of earners, and by far the largest, most disciplined, most *visible* group is salaried employees. Their income arrives monthly, from an identifiable payer (the employer), through a bank, on a fixed contract. This is the easiest income in the entire economy to see and to tax.

But "salary" is deceptively messy. An employer rarely pays a clean single number. She pays:

- a **basic** amount, plus
- a **house rent allowance**, a **transport allowance**, a **medical reimbursement**,
- a **car** the employee drives home, a **flat** the company owns, **subsidised** canteen food,
- an interest-free **loan**, **stock options**, a **club membership**,
- and at the end — **gratuity**, **pension**, **leave encashment**, **provident fund**.

Every one of these is a *benefit flowing from employer to employee*. If the law taxed only the word "salary" printed on the payslip, every clever employer would relabel pay as "reimbursement" or "perquisite" and the largest tax base in the country would evaporate.

So the problem is threefold:

1. **Scope** — how do we capture *every* form of value an employee receives, not just the cash line?
2. **Timing** — salary is promised, then paid, sometimes in advance, sometimes in arrears. *When* do we tax it?
3. **Fairness** — some receipts (a retirement gratuity after 30 years, rent paid out of a city allowance) aren't really "surplus income" — they replace a genuine cost or a lifetime of service. Taxing them fully would be unjust.

The head "Salaries" (Sections **15 to 17** of the Income-tax Act, 1961) is the machinery built to solve exactly these three problems.

2. The Core Idea — Tax the *Total Employment Reward*, on the Earlier of Due or Receipt

Strip away the detail and the head "Salaries" rests on one sentence:

Everything of value that flows to you *because* an employer-employee relationship exists is salary, and it is taxed the moment you become *entitled* to it or actually *receive* it — whichever happens first.

Two design choices are packed into that sentence:

(a) The relationship is the trigger, not the label. The law does not ask "is this called salary?" It asks "does a master-servant (employer-employee) relationship exist, and did this benefit arise from it?" If yes → head Salaries. If the same work were done by an independent professional, the *identical* payment would fall under "Profits and Gains of Business or Profession". The relationship is the dividing line (we return to this in §4).

(b) Due-or-receipt, whichever is earlier (Section 15). Most heads of income tax you when money arrives. Salary is special: it is taxed on **accrual (due) OR receipt, whichever is earlier** — so you cannot dodge tax by asking your employer to *hold* your March salary, and you cannot be taxed twice when the held amount is finally paid.

That single "whichever is earlier, but never twice" rule is the spine of §3.

3. Why It's Built This Way — The Design Logic

3.1 Why "due or receipt, whichever is earlier"?

Consider three timing games an employee (or a colluding employer) might play:

Game	What they'd try	How the rule blocks it
Defer	"Don't pay my bonus this year; pay it next year when I'll be in a lower slab."	If it became due this year, it is taxed this year even if received later.
Advance	"Pay me next year's salary now."	Advance salary is taxed on receipt now (received before due).
Double-count	Tax authorities try to tax the <i>arrear</i> both when it accrued and again when paid.	Section 15's proviso: salary already taxed on due basis is not taxed again on receipt.

The rule is therefore an **anti-timing-arbitrage** device. Notice the asymmetry with other heads — this exists precisely because salary is contractual and predictable, so the accrual date is *knowable*, unlike (say) a business windfall.

Memory hook — "Section 15 = the 1-5 gate." Salary passes through a gate that opens on the *earlier* of two dates, and the gate lets each rupee through *only once*.

3.2 Why does the employer-employee relationship matter so much?

Because the *same rupee* is taxed under different rules depending on the relationship, and taxpayers will always route income to the cheapest head. A director's *sitting fee* (no master-servant control) is "Other Sources"; a director who is also a whole-time *employee* earns "Salary". A partner's remuneration from his firm is **business income**, not salary, because a person cannot be his own employee. The law needs a bright-line concept — **control and supervision** — to sort receipts into the right head with the right deductions.

3.3 Why exempt parts of allowances and retirement benefits?

Here the policy is "**tax surplus, spare cost-recovery and reward-for-life-of-service.**"

- An allowance given to *meet an expense* (rent in an expensive city, travel on tour) is not really surplus — so the law exempts it **to the extent it is actually spent / capped**. Beyond the cap, it *is* surplus → taxable.
- Retirement benefits (gratuity, pension, leave encashment, PF) represent **decades of deferred reward and social security**. Fully taxing a lump sum received once, at retirement, in the year's slab, would be brutal and would discourage saving. So the law grants **structured exemptions** — always the *least of a few* figures, so the relief is real but not unlimited.

Every exemption you will memorise is an instance of one of these two ideas. If you understand the idea, you can *reconstruct* the "least of the following" formula rather than recall it blindly.

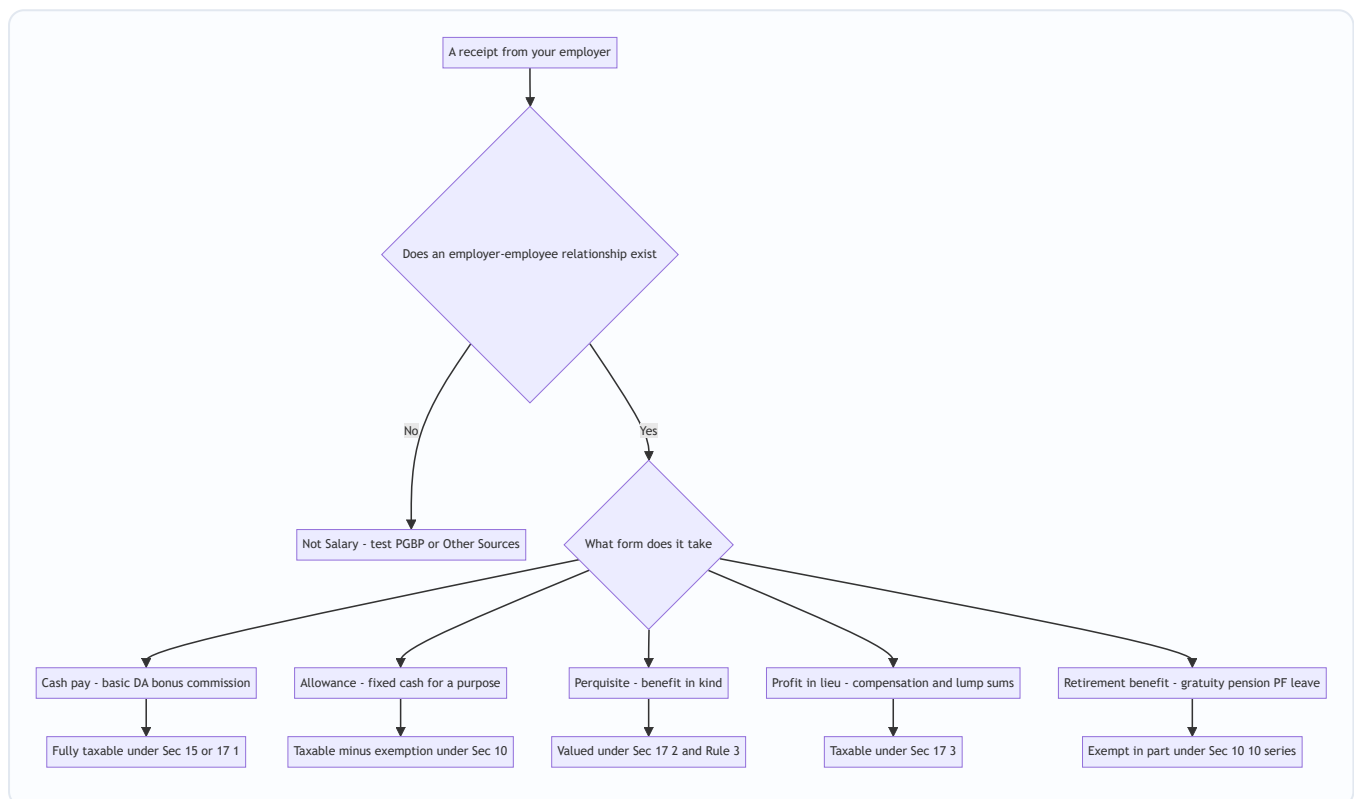


Figure 3.1 — The master decision tree for any employer receipt. Every later section is just a branch of this tree.

4. Full Technical Content — Sections, Definitions, Format (each with its "why")

4.1 The charging section — Section 15

Section 15 charges to tax: 1. Salary **due** from an employer (whether paid or not), 2. Salary **paid or allowed** before it became due (advance salary), 3. **Arrears** of salary paid/allowed and not taxed in any earlier year.

Why the three limbs? Limbs (1) and (2) are the "earlier of due/receipt" rule split into its two triggers. Limb (3) is the safety net catching anything that slipped through. The **proviso** prevents double taxation.

⚠ **Advance salary vs. Advance *against* salary (loan).** A genuine loan later adjusted against salary is **not** taxed on receipt — it is a loan, not salary due. Examiners love this distinction.

4.2 What "Salary" includes — Section 17(1)

Section 17(1) defines *salary* inclusively. Memory hook: "**WAGP-F-PL**" — Wages, Annuity/pension, Gratuity, fees/commission/**Perquisites, Profits in lieu**, advance salary, leave encashment, employer's PF contribution & interest beyond limits, and the transferred NPS/pension-scheme contributions.

The definition is deliberately **inclusive ("includes")**, not exhaustive — so nothing escapes by not being listed.

4.3 Basis of charge & other structural rules

- **No deduction for expenses** (except those specifically allowed — see §4.7). Because employment costs are personal, and the employer already bears business costs.
- **Salary from more than one employer** in a year → aggregate all.
- **Foregone salary** is still taxable (you can't escape tax by *surrendering* salary already due) — but salary *surrendered to the Central Government* under the Voluntary Surrender of Salaries Act is not taxed.
- **Place of accrual**: salary for services rendered in India is deemed to accrue in India (links to residential status, Chapter 02).

4.4 Allowances — the "spare the cost, tax the surplus" family (Section 10)

An **allowance** is a *fixed sum in cash* given to meet a particular requirement. The taxability spectrum:

Type	Examples	Rule	Why
Fully taxable	Dearness allowance, City compensatory, Overtime, Servant, Warden, Non-practising	Whole amount is salary	Pure cash surplus — no cost being reimbursed
Exempt up to a limit (Sec 10(14))	Children education allowance, Hostel allowance, Transport for the disabled, Tour/travel/daily allowances	Exempt = amount spent or notified cap, whichever lower	Meant to meet a real expense — relief only to that extent
House Rent Allowance — Sec 10(13A)	HRA	Least-of-three formula (below)	Reimburses genuine rent cost in excess of a baseline
Fully exempt	Allowances to High Court/Supreme Court judges, UN employees	Whole amount exempt	Special policy/constitutional reasons

The HRA logic — Section 10(13A) read with Rule 2A

The problem HRA solves: Two employees earn the same. One owns her home; one rents in Mumbai. The renter has a genuine, unavoidable cost the owner doesn't. HRA exemption equalises them — but only for *rent actually paid above a reasonable share of salary*, and only *up to a city-linked cap*.

Exempt HRA = LEAST of the following three:

1. **Actual HRA** received;
2. **Rent paid – 10% of salary** (the "excess over a reasonable self-share" — the logic core);
3. **50% of salary** (metro cities) / **40% of salary** (non-metro) — the city cap.

"Salary" here = Basic + Dearness Allowance (if it enters retirement benefits) + commission as a fixed % of turnover.

Why "rent – 10% of salary"? The law assumes you'd spend *at least* 10% of salary on housing anyway (that's not a special cost of the job). Only the *excess* is the reimbursable burden. **Why the 50/40 cap?** To stop high earners in cheap housing from claiming huge exemptions — the relief is tied to city cost norms, not personal extravagance.

If you pay no rent, limb 2 = 0, so exemption = 0 — HRA is fully taxable. This is the single most common HRA trap.

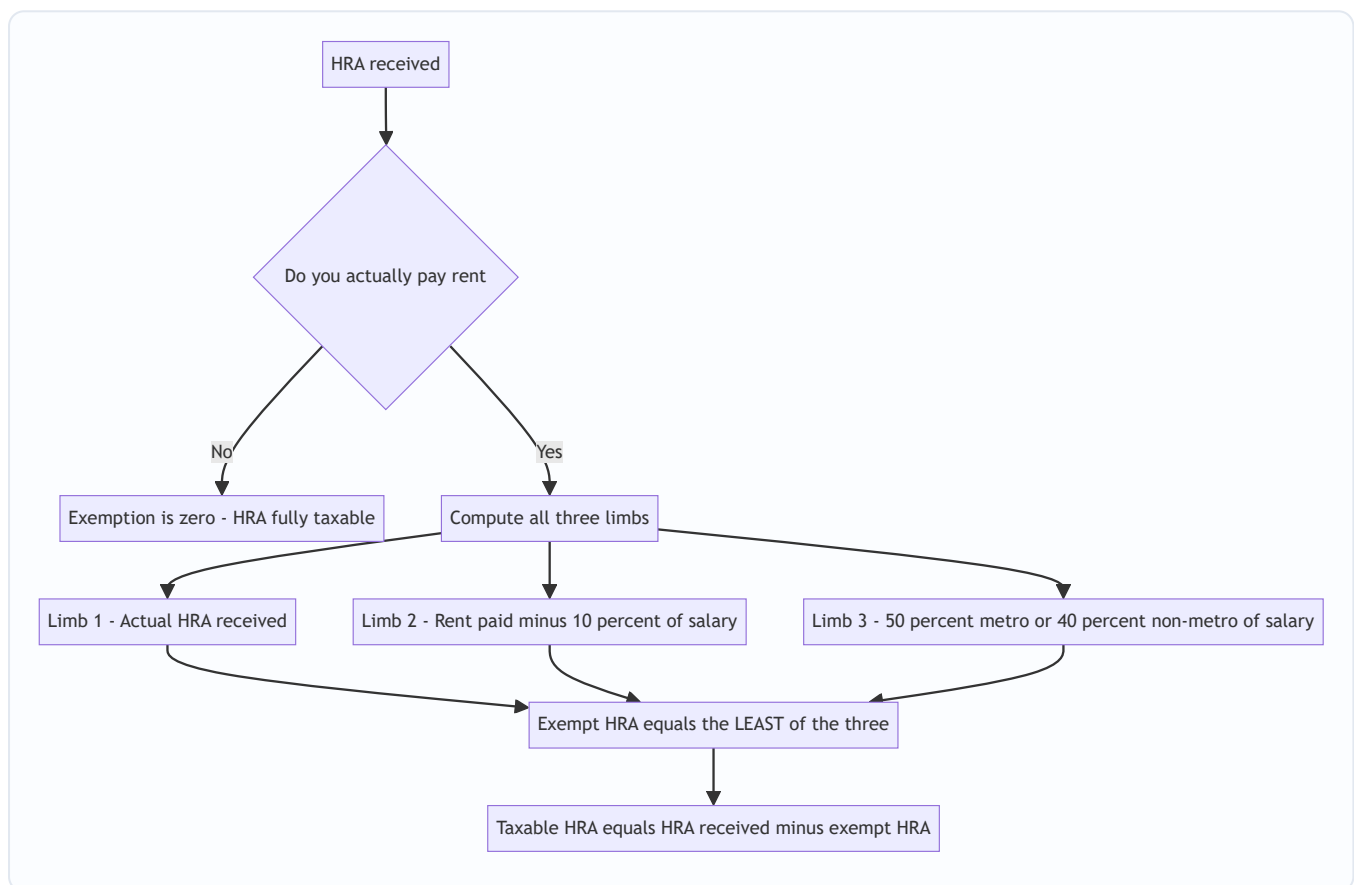


Figure 4.1 — HRA exemption is always the least of three. Note limb 2 collapses to zero when no rent is paid.

4.5 Perquisites — benefits in kind — Section 17(2), valued by Rule 3

A **perquisite** ("perk") is any *benefit or amenity* granted by reason of employment, in a form other than plain cash. The definition problem: if a benefit is a car, a flat, a subsidised loan — *what rupee value* do we tax? The answer is **Rule 3**, which converts each perk into a taxable money value using a fixed formula, so two employees with the same real benefit are taxed the same regardless of the employer's actual cost.

Three tiers of perquisites (why the split matters):

Tier	Taxable in whose hands	Logic
Taxable for all employees	Everyone	Genuine personal benefit e.g. rent-free house, interest-free loan, ESOP, employer paying employee's obligation
Taxable only for "specified" employees	Directors, >20% shareholders, or salary (excl. non-monetary perks) above the threshold	Car, free/subsidised services, gardener/sweeper/watchman — historically these were hard to value, so limited to higher earners
Exempt perquisites	None	Medical facilities within limits, telephone, employer contribution to recognised funds, refreshments, LTC within limits — because they are welfare/tools of trade, not surplus

Key valuation rules (Rule 3) — learn the *principle*, verify the *rate*:

- **Rent-free / concessional accommodation:** valued as a % of salary (govt vs. non-govt, population-slab based) less rent recovered. *Why a % of salary?* Because the benefit's worth scales with the standard of living the job supports; verify current % slabs.
- **Motor car:** value depends on *who owns* the car, *who pays* running costs, and *engine capacity* (fixed monthly figures). *Why fixed figures?* Splitting official vs. personal use exactly is impossible, so the law uses a standardised assumed personal-use value.
- **Interest-free/concessional loan:** taxable value = interest at the **SBI rate** on the outstanding balance *minus* interest actually charged. Small loans and medical-treatment loans are exempt. *Why SBI rate?* A neutral market benchmark for the benefit of cheap money.
- **ESOP / sweat equity:** taxable = **FMV on date of exercise – price paid**, taxed as a perquisite (then FMV becomes cost for future capital gains). *Why on exercise?* That's when the benefit crystallises.
- **Free education, domestic servants, gas/electricity, gifts (above a small limit), credit card & club expenses:** each has its own Rule 3 valuation, always "cost/value to employer less amount recovered from employee."

Memory hook for the perk universe: "HALE-CG" — Housing, Automobile, Loans, ESOP, Concessional services, Gifts. Every Rule 3 item is one of these.

4.6 Profits in lieu of salary — Section 17(3)

These are **lump sums that stand in place of salary** — the law taxes them so that "compensation" cannot be used as a tax-free wrapper for what is really pay. Includes: **terminal compensation** on termination/modification of employment, payments from an **unrecognised** PF (employer's share + interest), **keyman insurance** proceeds, and any amount received *before joining* or *after leaving* employment.

Why tax these? Without §17(3), an employer could label a golden handshake as non-salary "compensation." The section closes that door — while genuine hardship relief flows through the **Section 10(10B) retrenchment / VRS** exemptions instead.

4.7 Deductions from salary — Section 16

Because salary is otherwise taxed gross, §16 gives back three specific deductions:

Sec	Deduction	Why it exists
16(ia)	Standard deduction — a flat amount (verify current figure), no proof needed	Replaces the old ad-hoc expense claims; a simple, universal recognition that earning salary has <i>some</i> cost. Capped at the flat figure or salary, whichever is lower.
16(ii)	Entertainment allowance — deduction only for government employees (least of: 1/5 of basic salary, statutory cap, or actual allowance)	A narrow historical relic; private employees get <i>no</i> deduction, only the government cap.
16(iii)	Professional tax / tax on employment actually paid	It's a state levy on the very act of employment — taxing salary on money already taken as tax would be double taxation. If the <i>employer</i> pays it, it's first added as a perquisite, then deducted.

The standard deduction differs under the old vs. new tax regime — verify the current AY figure for each regime in ICAI material.

4.8 Retirement benefits — the "reward for a life of service" family

Here is the deepest exemption logic. Each benefit answers: "*How do we relieve a once-in-a-lifetime lump sum from a full slab hit, without letting it become a tax shelter?*" The answer is always **"exempt the least of the following."**

(a) Gratuity — Section 10(10)

A thank-you for long service, paid on retirement/death.

Employee type	Exemption = LEAST of
Government employee	Fully exempt
Covered by Payment of Gratuity Act	(i) Actual gratuity; (ii) statutory ceiling (verify); (iii) $15/26 \times \text{last drawn salary} \times \text{years of service}$ (part-year > 6 months rounds up)
Other employees	(i) Actual; (ii) statutory ceiling; (iii) $\frac{1}{2}$ month average salary (last 10 months) $\times$ completed years (ignore part-year)

Why "15/26" for Act-covered? The Act deems a month = 26 working days and grants 15 days' wages per year — that fraction is the statutory formula, not arbitrary.

(b) Pension — Section 10(10A)

- **Uncommuted** (monthly) pension → **fully taxable** as salary (it's just deferred monthly pay).
- **Commuted** (lump-sum) pension → exempt:
- Government employees: **fully exempt**.
- Others: **1/3** of full value if they *also* receive gratuity; **1/2** if they *don't*. *Why the 1/2 vs 1/3?* If you got no gratuity, the law is more generous with the pension lump sum to compensate.

(c) Leave encashment — Section 10(10AA)

Encashing unused earned leave.

When	Rule
During service	Fully taxable
On retirement — Government employee	Fully exempt
On retirement — Other	LEAST of: (i) actual; (ii) notified ceiling (verify); (iii) 10 months' average salary; (iv) cash equivalent of leave (max 30 days per completed year)

(d) Provident Fund — the four-fund logic

A PF has **four money streams**: employee's contribution, employer's contribution, interest on each. Tax treatment depends on *which fund*:

Fund type	Employer contribution	Interest credited	Lump sum at retirement
Statutory PF (SPF)	Exempt	Exempt	Fully exempt
Recognised PF (RPF)	Exempt up to 12% of salary (excess taxable); <i>plus</i> contributions above the annual PF-cap and interest thereon are taxable	Exempt up to a notified rate; excess taxable	Exempt if 5 yrs continuous service (else taxable)
Unrecognised PF (URPF)	Not taxed yearly	Not taxed yearly	Employer's share + interest → taxed as "profits in lieu" ; employee's own interest → "Other Sources"; own contribution → not taxed
Public PF (PPF)	N/A (self)	Exempt	Fully exempt

Why does RPF cap the employer's contribution at 12% and interest at a notified rate? Because contributions are **deferred salary**. Below the cap, the state is subsidising retirement saving (good policy). Above it, the "fund" is being used to park excess pay tax-free — so the excess is pulled back into salary. **Employee's own contribution to RPF** qualifies for **Section 80C** deduction (Chapter on deductions) — the fund is thus **EEE** (Exempt-Exempt-Exempt) within limits.

Memory hook — retirement exemptions are all "LEAST OF." Gratuity, leave encashment, commuted pension all follow *actual / statutory cap / formula*. If you remember "the law wants relief to be *real but bounded*," you can rebuild every table.

5. Worked Examples (full step-by-step, easy → exam-hard)

All figures are illustrative. **Confirm the exact caps (HRA metro %, gratuity ceiling, standard deduction) for your AY.** The *method* is what these examples lock in.

Example 1 — Warm-up: HRA exemption

Facts. Ms A works in Mumbai (metro). Basic salary ₹40,000/month, DA ₹10,000/month (enters retirement benefits), HRA received ₹18,000/month. She pays rent of ₹22,000/month. Compute taxable HRA for the year.

Step 1 — Annualise and define "salary." Salary for HRA = Basic + DA (as it enters retirement benefits) = $(40,000 + 10,000) \times 12 = \text{₹6,00,000}$. HRA received = $18,000 \times 12 = \text{₹2,16,000}$. Rent paid = $22,000 \times 12 = \text{₹2,64,000}$.

Step 2 — The three limbs.

Limb	Computation	Amount
1. Actual HRA	—	2,16,000
2. Rent – 10% of salary	$2,64,000 - 60,000$	2,04,000
3. 50% of salary (metro)	$50\% \times 6,00,000$	3,00,000

Step 3 — Least of three = ₹2,04,000 (exempt). Taxable HRA = $2,16,000 - 2,04,000 = \text{₹12,000}$.

Reconciliation check: limb 2 (the "genuine excess cost") binds, which is typical when rent is high but not extreme — logic confirms the number.

Example 2 — Retirement benefits: gratuity + leave encashment

Facts. Mr B, a *non-government* employee **not covered** by the Gratuity Act, retires after **26 years 8 months**. Last-drawn salary is ₹50,000/month (Basic ₹40,000 + DA ₹10,000, DA fully enters retirement benefits). Average salary of the **last 10 months** = ₹48,000/month. He receives **gratuity of ₹9,00,000** and **leave encashment of ₹3,00,000** (leave standing to credit = 240 days; leave entitlement was 30 days per year of service). Assume gratuity ceiling ₹20,00,000 and leave-encashment ceiling ₹25,00,000 (verify current figures).

Part A — Gratuity (non-Act employee, so ignore part-year → 26 completed years).

Limb	Computation	Amount
(i) Actual	—	9,00,000
(ii) Statutory ceiling	—	20,00,000
(iii) $\frac{1}{2}$ month avg salary $\times$ completed years	$\frac{1}{2} \times 48,000 \times 26$	6,24,000

Exempt = least = ₹6,24,000. Taxable gratuity = $9,00,000 - 6,24,000 = \text{₹2,76,000}$.

Part B — Leave encashment (non-govt). "Salary" = average of last 10 months = ₹48,000. Cash equivalent of leave allowed = **max 30 days per completed year** = $30 \times 26 = 780$ days entitlement; leave *actually standing* = 240 days, so use the lower actual credit → 240 days = $240/30 = 8$ months.

Limb	Computation	Amount
(i) Actual	—	3,00,000
(ii) Statutory ceiling	—	25,00,000
(iii) 10 months' avg salary	10 × 48,000	4,80,000
(iv) Cash equiv of leave (max 30 days/yr)	8 × 48,000	3,84,000

Exempt = least = ₹3,00,000. Taxable leave encashment = 3,00,000 – 3,00,000 = ₹0.

Reconciliation: the *actual* amount is the smallest, so the entire receipt is exempt — sensible, because he encashed less than the formula ceilings allow.

Example 3 — Exam-hard: full salary computation with perquisites, allowances and PF

Facts (Assessment Year — verify current figures). Mr C is employed in **Delhi (metro)** by XYZ Ltd. For the year:

- Basic salary: ₹80,000/month.
- Dearness allowance: ₹20,000/month (**50% enters retirement benefits**).
- Bonus: ₹1,20,000.
- HRA received: ₹30,000/month; rent paid: ₹28,000/month.
- Children education allowance: ₹1,000/month for 2 children (assume exemption ₹100/child/month).
- Transport/car: employer provides a **1.8-litre company car** with driver, for **both official and personal** use; employer meets all running costs. (Assume Rule 3 value: ₹2,400 + ₹900 driver = ₹3,300/month — *verify current figures*.)
- **Rent-free unfurnished accommodation** owned by employer in Delhi (population > 40 lakh). (Assume valuation = 10% of salary — *verify current % under Rule 3*.)
- Employer contributes **14% of (Basic+DA)** to a **Recognised PF**; Mr C contributes an equal amount.
- Interest credited on RPF at **11%** (assume notified exempt rate = 9.5%): interest credited ₹66,000.
- Professional tax paid: ₹2,400. Standard deduction: assume ₹50,000 (**verify current figure and regime**).

Order of operations (this is the reusable format). Compute (1) cash pay, (2) taxable allowances, (3) perquisites, (4) taxable PF/interest, gross it up, then subtract §16 deductions.

Step 1 — Cash components. Basic = 80,000 × 12 = **9,60,000** DA = 20,000 × 12 = **2,40,000** Bonus = **1,20,000**

Step 2 — "Salary" for HRA & for accommodation. Salary for HRA = Basic + DA-in-retirement (50% of DA) + commission = 9,60,000 + 1,20,000 = **₹10,80,000**. HRA received = 30,000 × 12 = 3,60,000. Rent = 28,000 × 12 = 3,36,000.

HRA limb	Computation	Amount
Actual HRA	—	3,60,000
Rent – 10% salary	3,36,000 – 1,08,000	2,28,000
50% of salary (metro)	50% × 10,80,000	5,40,000

Exempt = **2,28,000**. **Taxable HRA = 3,60,000 – 2,28,000 = ₹1,32,000.**

Step 3 — Children education allowance. Received = $1,000 \times 12 = 12,000$. Exempt = $₹100 \times 2 \text{ children} \times 12 = 2,400$. **Taxable CEA = 12,000 – 2,400 = ₹9,600.**

Step 4 — Motor car perquisite. Car used for both purposes, employer bears all costs, > 1.6 L engine, with driver. Perquisite = $3,300 \times 12 = \text{₹}39,600$ (verify current per-month values).

Step 5 — Rent-free accommodation. Valuation base "salary" for accommodation = Basic + DA(in retirement) + bonus + taxable allowances + CEA taxable etc. For this illustration take salary = Basic + DA-in-retirement + Bonus + taxable HRA + taxable CEA = $9,60,000 + 1,20,000 + 1,20,000 + 1,32,000 + 9,600 = \text{₹}13,41,600$. Perquisite at assumed 10% = **₹1,34,160** (verify current % / population slab).

Step 6 — Recognised PF. Employer contribution = 14% of (Basic + full DA? — only DA in retirement counts as "salary" for the 12% test; here DA-in-retirement = ₹1,20,000, Basic = ₹9,60,000, so salary for PF = ₹10,80,000). Employer contributed $14\% \times 10,80,000 = 1,51,200$. **Exempt only up to 12% = 1,29,600. Taxable employer PF = 1,51,200 – 1,29,600 = ₹21,600.** Interest: credited at 11%, exempt at 9.5%. Taxable interest = $66,000 \times (11 - 9.5)/11 = \text{₹}9,000$.

Step 7 — Assemble Gross Salary.

Component	₹
Basic salary	9,60,000
Dearness allowance	2,40,000
Bonus	1,20,000
Taxable HRA	1,32,000
Taxable children education allowance	9,600
Motor car perquisite	39,600
Rent-free accommodation perquisite	1,34,160
Taxable employer RPF contribution	21,600
Taxable interest on RPF	9,000
Gross Salary	16,65,960

Step 8 — Section 16 deductions.

Deduction	₹
Standard deduction (16(ia)) — assumed	50,000
Entertainment allowance (16(ii)) — private employee	Nil
Professional tax (16(iii))	2,400
Total deductions	52,400

Step 9 — Income under the head "Salaries".

Gross Salary 16,65,960 – Deductions 52,400 = ₹16,13,560.

Reconciliation: every taxable line is a benefit exceeding its exemption cap, every exempt slice was subtracted before it entered gross — the figure is internally consistent. Mr C's own PF contribution (₹1,51,200) does **not** appear here; it is a **Section 80C** deduction claimed later from *Gross Total Income*, not from salary.

6. The Reusable Salary Computation Format

Commit this skeleton to memory — every exam salary problem is filling in these rows.

#	Particulars	₹	₹
1	Basic salary	XXX	
2	Dearness allowance / pay	XXX	
3	Bonus, commission, fees	XXX	
4	Allowances (gross) less exempt portion (Sec 10)	XXX	
5	Taxable value of perquisites (Sec 17(2), Rule 3)	XXX	
6	Profits in lieu of salary (Sec 17(3))	XXX	
7	Taxable retirement receipts (gratuity/pension/leave/PF over limits)	XXX	
	Gross Salary		XXX
	Less: Deductions u/s 16 — Standard (16(ia))	(XXX)	
	Less: Entertainment allowance (16(ii)) — govt only	(XXX)	
	Less: Professional tax (16(iii))	(XXX)	
	Income under the head "Salaries"		XXX

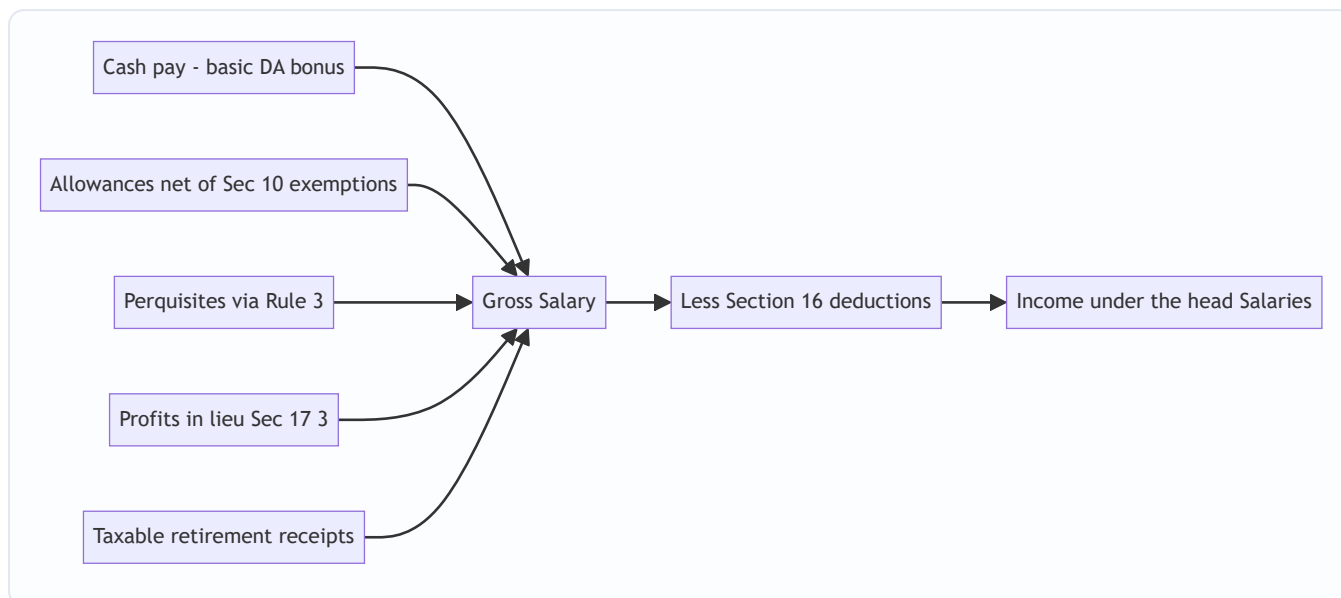


Figure 6.1 — The computation flow: five inflows build Gross Salary; one deduction block converts it to taxable salary.

7. Connections — How This Head Links to the Rest of the Act

- **Residential status (Chapter 02):** whether foreign salary is taxable in India depends on residence *and* on where services were rendered (salary for services in India is deemed to accrue here regardless of residence).
- **Deductions Chapter 80C–80U:** employee's PF/PPF contribution, life insurance and NPS feed **Section 80C/80CCD** — claimed from Gross Total Income, *not* inside the salary head. Don't double-count.
- **Capital Gains:** ESOP shares taxed as a perquisite on exercise take their **FMV as cost of acquisition**; later sale is capital gains — the two heads hand off cleanly.
- **Income from House Property:** if the employee *owns* the house whose HRA she claims, or lets out a second house, that's a *different* head — HRA exemption and house-property income can coexist.
- **TDS (Section 192):** the employer deducts tax on estimated salary monthly — the practical reason your salary computation matters in real life.
- **Old vs. New Regime:** many salary *exemptions* (HRA, most allowances) and the entertainment-allowance deduction are **not available under the new regime**; standard deduction is. This changes which lines survive — *verify per regime for your AY*.

8. Traps & Examiner Tricks

1. **HRA with no rent paid → exemption is NIL** (limb 2 = 0). Fully taxable. The classic trap.
2. **"Salary" is not one number.** For HRA it's Basic + DA(in retirement) + turnover-commission; for gratuity (non-Act) it's the *last-10-months average*; for RFA it's yet another base. **Read which definition each provision uses.**
3. **DA "enters retirement benefits" or not** — if it does, it counts in the HRA/PF/gratuity "salary"; if it doesn't, exclude it. The problem always tells you; students skip the phrase.

4. **Advance salary is taxed on receipt; a loan against salary is not.** And an advance already taxed is not taxed again when it becomes due (Sec 15 proviso).
 5. **Uncommuted pension is fully taxable** — only *commuted* pension gets the $\frac{1}{3}/\frac{1}{2}$ exemption.
 6. **Gratuity part-year rounding:** *Act-covered* employees round > 6 months up to a full year; *non-Act* employees **ignore** the part-year entirely. Different rules — examiners test both.
 7. **Employee's own PF contribution is NOT a salary deduction** — it's an 80C item. Employer's *excess* contribution (over 12%) *is* added to salary.
 8. **Entertainment allowance deduction is for government employees only.** Private-sector: add the allowance fully, deduct nothing.
 9. **Professional tax paid by the employer** is first *added* as a perquisite, then *deducted* under 16(iii) — net effect isn't zero because it inflates other percentage-based valuations first.
 10. **Foregone/surrendered salary is still taxable** (unless surrendered to the Central Government under the specific Act).
 11. **Specified vs. non-specified employee** decides whether car/servant-type perks are taxable — check the ₹ threshold and director/shareholder status.
 12. **Regime mismatch:** applying old-regime HRA exemption while computing under the new regime — a costly, common error. Confirm the regime first.
-

9. First-Principles Recap

- The head "Salaries" exists to capture **the total reward of an employer-employee relationship**, in every form — cash, allowance, kind, or deferred — because that reward is the most visible tax base in the economy.
 - **Timing (Sec 15):** tax on the **earlier of due or receipt, once only** — an anti-arbitrage rule made possible because salary accrual is knowable.
 - **Scope (Sec 17):** an **inclusive** definition so nothing escapes by relabelling; perquisites are **standard-valued (Rule 3)** so equal benefits bear equal tax.
 - **Fairness through exemptions:** allowances are exempt **to the extent they meet a real cost** (spare-the-cost); retirement benefits are exempt as the **least of actual / statutory cap / formula** (reward-for-service, but bounded).
 - **Deductions (Sec 16)** give back a flat standard amount, professional tax, and (for government staff) entertainment allowance — modest, because employment costs are personal.
 - If you internalise **"tax the surplus, spare the cost, reward a life of service — but bound every relief,"** you can *derive* nearly every formula in this chapter instead of memorising it.
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10. Quick-Revision Sheet

Sections at a glance

Section	Governs	One-line memory hook
15	Charge — due or receipt, whichever earlier, once only	"The 1-5 gate opens on the earlier date"
16(ia)	Standard deduction (flat)	Universal cost recognition
16(ii)	Entertainment allowance	Government employees only
16(iii)	Professional tax	State levy → deductible
17(1)	Definition of "salary" (inclusive)	"WAGP-F-PL"
17(2)	Perquisites (valued by Rule 3)	"HALE-CG"
17(3)	Profits in lieu of salary	Compensation ≠ tax-free
10(13A)	HRA exemption	Least of three
10(14)	Special allowances (education, travel etc.)	Exempt to extent spent/capped
10(10)	Gratuity	Least of three (govt fully exempt)
10(10A)	Pension (commuted)	1/3 if gratuity, 1/2 if not
10(10AA)	Leave encashment	Least of four (govt fully exempt)

Exemption formulae (least of...) — *verify caps for your AY*

Benefit	Exempt = LEAST of
HRA (10(13A))	Actual HRA / (Rent – 10% salary) / 50% (metro) or 40% (non-metro) of salary
Gratuity — Act-covered (10(10))	Actual / statutory ceiling / (15/26 × last salary × years, >6m rounds up)
Gratuity — non-Act (10(10))	Actual / statutory ceiling / (1/2 × 10-month avg salary × completed years)
Commuted pension (10(10A))	Govt: full. Others: 1/3 of full value (if gratuity received) or 1/2 (if not)
Leave encashment — non-govt (10(10AA))	Actual / notified ceiling / 10-month avg salary / cash equiv (max 30 days per completed year)

Provident fund treatment

Fund	Employer contribution	Interest	Lump sum
SPF	Exempt	Exempt	Fully exempt
RPF	Exempt $\leq 12\%$ of salary; excess taxable	Exempt $\leq$ notified rate; excess taxable	Exempt if ≥ 5 yrs service
URPF	Not taxed yearly	Not taxed yearly	Employer share + interest $\rightarrow$ profits in lieu
PPF	Self-contribution	Exempt	Fully exempt

Allowance quick-sort

- **Fully taxable:** DA, CCA, overtime, servant, warden, non-practising.
- **Exempt up to spent/cap:** children education, hostel, transport (disabled), tour/travel/daily.
- **Formula-exempt:** HRA (least of three).
- **Fully exempt:** allowances to HC/SC judges, UN employees.

The four things to check first in any problem

1. **Which regime** (old vs new) — decides which exemptions survive.
2. **Does DA enter retirement benefits?** — changes every "salary" base.
3. **Government or non-government employee?** — flips gratuity/pension/leave/entertainment rules.
4. **Specified vs non-specified employee?** — decides car/servant perquisite taxability.

Final reminder: the *logic* above is durable; the *numbers* (standard deduction, HRA %, gratuity ceiling, car values, PF caps, notified interest rate) are revised frequently. **Before your attempt, reconcile every limit and rate in this chapter against the current ICAI Study Material for your Assessment Year.**

Q&A — Income under the Head Salaries

Rates/limits caveat. Every monetary cap below (standard deduction, HRA %, gratuity ceiling, car values, PF caps, notified PF interest rate) is tuned by Parliament and depends on the **applicable Assessment Year**. The *method and section logic* are durable; **verify every figure against current ICAI Study Material for your AY**. All computations assume the **old regime** unless stated, because most salary exemptions are withdrawn under the new regime (Sec 115BAC).

Section A — Concept Checks (with answers)

A1. On what basis is salary charged to tax, and under which section? Salary is charged under **Section 15** on the **earlier of "due" or "receipt"**, and each rupee is taxed **only once** (proviso to Sec 15 prevents double taxation of an arrear already taxed on due basis). This anti-timing-arbitrage rule blocks both *deferral* (taxed when due even if received later) and *advance* games (advance salary taxed on receipt).

A2. Distinguish "advance salary" from "advance against salary (loan)." Advance salary is salary paid before it is due — taxable **on receipt** under Sec 15. An **advance against salary** is a **loan** later adjusted from pay — **not** salary due, hence **not** taxed on receipt (only the perquisite value of any interest concession, if applicable, is taxed). Classic examiner distinction.

A3. Why is the employer–employee relationship the trigger for this head? Because the same rupee falls under different heads depending on the relationship. A director's **sitting fee** (no master–servant control) is **Other Sources**; a whole-time director's pay is **Salary**; a **partner's remuneration** is **business income** (Sec 28) — a person cannot employ himself. The **control-and-supervision** test sorts receipts into the right head.

A4. What is the taxability of the three limbs of DA and of "salary" for different provisions? "Salary" is **not one number**. For **HRA (Rule 2A)** and **gratuity/PF**, salary = **Basic + DA (only if it enters retirement benefits) + commission as a fixed % of turnover**. If DA does **not** enter retirement benefits, exclude it. Always read the phrase in the problem.

A5. Is foregone or surrendered salary taxable? Yes — salary once *due* cannot escape tax by being surrendered/foregone. The **only** exception: salary surrendered to the **Central Government** under the Voluntary Surrender of Salaries Act.

A6. Uncommuted vs commuted pension — treatment under Sec 10(10A)? Uncommuted (monthly) pension is fully taxable as salary. **Commuted (lump-sum) pension** is exempt: **fully** for government employees; for others **1/3** of full value if gratuity is also received, **1/2** if not.

A7. Is an employee's own PF contribution deductible from salary? No. It is a **Section 80C** deduction claimed from Gross Total Income — never from the salary head. Only the **employer's excess** contribution to RPF (over 12% of salary) is *added* to salary.

A8. Which Section 16 deductions exist, and which is government-only? 16(i) standard deduction (flat, universal), **16(ii)** entertainment allowance (**government employees only** — least of 1/5 of basic, statutory cap, actual), **16(iii)** professional tax actually paid.

Section B — Graded Computational Problems (full step-by-step; figures self-reconcile)

B1 (Easy) — HRA, no rent paid

Facts. Basic ₹30,000/month, HRA received ₹12,000/month, employee **pays no rent** (stays in own house). Compute taxable HRA.

Solution. Sec 10(13A) exemption = least of three; **limb 2 = Rent – 10% salary = 0 – ... = negative → nil.** Since one limb is nil, exemption = **₹0. Entire HRA = 12,000 × 12 = ₹1,44,000 is taxable.** Check: no rent = no reimbursable cost = no relief. The most common HRA trap.

B2 (Easy) — HRA, metro, rent paid

Facts. Chennai (metro). Basic ₹50,000/month, DA ₹10,000/month (enters retirement benefits), HRA ₹20,000/month, rent ₹18,000/month.

Solution. Salary = (50,000 + 10,000) × 12 = **₹7,20,000.** HRA received = 2,40,000; Rent = 2,16,000.

Limb	Computation	₹
Actual HRA	—	2,40,000
Rent – 10% salary	2,16,000 – 72,000	1,44,000
50% of salary (metro)	50% × 7,20,000	3,60,000

Exempt = least = **₹1,44,000. Taxable HRA = 2,40,000 – 1,44,000 = ₹96,000.**

B3 (Medium) — Gratuity, non-Act employee

Facts. Non-government employee **not covered** by the Gratuity Act, retires after **24 years 7 months.** Average salary of last 10 months = ₹42,000/month. Gratuity received = ₹7,00,000. Ceiling ₹20,00,000 (verify).

Solution. Sec 10(10): non-Act → **ignore part-year → 24 completed years;** formula = $\frac{1}{2} \times \text{avg salary} \times \text{completed years}$.

Limb	Computation	₹
Actual	—	7,00,000
Statutory ceiling	—	20,00,000
$\frac{1}{2} \times 42,000 \times 24$	$\frac{1}{2} \text{ month avg} \times \text{years}$	5,04,000

Exempt = least = **₹5,04,000. Taxable gratuity = 7,00,000 – 5,04,000 = ₹1,96,000.** Trap check: had he been **Act-covered**, the 7-month part rounds **up to 25 years** and the formula is **$\frac{15}{26} \times \text{last-drawn salary} \times \text{years}$** — a different answer. Read which applies.

B4 (Medium) — Recognised PF: employer contribution + interest

Facts. Basic ₹60,000/month, DA ₹15,000/month (enters retirement benefits). Employer contributes **14%** of (Basic + DA) to RPF. Interest credited at **11%** = ₹55,000; notified exempt rate **9.5%**.

Solution. Salary for PF = $(60,000 + 15,000) \times 12 = \text{₹}9,00,000$. Employer contribution = $14\% \times 9,00,000 = \text{₹}1,26,000$. **Exempt only up to 12%** = $12\% \times 9,00,000 = \text{₹}1,08,000$. **Taxable employer PF = 1,26,000 – 1,08,000 = ₹18,000.** Taxable interest = $55,000 \times (11 - 9.5)/11 = 55,000 \times 1.5/11 = \text{₹}7,500$. **Total taxable from RPF = 18,000 + 7,500 = ₹25,500** (added to gross salary). Employee's own contribution → **80C**, not here.

B5 (Hard) — Full salary computation with perquisites, allowances, RPF

Facts (old regime; verify all caps for your AY). Mr X, employed in **Delhi (metro)** by ABC Ltd: - Basic ₹70,000/month; DA ₹20,000/month (**100% enters retirement benefits**); Bonus ₹1,00,000. - HRA ₹25,000/month; rent paid ₹24,000/month. - Children education allowance ₹800/month for 2 children (exempt ₹100/child/month). - **1.8-litre company car** with driver, official + personal use, employer bears all costs. Assume Rule 3 value ₹2,400 + ₹900 driver = ₹3,300/month (verify). - Employer RPF contribution **13%** of (Basic + DA); employee contributes equal. - Professional tax paid ₹2,500. Standard deduction assume ₹50,000 (verify AY/regime).

Step 1 — Cash. Basic = 8,40,000; DA = 2,40,000; Bonus = 1,00,000.

Step 2 — HRA (Sec 10(13A)). Salary = Basic + DA(in retirement) = 8,40,000 + 2,40,000 = **₹10,80,000**. HRA received = 3,00,000; Rent = 2,88,000.

Limb	Computation	₹
Actual HRA	—	3,00,000
Rent – 10% salary	2,88,000 – 1,08,000	1,80,000
50% of salary (metro)	50% × 10,80,000	5,40,000

Exempt = **1,80,000**. **Taxable HRA = 3,00,000 – 1,80,000 = ₹1,20,000.**

Step 3 — CEA (Sec 10(14)). Received = $800 \times 12 = 9,600$. Exempt = $\text{₹}100 \times 2 \times 12 = 2,400$. **Taxable = ₹7,200.**

Step 4 — Car perquisite (Rule 3). $3,300 \times 12 = \text{₹}39,600$.

Step 5 — RPF (Sec 17(1)). Salary for PF = ₹10,80,000. Employer = $13\% \times 10,80,000 = 1,40,400$; exempt up to 12% = 1,29,600. **Taxable = ₹10,800.**

Step 6 — Gross Salary.

Component	₹
Basic	8,40,000
DA	2,40,000
Bonus	1,00,000
Taxable HRA	1,20,000
Taxable CEA	7,200
Car perquisite	39,600
Taxable employer RPF	10,800
Gross Salary	13,57,600

Step 7 — Section 16 deductions. Standard 16(i)a) 50,000 + Prof tax 16(iii) 2,500 = **52,500**. (Entertainment allowance 16(ii) = **Nil**, private employee.)

Step 8 — Income under head Salaries = 13,57,600 – 52,500 = ₹13,05,100. *Reconciliation:* every taxable line exceeds its exemption cap; employee's own PF (₹1,40,400) is excluded here and goes to 80C. Internally consistent.

Section C — Past-Paper-Style Full Questions (model answers)

C1. Gratuity + commuted pension + leave encashment (retirement bundle)

Facts. Mr P, **non-government** employee **covered by the Gratuity Act**, retires after **30 years 8 months**. Last-drawn salary ₹52,000/month (Basic ₹40,000 + DA ₹12,000, DA enters retirement benefits). He receives: Gratuity ₹12,00,000; **commuted pension** ₹4,00,000 being **60% commuted** of full pension (he **also received gratuity**); leave encashment ₹2,00,000 (leave standing 300 days; entitlement 30 days/year; avg salary last 10 months ₹50,000). Ceilings: gratuity ₹20,00,000, leave ₹25,00,000 (verify).

Gratuity — Sec 10(10), Act-covered. 8 months > 6 → **31 years**. Formula = $15/26 \times \text{last-drawn salary} \times \text{years}$ = $15/26 \times 52,000 \times 31$ = ₹9,30,000 ($15/26 \times 52,000 = 30,000$; $\times 31 = 9,30,000$).

Limb	₹
Actual	12,00,000
Ceiling	20,00,000
$15/26 \times 52,000 \times 31$	9,30,000

Exempt = **9,30,000**. **Taxable gratuity = 12,00,000 – 9,30,000 = ₹2,70,000.**

Commuted pension — Sec 10(10A). He received gratuity → exempt = **1/3 of full value**. 60% commuted = ₹4,00,000 → full value = $4,00,000 / 0.60 = ₹6,66,667$. Exempt = $1/3 \times 6,66,667 = ₹2,22,222$. **Taxable = 4,00,000 – 2,22,222 = ₹1,77,778.**

Leave encashment — Sec 10(10AA), non-govt. Salary = ₹50,000. Cash-equiv leave: max 30 days/completed year = $30 \times 30 = 900$ days entitlement; actual standing 300 days (lower) = $300/30 = 10$

months.

Limb	Computation	₹
Actual	—	2,00,000
Ceiling	—	25,00,000
10 months' avg salary	$10 \times 50,000$	5,00,000
Cash equiv (max 30/yr)	$10 \times 50,000$	5,00,000

Exempt = least = **₹2,00,000**. **Taxable leave encashment = ₹0.**

Taxable retirement receipts = 2,70,000 + 1,77,778 + 0 = ₹4,47,778.

C2. Perquisites — rent-free accommodation and interest-free loan

Facts. Employer-owned **unfurnished** accommodation in a city with population > 40 lakh; salary for RFA purpose ₹9,00,000. Assume Rule 3 valuation 10% of salary (verify current % / population slab). Also an **interest-free loan** of ₹4,00,000 outstanding all year for buying a car; SBI rate assumed 10%; employer charged nil.

RFA — Sec 17(2)(i)/(ii), Rule 3. Value = $10\% \times 9,00,000 = \text{₹90,000}$ (less rent recovered = nil). **Interest-free loan — Rule 3(7)(i).** Value = SBI rate on outstanding – interest charged = $10\% \times 4,00,000 - 0 = \text{₹40,000}$. (Loans $\leq \text{₹20,000}$, or for specified medical treatment, are exempt — not applicable here.) **Total perquisite = 90,000 + 40,000 = ₹1,30,000** added to gross salary.

C3. Concept question — "Explain the tax treatment of the four types of Provident Fund."

Model answer. Sec 17(1) read with the funds' rules:

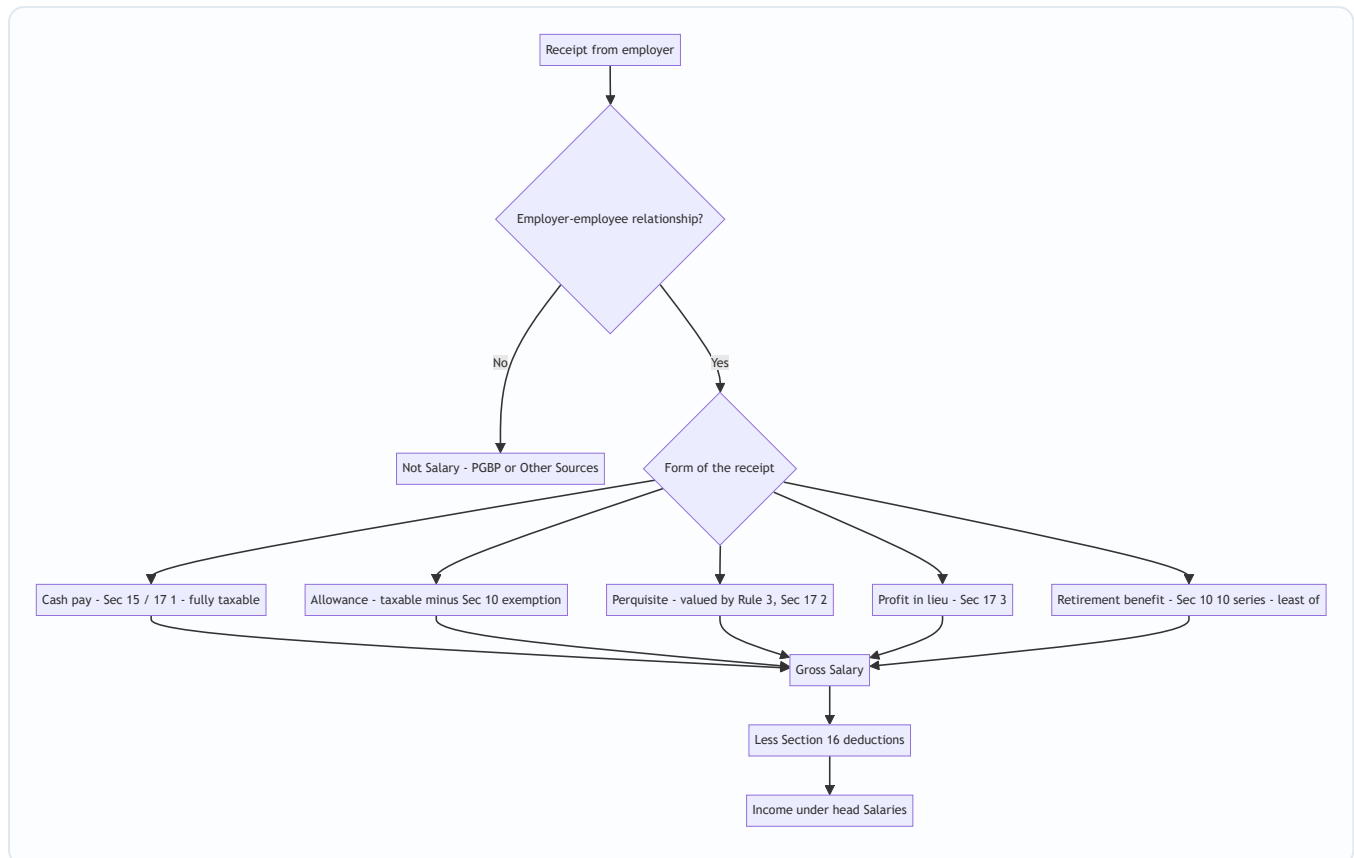
Fund	Employer contribution	Interest	Lump sum
SPF	Exempt	Exempt	Fully exempt
RPF	Exempt $\leq 12\%$ of salary; excess taxable	Exempt $\leq$ notified rate; excess taxable	Exempt if ≥ 5 yrs continuous service
URPF	Not taxed yearly	Not taxed yearly	At retirement: employer share + interest → profits in lieu (Sec 17(3)) ; employee's own interest → Other Sources ; own contribution → not taxed
PPF	Self (N/A)	Exempt	Fully exempt

Why RPF caps at 12%? Contributions are **deferred salary**; below the cap the state subsidises retirement saving, above it the fund becomes a tax shelter, so the excess is pulled back into salary. Employee's own RPF contribution qualifies for **80C** — the fund is **EEE** within limits.

Section D — MCQs / Case Scenarios (correct option + one-line reasoning)

- D1.** Salary is chargeable to tax on the basis of — (a) Receipt only (b) Accrual only (c) **Earlier of due or receipt** (d) Later of due or receipt **Answer: (c).** Sec 15 — anti-timing-arbitrage; taxed once only.
- D2.** An employee pays no rent but receives HRA. The exempt HRA is — (a) 50% of salary (b) Actual HRA (c) **Nil** (d) Rent – 10% salary **Answer: (c).** Sec 10(13A) — limb 2 becomes nil, so least = nil; HRA fully taxable.
- D3.** Entertainment allowance deduction under Sec 16(ii) is available to — (a) All employees (b) **Government employees only** (c) Private employees only (d) Directors **Answer: (b).** A historical relic; private staff get no deduction.
- D4.** Uncommuted pension received monthly by a non-government employee is — (a) Fully exempt (b) 1/3 exempt (c) 1/2 exempt (d) **Fully taxable** **Answer: (d).** Sec 10(10A) — only *commuted* pension gets the 1/3 or 1/2 exemption.
- D5.** For a non-Act-covered employee, part-year service for gratuity is — (a) Rounded up if > 6 months (b) **Ignored entirely** (c) Rounded to nearest year (d) Pro-rated **Answer: (b).** Sec 10(10) — Act-covered round > 6 months up; non-Act ignore the part.
- D6. Case scenario.** Mr Q's employer pays his professional tax of ₹2,400. Treatment? (a) Ignored (b) Only deducted (c) **Added as perquisite, then deducted u/s 16(iii)** (d) Only added **Answer: (c).** Employer discharging employee's obligation = perquisite; then 16(iii) allows the deduction. Net is not zero because the added perquisite can inflate other %-based valuations first.
- D7. Case scenario.** ESOP shares: FMV on exercise ₹500, exercise price ₹200, later sold at ₹700. On exercise — (a) Nothing taxable (b) **₹300 taxed as perquisite; ₹500 becomes cost for capital gains** (c) ₹500 as salary (d) ₹700 as capital gain now **Answer: (b).** Sec 17(2)(vi) — perquisite = FMV – price paid on exercise; FMV then becomes cost of acquisition for later capital gains (₹700 – ₹500 = ₹200 gain on sale).
- D8.** Under the new regime (Sec 115BAC), which survives? (a) HRA exemption (b) Most Sec 10(14) allowances (c) Entertainment allowance deduction (d) **Standard deduction u/s 16(ia)** **Answer: (d).** HRA and most allowances/entertainment deduction are withdrawn; standard deduction is retained (verify AY figure).
-

Master decision diagram



One-page recall

- **Charge (Sec 15):** earlier of due/receipt, once only.
- **Definition (Sec 17(1)):** inclusive — nothing escapes by relabelling. Memory: WAGP-F-PL.
- **Perquisites (Sec 17(2), Rule 3):** standard-valued so equal benefits bear equal tax. Memory: HALE-CG.
- **Profits in lieu (Sec 17(3)):** compensation is not a tax-free wrapper.
- **Deductions (Sec 16):** standard (ia), entertainment — govt only (ii), professional tax (iii).
- **Exemptions are always "least of":** HRA 10(13A), gratuity 10(10), pension 10(10A), leave 10(10AA).
- **Four things to check first:** regime? DA in retirement? govt or non-govt? specified employee?

Final reminder: the logic is durable; the numbers (standard deduction, HRA %, gratuity/leave ceilings, car values, PF caps, notified interest rate) change frequently — **reconcile every limit against current ICAI Study Material for your AY before the exam.**

Chapter 04 — Income from House Property

A note on rates & years: This chapter teaches the *structure and logic* of house property taxation, which is remarkably stable. But the standard deduction percentage, the interest ceiling for self-occupied property, and the treatment of set-off change by amendment. **Always verify the exact limits and the Assessment Year applicable to your attempt against current ICAI study material.** The reasoning below will still hold; only the numbers may shift.

1. The Problem

Imagine two people. Anil owns a shop and rents it out for ₹40,000 a month. The rent lands in his bank account — clearly income, clearly taxable. Nobody argues.

Now meet Bina. Bina owns an identical shop next door. She *could* rent it out for ₹40,000 a month too. But she chooses to keep it locked and empty because she doesn't feel like dealing with tenants. She earns nothing in cash from it.

Here is the uncomfortable question the tax system must answer: **Should Bina pay less tax than Anil purely because she chose not to exploit an asset that is obviously capable of producing income?**

If your answer is "yes, tax only actual cash received," you have just created a giant loophole. Every wealthy person would hold property, declare it "not let out," collect rent quietly in cash or in the form of favours, and pay nothing. The property's *earning capacity* — its ability to throw off rent — would escape tax entirely, simply by the owner refusing to formally rent it.

There is a second problem hiding underneath. Suppose Chandan rents out a building, but he *also* runs a hotel business inside another building he owns. Both involve buildings. Both produce income. Should they be taxed the same way? If we lump them together, we destroy the ability to give property owners simple, predictable treatment while giving businesspeople the messy, expense-heavy treatment their operations require.

So the tax system faces two design challenges: 1. **How do we tax the earning capacity of property, not just the cash it happens to produce?** 2. **How do we separate "I own a building and let it earn passively" from "I run a business that happens to use a building"?**

Income from House Property is the head of income built to solve exactly these two problems.

2. The Core Idea

The central, almost philosophical decision of this head is this:

We tax the *inherent earning capacity* of a building — its "annual value" — not merely the rent that actually changed hands.

This is why the tax base is called the **Annual Value**: a *notional* figure representing what the property is inherently capable of earning in a year. Anil (who rents) and Bina (who keeps it empty) both own an asset

with the same earning power, so the law's instinct is to tax that power.

Two crucial softening decisions make this fair rather than brutal:

- **The family home is spared.** Taxing someone on the "notional rent" of the house they actually live in would be politically and morally absurd — you'd be taxing people for the sin of having a roof. So a **self-occupied residential house** is given an Annual Value of **NIL**. The earning-capacity principle bends here for a home you live in.
- **Only two deductions are allowed, both flat or structural.** Because the income is *notional*, the law refuses to get dragged into verifying thousands of small repair and maintenance bills. Instead it gives a single **flat standard deduction** (a fixed percentage) to cover *all* such costs, plus a deduction for **interest on money borrowed to acquire the property** (because that's a real, large, verifiable financing cost). Nothing else. This flat treatment is the signature of the head.

And the separation problem is solved by a simple ownership-and-use test: this head captures income from **buildings/land owned by you and NOT used for your own business or profession**. If the building feeds your business, its income belongs to "Profits and Gains of Business or Profession," not here.

So the mental model is: **House Property = tax on the passive rent-earning power of buildings you own but don't use in your own trade, softened by a NIL value for your own home and a generous flat deduction.**

3. Why It's Built This Way

Let's justify each design choice, because once you see the *why*, the sections stop being arbitrary.

Why tax notional value at all? Because the alternative — taxing only received rent — is trivially gamed. The law taxes *ability to earn*, using the reasonable market rent as the yardstick. This is the single most counter-intuitive idea in the head, and every downstream rule flows from it.

Why require ownership? Because the earning capacity of a building belongs to whoever owns it. A tenant who sub-lets doesn't own the earning power of the *building* — his profit from sub-letting is business/other income, not house property income. Tying the charge to ownership keeps the right person taxed.

Why exclude property used in one's own business? Because a factory or a shop you operate from isn't earning *rent* — it's an input into a business that's taxed under its own head, where you already deduct depreciation, actual repairs, electricity, everything. Taxing its "notional rent" as well would double-count. So the law says: if the building serves your own business/profession, it exits this head entirely.

Why a flat 30% standard deduction instead of actual expenses? Two reasons. First, administrative simplicity — the income is already notional, so verifying every collection charge, insurance premium, and repair invoice would be a nightmare for both taxpayer and department. Second, certainty — the owner knows in advance exactly what he can deduct. The flat percentage is a rough-justice proxy for "the costs of holding and maintaining a rented building." You get it *whether or not* you actually spent anything, and you get *only* it, no matter how much you actually spent. That's the deal.

Why allow interest on borrowed capital separately? Because financing a property is a genuine, large, and verifiable cost, and it's not the kind of thing a flat maintenance percentage is meant to cover. If the law didn't allow interest, buying property on a loan would be brutally taxed — you'd pay tax on rent while also servicing a loan out of the same money. Allowing interest recognises the real economics of leveraged property ownership.

Why give the self-occupied home a NIL value but *still* allow interest? The NIL value spares you from being taxed on your own roof. But the government *also* wants to encourage home ownership, so it lets you deduct home-loan interest even on the house you live in — creating a genuine *loss* under this head that can shelter your other income. That's a deliberate housing-policy subsidy embedded in the tax code.

Everything else in this chapter is mechanics serving these five ideas.

4. Full Technical Content

4.1 The Charging Section — Section 22

Section 22: The **annual value** of **property consisting of any buildings or lands appurtenant thereto** of which the assessee is the **owner**, *other than* such portions of the property as he may occupy for the purposes of any **business or profession carried on by him**, the profits of which are chargeable to income-tax, shall be chargeable to income-tax under the head **"Income from house property."**

Break Section 22 into its three load-bearing conditions — **all three must be satisfied**:

#	Condition	The "why"	Memory hook
1	There must be a building or land appurtenant to a building	The head taxes <i>buildings</i> , not bare land. Rent from a vacant plot (with no building) is taxed under "Other Sources," not here. "Appurtenant" land = the courtyard, garden, garage attached to the building.	" B uilding, not bare land"
2	The assessee must be the owner	Earning capacity belongs to the owner.	" O wner"
3	The property must NOT be used by the owner for his own business/profession whose profits are taxable	If it feeds his own taxed business, it exits this head (avoids double-counting).	" N ot own business"

Memory hook for all three: "B-O-N" — Building, Owner, Not-own-business. Fail any one and the income leaves this head.

Key consequence of condition 1: Rent from a *vacant plot of land* → **Income from Other Sources**. Rent from a building → House Property. This is a classic exam trap (see §8).

Key consequence of condition 3: A doctor who owns a building and runs her clinic from it earns *no* house property income on it — the building is absorbed into her profession. But if she rents out the top floor to a chemist, that floor's rent *is* house property income.

4.2 Who is the "Owner"? — the deeming provisions

"Owner" means the person entitled to receive income *in his own right*, and it's broader than the person whose name is on the municipal register. **Section 27** *deems* certain persons to be owners so that clever arrangements can't dodge the charge:

Deemed owner (Sec. 27)	Why the law deems it
An individual who transfers house property to spouse (not for adequate consideration, not under an agreement to live apart) or to a minor child (other than a married daughter)	Prevents dodging tax by gifting the property to family while still effectively enjoying it
Holder of an impartible estate	Treated as owner of all properties in the estate
A member of a co-operative society / company / AOP to whom a building is allotted under a house-building scheme	The member, not the society, enjoys the property
A person who acquires property under a power of attorney transaction / Section 53A part-performance (possession taken, consideration paid, though legal title not yet transferred)	Substance over form — the real enjoyer is taxed
A person holding a lease of ≥ 12 years (excluding month-to-month or ≤ 1 -year leases)	A long lease is economically like ownership

Composite point — "deemed owner" exists because the law taxes economic reality, not paper title.

4.3 Property held as stock-in-trade / income from house property vs. business

- If a builder holds flats as **stock-in-trade** (unsold inventory), the annual value of such property is treated specially: it is generally taken as **NIL for a specified period from the end of the financial year in which the completion certificate is obtained** (verify the current number of years — this limit has been amended and differs by AY). After that period, notional annual value applies. *Rationale*: don't punish a builder with notional rent on unsold stock right after completion, but don't let inventory sit tax-free forever either.
- If the letting is *inseparable* from letting of plant/machinery, or the property is exploited *commercially* as a business, the income can fall under **Business** or **Other Sources** instead. The dividing question is always: *is this passive rent, or an active business?*

4.4 The computation skeleton (learn this cold)

Every let-out property is computed on this exact ladder. Understand each rung by its logic:

	Gross Annual Value (GAV)		[the earning capacity]
(-)	Municipal taxes actually PAID by owner		[a real civic cost]
=	Net Annual Value (NAV)		[capacity net of civic dues]
(-)	Standard deduction @ 30% of NAV	[Sec. 24(a)]	[flat proxy for all upkeep]
(-)	Interest on borrowed capital	[Sec. 24(b)]	[real financing cost]
=	Income from House Property		

Only **two** deductions after NAV — that's the whole of Section 24. Memorise: "**24 = a + b = 30% + interest.**"

4.5 Step 1 — Gross Annual Value (Section 23)

GAV answers: *what is this property capable of earning, tested against what it actually earned?* The law compares a notional yardstick with the real rent and, broadly, takes the **higher**, then adjusts for vacancy.

The building blocks:

Term	Meaning	Why it exists
Municipal Value (MV)	Value fixed by the local authority for levying municipal tax	An official estimate of rental worth
Fair Rent (FR)	Rent a similar property in a similar locality would fetch	Market yardstick
Standard Rent (SR)	Maximum rent legally chargeable under Rent Control Act (if applicable)	The law can't tax you on rent you're legally forbidden to charge
Actual Rent Received/Receivable (AR)	Rent actually charged for the let-out period (after excluding unrealised rent, subject to conditions)	The real-world figure

The GAV logic in three moves:

Move 1 — Compute "Expected Rent" (ER): the property's notional earning capacity. - ER = **higher of** Municipal Value and Fair Rent... - **...but capped at Standard Rent** (if a Rent Control Act applies). *Why the cap? Because it's unjust to tax notional rent higher than the maximum the law lets you legally collect.*

$$ER = [\text{higher of (MV, FR)}] \text{ but restricted to SR}$$

Move 2 — Compare Expected Rent with Actual Rent: - Broadly, **GAV = higher of ER and Actual Rent Received/Receivable**. - *Why higher?* Because if you actually got *more* than the notional estimate, that higher real figure is clearly your earning capacity realised; if you got *less* (e.g., a below-market family arrangement), the law falls back on notional ER so you can't under-report by charging a sweetheart rent.

Move 3 — Adjust for vacancy (the important exception): - If the property was **vacant for part of the year** and, *owing to that vacancy*, the actual rent received is **lower than the Expected Rent**, then the **actual rent received (for the let-out period) becomes the GAV** — i.e., you are not taxed on rent for months the property genuinely stood empty. - *Why?* Vacancy is a real loss of earning capacity. Taxing notional rent for months no tenant existed would tax phantom income. So genuine vacancy pulls GAV *down* to the actual rent.

The practical order (a clean algorithm): 1. Compute ER = higher of (MV, FR), capped at SR. 2. Compute Actual Rent for the let-out period (Rent per month × months let, less unrealised rent if conditions met). 3. If **no vacancy** → GAV = higher of (ER, Actual Rent). 4. If **vacancy caused AR < ER** → GAV = Actual Rent (the vacancy-reduced figure).

(ICAI presents a step-wise comparison; the safest exam approach is: first find ER; then find AR; then compare, and finally apply the vacancy rule. Worked Example 3 shows every branch.)

4.6 Step 2 — Municipal Taxes (deduct from GAV to get NAV)

- Municipal/local taxes (house tax, water tax, etc.) are deductible **only if (a) borne by the owner AND (b) actually PAID during the previous year.**
- *Why "paid," not "payable"?* Because it's a *cash civic outgo* the law lets you net off — but only when you've actually parted with the money. Taxes merely due but unpaid get no deduction. This is a favourite trap.
- Taxes paid by the *tenant* are **not** deductible (the owner didn't bear them).

NAV = GAV – Municipal taxes actually paid by owner

4.7 Step 3 — Deductions under Section 24

Only two, and *only* these two:

(a) Standard Deduction — Section 24(a): 30% of NAV. - A **flat 30% of NAV**, allowed *irrespective* of actual expenditure. - *Why flat?* Administrative simplicity + certainty (see §3). You get it even if you spent nothing on repairs; you get *only* it even if you spent 50%. - **Not available** where NAV is nil (e.g., self-occupied), because 30% of nil is nil.

(b) Interest on Borrowed Capital — Section 24(b). - Interest payable on money **borrowed to acquire, construct, repair, renew or reconstruct** the property is deductible. - Deductible on an **accrual (payable) basis** — you don't need to have actually paid it, unlike municipal taxes. *Why the difference?* Municipal tax deduction is a specific statutory concession tied to payment; interest is a normal business-style expense allowed as it accrues. - **Let-out property:** the *entire* interest is deductible (no ceiling). This can create a **loss** from house property. - **Self-occupied property:** interest is capped (a specified ceiling — commonly ₹2,00,000 for a loan taken for acquisition/construction that is completed within the prescribed period, and a lower ₹30,000 ceiling in other cases such as repair loans or where the completion/loan conditions aren't met). **Verify the current ceilings and completion-period conditions for your AY.** - *Why cap it for self-occupied but not let-out?* A let-out property produces taxable income against which its full financing cost should logically be set. A self-occupied home produces *no* taxable income (NIL AV), so allowing unlimited interest there would be a bottomless subsidy — the ceiling limits the housing subsidy to a sensible amount.

4.8 Pre-construction interest — the timing fix

The problem: You take a loan and start paying interest *while the house is being built* — but there's no income and often no "property" to compute income against yet, in the years *before* completion. Do you lose that interest?

The solution: Interest for the **pre-construction period** is not lost — it is **aggregated and allowed in 5 equal annual instalments**, starting from the **year in which the construction is completed / property is acquired**.

- **Pre-construction period** = from the **date of borrowing** up to **31st March immediately preceding** the year of completion/acquisition (or the date of repayment of loan, if earlier).
- So each year after completion you deduct: **(current year's interest) + (1/5 of the accumulated pre-construction interest)**, for five years.
- *Why 5 instalments rather than all at once?* Spreading prevents a single huge deduction in year one and matches the deduction roughly to the years the property is generating benefit. For self-occupied

property, the pre-construction instalment still counts *within* the overall ₹2,00,000 / ₹30,000 ceiling — verify.

Memory hook: "Pre-con = 5 slices, served from completion year."

4.9 Self-occupied vs. Let-out — the two regimes

Feature	Self-Occupied Property (SOP)	Let-Out Property (LOP)
Governing idea	Don't tax your own roof	Tax the earning capacity
Annual Value	NIL (Sec. 23(2))	GAV per Sec. 23(1)
Municipal taxes	No deduction (NAV already nil)	Deductible if paid by owner
Standard deduction 24(a)	Nil (30% of nil)	30% of NAV
Interest 24(b)	Allowed up to ceiling (₹2,00,000 / ₹30,000 — verify)	Full , no ceiling
Resulting figure	Usually a loss (0 – interest)	Income or loss

How many houses can be self-occupied? An individual/HUF may treat **up to two** houses as self-occupied (AV nil). *Why the "two"?* Recognises real families keep a home in the home town and another where they work. If you own more houses that are neither let nor used for business, the extra ones are treated as **"Deemed Let Out" (DLO)** — you're taxed on their notional expected rent as if let, because you can't have unlimited tax-free homes. **The aggregate self-occupied interest ceiling (₹2,00,000) applies across the SOP houses combined, not per house — verify current rule.**

Deemed Let Out (DLO): compute GAV as the Expected Rent (there's no actual rent), then proceed exactly like a let-out property (30% standard deduction, full interest).

4.10 Special situations (know the treatment)

Situation	Treatment	Logic
Unrealised rent later recovered	Taxable in the year of recovery under house property, even if you no longer own the property; 30% standard deduction is still allowed on it	It's realised earning capacity, finally received
Arrears of rent received	Taxable in year of receipt; 30% standard deduction allowed	Same logic
Property owned by co-owners with definite shares	Each co-owner taxed on his share; each individually gets the SOP benefit/ceiling	Tax each real owner separately
Composite rent (building + amenities/plant)	If separable → building portion under House Property, rest under Other Sources/Business. If inseparable → whole under Business/Other Sources	Match the substance
Part let, part self-occupied	Compute each portion separately	Different regimes for different uses
House Property loss set-off	Loss can be set off against other heads in the same year up to ₹2,00,000 ; unabsorbed loss carried forward up to 8 years (set off only against house property income thereafter)	Limits the shelter home-loan interest can give against, say, salary

5. Worked Examples

Example 1 — A clean let-out property (build the reflex)

Facts: Mr. Rao owns a house, let out for the whole year at ₹25,000/month. Municipal Value ₹2,40,000; Fair Rent ₹2,80,000; no Rent Control Act applies. Municipal taxes ₹30,000, fully paid by Mr. Rao during the year. He borrowed ₹20,00,000 for construction; interest for the year ₹1,50,000. Compute his income from house property.

Step 1 — Expected Rent (ER): - Higher of (MV ₹2,40,000, FR ₹2,80,000) = **₹2,80,000**. No SR (no Rent Control) → ER = ₹2,80,000.

Step 2 — Actual Rent (AR): ₹25,000 × 12 = **₹3,00,000**. No vacancy.

Step 3 — GAV: higher of (ER ₹2,80,000, AR ₹3,00,000) = **₹3,00,000**.

Computation:

Particulars	₹
Gross Annual Value	3,00,000
Less: Municipal taxes paid	(30,000)
Net Annual Value (NAV)	2,70,000
Less: Standard deduction @ 30% of NAV [24(a)]	(81,000)
Less: Interest on borrowed capital [24(b)]	(1,50,000)
Income from House Property	39,000

Check: $2,70,000 - 81,000 - 1,50,000 = 39,000$. ✓

Example 2 — Self-occupied home with a home loan (see the loss)

Facts: Ms. Iyer lives in her own house all year (self-occupied). Home loan taken in FY 2018-19 for acquisition; construction completed FY 2019-20. Interest during the current previous year: ₹2,30,000. She has salary income of ₹9,00,000. Assume the ₹2,00,000 self-occupied ceiling applies (verify for your AY).

Step 1 — Annual Value: Self-occupied → **NIL**.

Step 2 — Deductions: - 30% standard deduction = 30% of NIL = **NIL**. - Interest ₹2,30,000, but **capped at ₹2,00,000** for a self-occupied acquisition loan.

Computation:

Particulars	₹
Annual Value (self-occupied)	Nil
Less: Standard deduction 24(a)	Nil
Less: Interest 24(b), restricted to ceiling	(2,00,000)
Income / (Loss) from House Property	(2,00,000)

Set-off: This ₹2,00,000 loss is set off against salary (within the ₹2,00,000 aggregate limit), reducing taxable salary from ₹9,00,000 to **₹7,00,000**. The ₹30,000 interest above the ceiling is simply lost (not carried forward).

Insight: the NIL annual value + capped interest is precisely the housing subsidy of ₹3 in action.

Example 3 — The exam-hard one: vacancy, unrealised rent, standard rent, and pre-construction interest all together

Facts: Mr. Sharma owns a house. - Municipal Value ₹3,00,000; Fair Rent ₹3,60,000; **Standard Rent ₹3,30,000** (Rent Control applies). - Let out at ₹32,000/month. It remained **vacant for 2 months**; let out for the other 10 months. - **Unrealised rent** ₹32,000 (one month's rent, all conditions of Rule 4 satisfied). - Municipal taxes ₹36,000; Mr. Sharma paid ₹24,000 this year, the tenant paid ₹12,000. - Loan of ₹15,00,000 taken on **1 July 2019** for construction; construction **completed 31 March 2023**. Interest is ₹1,20,000 per year. (Assume current previous year is FY 2023-24 for the pre-construction spread; verify the AY for your attempt.)

Step 1 — Expected Rent (ER): - Higher of (MV ₹3,00,000, FR ₹3,60,000) = ₹3,60,000. - Capped at Standard Rent ₹3,30,000 → **ER = ₹3,30,000.**

Step 2 — Actual Rent for the let-out period: - Rent = ₹32,000 × 12 = ₹3,84,000 would be full-year; but let for 10 months. - Rent for let-out period = ₹32,000 × 10 = ₹3,20,000. - Less unrealised rent ₹32,000 → **AR (received/receivable) = ₹2,88,000.**

(Note: the 2 months' vacancy loss is ₹64,000; the 1 month unrealised rent ₹32,000 is deducted separately as it satisfies the conditions.)

Step 3 — GAV using the vacancy rule: - Compare ER ₹3,30,000 with the rent that *would have been received had there been no vacancy*: ₹32,000 × 11 months (12 less the 1 month unrealised) = ₹3,52,000. Since ₹3,52,000 > ER ₹3,30,000, we start from the higher, ₹3,52,000. - Now **reduce for the 2 months' vacancy**: ₹3,52,000 – ₹64,000 (2 × ₹32,000) = **GAV ₹2,88,000.** - *Interpretation:* because the property was vacant and, owing to that vacancy, actual rent fell below ER, the vacancy-adjusted actual rent (₹2,88,000) becomes the GAV. The tenant genuinely wasn't there for 2 months, so you aren't taxed on those.

Step 4 — Municipal taxes: only the ₹24,000 **paid by the owner** is deductible; the ₹12,000 paid by the tenant is not.

Step 5 — Pre-construction interest: - Loan taken 1 July 2019; completion 31 March 2023. - Pre-construction period = 1 July 2019 to **31 March 2022** (the 31st March immediately preceding the year of completion FY 2022-23... note: since completion is on the last day 31 Mar 2023, i.e., FY 2022-23, pre-construction period runs up to 31 March 2022). - Interest ₹1,20,000/yr. From 1 July 2019 to 31 March 2020 = 9 months = ₹90,000; FY 2020-21 = ₹1,20,000; FY 2021-22 = ₹1,20,000. **Total pre-construction interest = ₹90,000 + ₹1,20,000 + ₹1,20,000 = ₹3,30,000.** - Allowed in **5 equal instalments** from FY 2022-23 onwards: ₹3,30,000 / 5 = **₹66,000 per year.** - Current year (FY 2023-24) is the 2nd instalment year, so allow ₹66,000. - **Current year interest** (FY 2023-24, post-completion) = ₹1,20,000. - **Total interest deduction this year = ₹1,20,000 + ₹66,000 = ₹1,86,000.**

Computation:

Particulars	₹
Gross Annual Value (vacancy-adjusted)	2,88,000
Less: Municipal taxes paid by owner	(24,000)
Net Annual Value (NAV)	2,64,000
Less: Standard deduction @ 30% of NAV [24(a)]	(79,200)
Less: Interest 24(b): current ₹1,20,000 + pre-con ₹66,000	(1,86,000)
Income / (Loss) from House Property	(1,200)

Check: 2,64,000 – 79,200 – 1,86,000 = **–1,200.** A small loss. ✓ (This ₹1,200 loss is eligible for set-off against other heads within the ₹2,00,000 limit.)

This single example exercises: MV/FR/SR cap, vacancy adjustment, unrealised rent, owner-vs-tenant municipal tax, and the pre-construction 5-instalment spread — the exact combination examiners love.

6. Computation Format / Presentation

Present *every* house property answer on this template. Examiners award method marks for the ladder even if a number slips.

Computation of Income from House Property – Mr./Ms. X, A.Y. 20XX–XX

Step A: Expected Rent (ER)

= Higher of (Municipal Value, Fair Rent), restricted to Standard Rent

Step B: Actual Rent received/receivable

= (Rent p.m. × months let) – Unrealised rent (if Rule 4 conditions met)

Step C: Gross Annual Value (GAV)

= Higher of (ER, Actual Rent) [if no vacancy]

= Vacancy-adjusted actual rent [if vacancy pulled AR below ER]

Gross Annual Value (GAV)	XXX
--------------------------	-----

Less: Municipal taxes ACTUALLY PAID by owner	(XX)
--	------

Net Annual Value (NAV)	XXX
------------------------	-----

Less: Standard deduction @ 30% of NAV [Sec 24(a)]	(XX)
---	------

Less: Interest on borrowed capital [Sec 24(b)]	(XX)
--	------

= Current-year interest + 1/5 pre-construction

Income / (Loss) from House Property	XXX
-------------------------------------	-----

Presentation rules that earn marks: - Always show ER, AR, and GAV as *separate working notes* — don't jump straight to a number. - State the SR cap and the vacancy rule *explicitly* when relevant. - Show pre-construction interest as its own working note (period → total → ÷5). - Label each property; total multiple properties at the end. - For SOP, write "Annual Value — NIL (self-occupied, Sec 23(2))" so the examiner sees you *know* why.

Decision tree — which regime applies?

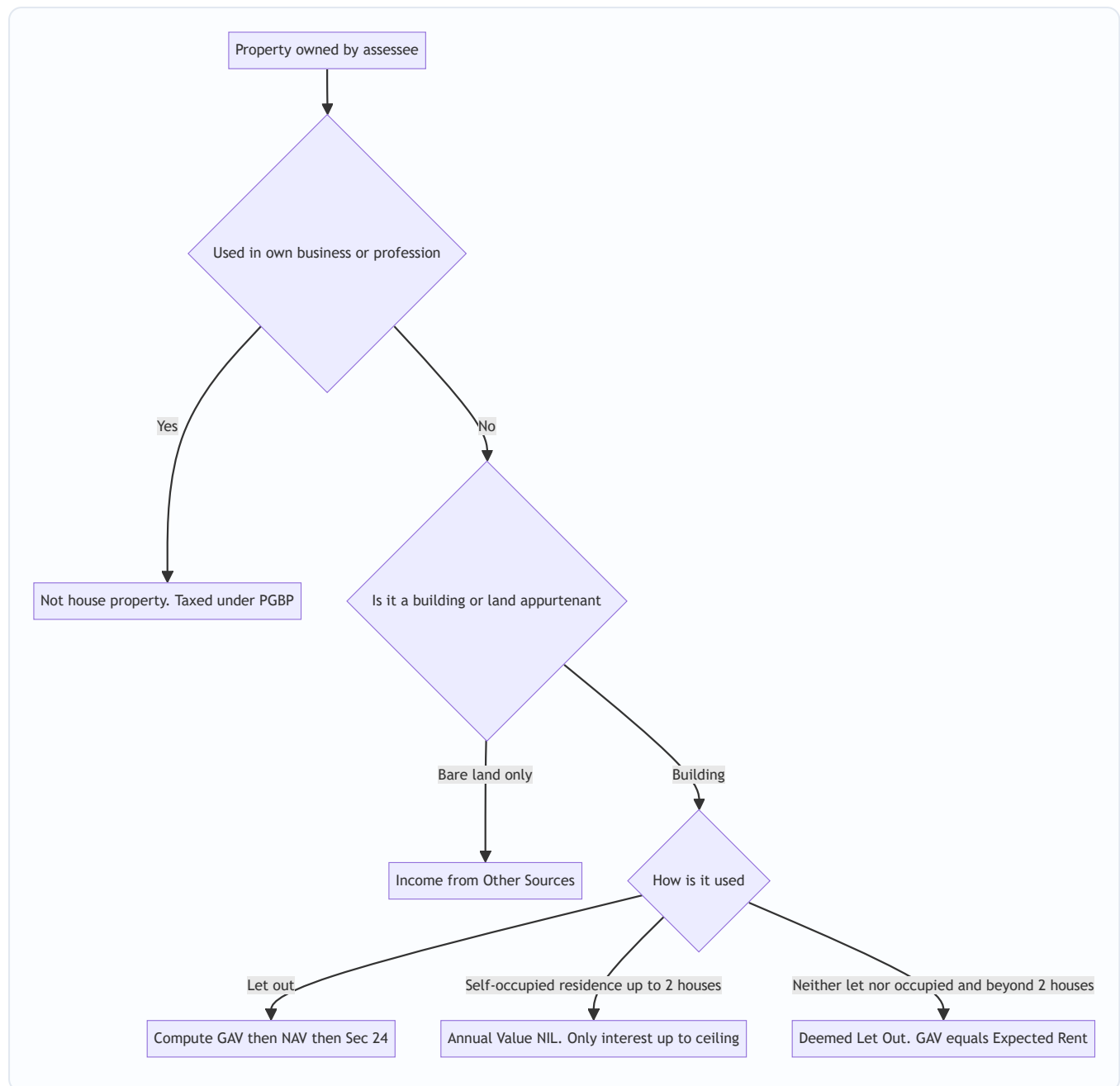
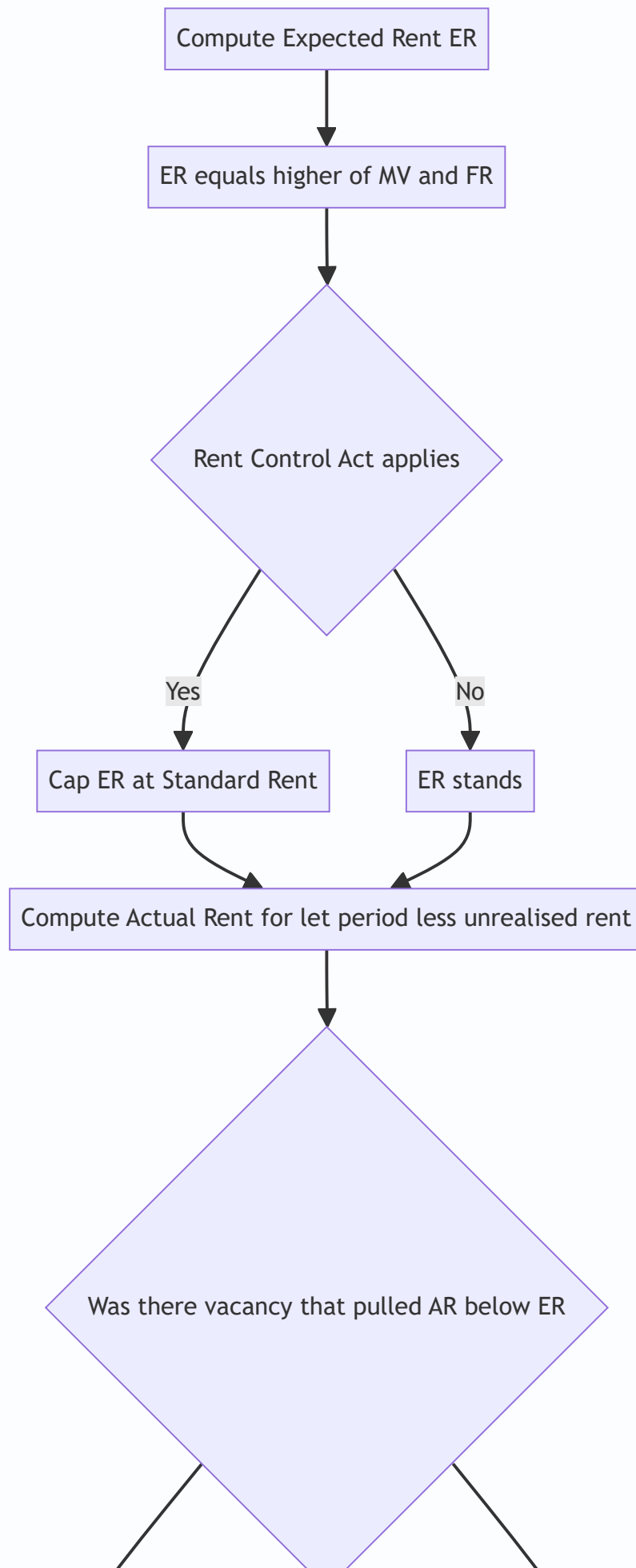


Figure 1 — The B-O-N gate decides entry to the head; use decides the regime.

Flow — computing Gross Annual Value



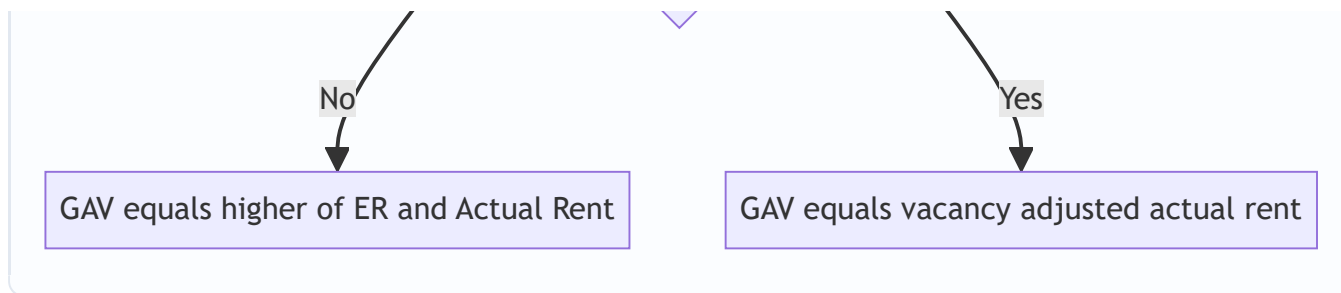


Figure 2 — The GAV algorithm: build ER, compare with AR, then let genuine vacancy pull it down.

7. Connections

- → **Deemed owner (Sec 27) links to Clubbing of Income:** transferring property to spouse/minor child is caught both here (deemed owner) and in the clubbing provisions — the law plugs the same leak twice.
- → **Set-off & Carry-forward chapter:** the ₹2,00,000 inter-head set-off cap and 8-year carry-forward of house property loss are examined jointly with this head. A capped self-occupied interest loss is the classic feeder.
- → **PGBP:** the *dividing line* — building used in own business exits to PGBP; a builder's stock-in-trade flats have a special NIL-for-a-period rule. Composite/inseparable letting can be business income.
- → **Income from Other Sources:** bare land rent, and sometimes composite rent, land here.
- → **Deductions under Chapter VI-A:** home-loan *principal* repayment is a **Section 80C** deduction (not a house-property deduction) — don't confuse it with the 24(b) *interest*. Additional interest deductions (e.g., 80EE/80EEA for specified affordable-housing loans) sit in Chapter VI-A, not Section 24 — verify availability for your AY.
- → **Capital Gains:** when the house is sold, gains are taxed under Capital Gains; the *annual value* concept stops and the *sale* concept begins.

8. Traps & Examiner Tricks

1. **Municipal tax — "paid" vs "payable."** Only taxes *actually paid by the owner during the year* are deductible from GAV. Taxes merely *due*, or taxes *paid by the tenant*, get **nothing**. Watch for split payments (Example 3).
2. **Interest is "payable," municipal tax is "paid."** Interest under 24(b) is on **accrual** — deductible even if unpaid. Reversing these two is the most common slip.
3. **Standard deduction is 30% of NAV, not of GAV, not of rent.** And it's **flat** — actual repair bills are irrelevant. If the question gives you "repairs ₹40,000," it's a distractor; ignore it, take 30% of NAV.
4. **Bare land rent is NOT house property.** No building ⇒ Other Sources. A vacant-plot rent slipped into a house-property sum is a classic misdirection.
5. **Vacancy vs. unrealised rent are different reductions.** Vacancy adjusts the GAV (no tenant existed); unrealised rent reduces *actual rent* (tenant existed but defaulted, subject to Rule 4 conditions). Don't merge them.
6. **Self-occupied: 30% standard deduction is NIL.** Because NAV is nil. Students reflexively deduct 30% — there's nothing to take 30% of.

7. **Self-occupied interest ceiling is aggregate across the (up to two) self-occupied houses, not per house** — and interest above the ceiling is *lost*, not carried forward. Verify current ceiling.
 8. **Pre-construction interest instalments start from the completion year, not the borrowing year**, and each instalment is 1/5 of the *accumulated* pre-construction interest, added on top of current-year interest. For self-occupied, it still fits *inside* the ceiling.
 9. **80C (principal) ≠ 24(b) (interest)**. Principal repayment is a Chapter VI-A deduction; don't deduct it under this head.
 10. **Deemed Let Out property** (3rd+ house) is taxed on *Expected Rent* even though it earns nothing — students wrongly treat it as self-occupied.
 11. **Composite rent** must be split (separable) or fully diverted (inseparable). Don't tax amenity charges as house property when separable — that portion is Other Sources/Business.
 12. **Unrealised/arrears rent recovered later** is taxable *when received*, still with a 30% deduction, *even if the property has since been sold*. Easy to miss the 30%.
-

9. First-Principles Recap

Reconstruct the whole head from one sentence: **tax the earning capacity of owned buildings, softened for the home you live in.**

- Because we tax **capacity, not cash**, the base is a *notional Annual Value*, benchmarked against market rent (Sec 22, 23).
- Because capacity belongs to the **owner**, ownership is the trigger — and **Sec 27 deems** the real economic owner where paper title lies elsewhere.
- Because a building used in **your own business** is already taxed there, it **exits** this head (the "N" of B-O-N).
- Because you shouldn't be taxed on **your own roof**, a self-occupied home gets **NIL** value — but to *encourage ownership*, home-loan **interest** is still allowed up to a ceiling, deliberately creating a shelter-loss.
- Because the income is **notional**, upkeep is covered by a **flat 30%** deduction (no bill-checking), and only the large, real **financing cost (interest)** is separately allowed. **Two deductions, full stop.**
- Because **vacancy** and **default** are real losses of capacity, the law lets genuine vacancy pull GAV down and lets qualifying unrealised rent reduce actual rent.
- Because **construction takes years** before any income, pre-construction interest isn't lost — it's **spread over 5 years** from completion.

If you can derive each rule from "capacity, not cash, with the home spared," you never need to memorise the sections — they *fall out* of the logic.

10. Quick-Revision Sheet

Sections at a glance

Section	What it does	One-line why
22	Charging section — annual value of owned buildings, not used in own business	Taxes passive rent-earning power
23(1)	How to compute GAV (ER vs AR, vacancy)	Notional capacity vs actual rent
23(2)	Self-occupied → Annual Value NIL	Don't tax your own roof
23(4)	More than two houses → extra ones Deemed Let Out	No unlimited tax-free homes
23(5)	Stock-in-trade flats — AV NIL for a specified period	Don't punish unsold builder inventory immediately
24(a)	Standard deduction 30% of NAV	Flat proxy for all upkeep
24(b)	Interest on borrowed capital	Real financing cost
25A	Unrealised rent / arrears recovered — taxable, 30% deduction	Realised capacity, finally received
26	Co-owners with definite shares taxed separately	Tax each real owner
27	Deemed owner	Substance over paper title

Limits & rules table (verify all figures for your AY)

Item	Rule / Limit	Basis
Standard deduction 24(a)	30% of NAV	Flat, regardless of actual spend
Interest 24(b) — let-out	No ceiling (full interest)	Income exists to absorb it
Interest 24(b) — self-occupied , qualifying acquisition/construction loan	Ceiling ₹2,00,000 (aggregate, ≤2 SOP houses)	Limits housing subsidy
Interest 24(b) — self-occupied , other cases (e.g., repair loan / conditions not met)	Ceiling ₹30,000	Lower subsidy for non-acquisition
Pre-construction interest	Accumulate from borrowing to 31 March before completion; deduct in 5 equal annual instalments from completion year	Spread, match to benefit
Municipal taxes	Deductible only if actually paid by owner in the year	Cash civic outgo
Number of self-occupied houses	Up to 2 (individual/HUF); extra = Deemed Let Out	Real families keep two homes
House property loss set-off	Against other heads up to ₹2,00,000 per year	Caps the interest shelter
Carry forward of HP loss	8 assessment years (vs HP income only)	Standard loss carry rule
Principal repayment	Sec 80C (Chapter VI-A), NOT Sec 24	Different head of relief

The two-line computation you must be able to write blind

GAV → (- municipal tax paid) → NAV → (- 30% of NAV) → (- interest 24b) → Income/Loss
ER = higher(MV, FR) capped at SR; GAV = higher(ER, AR), reduced for genuine vacancy

Memory hooks

- **B-O-N** — Building, Owner, Not-own-business (the three Sec 22 gates).
- **"24 = a + b = 30% + interest"** — the only two deductions.
- **"Tax paid, interest payable"** — municipal tax on payment; interest on accrual.
- **"Pre-con = 5 slices from completion year."**
- **"NIL roof, capped interest"** — the self-occupied regime.

Final reminder: the *logic* above is durable; the *numbers* (30%, ₹2,00,000, ₹30,000, 5 instalments, set-off cap, self-occupied count, stock-in-trade period) are amendment-prone. **Confirm every figure against current ICAI material for your Assessment Year before the exam.**

Q&A — Income from House Property

AY note: All rates and monetary limits below reflect the position generally applicable for recent assessment years (e.g., standard deduction 30%, self-occupied interest cap Rs. 2,00,000, Sec 71 set-off cap Rs. 2,00,000). **Always re-verify the exact caps for your applicable AY against current ICAI study material**, especially the interaction with the default new regime under Sec 115BAC where the SOP interest deduction and house-property loss set-off are restricted.

Section A — Concept Check (with answers)

A1. What are the three cumulative conditions in Sec 22 for an income to be taxed under "Income from House Property"? Answer: (i) The property must consist of **buildings or lands appurtenant thereto**; (ii) the assessee must be the **owner** (Sec 27 deemed-owner cases included); (iii) the property must **not be used** by the owner for his own **business or profession** whose profits are taxable. If all three hold, the *annual value* is chargeable — even if no actual rent is received. Vacant land alone (no building) is taxed under "Other Sources," not house property.

A2. Why is house property taxed on "annual value" (a notional earning capacity) rather than actual rent? Answer: Sec 22 taxes the **inherent income-earning potential** of the building, not the cash flow. This prevents avoidance by owners who keep property idle or let it to relatives at nominal rent. Hence Sec 23 builds GAV from *expected rent* (municipal value / fair rent / standard rent) and only substitutes actual rent when it is higher.

A3. Distinguish Gross Annual Value (GAV) and Net Annual Value (NAV). Answer: **GAV** (Sec 23) is the higher of expected rent and actual rent received/receivable (adjusted for vacancy/unrealised rent). **NAV = GAV – municipal taxes actually paid by the owner during the year.** Deductions under Sec 24 (30% + interest) are applied on NAV, not GAV.

A4. State the two deductions allowable under Sec 24 and note that no other expense is deductible. Answer: (a) **Sec 24(a): flat 30% of NAV** — a standard deduction covering repairs, collection, insurance etc. (allowed even if actual repairs are nil or higher). (b) **Sec 24(b): interest on borrowed capital** for acquisition/construction/repair/renewal. Actual repairs, ground rent, and collection charges are **not** separately deductible — the 30% is exhaustive.

A5. What is "pre-construction interest" and how is it deducted? Answer: Interest for the period **from the date of borrowing to 31 March preceding the year in which construction/acquisition is completed.** It is aggregated and deducted in **five equal annual instalments** starting from the year of completion, under Sec 24(b), **in addition** to current-year interest — subject to the overall Rs. 2,00,000 cap for a self-occupied property.

A6. Under Sec 25A, how is unrealised rent later recovered and arrears of rent taxed? Answer: Amounts received as **arrears of rent or recovered unrealised rent** are taxable in the year of receipt under Sec 25A, **even if the assessee no longer owns** the property. A **30% standard deduction** is allowed on such amount; no other deduction.

A7. When does Sec 27 deem a person to be "owner" though not the legal titleholder? Answer: Key deemed owners: (i) transfer to **spouse** (not under agreement to live apart) or to a **minor child** (not married

daughter) without adequate consideration; (ii) **holder of an impartible estate**; (iii) **member of a co-operative society/company** to whom a building is allotted; (iv) person in possession under **Sec 53A of Transfer of Property Act** (part performance); (v) lessee under a lease **exceeding 12 years**.

A8. How is co-owned property (Sec 26) assessed? Answer: Where shares are **definite and ascertainable**, each co-owner is taxed on **his share** of the income, not as an AOP. For a self-occupied share, each co-owner separately gets the SOP benefit (nil GAV) and his own interest cap.

Section B — Graded Computational Problems (full working)

B1 (Easy) — Let-out property, single tenant, no complications

Municipal value Rs. 1,20,000; Fair rent Rs. 1,40,000; Actual rent Rs. 15,000 p.m.; Municipal taxes paid Rs. 12,000; Interest on loan Rs. 40,000. Compute income.

Solution (Sec 23/24): | Step | Rs. | |---|---| | Municipal value | 1,20,000 | | Fair rent | 1,40,000 | | Expected rent = higher of MV, FR (no standard rent) | 1,40,000 | | Actual rent (15,000 × 12) | 1,80,000 | | **GAV = higher of expected rent & actual rent | 1,80,000** | | Less: Municipal taxes paid | (12,000) | | **NAV | 1,68,000** | | Less: Sec 24(a) 30% of NAV | (50,400) | | Less: Sec 24(b) interest | (40,000) | | **Income from house property | 77,600** |

Self-verify: 1,68,000 – 50,400 – 40,000 = 77,600. ✓

B2 (Moderate) — Standard rent + vacancy

Municipal value Rs. 2,00,000; Fair rent Rs. 2,20,000; Standard rent Rs. 1,90,000; Actual rent Rs. 20,000 p.m.; property vacant for 2 months; municipal taxes Rs. 20,000 paid by owner; interest Rs. 1,50,000.

Solution: - Expected rent = higher of MV (2,00,000) and FR (2,20,000), **capped at standard rent 1,90,000** → **1,90,000**. - Actual rent received = 20,000 × 10 (vacant 2 months) = **2,00,000**. - Rent for full year would be 20,000 × 12 = 2,40,000. Because actual rent (2,40,000) *would have exceeded* expected rent but for vacancy, apply Sec 23(1)(c): **GAV = actual rent received = 2,00,000** (vacancy allowance applies since actual-would-exceed-expected).

	Rs.
GAV	2,00,000
Less: Municipal taxes	(20,000)
NAV	1,80,000
Less: 30% of NAV	(54,000)
Less: Interest Sec 24(b)	(1,50,000)
Income (Loss)	(24,000)

Self-verify: 1,80,000 – 54,000 – 1,50,000 = –24,000 (loss). ✓ This loss is set off against other heads up to Rs. 2,00,000 (Sec 71).

B3 (Exam-hard) — SOP + LOP, pre-construction interest, deemed let-out logic

Mr. A owns two houses. **House 1 (self-occupied):** loan taken 1 July 2019 Rs. 20,00,000 @ 10% p.a.; construction completed 31 March 2023; used for own residence from 1 April 2023. **House 2 (let-out):** actual rent Rs. 25,000 p.m., municipal value Rs. 2,80,000, fair rent Rs. 3,00,000, municipal taxes paid Rs. 30,000, current interest Rs. 1,80,000. Compute income for the relevant PY (assume completion enables full-year benefit).

House 1 — pre-construction interest (Sec 24(b)): - Pre-construction period: 1 July 2019 → 31 March 2022 (year *before* completion year 2022-23). - Interest p.a. = 20,00,000 × 10% = 2,00,000. Period = 1 Jul 2019 to 31 Mar 2022 = 2 years 9 months. - 2019-20 (Jul–Mar, 9 mo): 1,50,000; 2020-21: 2,00,000; 2021-22: 2,00,000. Total = **5,50,000**. - Deduct in 5 equal instalments = 5,50,000 / 5 = **1,10,000 per year**. - Current-year interest (year of occupation) = 2,00,000. - Total interest claimed for House 1 = 1,10,000 + 2,00,000 = 3,10,000, **capped at Rs. 2,00,000** (self-occupied).

House 1 (SOP)	Rs.
GAV (self-occupied)	Nil
Less: Interest (capped)	(2,00,000)
Income House 1	(2,00,000)

House 2 (LOP): || Rs. || --- || Expected rent (higher of MV 2,80,000 / FR 3,00,000) | 3,00,000 || Actual rent (25,000 × 12) | 3,00,000 || GAV (higher) | 3,00,000 || Less: Municipal taxes | (30,000) || **NAV | 2,70,000** || Less: 30% | (81,000) || Less: Interest | (1,80,000) || **Income House 2 | 9,000** |

Aggregate income from house property = (2,00,000) + 9,000 = (1,91,000) loss. Set-off against other heads limited to **Rs. 2,00,000** under Sec 71 — full 1,91,000 is within cap, so entire loss set off; nil carried forward.

Self-verify: House 2: 2,70,000 – 81,000 – 1,80,000 = 9,000 ✓. Aggregate –2,00,000 + 9,000 = –1,91,000 ✓.

Section C — Past-Paper-Style Full Questions

C1. Mr. Rao owns a house let out at Rs. 18,000 p.m. Municipal value Rs. 2,00,000, fair rent Rs. 2,10,000, standard rent Rs. 1,95,000. He could not realise rent for 2 months (conditions of Rule 4 satisfied). Municipal taxes Rs. 22,000, of which Rs. 8,000 paid by tenant. Interest on loan Rs. 90,000. Compute income. (Cite sections.)

Model answer: - Expected rent = higher of MV (2,00,000)/FR (2,10,000) restricted to standard rent → **1,95,000** (Sec 23(1)(a)). - Actual rent receivable = 18,000 × 12 = 2,16,000; **less unrealised rent** (2 months, Rule 4 satisfied) 36,000 = 1,80,000 (Sec 23(1)(b)/(c)). - GAV = higher of expected rent (1,95,000) and actual rent after unrealised deduction (1,80,000) = **1,95,000**. - Municipal taxes deductible = **only those paid by owner** = 22,000 – 8,000 = **14,000** (Sec 23).

	Rs.
GAV	1,95,000
Less: Municipal taxes (owner)	(14,000)
NAV	1,81,000
Less: 30% (Sec 24a)	(54,300)
Less: Interest (Sec 24b)	(90,000)
Income from house property	36,700

Self-verify: $1,81,000 - 54,300 - 90,000 = 36,700 \checkmark$.

C2. Mrs. Sen transferred a house to her minor son without consideration; the house is let out (net income Rs. 1,20,000). She also received Rs. 60,000 arrears of rent in the year for a property she sold two years ago. Explain the tax treatment.

Model answer: - **Deemed ownership (Sec 27):** transfer to a minor child without adequate consideration makes Mrs. Sen the deemed owner; the Rs. 1,20,000 is taxable **in her hands** under house property (not clubbed under Sec 64 — Sec 27 overrides). - **Arrears of rent (Sec 25A):** Rs. 60,000 taxable in the year of receipt though she no longer owns the property; **30% standard deduction** = 18,000; taxable arrears = **42,000**. - Total house property income = $1,20,000 + 42,000 = 1,62,000$.

Section D — MCQs / Case Scenarios

D1. Standard deduction under Sec 24(a) is computed on — A) GAV B) NAV C) Municipal value D) Actual rent
Answer: B (NAV). 30% is always on Net Annual Value, after municipal taxes.

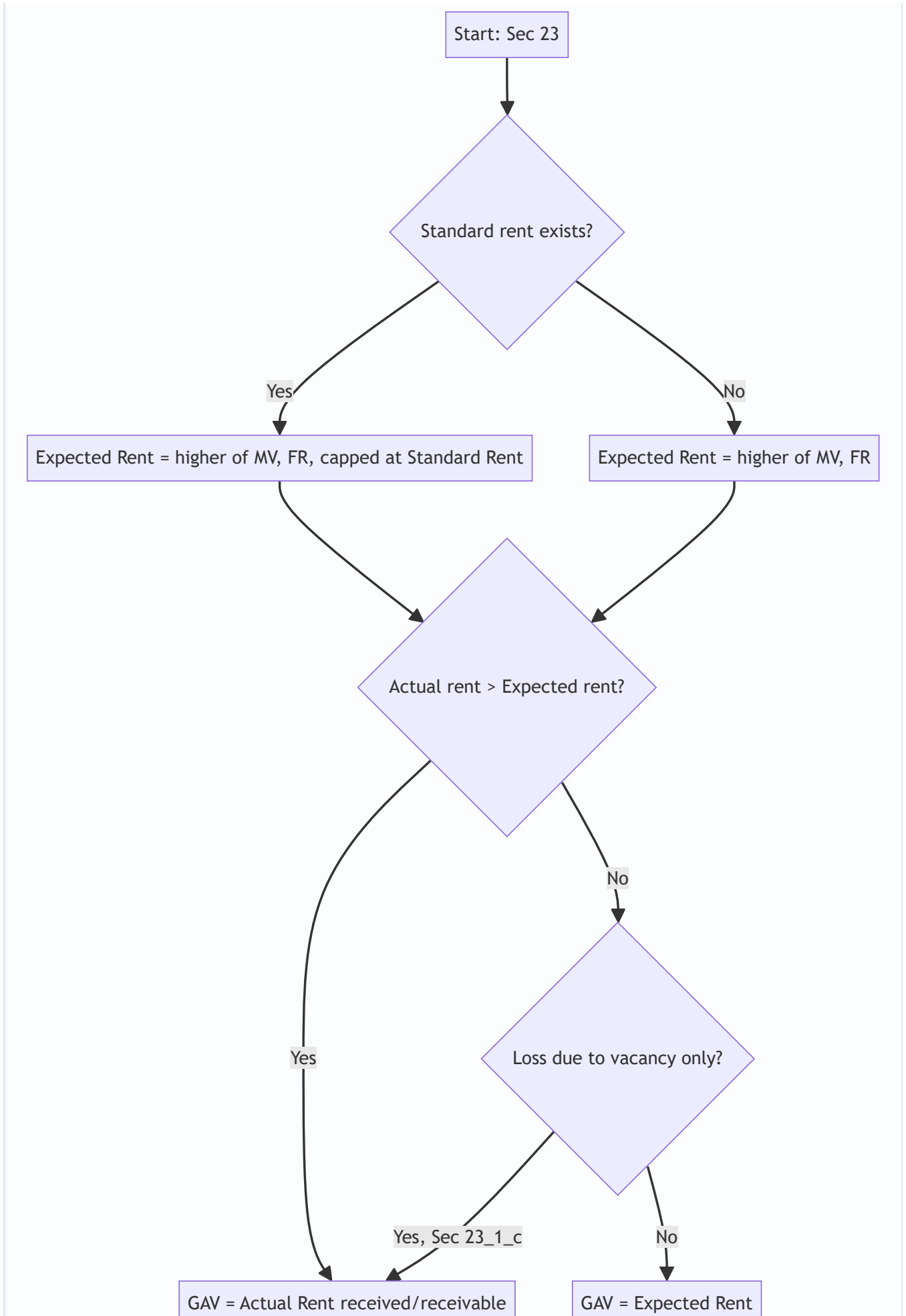
D2. For a self-occupied property with a housing loan taken in FY 2015-16, the maximum interest deduction (loan for acquisition, construction completed within 5 years) is — A) Rs. 30,000 B) Rs. 1,50,000 C) Rs. 2,00,000 D) No limit **Answer: C (Rs. 2,00,000).** Sec 24(b) cap; falls to Rs. 30,000 if completion delayed beyond 5 years or loan for repair.

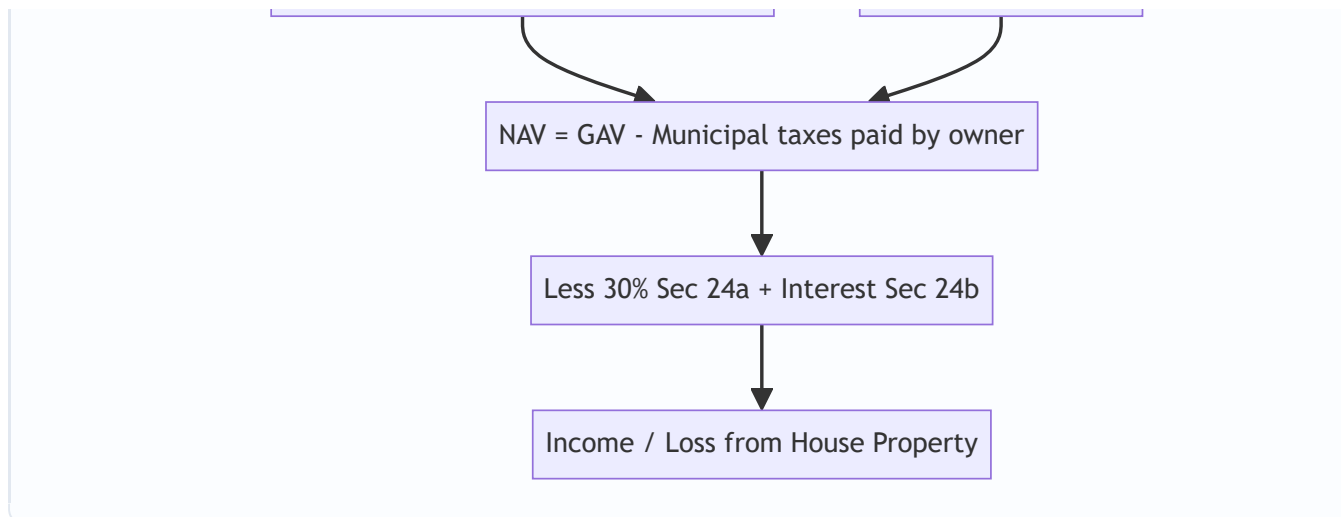
D3. Municipal taxes are deductible from GAV only if — A) Due during the year B) Paid by the owner during the year C) Paid by tenant D) Assessed **Answer: B.** Deduction on payment basis and only the owner's payment (Sec 23).

D4. A property let out for 8 months and self-occupied for 4 months is treated as — A) SOP for 4 months B) Let-out for whole year with proportionate GAV C) Deemed let-out D) Exempt **Answer: B.** A single house partly let/partly SOP in the same year is treated as let-out; expected rent for full year, actual rent for let period.

D5. Loss under house property can be set off against other heads in the same year up to — A) Rs. 1,50,000 B) Rs. 2,00,000 C) Unlimited D) Nil **Answer: B (Rs. 2,00,000).** Sec 71 cap; balance carried forward 8 years (set off only vs house property income).

D6. Which is NOT taxable under house property? A) Rent of building B) Composite letting inseparable from plant C) Deemed-owner's let-out flat D) Arrears of rent **Answer: B.** Inseparable composite letting → PGBP/Other Sources, not house property.





Quick-Revision Ready-Reckoner

- **Sec 22:** charge on annual value of building + appurtenant land; owner; not used for own business.
- **Sec 23 GAV:** higher of expected rent (MV/FR, $\leq$ standard rent) and actual rent; vacancy relief Sec 23(1)(c).
- **NAV** = GAV – municipal taxes **paid by owner**.
- **Sec 24(a):** 30% of NAV (flat). **Sec 24(b):** interest; SOP cap **Rs. 2,00,000** (Rs. 30,000 if loan pre-1999-type conditions / delayed completion / repair loan). LOP interest: no cap.
- **Pre-construction interest:** borrowing date → 31 March before completion year; 1/5th for 5 years.
- **Sec 25A:** arrears/unrealised rent recovered taxable on receipt, less 30%.
- **Sec 26:** co-owners with definite shares taxed separately.
- **Sec 27:** deemed owners (spouse/minor transfer, impartible estate, co-op allottee, Sec 53A possession, lease > 12 yrs).
- **Sec 71:** house-property loss set-off vs other heads capped **Rs. 2,00,000**; carry forward 8 yrs (Sec 71B).
- **New regime (Sec 115BAC):** SOP interest not deductible; HP loss not allowed to be set off against other heads — **verify for your AY**.

Chapter 05 — Profits & Gains of Business or Profession (PGBP)

Rates & limits caveat: Tax law changes every Finance Act. This chapter teaches the *structure and logic* of PGBP so you can reason from first principles. Always **verify the exact rates, limits, thresholds and the applicable Assessment Year in current ICAI material for your attempt**. Where a number is given, treat it as an illustrative anchor for the concept, not gospel.

1. The Problem

Suppose Ramesh runs a garment shop. Over the year his till records ₹80,00,000 of sales. Is Ramesh's *income* ₹80,00,000?

Obviously not. To earn that ₹80 lakh he had to *buy* the garments (₹52 lakh), pay shop rent (₹6 lakh), pay two salesmen (₹4.8 lakh), pay electricity, GST filing fees, the interest on a business loan, and the depreciation on his billing computer and shelves. The ₹80 lakh is **turnover**, not income. What the tax system wants to tax is the *net gain* left over after the costs incurred to produce that turnover.

Now contrast this with Ramesh's neighbour, a salaried manager. The manager's employer pays him ₹80 lakh, and the manager did *not* have to buy inventory or hire staff to earn it. For salary, the gross receipt is very close to the income. For business, the gross receipt is wildly different from income.

This is the core problem PGBP solves. **Business income is fundamentally a *net* concept — a residue after subtracting the expenses genuinely incurred to earn it.** A head of income built for salary (gross-minus-a-few-standard-deductions) cannot handle a business, where the deductions *are* the whole story. Two businesses with identical ₹80 lakh turnover can have profits of ₹15 lakh and ₹2 lakh depending on how efficiently they spend. Tax must follow the profit, not the turnover.

But "let the businessman deduct his expenses" opens three dangerous doors:

1. **The disguise door.** If any expense reduces tax, every rupee the owner spends on himself — his personal car, his son's wedding, a "consultancy fee" to his wife — will be dressed up as a business expense.
2. **The timing door.** A business keeps books on the *accrual* (mercantile) basis: it claims an expense the moment it becomes *due*, even if not yet paid. So a firm could book a ₹10 lakh interest expense to a bank on 31 March, take the deduction this year, and then never actually pay — or pay years later. The deduction and the cash outflow drift apart.
3. **The capital-vs-revenue door.** If Ramesh buys a new delivery van for ₹10 lakh, is that a ₹10 lakh expense this year? The van will earn income for the next eight years. Charging the whole cost to one year would understate this year's profit and overstate the next seven years'.

PGBP is the elaborate machinery the Income-tax Act, 1961 builds to say **"yes, deduct your genuine business costs" while slamming each of those three doors shut**. Every rule you are about to learn — "wholly and exclusively", Section 40A, Section 43B, depreciation, blocks of assets — is a lock on one of these doors.

2. The Core Idea

Business income = Revenue earned, minus revenue expenses genuinely and exclusively incurred to earn it, computed on the accounting basis the business regularly follows — but subject to statutory overrides that stop abuse of the "deduct my costs" privilege.

Three ideas are fused here:

- **Net, not gross.** The taxable figure is *profit*, i.e. income after allowable expenditure. (Sections 30–37 tell you what is allowable.)
- **Nexus.** Only expenditure *connected to the business* — laid out "wholly and exclusively" for it — is deductible. Personal and capital expenditure are filtered out.
- **Statutory override of accounting.** The Act starts from the profit shown in the assessee's own books (usually accrual-based), then *adds back* disallowed items and *deducts* items the books missed or treated differently. **Book profit ≠ taxable profit.** The bridge between them is the heart of every PGBP exam question.

The practical consequence: you almost never compute PGBP from scratch by listing every receipt and payment. Instead you **start from the Net Profit as per the Profit & Loss Account** and *reconcile* it to taxable profit by adjusting only the items where tax law disagrees with accounting. This is the single most important exam technique in this chapter.

3. Why It's Built This Way

Why a separate head at all? Because the *measurement rule* for business is uniquely "net of costs incurred". Salary is taxed near-gross; house property uses a notional standard deduction; capital gains net sale price against cost of one asset. Only business/profession needs a full expense-matching engine, running-account of assets, and anti-abuse machinery. It earns its own head (Sections 28–44DB) because no other head's logic fits.

Why "business" and "profession"? A *business* is trade/commerce/manufacture with a profit motive (Ramesh's shop). A *profession* is the application of intellectual or manual skill (a CA, doctor, lawyer, architect). *Vocation* (e.g. a religious teacher living on offerings) is treated alongside. The Act lumps them under one head [Sec 28] because the *measurement principle is identical* — tax the net gain — even though the activities differ. The distinction matters later only for a few specifics (e.g. which presumptive scheme applies, or the books-of-account thresholds).

Why start from book profit and adjust? Because forcing every business to maintain a *second* set of "tax books" would be absurd and unverifiable. The assessee already prepares audited financial statements under accounting standards. Tax law respects those books as the *starting point* (Sec 145 — income computed per the method regularly employed, cash or mercantile) and then intervenes *only where policy demands*. This is efficient (one set of books) and auditable (the reconciliation is transparent).

Why the anti-abuse overrides (40, 40A, 43B)? Because the "deduct your costs" rule, left unpoliced, is the most gameable rule in the entire Act. The overrides are surgical: they don't deny genuine expense, they deny *specific abuse patterns* — payments in cash (untraceable), payments to relatives at inflated rates (profit-

shifting), deductions claimed on accrual but never actually paid to the government (timing games), and payments where tax wasn't deducted at source (breaking the TDS chain).

Why depreciation instead of full write-off? Because of the *matching principle* dressed in policy clothes. A capital asset earns income over many years; its cost must be spread over those years so each year's profit reflects the asset's contribution *that* year. Depreciation is how the cost of a long-lived asset is rationed out as an annual expense.

4. Full Technical Content

4.1 The charging section — what is taxable [Sec 28]

Section 28 lists what is chargeable under PGBP. The intuition: **anything arising from carrying on a business or profession is business income**. Key inclusions:

- Profits and gains of any business/profession carried on during the year.
- Any compensation on termination/modification of a business contract or managing agency.
- Income of trade/professional associations from specific services to members.
- Export incentives (duty drawback, etc.).
- Value of any **benefit or perquisite** (whether convertible into money or not) arising from business or the exercise of a profession — *e.g. a doctor gifted a car by a pharma company*. (This closes the "take it in kind, not cash" dodge.)
- Any sum received under a **Keyman insurance policy**.
- Interest, salary, bonus, commission or remuneration received by a **partner from a firm** (to the extent allowed to the firm as deduction).
- Sum received (or receivable) in cash or kind on account of any capital asset (other than land/goodwill/financial instrument) whose expenditure was fully allowed under Sec 35AD.

Memory hook — Sec 28 = the "2 activities, 8 streams" gate. It's the *turnstile*: if income didn't come *through* the business turnstile, it belongs to another head.

4.2 Income computed under other sections / the "deemed income" catch [Sec 29]

Section 29 says PGBP income is computed *in accordance with* Sections 30 to 43D. So Sec 28 opens the head; Sec 29 points to the rulebook (30–43D) for *how* to compute it.

4.3 The general scheme of deductions [Sec 30–37]

Think of Sections 30–37 as a funnel that gets **wider** as you go:

Section	Deduction	The "why"
30	Rent, rates, taxes, repairs & insurance of buildings used for business	Premises are a running cost of trading; carve them out explicitly.
31	Repairs & insurance of plant, machinery, furniture	Same logic for equipment. <i>Only repairs</i> — not replacement (that's capital → depreciation).
32	Depreciation on tangible & intangible assets (block system)	Spread capital cost over useful life (see 4.6).
35	Scientific research expenditure (often weighted deduction)	Policy <i>incentive</i> — encourage R&D by allowing more than ₹1 spent.
35D	Amortisation of preliminary expenses	Startup/pre-commencement costs benefit many years; spread them (e.g. over 5 years).
36	A specified list of deductions (insurance premia, employer's PF/gratuity contributions, bad debts written off, interest on borrowed capital, employer's contribution to recognised funds, etc.)	Named, common business costs given certainty.
37(1)	The residuary / general deduction	The catch-all safety net (below).

Section 37(1) — the general (residuary) deduction. Any expenditure (not being 30–36, not capital, not personal) laid out **wholly and exclusively** for the purposes of the business/profession is allowed. Four conditions, each a lock:

1. **Not covered by 30–36** — 37 is residuary; specific sections take priority.
2. **Not capital in nature** — capital goes through depreciation, not straight deduction.
3. **Not personal expenditure** — the disguise door.
4. **Wholly & exclusively for the business** — the nexus test.
5. (Explanation) **Not incurred for any purpose which is an offence or prohibited by law** — e.g. bribes, protection money, penalties for law-breaking are *never* deductible. Also CSR expenditure (Companies Act mandated) is expressly *not* a Sec 37 business deduction.

The "wholly & exclusively" logic — read carefully. It does **not** mean "necessarily" or "reasonably". The businessman is the best judge of what his business needs; the taxman does not sit in the manager's chair. The test is only: *was the whole of this outlay directed to business purposes, with no personal element?* A lavish but genuine business lunch is allowed; a family holiday billed to the firm is not. "Wholly" = the *quantum* is all for business; "exclusively" = the *purpose* is only business.

Memory hook — Sec 37 = "3 nots + 1 test = 7 letters of W-H-O-L-L-Y". Not-specific, not-capital, not-personal; then *wholly & exclusively*.

4.4 Disallowances — the anti-abuse locks [Sec 40, 40A, 43B]

Even a genuine, wholly-and-exclusively expense can be *disallowed* if it trips an anti-abuse rule. These sit *on top* of 30–37.

Section 40 — disallowances for specific defaults (mainly TDS and specific payees).

- **40(a)(i)/(ia): TDS default.** If tax was deductible at source on a payment (interest, commission, rent, professional fees, payment to contractor, or payments to non-residents) and the assessee *failed to deduct or deposit* it, the expense is disallowed — **100% for payments to non-residents [40(a)(i)]; 30% for specified resident payments [40(a)(ia)]**. *Why:* the deduction is the government's *lever* to enforce TDS. Break the TDS chain and you lose the deduction (restored in the year TDS is finally paid). It makes the payer the tax system's enforcement agent.
- **40(a)(ii): income-tax itself** is not deductible. *Why:* tax is an *appropriation of profit*, not a cost of earning it — allowing it would be circular.
- **40(b): excess partner remuneration/interest in a firm.** Salary/interest paid by a firm to its partners is deductible only within statutory ceilings (interest $\leq$ 12% p.a.; remuneration within a slab of book profit). *Why:* partners *are* the firm; without a cap they'd convert taxable firm profit into (differently taxed) partner payments at will.

Section 40A — payments that shift profit or evade traceability.

- **40A(2): excessive/unreasonable payments to related parties.** Payment to a relative or associated concern, to the *extent it is excessive/unreasonable* having regard to fair market value, is disallowed. *Why:* the classic profit-shifting door — pay your wife ₹50 lakh "salary" for token work to drain profit. Only the excess is disallowed, not the fair portion.
- **40A(3): cash payments above the threshold.** If a *single* expenditure is paid **otherwise than by account-payee cheque/draft/electronic mode** and exceeds the limit (commonly **₹10,000** per person per day; **₹35,000 for transporters**), the *entire* payment is disallowed (not just the excess). *Why:* cash is untraceable — it fuels black money and fake vouchers. Forcing banking-channel payments creates an audit trail. *Note the cliff:* ₹10,001 in cash → 100% disallowed; the rule punishes the *mode*, not the amount.
- **40A(7): provision for gratuity** — only *actual* contributions to an approved fund (or actual gratuity paid) are allowed, not a mere *provision*. **40A(9):** contributions to non-statutory/unapproved welfare funds disallowed. *Why:* stops deduction for money that never actually leaves for the employees' benefit.

Section 43B — the "actually paid" override (the timing door).

Certain expenses — though accrued and otherwise allowable — are deductible **only in the year they are actually paid**, regardless of the accrual/mercantile method. The list includes:

- Any **tax, duty, cess, fee** payable to government (GST, customs, etc.).
- Employer's contribution to **PF, ESI, superannuation, gratuity** funds.
- **Bonus or commission** to employees.
- **Interest on loans from banks/financial institutions and NBFCs.**
- **Leave encashment.**
- Sum payable to **Indian Railways** for use of assets.
- **(43B(h)) Sum payable to a micro or small enterprise** beyond the time limit under the MSMED Act.

The safety valve (proviso): if the amount is *actually paid on or before the due date of filing the return* under Sec 139(1), it is allowed in the year of accrual. *Why 43B exists:* on pure accrual, a firm could book (and deduct) statutory dues and bank interest year after year while never paying the government or the bank — enjoying the deduction indefinitely. 43B says: *no cash to the exchequer/bank, no deduction*. It aligns the tax break with the actual outflow. **Special note on 43B(h):** payments to MSEs must be paid within the MSMED

time limit (15/45 days) — the return-filing safety valve does *not* apply, forcing large buyers to pay small suppliers on time.

Memory hook — 43B = "Duty, Dues, Debt-interest — paid, or 3 letters D-U-E withheld." If it's owed to the government, employees' funds, or lenders, *pay it or lose it*.

4.5 Other important computational provisions

- **Sec 35AD:** 100% deduction of *capital* expenditure for **specified businesses** (cold-chain, warehousing for agri produce, hospitals, etc.) — a targeted investment incentive.
- **Sec 36(1)(iii):** interest on **borrowed capital** used for business is deductible — but interest on capital borrowed for *acquiring an asset* until it is *first put to use* must be **capitalised** (added to asset cost), not expensed. *Why:* pre-use interest is part of getting the asset ready.
- **Sec 36(1)(vii): bad debts** actually *written off* in the books are deductible — provided the debt was earlier taken into income (nexus).
- **Sec 43(1) — "actual cost":** the cost of an asset *less* any portion met by another person or subsidy — the base for depreciation.
- **Sec 145:** income computed per the method of accounting (cash or mercantile) *regularly* followed, subject to notified ICDS (Income Computation and Disclosure Standards).

4.6 Depreciation — Section 32 and the Block of Assets

The deduction. Sec 32 allows depreciation on **tangible assets** (building, plant & machinery, furniture) and **intangible assets** (patents, copyrights, trademarks, licences, franchises — *goodwill of a business is now excluded*), *owned* (wholly or partly) by the assessee and *used* for business, on the **written-down value (WDV)** of the **block**, at prescribed rates.

What is a "block of assets"? [Sec 2(11)] A block is a *group of assets of the same class* (e.g. "plant & machinery") carrying the *same rate of depreciation*, pooled together. You do **not** depreciate each machine individually — you depreciate the *pool*.

WHY blocks? (This is the classic exam "why".) Before the block concept, every single asset was tracked individually, and *selling* an asset triggered a fiddly "balancing charge/allowance" and often a capital-gains computation on each item. Imagine a factory with 400 machines buying and scrapping dozens each year — an administrative nightmare. The **block system pools same-rate assets so that:**

1. **Individual assets lose identity.** You only track the *block's* WDV.
2. **Purchases** during the year are *added* to the block; **sales** are *reduced* (money received deducted) from the block.
3. **No capital gain / balancing charge** arises on an ordinary sale as long as the block *survives* (WDV positive and at least one asset remains). The gain/loss is simply absorbed into the pool — self-correcting over time.
4. Only in two edge cases does a capital gain arise (below).

This trades a tiny bit of theoretical accuracy for an enormous gain in simplicity — pure administrative-efficiency policy.

Computing depreciation on a block:

Opening WDV of block

(+) Actual cost of assets ACQUIRED during the year

(-) Money receivable on assets SOLD/discarded during the year

= WDV before depreciation

(×) Depreciation rate → Depreciation for the year

= Closing WDV (carried forward)

Half-depreciation rule: an asset *acquired AND put to use* for **less than 180 days** in the year gets **only 50%** of the normal rate that year. *Why:* an asset used for two months shouldn't get a full year's write-off — rough justice for part-year use, applied via a simple 180-day switch rather than day-counting.

Additional depreciation [Sec 32(1)(iia)]: an extra **20%** (10% if used <180 days) on *new* plant & machinery acquired by a manufacturing business — a one-time investment incentive (verify current availability, as incentives get sunset).

Two situations where a block *does* trigger capital gains [Sec 50 — short-term]:

- **(a) Block ceases to exist:** all assets in the block are sold — nothing left to depreciate → any WDV left is a *short-term capital loss*, any excess of sale money over WDV is a *short-term capital gain*.
- **(b) Sale money exceeds (opening WDV + additions):** the block's WDV goes *negative* → the excess is a *short-term capital gain* and closing WDV is nil.

Otherwise, no capital gain — the block just keeps depreciating.

Unabsorbed depreciation: if profits are insufficient to absorb depreciation, the unabsorbed portion is **carried forward indefinitely** and can be set off against *any* head (except salary) in future years — reflecting that it's a real, non-cash cost that shouldn't be lost.

4.7 Presumptive Taxation — 44AD, 44ADA, 44AE

The problem it solves. Ramesh the shopkeeper, a plumber, a small transporter — millions of small assessees genuinely cannot maintain proper double-entry books, hire auditors, or fight over every ₹10,000 cash disallowance. Forcing full PGBP computation on them costs *them* more in compliance than the tax is worth, and costs the *department* more to scrutinise than it collects. **Presumptive taxation is a bargain:** *declare a fixed presumed % of turnover as income, and we won't make you keep detailed books or get audited.* It trades precision for simplicity — for both sides.

Section	Who	Presumed income	Key conditions & "why"
44AD	Resident individual/HUF/firm (not LLP) in <i>any eligible business</i> (not plying/hiring goods carriages, not agency/commission, not profession)	8% of turnover; 6% for receipts via banking/digital channel	Turnover limit ~₹2 crore (raised to ₹3 cr if cash receipts ≤ 5%). The 6% vs 8% gap is a deliberate <i>nudge to go digital</i> .
44ADA	Resident professional (specified professions)	50% of gross receipts	Receipts limit ~₹50 lakh (₹75 lakh if cash ≤ 5%). Professionals have low input costs, so half is presumed profit.
44AE	Assessee owning ≤ 10 goods carriages	Per-vehicle per-month amount (heavy: ₹1,000 per tonne ; other: ₹7,500 per vehicle per month)	No turnover test — income scales with <i>capacity/months held</i> , which is easy to verify from the RC book.

Common logic across all three:

- Once you opt in, *all* deductions under Sec 30–38 are **deemed already allowed** — you cannot separately claim expenses or depreciation (though WDV is *notionally* reduced as if depreciation were claimed).
- For a **firm** under 44AD (older law), partner's salary/interest treatment must be checked against the current provision — historically allowed as further deduction, but the position has changed; **verify the current AY rule**.
- **The 44AD "lock-in" anti-abuse rule:** if you opt into 44AD and then *opt out* within the next 5 years, you are *barred from 44AD for 5 assessment years* AND must maintain books + get audited (if income exceeds the basic exemption). *Why:* stops assessees from cherry-picking — presumptive in good years, actual (to claim losses) in bad years.
- You may **declare higher** than the presumed %; you may declare *lower* only by maintaining books and getting a Sec 44AB audit (defeating the purpose).

Memory hook: **44AD** = "ADinary business, 8/6%"; **44ADA** = "Adds an A for professions, 50%"; **44AE** = "Engines/vehicles, per-vehicle."

4.8 Compulsory audit & books [Sec 44AA, 44AB]

- **44AA:** who must maintain books (professionals above a receipts threshold; businesses above income/turnover thresholds).
- **44AB — tax audit:** business turnover > ₹1 crore (raised to **₹10 crore** if cash receipts *and* payments ≤ 5%), or profession receipts > ₹50 lakh, or a presumptive assessee declaring *lower* than presumed income. *Why:* audit is the department's assurance mechanism where stakes are high enough to justify the cost.

5. Worked Examples

Example 1 (Easy) — Net-profit reconciliation, the core skill

Ramesh's P&L shows **Net Profit ₹8,00,000** after debiting/crediting the following. Compute PGBP income.

Items debited to P&L: - Income-tax paid ₹1,20,000 - Donation to a local temple (personal) ₹40,000 - Depreciation as per Companies Act ₹1,50,000 - Rent, salaries, genuine business repairs (all allowable) — no adjustment

Other facts: Depreciation allowable under Sec 32 (Income-tax) = ₹1,80,000. Interest on savings bank ₹15,000 was credited to this P&L (it's income of *another head*).

Solution — start from book profit, add back tax-disallowed debits, remove non-business credits, adjust depreciation:

Particulars	₹	₹
Net Profit as per P&L		8,00,000
Add: Items debited but <i>not</i> allowable		
Income-tax [40(a)(ii) — appropriation of profit]	1,20,000	
Personal donation [not wholly & exclusively; Sec 37]	40,000	
Depreciation as per books (reverse it)	1,50,000	3,10,000
		11,10,000
Less: Depreciation allowable u/s 32	1,80,000	
Less: Interest on savings bank (income of "Other Sources")	15,000	(1,95,000)
Profits & Gains of Business or Profession		9,15,000

Reconciliation logic: we reverse book depreciation (₹1,50,000) and substitute tax depreciation (₹1,80,000) — net effect –₹30,000. We add back the two disallowed debits (they had wrongly reduced book profit) and remove the SB interest (it belongs to Other Sources, taxed there). **PGBP = ₹9,15,000.**

Example 2 (Medium) — Depreciation on a block, with the 180-day and sale rules

XYZ Ltd's **Plant & Machinery block** (rate 15%) had **Opening WDV ₹20,00,000** on 01.04. During the year: - Bought Machine A for ₹5,00,000 on 10.05 (used same day — held > 180 days). - Bought Machine B for ₹4,00,000 on 01.12 (used same day — held < 180 days). - Sold an old machine for ₹3,00,000 on 15.09.

Compute depreciation and closing WDV.

Solution — split the block by 180-day eligibility:

Step 1 — Assets eligible for **full** rate (opening WDV + additions ≥ 180 days – sales):

	₹
Opening WDV	20,00,000
Add: Machine A (≥ 180 days)	5,00,000
Less: Sale proceeds	(3,00,000)
Base for full-rate depreciation	22,00,000

Depreciation @ 15% = ₹3,30,000.

Step 2 — Asset eligible for **half** rate:

	₹
Machine B (<180 days)	4,00,000

Depreciation @ 7.5% (half of 15%) = ₹30,000.

Step 3 — Totals:

	₹
Total depreciation (3,30,000 + 30,000)	3,60,000
Closing WDV = (22,00,000 + 4,00,000) – 3,60,000	22,40,000

Note: the sale of the old machine created **no capital gain** — the block survives, so ₹3,00,000 is simply netted off. This is the block system doing its job.

Example 3 (Exam-hard) — Full computation with 40A(3), 43B, 40(a)(ia), 40(b)

ABC & Co. (a partnership firm) reports **Net Profit ₹12,50,000** as per P&L. Examine the following and compute taxable PGBP. Assume mercantile basis and that the return is filed by the Sec 139(1) due date.

Debited to P&L: 1. Machinery purchased ₹2,00,000 (wrongly charged to P&L as "repairs"). 2. Cash payment of ₹45,000 to a supplier for goods, paid in a single day in cash. 3. GST of ₹1,10,000 payable — of which ₹80,000 paid before the return due date, ₹30,000 still unpaid. 4. Interest of ₹90,000 payable to a bank — unpaid as on the return due date. 5. Salary to partners ₹6,00,000 — of which ₹1,00,000 is *in excess* of the Sec 40(b) ceiling. 6. Commission ₹50,000 to a resident contractor — **no TDS deducted**. 7. Provision for gratuity (mere provision, unapproved) ₹70,000. 8. Depreciation debited ₹1,00,000; depreciation allowable u/s 32 = ₹1,45,000 (₹45,000 more, allowing for the machinery in item 1).

Solution:

Particulars	Add (₹)	Less (₹)
Net Profit as per P&L		12,50,000 (base)
1. Machinery wrongly debited as repairs — capital item, disallow the ₹2,00,000 (add back); depreciation on it captured in item 8	2,00,000	
2. Cash payment ₹45,000 > ₹10,000 limit → fully disallowed [40A(3)]	45,000	
3. GST ₹30,000 unpaid by return due date → disallowed [43B]; ₹80,000 paid → allowed (no add-back)	30,000	
4. Bank interest ₹90,000 unpaid by due date → disallowed [43B]	90,000	
5. Excess partner salary ₹1,00,000 over 40(b) ceiling → disallowed	1,00,000	
6. Commission ₹50,000 without TDS → 30% disallowed [40(a)(ia)] = ₹15,000	15,000	
7. Provision for gratuity (unapproved, mere provision) → disallowed [40A(7)]	70,000	
8. Book depreciation ₹1,00,000 reversed; allowable ₹1,45,000 claimed → net extra deduction ₹45,000		45,000

Computation:

	₹
Net Profit as per P&L	12,50,000
Add: disallowances (2,00,000 + 45,000 + 30,000 + 90,000 + 1,00,000 + 15,000 + 70,000)	5,50,000
	18,00,000
Less: extra depreciation allowable	(45,000)
Profits & Gains of Business or Profession	17,55,000

Key reconciling checks: item 2 disallows the **whole** ₹45,000 (mode-based cliff, not just excess); item 6 disallows only **30%** of the resident payment (not 100% — that's for non-residents); items 3 & 4 turn on *actual payment vs the return due date* (the 43B safety valve); item 1 removes a capital item from revenue expense but its cost re-enters through depreciation (item 8). Every rupee is accounted for → **PGBP = ₹17,55,000.**

Example 4 (Concept) — Presumptive vs actual, and the "why declare higher"

A retail trader (individual) has turnover ₹1,80,00,000, of which ₹1,50,00,000 received digitally and ₹30,00,000 in cash. Actual profit per rough books ≈ ₹9,00,000. Should he use 44AD?

Presumptive income u/s 44AD:

Receipts	Rate	Presumed income (₹)
Digital ₹1,50,00,000	6%	9,00,000
Cash ₹30,00,000	8%	2,40,000
Total presumed		11,40,000

Here presumptive income (₹11.40 lakh) *exceeds* his actual (₹9 lakh) — so opting into 44AD would tax him *more*. He may instead **maintain books, get a 44AB audit, and declare the actual ₹9,00,000** (lower than presumed) — the law *permits* declaring lower only with books + audit. *Trade-off:* he pays tax on ₹2.4 lakh less, but bears audit cost and loses the compliance simplicity. Presumptive taxation is a *convenience*, not always the cheapest — the assessee weighs simplicity against the tax on the gap.

6. Computation Format / Presentation

The universal PGBP working the examiner expects:

Net Profit as per Profit & Loss Account	XXX
ADD: Expenses debited to P&L but DISALLOWED / not allowable	
• Capital & personal expenditure	
• Income-tax, disallowed provisions [40, 40A]	
• Sec 43B items unpaid by return due date	
• Sec 40(a) TDS-default disallowances	
• Book depreciation (to be reversed)	XXX

	XXX
LESS: • Income credited to P&L but taxable under ANOTHER head (e.g. rent → House Property, interest → Other Sources)	
• Income exempt / not taxable	
• Expenses allowable but NOT debited in books	
• Depreciation allowable u/s 32	(XX)

Profits & Gains of Business or Profession	XXX
	=====

Golden rules of presentation: - Always **start from Net Profit as per P&L** unless the question gives only receipts/payments (then build a Receipts–Payments/Income–Expenditure statement instead). - **Add back** what wrongly *reduced* book profit (disallowed expenses, book depreciation). - **Deduct** what wrongly *increased* book profit (income of other heads, allowable-but-omitted expenses, tax depreciation). - Show a **narration** (section) against each adjustment — the examiner awards marks for the *reason*, not just the number.

7. Connections

- **Depreciation ↔ Capital Gains [Sec 50]**. When a block ceases or goes negative, the *short-term capital gain* is computed and taxed under the **Capital Gains** head — PGBP and CG share the block. Understand 32 before 50.
- **Other Sources**. Interest/rent/dividends *credited* to a business P&L are routinely *removed* from PGBP and taxed under **Income from Other Sources** or **House Property** — the head-of-income boundary is a constant exam theme.
- **Set-off & Carry-forward**. Business *loss* carries forward 8 years (set off only against business income); **unabsorbed depreciation** carries forward *indefinitely* against any head (except salary). The distinction is examined.
- **Firm assessment**. Sec 40(b) links to how a *partnership firm's* income is computed before partners are taxed on their share — connects to the "Assessment of Firms" chapter.
- **TDS chapter**. Sec 40(a) is the *enforcement teeth* of the TDS provisions — the two chapters are two sides of one coin.
- **Income Computation & Disclosure Standards (ICDS)** under Sec 145 modify how certain PGBP items (construction contracts, inventory, forex) are computed.

8. Traps & Examiner Tricks

1. **40A(3) is a cliff, not a slab.** A ₹10,001 cash payment disallows the *entire* ₹10,001 — not ₹1. Watch for the ₹35,000 transporter limit as a distractor.
 2. **40(a)(ia) = 30%, 40(a)(i) = 100%.** Resident payment without TDS → only **30%** disallowed; non-resident → **100%**. Examiners plant both to see if you differentiate.
 3. **43B turns on the return-filing due date, not 31 March.** If a statutory due/bank interest is *paid before the Sec 139(1) due date*, it IS allowed in the accrual year. Only the *unpaid* portion is disallowed. **Exception: 43B(h) MSE payments** get *no* such grace — different rule.
 4. **Income-tax is disallowed; GST/other duties are 43B items (allowed if paid).** Don't lump them together. Also, *interest on late payment of income-tax* is disallowed, but *interest on late GST* is often allowed as business expenditure — check the specific item.
 5. **Book depreciation vs tax depreciation.** Always *reverse* the depreciation in the books and substitute Sec 32 depreciation. Forgetting to reverse the book figure double-counts.
 6. **Capital vs revenue disguise.** "Repairs" that are actually a new asset (Example 3, item 1) must be added back — but remember its cost re-enters via *depreciation*. Only the *excess of repair over capital* is genuinely deductible.
 7. **The 180-day rule needs acquired AND put to use.** An asset bought in February but not used until April gets *no* depreciation this year (not even half) — "put to use" is essential.
 8. **Goodwill is no longer a depreciable intangible.** A once-standard exam point has flipped — verify current law.
 9. **44AD lock-in.** Opting out within 5 years bars re-entry for 5 years *and* triggers audit — a favourite conceptual MCQ.
 10. **Presumptive ≠ automatically lower tax.** As Example 4 shows, presumptive can *exceed* actual profit; the choice is a trade-off, not a free lunch.
 11. **CSR expenditure** (Companies Act) is *not* deductible under Sec 37 — but donations qualifying under Sec 80G may get a separate Chapter VI-A deduction. Don't allow it as a business expense.
-

9. First-Principles Recap

Reason it out, don't recall it:

- Business income is **net** because turnover isn't gain — so we must subtract the costs of earning it. (*The reason the head exists.*)
- We start from **book profit** because businesses already keep books; tax merely *corrects* those books where policy demands. (*Why we reconcile.*)
- We allow only **wholly & exclusively business** expenditure because otherwise every personal rupee becomes a "deduction". (*Why Sec 37's filters.*)
- We disallow **cash payments (40A(3))** to force a traceable banking trail; **excess related-party payments (40A(2))** to stop profit-shifting; **TDS-default payments (40)** to enforce the tax-collection chain; and **unpaid statutory dues/bank interest (43B)** to align the deduction with actual outflow. (*Why the anti-abuse locks — each shuts one specific door.*)

- We **spread capital cost via depreciation**, and **pool same-rate assets into blocks**, because assets earn over years (matching) and per-asset tracking is administratively hopeless (simplicity). (*Why Sec 32 + block.*)
- We offer **presumptive taxation** because for tiny assesseees the cost of precise computation exceeds its value to both sides — a simplicity-for-precision bargain. (*Why 44AD/ADA/AE.*)

If you can regenerate the *reasons* above, you can re-derive nearly every rule in this chapter under exam pressure.

10. Quick-Revision Sheet

Section map (with hooks)

Section	Content	Hook
28	Charging section — what's taxable as PGBP	The turnstile
29	Compute per Sec 30–43D	The rulebook pointer
30 / 31	Rent/repairs/insurance — buildings / P&M-furniture	Premises & equipment
32	Depreciation (block, WDV)	Spread the cost
32(1)(ia)	Additional depreciation 20% (new P&M, manufacturer)	Investment nudge
35 / 35D / 35AD	R&D / preliminary exp / specified-business capex	Incentives
36	Named deductions (insurance, PF, bad debts, interest)	The named list
37(1)	Residuary — wholly & exclusively, not capital/personal	The safety net
40(a)(i)/(ia)	TDS default — 100% (NR) / 30% (resident)	TDS teeth
40(a)(ii)	Income-tax not deductible	Tax ≠ cost
40(b)	Excess partner interest/remuneration	Firm cap
40A(2)	Excessive related-party payment	Anti profit-shift
40A(3)	Cash payment > limit → 100% disallowed	The cash cliff
40A(7)/(9)	Unpaid gratuity provision / unapproved fund	No-outflow, no-deduction
43B	Statutory dues, PF, bonus, bank interest — <i>actually paid</i>	Pay or lose
44AA/44AB	Books / tax audit thresholds	Record & assure
44AD/ADA/AE	Presumptive — business / profession / vehicles	Simplicity bargain
50	Capital gain on depreciable block	Block ↔ CG bridge

Key limits (VERIFY for your AY)

Item	Anchor value
40A(3) cash payment limit	₹10,000/person/day (₹35,000 transporters)
40(a)(ia) disallowance (resident, no TDS)	30%
40(a)(i) disallowance (non-resident)	100%
40(b) interest to partners ceiling	12% p.a.
Depreciation half-rate trigger	asset used < 180 days
Additional depreciation	20% (10% if <180 days)
44AD presumed income	8% (cash) / 6% (digital); turnover ≤ ₹2 cr (₹3 cr if cash ≤ 5%)
44ADA presumed income	50%; receipts ≤ ₹50 L (₹75 L if cash ≤ 5%)
44AE presumed income	Heavy ₹1,000/tonne/month; other ₹7,500/vehicle/month; ≤ 10 vehicles
44AB tax-audit threshold	Turnover > ₹1 cr (₹10 cr if cash ≤ 5% both ways); profession > ₹50 L
43B safety valve	Pay by Sec 139(1) return due date (except 43B(h) MSE)

Diagram 1 — Bridge from book profit to taxable PGBP

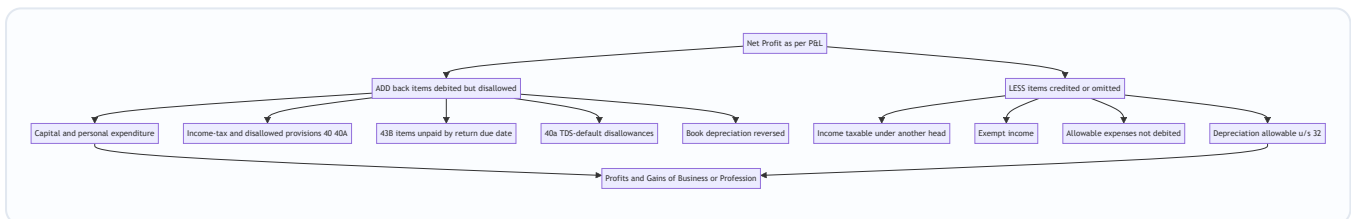
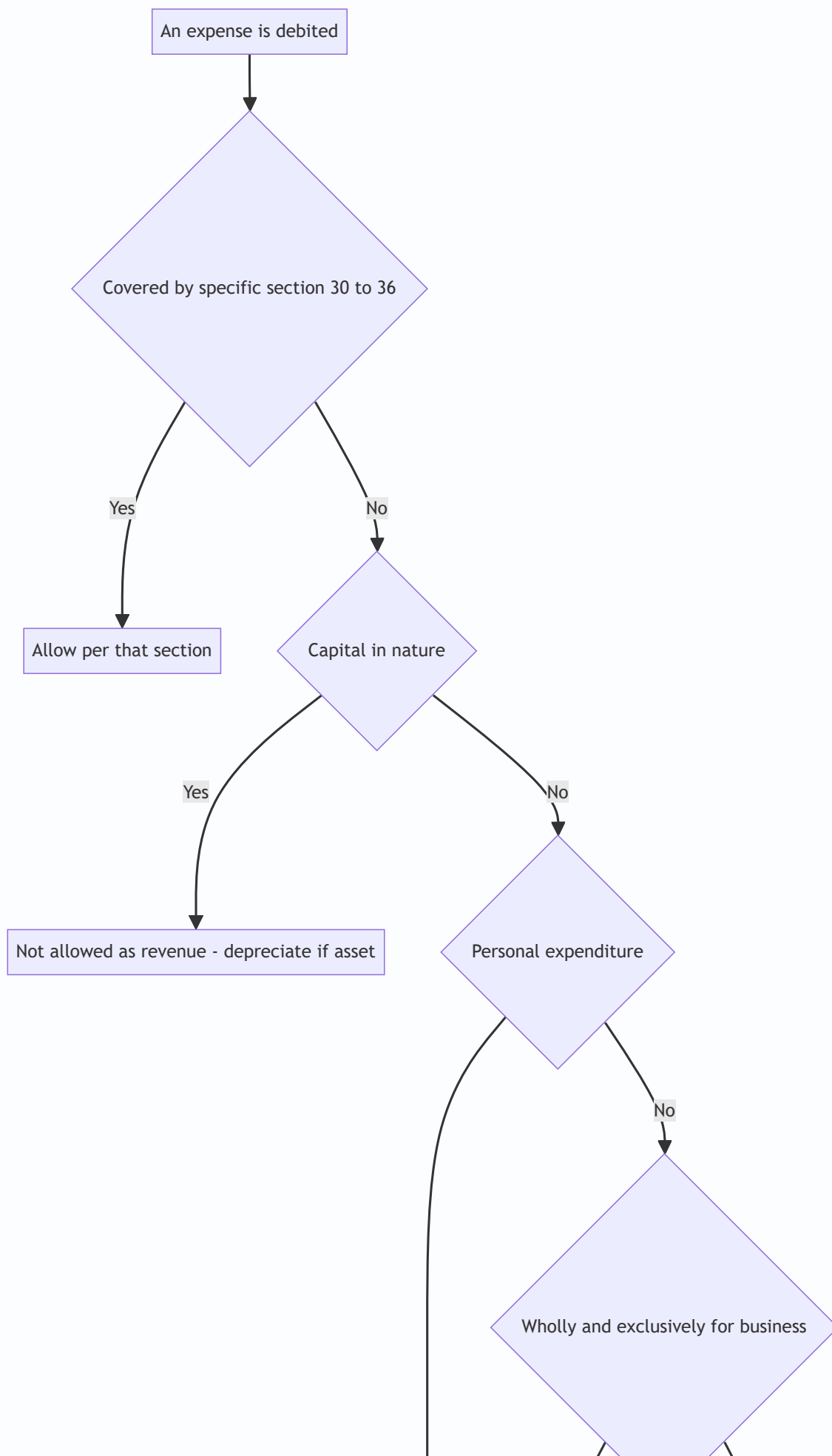


Fig 1 — the reconciliation engine: start from book profit, add back what wrongly reduced it, subtract what wrongly inflated it.

Diagram 2 — Is an expense deductible? The Sec 37 decision tree



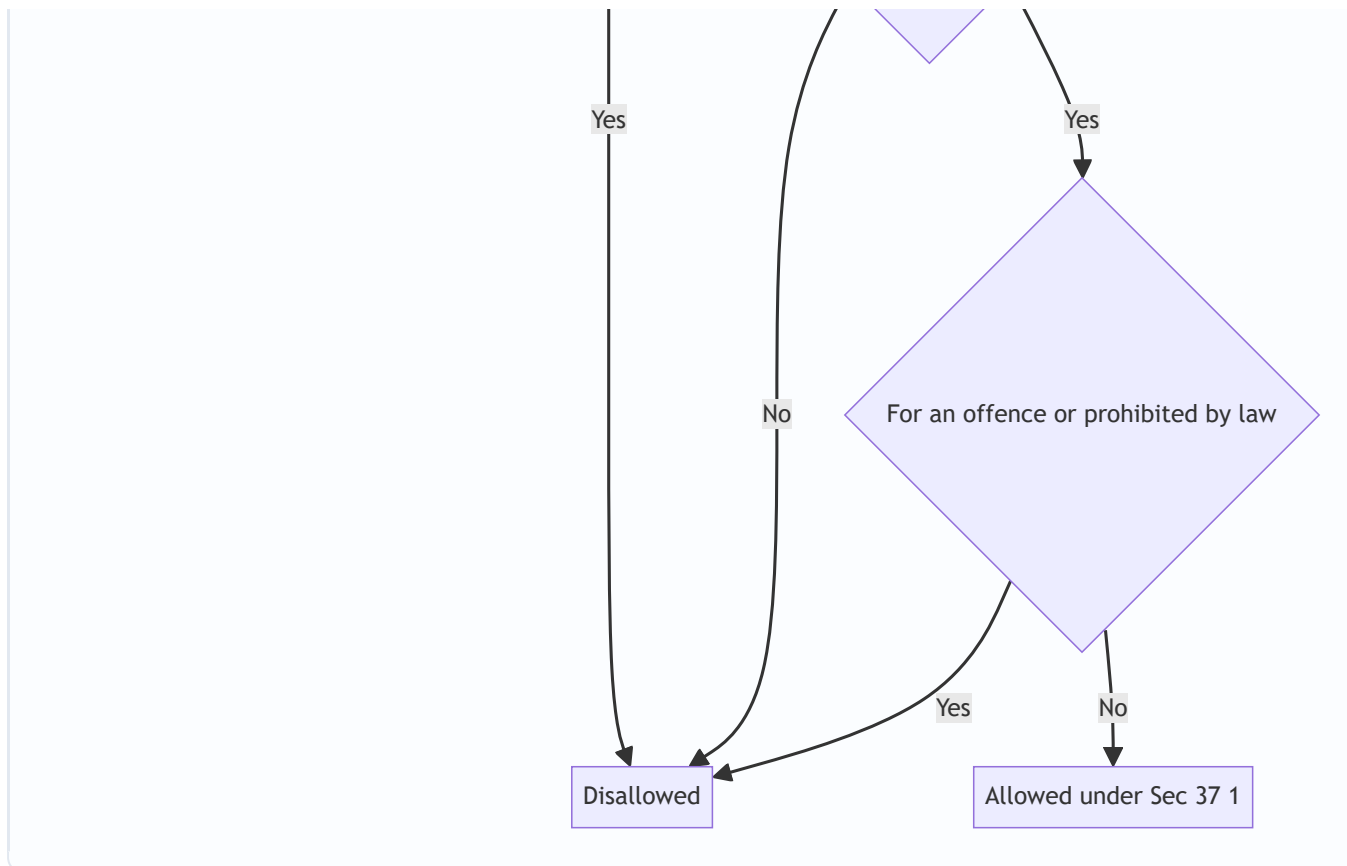


Fig 2 — Sec 37 is residuary and gated: pass all four locks or be disallowed.

Diagram 3 — Depreciation block and when a capital gain arises

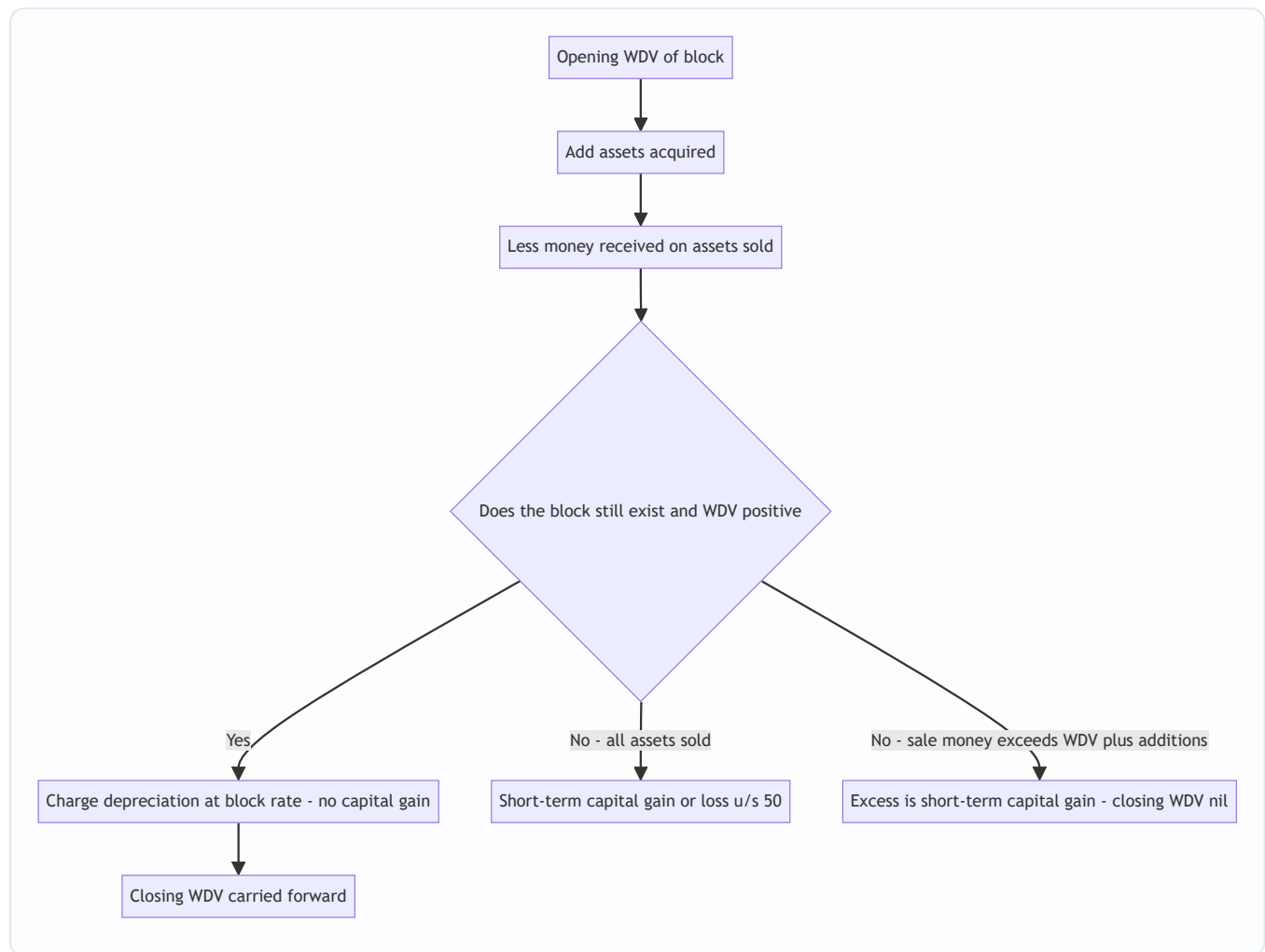


Fig 3 — the block self-absorbs ordinary sales; capital gain arises only if the block dies or goes negative.

Diagram 4 — Choosing a presumptive scheme

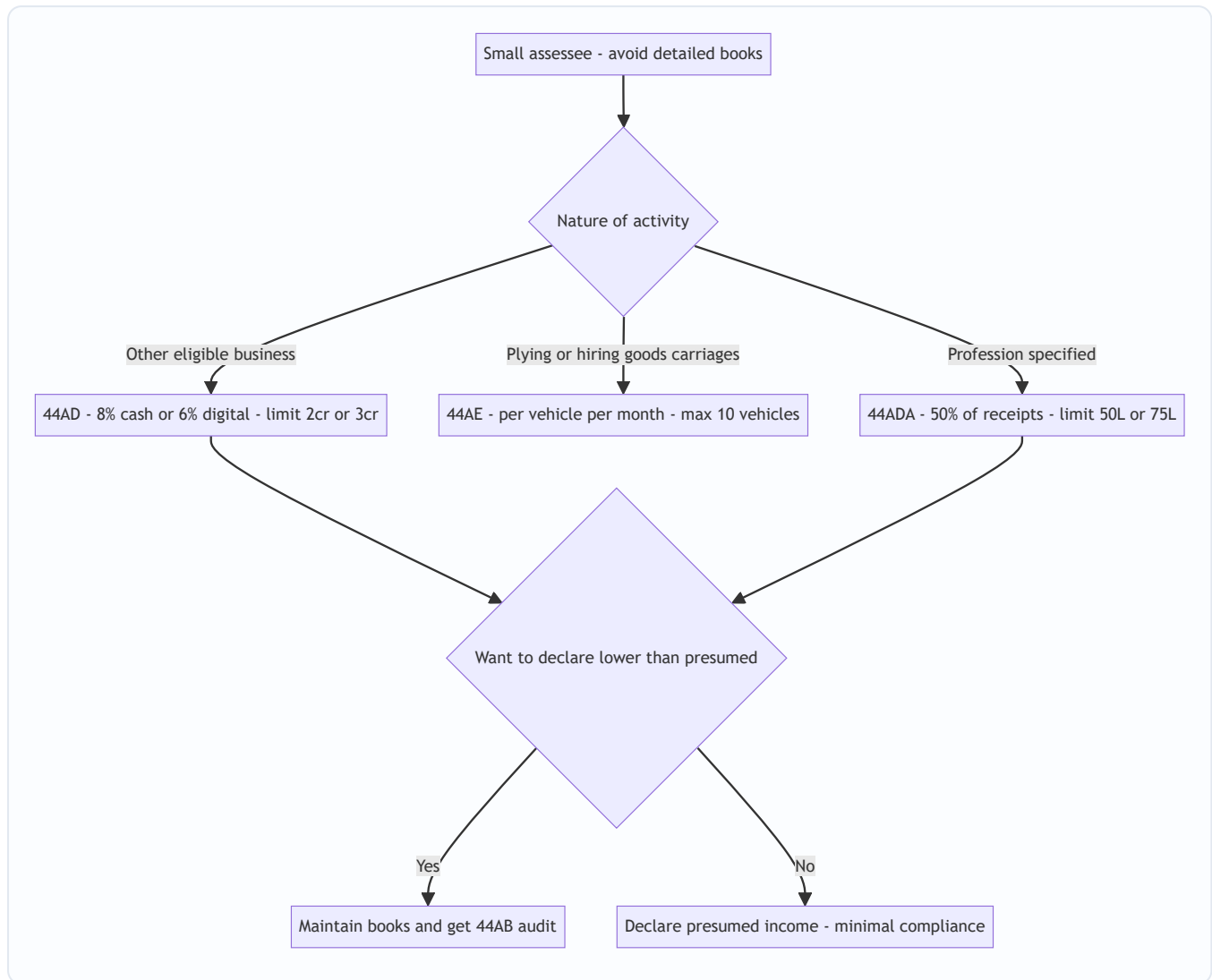


Fig 4 — presumptive routing by activity, with the "declare lower needs books + audit" fork.

One-line takeaway: PGBP taxes the net gain of a business by starting from its own book profit and correcting that figure — locking out disguised, cash, related-party, TDS-defaulting and unpaid expenses, spreading capital cost through depreciation blocks, and offering the small assessee a presumptive shortcut — so that genuine cost is deducted but abuse is not.

Reminder: every rate, limit and threshold above is an anchor for the *logic*. **Confirm the exact figures and the applicable Assessment Year in current ICAI study material before your attempt.**

Q&A — Profits & Gains of Business or Profession (PGBP)

Scope note: This bank tests the ICAI CA Intermediate "Income Tax" chapter on PGBP. All section references are to the **Income-tax Act, 1961**. Numerical limits, depreciation rates, presumptive-scheme thresholds and turnover ceilings **change with the applicable Assessment Year** — figures here reflect commonly examined AY 2024-25 / AY 2025-26 positions. **Always verify current limits against the ICAI Study Material / Finance Act for your attempt.**

SECTION A — Concept Checks (short-answer, with answers)

A1. What is the charging section for PGBP and what four heads of income does it broadly cover? Ans.

Sec 28 is the charging section. It brings to tax: (i) profits of any business/profession carried on during the PY; (ii) compensation on termination/modification of agency or management; (iii) income of trade/professional associations from services to members; (iv) export incentives, keyman insurance receipts, non-compete fees, and value of any benefit/perquisite (whether convertible into money or not) arising from business/profession — the last being **Sec 28(iv)**.

A2. Distinguish Sec 30, 31 and 37(1). Ans. **Sec 30** — rent, rates, repairs, insurance of *buildings*. **Sec 31** — repairs & insurance of *plant, machinery, furniture*. **Sec 37(1)** — the **residuary/general deduction**: any expense not covered by Sec 30-36, not capital, not personal, laid out **wholly and exclusively** for business, and not an offence/prohibited-by-law expense (Explanation 1), is deductible.

A3. Why does Sec 37(1) exist if Sec 30-36 already list deductions? Ans. Sec 30-36 are *specific* allowances; business throws up countless legitimate expenses no statute can list exhaustively. Sec 37(1) is the **safety-net** that catches genuine revenue business expenditure falling outside the enumerated sections, subject to guardrails (capital/personal/illegal exclusions).

A4. State the "block of assets" concept under Sec 2(11) and why depreciation is computed block-wise.

Ans. A **block** = group of assets of the *same class* (building/machinery/furniture/intangibles) carrying the **same depreciation rate**. Depreciation under **Sec 32** is charged on the **WDV of the block**, not asset-wise. Rationale: eliminates gain/loss computation on every individual asset sale — sale proceeds simply reduce the block's WDV; individual identity is lost once assets pool.

A5. When is depreciation restricted to 50%? Ans. Under **Sec 32**, if an asset is **put to use for less than 180 days** in the PY of acquisition, depreciation is **half the normal rate** for that year. Full rate applies from the next year.

A6. What is "additional depreciation" and its rate? Ans. **Sec 32(1)(iia)** — a manufacturing/production undertaking (and power generation/distribution) gets **20% additional depreciation** on the actual cost of **new plant & machinery** (not second-hand, not office/vehicles/ships/aircraft). If put to use <180 days, only 10% now and the balance 10% next year.

A7. Explain Sec 43B in one line and give its core disallowance rule. Ans. **Sec 43B** — certain expenses (statutory dues: tax, duty, cess, PF/ESI employer contribution, bonus, interest to banks/NBFCs, leave encashment) are deductible **only in the year of actual payment**, regardless of accrual — *unless* paid on or

before the **due date of filing the return u/s 139(1)**. A newer clause (**43B(h)**) disallows sums payable to **micro & small enterprises** beyond the MSMED Act time limit until actually paid (no return-filing relaxation).

A8. Contrast Sec 40A(2) and 40A(3). Ans. 40A(2) — expenditure to *related parties* disallowed to the extent it is **excessive/unreasonable**. **40A(3)** — any expenditure paid **otherwise than by account-payee cheque/draft/electronic mode exceeding ₹10,000** (₹35,000 for transport operators) in a day to a single person is **100% disallowed**.

A9. Which disallowances arise under Sec 40(a)(i)/(ia) and 40(a)(ii)? Ans. 40(a)(i)/(ia) — failure to deduct/deposit **TDS**: 100% disallowance for payments to non-residents; **30% disallowance** for specified resident payments (allowed later when TDS is paid). **40(a)(ii)** — **income-tax itself** is not deductible.

A10. What is presumptive taxation and name the three CA-Inter schemes. Ans. Presumptive schemes deem a fixed % of turnover as profit, freeing small assesseees from books. **Sec 44AD** — eligible business (turnover ≤ ₹2 cr; ₹3 cr if cash receipts ≤ 5%): 8% of turnover (6% for banking-mode receipts). **Sec 44ADA** — specified professionals (gross receipts ≤ ₹50 lakh; ₹75 lakh if cash ≤ 5%): 50%. **Sec 44AE** — goods carriage (≤ 10 vehicles): fixed ₹1,000/ton/month for heavy vehicles, ₹7,500/month otherwise.

A11. Sec 44AA and 44AB — what do they mandate? Ans. 44AA — compulsory **maintenance of books** for specified professions and where business income/turnover crosses prescribed limits. **44AB** — compulsory **tax audit** where turnover > ₹1 cr (business; raised to ₹10 cr if cash ≤ 5% of receipts and payments) or gross receipts > ₹50 lakh (profession), or where a presumptive assessee declares lower profit than deemed and total income exceeds the basic exemption.

A12. Why can't an assessee claim depreciation on the same machinery under both Sec 32 and Sec 44AD? Ans. In **Sec 44AD**, deductions u/s 30-38 (including depreciation u/s 32) are **deemed already allowed**; WDV is notionally reduced. So depreciation is *not* separately claimable — this prevents double-counting.

SECTION B — Graded Computational Problems (full workings)

B1 (Easy) — Basic net profit adjustment

Q. A trader's P&L shows net profit ₹5,00,000 after debiting: (a) income-tax ₹40,000, (b) donation to a charitable trust ₹10,000, (c) depreciation as per books ₹60,000. Depreciation allowable u/s 32 is ₹75,000. Compute PGBP.

Ans. | Particulars | ₹ | --- | --- | Net profit as per P&L | 5,00,000 | | **Add:** Income-tax (not deductible, Sec 40(a)(ii)) | 40,000 | | **Add:** Donation (not wholly & exclusively for business, Sec 37) | 10,000 | | **Add:** Depreciation as per books (disallow, add back) | 60,000 | | **Less:** Depreciation as per Sec 32 | (75,000) | | **PGBP** | **5,35,000** |

(Donation may qualify separately for Sec 80G deduction, but not under PGBP.)

B2 (Easy-Moderate) — Depreciation with 180-day rule

Q. Machinery block (rate 15%) opening WDV ₹10,00,000. New machinery bought and put to use on 1 Nov 2024 (i.e., < 180 days) for ₹4,00,000. No sales. Compute depreciation for the block for PY 2024-25.

Ans. - Asset used ≥ 180 days: opening WDV ₹10,00,000 × 15% = **₹1,50,000** - Asset used < 180 days: ₹4,00,000 × 15% × ½ = **₹30,000** - **Total depreciation = ₹1,80,000** - Closing WDV = 10,00,000 + 4,00,000 -

1,80,000 = ₹12,20,000

Sec 32 second proviso — half depreciation on the ₹4,00,000 addition only.

B3 (Moderate) — Block with sale + additional depreciation

Q. A manufacturer's plant & machinery block (15%) opening WDV ₹20,00,000. During PY 2024-25 he: (i) bought new machinery ₹8,00,000 put to use on 5 May 2024 (≥ 180 days); (ii) sold old machinery for ₹3,00,000. Compute normal + additional depreciation and closing WDV.

Ans. Step 1 — WDV of block for normal depreciation: | ₹ | --- | --- | Opening WDV | 20,00,000 | Add: new machinery | 8,00,000 | Less: sale proceeds | (3,00,000) | **WDV for depreciation | 25,00,000 |**

Step 2 — Normal depreciation @15% = 25,00,000 $\times$ 15% = ₹3,75,000 Step 3 — Additional depreciation (Sec 32(1)(ia)) on new machinery ₹8,00,000, used ≥ 180 days, @20% = ₹1,60,000 Step 4 — Total depreciation = 3,75,000 + 1,60,000 = ₹5,35,000 Step 5 — Closing WDV = 25,00,000 – 5,35,000 = ₹19,65,000

Additional depreciation is on new P&M only; the block-level 15% is on the whole net WDV.

B4 (Moderate) — Sec 40A(3) & 43B

Q. Net profit ₹8,00,000 after these debits: (a) ₹50,000 cash payment to a supplier in one day (single bill); (b) GST ₹1,20,000 accrued, of which ₹90,000 paid before the return due date, ₹30,000 paid after; (c) employer PF ₹40,000 deposited after the return filing date. Compute PGBP.

Ans. | Particulars | ₹ | --- | --- | Net profit | 8,00,000 | Add: Cash payment > ₹10,000 disallowed (Sec 40A(3)) | 50,000 | Add: GST portion unpaid by return due date (Sec 43B) | 30,000 | Add: Employer PF paid after due date (Sec 43B) | 40,000 | **PGBP | 9,20,000 |**

The ₹90,000 GST paid on time and the ₹90,000 balance are fine; only the late/unpaid statutory dues are added back. PF paid late u/s 43B is disallowed this year (employer contribution — note employees' contribution is even stricter under Sec 36(1)(va)/43B jurisprudence).

B5 (Exam-hard) — Full computation from Trial-Balance-style data

Q. Mr. X, running a manufacturing business, reports net profit ₹12,00,000. On scrutiny: 1. Debited depreciation (books) ₹2,00,000; depreciation u/s 32 = ₹2,60,000 (includes additional depreciation). 2. Debited ₹60,000 salary paid in cash in a single day. 3. Debited ₹1,00,000 provision for bad debts (not actual write-off). 4. Debited ₹45,000 interest to a bank, unpaid till the return due date. 5. Included in P&L credit: ₹1,50,000 rent from letting a vacant plot (not business asset). 6. Debited ₹80,000 penalty for GST law violation. 7. Debited ₹30,000 preliminary expenditure — only 1/5th allowable u/s 35D. Compute PGBP.

Ans. | Particulars | ₹ | ₹ | --- | --- | --- | Net profit as per P&L | 12,00,000 | **Add — inadmissible/adjustments:** | | | Depreciation as per books (add back) | 2,00,000 | Cash salary > ₹10,000 (Sec 40A(3)) | 60,000 | Provision for bad debts (only actual write-off allowed, Sec 36(1)(vii)) | 1,00,000 | Bank interest unpaid by due date (Sec 43B) | 45,000 | Penalty for law violation (Sec 37(1) Expl.) | 80,000 | Preliminary exp. debited in full | 30,000 | 5,15,000 | **Less — allowable/exclusions:** | | | Depreciation u/s 32 | 2,60,000 | Rent from vacant plot (taxable under House Property/Other Sources, not PGBP) | 1,50,000 | Preliminary exp. allowed 1/5 u/s 35D (30,000 $\div$ 5) | 6,000 | (4,16,000) | **PGBP | 12,99,000 |**

Self-check: $12,00,000 + 5,15,000 - 4,16,000 = 12,99,000$. The ₹1,50,000 plot rent is removed from PGBP because it is not business income; it will be assessed under its proper head. Only ₹6,000 of preliminary expenditure is a genuine PGBP deduction.

B6 (Exam-hard) — Presumptive 44AD vs normal

Q. Ms. Y (retailer, individual) has turnover ₹1,50,00,000 for PY 2024-25, of which ₹1,20,00,000 received through banking channels and ₹30,00,000 in cash. She opts for Sec 44AD. Compute presumptive income. If her actual profit as per books is ₹6,00,000, can she declare that instead?

Ans. Turnover $\leq ₹2$ cr $\rightarrow$ eligible for 44AD. - On digital receipts $₹1,20,00,000 \times 6\% = ₹7,20,000$ - On cash receipts $₹30,00,000 \times 8\% = ₹2,40,000$ - **Presumptive income = ₹9,60,000**

She may declare a *higher* figure, but to declare a **lower** figure (e.g. ₹6,00,000) she must **maintain books u/s 44AA and get audited u/s 44AB**, and can then be denied 44AD for the next 5 AYs (Sec 44AD(4)/(5)). Under 44AD no separate depreciation is allowed — it is deemed given.

SECTION C — Past-Paper-Style Full Questions

C1. (Explain-type) "Discuss the admissibility of the following under PGBP." (8 marks)

Q. State with reasons whether deductible: (a) Interest on capital borrowed for business ₹2,00,000. (b) Expenditure on advertisement in a political party's souvenir ₹50,000. (c) Contribution to a scientific research association ₹1,00,000. (d) Speed money / illegal gratification ₹20,000.

Ans. (a) **Deductible u/s 36(1)(iii)** — interest on capital borrowed for business purposes (if for acquiring a capital asset, interest till the asset is first put to use is capitalised — proviso). (b) **Not deductible under PGBP** — Sec 37(2B) bars advertisement in a political party's publication; however it may qualify u/s 80GGB/80GGC as a deduction from GTI. (c) **Deductible u/s 35** — weighted/100% deduction for contributions to approved scientific research associations (verify current weighted-deduction % for the AY; many weighted rates were phased to 100%). (d) **Not deductible** — Explanation 1 to **Sec 37(1)** disallows any expense that is an offence or prohibited by law; illegal payments are never allowed.

C2. (Computation) Computation of business income of a professional (10 marks)

Q. Dr. A, a physician, Receipts & Payments show: professional receipts ₹40,00,000; consumables ₹3,00,000; staff salary ₹6,00,000; clinic rent ₹4,00,000; depreciation on equipment (Sec 32) ₹1,50,000; car expenses ₹2,00,000 (30% personal); interest on loan for clinic ₹1,00,000; income-tax paid ₹2,50,000; life-insurance premium ₹80,000. Compute PGBP. Is 44ADA available?

Ans. | Particulars | ₹ | --- | --- | | Professional receipts | 40,00,000 | | Less: Consumables | (3,00,000) | | Less: Staff salary | (6,00,000) | | Less: Clinic rent (Sec 30) | (4,00,000) | | Less: Depreciation (Sec 32) | (1,50,000) | | Less: Car expenses (70% business only; 30% personal disallowed) | (1,40,000) | | Less: Interest on clinic loan (Sec 36(1)(iii)) | (1,00,000) | | **PGBP** | **22,10,000** |

Not deductible: income-tax ₹2,50,000 (Sec 40(a)(ii)); LIC premium ₹80,000 (personal — but eligible u/s 80C from GTI). Car personal portion ₹60,000 disallowed under Sec 38. **44ADA:** Gross receipts ₹40,00,000 $\leq$ ₹50,00,000 $\rightarrow$ **eligible**. Under it, deemed income = $50\% \times 40,00,000 = ₹20,00,000$. Since actual income

₹22,10,000 > presumptive, and she'd need audit to declare lower, opting into 44ADA (₹20,00,000) is actually beneficial here.

C3. (Adjustment statement) Reconcile book profit to PGBP (12 marks)

Q. XYZ & Co. net profit ₹15,00,000 after: donation ₹25,000; provision for income-tax ₹3,00,000; depreciation (books) ₹1,80,000 (Sec 32 = ₹2,20,000); ₹60,000 paid in cash to a contractor without TDS (contractor is resident, TDS applicable); ₹1,00,000 partner's salary (within Sec 40(b) limit); ₹40,000 fine for late statutory filing. Compute PGBP.

Ans. | Particulars | ₹ | --- | Net profit | 15,00,000 | | Add: Donation (Sec 37) | 25,000 | | Add: Provision for income-tax (Sec 40(a)(ii)) | 3,00,000 | | Add: Book depreciation | 1,80,000 | | Add: 30% of ₹60,000 for TDS default (Sec 40(a)(ia)) | 18,000 | | Add: Fine for legal default (Sec 37(1) Expl.) | 40,000 | | Subtotal | 20,63,000 | | Less: Depreciation u/s 32 | (2,20,000) | | **PGBP** | **18,43,000** |

Partner's salary within Sec 40(b) limits is allowed → no adjustment. The contractor payment: only 30% disallowed (resident payee) under Sec 40(a)(ia), not 100%; the 30% is allowed in the year TDS is deposited.

SECTION D — MCQs & Case Scenarios

D1. The residuary deduction section for business expenditure is: A) Sec 30 B) Sec 36 C) **Sec 37(1)** ✓ D) Sec 40
Reasoning: Sec 37(1) allows revenue expense wholly & exclusively for business not otherwise covered.

D2. Depreciation under the Act is computed on: A) each asset individually B) **block of assets (Sec 2(11)/Sec 32)** ✓ C) straight-line only D) at the assessee's option
Reasoning: Income-tax uses WDV block method.

D3. Cash expenditure of ₹15,000 to one person in a day (not transport) is: A) fully allowed B) 30% disallowed C) **100% disallowed (Sec 40A(3))** ✓ D) allowed if urgent
Reasoning: Exceeds ₹10,000 non-banking limit → entire sum disallowed.

D4. GST collected but unpaid till the due date of return filing is: A) always deductible B) **disallowed u/s 43B until paid** ✓ C) capital expenditure D) deductible next year automatically
Reasoning: Sec 43B — statutory dues deductible only on actual payment by 139(1) due date.

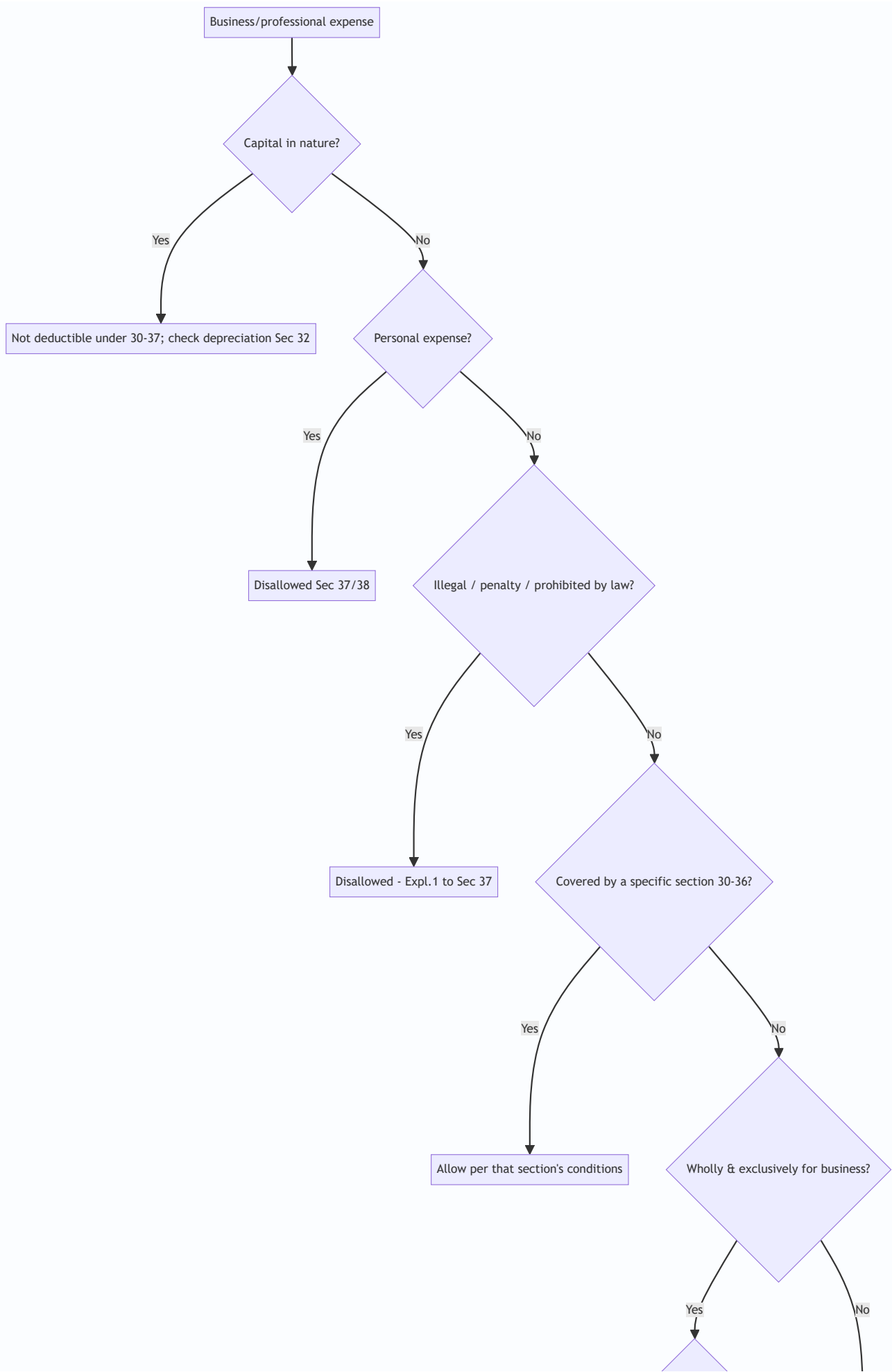
D5. For Sec 44AD, presumptive rate on turnover received via banking channels is: A) 8% B) 50% C) **6%** ✓ D) 10%
Reasoning: 6% on digital/banking receipts; 8% on cash.

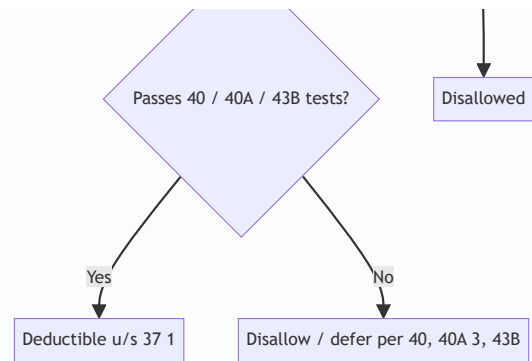
D6. Additional depreciation u/s 32(1)(iia) applies to: A) all assets B) **new plant & machinery of a manufacturer** ✓ C) second-hand machinery D) office equipment
Reasoning: Only new P&M in manufacturing/production (and specified power sector); excludes second-hand, office appliances, vehicles.

D7. Case scenario: A firm pays ₹5,00,000 rent to a partner's wife; fair rent is ₹3,00,000. Consequence? A) fully allowed B) fully disallowed C) **₹2,00,000 excess disallowed (Sec 40A(2))** ✓ D) 30% disallowed
Reasoning: Payment to related party disallowed to the extent excessive/unreasonable.

D8. Case scenario: A specified professional has gross receipts ₹52,00,000, cash receipts nil. Can he use Sec 44ADA? A) Yes at 50% B) **No — exceeds ₹50 lakh (but check ₹75 lakh raised limit where cash ≤5%)** ✓ C) at 8% D) at 6%
Reasoning: Base 44ADA ceiling is ₹50 lakh; the enhanced ₹75 lakh applies only if cash receipts ≤5%. Here receipts are cash-free so the ₹75 lakh limit would actually apply — verify the AY's exact wording; classic exam trap on the two thresholds.

Mermaid — Decision flow: is a business expense deductible?





Quick-Revision Trap List

- **43B(h)** MSME payments — **no** return-due-date relaxation (unlike other 43B dues). Common exam trap.
- **40A(3)** limit is **₹10,000** (₹35,000 transport) — *per person per day*, not per bill.
- **Additional depreciation** — NOT on second-hand machinery, vehicles, office appliances, or by traders.
- **180-day rule** halves depreciation only in the **year of acquisition**.
- **44AD/44ADA lower profit** → triggers **44AA + 44AB** obligations; 44AD lock-in of 5 years.
- Income-tax, wealth-related levies and provisions (not actual write-offs) are **never** deductible.
- Rent/interest income unrelated to business is **removed** from PGBP and taxed under its own head.

All rates/limits are AY-sensitive — reconfirm with current ICAI Study Material and the latest Finance Act before your exam.

Chapter 06 — Capital Gains

Rates / limits / indexation flag: The concessional rates, the base year for indexation, the exemption ceilings (₹50 lakh under 54EC, ₹10 crore caps under 54/54F), and even *whether indexation survives at all* have all been moved by recent Finance Acts. This chapter teaches the **structure and logic** so the mechanism is permanent knowledge. **Always verify the exact rates, indexation availability, ceilings, and the applicable Assessment Year against current ICAI study material for your attempt.**

1. The Problem — Why ordinary income tax breaks down for asset sales

Imagine you buy a plot of land in 2005 for ₹5 lakh and sell it in 2024 for ₹50 lakh. You have ₹45 lakh of "profit." Should the whole ₹45 lakh be taxed like a salary of ₹45 lakh earned this year?

If you say yes, three problems immediately appear, and each one is a genuine injustice — not a loophole:

Problem 1 — The gain isn't income of *one* year, but tax is annual. That ₹45 lakh accumulated silently over 19 years. Income tax is an **annual** levy on an **annual** slab system. Dumping 19 years of accretion into a single year artificially rockets you into the top slab, so you pay a top-slab rate on gains that, spread over 19 years, might never have touched the top slab. This is the **"bunching" problem**.

Problem 2 — Part of the "gain" is fake; it's just inflation. Prices roughly quadrupled between 2005 and 2024. A part of your ₹45 lakh is not real enrichment — it is the rupee losing value. Taxing inflation is taxing a phantom; the taxpayer is poorer in real terms than the nominal number suggests.

Problem 3 — Nothing was "earned" until you sold. Your salary is a *flow* — money keeps arriving. An asset's appreciation is a *stock* that just sits there, unrealised, until the day you convert it to cash. Taxing paper appreciation every year would force people to sell assets just to pay tax. So gain must be recognised only at a single **realisation event**.

Ordinary "income" — salary, interest, rent, business profit — has none of these features. It arrives yearly, it is real, and it is realised as it accrues. **Capital gains behave fundamentally differently, so the Act gives them their own head, their own timing rule, their own inflation adjustment, and their own concessional treatment.** That is the entire reason Capital Gains (Sections 45 to 55A) exists as a *separate* head under Section 14.

2. The Core Idea

A capital gain is taxed only when a capital asset is *transferred* (realised), and because the gain has silently accumulated over the holding period, the law softens the blow the longer you held it — through indexation and/or a lower rate — and lets you defer tax entirely if you plough the money back into another approved capital asset.

Four load-bearing words fall out of that sentence, and the whole chapter is just these four unpacked:

1. **Capital asset** — *what* is being sold (Sec 2(14)).
2. **Transfer** — the *trigger* event that makes gain taxable (Sec 2(47)).

3. **Holding period** — *how long* you held it, which decides short-term vs long-term.
4. **Reinvestment exemptions** — a *deferral* mechanism (Sec 54 family) that says "if you didn't really cash out — you rolled into another asset — we'll wait."

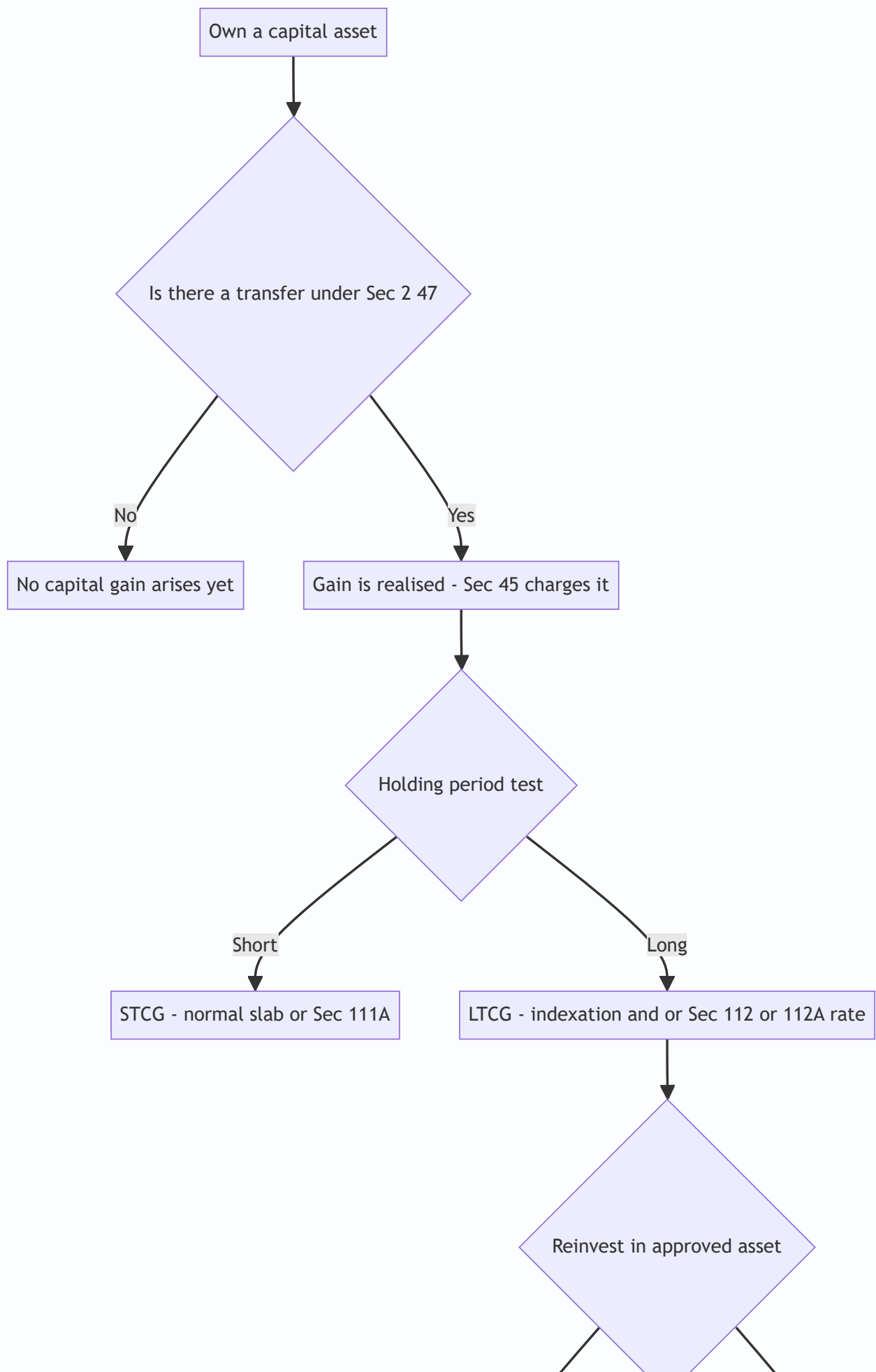
The charging section, **Sec 45(1)**, ties them together: "*Any profits or gains arising from the transfer of a capital asset shall be chargeable to tax under the head Capital Gains in the previous year in which the transfer took place.*" Notice the timing — the year of **transfer**, not the year of accretion. That single clause solves Problem 3 above.

3. Why It's Built This Way — the design logic behind each feature

Before any section, understand the *design choices* the legislature made, because every rule below is one of these choices in disguise:

Design choice	The problem it solves	How the Act implements it
Separate head of income	Bunching + realisation timing	Sec 45 charges only on transfer
Distinguish short vs long holding	Long holders suffer more inflation + more bunching	Holding-period test → STCG vs LTCG
Indexation of cost	Inflation is not real gain	Cost Inflation Index (CII), Sec 48 2nd proviso
Concessional LTCG rate	Long gains deserve gentler treatment	Sec 112 / 112A special rates
Reinvestment exemptions	Person hasn't truly consumed the gain	Sec 54, 54B, 54D, 54EC, 54F etc.
Deemed full value (Sec 50C, 50CA)	Under-reporting of sale price	Substitute stamp value / FMV

The elegance: **the longer you hold, the more inflation and bunching hurt you, so the more relief the law gives you.** Short-term gains get neither indexation nor a special rate (with narrow exceptions) — because over a few months, inflation and bunching are trivial, so ordinary treatment is fair. That single principle — *relief scales with holding period* — is the spine of the whole chapter. Memorise the principle, and every rule becomes predictable.



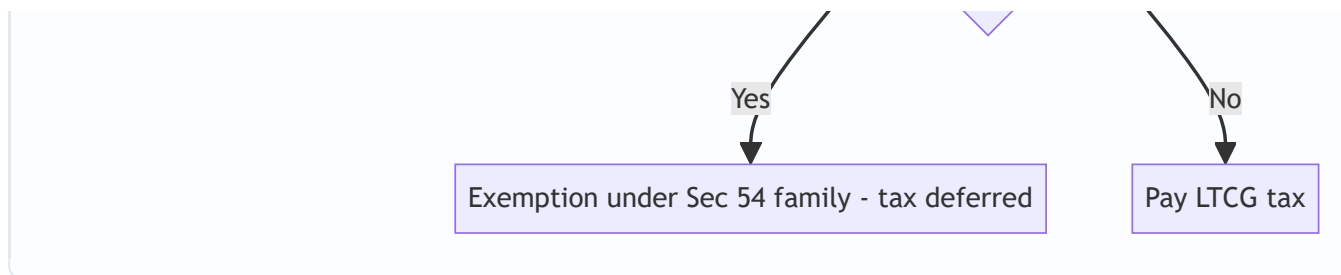


Figure 1 — The master decision path of every capital gains problem: asset → transfer → holding period → rate → possible exemption.

4. Full Technical Content

4.1 Capital Asset — Sec 2(14)

Why a definition at all? Because "asset" is enormous. The law wants to tax *investment/wealth* accretion, not the ordinary tools and stock of daily life or livelihood. So Sec 2(14) starts wide ("property of any kind") and then *carves out* things that logically belong to *other* heads or shouldn't be taxed as wealth appreciation.

Definition: A capital asset means **property of any kind held by an assessee**, whether or not connected with business or profession, **and includes** securities held by an FII, and certain unit-linked insurance policies — **but excludes** the following:

Exclusion	Why it is excluded (the logic)
Stock-in-trade, raw material, consumables	Selling these is <i>business</i> , taxed under PGBP — not wealth appreciation
Personal effects — movable property for personal use (clothes, furniture, car, mobile)	Household items depreciate; taxing their "gain" is pointless. But jewellery, archaeological collections, drawings, paintings, sculptures, art works are NOT personal effects — they are investments, so they ARE capital assets
Rural agricultural land in India	Meant to shield genuine farmers; farming is separately exempt. Urban agricultural land IS a capital asset
Specified Gold Bonds / Gold Deposit Bonds / Gold Monetisation Scheme deposits	Policy incentive to draw idle gold into the economy

Memory hook — "SPRAG" for the exclusions: **S**tock-in-trade, **P**ersonal effects, **R**ural agricultural land, **A**gricultural (rural) — **G**old bonds/schemes. (Personal effects and jewellery is the examiner's favourite trap — see §8.)

The rural agricultural land test deserves its own diagram because it is heavily examined:

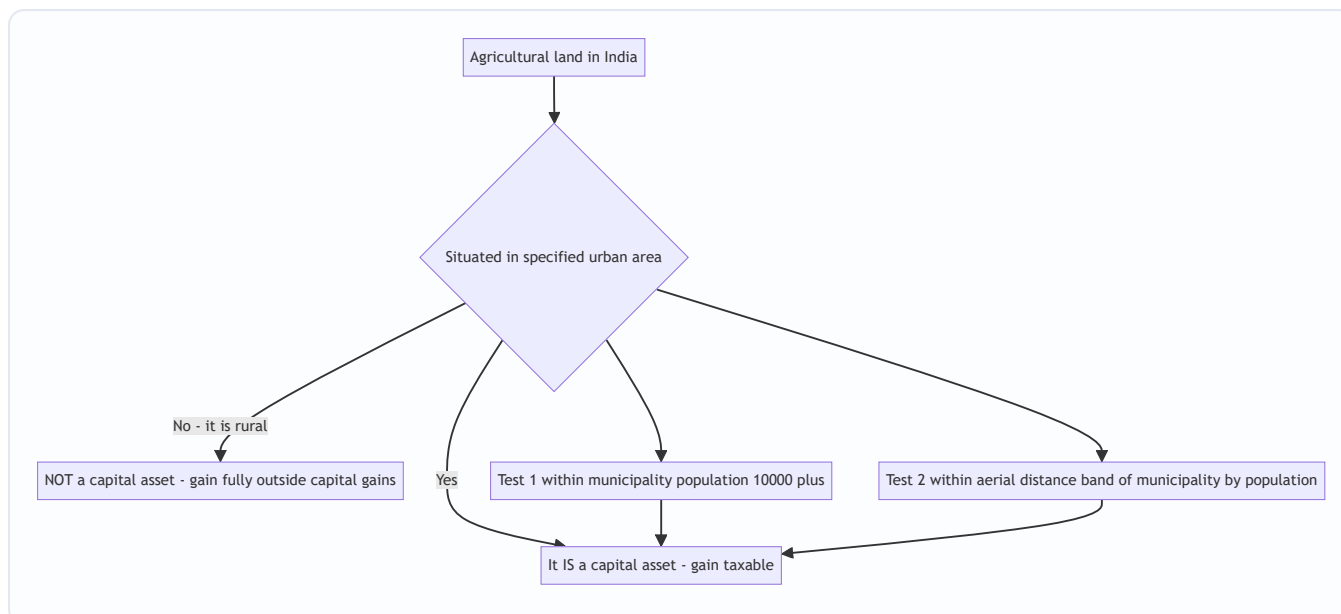


Figure 2 — Only RURAL agricultural land escapes; urban agricultural land is a normal capital asset. Verify the population/distance bands in current material.

The population-distance bands (broadly: within 2 km if population 10,000–1,00,000; 6 km if 1,00,000–10,00,000; 8 km if above 10,00,000) are a classic memorised table — **verify current bands in ICAI material**.

4.2 Transfer — Sec 2(47)

Why define "transfer" so exhaustively? Because Sec 45 only bites on transfer. If "transfer" meant only "sale," people would dodge tax by "exchanging," "extinguishing rights," giving up possession under an agreement, etc. So Sec 2(47) is deliberately wide to catch every substance-of-sale event.

Transfer includes: sale, **exchange**, **relinquishment** of the asset, **extinguishment of any rights** in it, **compulsory acquisition** under law, **conversion of a capital asset into stock-in-trade** (deemed transfer — taxed when the converted stock is sold, using FMV on conversion date as full value), and **allowing possession of immovable property** under a part-performance contract (Sec 53A of Transfer of Property Act), and transactions transferring enjoyment via membership/shares.

Transactions NOT regarded as transfer — Sec 47 (why: no real change of beneficial ownership, so no realisation). Key ones:

- Distribution of assets on **partition of a HUF** — the family already owned it collectively.
- Transfer under a **gift, will, or irrevocable trust** — no consideration flows; instead the *donee* inherits the previous owner's cost and holding period (see §4.6), so tax is only deferred, not forgiven.
- Transfer of a capital asset by a **holding company to its 100% subsidiary** (or vice versa), subject to conditions — group is economically one entity.
- Transfers under **amalgamation / demerger** to the resulting Indian company, subject to conditions.

Memory hook: Sec 47 = the "not-a-transfer" list (7 looks like an inverted "not"/exemption gate). Its logic is always "*beneficial ownership didn't really change, or consideration didn't flow — so defer, don't tax now.*"

4.3 Short-term vs Long-term — the holding-period test (Sec 2(42A) / 2(29A))

Why the distinction is the heart of the chapter: it decides whether you get indexation and a concessional rate (long-term) or ordinary treatment (short-term). Recall §3 — relief scales with holding period.

Rule: compute the period from **date of acquisition to date of transfer**. If it exceeds the threshold → **long-term capital asset (LTCA)** → gain is **LTCG**. Otherwise **short-term (STCA/STCG)**.

But the threshold is not one number — it depends on the asset, because different assets appreciate and are held over different natural horizons:

Asset class	Long-term if held for MORE than	Logic
Listed equity shares, equity-oriented units, units of business trust	12 months	Liquid, standardised markets; policy pushes retail equity investing
Unlisted shares, immovable property (land/building)	24 months	Less liquid than listed equity, more liquid than "everything else"
Any other asset (gold, debt funds pre-rule-change, unlisted debentures, etc.)	36 months	Default residual horizon

Memory hook — "12 / 24 / 36 ladder": the more liquid and market-traded the asset, the *shorter* the road to "long-term." Listed equity = 12; unlisted shares & real estate = 24; the residual "everything else" = 36.

Flag: The holding-period slabs and the treatment of debt mutual funds / market-linked debentures were changed by recent Finance Acts (some now always short-term regardless of period). **Verify the current classification table for your AY.**

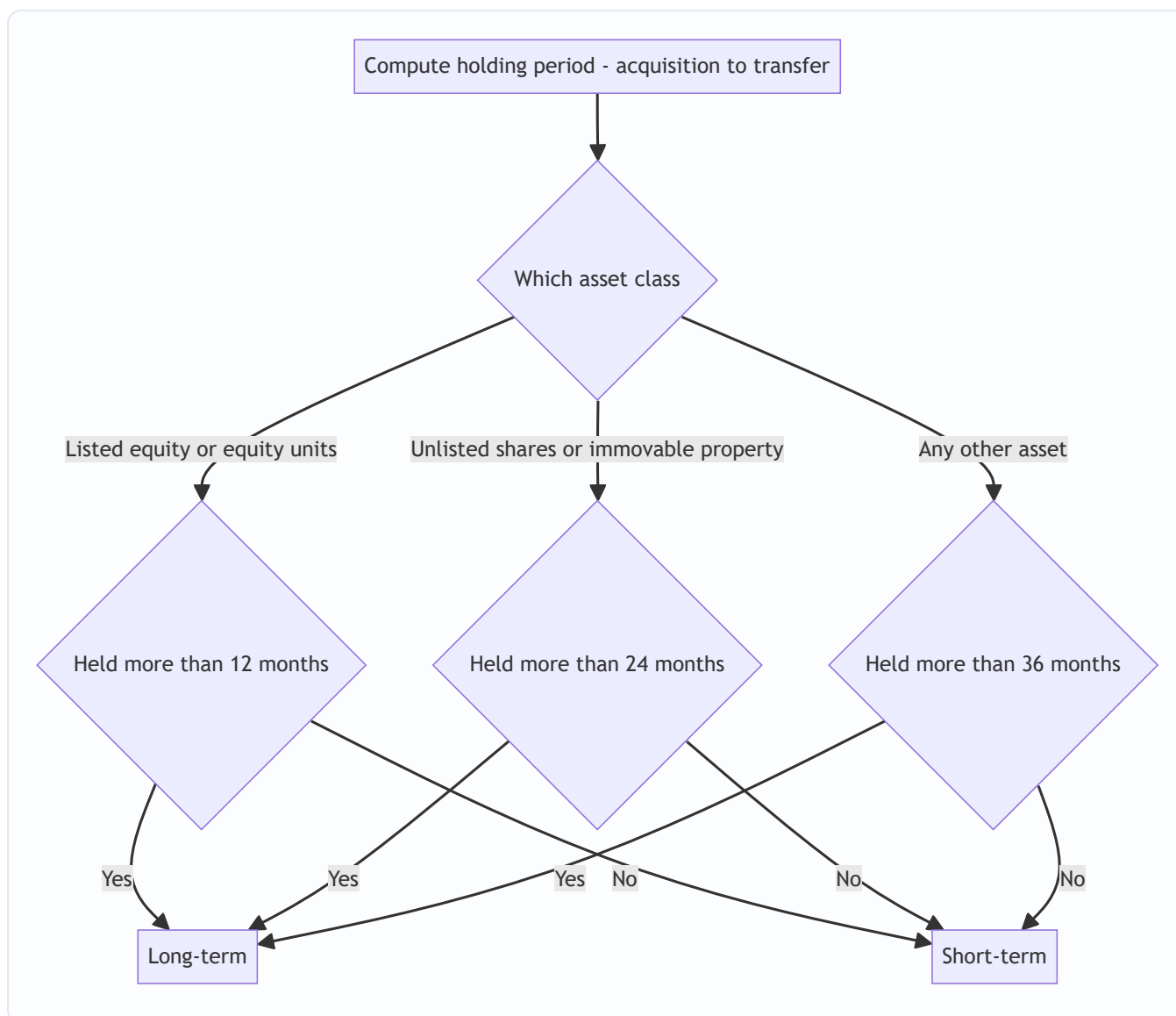


Figure 3 — The 12/24/36 holding-period ladder. Verify current thresholds and any asset-specific overrides.

4.4 The computation engine — Sec 48

Sec 48 gives the **universal formula**. Everything else is a variation on it.

For SHORT-TERM capital gain:

Full value of consideration received/accruing on transfer
 LESS: Expenditure incurred wholly and exclusively in connection with transfer
 LESS: Cost of acquisition
 LESS: Cost of improvement
 = Short-Term Capital Gain (STCG)

For LONG-TERM capital gain (where indexation applies):

Full value of consideration
 LESS: Expenditure in connection with transfer
 LESS: INDEXED cost of acquisition
 LESS: INDEXED cost of improvement
 = Long-Term Capital Gain (LTCG) [before exemptions]

Why the two versions differ — this is the whole point of §1 Problem 2. Short-term holders barely suffer inflation, so their cost stays at historical value. Long-term holders held through years of inflation, so their cost is *inflated up* (indexed) to today's rupees — removing the phantom inflationary gain before tax.

The building blocks, each with its logic:

- **Full value of consideration (FVC):** what you actually receive (cash or the value of what you exchange).
Anti-abuse override: where immovable property is sold below stamp-duty value, **Sec 50C** deems the stamp value to be the FVC (with a tolerance band, verify current %). For unquoted shares, **Sec 50CA** substitutes FMV. *Why:* stops parties from writing a fake low price on paper.
- **Expenditure on transfer:** brokerage, legal fees, stamp duty on sale, advertisement to find a buyer — costs of *selling*. *Why:* only the *net* enrichment should be taxed.
- **Cost of acquisition (COA) — Sec 55:** what you paid to get the asset. Special rules where you didn't pay (gift/inheritance — you take the *previous owner's* cost, §4.6) or where the asset has no cost (self-generated goodwill etc. → cost taken as nil, subject to current law).
- **Cost of improvement — Sec 55:** capital additions after acquisition (building a floor, boundary wall).
Excludes routine repairs (those are revenue). Improvements *before 1-4-2001* are ignored — see the FMV option below.

Indexed Cost formula (Sec 48, 2nd proviso):

$$\text{Indexed COA} = \text{COA} \times \frac{\text{CII of year of transfer}}{\text{CII of year of acquisition (or 2001-02 if earlier)}}$$

The **Cost Inflation Index (CII)** is a government-notified inflation multiplier with a **base year 2001-02 = 100** (base year may be revised — verify). If you acquired *before 1-4-2001*, you may substitute the **Fair Market Value as on 1-4-2001** for cost (Sec 55) — because tracing a 1970s cost is impractical and unfair, so the law lets you "restart the clock" at 2001 value.

Big flag: Whether indexation is *available at all* on various long-term assets has been curtailed by recent Finance Acts (some LTCG now taxed at a flat lower rate *without* indexation, sometimes with a taxpayer option). The *concept* — remove inflation before taxing long gains — is what you must own; the *mechanics* (rate vs indexation) **must be checked in current ICAI material for your AY.**

4.5 The special rates — Sec 111A, 112, 112A

Why special rates exist: ordinary slab rates (up to ~30%+) applied to bunched long gains would be punitive (Problem 1). So the Act carves out flat, gentler rates for specified gains. Note the pattern below — **listed-equity gains get their own regime (STT-paid) separate from everything else.**

Section	Applies to	Nature	Rate (verify current %)	Logic
111A	STCG on listed equity shares / equity-oriented units where STT paid	Short-term	Flat concessional (historically 15%, revised recently)	Encourage equity market participation; STT already collected
112A	LTCG on listed equity / equity units where STT paid	Long-term	Flat concessional above an annual exemption threshold (historically ₹1 lakh, revised); no indexation	Reward long equity holding; the exemption threshold protects small investors
112	LTCG on all other long-term assets (land, building, unlisted shares, gold, debt)	Long-term	Flat rate (historically 20% with indexation; recent law introduced lower flat rate without indexation / option)	General concessional LTCG treatment

Memory hook: 111A = Short equity, 112A = Long equity (the "A" pair are the *equity* + *STT* twins), **112 (no A) = Long everything-else.**

Two protective rules that flow from *fairness*, not memorisation:

- **Chapter VI-A deductions (80C etc.) are NOT allowed against 111A/112/112A special-rate income.**
Why: those deductions are meant to shelter ordinary income; letting them also erase already-concessional capital gains would be double relief.
- **Basic exemption limit adjustment (residents):** if a resident individual's *other* income is below the basic exemption limit, the shortfall can be set off against LTCG/STCG-111A first. *Why:* the basic exemption belongs to every resident; it shouldn't be lost merely because income happens to be capital gain. (Available to residents only — a non-resident cannot claim it against these special-rate gains.)

4.6 Cost & period when you didn't buy it — Sec 49 & Explanation to 2(42A)

The logic: In Sec 47 "not-a-transfer" cases (gift, inheritance, partition), no tax was charged on the giver *because* the tax is merely **deferred to the eventual sale by the receiver**. For that deferral to work, the receiver must **step into the giver's shoes**:

- **Cost of acquisition = cost to the previous owner** (Sec 49(1)).
- **Holding period includes the previous owner's holding period** (Explanation to Sec 2(42A)) — so an asset inherited yesterday but bought by grandfather in 1990 is long-term.
- For **indexation**, the year of *the previous owner's acquisition* is generally used for the CII (subject to case law / current position — verify).

This is a favourite exam theme: a gifted asset sold within months is **still long-term** if the donor held it long. Never test the holding period from the gift date alone.

4.7 Advance money forfeited & other adjustments — Sec 51 / 56(2)(x) interaction

If you received advance money and the deal fell through and you **forfeited** it, historically it reduced your cost of acquisition; under current law such forfeited advance is instead taxed as **Income from Other Sources under Sec 56(2)(ix)** and does **not** reduce cost. *Why the change:* to tax the forfeiture in the year it happens rather than defer it. **Verify current treatment.**

5. Worked Examples

Every figure below reconciles line-by-line. **Rates and CII values used are illustrative** — plug in the notified CII and current rates for your AY.

Example 1 (Easy) — Short-term capital gain on listed shares (Sec 111A)

Facts: Mr A buys 1,000 listed equity shares on 10-May-2023 at ₹200 each (STT paid). Brokerage on purchase ₹500. He sells all on 1-Feb-2024 at ₹350 each; brokerage on sale ₹700. He has no other income.

Step 1 — Holding period. 10-May-2023 to 1-Feb-2024 $\approx$ 9 months. Listed equity threshold = 12 months. $\leq$ 12 months $\rightarrow$ **Short-term.**

Step 2 — Full value of consideration. $1,000 \times ₹350 = ₹3,50,000$.

Step 3 — Cost of acquisition. $1,000 \times ₹200 = ₹2,00,000$, **plus** purchase brokerage ₹500 (part of cost) = **₹2,00,500.**

Step 4 — Expenditure on transfer. Sale brokerage = **₹700.**

Step 5 — STCG.

Particulars	₹
Full value of consideration	3,50,000
Less: Expenditure on transfer (sale brokerage)	(700)
Less: Cost of acquisition (incl. purchase brokerage)	(2,00,500)
Short-Term Capital Gain	1,48,800

Step 6 — Tax. STT-paid listed-equity STCG $\rightarrow$ **Sec 111A flat concessional rate** (verify %), **not** slab. No 80C deduction against it. (Illustratively at 15%: tax $\approx$ ₹22,320 + cess, before basic-exemption adjustment.)

Reconciliation: Bought for ₹2,00,500, sold net of ₹700 = received ₹3,49,300; ₹3,49,300 – ₹2,00,500 = ₹1,48,800. ✓

Example 2 (Moderate) — Long-term capital gain on land with indexation

Facts: Ms B purchased a plot on 5-June-2010 for ₹8,00,000; registration & stamp duty on purchase ₹40,000. She built a boundary wall in FY 2015-16 for ₹1,00,000. She sells the plot on 20-Dec-2023 for ₹60,00,000; brokerage 1% of sale price. Illustrative CII: 2010-11 = 167, 2015-16 = 254, 2023-24 = 348.

Step 1 — Holding period. June-2010 to Dec-2023 $\approx$ 13.5 years. Immovable property threshold = 24 months. **Long-term.** Indexation applies (per illustrative pre-change law — verify current position).

Step 2 — Full value of consideration = ₹60,00,000. (Assume this equals/exceeds stamp value, so Sec 50C doesn't override.)

Step 3 — Expenditure on transfer. Brokerage $1\% \times 60,00,000 = ₹60,000$.

Step 4 — Indexed cost of acquisition. COA = ₹8,00,000 + ₹40,000 stamp duty = ₹8,40,000.

$$\text{Indexed COA} = 8,40,000 \times \frac{348}{167} = 8,40,000 \times 2.0838 = \text{₹17,50,395}$$

Step 5 — Indexed cost of improvement. $₹1,00,000 \times (348 / 254) = 1,00,000 \times 1.3701 = ₹1,37,008$.

Step 6 — LTCG.

Particulars	₹
Full value of consideration	60,00,000
Less: Expenditure on transfer (brokerage)	(60,000)
Less: Indexed cost of acquisition	(17,50,395)
Less: Indexed cost of improvement	(1,37,008)
Long-Term Capital Gain	40,52,597

Step 7 — Tax. Land is *not* listed equity → **Sec 112** (illustratively 20% with indexation → $\approx ₹8,10,519$ + cess; or the newer flat rate without indexation if opted — **verify which regime applies for your AY**).

Reconciliation: Nominal gain = $60,00,000 - 60,000 - 8,40,000 - 1,00,000 = ₹49,00,000$. Indexation converts ₹9,40,000 of historical cost into ₹18,87,403 of today's rupees, shaving ₹9,47,403 of *inflationary* gain off the taxable figure → $₹49,00,000 - ₹8,47,403 = ₹40,52,597$. ✓ (This ₹8.47 lakh reduction is exactly the "phantom inflation" from §1 Problem 2, made concrete.)

Example 3 (Exam-hard) — LTCG on a *gifted* residential house, with a Sec 54 reinvestment exemption

Facts: Mr C received a residential house **as a gift from his father on 1-July-2022**. His father had purchased it on 10-Aug-2005 for ₹12,00,000. Mr C sells the house on 15-Jan-2024 for ₹90,00,000 (stamp value ₹92,00,000). Selling expenses ₹90,000. On 1-Sept-2024 he buys a new residential house for ₹35,00,000. Illustrative CII: 2005-06 = 117, 2023-24 = 348.

Step 1 — Is it a transfer / a capital asset? Yes, a sale of a house = transfer of a capital asset. The *gift* to Mr C was NOT a transfer (Sec 47) — so no tax then; tax is deferred to this sale.

Step 2 — Holding period (the trap). Do **not** count from 1-July-2022 (gift date). Under Explanation to Sec 2(42A), include the **previous owner's** holding. Father held from Aug-2005; total ≈ 18 years → **Long-term**. (If you wrongly counted from the gift, you'd get ~ 18 months and mislabel it — the classic examiner trap.)

Step 3 — Full value of consideration — Sec 50C check. Actual price ₹90,00,000 < stamp value ₹92,00,000. If the gap exceeds the tolerance band (verify current %, e.g. 10%): here gap = $2/90 \approx 2.2\%$, **within** the band → actual ₹90,00,000 stands. FVC = **₹90,00,000**. (If it had exceeded the band, FVC would be deemed ₹92,00,000.)

Step 4 — Cost of acquisition — Sec 49(1). Take the **father's cost = ₹12,00,000**.

Step 5 — Indexed cost. Using the previous owner's year of acquisition (2005-06):

$$\text{Indexed COA} = 12,00,000 \times \frac{348}{117} = 12,00,000 \times 2.9744 = \mathbf{₹35,69,231}$$

Step 6 — LTCG before exemption.

Particulars	₹
Full value of consideration	90,00,000
Less: Expenditure on transfer	(90,000)
Less: Indexed cost of acquisition	(35,69,231)
LTCG before exemption	53,40,769

Step 7 — Sec 54 exemption (reinvestment in a residential house). A LTCG on a residential house reinvested in another residential house is exempt to the **lower of (a) the capital gain or (b) the amount invested in the new house**. Here gain ₹53,40,769 vs investment ₹35,00,000 → exemption = **₹35,00,000** (the lower).

Step 8 — Taxable LTCG.

Particulars	₹
LTCG before exemption	53,40,769
Less: Exemption under Sec 54	(35,00,000)
Taxable LTCG (Sec 112)	18,40,769

Reconciliation: Father's ₹12,00,000 grew to a nominal ₹90,00,000 (net ₹89,10,000 after selling cost); indexation lifts cost to ₹35,69,231, giving ₹53,40,769 real gain; reinvesting ₹35 lakh defers tax on that slice, leaving ₹18,40,769 taxable. ✓ Every rupee accounted for.

Learning: had Mr C invested ₹55,00,000+ (≥ the whole gain), taxable LTCG would be **nil** — full deferral. This is the reinvestment logic of §4.8 below in action.

4.8 (Technical, placed here to feed Example 3) — The reinvestment exemptions: Sec 54, 54F, 54EC

The unifying logic — "you didn't really cash out." If you sell your house and immediately buy another house to live in, you haven't *consumed* the gain — you've merely swapped one roof for another. Taxing you would force a sale of the new home to pay tax. So the Act says: *reinvest into an approved capital asset within a time window, and we'll exempt (defer) the gain to the extent reinvested*. Every exemption in this family is the **same idea with different asset pairs**.

Section	Sell WHAT (source)	Buy WHAT (reinvest)	Who	Exemption = lower of
54	LTCG on a residential house	Another residential house (in India)	Individual / HUF	Capital gain OR cost of new house
54F	LTCG on any LTCA other than a house (e.g. shares, gold, plot)	A residential house	Individual / HUF (must not own > 1 other house)	<i>Proportionate</i> — gain × (investment ÷ net sale consideration)
54EC	LTCG on land or building	Specified bonds (NHAI/REC etc.), redeemable, 5-yr lock-in	Any assessee	Capital gain OR amount invested, capped at ₹50 lakh

Why 54 vs 54F differ in the exemption formula — a beautiful piece of logic: - Under **Sec 54** the source is *itself* a house, so reinvesting the *gain* is enough → exemption capped at gain or new-house cost. - Under **Sec 54F** the source is *not* a house (say shares). Parliament worries you might sell shares, buy a house partly with the gain and partly pocket cash. So it demands you invest the **entire net sale consideration** to get full exemption; invest only part, and you get a **proportionate** exemption: $\text{Exemption} = \text{LTCG} \times (\text{Amount invested in house} \div \text{Net sale consideration})$. *This proportionality is the single most tested feature of 54F.*

Why 54EC caps at ₹50 lakh and locks in 5 years: these are subsidised government infrastructure bonds. An uncapped exemption would let the ultra-rich park unlimited gains tax-free, so ₹50 lakh is the ceiling; the lock-in ensures the money genuinely funds infrastructure. Investment must be made **within 6 months** of transfer.

Capital Gains Account Scheme (CGAS): if you haven't reinvested by the **due date of filing your return**, you must **deposit the unutilised gain in a CGAS account** with a bank to still claim 54/54F, and then use it within the statutory window (2 years to buy / 3 years to construct). *Why:* it stops taxpayers from *claiming* an exemption they only *intend* to fulfil — the money must be ring-fenced.

Clawback (why exemptions aren't permanent gifts): if the **new house is sold within 3 years** (54/54F) or the **54EC bonds are transferred/loaned against within 5 years**, the exemption is **withdrawn** — the earlier-exempt gain becomes taxable in the year of the breach. *Why:* the relief was for *genuine* long-term reinvestment, not a quick round-trip. Recent law also **caps the cost of the new house eligible under 54/54F at ₹10 crore** — verify.

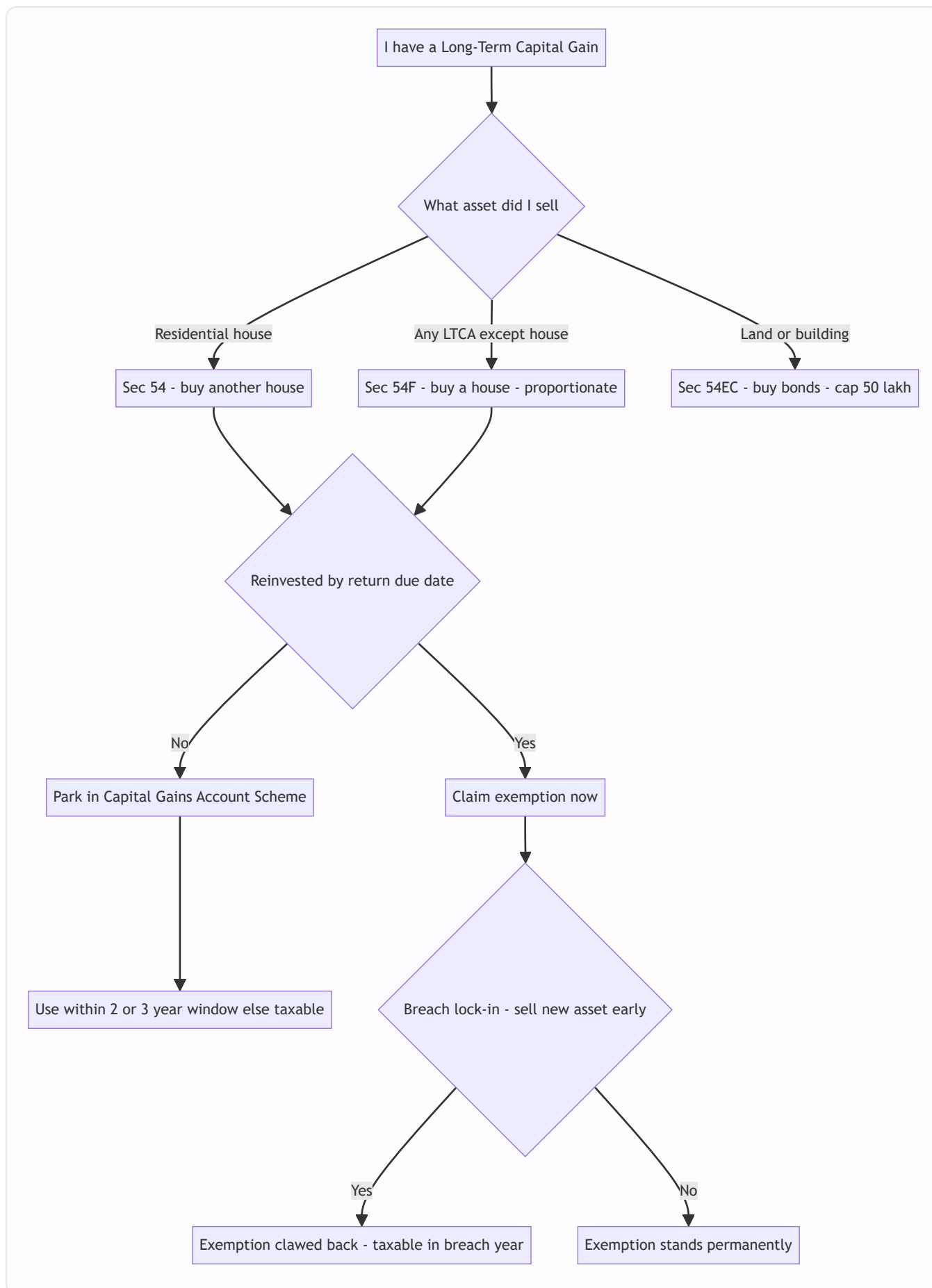


Figure 4 — The reinvestment-exemption family: same logic (defer tax on money ploughed back), different asset pairs, with CGAS parking and clawback guardrails. Verify ceilings and windows.

6. Computation Format / Presentation (use this exact ladder in the exam)

Present **each capital asset separately**, then aggregate. Marks are awarded for the disciplined ladder — show every line even if nil.

Computation of Capital Gains for A.Y. 20XX-XX

A) Short-Term Capital Gain – [Asset name]

Full value of consideration	XXX
Less: Expenditure on transfer	(XXX)
Less: Cost of acquisition	(XXX)
Less: Cost of improvement	(XXX)

Short-Term Capital Gain	XXX
	=====

B) Long-Term Capital Gain – [Asset name]

Full value of consideration	XXX
Less: Expenditure on transfer	(XXX)
Less: Indexed cost of acquisition	(XXX)
Less: Indexed cost of improvement	(XXX)

Gross Long-Term Capital Gain	XXX
Less: Exemption u/s 54 / 54F / 54EC	(XXX)

Taxable Long-Term Capital Gain	XXX
	=====

Note: STCG u/s 111A and LTCG u/s 112 / 112A are taxed at special rates and are shown separately from slab income.
Chapter VI-A deductions NOT allowed against them.

Presentation rules examiners reward: 1. Always **state the section** for the rate (111A / 112 / 112A) beside the figure. 2. Always **show the holding-period working** (dates + threshold) — that one line justifies STCG vs LTCG. 3. Show the **indexation fraction explicitly** (CII_transfer / CII_acquisition). 4. **Round** as per current rules; **carry set-off/exemptions on separate lines**.

7. Connections

- **Head interaction (Sec 14):** Capital Gains is head #4. Selling *stock-in-trade* falls under **PGBP**, not here (that's why Sec 2(14) excludes it). Forfeited advance now lands in **Income from Other Sources (Sec 56)**.
- **Set-off & carry-forward (Chapter VI):** **Short-term capital loss** can be set off against *both* STCG and LTCG; **Long-term capital loss** can be set off *only against LTCG* (logic: don't let a concessional-tax

long loss wipe out fully-taxed short income). Both carry forward **8 years** — verify.

- **Clubbing & Sec 49:** gifted-asset gains connect to the "step-into-shoes" cost rule; watch clubbing where a spouse/minor's asset is transferred without consideration.
 - **Sec 50 (depreciable assets):** gain on a business asset in a block on which depreciation was claimed is **deemed short-term** regardless of holding period — because you already got depreciation relief; giving indexation too would be double benefit. (Detailed in the PGBP/Depreciation chapter.)
 - **TDS:** Sec 194-IA (1% TDS on immovable property $\geq$ ₹50 lakh) and 195 (TDS on non-resident's gains) connect the computation to collection.
 - **Residential status (Chapter 02):** the basic-exemption-limit adjustment against 111A/112/112A gains is a **resident-only** benefit — non-residents lose it. This is where residence feeds back into capital gains.
-

8. Traps & Examiner Tricks

1. **Jewellery is NOT a personal effect.** "Sale of gold jewellery" → capital asset, gain taxable. Only *ordinary* personal movables (car, furniture, wearing apparel) are excluded. Paintings/sculptures/art likewise taxable.
 2. **Gifted/inherited asset — count the previous owner's holding period AND cost.** The single biggest trick (Example 3). Never start the clock at the gift/inheritance date.
 3. **Rural vs urban agricultural land.** Rural = not a capital asset (gain fully outside tax); urban = fully taxable. Always apply the population/distance test.
 4. **Sec 50C tolerance band.** Only substitute stamp value if the gap *exceeds* the permitted % — a small gap keeps the actual price.
 5. **54F is proportionate; 54 is not.** Applying the 54 formula to a 54F situation (or vice versa) is a guaranteed mark loss. 54F also requires you *not own more than one other residential house*.
 6. **54EC ₹50 lakh cap and the year-straddle trick.** Examiners set the transfer near a financial-year-end so a naive student invests ₹50 lakh in two years to get ₹1 crore exemption — current law caps the *aggregate* at ₹50 lakh across years. Verify.
 7. **Chapter VI-A (80C etc.) NOT deductible against special-rate gains.** Students reflexively subtract 80C — wrong against 111A/112/112A income.
 8. **CGAS deadline is the return due date, not the reinvestment window's end.** If not reinvested by the *filing due date*, the money must already be parked in CGAS to preserve the exemption.
 9. **Indexation only for long-term** (and only where current law still allows it) — never index a short-term cost.
 10. **Clawback on early sale of the new asset** — if the question sells the new house within 3 years, revive the exempt gain in the breach year.
 11. **Conversion of capital asset into stock-in-trade** is a *deemed* transfer but the gain is taxed in the year the *converted stock is sold*, using FMV on conversion date as the capital-gains full value (the excess over FMV is business income). Two-stage — easy to compress wrongly.
-

9. First-Principles Recap

Rebuild the whole chapter from one sentence: "**Wealth appreciation is different from ordinary income, so tax it only when realised, adjust for the years and inflation it accumulated over, and don't tax it at**

all if it was merely rolled into another asset."

- *Only when realised* → charge on **transfer** (Sec 45), and define both **capital asset** (Sec 2(14)) and **transfer** (Sec 2(47)) precisely so nothing escapes and nothing wrong is caught.
- *Adjust for years* → the **holding-period test** (12/24/36) splits short from long; long gains get a **special concessional rate** (Sec 111A / 112 / 112A) to defuse bunching.
- *Adjust for inflation* → **indexation** (Sec 48 + CII) inflates the historical cost so only *real* gain is taxed — where current law still permits it.
- *Rolled into another asset* → **reinvestment exemptions** (Sec 54 / 54F / 54EC) defer tax on the ploughed-back amount, guarded by **CGAS parking** and **clawback** so the relief stays genuine.

If you can derive each section from the *reason*, you never need to memorise it. The reasons are permanent; the numbers are not — **so verify every rate, threshold, CII value, ceiling, and the applicable AY in current ICAI material before your attempt.**

10. Quick-Revision Sheet

Sections at a glance

Section	What it governs	One-line hook
45(1)	Charging section — gain taxed in year of transfer	"Realisation = the trigger"
2(14)	Capital asset definition + exclusions	"SPRAG excluded"
2(47)	Transfer definition (wide)	"Every substance-of-sale event"
47	NOT-a-transfer list (gift, will, HUF partition, holding-subsidiary)	"Sec 47 = the 'not' gate"
2(42A)/2(29A)	Short vs long-term; incl. previous owner's period	"12 / 24 / 36 ladder"
48	Computation formula + indexation	"FVC – expenses – (indexed) cost – improvement"
49(1)	Cost = previous owner's cost (gift/inheritance)	"Step into the shoes"
50	Depreciable block asset gain deemed short-term	"Depreciated → always STCG"
50C / 50CA	Deemed FVC = stamp value / FMV	"Anti-underpricing"
55	Cost of acquisition / improvement; FMV-on-1-4-2001 option	"Restart clock at 2001"
111A	STCG on STT-paid listed equity — flat rate	"Short equity"
112	LTCG on all other assets	"Long everything-else"
112A	LTCG on STT-paid listed equity, over threshold, no indexation	"Long equity"
54	House → house exemption	"Roof for roof"
54F	Any LTCA (non-house) → house, proportionate	"Invest full net consideration"
54EC	Land/building → bonds, ₹50 lakh cap, 5-yr lock	"Bonds, capped"
54B / 54D	Agricultural land / compulsory acquisition of industrial land	"Special reinvestments"

Limits & thresholds (VERIFY current values for your AY)

Item	Illustrative value — CONFIRM
Long-term threshold — listed equity/units	> 12 months
Long-term threshold — unlisted shares & immovable property	> 24 months
Long-term threshold — other assets	> 36 months
CII base year	2001-02 = 100
FMV substitution option	Assets acquired before 1-4-2001
111A STCG rate	historically 15% (revised)
112 LTCG rate	historically 20% with indexation / newer flat rate
112A LTCG rate + annual exemption	above ₹1 lakh threshold (revised); no indexation
54EC cap / lock-in / investment window	₹50 lakh / 5 years / within 6 months
54 & 54F new-asset cost cap	₹10 crore
54/54F reinvestment window	buy: 1 yr before–2 yrs after; construct: 3 yrs
CGAS deposit deadline	return filing due date
Clawback period — 54/54F new house	3 years
Set-off: STCL	against STCG & LTCG
Set-off: LTCL	against LTCG only
Capital loss carry-forward	8 years

The one principle to carry into the hall: *relief scales with holding period* — short-term = ordinary treatment; long-term = indexation + concessional rate + reinvestment deferral. Everything else is detail hanging off that spine.

Final reminder: Every rate, limit, CII figure, holding-period slab, and the very availability of indexation are subject to annual Finance Act changes. **Confirm each against current ICAI study material and the Assessment Year applicable to your exam before relying on a number.**

Q&A — Capital Gains

AY flag: Rates, monetary limits and the CII table below are as generally applicable for **AY 2025-26** (and the position after the Finance (No.2) Act, 2024 changes effective **23 July 2024**). Capital-gains law saw a major re-write in July 2024 (holding-period simplification, 12.5% LTCG, removal of indexation for most assets). **Always re-verify the exact rate, holding period and CII number against the current ICAI Study Material / RTP for your attempt.** Section references are to the **Income-tax Act, 1961**.

Section A — Concept Check (short Q&A with section citation)

A1. What are the four conditions for a charge under "Capital Gains"? There must be (i) a **capital asset** [Sec 2(14)], (ii) a **transfer** [Sec 2(47)], (iii) the transfer takes place during the previous year, and (iv) profit/gain arises. Charge is under **Sec 45(1)**; gain is chargeable in the year of transfer.

A2. Give two items expressly excluded from "capital asset" under Sec 2(14). (i) **Stock-in-trade** (taxed as business income), and (ii) **rural agricultural land** in India. Also excluded: personal movable effects (except jewellery, art, drawings, paintings, sculptures, archaeological collections).

A3. Why does the law tax gains only on "transfer" and not on mere appreciation? Because of the **realisation principle** — unrealised paper gains are not income until converted through a transfer event. This is the "realisation" pillar; tax follows the cash-generating event, not annual mark-to-market.

A4. Name three transactions that are "not regarded as transfer" under Sec 47. (i) Distribution of capital asset on **total partition of an HUF** [47(i)]; (ii) transfer under a **gift or will** [47(iii)]; (iii) transfer of a capital asset by a **holding company to its 100% subsidiary** (or vice versa) [47(iv)/(v)]. These break the charge — no capital gain arises.

A5. State the holding-period thresholds for long-term status (post 23-07-2024). Two buckets only: **listed securities & units** — long-term if held > **12 months**; **all other assets** (including unlisted shares and immovable property) — long-term if held > **24 months**. (The old 36-month category for other assets is gone.)

A6. What is the purpose of the Cost Inflation Index (CII) under Sec 48? It **neutralises inflation** so that only the real gain is taxed, by grossing up cost: $\text{Indexed cost} = \text{Cost} \times (\text{CII of year of transfer} \div \text{CII of year of acquisition})$. Post-July 2024, indexation is **withdrawn** for most assets under the new 12.5% regime (with a grandfathering/relief option for resident individuals/HUF on land & building acquired before 23-07-2024).

A7. Distinguish Sec 111A, 112 and 112A rates. - **111A** — STCG on listed equity/units (STT paid): **20%** (raised from 15% w.e.f. 23-07-2024). - **112A** — LTCG on listed equity/units (STT paid) above ₹1.25 lakh: **12.5%**, no indexation. - **112** — LTCG on other assets: **12.5%** without indexation (post 23-07-2024).

A8. What does Sec 55 supply that Sec 48 needs? Sec 55 defines "**cost of acquisition**" and "**cost of improvement**", including the **Fair Market Value as on 01-04-2001** option for assets acquired before that date, and treats cost of self-generated goodwill etc. as **nil**.

A9. Why does Sec 49(1) matter for gifted/inherited assets? It provides **cost stepping-through**: the previous owner's cost becomes the assessee's cost, and Explanation to Sec 2(42A) makes the **previous owner's holding period** count. This prevents a gift/inheritance from resetting the tax clock.

A10. What is the anti-avoidance role of Sec 50C? For land/building, if actual consideration is **below stamp-duty value**, the **stamp-duty value** is deemed to be the full value of consideration (subject to a **safe-harbour tolerance band of 10%**). Sec 50CA does the same for **unquoted shares** using FMV.

Section B — Graded Computational Problems (full working, self-checked)

B1 (Easy) — STCG under Sec 111A

Ms. R sold 1,000 listed equity shares (STT paid) on 10-05-2024, holding period 8 months. Sale ₹4,20,000; cost ₹3,00,000; brokerage on sale ₹2,000. Compute tax on this gain (ignore other income; she is a resident individual, opts out is irrelevant).

Answer. Holding ≤ 12 months $\rightarrow$ **STCG**, and STT-paid listed equity $\rightarrow$ **Sec 111A**. - Full value of consideration = 4,20,000 - Less: expenses on transfer (brokerage) = 2,000 - Net consideration = 4,18,000 - Less: cost of acquisition = 3,00,000 - **STCG = ₹1,18,000** - Tax @ **20%** (111A, post 23-07-2024) = **₹23,600** (+ cess). *Check:* $1,18,000 \times 20\% = 23,600$. ✓

B2 (Easy-Moderate) — LTCG on listed equity, Sec 112A

Mr. S sold listed shares (STT paid) held 3 years on 01-02-2025. Net LTCG computed = ₹3,00,000. No other capital gains. Compute tax.

Answer. Sec 112A: exemption of first **₹1,25,000**, balance @ **12.5%** (no indexation). - Taxable LTCG = 3,00,000 - 1,25,000 = 1,75,000 - Tax = $1,75,000 \times 12.5\% = \text{₹}21,875$ (+ cess). *Check:* $1,75,000 \times 0.125 = 21,875$. ✓

B3 (Moderate) — LTCG on land WITH indexation (pre-23-07-2024 sale)

Mr. T sold land on **15-06-2023** for ₹80,00,000 (brokerage ₹80,000). Purchased in **FY 2005-06** for ₹8,00,000. CII: 2005-06 = **117**, 2023-24 = **348**. Compute LTCG.

Answer. Held > 24 months $\rightarrow$ LTCG; sale before 23-07-2024 $\rightarrow$ **indexation available**. - Indexed cost = $8,00,000 \times (348 \div 117) = 8,00,000 \times 2.97436 = \text{₹}23,79,487$ - Net consideration = 80,00,000 - 80,000 = 79,20,000 - **LTCG = 79,20,000 - 23,79,487 = ₹55,40,513** - Tax @ 20% (Sec 112, old regime for this date) = ₹11,08,103 (+ cess). *Check:* $348/117 = 2.974358\dots; \times 8,00,000 = 23,79,487$. ✓

B4 (Moderate-Hard) — Gifted house: Sec 49(1) + 2(42A) + Sec 54

Mr. V received a residential house as a **gift from his father** on 01-07-2023. Father had **purchased it in FY 2014-15 for ₹20,00,000**. V sold it on **10-08-2024 for ₹95,00,000** (transfer expenses ₹1,00,000). V bought a new residential house for ₹40,00,000 on 01-12-2024. Compute taxable capital gain. (Sale is after 23-07-2024 $\rightarrow$ **no indexation**; new 12.5% regime.)

Answer. Cost & holding step through from father [Sec 49(1) + Expln to 2(42A)]. Father held from FY 2014-15 $\rightarrow$ holding > 24 months $\rightarrow$ **LTCG**. - Cost of acquisition (previous owner) = 20,00,000 (no indexation — sale after 23-07-2024) - Net consideration = 95,00,000 - 1,00,000 = 94,00,000 - LTCG before exemption = 94,00,000 - 20,00,000 = **₹74,00,000** - **Sec 54** exemption (residential house $\rightarrow$ residential house) = lower of (a) LTCG ₹74,00,000 or (b) amount invested ₹40,00,000 = **₹40,00,000** - **Taxable LTCG = 74,00,000 - 40,00,000 = ₹34,00,000** - Tax @ 12.5% (Sec 112) = ₹4,25,000 (+ cess). *Check:* $94L - 1L \text{ expenses} - 20L \text{ cost} = 74L; -40L \text{ Sec 54} = 34L; \times 0.125 = 4,25,000$. ✓

B5 (Exam-Hard) — Sec 50C + Sec 54F + CGAS clawback

Mr. K, resident, sold a **plot of land** (long-term, acquired FY 2016-17 for ₹15,00,000) on **05-09-2024** for a stated consideration of **₹60,00,000**; **stamp-duty value ₹68,00,000**. Transfer expenses ₹50,000. He does **not own more than one residential house**. He invested ₹30,00,000 in a new residential house and deposited ₹10,00,000 in the **Capital Gains Account Scheme** before the return due date; the CGAS amount was **not utilised** within the 3-year window. Compute LTCG for the year of sale and the amount taxable on clawback. (No indexation — post 23-07-2024.)

Answer. Step 1 — Full value of consideration [Sec 50C]. Stamp value 68,00,000 vs stated 60,00,000. Variation = 8,00,000 = 13.3% of stated, which **exceeds the 10% tolerance band** → adopt **stamp value ₹68,00,000**.
Step 2 — LTCG before exemption: - 68,00,000 - 50,000 (expenses) - 15,00,000 (cost, no indexation) = **₹52,50,000** Step 3 — Sec 54F (transfer of a non-residential LTCA + investment in one residential house). Exemption is **proportionate to net consideration**: - Net consideration for 54F = 68,00,000 - 50,000 = 67,50,000 - Amount invested/deposited = 30,00,000 + 10,00,000 = 40,00,000 - Exemption = LTCG × (Investment ÷ Net consideration) = 52,50,000 × (40,00,000 ÷ 67,50,000) = 52,50,000 × 0.592593 = **₹31,11,111** - **Taxable LTCG in year of sale = 52,50,000 - 31,11,111 = ₹21,38,889** Step 4 — Clawback of unutilised CGAS. The ₹10,00,000 not utilised is proportionately withdrawn from exemption and **taxed as LTCG in the year the 3-year period expires**: - Reversed exemption = 52,50,000 × (10,00,000 ÷ 67,50,000) = 52,50,000 × 0.148148 = **₹7,77,778** Check: exemption used only for ₹30L actual house = 52,50,000 × (30,00,000/67,50,000) = 23,33,333; original exemption 31,11,111 - 23,33,333 = 7,77,778. ✓ **Result:** Year-of-sale taxable LTCG **₹21,38,889** (tax @12.5% Sec 112); clawed-back LTCG **₹7,77,778** taxed in the year the CGAS period lapses.

Section C — Past-Paper-Style Full Questions

C1. "Compute the income under the head Capital Gains" (mixed portfolio)

Mr. A, resident individual, during **FY 2024-25** had: (i) STCG on listed shares STT-paid ₹2,00,000 [111A]; (ii) LTCG on listed shares STT-paid ₹2,00,000 [112A]; (iii) LTCG on sale of gold (bought FY 2019-20 ₹5,00,000, sold 01-01-2025 ₹9,00,000, no indexation post-July-2024) [112]. State the head income and tax on each stream.

Model answer. | Stream | Section | Amount | Rate | Tax | |---|---|---|---|---| | STCG listed equity | 111A | 2,00,000 | 20% | 40,000 | | LTCG listed equity | 112A | 2,00,000 - 1,25,000 = 75,000 | 12.5% | 9,375 | | LTCG gold | 112 | 9,00,000 - 5,00,000 = 4,00,000 | 12.5% | 50,000 |

- Income under head Capital Gains = 2,00,000 + 2,00,000 + 4,00,000 = **₹8,00,000**.
- Total CG tax = 40,000 + 9,375 + 50,000 = **₹99,375** (+ cess). Checks: 112A exempts first 1.25L; gold LTCG $4L \times 12.5\% = 50,000$. ✓
- Note:** Special-rate incomes (111A/112/112A) are **excluded** when checking the basic-exemption-adjustment and the deductions under Chapter VI-A cannot be set against them.

C2. Interplay of set-off (Sec 70/74) with capital gains

Mr. B has **STCL ₹3,00,000** (non-111A), **STCG ₹1,00,000** (111A), and **LTCG ₹4,00,000** (112). Show set-off.

Model answer. - **STCL can be set off against BOTH STCG and LTCG** [Sec 70(2)/71 rule]. **LTCL can be set off only against LTCG.** - Set STCL 3,00,000: first against STCG 1,00,000 (balance loss 2,00,000), then against LTCG → LTCG 4,00,000 - 2,00,000 = **₹2,00,000**. - Net taxable: STCG 111A = **Nil**; LTCG 112 = **₹2,00,000**

@12.5% = ₹25,000. - Check: total loss 3,00,000 fully absorbed (1,00,000 + 2,00,000). ✓ Unabsorbed capital loss carries forward **8 assessment years** [Sec 74].

C3. Depreciable asset — Sec 50

X Ltd sold the **only asset** in its plant block. Opening WDV ₹6,00,000; additions ₹1,00,000; sale consideration ₹9,00,000. Compute gain and its character.

Model answer. Under **Sec 50**, when the block ceases to exist (or sale exceeds WDV), the excess is **deemed Short-Term Capital Gain** irrespective of actual holding period. - Block value = WDV 6,00,000 + additions 1,00,000 = 7,00,000 - STCG = 9,00,000 – 7,00,000 = **₹3,00,000**, taxed as STCG at **normal slab rates** (Sec 50 gain is STCG but not 111A). Check: $9L - 7L = 3L$. ✓

Section D — MCQs / Case Scenarios

D1. Post 23-07-2024, an unlisted equity share is long-term if held for more than: (a) 12 months (b) 24 months (c) 36 months (d) 48 months **Ans: (b).** Sec 2(42A) — non-listed assets now use the 24-month line.

D2. LTCG on STT-paid listed equity above the ₹1.25 lakh threshold is taxed at: (a) 10% (b) 12.5% (c) 15% (d) 20% **Ans: (b).** Sec 112A rate raised to 12.5% w.e.f. 23-07-2024.

D3. Sec 50C tolerance band (stamp value vs consideration) is: (a) 5% (b) 10% (c) 15% (d) 20% **Ans: (b).** If variation $\leq 10\%$, actual consideration is accepted.

D4. Exemption under Sec 54EC (investment in NHAI/REC bonds) is capped at: (a) ₹25 lakh (b) ₹50 lakh (c) ₹1 crore (d) no cap **Ans: (b).** Max ₹50 lakh, within 6 months, 5-year lock-in.

D5 (Scenario). A gifts jewellery to B; B sells it after 6 months (A had held it 10 years). Character of gain in B's hands? (a) STCG (b) LTCG (c) Exempt (d) Business income **Ans: (b) LTCG.** Sec 49(1) + Expln to 2(42A) — previous owner's holding period is included, so total > 24 months.

D6 (Scenario). Rural agricultural land in India is sold at a large profit. Taxable as capital gain? (a) Yes, STCG (b) Yes, LTCG (c) No — not a capital asset (d) Only if $> ₹50$ lakh **Ans: (c).** Sec 2(14) excludes rural agricultural land from "capital asset".

D7. Cost of a **self-generated goodwill** of a business, for capital-gains computation, is taken as: (a) FMV (b) Nil (c) Book value (d) Indexed cost **Ans: (b).** Sec 55 — cost of self-generated goodwill/right etc. is nil.

Decision Map (which rate/section applies)



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Quick-Revision Trigger Sheet

Item	Section	Key number (AY 25-26)
Charge	45(1)	Year of transfer
Capital asset / exclusions	2(14)	rural agri land, stock, personal effects
Transfer	2(47)	includes extinguishment
Not transfer	47	partition, gift/will, holding↔subsidiary
Holding period	2(42A)	12m listed / 24m others
Computation	48	FVC – expenses – cost – improvement
STCG listed	111A	20%
LTCG listed	112A	12.5% > ₹1.25L
LTCG other	112	12.5%, no indexation
Prev-owner cost	49(1)	cost + holding step-through
Stamp value / FMV deeming	50C / 50CA	10% band
Cost / FMV 01-04-2001	55	goodwill nil
House→House	54	LTCG or reinvest, lower
Any LTCA→House	54F	proportionate to net consideration
Bonds	54EC	max ₹50L, 6 months, 5-yr lock
Depreciable block	50	deemed STCG

First-principles recap: capital gains tax exists to catch *realised*, *real* appreciation — hence the transfer trigger (realisation), historical indexation / lower flat rate (inflation), and rollover exemptions 54/54F/54EC (deferral where the taxpayer merely re-invests, not consumes). Every rule maps to one of those three problems.

Re-confirm all rates, the ₹1.25 lakh/₹50 lakh limits, holding periods and CII figures against the **current ICAI Study Material and the Finance Act applicable to your attempt** before the exam.

Chapter 07 — Income from Other Sources

Flag: All rates, monetary limits and threshold figures below are stated for a recent assessment year to build understanding. **Always re-verify the exact rates, limits and the applicable AY against current ICAI study material before your attempt.** The *logic* of each provision, which is what this chapter teaches, does not change year to year.

1. The Problem — income that belongs nowhere else

The Income-tax Act, 1961 does not tax "income" as one undifferentiated pool. Section 14 splits total income into **five heads**:

1. Salaries
2. Income from House Property
3. Profits and Gains of Business or Profession (PGBP)
4. Capital Gains
5. **Income from Other Sources (IFOS)**

Each of the first four heads has its own machinery: its own charging section, its own rules for what is taxable, when it accrues, and what you can deduct. That specialisation is useful — salary is computed very differently from a capital gain.

But specialisation creates a gap. What happens to income that is genuinely income, yet does not fit the definition of *any* of the first four heads?

Consider:

- You win ₹10 lakh in a game show. It is not salary (no employer), not house property, not business (you are not a professional gambler), and not a capital gain (no capital asset was transferred). Should it escape tax simply because the drafters did not foresee your good luck?
- Your uncle's friend gifts you ₹5 lakh in cash for no reason. Not a capital gain (no transfer), not business income. Tax-free windfall?
- You hold a fixed deposit and earn interest. You are not in the business of lending. Where does it sit?
- A company pays you a dividend. You did not sell the share, so it is not a capital gain.

If the law had **only** four specific heads, all of this would fall through the cracks, and tax planning would degenerate into "structure your income so it fits no head." The tax base would leak badly.

The problem: a specific-head system inevitably leaves residual income uncovered, and any uncovered income is, in effect, exempt by accident.

2. The Core Idea — a residual, catch-all head

The solution is elegant and is the single idea that explains everything in this chapter:

Income from Other Sources is the residual head. If something is *income* under the Act, and it is not exempt, and it does not fall under any of the other four heads, then it is *automatically* taxed here.

This is the meaning of **Section 56(1)**: income of every kind which is not to be excluded from total income and is not chargeable under heads 1–4 is chargeable under "Income from Other Sources."

Think of IFOS as the **safety net stretched under the other four heads**. Anything that slips past them lands here. Because of this net, the Act can confidently say: *all income is taxed somewhere*.

Two consequences flow immediately from "residual":

- **IFOS is the head of last resort.** You only reach it after checking that the income is not covered by Salaries, House Property, PGBP or Capital Gains. This ordering is not decorative — it decides which set of computation rules and deductions apply.
- **IFOS is deliberately open-ended.** Section 56(1) uses "income of every kind." The drafters could not list every conceivable source, so they wrote a general sweep and then *illustrated* it with a list of common items in **Section 56(2)**.

Figure 1 — the residual logic: an item is tested against the four specific heads first, and only lands in IFOS if none of them claims it.

A receipt that is income and not exempt

Is it Salary income

Yes

Head 1 Salaries

No

Is it House Property income

Yes

Head 2 House Property

No

Is it Business or Profession income

Yes

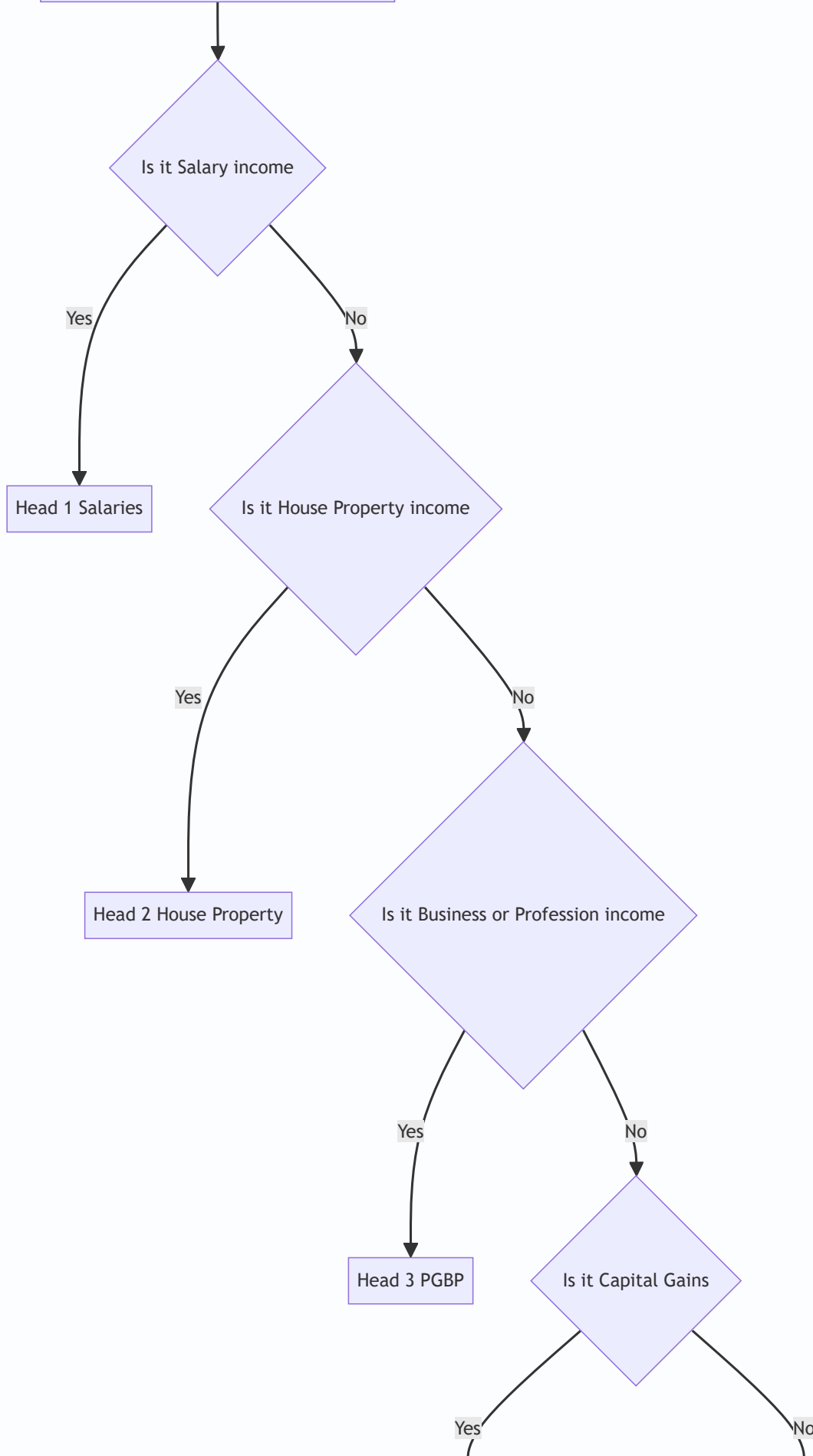
Head 3 PGBP

No

Is it Capital Gains

Yes

No



3. Why it's built this way — residual sweep plus a named list

If IFOS is purely residual, why does the Act bother to *list* specific items in Section 56(2) — dividends, casual income, gifts, interest on securities? A residual clause would catch them anyway.

Three reasons, and understanding them removes most of the "why is this here?" confusion:

(a) Certainty for common cases. Rather than argue every year whether dividend is "income of every kind," the Act names it. The list in 56(2) is *illustrative, not exhaustive* — the word used is "in particular, and without prejudice to the generality" of 56(1). So the list does not shrink the net; it just marks the fish that are caught most often.

(b) Some items need *special treatment* that only makes sense once the item is pinned to this head. For example:

- **Gifts** (56(2)(x)) are, in ordinary logic, *capital receipts* — a windfall, not the fruit of any activity. Left alone they would be non-taxable capital receipts. The Act had to *deem* them income and park them in IFOS to tax them at all. This is the classic "the WHY": gifts are taxed here because they had no natural home, and untaxed gifting was a huge route for laundering money and dodging tax.
- **Casual income / lottery** (56(2)(ib)) needs a special flat rate and a *no-deduction, no-set-off* regime. That regime is bolted on precisely because these are IFOS.

(c) To close specific abuse channels as they were discovered. Sections like 56(2)(viib) (premium on shares issued above fair value — the "angel tax" logic) were inserted over time as anti-avoidance patches. They are residual by nature but named because they target a precise mischief.

So the architecture is: **one broad residual charge (56(1)) + a growing, illustrative list of named inclusions (56(2)) that either give certainty, deem capital receipts to be income, or plug avoidance.**

Keep that framing and you never have to memorise the list as random facts — each entry answers "what gap or abuse does this close?"

4. Full Technical Content — sections, formats, rates and limits (each wrapped in its reason)

4.1 The charging section — Section 56

- **Sec 56(1):** the general residual charge (explained above).
- **Sec 56(2):** the illustrative list of specific inclusions.

The most exam-relevant items of 56(2):

Clause	Item	One-line "why it's listed"
56(2)(i)	Dividends	Return on shareholding; not a transfer, so not capital gains
56(2)(id)	Interest on securities	Return on debt investment, when not business income
56(2)(ib)	Winnings from lotteries, crossword puzzles, races, card games, gambling, betting, TV game shows	Pure windfall; special flat-rate regime
56(2)(x)	Money/property received without or for inadequate consideration (gifts)	Deems capital-type windfalls to be income; anti-laundering
56(2)(viib)	Consideration for shares exceeding fair market value ("angel tax")	Anti-avoidance on inflated share premium
56(2)(ii)/(iii)	Income from letting of machinery, plant, furniture; and buildings let <i>along with</i> such assets where letting is inseparable	Not house property or business — a composite letting
56(2)(viii)	Interest on compensation / enhanced compensation	Certainty on when and how such interest is taxed

4.2 Two default residual items (always IFOS unless business)

Family pension — pension received by the *legal heirs* of a deceased employee. The employee's own pension is *salary*; but once he dies, there is no employer-employee relationship with the heir, so it cannot be salary. It lands in IFOS. A **standard deduction under Sec 57(iiia)** of 1/3 of the pension or ₹15,000, **whichever is lower**, is allowed — the *reason* being a rough proxy for collection/related costs, mirroring the old salary standard deduction logic. (*Verify the ₹15,000 figure and any updated limit.*)

Interest income (bank/FD/others), **director's sitting fees**, **income from sub-letting**, **casual income**, **royalty where not a business** — all default to IFOS.

4.3 Dividends — Sec 56(2)(i)

Why the current design exists: historically dividends were taxed in the company's hands via Dividend Distribution Tax (DDT), so shareholders got them tax-free. DDT was **abolished** (w.e.f. FY 2020-21) because it taxed everyone at the same DDT rate regardless of the shareholder's slab — unfair to small investors. The system reverted to **classical taxation**: dividend is now taxable **in the shareholder's hands under IFOS at slab rates**.

- **Deduction (Sec 57):** only **interest expense** incurred to earn the dividend is allowed, and it is **capped at 20% of the dividend income**. *Why the cap?* To stop taxpayers from wiping out dividend income (or creating a loss) by claiming heavy borrowing costs against a modest dividend. No other expense (e.g., collection charges) is allowed.
- **TDS:** the company deducts TDS on dividend above a threshold (commonly ₹5,000 per year per shareholder) — *verify the threshold*.
- **Deemed dividend Sec 2(22)(e):** loans/advances by a closely-held company to a substantial shareholder are treated as dividend, to stop owners extracting profits disguised as "loans."

4.4 Interest on securities — Sec 56(2)(id)

Interest on government securities, debentures, bonds. Taxable under IFOS **unless** the securities are held as **stock-in-trade** of a business (then PGBP). **Grossing up** is required when interest is received net of TDS — you add back the TDS to arrive at gross income, because the *income* is the gross amount; the TDS is merely tax already paid on your behalf.

4.5 Casual income — Sec 56(2)(ib) read with Sec 115BB

This is the most rule-heavy item, and every rule has a reason rooted in "this is an unearned windfall, and we do not want it gamed."

- **Rate:** taxed at a **flat 30%** (plus surcharge and cess) under **Sec 115BB** — *not* at slab rates. *Why flat and high?* A windfall carries no productive effort and no cost; the state takes a fixed large share, and a flat rate stops high winnings from being sheltered by low slabs.
- **No deduction of any expense** (Sec 58(4)) — the ticket cost, entry fee, travel to the casino: none allowed. *Why?* There is no "cost of earning" a lottery in any real sense, and allowing costs invites fabricated expenses.
- **No basic exemption limit benefit** and **no Chapter VI-A deductions** against it. *Why?* The 30% is meant to be a clean, un-erodable levy.
- **No set-off of losses** against casual income; and **losses from these activities cannot be set off** either. *Why?* Gambling losses are personal; letting them reduce other income would subsidise gambling.
- **TDS Sec 194B / 194BB:** tax deducted at source on winnings above a threshold (e.g., ₹10,000 — *verify; recent law aggregates winnings over the year*). Winnings in kind require the payer to ensure tax is paid before releasing the prize.

4.6 Gifts — Sec 56(2)(x) — the crown jewel of this chapter

The WHY, in full. A gift is a capital receipt — a windfall with no earning activity behind it. Under first principles a capital receipt is not income and not taxable. That created a gaping hole: unaccounted money could be routed as "gifts," and wealth could be transferred to family members in low slabs, all tax-free. Parliament first tried a separate Gift Tax Act (on the *donor*), repealed it, and finally settled on the current design: **tax the recipient by deeming certain gifts to be income under IFOS**. Taxing the receiver, at the receiver's slab, plugs the laundering route and the slab-shifting route at once.

But a blanket tax on every gift would be absurd — birthday cash from your mother, a wedding gift, an inheritance. So the section is built as **a charge with carefully reasoned carve-outs and thresholds**.

Scope: Sec 56(2)(x) applies to any person (individual, HUF, firm, company — the earlier versions were limited to individuals/HUF). Three categories:

(A) Money (any sum of money) without consideration - If **aggregate** money received without consideration during the year **exceeds ₹50,000**, the **whole amount** is taxable (not just the excess over ₹50,000). - *Why "aggregate" and "whole amount"?* Aggregation stops splitting one gift into many small ones. Taxing the whole (once you cross ₹50,000) rather than the excess makes ₹50,000 a genuine *threshold*, not an exemption slab — this is the classic trap (see §8).

(B) Immovable property - *Without consideration:* if **stamp duty value (SDV) > ₹50,000**, the whole SDV is taxable. - *For inadequate consideration:* taxable if **(SDV – consideration) exceeds the higher of ₹50,000 or 10% of consideration**. *Why the 10% tolerance band?* Because SDV is a government estimate that can

genuinely differ from a fair negotiated price; a small gap should not be punished as a "gift." The 10% safe harbour absorbs honest valuation differences. (*Verify the current tolerance percentage — it has been revised.*)

- **SDV on date of agreement** may be used (instead of date of registration) if part of the consideration was paid by a non-cash mode on or before the agreement date — *why?* to protect buyers from SDV rising between booking and registration.

(C) Movable property (shares, securities, jewellery, bullion, art, drawings, paintings, sculptures, archaeological collections — a *defined* list; note that a car is **not** in this list, so gifting a car is outside 56(2)(x))

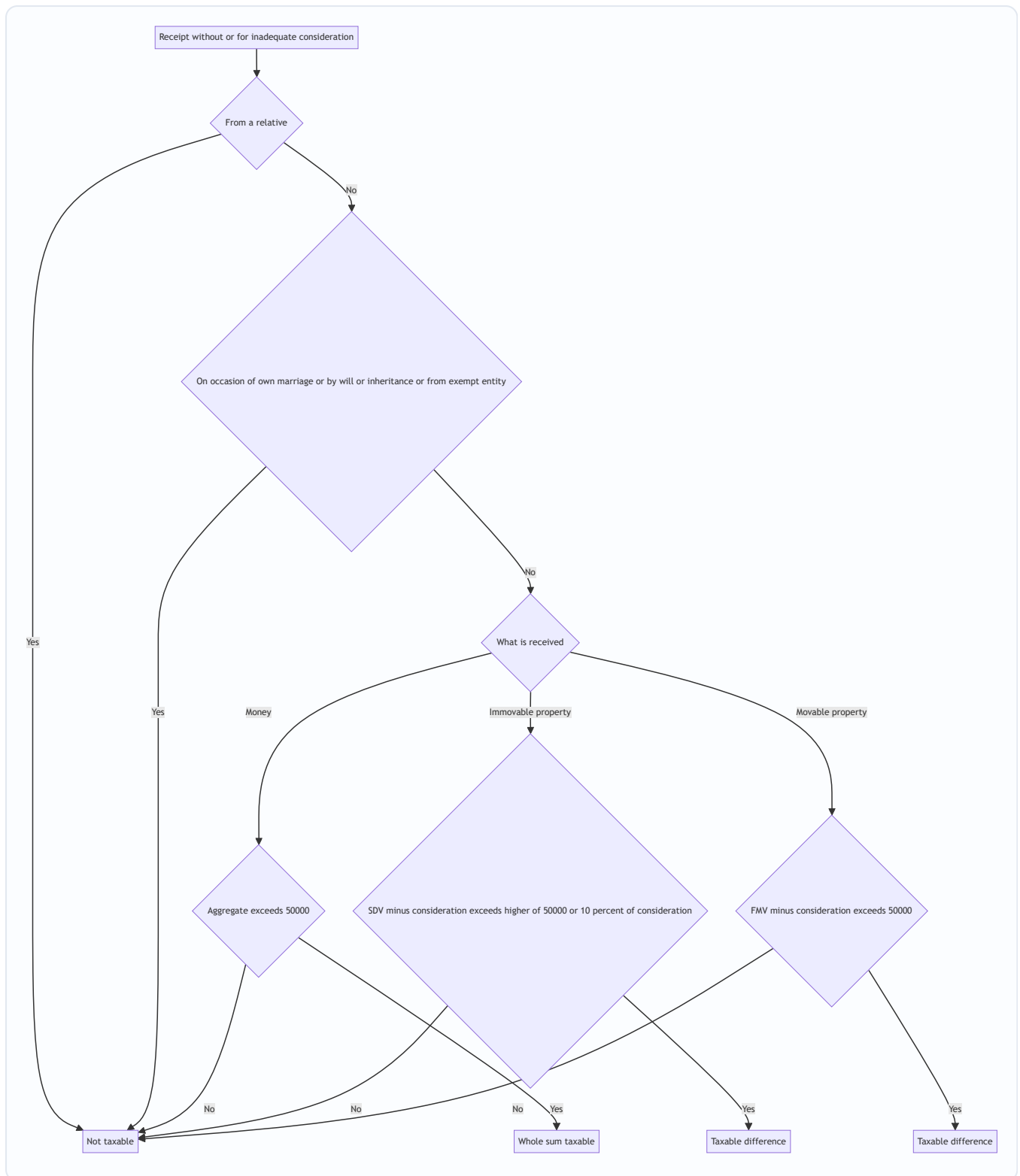
- *Without consideration*: if **aggregate FMV > ₹50,000**, whole FMV taxable.
- *For inadequate consideration*: if **(FMV – consideration) > ₹50,000**, the difference is taxable.

The exemptions — and their logic (very frequently tested):

Gifts are **NOT taxed** if received:

1. **From a relative** — *why?* Intra-family transfers are natural provisioning, not income; but "relative" is *defined narrowly* (spouse; brother/sister of self, spouse, or either parent; lineal ascendants/descendants of self or spouse; and spouses of all these) to stop the exemption being abused. A cousin, friend, or uncle's friend is **not** a relative.
2. **On the occasion of marriage of the individual** — *why?* Wedding gifts are a social custom; note it is the *individual's own* marriage, not a child's or sibling's.
3. **Under a will or by inheritance** — *why?* Inheritance is already a distinct transfer of a decedent's estate; taxing it here would be double counting and socially unacceptable.
4. **In contemplation of death of the payer** (*donatio mortis causa*).
5. **From a local authority, specified fund/foundation/trust/institution, registered charitable trust**, etc. — *why?* These are already regulated/exempt entities; the receipt is not a disguised private windfall.

Figure 2 — decision tree for taxing a gift under Sec 56(2)(x).



4.7 Deductions — Section 57 (expenses allowed)

The governing principle mirrors the whole Act: **you may deduct an expense laid out *wholly and exclusively for the purpose of earning that income*** (Sec 57(iii)). Specific clauses:

Sec 57 clause	Allowed deduction	The reason
57(i)/(ia)	For dividends & interest on securities: collection charges and interest on money borrowed to invest	Cost of producing the income — but for dividends, interest is capped at 20% of dividend (anti-erosion)
57(ii)/(iia)	For family pension: standard deduction of 1/3 or ₹15,000, whichever lower	Proxy for costs, since no actual bills exist
57(iii)	Any other expense wholly & exclusively to earn the income	The general "cost of earning" rule
57(iv)	On interest on compensation/enhanced compensation: a flat 50% deduction, no other expense allowed	Rough-and-ready allowance because litigation costs are hard to prove
—	Depreciation / current repairs on let-out machinery, plant, furniture, building (56(2)(ii)/(iii))	Wear and tear is a genuine cost of the letting

4.8 Disallowances — Section 58 (expenses NOT allowed)

Section 58 lists what you can never deduct, and each is a mirror of a general anti-abuse principle:

- **Personal expenses** — not incurred to earn income.
- **Interest or salary payable outside India** without TDS (Sec 58(1)(a)) — enforces the withholding-tax discipline.
- **"Wealth tax"** and tax on income — a tax is not a cost of earning.
- **Sec 58(1A):** amounts disallowed under **40A** (e.g., excessive payments to relatives, cash payments over the limit) apply to IFOS too — consistency with PGBP.
- **Sec 58(4): No deduction whatsoever against casual/lottery income** — the un-erodable-windfall rule. (*Exception: expenses of the activity of owning and maintaining race horses are allowed against income from that activity — because that is treated as a quasi-business, not a pure windfall.*)

4.9 Method of accounting — Section 145

- Income under IFOS (and PGBP) is computed **either on cash or on mercantile (accrual) basis, as regularly employed** by the assessee (Sec 145(1)).
- *Why the choice?* A small investor keeps no books and is naturally on cash basis; a company on accrual. The Act lets you use your regular method, but you must be **consistent**.
- **Exceptions where the method is forced:** dividends are taxed when *declared/paid* (broadly, on receipt); interest on compensation/enhanced compensation is taxed **on receipt** (Sec 145B), *why?* because until the court finally awards it, the right is contingent — taxing accrual would tax income that might vanish on appeal.

5. Worked Examples (full step-by-step)

All examples use illustrative figures. Reconcile each total yourself.

Example 1 — Foundational: interest, dividend and the 20% cap

Mr. A (individual, no business) for the year has: - Bank FD interest (gross) ₹80,000; TDS deducted ₹8,000. - Dividend from an Indian company ₹1,00,000. - Interest on a loan taken specifically to buy those dividend-paying shares: ₹30,000. - Bank locker/collection charges for the FD: ₹1,000.

Step 1 — classify. No business; all of this is IFOS.

Step 2 — interest income. Taxable amount is the **gross** ₹80,000 (the ₹8,000 TDS is tax paid, not a reduction of income). Collection charge ₹1,000 is deductible under 57(iii). Net FD income = $80,000 - 1,000 = \text{₹}79,000$.

Step 3 — dividend. Gross ₹1,00,000. Interest on borrowing is deductible under 57(i) **but capped at 20% of dividend** = $20\% \times 1,00,000 = \text{₹}20,000$ (even though ₹30,000 was actually paid; the extra ₹10,000 is lost). Net dividend = $1,00,000 - 20,000 = \text{₹}80,000$.

Step 4 — IFOS total. $79,000 + 80,000 = \text{₹}1,59,000$.

Step 5 — tax credit. The ₹8,000 TDS is claimed as a **prepaid tax** against the final liability (it does *not* change the ₹1,59,000).

Reconciliation: the only "leakage" is the disallowed ₹10,000 of excess interest — exactly what the anti-erosion cap intends.

Example 2 — Casual income and why it stands apart

Ms. B, salaried, has salary income (net) ₹4,00,000. During the year she also: - Won ₹2,00,000 (gross) in a TV game show; TDS ₹60,000 was deducted (30%). - Spent ₹5,000 travelling to the studio. - Has a short-term capital **loss** of ₹50,000 from shares.

Step 1 — classify winnings. Casual income under 56(2)(ib), IFOS, taxed under **Sec 115BB at flat 30%**.

Step 2 — deductions? The ₹5,000 travel is **disallowed** (Sec 58(4)). Winnings taxable = **₹2,00,000**.

Step 3 — set-off? The ₹50,000 capital loss **cannot** be set off against winnings — casual income cannot be reduced by any loss. (The capital loss is carried forward under its own rules.)

Step 4 — tax computation (illustrative, old-regime slab logic for the salary part): - Tax on winnings = $30\% \times 2,00,000 = \text{₹}60,000$ (flat, ignoring slab, ignoring basic exemption). - Tax on salary ₹4,00,000 is computed at slab rates *separately* — the winnings do **not** get the benefit of, nor consume, the basic exemption limit. - Add health & education cess 4% on total tax. (*Verify current cess/surcharge.*)

Step 5 — TDS credit. ₹60,000 already deducted is set off against liability; here it exactly covers the tax on winnings.

Reconciliation: the flat 30% (₹60,000) equals the TDS, illustrating why 115BB and 194B are designed to move in lockstep — the windfall is taxed at source, cleanly, with nothing deductible or set-off-able.

Example 3 — Exam-hard: comprehensive gift computation under 56(2)(x)

Mr. C, an individual, received the following during the previous year. Determine the amount taxable under IFOS.

1. Cash gift of ₹40,000 from a friend on his birthday.
2. Cash gift of ₹30,000 from his father's brother (uncle).

3. ₹1,00,000 received from his employer as a festival bonus.
4. On his marriage, gifts worth ₹3,00,000 (cash and articles) from friends.
5. A plot of land (SDV ₹6,00,000) gifted by his elder brother.
6. A plot of land purchased from a friend for ₹18,00,000; SDV ₹20,00,000.
7. Shares (FMV ₹2,00,000) received free from a friend.
8. Jewellery (FMV ₹1,50,000) purchased from a friend for ₹1,10,000.
9. A painting (FMV ₹80,000) inherited under his late grandmother's will.
10. A car (FMV ₹5,00,000) gifted by a friend.

Work through each, applying the tree in Figure 2.

- **Items 1 + 2 — money without consideration, from non-relatives.** Friend: not a relative. Uncle (father's brother) is **not** a "relative" as defined (a *father's brother* is not in the list — the list gives brother/sister of the *parent*, i.e., your uncle **is** a brother of your parent, so an uncle *is* covered).

Careful — resolve this precisely: the definition of "relative" for an individual **includes brother or sister of either of the parents of the individual**. Your father's brother is a brother of your parent, hence a **relative**. So item 2 (₹30,000 from uncle) is **exempt**. Item 1 (₹40,000 from a friend) is a non-relative money gift. Aggregate taxable money gifts from non-relatives = ₹40,000. **This does not exceed ₹50,000, so it is NOT taxable.**

- **Item 3 — ₹1,00,000 festival bonus from employer.** This is **not** a gift under 56(2)(x); a receipt from an employer is a *perquisite/profit in lieu of salary* taxable under **Salaries**, not IFOS. (56(2)(x) itself excludes such employer receipts.) So — not IFOS. (*It is taxable, but under Salaries.*)
- **Item 4 — ₹3,00,000 on the occasion of his own marriage. Exempt** (gifts on the occasion of the individual's own marriage), regardless of who gave them.
- **Item 5 — land SDV ₹6,00,000 from elder brother.** Brother is a **relative. Exempt.**
- **Item 6 — land bought for ₹18,00,000, SDV ₹20,00,000 (inadequate consideration).** Difference = 20,00,000 – 18,00,000 = ₹2,00,000. Compare with the higher of ₹50,000 or 10% of consideration (10% × 18,00,000 = ₹1,80,000). Higher = ₹1,80,000. Difference ₹2,00,000 **exceeds** ₹1,80,000, so the **entire difference ₹2,00,000 is taxable.**
- **Item 7 — shares FMV ₹2,00,000, free, from a friend.** Movable property without consideration; aggregate FMV ₹2,00,000 > ₹50,000, so **whole ₹2,00,000 taxable.**
- **Item 8 — jewellery FMV ₹1,50,000 bought for ₹1,10,000.** Movable property for inadequate consideration; difference = 1,50,000 – 1,10,000 = ₹40,000. This **does not exceed ₹50,000**, so **not taxable.** (Note: for movable property the test is a flat ₹50,000; there is no 10% band — that band is only for immovable property.)
- **Item 9 — painting inherited under a will. Exempt** (received under a will/inheritance).
- **Item 10 — car FMV ₹5,00,000 from a friend.** A motor car is **not** in the defined list of "property" (shares, jewellery, bullion, art, etc.) for movable property. Therefore **outside 56(2)(x) — not taxable** at all under this head.

Total taxable under IFOS from gifts:

Item	Taxable amount
6 — land (inadequate consideration)	2,00,000
7 — shares (free)	2,00,000
Total	₹4,00,000

Reconciliation: every exempt item traces to a *reasoned* carve-out (relative, own marriage, will, employer→salary, below-threshold, or asset-not-listed). The two taxable items are precisely the arm's-length windfalls the section targets. Total taxable **₹4,00,000**.

Example 4 — Composite IFOS with family pension and let-out assets

Mrs. D (whose husband, a former employee, died) has for the year: - Family pension received ₹1,80,000. - Let out machinery with a building (letting inseparable, not a business): rent ₹3,00,000; depreciation on the assets ₹40,000; repairs ₹20,000. - Interest on enhanced compensation received from government ₹2,00,000.

Family pension (57(iia)): standard deduction = lower of $\frac{1}{3} \times 1,80,000 = ₹60,000$, or ₹15,000. Lower = **₹15,000**. Net = $1,80,000 - 15,000 = ₹1,65,000$.

Composite letting (56(2)(iii)): rent ₹3,00,000 less depreciation ₹40,000 and repairs ₹20,000 = **₹2,40,000**.

Interest on enhanced compensation (56(2)(viii), 57(iv), 145B): taxable **on receipt**; flat **50% deduction**. Taxable = $2,00,000 - 1,00,000 = ₹1,00,000$.

IFOS total = $1,65,000 + 2,40,000 + 1,00,000 = ₹5,05,000$.

Reconciliation: each component uses its *own* deduction rule — a proxy standard deduction for pension, real costs for the letting, and a rough 50% for litigation-type interest. That variety is the whole point of §4.7.

6. Computation Format — Income from Other Sources

Use this skeleton in the exam; show every line even if nil.

Computation of Income from Other Sources for AY ____

A. Dividends (gross)	xxx	
Less: interest on borrowing (max 20% of dividend) 57(i)	(xx)	xxx
B. Interest income (grossed up where TDS deducted)	xxx	
Less: collection charges 57(iii)	(xx)	xxx
C. Winnings from lotteries/games etc. (Sec 115BB, no ded.) [taxed separately at flat 30%; no expense, no set-off]		xxx
D. Family pension	xxx	
Less: std deduction u/s 57(iia) [1/3 or 15,000, lower]	(xx)	xxx
E. Income from letting of machinery/plant/furniture (+bldg)	xxx	
Less: repairs, depreciation, insurance 57(ii)/(iii)	(xx)	xxx
F. Interest on compensation/enhanced compensation (on receipt)	xxx	
Less: 50% deduction u/s 57(iv)	(xx)	xxx
G. Gifts taxable u/s 56(2)(x)		
– money (whole, if aggregate > 50,000)	xxx	
– immovable prop (if diff > higher of 50,000 or 10% cons.)	xxx	
– movable prop (if diff/FMV > 50,000)	xxx	xxx
H. Any other income (sub-letting, royalty, sitting fees...)	xxx	
Less: allowable expenses 57(iii)	(xx)	xxx
INCOME FROM OTHER SOURCES		XXX

Note: item C is kept apart because it is taxed at a special flat rate and is not eligible for basic exemption, deductions or set-off — it flows into the tax computation, not into slab income.

7. Connections — how IFOS links to the rest of the Act

- **Ordering with the four heads (Sec 14):** always eliminate the other four heads first. A let-out *building alone* is House Property; the *same building let inseparably with machinery* is IFOS. A share *sold* is Capital Gains; the *dividend* on it is IFOS.
- **Clubbing (Sec 60–64):** income clubbed in your hands (e.g., interest earned by your spouse on money you gifted) is often computed and taxed under IFOS.
- **Set-off & carry forward (Sec 70–80):** ordinary IFOS losses (e.g., loss on letting) can be set off against other heads, **but** casual-income losses and race-horse losses have special ring-fenced rules; casual income cannot be reduced by any loss.

- **Deemed income / Sec 2(22):** deemed dividend from closely-held companies feeds into IFOS.
 - **TDS chapter:** 194B (winnings), 194 (dividend), 194A (interest) all key off IFOS receipts; TDS is a *credit*, never a reduction of gross income — hence **grossing up**.
 - **PGBP boundary:** the *same* item (interest, letting, royalty) becomes PGBP the moment it is part of a business; the phrase "not chargeable under PGBP" in many 56(2) clauses is the switch.
-

8. Traps & Examiner Tricks

1. **Threshold vs exemption (money gifts).** ₹50,000 is a **threshold, not an exemption**. Cross it and the **whole** amount is taxable, not the excess. Aggregate of ₹51,000 → ₹51,000 taxable, not ₹1,000.
 2. **Movable vs immovable test differs.** Immovable property inadequate-consideration test uses the **higher of ₹50,000 or 10% of consideration**; movable property uses a **flat ₹50,000** with **no 10% band**. Examiners plant both in one question (Example 3, items 6 and 8).
 3. **"Relative" is narrowly defined.** Friend, cousin, and (importantly) a *nephew/niece giving to uncle* differ from *uncle giving to nephew*. The definition is asymmetric in some directions — read it from the *recipient's* viewpoint. A brother of a parent (uncle/aunt) **is** a relative; a parent's *cousin* is not.
 4. **Own marriage only.** Gift on the occasion of your *child's* or *sibling's* marriage is **not** exempt — only the individual's *own* marriage.
 5. **Employer gifts are Salary, not IFOS.** 56(2)(x) expressly excludes them.
 6. **Car (and other unlisted movable assets) are outside 56(2)(x).** Only the *defined list* (shares/securities, jewellery, bullion, art, drawings, paintings, sculptures, archaeological collections) counts as "property."
 7. **Casual income: gross it, flat-rate it, deduct nothing, set off nothing, no basic exemption.** Every one of these is separately tested. TDS on winnings is often *not* the full tax after surcharge — do not assume TDS = final tax when surcharge applies.
 8. **Grossing up interest/winnings received net of TDS.** Students forget to add back TDS to reach gross income.
 9. **Dividend interest cap.** Interest deduction is capped at **20% of dividend**; any excess actually paid is simply lost — do not deduct the full interest.
 10. **Family pension standard deduction is the lower of 1/3 or ₹15,000** — students often take the *higher*.
 11. **Interest on enhanced compensation is taxed on receipt (Sec 145B) with a flat 50% deduction (57(iv))** — not on accrual, and no other expense is allowed.
-

9. First-Principles Recap

- The Act taxes all income under five heads; a specific-head system **must** have a residual head or income leaks out. That residual is **IFOS (Sec 56(1))**.
- IFOS is reached **only after** the other four heads are ruled out — it is the head of *last resort*.
- **Sec 56(2)** lists common inclusions not to shrink the net but to give certainty, to **deem** capital-type windfalls (gifts) to be income, and to plug avoidance.
- **Deductions (Sec 57)** follow the universal rule — costs *wholly and exclusively* to earn the income — with special proxies (family pension 1/3-or-15k, enhanced-compensation 50%) and one anti-erosion cap (dividend interest 20%).

- **Disallowances (Sec 58)** mirror general anti-abuse: no personal expense, no cross-border payment without TDS, and above all **nothing against casual income**.
- **Windfalls** (casual income) are taxed at a **flat 30% (115BB)** precisely because they carry no effort and no cost; **gifts** are taxed at slab in the recipient's hands to close laundering and slab-shifting, softened only by *reasoned* carve-outs (relative, own marriage, inheritance) and thresholds.
- **Method of accounting** (Sec 145) is the assessee's regular method, overridden to *receipt* basis where the income is contingent (compensation interest, dividend).

If you can reconstruct each provision from its *reason*, you never need to memorise the list.

10. Quick-Revision Sheet

Topic	Key rule	Section
Residual charge	Income not under other 4 heads, not exempt → IFOS	56(1)
Specific inclusions	Illustrative list (dividend, interest, winnings, gifts...)	56(2)
Dividend	Slab rate; interest deduction capped at 20% of dividend	56(2)(i), 57(i)
Interest on securities	Gross up for TDS; IFOS unless stock-in-trade	56(2)(id)
Casual income / lottery	Flat 30% , no deduction, no set-off, no basic exemption	56(2)(ib), 115BB, 58(4)
Money gift	Aggregate > ₹50,000 → whole sum taxable	56(2)(x)(a)
Immovable gift (inadequate)	Taxable if diff > higher of ₹50,000 or 10% of consideration	56(2)(x)(b)
Movable gift (inadequate)	Taxable if diff > ₹50,000 (flat, no 10% band)	56(2)(x)(c)
Gift exemptions	Relative; own marriage; will/inheritance; from exempt entity	proviso to 56(2)(x)
"Relative"	Spouse, siblings of self/spouse/parents, lineal ascend./descend. & their spouses	Explanation to 56(2)(x)
Family pension	Std deduction = lower of 1/3 or ₹15,000	57(ia)
Enhanced compensation interest	On receipt ; flat 50% deduction	56(2)(viii), 57(iv), 145B
Let-out machinery/plant/furniture	Rent less repairs, depreciation, insurance	56(2)(ii)/(iii), 57(ii)
General deduction rule	Expense wholly & exclusively to earn income	57(iii)
Disallowances	Personal exp.; foreign payment w/o TDS; nothing vs casual income	58
Method of accounting	Regular cash/mercantile; receipt basis for compensation interest & dividend	145, 145B

Memory hooks - "**Last net catches all fish**" → IFOS is the residual net (56(1)). - "**₹50,000 is a cliff, not a step**" → cross it on money gifts and the *whole* amount falls in. - "**Immovable gets a 10% cushion; movable**"

gets none." - **"Windfall = 30 flat, zero off"** → 30% rate, zero deductions, zero set-off. - **"Pension: take the LOWER; compensation: take HALF; dividend interest: cap at a FIFTH."**

Reminder: confirm every ₹ figure, %, threshold and the flat rate against the **current ICAI module for your applicable AY** before the exam. The reasoning here is durable; the numbers drift.

Q&A — Income from Other Sources

AY flag: Rates, monetary limits and thresholds below are stated as generally applicable for **AY 2025-26** to build working fluency. The **flat 30% on casual income (Sec 115BB)**, the **₹50,000 gift threshold**, the **10% immovable-property tolerance band**, the **₹15,000 family-pension standard deduction** and TDS thresholds can drift with each Finance Act. **Always re-verify the exact figure, %, threshold and applicable AY against the current ICAI Study Material / RTP before your attempt.** All section references are to the **Income-tax Act, 1961**. The *logic* is durable; the numbers move.

Section A — Concept Check (short Q&A with section citation)

A1. What makes Income from Other Sources a "residual" head, and which section creates the charge?

Sec 56(1) charges income *of every kind* that is (a) not excluded from total income, and (b) not chargeable under the other four heads. IFOS is therefore the **safety net of last resort** — an item lands here only after Salaries, House Property, PGBP and Capital Gains have each been ruled out. This guarantees no income leaks out of the tax base.

A2. Is the list in Sec 56(2) exhaustive? No. Sec 56(2) is **illustrative, not exhaustive** — introduced with "in particular, and without prejudice to the generality of Sec 56(1)." The named items (dividend, interest on securities, winnings, gifts) merely give certainty for common cases; the general residual charge still catches anything unnamed.

A3. After abolition of DDT, how is dividend taxed and what deduction is allowed? Dividend is taxable **in the shareholder's hands at slab rates** under **Sec 56(2)(i)** (classical system, w.e.f. FY 2020-21). Under **Sec 57(i)** only **interest on money borrowed** to earn the dividend is deductible, **capped at 20% of the dividend income**. No collection charges or other expense are allowed against dividend.

A4. At what rate is casual income taxed, and what may be deducted? Winnings from lotteries, crossword puzzles, races, card games, gambling, betting and TV game shows [**Sec 56(2)(ib)**] are taxed at a **flat 30%** (plus surcharge and cess) under **Sec 115BB** — not at slab rates. **No expense, no deduction, no basic-exemption benefit, no Chapter VI-A deduction and no set-off of any loss** is permitted [**Sec 58(4)**].

A5. When money is gifted, why is the ₹50,000 figure a "threshold" and not an "exemption"? Under **Sec 56(2)(x)(a)**, if the **aggregate** sum of money received without consideration in the year **exceeds ₹50,000**, the **whole amount** (not merely the excess) is taxable. Crossing ₹50,000 pulls the entire sum in — it is a cliff, not a step. Aggregation prevents splitting one gift into many small ones.

A6. How does the taxability test differ between immovable and movable gifted property for inadequate consideration? - **Immovable property [56(2)(x)(b)]**: taxable if (SDV – consideration) **exceeds the higher of ₹50,000 or 10% of consideration** — the 10% band absorbs honest valuation gaps. - **Movable property [56(2)(x)(c)]**: taxable if (FMV – consideration) **exceeds ₹50,000 flat** — there is **no 10% band**.

A7. Who counts as a "relative" so that a gift is exempt? Per the Explanation to **Sec 56(2)(x)**: spouse; brother/sister of the individual; brother/sister of the spouse; brother/sister of either parent; any lineal ascendant or descendant of the individual or of the spouse; and the spouse of all the persons above. A

friend, cousin, or a parent's cousin is NOT a relative. (A parent's *brother/sister* — your uncle/aunt — **is** a relative.)

A8. Why is family pension taxed under IFOS and not Salaries, and what deduction applies? The employee's own pension is Salary, but on his death there is **no employer-employee relationship with the legal heir**, so the pension received by the heir cannot be salary — it defaults to IFOS. **Sec 57(iia)** grants a standard deduction of **1/3 of the pension or ₹15,000, whichever is LOWER**.

A9. How is interest on enhanced compensation taxed? Under **Sec 56(2)(viii)** read with **Sec 145B**, it is taxable **on receipt** (not accrual — the right is contingent until finally awarded). **Sec 57(iv)** allows a flat **50% deduction**, and no other expense is permitted.

A10. What is "grossing up" and why is it needed? When interest (or winnings) is received *net* of TDS, the taxable **income is the gross amount** — TDS is merely tax already paid on the assessee's behalf. So the TDS is **added back** to reach gross income, and separately claimed as a **prepaid tax credit**. TDS never reduces gross income.

A11. Is a car gifted by a friend taxable under Sec 56(2)(x)? No. A motor car is **not** within the *defined list* of movable "property" (shares/securities, jewellery, bullion, archaeological collections, art, drawings, paintings, sculptures). Gifting an unlisted asset like a car falls **outside 56(2)(x)** entirely.

A12. On what basis is IFOS income computed? Under **Sec 145(1)**, on the **cash or mercantile basis regularly employed** by the assessee — provided it is applied consistently. Overridden to **receipt basis** for dividend and for interest on compensation/enhanced compensation [Sec 145B].

Section B — Graded Computational Problems (full working, self-checked)

B1 (Easy) — Dividend and the 20% interest cap

Mr. P received dividend of **₹1,50,000** from Indian companies. He had borrowed money to buy those shares and paid interest of **₹40,000**. He also paid ₹3,000 as portfolio collection charges. Compute income under IFOS.

Answer. Dividend → **Sec 56(2)(i)**, slab rate. - Interest deductible under **57(i)** is capped at **20% of dividend** = $20\% \times 1,50,000 = \text{₹}30,000$ (though ₹40,000 was paid; the extra ₹10,000 is lost). - Collection charges of ₹3,000 are **not allowed** against dividend (only interest is deductible). - **IFOS = 1,50,000 – 30,000 = ₹1,20,000**. Check: $20\% \times 1,50,000 = 30,000$; $1,50,000 - 30,000 = 1,20,000$. ✓

B2 (Easy) — Casual income, no deduction, no set-off

Ms. Q won **₹3,00,000** (gross) in a TV game show. She spent ₹8,000 on travel to the studio and has a business loss of ₹1,00,000. Compute the taxable winnings and tax on them.

Answer. Winnings → **Sec 56(2)(ib)**, taxed at **flat 30% under Sec 115BB**. - Travel ₹8,000 is **disallowed** [Sec 58(4)]. - Business loss **cannot be set off** against winnings. - Taxable winnings = **₹3,00,000**. - Tax = $30\% \times 3,00,000 = \text{₹}90,000$ (+ surcharge, if any, and 4% cess). Check: $3,00,000 \times 0.30 = 90,000$; *no deduction, no set-off applied*. ✓

B3 (Moderate) — Family pension + interest, with grossing up

Mrs. R (widow of a former employee) received: family pension **₹2,40,000**; and bank FD interest received **net ₹36,000** after TDS of **₹4,000**. Compute IFOS.

Answer. - **Family pension [57(iia)]**: deduction = lower of $(1/3 \times 2,40,000 = ₹80,000)$ or $₹15,000 = ₹15,000$.
Net pension = $2,40,000 - 15,000 = ₹2,25,000$. - **Interest**: gross up = $36,000 + 4,000 = ₹40,000$ taxable. -
IFOS = 2,25,000 + 40,000 = ₹2,65,000. - The ₹4,000 TDS is claimed separately as prepaid tax. *Check: lower of 80,000/15,000 = 15,000; 40,000 gross interest; total 2,65,000. ✓*

B4 (Moderate-Hard) — Gift computation across all three categories

Mr. S, an individual, received during the previous year: 1. Cash gift ₹45,000 from a friend; ₹20,000 from another friend. 2. A plot of land, SDV ₹4,00,000, gifted free by a friend. 3. A flat purchased from a friend for ₹25,00,000; SDV ₹28,00,000. 4. Shares (FMV ₹90,000) purchased from a friend for ₹50,000. Compute the amount taxable under IFOS.

Answer. Apply **Sec 56(2)(x)**; all donors are friends (non-relatives), so no exemption.

- **Item 1 — money, aggregate**: $45,000 + 20,000 = ₹65,000 > ₹50,000 \rightarrow$ **whole ₹65,000 taxable** (threshold, not exemption).
- **Item 2 — immovable, free**: SDV ₹4,00,000 $> ₹50,000 \rightarrow$ **whole ₹4,00,000 taxable**.
- **Item 3 — immovable, inadequate consideration**: diff = $28,00,000 - 25,00,000 = ₹3,00,000$. Higher of ₹50,000 or 10% of 25,00,000 (= ₹2,50,000) $\rightarrow ₹2,50,000$. Diff ₹3,00,000 $> ₹2,50,000 \rightarrow$ **entire ₹3,00,000 taxable**.
- **Item 4 — movable, inadequate consideration**: diff = $90,000 - 50,000 = ₹40,000$. Flat test ₹50,000 (no 10% band). $₹40,000 \leq ₹50,000 \rightarrow$ **not taxable**.

Item	Taxable
1 money	65,000
2 land free	4,00,000
3 flat (inadequate)	3,00,000
4 shares	Nil
Total IFOS	₹7,65,000

Check: 65,000 + 4,00,000 + 3,00,000 = 7,65,000. ✓

B5 (Exam-Hard) — Comprehensive IFOS with every item type

Mr. T (individual, no business), for the year: - Dividend from Indian company ₹80,000; interest on loan to buy those shares ₹25,000. - FD interest received net ₹45,000 (TDS ₹5,000). - Won a lottery ₹5,00,000 (gross); TDS ₹1,50,000 deducted; bought tickets worth ₹6,000. - Family pension ₹3,60,000. - Let out machinery with building (inseparable letting, not business): rent ₹4,00,000; depreciation ₹60,000; repairs ₹25,000; insurance ₹5,000. - Interest on enhanced compensation received ₹1,20,000. - Cash gift ₹51,000 from a cousin. Compute income under IFOS (segregating the specially-taxed items).

Answer.

Slab-rate IFOS stream: - Dividend [56(2)(i), 57(i)]: interest capped at $20\% \times 80,000 = ₹16,000$. Net = $80,000 - 16,000 = ₹64,000$. - **FD interest:** gross up = $45,000 + 5,000 = ₹50,000$. - **Family pension [57(ia)]:** deduction = lower of $(1/3 \times 3,60,000 = ₹1,20,000)$ or $₹15,000 = ₹15,000$. Net = $3,60,000 - 15,000 = ₹3,45,000$. - **Let-out machinery+building [56(2)(iii), 57(ii)/(iii)]:** $4,00,000 - 60,000 - 25,000 - 5,000 = ₹3,10,000$. - **Interest on enhanced compensation [56(2)(viii), 57(iv), 145B]:** on receipt; 50% deduction. $1,20,000 - 60,000 = ₹60,000$. - **Gift from cousin:** a **cousin is NOT a relative** → money gift $₹51,000 > ₹50,000$ → **whole ₹51,000 taxable**.

Slab-rate IFOS = $64,000 + 50,000 + 3,45,000 + 3,10,000 + 60,000 + 51,000 = ₹9,80,000$.

Special-rate stream (kept apart): - Lottery [56(2)(ib), 115BB]: ₹6,000 ticket cost **disallowed** [58(4)].

Taxable = **₹5,00,000** at **flat 30%** = $₹1,50,000$. TDS ₹1,50,000 exactly covers it.

Total income under IFOS = $9,80,000 + 5,00,000 = ₹14,80,000$ (of which ₹5,00,000 is taxed at flat 30%, the remaining ₹9,80,000 at slab rates). - Prepaid TDS credit = $5,000 + 1,50,000 = ₹1,55,000$.

Check: slab stream $64,000 + 50,000 + 3,45,000 + 3,10,000 + 60,000 + 51,000 = 9,80,000$; $+ 5,00,000$ lottery = $14,80,000$; lottery tax $5,00,000 \times 0.30 = 1,50,000 = \text{TDS}$. ✓

Section C — Past-Paper-Style Full Questions

C1. "Discuss taxability of each receipt under Sec 56(2)(x)"

Mr. A, an individual, received: (i) ₹1,00,000 on the occasion of his own marriage from friends; (ii) ₹75,000 cash from his elder brother; (iii) a diamond ring (FMV ₹2,00,000) from his fiancée (not yet married); (iv) ₹60,000 festival gift from his employer; (v) a house (SDV ₹15,00,000) inherited under his late father's will. State the taxability with reasons.

Model answer. | Receipt | Taxable? | Reason (section) | |---|---|---| | (i) ₹1,00,000 on own marriage | **Exempt** | Gift on the occasion of the individual's *own* marriage — proviso to 56(2)(x) | | (ii) ₹75,000 from elder brother | **Exempt** | Brother is a "relative" — Explanation to 56(2)(x) | | (iii) Ring FMV ₹2,00,000 from fiancée | **Taxable ₹2,00,000** | Fiancée is **not** a relative; movable property (jewellery) free, FMV $> ₹50,000$ | | (iv) ₹60,000 from employer | **Not IFOS** | Employer receipt → taxable as **Salary/perquisite**, expressly excluded from 56(2)(x) | | (v) House by will | **Exempt** | Received under a will / inheritance — proviso to 56(2)(x) |

Taxable under IFOS = ₹2,00,000 (item iii only). (*Item iv is taxable, but under Salaries.*)

C2. Interest on securities, grossing up and stock-in-trade boundary

Mr. B holds 10% debentures of a listed company of face value ₹5,00,000, receiving interest **net of TDS**. TDS deducted was ₹5,000. He also holds government securities on which interest of ₹20,000 accrued. He is **not** a securities dealer. Compute IFOS. What changes if the debentures were his business stock-in-trade?

Model answer. - Debenture interest is taxable under **Sec 56(2)(id)** (interest on securities), as he is not a dealer. - Interest received net of TDS must be **grossed up**: gross debenture interest = net received + TDS. Coupon = $10\% \times 5,00,000 = ₹50,000$ (this is the gross); TDS ₹5,000 is added back to the net to reconcile to ₹50,000. - Government securities interest = ₹20,000. - **IFOS = $50,000 + 20,000 = ₹70,000$** . TDS ₹5,000 claimed as prepaid tax. - **If held as stock-in-trade:** the interest becomes **business income under PGBP**, not IFOS — the phrase "not chargeable under PGBP" in 56(2) is the switch. IFOS from securities would then be Nil.

C3. Composite letting versus house property

Mr. C lets out a factory building **together with** the plant and machinery installed in it under a single inseparable lease at ₹6,00,000 p.a. Repairs ₹40,000, depreciation ₹1,10,000, insurance ₹10,000. It is not a business activity. Where and how is this taxed?

Model answer. - Because the building is let **inseparably along with** plant and machinery and the two lettings cannot be split, it is **not** House Property income; it is taxed under **Sec 56(2)(iii)** as IFOS (a composite letting). - Deductions under **Sec 57(ii)/(iii)** — current repairs, depreciation and insurance on the let-out assets — are allowed as genuine costs of the letting. - Income = 6,00,000 – 40,000 – 1,10,000 – 10,000 = **₹4,40,000** under IFOS. - **Contrast:** had the building been let *alone*, it would be **House Property** (with 30% standard deduction u/s 24), and the machinery let alone (as a business) would be PGBP. The *inseparability* is what forces IFOS.

Section D — MCQs / Case Scenarios

D1. Aggregate money gifts (from non-relatives, no occasion) of ₹55,000 in a year are taxable to the extent of: (a) Nil (b) ₹5,000 (c) ₹50,000 (d) ₹55,000 **Ans: (d).** Sec 56(2)(x)(a) — once ₹50,000 is crossed, the **whole** sum is taxable (threshold, not exemption).

D2. Casual income (lottery winnings) is taxed under: (a) slab rates (b) flat 20% (c) flat 30% (d) 12.5% **Ans: (c).** Sec 115BB — flat 30%, with no deduction or set-off [Sec 58(4)].

D3. Interest deduction against dividend income is capped at: (a) 10% of dividend (b) 20% of dividend (c) 30% of dividend (d) no cap **Ans: (b).** Sec 57(i) — anti-erosion cap of 20% of the dividend.

D4. For a gift of immovable property for inadequate consideration, the tolerance band is the higher of ₹50,000 or: (a) 5% of consideration (b) 10% of consideration (c) 15% (d) 20% **Ans: (b).** Sec 56(2)(x)(b). Movable property has no such band — flat ₹50,000.

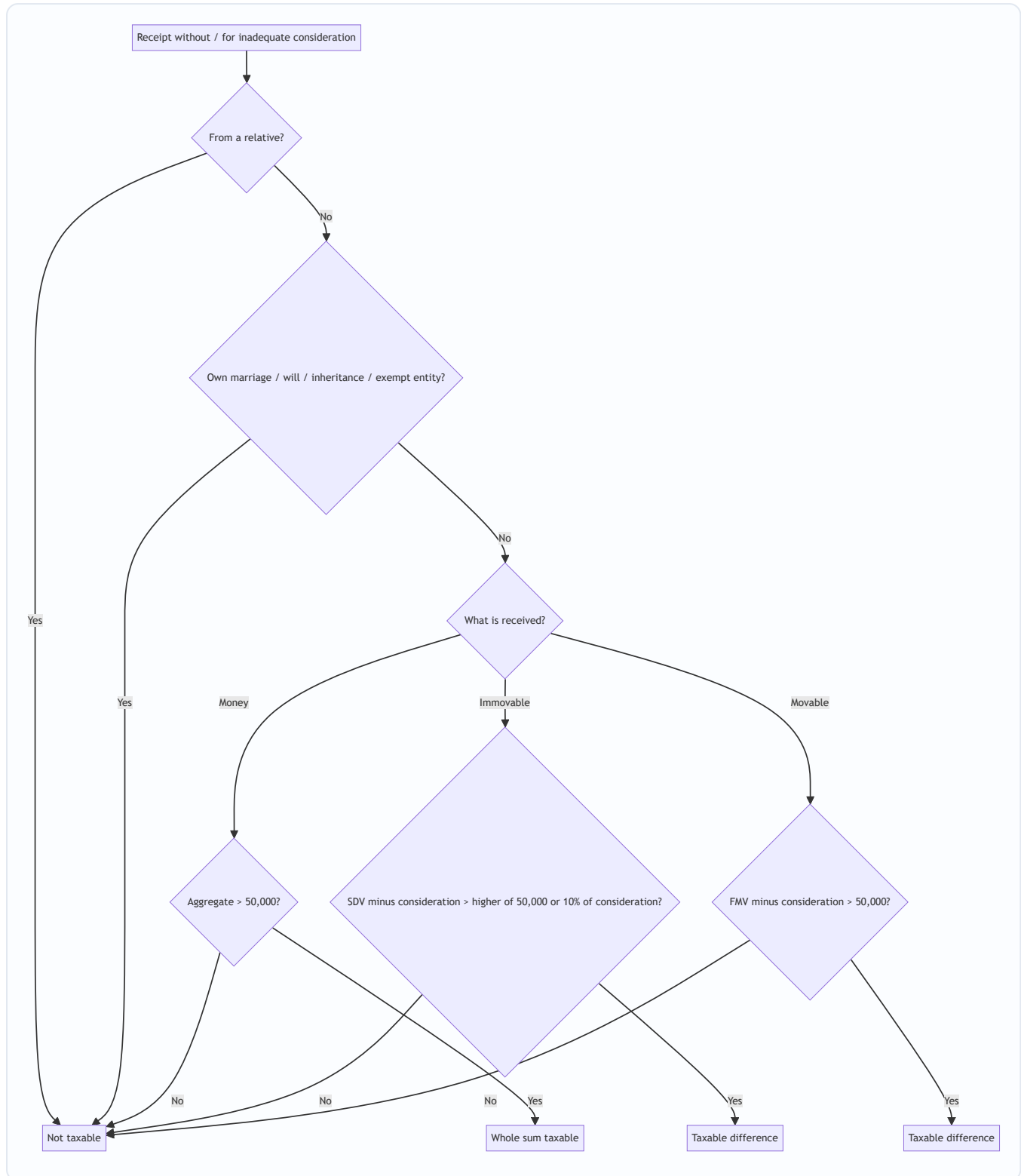
D5. Standard deduction on family pension under Sec 57(iia) is: (a) higher of 1/3 or ₹15,000 (b) lower of 1/3 or ₹15,000 (c) flat 30% (d) ₹50,000 **Ans: (b).** Lower of one-third of the pension or ₹15,000.

D6 (Scenario). Mr. X received ₹1,00,000 from his father's brother (uncle). Taxable under Sec 56(2)(x)? (a) Yes, whole amount (b) Yes, excess over ₹50,000 (c) No — uncle is a relative (d) No — below limit **Ans: (c).** A brother of either parent (uncle/aunt) is a "relative" — exempt regardless of amount.

D7 (Scenario). Interest on enhanced compensation of ₹4,00,000 is received during the year. Amount taxable under IFOS: (a) ₹4,00,000 (b) ₹2,00,000 (c) Nil (d) ₹3,20,000 **Ans: (b).** Sec 56(2)(viii)/57(iv)/145B — taxed on receipt with flat 50% deduction → 4,00,000 – 2,00,000 = ₹2,00,000.

D8 (Scenario). A friend gifts Mr. Y a car (FMV ₹6,00,000) free of cost. Taxable under Sec 56(2)(x)? (a) Yes, ₹6,00,000 (b) Yes, ₹5,50,000 (c) No — car not a listed "property" (d) No — from a friend **Ans: (c).** A motor car is outside the defined list of movable property; the gift is not chargeable under 56(2)(x).

Decision Map (is a gift taxable under Sec 56(2)(x)?)



Quick-Revision Trigger Sheet

Item	Section	Key rule (AY 25-26)
Residual charge	56(1)	Income not under other 4 heads, not exempt → IFOS
Illustrative inclusions	56(2)	Not exhaustive
Dividend	56(2)(i), 57(i)	Slab rate; interest deduction capped at 20%
Interest on securities	56(2)(id)	Gross up for TDS; PGBP if stock-in-trade
Casual income	56(2)(ib), 115BB, 58(4)	Flat 30%; no deduction, set-off, or basic exemption
Money gift	56(2)(x)(a)	Aggregate > ₹50,000 → whole sum taxable
Immovable gift (inadequate)	56(2)(x)(b)	Diff > higher of ₹50,000 or 10% of consideration
Movable gift (inadequate)	56(2)(x)(c)	Diff > ₹50,000 (flat, no band)
Gift exemptions	proviso to 56(2)(x)	Relative; own marriage; will/inheritance; exempt entity
"Relative"	Explanation to 56(2)(x)	Spouse; siblings of self/spouse/parents; lineal ascend./descend. & spouses
Family pension	57(ia)	Lower of 1/3 or ₹15,000
Enhanced-compensation interest	56(2)(viii), 57(iv), 145B	On receipt; flat 50% deduction
Composite letting	56(2)(ii)/(iii), 57(ii)	Rent less repairs, depreciation, insurance
General deduction	57(iii)	Wholly & exclusively to earn the income
Disallowances	58	Personal exp.; foreign payment w/o TDS; nothing vs casual income
Method of accounting	145, 145B	Regular cash/mercantile; receipt basis for dividend & compensation interest

Memory hooks - "Last net catches all fish" → IFOS is the residual charge (56(1)). - "₹50,000 is a cliff, not a step" → cross it on money gifts and the *whole* sum falls in. - "Immovable gets a 10% cushion; movable gets none." - "Windfall = 30 flat, zero off" → 30% rate, zero deductions, zero set-off. - "Pension: take the LOWER; compensation: take HALF; dividend interest: cap at a FIFTH."

First-principles recap: IFOS exists because a specific-head system *must* have a residual net, or income leaks out (56(1)). Named items in 56(2) give certainty, **deem** capital-type windfalls (gifts) to be income, and plug avoidance. Deductions (57) follow the universal "cost of earning" rule with special proxies; disallowances (58) mirror anti-abuse. Windfalls are flat-rated because they carry no effort or cost; gifts are slab-taxed in the recipient's hands to stop laundering and slab-shifting, softened only by reasoned carve-outs.

Re-confirm every ₹ figure, %, threshold, the flat 30% rate and all TDS limits against the **current ICAI Study Material and the Finance Act applicable to your attempt** before the exam. The reasoning is durable; the numbers drift.

Chapter 08 — Clubbing of Income & Set-off/Carry-forward of Losses

Flag: All rates, monetary limits, exemption thresholds and carry-forward periods below reflect the Income-tax Act, 1961 as commonly examined. Always re-confirm the exact figures and the applicable Assessment Year against the current ICAI Study Material / RTP / Finance Act before the exam.

Part 1 — The Problem

India taxes income using **slab rates that rise with income** (progressive taxation). That single design choice creates a temptation. If I earn ₹20,00,000, a slice of it is taxed at 30%. But my spouse earns nothing and my minor child earns nothing. What if I could *legally re-label* some of my income as "theirs"? Their slabs are empty; the first few lakhs would be taxed at 0%, 5%, 10% instead of my top 30%. By splitting one large income across several "persons," the family's *total* tax bill shrinks even though the *family's* spending power is unchanged.

Two classic dodges:

1. **Gift-and-earn.** I gift ₹50,00,000 to my non-earning spouse. She invests it in an FD earning ₹3,50,000 interest. On paper that interest is *her* income, taxed in *her* empty slab. But economically nothing left the household — I still control and benefit from the money.
2. **Divert the source.** Instead of gifting cash, I transfer only the *income stream* (e.g., assign the right to receive rent) while keeping ownership of the asset. The asset is still mine; only the fruit is re-labelled.

There is a second, unrelated problem in the same chapter. Income tax is computed **head by head** (Salary, House Property, Business, Capital Gains, Other Sources). A taxpayer can have a *profit* under one head and a *loss* under another — or even a loss within the same head (one house rented at a loss, another at a profit). If losses vanished the moment the year ended, the tax system would be brutally unfair to businesses and investors whose fortunes swing year to year. But if *every* loss could be freely used against *every* income forever, that too would be gamed. So the Act needs rules deciding **which loss can wipe out which income, in what order, and for how many years.**

This chapter solves both problems. They sit together because both are about **matching income to the right person and the right income**, and both are pure tax-avoidance-versus-fairness balancing acts.

Part 2 — The Core Idea

Clubbing (Sections 60–64): *Substance over form.* If you keep the real economic benefit but shift the paper income to a family member or an entity you control, the law ignores the paper and taxes the income **in the hands of the person who really enjoys/controls it** (the "transferor" or the higher-earning relative). Income is "clubbed" — added back — into the real owner's total income.

Set-off & carry-forward (Sections 70–80): *A loss is a negative income and deserves relief — but relief is rationed.* You may first cancel losses against income of the **same head** (intra-head, s.70), then against **other heads** (inter-head, s.71), and whatever survives may be **carried to future years** (s.72–74A) to cancel future

income — but with **head-specific fences and time limits** that stop the relief from becoming a permanent tax shelter.

One sentence to hold the whole chapter:

Clubbing decides *whose* income it is; set-off decides *how a loss travels* through heads and years.

Part 3 — Why It's Built This Way

Why clubbing exists at all

Progressive slabs mean the *marginal* rupee of a rich person is taxed far higher than the *first* rupee of a poor person. Splitting income is therefore always tempting. Rather than police every transaction, Parliament drew a **bright-line rule**: certain relationships (spouse, minor child, daughter-in-law, HUF) and certain arrangements (transfer of income without the asset, revocable transfers) are treated as **presumptively artificial**. Income arising from them is pulled back to the real earner.

The genius (and the exam trap) is that clubbing is **targeted, not total**. It does *not* say "all family income is one." It surgically catches only the specific channels that split income *without* a genuine, arm's-length transfer of economic ownership. A real gift to an adult son, or a genuine sale for full value, escapes — because there the benefit *actually* moved.

Why losses are allowed to be set off — but fenced

Three competing values:

- **Ability to pay.** Tax should track real net income. A trader who loses ₹5 lakh this year and makes ₹5 lakh next year has zero *net* income across two years; taxing the profit while ignoring the loss overstates ability to pay. → *Allow carry-forward*.
- **Anti-abuse.** If a "hobby" or engineered loss could cancel salary income indefinitely, high earners would manufacture paper losses. → *Fence certain losses (they can only shelter income of the same kind)*.
- **Administrability & finality.** The government cannot keep tax years open forever. → *Time-limit carry-forwards (mostly 8 years)*.

Every head-specific rule you'll memorise is just one of these three dials turned. Once you see *which* dial explains a rule, you never have to rote-learn it.

Part 4 — Full Technical Content

4A. Clubbing provisions (Sections 60–65)

Section 60 — Transfer of income without transfer of asset

Logic: You cannot give away the *fruit* while keeping the *tree*. If you assign the right to income but retain ownership of the asset, the income is **still yours**, whether the transfer is revocable or not. **Rule:** Income is clubbed with the transferor. *Hook: "Tree stays → fruit stays (with you)."*

Section 61 — Revocable transfer of assets

Logic: If you can take the asset *back* whenever you like, you never really parted with it. The transfer is a facade. **Rule:** Income from a **revocable** transfer of an asset is taxed in the **transferor's** hands. **Section 62 exception — when it is *not* clubbed:** if the transfer is **irrevocable during the transferee's lifetime** or for a **specified period** and you have no power to re-derive benefit during that period and no reassumption of power → not clubbed (until the power to revoke arises). *Hook: "Take-back power = still yours."*

Section 64(1)(ii) — Remuneration to spouse from a concern in which the individual has substantial interest

Logic: A no-show or padded "salary" to a spouse is disguised income-splitting. **Rule:** Salary/commission/fees paid by a concern to the **spouse** is clubbed with the individual **if** the individual has **substantial interest** ($\geq 20\%$ of shares/voting power or $\geq 20\%$ of profits) in that concern. **Exception (the fairness valve):** if the spouse earns it through **technical or professional qualifications** and the income is *attributable to that knowledge/experience*, it is **genuine** — not clubbed. **Both spouses caught?** Club in the hands of the spouse whose **total income (excluding this remuneration) is higher**. *Hook: "20% interest + no skill = club."*

Section 64(1)(iv) — Income from assets transferred to spouse

Logic: The gift-and-earn dodge. Transfer an asset to your spouse for **inadequate consideration** and the income it throws off is really yours. **Rule:** Income from assets transferred (directly/indirectly) to the spouse **otherwise than for adequate consideration** or not in connection with an agreement to live apart → clubbed with the transferor. **Not clubbed:** (a) adequate consideration paid; (b) transfer under agreement to live apart; (c) relationship did not exist when asset transferred *and* when income arose.

Section 64(1)(vi) — Income from assets transferred to son's wife (daughter-in-law)

Logic: Same dodge, one relative further out. Closes the "gift to daughter-in-law" loophole. Clubbed with the transferor (father-in-law/mother-in-law) if transferred for inadequate consideration.

Section 64(1)(vii) & (viii) — Transfers to a person/AOP for the benefit of spouse / son's wife

Logic: Plugs the indirect route — routing through a trust or third party for the eventual benefit of spouse or daughter-in-law. Clubbed with the transferor to the extent the income is for that benefit.

Section 64(1A) — Income of a minor child

Logic: A minor cannot earn investment income through their own effort; income on assets gifted to a minor is really the parents' income-splitting. **Rule:** All income of a **minor child** (including step/adopted) is clubbed with the **parent whose total income (before this clubbing) is higher**. Once clubbed with one parent, it stays there in later years unless the AO decides otherwise. **Exceptions (genuine child effort / helpless child):** - Income from the minor's **manual work** or **skill/talent/specialised knowledge** (e.g., a child actor, chess prodigy) → **not clubbed** (it's the child's own effort). - Income of a **minor with disability** under section 80U → **not clubbed** (taxed in the child's own hands). **Exemption relief — section 10(32):** where a minor's

income is clubbed, the parent gets an exemption of **₹1,500 per minor child** (or the actual income clubbed, if less) per child. *Hook: "Minor's money → higher-earning parent, minus ₹1,500."*

Section 64(2) — Conversion of individual property into HUF property

Logic: A member "throws" his self-acquired asset into the family common pool (converts to HUF property) for inadequate consideration to split income across the joint family. **Rule:** Income from such converted property is clubbed with the **individual** (transferor). On partition, the share going to the **spouse** continues to be clubbed with the individual.

4B. The "income on income" rule (critical, heavily tested)

Clubbing catches income from the **transferred asset**. But what about income earned by **re-investing that clubbed income** (accretion)?

Rule (settled position): Income from the **original transferred asset is clubbed**. But income arising from the **accretion** — i.e., income earned by investing the *clubbed income* — is **NOT clubbed**; it is taxed in the transferee's own hands.

Example intuition: Gift ₹10,00,000 to spouse → she earns ₹70,000 interest → that ₹70,000 is **clubbed** with you. She reinvests that ₹70,000 and earns ₹5,000 → that ₹5,000 is **her** income, **not clubbed**. *Hook: "First-generation income clubbed; second-generation income free."*

4C. Set-off of losses

Section 70 — Intra-head set-off (loss vs income within the SAME head)

First line of relief: a loss under a head cancels income under the **same** head. **Fences inside a head:** -

Speculation-business loss → only against **speculation-business profit** (s.73). *Why: speculation is high-risk, near-gambling; the law won't let it shelter ordinary business.* - **Long-term capital loss (LTCL)** → only against **long-term capital gain (LTCG)**. **Short-term capital loss (STCL)** → against **STCG or LTCG**. *Why: LTCG enjoys a concessional rate; letting an LTCL cancel high-rate income would be a rate-arbitrage giveaway. STCL is more flexible because STCG is taxed more normally.* - Loss from **owning & maintaining race horses** → only against income from the same activity (s.74A). - **Specified business (s.35AD) loss** → only against another specified-business profit (s.73A). - Losses **cannot** be set off against **casual income** (lottery, gambling, s.58/115BB) — that income is taxed gross.

Section 71 — Inter-head set-off (remaining loss vs OTHER heads)

After intra-head, a leftover loss can cross into other heads, **with fences:** - **Business loss** → **cannot** be set off against **Salary** income. *Why: salary is a clean, easily-verified income; letting engineered business losses erase salary invites abuse.* - **Capital-gains loss** → **cannot** be set off against **any other head** (only within Capital Gains). *Why: protects the concessional CG regime from leaking into ordinary income.* - **Speculation / race-horse / specified-business losses** → never leave their silo. - **House-property loss** → can be set off against other heads but only **up to ₹2,00,000** in a year (s.71(3A)); the excess is carried forward. *Why: caps the interest-on-home-loan shelter that high earners were using to slash salary tax.*

Sections 72–74A & 71B — Carry-forward (whatever still survives)

Loss type	Section	Carry-forward against	Years	Return-filing on time mandatory?
House-property loss	71B	Only House-Property income	8	No (allowed even if late)
Non-speculation business loss	72	Only Business income (spec + non-spec)	8	Yes (s.80)
Speculation-business loss	73	Only speculation profit	4	Yes
Specified-business (35AD) loss	73A	Only specified-business profit	No limit	Yes
Loss "owning race horses"	74A	Only that same activity	4	Yes
Long-term capital loss	74	Only LTCG	8	Yes
Short-term capital loss	74	STCG or LTCG	8	Yes
Unabsorbed depreciation	32(2)	Any income (except salary)	No limit	No

Why the differences (the WHY table): - **8 years is the "normal" business/investment cycle** the Act treats as a fair window — hence house property, ordinary business and capital losses all get 8. - **Speculation & race-horses get only 4** because they are speculative/quasi-gambling — the law tolerates them less and wants a shorter shelter. - **Specified-business (35AD)** losses have **no time limit** because s.35AD gives a 100% capital deduction to nationally-useful infrastructure businesses (cold chains, warehouses, hospitals) — Parliament *wants* these, so it removes the time pressure. - **Unabsorbed depreciation has no time limit and can hit almost any head** because depreciation is not a "loss" from risk-taking; it's the recognition that a genuine asset is wearing out. Denying it would tax phantom income. But it still **cannot** touch salary (business relief shouldn't erase salary). - **Return-filing discipline (s.80):** to *carry forward* most losses you must file the return by the s.139(1) due date. *Why: carry-forward is a privilege; the state grants it only to compliant taxpayers.* The two exceptions — **house-property loss** and **unabsorbed depreciation** — are allowed even with a late return, because they are seen as structural/automatic rather than discretionary claims.

Order of set-off within carry-forward years: In a later year, **current-year depreciation** is set off first, then **brought-forward business loss (s.72)**, and **unabsorbed depreciation last** (because b/f loss has a time limit and depreciation does not — use the expiring relief first). *Hook: "Use what expires first."*

Part 5 — Worked Examples

Example 1 (Easy) — Spouse gift and the "income on income" trap

Mr. A gifts ₹8,00,000 to his wife (a homemaker with no other income). She invests it in a bank FD @ 7% and earns **₹56,000** interest in FY. She reinvests that ₹56,000 in another FD earning **₹4,000**.

Solve: 1. Asset (cash) transferred to spouse for **no consideration** → s.64(1)(iv) applies. Interest from the *original gifted amount* = **₹56,000 clubbed with Mr. A**. 2. The ₹4,000 is income on the *accretion* (income earned on the clubbed income) → **NOT clubbed** → taxed in **Mrs. A's** hands (and within her basic exemption, so likely nil tax).

Answer: ₹56,000 added to Mr. A's "Income from Other Sources"; ₹4,000 stays with Mrs. A. *Reconciliation:*
total interest ₹60,000 = ₹56,000 (clubbed) + ₹4,000 (spouse). ✓

Example 2 (Medium) — Minor children with the s.10(32) exemption

Mr. B's total income (before clubbing) = ₹12,00,000. Mrs. B's = ₹15,00,000. They have: - Minor son C: interest on gifted bonds = **₹40,000**; prize from a TV singing contest (his own talent) = **₹25,000**. - Minor daughter D: interest income = **₹1,000**.

Solve: 1. Whose hands? Minor income clubs with the **higher-earning parent = Mrs. B** (₹15,00,000 > ₹12,00,000). 2. Son C's **talent income ₹25,000** → child's own skill → **NOT clubbed** → taxed in C's own return. 3. Son C's bond interest ₹40,000 → clubbed. s.10(32) exemption = ₹1,500 → net **₹38,500**. 4. Daughter D's interest ₹1,000 → clubbed. s.10(32) exemption = **min(₹1,500, ₹1,000) = ₹1,000** → net **₹0**.

Answer — clubbed with Mrs. B: ₹38,500 + ₹0 = **₹38,500**. C's ₹25,000 talent income is C's own.

Reconciliation: gross clubbable ₹41,000 (40,000+1,000); exemptions ₹1,500+₹1,000 = ₹2,500; net ₹38,500. ✓

Example 3 (Exam-hard) — Full set-off & carry-forward ordering

Mr. E's figures for the year (all after intra-head computation within each source):

Source	Amount
Salary	₹9,00,000
House Property 1 (let-out)	Loss ₹3,50,000
House Property 2 (let-out)	Profit ₹40,000
Business X (non-speculative)	Loss ₹2,00,000
Business Y (non-speculative)	Profit ₹1,20,000
Speculation business	Loss ₹60,000
STCG	₹80,000
LTCL	(₹1,00,000)
Income from Other Sources (interest)	₹50,000

Step 1 — Intra-head set-off (s.70): - House Property: -3,50,000 + 40,000 = **HP net loss ₹3,10,000**. - Business (non-spec): -2,00,000 + 1,20,000 = **Business net loss ₹80,000**. - Speculation loss ₹60,000: no speculation profit → **stays; carried forward (4 yrs)**. - Capital Gains: LTCL ₹1,00,000 can offset **only LTCG**. There is none, and it *cannot* touch STCG (LTCL is LT-only). STCG ₹80,000 remains a **gain**; LTCL ₹1,00,000 **carried forward (8 yrs)**.

Step 2 — Inter-head set-off (s.71): - **HP loss ₹3,10,000:** capped at **₹2,00,000** against other heads (s.71(3A)). Set ₹2,00,000 against Salary/other income; remaining **₹1,10,000 carried forward (8 yrs, s.71B)**. - **Business loss ₹80,000:** cannot go against Salary. Set it against other non-salary income: STCG ₹80,000. → Business loss ₹80,000 vs STCG ₹80,000 = **both nil**.

Step 3 — Compute Gross Total Income: - Salary 9,00,000 – HP set-off 2,00,000 = **7,00,000** - Other Sources = **50,000** - STCG 80,000 – Business loss 80,000 = **0** - **GTI = 7,00,000 + 50,000 = ₹7,50,000**.

Step 4 — Losses carried forward: - House-property loss **₹1,10,000** (8 yrs) - Speculation loss **₹60,000** (4 yrs, vs future speculation profit only) - LTCL **₹1,00,000** (8 yrs, vs future LTCG only)

Reconciliation: Salary 9,00,000 + HP net -3,10,000 (but only 2,00,000 usable now) + Business net -80,000 + STCG 80,000 + OS 50,000. Usable reductions: -2,00,000 (HP cap) and -80,000 (biz vs STCG).

9,00,000+80,000+50,000 = 10,30,000 income; minus 2,00,000 minus 80,000 = 7,50,000. ✓ Carried: 1,10,000 + 60,000 + 1,00,000.

Example 4 (Concept check) — Salary fence

Mr. F: Salary ₹6,00,000; Business loss ₹4,00,000; House-property loss ₹1,50,000. - Business loss **cannot** touch salary → carried forward ₹4,00,000 (s.72, 8 yrs, if return timely). - HP loss ₹1,50,000 (under the ₹2,00,000 cap) → set off against salary → Salary taxable = ₹4,50,000. **GTI = ₹4,50,000; c/f business loss ₹4,00,000.**

Reconciliation: the business loss is quarantined from salary by design; only HP loss reaches salary. ✓

Part 6 — Computation Format

Standard order to apply in any set-off problem — memorise the sequence, not the numbers.

- Step A Compute income/loss under EACH head separately (after intra-head s.70)
- apply intra-head fences (spec vs spec, LTCL vs LTCG only, STCL vs STCG/LTCG)
- Step B Inter-head set-off (s.71), respecting fences:
- Business loss: NOT vs Salary
 - Capital-gains loss: stays within Capital Gains only
 - House-property loss: max Rs 2,00,000 against other heads
 - Speculation / race-horse / 35AD losses: never leave their silo
- Step C Arrive at Gross Total Income (GTI)
- Step D Carry forward unabsorbed losses head-wise (note year limits & s.80 filing)
- Step E In FUTURE years, set-off order:
- current depreciation → b/f business loss (s.72) → unabsorbed depreciation

Clubbing format (do this BEFORE Step A, at the source level):

For each family transaction:

1. Identify the section (60 / 61 / 64(1)(ii)/(iv)/(vi)/(vii)/(viii) / 64(1A) / 64(2))
2. Is there an exception? (skill/qualification, adequate consideration, child's own effort,
3. Club FIRST-generation income only; accretion income stays with transferee
4. If minor: club with higher-earning parent; deduct s.10(32) Rs 1,500 per child

Part 7 — Connections

- **Chapter on Heads of Income:** Set-off presupposes you've computed each head. House-property loss usually comes from **interest on borrowed capital** (s.24(b)); that's why the ₹2,00,000 inter-head cap mirrors the self-occupied interest limit.

- **Capital Gains chapter:** The LTCL-vs-LTCG-only fence exists because LTCG is taxed at concessional rates (e.g., s.112/112A). Rate concessions must be sealed off from ordinary income.
 - **Return filing (s.139/80):** Carry-forward is the tangible reward for filing on time — connects to procedure/compliance chapters.
 - **Deductions (Chapter VI-A):** Set-off happens *before* GTI; Chapter VI-A deductions (80C, 80D...) come *after* GTI. You cannot create a loss with Chapter VI-A deductions.
 - **Rate/AMT chapters:** Unabsorbed depreciation's "any head except salary, no time limit" treatment interacts with how business income is finally taxed.
-

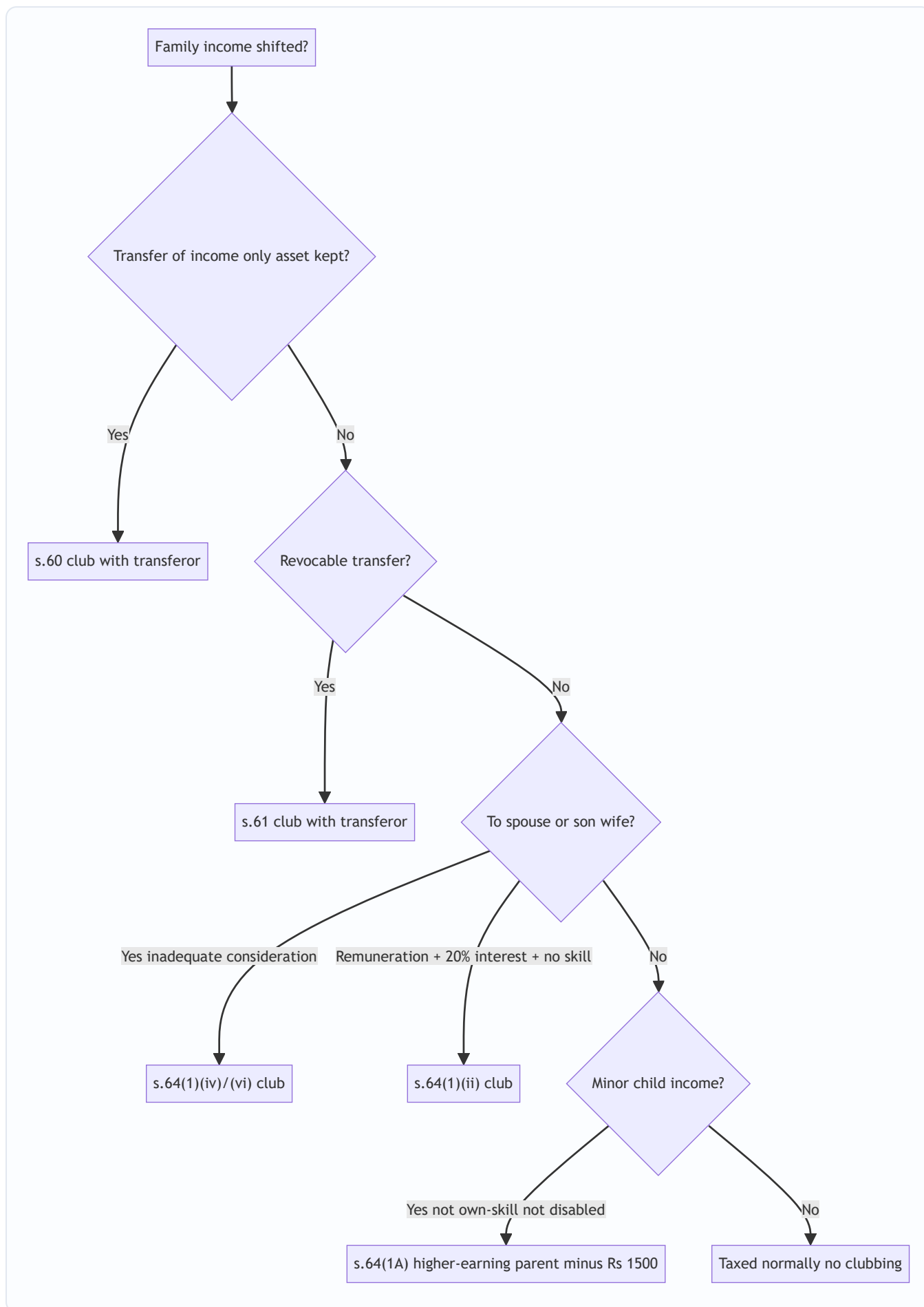


Figure 8.1 — Clubbing decision tree: identify the channel, then check the exception.

Traps: 1. **Accretion trap.** Clubbing is only on income from the *original* asset. Income on re-invested clubbed income is NOT clubbed. Examiners give three "generations" to catch you. 2. **Relationship-timing trap (spouse).** No clubbing if the relationship of husband-wife did **not exist** both when the asset was transferred *and* when income arose (e.g., transfer before marriage). 3. **Skill exception.** Spouse remuneration or minor's income from genuine **professional qualification / personal skill** is NOT clubbed — even if the 20% interest test is met (for spouse) or bonds exist (for minor). 4. **Cross-parent stickiness.** Once a minor's income is clubbed with one parent, it stays with that parent in later years (unless AO orders otherwise) even if incomes reverse. 5. **s.10(32) is per child and capped at actual income.** If a child's clubbed income is ₹1,000, exemption is ₹1,000 (not ₹1,500). 6. **Business-loss-vs-salary.** The single most common set-off error. Business loss **never** cancels salary. But *unabsorbed depreciation* also can't hit salary — students wrongly think depreciation is unrestricted. 7. **LTCL is long-term-only; STCL is flexible.** Reversing these losses marks. 8. **House-property ₹2,00,000 inter-head cap.** Excess is *carried forward* (not lost) but only against future HP income. 9. **Speculation & race-horse = 4 years, not 8.** And they never leave their silo. 10. **Return-filing condition (s.80).** Late return = lose carry-forward — *except* HP loss and unabsorbed depreciation. 11. **Casual income (lottery) — no set-off, no expenditure.** Losses cannot be set off against it, and it can't be reduced. 12. **Order in future years:** current depreciation → b/f business loss → unabsorbed depreciation ("use the expiring relief first").

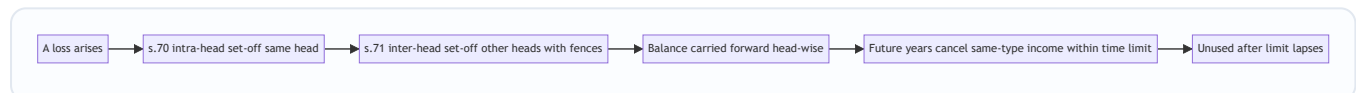


Figure 8.2 — The life-cycle of a loss: same head, then other heads, then future years, then it expires.

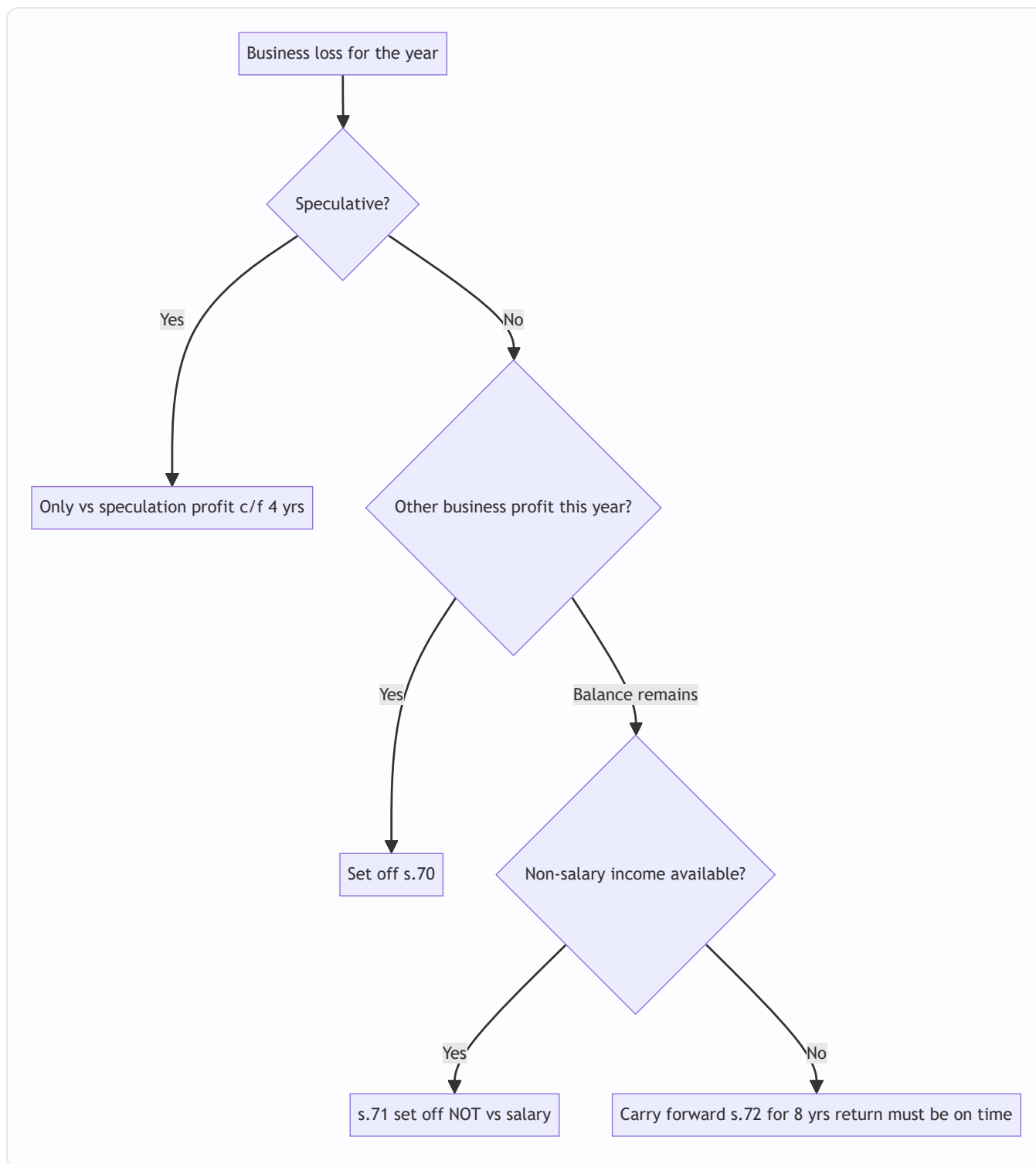


Figure 8.3 — Business loss routing: the salary fence and the speculation silo in one view.

Part 9 — First-Principles Recap

Start from one fact — **India uses progressive slabs** — and everything in this chapter regenerates:

1. Progressive slabs → incentive to **split income** across low-income relatives → the law must **club** it back with the real earner.
2. Clubbing must be **surgical** (only fake transfers), so each sub-section targets one channel (income-only transfer, revocable transfer, spouse gift, daughter-in-law, minor, HUF conversion), each with a

genuineness exception (skill/qualification, adequate consideration, child's own effort).

3. Clubbing catches the **first fruit only**; second-generation income is genuinely the transferee's.
4. Separately, **fairness (ability to pay)** demands losses get relief → **set-off & carry-forward**.
5. **Anti-abuse** demands relief be fenced → same-head fences (speculation, LTCL), salary immunity from business loss, the ₹2,00,000 house-property cap, capital-loss quarantine.
6. **Finality** demands time limits → 8 years normal, 4 for speculative/race-horse, none for 35AD and depreciation.
7. **Compliance discipline** → carry-forward needs a timely return (s.80), except structural items (HP loss, depreciation).

If you can rebuild the rules from these seven pressures, you never memorised anything — you *understood* it.

Part 10 — Quick-Revision Sheet

CLUBBING (s.60–65) - **s.60** transfer of income, asset kept → transferor. **s.61** revocable transfer → transferor (**s.62** exception: irrevocable for life/period + no benefit → not clubbed). - **s.64(1)(ii)** spouse remuneration + **≥20% substantial interest** + **no genuine skill** → club with higher-earning spouse. - **s.64(1)(iv)** asset to spouse for inadequate consideration → transferor. **(vi)** to son's wife. **(vii)/(viii)** for benefit of spouse/son's wife. - **s.64(1A)** minor's income → **higher-earning parent**; exceptions: own **skill/manual work, 80U disability. s.10(32)**: exempt **₹1,500 per child** (or actual income if less). - **s.64(2)** self-property converted to HUF → transferor. - **Accretion rule**: first-generation income clubbed; income on clubbed income NOT clubbed.

SET-OFF ORDER - s.70 intra-head → s.71 inter-head → carry forward.

KEY FENCES - Speculation loss ↔ speculation profit only (c/f **4 yrs**). - LTCL ↔ LTCG only; STCL ↔ STCG/LTCG (c/f **8 yrs**). - Business loss ≠ Salary; c/f **8 yrs** (s.72). - Capital-gains loss: within Capital Gains only. - House-property loss: inter-head cap **₹2,00,000** (s.71(3A)); c/f **8 yrs** (s.71B). - Specified business (35AD): silo, **no time limit**. - Race horses (74A): silo, **4 yrs**. - Unabsorbed depreciation (32(2)): any head **except salary, no time limit**. - Casual income (lottery): **no set-off**, no expense.

FILING (s.80): timely return needed to carry forward — **except** HP loss & unabsorbed depreciation.

FUTURE-YEAR ORDER: current depreciation → b/f business loss → unabsorbed depreciation.

End of Chapter 08. Re-verify all monetary limits, carry-forward years and the applicable Assessment Year against current ICAI Study Material before the exam.

Q&A — Clubbing of Income & Set-off/Carry-forward of Losses

Income-tax Act, 1961. All section references below. **Rates/limits (e.g., ₹1,500 exemption u/s 10(32), tax slabs) depend on the applicable Assessment Year — verify against the AY your exam prescribes.** Computations below use ordinary provisions; the analysis is AY-agnostic.

SECTION A — Concept-Check (Short Q&A)

A1. What is "clubbing of income" and why does the law need it? Clubbing (ss. 60–65) means the income of one person is legally *added to and taxed in the hands of another*. Without it, a high-slab taxpayer could split income across low/nil-slab family members (spouse, minor child) to escape progressive rates. Clubbing neutralises this tax-arbitrage by taxing the income in the hands of the person who really controls the source.

A2. Distinguish "transfer of income without transfer of asset" (s.60) from "revocable transfer of assets" (s.61). - **s.60** — only the *income stream* is assigned but the *asset* stays with the transferor → income still taxed in transferor's hands. Irrevocability is irrelevant. - **s.61** — the *asset itself* is transferred but the arrangement is *revocable* (transferor can re-acquire asset/income) → income taxed in transferor's hands. Exception: s.62 — a transfer irrevocable during the transferee's lifetime / for > 6 years is *not* clubbed until the power to revoke arises.

A3. State the "income-on-income" rule. Only the *first-degree* income from the transferred/clubbed asset is clubbed. Income earned by the *transferee by reinvesting* that clubbed income (income on income / accretion) is **not** clubbed — it is taxed in the transferee's own hands. (Established principle; e.g., interest on a bank deposit made out of gifted money is clubbed, but income earned by the spouse investing *that interest* is not.)

A4. When is a spouse's remuneration from a concern clubbed u/s 64(1)(ii), and what is the exception? Salary/commission/fee from a concern in which the individual has a *substantial interest* ($\geq 20\%$ voting power/profit share) is clubbed in the hands of the spouse having higher income. **Exception:** if the remuneration is attributable to *technical or professional qualifications and experience*, it is taxed in the earner's own hands (not clubbed).

A5. Minor child's income — rule, exceptions, and exemption. u/s 64(1A) all income of a minor child is clubbed with the parent whose total income (before this clubbing) is higher. **Exceptions:** income from (a) manual work done by the child, or (b) skill/talent/specialised knowledge/experience is *not* clubbed. A **s.10(32) exemption of ₹1,500 per minor child** (or the amount clubbed, if lower) is allowed to the parent. (*₹1,500 limit — confirm for your AY.*)

A6. Give the "same head first" rule of set-off. - s.70 (intra-head): loss under a head is first set off against income under the *same head*. - **s.71 (inter-head):** remaining loss is set off against income under *other heads* in the same year (subject to restrictions).

A7. List the key set-off prohibitions. - Speculation loss → only against speculation profit (s.73). - Long-term capital loss → only against LTCG (s.70(3)); short-term capital loss → against STCG or LTCG. - Loss under "Capital Gains" → cannot be set off against any other head (s.71(3)). - Business loss → cannot be set off

against salary (s.71(2A)). - House-property loss → inter-head set-off capped at **₹2,00,000** per year (s.71(3A)); balance carried forward. (*Limit — confirm for AY.*) - Loss cannot be set off against income from lotteries/gambling etc. (s.58(4)/s.115BB context).

A8. Match each loss to its carry-forward section and period.

Loss	Section	C/F period	Set off against
House property	71B	8 yrs	Income from HP
Non-speculation business	72	8 yrs	Any business income
Speculation business	73	4 yrs	Speculation income
Specified business u/s 35AD	73A	Indefinite	Specified-business income
Capital loss (ST/LT)	74	8 yrs	ST: STCG/LTCG; LT: LTCG only
Loss from owning/maintaining race horses	74A	4 yrs	Same activity
Unabsorbed depreciation	32(2)	Indefinite	Any income (except salary)

SECTION B — Graded Computational Problems

B1 (Easy) — Interest on gifted money (s.64(1)(iv))

Mr. A gifts ₹5,00,000 to his wife Mrs. A, who deposits it in an FD earning 8% p.a. interest. Mrs. A reinvests the interest in shares earning ₹3,000 dividend. Whose income, and how much is clubbed?

Answer. - FD interest = $5,00,000 \times 8\% = \text{₹}40,000$ → clubbed in Mr. A's hands u/s 64(1)(iv) (asset transferred to spouse without adequate consideration). - Dividend ₹3,000 is *income on income* (earned by Mrs. A on the ₹40,000 interest she reinvested) → **not clubbed**; taxable in Mrs. A's hands. - **Clubbed in Mr. A = ₹40,000.**

B2 (Moderate) — Minor children (s.64(1A), s.10(32))

Mr. B (income ₹9,00,000) and Mrs. B (income ₹6,00,000) have two minor children: - Minor C: bank interest ₹6,000. - Minor D: prize from a singing talent show ₹40,000, and interest on that prize (reinvested) ₹1,200.

Compute income clubbed.

Answer. Clubbed with the parent having higher income = **Mr. B** (₹9,00,000 > ₹6,00,000). - Minor C interest ₹6,000 → clubbed; less s.10(32) exemption ₹1,500 = **₹4,500**. - Minor D's ₹40,000 prize is from *talent/skill* → **not clubbed** (exception to 64(1A)), taxed in D's own hands. - Interest ₹1,200 on that prize is *not* from skill; it is ordinary income of the minor → clubbed; less s.10(32) exemption $\min(1,500, 1,200) = 1,200$ → **₹0**. - **Total clubbed with Mr. B = ₹4,500 + ₹0 = ₹4,500.**

(₹1,500 exemption per child — verify for AY.)

B3 (Hard) — Full intra- and inter-head set-off (ss.70, 71, 71(3A))

For AY 2025-26, Mr. E has:

Source	Amount (₹)
Salary income	8,00,000
House Property A income	1,00,000
House Property B loss	(3,50,000)
Business — textile (profit)	2,00,000
Business — trading (loss)	(2,60,000)
STCG	90,000
LTCG	40,000
Short-term capital loss	(1,50,000)

Compute Gross Total Income and losses to be carried forward.

Answer — step by step.

Step 1 — House Property (s.70 intra-head): 1,00,000 – 3,50,000 = **(2,50,000) net HP loss.**

Step 2 — Business (s.70 intra-head): 2,00,000 – 2,60,000 = **(60,000) net business loss.**

Step 3 — Capital Gains (s.70(3)): STCL set off against STCG then LTCG. STCL 1,50,000 → set off ₹90,000 against STCG (→0), then ₹40,000 against LTCG (→0). Remaining STCL = 1,50,000 – 90,000 – 40,000 = **(20,000)** to carry forward u/s 74. Capital Gains head = **Nil.**

Step 4 — Inter-head set-off (s.71): - House-property loss: inter-head set-off capped at **₹2,00,000** (s.71(3A)). Set off ₹2,00,000 against Salary. Balance HP loss ₹50,000 → **c/f u/s 71B.** - Business loss ₹60,000: *cannot* be set off against salary (s.71(2A)). No other head income remains (CG = nil). So full ₹60,000 → **c/f u/s 72.**

Step 5 — Gross Total Income:

Head	₹
Salary (8,00,000 – 2,00,000 HP set-off)	6,00,000
House Property	Nil
Business	Nil
Capital Gains	Nil
GTI	6,00,000

Losses carried forward: - HP loss ₹50,000 (s.71B, 8 yrs) - Business loss ₹60,000 (s.72, 8 yrs) - STCL ₹20,000 (s.74, 8 yrs)

Reconciliation: Total losses ₹(2,50,000 HP + 60,000 biz + 20,000 STCL after CG absorption) = adjustments accounted: HP 2,00,000 absorbed + 50,000 c/f; STCG 90,000 + LTCG 40,000 absorbed by STCL, 20,000 c/f; business 60,000 c/f. ✓

B4 (Exam-hard) — Clubbing + set-off combined, cross-year c/f

Mr. F transferred a house to his minor son (from talent-show earnings the son had invested — deemed adequate? No, it was a gift). The house yields net annual value computed as follows and other items for AY 2025-26:

- Minor son's house property: GAV 4,00,000; municipal taxes paid 30,000; standard deduction 30% u/s 24(a); interest on loan u/s 24(b) 2,50,000.
- Mr. F's own business income: 5,00,000.
- Mr. F's brought-forward business loss (AY 2021-22): 1,80,000.
- Mr. F's brought-forward unabsorbed depreciation: 60,000.

Compute Mr. F's Gross Total Income and any c/f.

Answer — step by step.

Step 1 — Minor son's house property income (to be clubbed u/s 64(1A) with Mr. F, higher-income parent):

Item	₹
Gross Annual Value	4,00,000
Less: Municipal taxes	(30,000)
Net Annual Value	3,70,000
Less: Std deduction 30% of NAV	(1,11,000)
Less: Interest u/s 24(b)	(2,50,000)
Income from HP	9,000

s.10(32) exemption = $\min(1,500, 9,000) = 1,500$. **Clubbed HP income = $9,000 - 1,500 = ₹7,500$.**

Step 2 — Set off b/f business loss (s.72) against current business income: Business income 5,00,000 – b/f business loss 1,80,000 = **3,20,000**.

Step 3 — Set off unabsorbed depreciation (s.32(2)): $3,20,000 - 60,000 = 2,60,000$ business income.
(Order: current depreciation → b/f business loss s.72 → unabsorbed depreciation. Here only b/f items, so s.72 loss first then unabsorbed dep — both fully absorbed.)

Step 4 — Gross Total Income:

Head	₹
House Property (clubbed)	7,500
Business	2,60,000
GTI	2,67,500

Carry-forward: Nil (both b/f loss and depreciation fully absorbed). ✓

SECTION C — Past-Paper-Style Full Questions

C1. (Clubbing — comprehensive; ~8 marks style)

Mr. G furnishes the following for the year. Compute income to be clubbed in his hands and state the section:

1. Interest ₹60,000 on debentures held by Mrs. G, purchased from a gift of ₹6,00,000 by Mr. G.
2. Income ₹80,000 of Mrs. G from a partnership firm where Mr. G holds 30% (Mrs. G has no technical qualification).
3. Salary ₹5,00,000 of Mrs. G from the same firm, earned for her professional (CA) services.
4. Income ₹20,000 of minor daughter from a fixed deposit made from her inheritance.
5. Income ₹50,000 of minor son (disabled, covered u/s 80U) from interest.

Model Answer. 1. **₹60,000 clubbed** u/s 64(1)(iv) — income from asset transferred to spouse without consideration. (*Income-on-income exception noted: any reinvestment income of Mrs. G would not be clubbed.*)
2. **₹80,000 clubbed** u/s 64(1)(ii) — remuneration/share from a concern in which spouse has substantial interest (30% ≥ 20%); no technical qualification exception applies. 3. **Not clubbed** — proviso to s.64(1)(ii): remuneration attributable to professional qualification (CA) is taxed in Mrs. G's own hands. 4. **₹20,000 minus s.10(32) ₹1,500 = ₹18,500 clubbed** u/s 64(1A) — minor's income; source (inheritance) irrelevant, still clubbed as it is not from skill/manual work. 5. **Not clubbed** — s.64(1A) proviso: income of a minor child suffering disability specified u/s 80U is **not** clubbed; taxed in the minor's own hands (return filed by guardian).

Total clubbed = 60,000 + 80,000 + 18,500 = ₹1,58,500.

C2. (Set-off & carry-forward — comprehensive; ~10 marks style)

Ms. H reports for AY 2025-26:

Item	₹
Income from salary	4,00,000
Loss from self-occupied house property (interest)	(1,80,000)
Speculation business profit	70,000
Speculation business loss (another)	(1,10,000)
Non-speculation business loss	(90,000)
LTCG (on listed shares, taxable)	2,00,000
Loss from owning & maintaining race horses	(30,000)
Winnings from lottery (gross)	1,00,000

Compute GTI and losses c/f, citing sections.

Model Answer — step by step.

Step 1 — Speculation (s.73): 70,000 – 1,10,000 = **(40,000)**; speculation loss sets off only against speculation profit → ₹40,000 **c/f u/s 73 (4 yrs)**.

Step 2 — House property (s.71(3A)): SOP loss ₹1,80,000. Inter-head set-off allowed up to ₹2,00,000. Set off against salary → within cap → full ₹1,80,000 set off. Salary now 4,00,000 – 1,80,000 = **2,20,000**.

Step 3 — Non-speculation business loss (s.71): ₹90,000. Cannot be set off against salary (s.71(2A)). Can set off against other heads except salary. Available: LTCG ₹2,00,000. Set off ₹90,000 against LTCG → LTCG = 2,00,000 – 90,000 = **1,10,000**. (*Business loss may be set off inter-head against capital gains — permitted.*)

Step 4 — Race-horse loss (s.74A): ₹30,000 — set off *only* against income from same activity. None here → **c/f u/s 74A (4 yrs)**.

Step 5 — Lottery winnings: ₹1,00,000 taxed at special rate u/s 115BB; **no loss/expense/set-off allowed** against it (s.58(4)). Stands at ₹1,00,000.

Step 6 — GTI:

Head	₹
Salary	2,20,000
House Property	Nil
Business (speculation nil; non-spec nil after set-off)	Nil
Capital Gains (LTCG)	1,10,000
Other Sources (lottery)	1,00,000
GTI	4,30,000

C/f: Speculation loss ₹40,000 (s.73); Race-horse loss ₹30,000 (s.74A). ✓

SECTION D — MCQs & Case Scenarios

D1. Loss from house property can be set off against other heads in the same year up to a maximum of: (a) No limit (b) ₹1,50,000 (c) **₹2,00,000** (d) ₹2,50,000 **Ans: (c)** — s.71(3A); excess is carried forward u/s 71B. (*Confirm limit for AY.*)

D2. A short-term capital loss can be set off against: (a) LTCG only (b) STCG only (c) **Both STCG and LTCG** (d) Any head **Ans: (c)** — s.70(2). (LTCL, by contrast, only against LTCG — s.70(3).)

D3. Business loss carried forward u/s 72 can be set off against: (a) Any head (b) **Any business income (speculative or not)** (c) Only same business (d) Salary **Ans: (b)** — s.72; c/f business loss can be set off against *any* business income, but only business income, for 8 AYs.

D4. Unabsorbed depreciation u/s 32(2) can be carried forward: (a) 8 years (b) 4 years (c) **Indefinitely** (d) 10 years **Ans: (c)** — s.32(2); no time limit, set off against any income except salary.

D5. (Case scenario) Mr. J gifts ₹10 lakh to his son's wife (daughter-in-law), who invests it and earns ₹75,000 interest. Is it clubbed? (a) No, only spouse covered (b) **Yes, in Mr. J's hands u/s 64(1)(vi)** (c) In the son's hands (d) Exempt **Ans: (b)** — s.64(1)(vi) covers assets transferred to *son's wife* without adequate consideration → ₹75,000 clubbed with Mr. J.

D6. (Case scenario) Continuation loss set-off order at return stage. Which sets off first? (a) B/f business loss then current depreciation (b) **Current-year depreciation, then b/f business loss (s.72), then unabsorbed depreciation** (c) Unabsorbed depreciation first (d) Any order **Ans: (b)** — settled order: current-year normal depreciation → brought-forward business loss (s.72) → unabsorbed depreciation (s.32(2)). This maximises the use of time-barred items first.

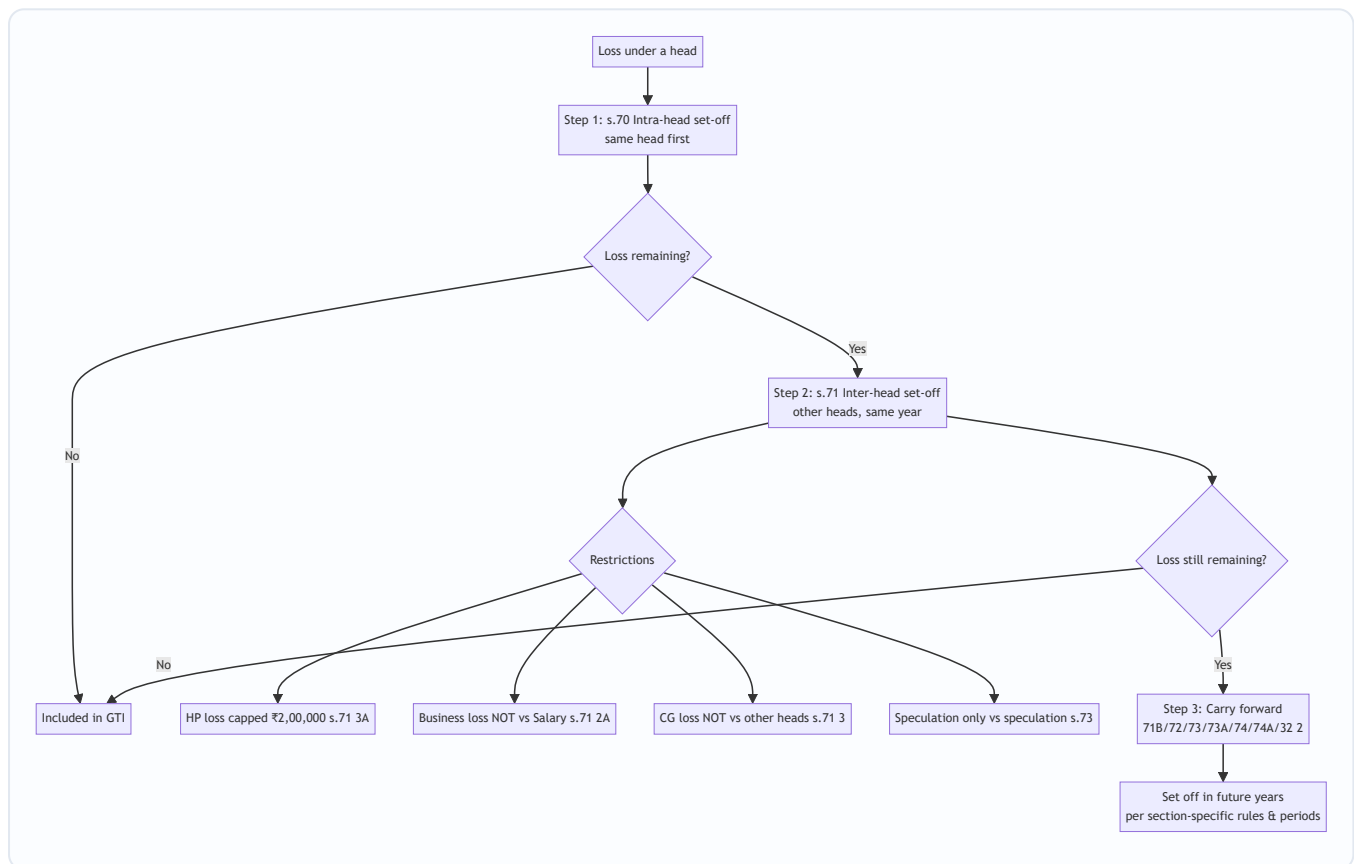
D7. Continuation of C1 fact 3: Mrs. G's CA-fee income is not clubbed because: (a) It exceeds ₹5 lakh (b) **It is attributable to her professional qualification (proviso to s.64(1)(ii))** (c) She has no substantial interest (d) It is exempt **Ans: (b).**

D8. Loss from owning and maintaining race horses is carried forward for: (a) 8 years (b) Indefinitely (c) **4 years** (d) 2 years **Ans: (c)** — s.74A(3); set off only against income from the same activity.

D9. (Case scenario) A revocable transfer of a house to a trust, irrevocable for 7 years and the transferor derives no benefit. Current year rent? (a) Clubbed in transferor (b) **Not clubbed until power to revoke arises (s.62)** (c) Always clubbed (d) Exempt **Ans: (b)** — s.62 exception to s.61 (transfer irrevocable for >6 years / during transferee's lifetime).

D10. Speculation loss (s.73) can be carried forward for ___ and set off only against ___: (a) 8 yrs / any business (b) **4 yrs / speculation profit** (c) 4 yrs / any income (d) indefinite / speculation **Ans: (b).**

Set-off Flow (Mermaid)



One-Line Traps Recap

- Clubbing applies **even if income is negative** — a *clubbed loss* is set off in the transferor/parent's computation.
- Clubbing happens **before** the ₹1,500 s.10(32) exemption and **before** set-off.
- Substantial interest = **≥20%** voting power/profit share; test both spouses — club with the *higher-income* one; once clubbed, stays with that spouse in later years unless AO changes.
- LTCL: **LTCG only**. HP loss inter-head cap: **₹2,00,000**. Business loss: **never vs salary**.

- Return must be filed **within due date u/s 139(1)** to carry forward business/capital/speculation losses (s.80) — but **HP loss (71B) and unabsorbed depreciation (32(2)) can be c/f even with a belated return.**

(All monetary limits and slab rates depend on the applicable Assessment Year — verify before the exam.)

Chapter 09 — Deductions under Chapter VI-A

Rates & limits caveat: Tax law changes with every Finance Act, and Chapter VI-A limits are prime targets for tinkering. This chapter teaches the *logic and architecture* of the deductions so you can reason about any of them. Numbers are illustrative anchors for **AY 2025-26 (PY 2024-25)** unless stated. **Always verify the exact limits, thresholds, sunset dates and the applicable Assessment Year in current ICAI material for your attempt.**

1. The Problem

Meet two people. Both earn a salary of ₹12,00,000 a year. On paper they are identical taxpayers.

But look closer. Anita pays ₹1,50,000 into a Public Provident Fund and a life-insurance premium for her children, ₹25,000 for a family health-insurance policy, ₹40,000 as interest on an education loan for her sister's engineering degree, and ₹20,000 as a donation to the Prime Minister's National Relief Fund. Every one of those payments is money she *cannot spend on herself* — it is locked into retirement savings, risk cover, human capital, and public good.

Rahul spends his identical ₹12,00,000 exactly as he pleases — dining out, holidays, gadgets. Nothing is set aside, nothing insured, nothing donated.

Now ask the hard question: **should Anita and Rahul pay the same income tax?**

If your instinct says "Anita is doing socially useful things with her money and the tax system ought to notice", you have already discovered the entire logic of Chapter VI-A. The heads of income (Salary, House Property, PGBP, Capital Gains, Other Sources) measure *how much you earned*. They are blind to *what you did with it*. But the government has goals beyond merely collecting revenue — it wants citizens to save for old age (so they don't become a state burden), to insure against medical catastrophe (so hospital bills don't bankrupt families), to invest in education, to give to charity, to fund pensions. The tax code cannot *order* you to do these things, but it can make them *cheaper* by refunding some tax when you do.

Chapter VI-A is that refund machine. It is the point in the tax computation where the state stops asking "what did you earn?" and starts asking "**what did you do with it that we approve of?**" — and rewards the approved behaviour with a deduction.

The problem it must solve carefully, though, is threefold:

1. **Where in the computation do these deductions sit?** They cannot reduce any single head (Anita's PPF has nothing to do with her salary *per se*). They must operate on the aggregate.
 2. **How do you stop the incentive from becoming a loophole?** If any donation or "investment" reduced tax, people would route money to fake charities, over-insure to relatives, or claim deductions exceeding their actual income and manufacture refunds.
 3. **How do you make the incentive fair and finite?** An unlimited deduction favours the rich (who have surplus to park). Caps and eligibility rules keep the incentive targeted.
-

2. The Core Idea

Chapter VI-A deductions are subtractions from Gross Total Income, granted as a reward for spending or investing money in ways the government wants to encourage. They convert social/economic policy goals into tax savings — but each is capped, conditioned, and can never, in total, exceed the Gross Total Income.

Three ideas are fused here:

- **They act on the *aggregate*, not on a head.** You first compute income under all five heads, set off losses, and arrive at **Gross Total Income (GTI)** [Sec 80B(5)]. Then Chapter VI-A deductions are applied to GTI to yield **Total Income** — the figure on which tax is actually charged.
- **They are behavioural incentives, not cost recoveries.** Unlike a business expense (money spent to *earn* income), a Chapter VI-A deduction is for money spent *after* earning, on policy-favoured ends. The state is effectively co-paying your PPF contribution or insurance premium by giving back tax.
- **They are bounded by the "cannot exceed GTI" rule** [Sec 80A(2)]. A deduction can wipe your Total Income down to zero, but never below. You cannot use deductions to create a loss or a refund out of thin air. Incentives reward what you *did with income you had* — no income, no reward.

The mental model: **GTI is the pool. Chapter VI-A deductions are approved withdrawals from that pool. Total Income is what remains and gets taxed.**

$$\text{Gross Total Income} - \text{Chapter VI-A deductions} = \text{Total Income}$$

3. Why It's Built This Way

Why a separate "Chapter" (Sections 80A to 80U) instead of tucking these into each head? Because these deductions have nothing to do with *earning* — they relate to the *application* of income. A life-insurance premium doesn't help you earn salary; it serves a social goal. Bolting it onto the Salary head would be conceptually wrong and administratively messy (which head would a self-employed person's PPF reduce?). By pooling everything into GTI first and then applying VI-A, the Act keeps head-computation "pure" (measuring earning) and quarantines all the policy-driven incentives in one predictable place at the end.

Why "Gross Total Income" as the base? Because the incentives are about *your overall taxpaying capacity and your overall good behaviour*, both of which are aggregate concepts. Losses under one head reducing income under another (inter-head set-off, Chapter VI) must happen *first* — you incentivise based on real net earning power, not a single inflated head.

Why the "cannot exceed GTI" ceiling [Sec 80A(2)]? Because an incentive is a *discount on tax you would otherwise pay*. If your GTI is ₹1,00,000 and you donated ₹3,00,000, the state will refund tax on the ₹1,00,000 you had — it will not pay you for the extra ₹2,00,000. Otherwise deductions would generate negative income (a loss), which could be carried forward or set off — turning a *reward* into a *subsidy that survives having no income*. The ceiling keeps VI-A a *tax-reducer*, never a *loss-creator*.

Why caps on each deduction (₹1.5 lakh for 80C, etc.)? Two reasons. First, **cost control**: an uncapped incentive is an open-ended drain on the exchequer. Second, **fairness**: without caps, the wealthy (with large

surpluses to invest) would harvest disproportionate benefit. A flat cap gives everyone the *same maximum* nudge.

Why conditions (approved funds, mode of payment, relationship rules)? Because an unpoliced incentive is a laundering channel. Requiring donations to *approved* institutions, health-insurance premiums paid by *non-cash* modes, and deductions only for *specified relatives* stops the incentive being abused to shift money to oneself or fake entities while claiming a deduction.

Why did the new tax regime [Sec 115BAC] strip most of them away? This is the deepest "why". The old regime's philosophy was "*we'll keep rates high but reward good behaviour with deductions*" — a paternalistic, nudge-heavy design. The new regime's philosophy is the opposite: "*we'll cut rates for everyone and stop micromanaging your choices*". So the new regime offers lower slab rates but **disallows almost all Chapter VI-A deductions**. Understanding this trade-off — deductions vs. lower rates — is the single most examinable planning decision in modern Indian income tax.

4. Full Technical Content

4.1 The architecture: GTI → deductions → Total Income

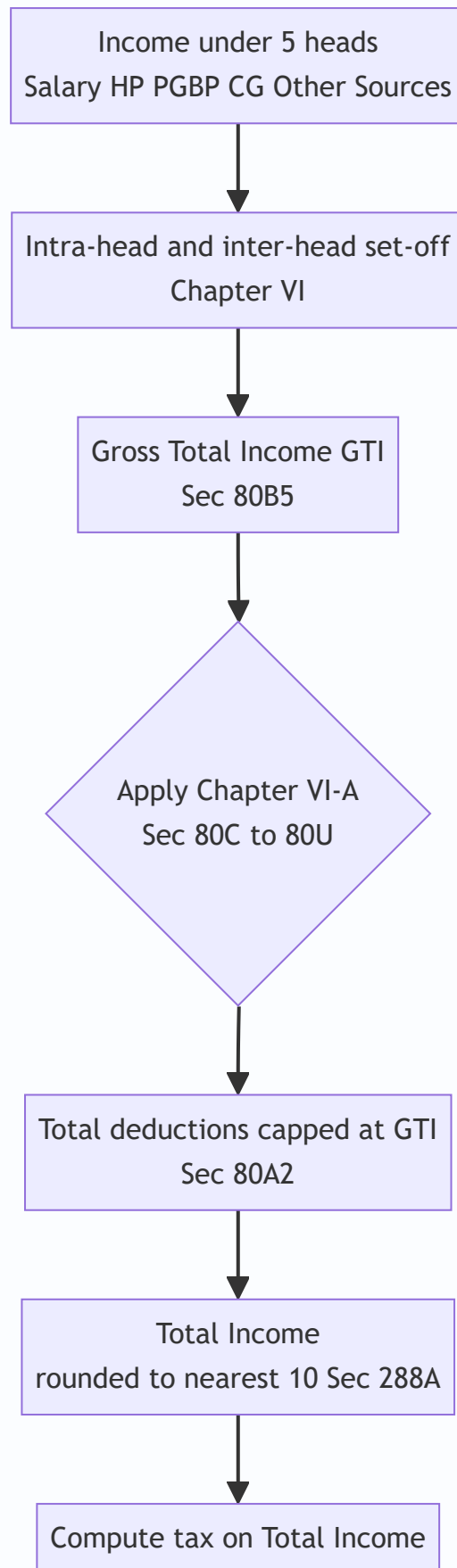


Figure 1 — Chapter VI-A sits between Gross Total Income and Total Income; it can reduce Total Income to zero but never below.

Four structural rules that govern every VI-A deduction [Sec 80A]:

Rule	Section	Plain meaning
Deductions apply to GTI only	80A(1)	Never deducted from a single head
Total VI-A deductions $\leq$ GTI	80A(2)	Cannot create a loss/refund
No double deduction	80A(3) partner clause	Same amount not deductible twice (e.g. firm and partner)
Must be claimed in the return	80A(5) / 80AC	Certain deductions (80-IA family, etc.) lost if return filed late

A crucial sub-point: certain incomes are **excluded from the GTI base for the *percentage-of-income* deductions**. For example, deductions computed as a % of GTI (like some 80G limits) are worked on GTI *reduced by* long-term capital gains, short-term gains under 111A, and amounts already deducted under other VI-A sections. This prevents stacking a percentage deduction on income that is separately taxed at special rates.

4.2 Grouping by POLICY PURPOSE

Do not memorise 15 sections as a flat list. They cluster into **five policy families**. Learn the *purpose*, and the section's shape follows.

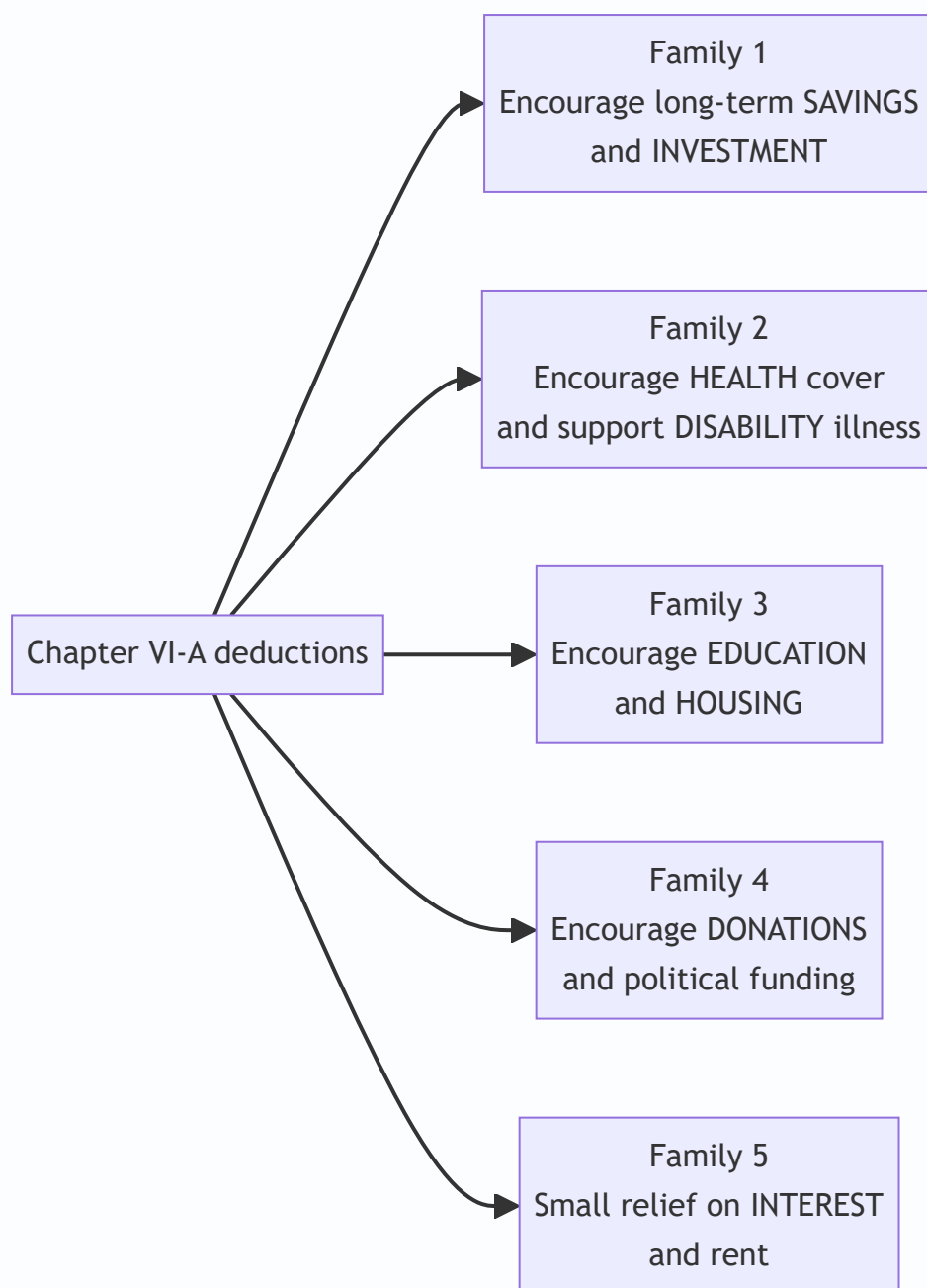


Figure 2 — The five policy families of Chapter VI-A; the government's goal dictates each section's cap and conditions.

FAMILY 1 — Long-term savings & investment (the "80C family")

Policy goal: push households to lock money into retirement/long-horizon instruments so they are self-reliant in old age and so the government has a captive pool of long-term capital.

Section 80C — the workhorse. Deduction for *specified* payments/investments, up to **₹1,50,000**. Eligible items (illustrative, not exhaustive): life-insurance premium (on self, spouse, children), Employees'/Public Provident Fund (EPF/PPF), 5-year tax-saving fixed deposit, National Savings Certificate (NSC), ELSS mutual funds, principal repayment of a housing loan, tuition fees (for max 2 children, in India), Sukanya Samriddhi, contribution to approved superannuation. *Why a mix of insurance, savings and even loan-principal?* All lock

money into long-horizon, socially-approved uses. *Why the "tuition fees but not development/donation fees" carve-out?* The incentive targets genuine education cost, not capitation.

Section 80CCC — pension fund premium. Contribution to an annuity/pension plan of an insurer, deductible within the *same* ₹1.5 lakh umbrella.

Section 80CCD(1) — employee/self-employed contribution to NPS (National Pension System). Deductible up to **10% of salary** (salaried) or **20% of GTI** (self-employed), again inside the ₹1.5 lakh umbrella.

The umbrella cap — Section 80CCE. This is the crucial "why they group": **80C + 80CCC + 80CCD(1) together cannot exceed ₹1,50,000.** You cannot get ₹1.5 lakh under *each*; they share one ceiling. *Why?* Because they all serve the identical goal (long-term savings), so the government caps the *goal*, not each instrument.

Section 80CCD(1B) — the extra NPS ₹50,000. An *additional* deduction of **₹50,000** for NPS contributions, **over and above** the ₹1.5 lakh 80CCE cap. *Why an extra window just for NPS?* A deliberate nudge to steer savings specifically into the pension system. So a taxpayer can get ₹1.5 lakh (80C family) + ₹50,000 (80CCD(1B)) = **₹2,00,000.**

Section 80CCD(2) — employer's NPS contribution. Employer's contribution to the employee's NPS, deductible up to **14% of salary** (if employer is Central/State Govt) or **14% of salary** for private-sector employees as well (harmonised recently — *verify current % and category split*). *Why separate from the caps?* This is the employer's money, not the employee's disposable income, so it sits **outside** both the ₹1.5 lakh and the ₹50,000 windows. **Critically, 80CCD(2) is one of the very few deductions still allowed in the NEW regime** — remember this.

Memory hook for Family 1: "1.5 shared, 0.5 solo, employer free." ₹1.5 lakh is the shared umbrella (80C/CCC/CCD1); ₹0.5 lakh is the solo NPS top-up (CCD1B); the employer's contribution (CCD2) rides free outside both.

FAMILY 2 — Health, disability & serious illness

Policy goal: get people insured and support households bearing the cost of disability or grave illness, so a medical shock doesn't push a family into poverty (and onto state support).

Section 80D — medical insurance premium.

Who is covered	Base limit	Extra if senior citizen (60+)
Self, spouse, dependent children	₹25,000	₹50,000 (if self/spouse is senior)
Parents (dependent or not)	₹25,000	₹50,000 (if parents are senior)
Preventive health check-up	Within above, max ₹5,000	—

Maximum possible: **₹1,00,000** (self+family senior ₹50k + parents senior ₹50k). *Why higher limits for seniors?* Their premiums are far higher and their risk greater — the incentive scales with need. *Why must premium be non-cash* (except preventive check-up, which may be cash)? Anti-abuse: forces an auditable payment trail. A senior citizen with no insurance can instead claim actual **medical expenditure up to ₹50,000.**

Section 80DD — maintenance of a dependant with disability. *Fixed* deduction: **₹75,000** (disability 40–79%) or **₹1,25,000** (severe, ≥80%), regardless of actual spend. *Why a flat amount, not actual?* Verifying disability-care spend is impractical; a flat sum tied to a medical certificate is administrable. Requires a certificate from a prescribed medical authority.

Section 80DDB — treatment of specified diseases (cancer, chronic renal failure, etc., prescribed in Rule 11DD). Deduction of **actual expenditure or ₹40,000** (₹1,00,000 for a senior citizen patient), *whichever is less*, reduced by any insurance/employer reimbursement. *Why reduce by reimbursement?* You incentivise the *out-of-pocket* burden, not a cost someone else bore.

Section 80U — self with disability. The mirror of 80DD but for the *taxpayer's own* disability: flat **₹75,000 / ₹1,25,000** (severe). *Why flat and why separate from 80DD?* 80DD is for a *dependant*; 80U is for *yourself*. You cannot claim both for the same person.

Memory hook for Family 2: 80D = the doctor's cover (insurance), 80DD = dependant's disability, 80DDB = the big disease, 80U = you yourself. The "D-count" rises with the severity/specificity.

FAMILY 3 — Education & housing

Policy goal: subsidise investment in *human capital* (education) and *first homes* (housing) — both long-term national assets.

Section 80E — interest on education loan. Deduction for the **full interest** (no cap) paid on a loan for *higher education* of self, spouse, children, or a student for whom the taxpayer is legal guardian. Available for **8 years** from the year repayment starts (or until interest is fully paid, if earlier). *Why no cap but a time limit?* Education is a priority so interest is fully rewarded, but the 8-year window stops the benefit running indefinitely. *Why interest only, not principal?* Principal is capital repayment (you're getting an asset — education); interest is the real *cost* of financing it.

Section 80EE / 80EEA — interest on housing loan (first-time buyers). Additional interest deduction (over the ₹2 lakh under "Income from House Property" Sec 24(b)) for affordable first homes, subject to loan-sanction-date windows and value caps. *These are largely sunset/closed for new loans — flag and verify the current-year availability and sanction-date eligibility.*

Section 80EEB — interest on electric-vehicle loan. Deduction up to **₹1,50,000** on interest for a loan to buy an electric vehicle (loan sanctioned in the specified window). *Why?* A green-policy nudge — the incentive follows whatever behaviour the government of the day wants to promote. *Verify sanction-date window.*

FAMILY 4 — Donations & political/social funding

Policy goal: channel private money into charitable, scientific and democratic-process funding by sharing the cost with the donor.

Section 80G — donations to approved funds and institutions. The structure has **two dimensions**: (a) the *percentage* allowed — **100% or 50%** of the donation — and (b) whether a *qualifying-limit* applies.

Category	Deduction	Qualifying limit?
PM National Relief Fund, National Defence Fund, PM CARES, etc.	100%	No limit
PM's Drought Relief Fund, certain notified funds	50%	No limit
Govt/local authority for family planning, Indian Olympic Assn	100%	Yes — capped at 10% of adjusted GTI
Other approved charitable institutions, any govt for charity	50%	Yes — capped at 10% of adjusted GTI

Why four buckets? The government ranks causes by priority. Its own flagship funds get 100% and no cap (maximum nudge). Ordinary charities get 50% *and* a 10%-of-adjusted-GTI ceiling (moderate nudge, cost-controlled). **Anti-abuse rule:** donations **exceeding ₹2,000 must be non-cash** to qualify. **Adjusted GTI** = GTI minus LTCG, minus STCG u/s 111A, minus other VI-A deductions and certain incomes — so the 10% ceiling is computed on "ordinary" income only.

Section 80GGA — donations for scientific research / rural development (for taxpayers with *no* business income). Full deduction; cash donations over ₹2,000 disallowed.

Section 80GGB / 80GGC — contributions to political parties / electoral trusts. 80GGB is for **Indian companies**; 80GGC is for **any other person** (individuals etc.). **Full amount** deductible, but **must be non-cash** (no cash contributions at all qualify). *Why 100% and why non-cash only?* Clean political funding is a policy goal, so the reward is generous — but the entire point is transparency, hence zero cash tolerance.

Memory hook for Family 4: "**G = give to charity, GGA = give to research, GGB = give (companies) to politics, GGC = give (citizens) to politics.**"

FAMILY 5 — Small reliefs: interest income & rent

Policy goal: small, targeted reliefs for ordinary savers, seniors, and people paying rent without an HRA.

Section 80TTA — interest on savings account. Deduction up to **₹10,000** on interest from savings accounts (bank/co-op/post office) — **not** fixed deposits. For individuals/HUF *below* 60. *Why only savings interest and only ₹10k?* A token relief so small savers aren't taxed on trivial bank interest; FDs excluded because they're a deliberate investment choice, not idle balances.

Section 80TTB — interest for senior citizens. For residents **aged 60+**, a larger **₹50,000** deduction covering interest on savings *and* fixed deposits. *Why bigger and broader?* Seniors often live off interest income; the relief recognises that. **A senior claims 80TTB, not 80TTA** — the two are mutually exclusive.

Section 80GG — rent paid (no HRA). For those who pay rent but receive **no House Rent Allowance**. Deduction = *least of*: (i) ₹5,000 per month (₹60,000/yr); (ii) 25% of adjusted total income; (iii) rent paid minus 10% of adjusted total income. *Why the three-way least-of?* It caps the benefit absolutely (i), proportionally to income (ii), and to the genuine excess rent burden (iii) simultaneously.

Other examinable specials (know they exist): **80JJAA** — deduction (30% for 3 years) for cost of *new employees* hired, to incentivise job creation (**allowed even in new regime**); **80QQB / 80RRB** — royalty income of authors / patent-holders; **80CCH** — Agnipath Scheme contribution (**allowed in new regime**).

4.3 Interaction with the New Regime [Sec 115BAC]

This is the highest-yield concept in the chapter. Under the **default new regime** (Sec 115BAC(1A)), **almost every Chapter VI-A deduction is disallowed** in exchange for lower slab rates. The handful that *survive*:

Deduction	Allowed in NEW regime?	Why
80C, 80D, 80E, 80G, 80TTA/TTB, 80GG, 80DD, 80U, 80DDB...	No	New regime's bargain: lower rates, no nudges
80CCD(2) — employer NPS contribution	Yes	Employer money, promotes pensions
80CCH — Agnipath contribution	Yes	Recent policy priority
80JJAA — new-employee cost	Yes	Job-creation incentive kept

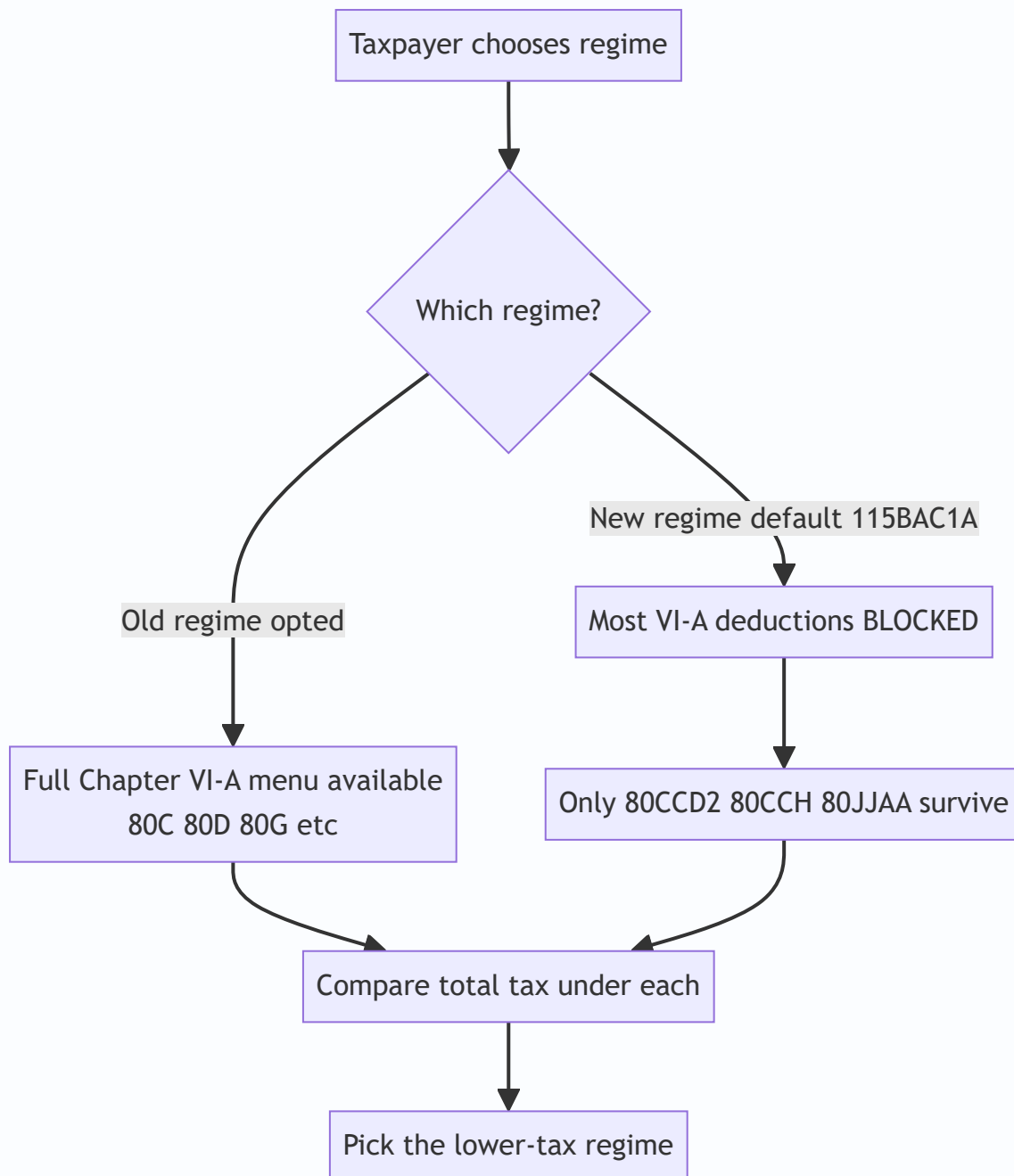


Figure 3 — Regime choice decides whether the Chapter VI-A menu is open; heavy deduction-users often still prefer the old regime.

5. Worked Examples

Example 1 (Easy) — The 80C umbrella and its ceiling

Mr. Verma (age 45, **old regime**) has GTI of ₹9,00,000. He pays: LIC premium ₹60,000, PPF ₹80,000, ELSS ₹40,000, and NPS (own) ₹30,000. Compute the deduction under the 80C family.

Item	Section	Amount
LIC premium	80C	60,000
PPF	80C	80,000
ELSS	80C	40,000
NPS own contribution	80CCD(1)	30,000
Raw total		2,10,000

80CCE umbrella cap = ₹1,50,000. So 80C + 80CCC + 80CCD(1) is restricted to **₹1,50,000**.

But wait — can the NPS ₹30,000 spill into the separate 80CCD(1B) window? Yes. The optimal claim: put ₹1,50,000 under the 80CCE umbrella (from LIC+PPF+ELSS = ₹1,80,000, of which only ₹1,50,000 counts) and route the ₹30,000 NPS into **80CCD(1B)**.

Total deduction = ₹1,50,000 + ₹30,000 = ₹1,80,000.

Lesson: NPS money is best claimed under 80CCD(1B) first (the exclusive ₹50k window) when 80C is already saturated. Verma's other ₹30,000 of 80C investments (the ₹1,80,000 raw minus ₹1,50,000) is simply wasted for tax purposes.

Example 2 (Moderate) — 80D across a family with seniors

Mrs. Rao (age 52, **old regime**) pays health-insurance premiums: ₹28,000 for herself, spouse and children (all non-senior); ₹52,000 for her mother (age 78); and ₹4,500 cash for a preventive health check-up for herself. Compute 80D.

Self/family bucket (non-senior): limit ₹25,000. Premium ₹28,000 → restricted to ₹25,000. Preventive check-up ₹4,500 is *within* this bucket but the bucket is already full at ₹25,000, and the ₹5,000 preventive sub-limit is *inside* the ₹25,000 — so no extra. **Self bucket = ₹25,000.**

Note the cash issue: premiums must be non-cash; the ₹4,500 preventive check-up is the *only* item allowed in cash — but here it doesn't add anything because the bucket is capped.

Parent bucket (mother is senior, 78): limit ₹50,000. Premium ₹52,000 → restricted to **₹50,000.**

Total 80D = ₹25,000 + ₹50,000 = ₹75,000.

Trap avoided: the two buckets (self-family vs. parents) are **separate ceilings**, not one combined ₹25,000. And the senior-parent limit is ₹50,000, not ₹25,000.

Example 3 (Exam-hard) — Full multi-deduction computation with the GTI ceiling and 80G limit

Mr. Iyer (age 40, resident, **old regime**) for PY 2024-25 has:

- Income from Salary: ₹8,00,000
- Income from House Property: ₹1,20,000
- Long-term capital gain (on listed shares, u/s 112A): ₹2,00,000
- Savings-bank interest: ₹14,000

He makes the following payments: - PPF: ₹1,20,000; LIC premium: ₹50,000 - NPS (own): ₹40,000 - Health insurance (self & family, non-senior, by cheque): ₹22,000 - Interest on education loan (own MBA): ₹90,000 - Donation to PM National Relief Fund: ₹30,000 (by cheque) - Donation to a local approved charitable trust: ₹50,000 (by cheque)

Compute Total Income.

Step 1 — Gross Total Income.

Head	Amount (₹)
Salary	8,00,000
House Property	1,20,000
Capital Gains (LTCG 112A)	2,00,000
Other Sources (SB interest)	14,000
Gross Total Income	11,34,000

Step 2 — Family 1 (savings/investment). - 80C: PPF ₹1,20,000 + LIC ₹50,000 = ₹1,70,000 → capped at umbrella **₹1,50,000** (80CCE). - 80CCD(1B): NPS ₹40,000 → fully allowed in the exclusive window = **₹40,000**. - Subtotal Family 1 = **₹1,90,000**.

Step 3 — Family 2 (health). - 80D: ₹22,000, within ₹25,000 non-senior limit, paid by cheque = **₹22,000**.

Step 4 — Family 3 (education). - 80E: interest on education loan ₹90,000, **no cap**, fully allowed = **₹90,000**.

Step 5 — Family 5 (interest). - 80TTA: SB interest ₹14,000 → capped at **₹10,000** (below 60, savings only).

Step 6 — Family 4 (donations, Sec 80G). This needs the two-dimension analysis. - PM National Relief Fund: **100%, no qualifying limit** → ₹30,000 fully allowed = **₹30,000**. - Local charitable trust: **50%, subject to qualifying limit** (10% of *adjusted GTI*).

Compute *Adjusted GTI* = GTI – LTCG (112A) – deductions already claimed under other VI-A sections – (STCG 111A, if any). Adjusted GTI = 11,34,000 – 2,00,000 (LTCG) – [1,90,000 + 22,000 + 90,000 + 10,000] (other VI-A) = 11,34,000 – 2,00,000 – 3,12,000 = **₹6,22,000**.

Qualifying limit = 10% × 6,22,000 = **₹62,200**. The trust donation ₹50,000 is within this. Eligible for 50% deduction: 50% × ₹50,000 = **₹25,000**.

- Total 80G = ₹30,000 + ₹25,000 = **₹55,000**.

Step 7 — Aggregate all deductions.

Section	Deduction (₹)
80C (umbrella)	1,50,000
80CCD(1B)	40,000
80D	22,000
80E	90,000
80TTA	10,000
80G	55,000
Total Chapter VI-A	3,67,000

Step 8 — Apply Sec 80A(2) ceiling. Total deductions ₹3,67,000 must not exceed GTI ₹11,34,000. It does not — so the full ₹3,67,000 is allowed.

Step 9 — Total Income = GTI – deductions = 11,34,000 – 3,67,000 = **₹7,67,000**.

Reconciliation check: Salary 8,00,000 + HP 1,20,000 + LTCG 2,00,000 + SB 14,000 = 11,34,000 ✓. Less deductions 3,67,000 = 7,67,000 ✓. Note the ₹2,00,000 LTCG remains inside Total Income but will be taxed at its special 112A rate (10%/12.5% above the ₹1/1.25 lakh exemption — *verify current rate/threshold*); crucially the **80C-family and 80G deductions cannot be set against that LTCG** conceptually, which is exactly why LTCG was stripped out when computing Adjusted GTI for the 80G limit.

Example 4 (Regime comparison) — the strategic "why"

Take Mr. Iyer above. Under the **old regime** his Total Income is ₹7,67,000 (after ₹3,67,000 deductions). Under the **new regime**, of his ₹3,67,000 deductions, **only 80CCD(2) would survive — and he had none** (his NPS was own-contribution 80CCD(1B), not employer). So under the new regime his Total Income $\approx$ ₹11,34,000 (subject to the LTCG being taxed separately and salary standard deduction, which the new regime *does* allow).

He must compute tax **both ways** and pick the lower. A taxpayer with ₹3.67 lakh of deductions usually finds the **old regime** wins *unless* the new regime's much lower slab rates outweigh the lost deductions. This is the decision Chapter VI-A ultimately forces — and it is why the chapter matters even in a "lower-rate" world.

6. Computation Format

The clean exam layout for the Chapter VI-A stage:

GROSS TOTAL INCOME (after all set-offs)		XXX
Less: Deductions under Chapter VI-A		
Family 1 – Savings/Investment		
80C (LIC + PPF + ELSS + ...)	capped 1,50,000	XXX
80CCD(1B) NPS (own)	capped 50,000	XXX
80CCD(2) NPS (employer)	% of salary	XXX
Family 2 – Health/Disability		
80D (self-family + parents buckets)		XXX
80DD / 80DDB / 80U		XXX
Family 3 – Education/Housing		
80E (education-loan interest, no cap)		XXX
80EEB (EV loan interest)		XXX
Family 4 – Donations		
80G (100%/50%, apply qualifying limit on Adjusted GTI)		XXX
80GGC (political, non-cash only)		XXX
Family 5 – Interest/Rent		
80TTA (₹10,000) OR 80TTB (₹50,000 senior)		XXX
80GG (rent, least-of-three)		XXX
Total deductions (restricted to GTI, Sec 80A(2))		XXX
TOTAL INCOME (round off to nearest ₹10, Sec 288A)		XXX

Golden sequencing rules: 1. Apply each section's *own* cap first. 2. Apply the *shared* 80CCE cap to the 80C family. 3. Compute **Adjusted GTI** before the 80G qualifying-limit deductions (subtract LTCG, STCG-111A, and all *other* VI-A deductions). 4. Finally test the aggregate against GTI (Sec 80A(2)).

7. Connections

- ← **From the head chapters (03–08):** Chapter VI-A cannot start until the five heads are computed and set-offs (Chapter VI) are done. GTI is the hand-off point.
- ← **Set-off & carry-forward:** because VI-A can't create a loss (80A(2)), it never feeds the carry-forward machinery — deductions simply vanish if unused.
- **To computation of tax liability:** Total Income (post-VI-A) is what slab rates, rebate u/s 87A, surcharge and cess attach to. A rebate u/s 87A is applied *after* VI-A on the resulting tax.
- **Special-rate incomes:** LTCG (112A/112), STCG (111A), lottery (115BB) are taxed at flat rates and most VI-A deductions **cannot** be set against them — hence they're pulled out of "Adjusted GTI".
- ↔ **New regime [115BAC]:** the master switch that turns the whole VI-A menu on (old) or mostly off (new).
- ↔ **Salary (Ch 03):** employer NPS (80CCD(2)) and standard deduction interplay; 80GG only if *no* HRA received.
- ↔ **House Property (Ch 04):** 80EE/80EEA housing-loan interest is *additional* to Sec 24(b)'s ₹2 lakh.

8. Traps & Examiner Tricks

1. **The ₹1.5 lakh "each" illusion.** 80C, 80CCC and 80CCD(1) do **not** each get ₹1.5 lakh — they *share* one ₹1.5 lakh ceiling (80CCE). Only 80CCD(1B)'s ₹50k is genuinely extra.
2. **Forgetting to route NPS to 80CCD(1B).** When 80C is already $\geq$ ₹1.5 lakh, always shift NPS own-contribution into the exclusive ₹50k window — examiners plant "excess" 80C to test this.
3. **80D single-bucket error.** Self-family and parents are **two separate limits**. And senior limit is ₹50,000, not ₹25,000. Preventive check-up (max ₹5,000) is *within*, not on top.
4. **80TTA vs 80TTB confusion.** A senior gets 80TTB (₹50,000, incl. FDs), **not** 80TTA. Never both. FD interest never qualifies for 80TTA.
5. **80G without Adjusted GTI.** Applying the 10% qualifying limit on *plain* GTI instead of *Adjusted* GTI (which strips out LTCG/STCG-111A and other VI-A deductions) — a classic miscalculation.
6. **Cash-donation trap.** Donation > ₹2,000 in **cash** gets **zero** 80G. Political contributions (80GGB/GGC) in **any** cash get zero.
7. **80E "principal" trap.** 80E covers **interest only**, and has **no monetary cap** but an **8-year** limit. Don't cap it at some number; don't include principal.
8. **Deductions against special-rate income.** Trying to reduce LTCG/lottery income using 80C etc. — not allowed.
9. **The 80A(2) ceiling.** If deductions exceed GTI, they're cut to GTI — no negative Total Income, no loss carried forward.
10. **New-regime blindness.** Claiming 80C/80D in a new-regime computation. Only 80CCD(2), 80CCH, 80JJAA survive.
11. **Rounding.** Total Income rounded to nearest ₹10 (Sec 288A) — after VI-A, not before.
12. **Disabled-person double-claim.** Cannot claim both 80DD (dependant) and 80U (self) for the *same* individual.

9. First-Principles Recap

Strip everything away and rebuild:

1. The heads measure **what you earned**; they are silent on **what you did with it**. GTI is the total earning.
2. The state has goals beyond revenue — retirement savings, health cover, education, charity, clean politics, green vehicles. It cannot command these, so it **discounts your tax** when you fund them. That discount is Chapter VI-A.
3. Because the reward relates to *application*, not *earning*, it operates on the **aggregate (GTI)**, after set-offs, not on any one head.
4. Every deduction is (a) tied to a **policy family**, (b) **capped** (cost + fairness), (c) **conditioned** (approved instrument, non-cash mode, specified relative) to stop abuse.
5. The aggregate can zero out Total Income but **never go below** (Sec 80A(2)) — an incentive, not a subsidy that outlives income.
6. The new regime made the deepest statement of all: **"lower everyone's rate and stop nudging"** — so it disallows nearly all of VI-A. The whole chapter therefore reduces to one planning question: *do my deductions save more than the rate cut?*

If you can derive each section's cap and conditions from its **policy purpose**, you never memorise — you reconstruct.

10. Quick-Revision Sheet

The equation: $\text{GTI} - \text{Chapter VI-A deductions} = \text{Total Income}$ | deductions $\leq$ GTI [80A(2)] | round to ₹10 [288A].

Family 1 — Savings/Investment - **80C** ₹1,50,000: LIC, PPF, EPF, ELSS, NSC, 5-yr FD, tuition (2 kids), housing-loan *principal*, Sukanya. - **80CCC** (pension premium) + **80CCD(1)** (own NPS: 10% salary / 20% GTI) — all inside **80CCE = ₹1,50,000 umbrella**. - **80CCD(1B)** NPS **extra ₹50,000** (over umbrella). - **80CCD(2)** employer NPS, up to **14% salary** — outside caps, **survives new regime**.

Family 2 — Health/Disability - **80D**: ₹25,000 self-family (₹50,000 if senior) + ₹25,000 parents (₹50,000 if senior); max ₹1,00,000; preventive $\leq$ ₹5,000 within; non-cash (except check-up). - **80DD** dependant disability: flat ₹75,000 / ₹1,25,000 (severe $\geq$ 80%). - **80DDB** specified disease: actual or ₹40,000 (₹1,00,000 senior), less reimbursement. - **80U** self disability: flat ₹75,000 / ₹1,25,000.

Family 3 — Education/Housing - **80E** education-loan **interest**: no cap, 8 years. - **80EE/80EEA** housing-loan interest (first home) — *verify sunset/eligibility*. - **80EEB** EV-loan interest: ₹1,50,000 — *verify window*.

Family 4 — Donations - **80G**: 100%/50% $\times$ donation; some *no limit*, others capped at **10% of Adjusted GTI**; cash $>$ ₹2,000 disallowed. - **80GGA** research/rural (no business income). **80GGB** (companies) / **80GGC** (others) political — **non-cash only, 100%**.

Family 5 — Interest/Rent - **80TTA** savings interest ₹10,000 ($<$ 60, no FD). **80TTB** seniors ₹50,000 (incl. FD). Mutually exclusive. - **80GG** rent (no HRA): least of ₹5,000/mo, 25% of ATI, rent – 10% ATI.

Others: **80JJAA** (new jobs, survives new regime), **80QQB/80RRB** (author/patent royalty), **80CCH** (Agnipath, survives new regime).

New regime [115BAC(1A)]: almost all VI-A **blocked**; survivors = **80CCD(2), 80CCH, 80JJAA**. Always compute tax both ways.

Adjusted GTI (for 80G qualifying limit) = GTI – LTCG – STCG(111A) – other VI-A deductions – specified incomes.

Verify for your AY: all rupee limits, 80CCD(2) employer %, 80D senior thresholds, 80EE/EEA/EEB sunset windows, 80G fund lists & %, 112A LTCG rate/exemption, and the new-regime slab rates. Finance Acts move these frequently.

Q&A — Deductions under Chapter VI-A

Income-tax Act, 1961. Sections 80A–80U. **All monetary ceilings (₹1,50,000 u/s 80C, ₹25,000/₹50,000 u/s 80D, etc.) and the new-regime carve-outs depend on the applicable Assessment Year — verify against the AY your exam prescribes.** Structure and logic below are AY-agnostic.

SECTION A — Concept-Check (Short Q&A)

A1. What is the "gate" every Chapter VI-A deduction must pass, and why does it exist? Two gates in s.80A: (i) the aggregate of all Chapter VI-A deductions **cannot exceed Gross Total Income (GTI)** — deductions can bring taxable income to nil but never create a loss or refund of tax on income that was never earned; (ii) a deduction is allowed on the **amount actually paid/invested**, and no deduction is given on income already exempt. This preserves the principle that VI-A gives *relief*, not a subsidy.

A2. Distinguish deductions "in respect of certain payments" from those "in respect of certain incomes". - **Payments (80C–80GGC):** reward the *outflow* — savings, insurance, donations, loan interest. Independent of how the income arose. - **Incomes (80JJAA, 80QQB, 80RRB, 80TTA/TTB):** exempt a *slice of specified income already included in GTI* (bank interest, royalty, additional-employment cost). If that income is not in GTI, no deduction.

A3. State the s.80CCE overall cap. Deductions under **80C + 80CCC + 80CCD(1)** together cannot exceed **₹1,50,000**. Crucially, **80CCD(1B)** (extra ₹50,000 NPS) and **80CCD(2)** (employer's NPS contribution) sit *outside* this cap. (₹1,50,000 / ₹50,000 — confirm for AY.)

A4. Why is 80CCD(2) treated so differently from 80CCD(1)? 80CCD(1) is the *employee's own* contribution — capped and inside the 80CCE ₹1.5 lakh basket. 80CCD(2) is the *employer's* contribution, treated as deferred remuneration; it is allowed **over and above** ₹1.5 lakh, limited to **10% of salary (14% if a Central/State Government employer)**. Because it is employer-funded, it survives even under the new regime.

A5. 80D — map the ceilings. Health-insurance premium/preventive check-up (check-up sub-limit ₹5,000, within the overall cap): **₹25,000** for self+spouse+children; **₹50,000** if the insured is a **senior citizen (60+)**. A *separate* deduction of ₹25,000 / ₹50,000 for **parents**. Where no policy exists, medical *expenditure* on a senior citizen also qualifies. (Amounts — confirm for AY.)

A6. Contrast 80DD, 80DDB and 80U. - **80DD** — expenditure/deposit for a **dependant with disability**: fixed deduction **₹75,000** (₹1,25,000 for severe disability, 80%+), irrespective of actual spend. - **80DDB** — actual expenditure on **specified diseases** for self/dependant: up to **₹40,000** (**₹1,00,000** if patient is a senior citizen), reduced by insurance/employer reimbursement. - **80U** — the **assessee himself** has a disability: fixed **₹75,000 / ₹1,25,000**. 80DD and 80U are mutually exclusive by beneficiary (dependant vs self).

A7. 80E vs 80EEB vs 80EEA — the interest-deduction trio. - **80E** — interest on **education loan** (higher studies), *no monetary limit*, for **8 years** from the year repayment begins. - **80EEA** — additional interest on **affordable housing** loan (subject to sanction-date and stamp-value conditions), over the s.24(b) limit. - **80EEB** — interest on loan for **electric vehicle**, up to **₹1,50,000**. Each rewards a policy-favoured borrowing.

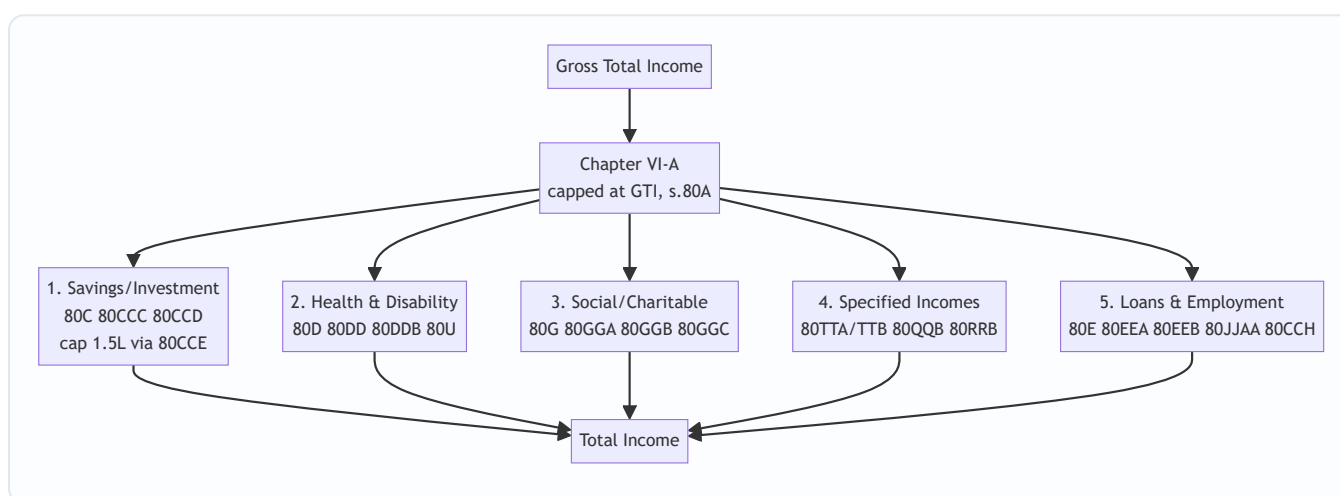
A8. 80G — the four-quadrant logic. Donations fall into: **100% without** qualifying limit (e.g., PM National Relief Fund), **50% without** limit, **100% with** qualifying limit, **50% with** qualifying limit. The "qualifying limit"

= **10% of Adjusted Total Income**. Cash donations **above ₹2,000 are disallowed** — must be by non-cash mode.

A9. 80TTA vs 80TTB — never both. - **80TTA** — **₹10,000** on **savings-account** interest, for non-seniors. - **80TTB** — **₹50,000** on **all deposit** interest (savings + FD/RD), exclusively for **resident senior citizens**. A senior citizen claims 80TTB, not 80TTA.

A10. Which Chapter VI-A deductions survive under the default new regime u/s 115BAC? Almost all VI-A deductions are **forfeited**, with the key exceptions of **80CCD(2)** (employer NPS), **80CCH(2)** (Agnipath Seva Nidhi), and **80JJAA** (additional employee cost). The savings-linked reliefs (80C, 80D, 80G, 80TTA, etc.) are unavailable under the new regime. *(Confirm current carve-outs for AY)*

Deductions map (5 policy families)



SECTION B — Graded Computational Problems

B1 (Easy) — 80C basket and the 80CCE cap

Mr. Rao (age 45, old regime) pays: LIC premium ₹40,000 (policy sum assured ₹5,00,000), PPF ₹80,000, principal repayment of housing loan ₹60,000, tuition fees for 2 children ₹50,000, ELSS ₹30,000. Compute his 80C deduction.

Answer. | Item | Section | Eligible | |---|---|---| | LIC premium ($\leq 10\%$ of SA, so full ₹40,000 allowed) | 80C | 40,000 | | PPF | 80C | 80,000 | | Housing-loan principal | 80C | 60,000 | | Tuition fees (2 children, actual) | 80C | 50,000 | | ELSS | 80C | 30,000 | | **Gross eligible** | | **2,60,000** |

- 80CCE overall cap = **₹1,50,000**.
- **Deduction u/s 80C = ₹1,50,000** (excess ₹1,10,000 lapses). *(Cap — confirm for AY)*

B2 (Easy–Moderate) — 80CCD interaction, all three limbs

Ms. Iyer (Central Govt. employee) has salary (Basic+DA) ₹10,00,000. Contributions: her own NPS ₹1,20,000; employer NPS ₹1,40,000; PPF ₹50,000; additional NPS claimed under 80CCD(1B) ₹50,000. Compute total VI-A savings deduction.

Answer. - **80CCD(1)** (own NPS) — limited to 10% of salary = ₹1,00,000; she contributed ₹1,20,000, so ₹1,00,000 counts here (balance ₹20,000 diverted below). - **80C (PPF) + 80CCD(1)** = 50,000 + 1,00,000 = ₹1,50,000 → hits 80CCE cap exactly. - **80CCD(1B)** — extra ₹50,000, outside cap. She has ₹20,000 leftover own-NPS + earmarks; she can claim the full **₹50,000** (she contributed ₹1,20,000 total own; 1,00,000 used in (1), 20,000 spare — plus she designated ₹50,000, but only ₹1,20,000 exists). Available for (1B) = 1,20,000 – 1,00,000 = **₹20,000**. - **80CCD(2)** (employer, Central Govt → 14% of salary = ₹1,40,000 limit) = **₹1,40,000**, fully outside the cap.

Total = 1,50,000 (80CCE) + 20,000 (1B) + 1,40,000 (2) = ₹3,10,000. (10%/14% and ₹50,000 — confirm for AY.)

B3 (Moderate) — 80D across generations

Dr. Mehta (age 52) pays: own family floater premium ₹28,000; preventive health check-up for family ₹6,000; premium for parents aged 68 ₹55,000; medical expenditure on the same parents ₹10,000. Compute 80D.

Answer. *Self/family block (non-senior, cap ₹25,000):* - Premium 28,000 + check-up 6,000 = 34,000, but check-up capped at ₹5,000 → 28,000 + 5,000 = 33,000, restricted to **₹25,000**.

Parents block (senior, cap ₹50,000): - Premium 55,000 → restricted to **₹50,000**. (Medical expenditure ₹10,000 not additionally allowed once the ₹50,000 ceiling is exhausted by premium.)

80D deduction = 25,000 + 50,000 = ₹75,000. (Ceilings — confirm for AY.)

B4 (Moderate) — 80DD vs 80DDB vs 80U in one return

Mr. Shah (age 40, resident) incurs: ₹90,000 on medical treatment + deposit for his dependant brother with 45% disability; ₹1,20,000 on cancer treatment of his father (age 66), of which ₹30,000 reimbursed by insurer; and Mr. Shah himself has 82% disability. Compute deductions.

Answer. - **80DD** (dependant, 45% = normal disability, ≥40%): **fixed ₹75,000** (actual ₹90,000 irrelevant). - **80DDB** (father, senior citizen, specified disease): actual ₹1,20,000, cap ₹1,00,000, less reimbursement ₹30,000 = **₹70,000**. - **80U** (assessee, 82% = severe disability, 80%+): **fixed ₹1,25,000**.

Total = 75,000 + 70,000 + 1,25,000 = ₹2,70,000. (Fixed amounts and senior cap — confirm for AY.)

B5 (Exam-hard) — 80G with qualifying limit and cash rule

Mr. Verma's GTI = ₹8,00,000. He also has a short-term capital loss carried into GTI of ₹0 (ignore). Donations: (a) PM National Relief Fund ₹50,000; (b) approved local charity (50%, subject to limit) ₹90,000 by cheque; (c) a temple of national importance (100%, subject to limit) ₹40,000; (d) ₹5,000 cash to a school fund (50%, with limit). Deductions already claimed under other VI-A sections: ₹1,50,000 (80C). Compute 80G.

Answer. Step 1 — Adjusted Total Income (ATI) = GTI – deductions under VI-A *other than 80G* – LTCG/STCG u/s 111A – certain incomes. ATI = 8,00,000 – 1,50,000 = **₹6,50,000**. **Qualifying limit = 10% of ATI = ₹65,000.**

Step 2 — Cash rule: donation (d) ₹5,000 in **cash exceeds ₹2,000 → fully disallowed.**

Step 3 — 100% without limit: PMNRF ₹50,000 → deduction **₹50,000** (no ceiling).

Step 4 — "with qualifying limit" pool (items b and c): - Gross donations subject to limit = 90,000 (50%) + 40,000 (100%) = ₹1,30,000. - Restricted to qualifying limit **₹65,000**. Adjust *100%-category first* to maximise

relief: - Temple 100% → ₹40,000 allowed at 100% = **₹40,000** (uses ₹40,000 of the ₹65,000 room). - Remaining room ₹25,000 → charity 50%: eligible amount ₹25,000 × 50% = **₹12,500**.

Step 5 — 80G total = 50,000 + 40,000 + 12,500 = **₹1,02,500**. (Cash limit ₹2,000, 10% ATI — confirm for AY.)

B6 (Exam-hard) — 80GG rent, senior-citizen 80TTB, and the GTI ceiling

Mr. Nair (age 63, resident, old regime, self-employed, no HRA) reports: business income ₹4,60,000; savings interest ₹8,000; FD interest ₹70,000. He pays house rent ₹18,000/month and donates ₹20,000 to PMNRF. Compute Total Income.

Answer. - GTI = 4,60,000 + 8,000 + 70,000 = **₹5,38,000**.

80GG (rent, no HRA): least of — 1. ₹5,000 × 12 = **₹60,000**; 2. 25% of ATI; ATI for 80GG = GTI – VI-A (except 80GG) – LTCG/STCG-special. VI-A others here = 80TTB + 80G (computed below). Provisionally ATI ≈ 5,38,000 – 50,000 (80TTB) – 20,000 (80G) = 4,68,000 → 25% = **₹1,17,000**; 3. Rent paid – 10% of ATI = 2,16,000 – 46,800 = **₹1,69,200**. Least = **₹60,000**. (₹5,000/month — confirm for AY.)

- **80TTB** (senior, all deposit interest, cap ₹50,000): interest 8,000 + 70,000 = 78,000 → **₹50,000**. (80TTA not available to a senior.)
- **80G** (PMNRF, 100%, no limit) = **₹20,000**.

Total deductions = 60,000 + 50,000 + 20,000 = **₹1,30,000** (well within GTI, s.80A satisfied). **Total Income** = 5,38,000 – 1,30,000 = **₹4,08,000**. (All ceilings — confirm for AY.)

SECTION C — Past-Paper-Style Full Questions

C1. "Compute deductions under Chapter VI-A"

Q. Mr. Kabir (age 35, resident, **old regime**) furnishes for the year: GTI ₹15,00,000 (includes LTCG on listed shares u/s 112A ₹1,00,000). Investments/payments: PPF ₹1,50,000; NPS own ₹60,000; employer NPS ₹80,000 (private employer, salary Basic+DA ₹7,00,000); health insurance self ₹22,000; education-loan interest ₹45,000; donation to a 50%-with-limit charity ₹60,000 (cheque). Compute total deductions and Total Income.

Model Answer. Step 1 — 80C/80CCE: PPF ₹1,50,000 alone hits the ₹1,50,000 cap; own NPS ₹60,000 cannot fit here → its 80CCD(1) portion is fully absorbed, leaving room only in 80CCD(1B). - 80CCD(1B): ₹50,000 of the own NPS → **₹50,000**. (Balance ₹10,000 lapses.) - **80CCD(2)** (private employer, 10% of ₹7,00,000 = ₹70,000): contribution ₹80,000 restricted → **₹70,000** (outside cap).

Step 2 — 80D: ₹22,000 (non-senior, within ₹25,000) → **₹22,000**.

Step 3 — 80E: education-loan interest, no ceiling → **₹45,000**.

Step 4 — 80G: - ATI = GTI – other VI-A – LTCG u/s 112A = 15,00,000 – (1,50,000 + 50,000 + 70,000 + 22,000 + 45,000) – 1,00,000 = 15,00,000 – 3,37,000 – 1,00,000 = **₹10,63,000**. - Qualifying limit = 10% = ₹1,06,300; donation ₹60,000 < limit; 50% allowed = **₹30,000**.

Step 5 — Totals. | Section | Amount | |---|---| | 80C (via 80CCE) | 1,50,000 | | 80CCD(1B) | 50,000 | | 80CCD(2) | 70,000 | | 80D | 22,000 | | 80E | 45,000 | | 80G | 30,000 | | **Total VI-A** | **3,67,000** |

Total Income = 15,00,000 – 3,67,000 = **₹11,33,000** (of which ₹1,00,000 LTCG taxed at the special s.112A rate; note VI-A deductions are **not** allowed against 112A LTCG — the LTCG stays taxed separately). (Limits/rates — confirm for AY.)

C2. Theory — "Explain the treatment of Chapter VI-A under the new tax regime."

Model Answer. Under **s.115BAC** (default regime from AY 2024-25), the taxpayer forgoes most exemptions and deductions in exchange for concessional slab rates. **Chapter VI-A deductions are broadly not available**, so the savings-linked reliefs — **80C, 80CCC, 80CCD(1), 80D, 80DD, 80DDB, 80E, 80G, 80GG, 80TTA, 80TTB, 80U** — cannot be claimed. The Act deliberately preserves a short list that reflects *employer-funded or employment-generating* policy goals: **80CCD(2)** (employer NPS), **80CCH(2)** (Agnipath Corpus Fund contribution), and **80JJAA** (deduction for additional employee cost). A taxpayer wanting the full 80C/80D basket must **opt out** into the old regime by the due date (business income cases requiring Form 10-IEA). (*Carve-out list — confirm for AY.*)

C3. Theory — "80DD is a fixed deduction; 80DDB is expenditure-based. Justify."

Model Answer. **80DD** rewards maintenance of a dependant with disability. Because ongoing care costs are diffuse and hard to document, the law grants a **flat ₹75,000 (₹1,25,000 severe)** irrespective of actual spend — certainty over precision, requiring only Form 10-IA certification. **80DDB** targets episodic, high-cost **treatment of specified diseases**; here the cost is documentable, so the deduction is **actual expenditure capped at ₹40,000 (₹1,00,000 senior), net of reimbursement** to prevent double relief. The design difference mirrors the difference between a recurring status (disability) and a discrete event (treatment). (*Amounts — confirm for AY.*)

SECTION D — MCQs / Case Scenarios

D1. Aggregate Chapter VI-A deduction can, at most, reduce GTI to — (a) a loss (b) nil (c) 50% of GTI (d) basic exemption limit. **Ans: (b).** *Reason:* s.80A — deductions cannot exceed GTI; they never create a loss.

D2. Employer's NPS contribution for a **State Government** employee is deductible u/s 80CCD(2) up to — (a) 10% of salary (b) 14% of salary (c) ₹50,000 (d) ₹1,50,000. **Ans: (b).** *Reason:* Govt-employer contribution limit is 14% of salary; outside the 80CCE cap. (*Confirm for AY.*)

D3. A ₹3,000 **cash** donation to a fund eligible for 50% deduction u/s 80G gives a deduction of — (a) ₹1,500 (b) ₹3,000 (c) ₹0 (d) ₹300. **Ans: (c).** *Reason:* Cash donation exceeding ₹2,000 is wholly disallowed u/s 80G(5D).

D4. A resident senior citizen with savings interest ₹9,000 and FD interest ₹60,000 gets a deduction of — (a) ₹10,000 u/s 80TTA (b) ₹50,000 u/s 80TTB (c) ₹69,000 (d) ₹60,000. **Ans: (b).** *Reason:* Seniors claim 80TTB (cap ₹50,000 on all deposit interest), not 80TTA. (*Confirm for AY.*)

D5. Which survives under the default regime u/s 115BAC? (a) 80C (b) 80D (c) 80CCD(2) (d) 80TTB. **Ans: (c).** *Reason:* Employer NPS contribution is among the few VI-A deductions retained.

D6. Interest on a loan for **higher education** is deductible u/s 80E for — (a) 5 years (b) 7 years (c) 8 years or until interest fully paid, whichever earlier (d) indefinitely. **Ans: (c).** *Reason:* 80E relief runs for a maximum of 8 assessment years from the initial year.

D7. Case scenario. Mrs. Bose (age 61, resident, old regime): GTI ₹6,00,000; pays own mediclaim ₹48,000 and incurs ₹22,000 on preventive check-ups for herself. Her 80D deduction is — (a) ₹70,000 (b) ₹50,000 (c) ₹53,000 (d) ₹25,000. **Ans: (b).** *Reason:* Senior-citizen self ceiling is ₹50,000; premium 48,000 + check-up (capped ₹5,000) = 53,000, restricted to ₹50,000. (*Confirm for AY.*)

D8. For computing the 80G qualifying limit, "Adjusted Total Income" is GTI reduced by — (a) all VI-A deductions including 80G (b) VI-A deductions *except* 80G, and specified special-rate incomes (c) only 80C (d) nothing. **Ans: (b).** *Reason:* ATI excludes 80G itself and incomes like LTCG/111A STCG to prevent circularity.

Quick self-verification

- B1: 80C gross 2.60L → capped 1.50L. ✓
- B5: $50,000 + 40,000 + 12,500 = 1,02,500$. ✓
- B6: $60,000 + 50,000 + 20,000 = 1,30,000 < \text{GTI } 5,38,000$. ✓
- C1: $1,50,000 + 50,000 + 70,000 + 22,000 + 45,000 + 30,000 = 3,67,000$; TI = 11,33,000. ✓

End of Q&A — Deductions under Chapter VI-A.

Chapter 10 — Advance Tax, TDS & TCS

Flag: All rates, thresholds and instalment percentages below reflect the law as commonly examined for AY 2025-26. Always re-verify the exact figures and the applicable Assessment Year against current ICAI study material before the exam, as thresholds (especially in the 194-series) are amended almost every Finance Act.

1. The Problem

Imagine you are the Government of India. Your entire machinery — defence, roads, salaries of civil servants, subsidies — runs on a **daily** cash outflow. Money leaves the treasury every single day.

Now look at how income tax "naturally" arrives. A person earns income throughout the year (April to March). Under the pure structure of the Act, they compute total income *after* the year ends, and file a return by 31st July (or later). Tax would then trickle in as one lump sum, **many months after** the income was earned.

This creates three brutal problems:

1. **A cash-flow mismatch for the State.** The government spends continuously but would receive tax only once a year, in arrears. It would have to borrow to bridge every month — expensive and unstable.
2. **A collection risk.** Give a person 15 months between earning ₹50 lakh and paying tax on it, and a large fraction of that money is gone — spent, invested illiquidly, or deliberately hidden. A promise to pay later is worth far less than money taken today.
3. **An information / evasion problem.** If the *only* touchpoint between the taxpayer and the department is a self-declared return, the department is blind. It has no independent record of who earned what. The informal economy simply never shows up.

So the core problem is this: **How does the State get a steady, reliable, hard-to-evade stream of tax — instead of a delayed, dodgeable lump sum?**

The answer is a philosophy: **do not wait for the year to end and do not rely on the taxpayer alone.**

Collect tax *as income arises* (during the year, in instalments), and collect it *where income arises* (at the point a payment is made, from a third party who has no incentive to hide it). This chapter is the machinery of that philosophy: **Advance Tax, TDS, and TCS.**

2. The Core Idea

There are exactly three mechanisms, and they differ on **who** pays and **when**:

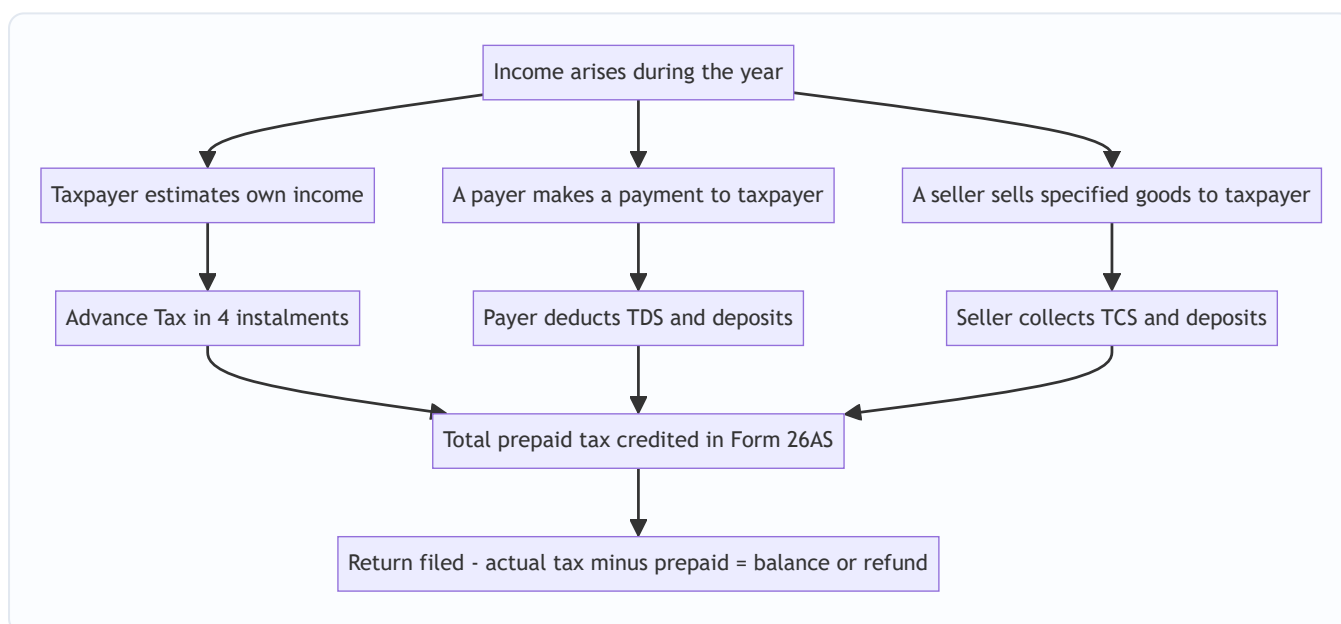
Mechanism	Who deposits the tax	When	Governing sections
Advance Tax	The taxpayer himself , on his <i>own estimated</i> income	<i>During</i> the year, in 4 instalments	Sec 207–211, 234B, 234C
TDS (Tax Deducted at Source)	The payer deducts before paying the recipient	<i>At the moment of payment/credit</i>	Sec 192–196, 234E, 271H
TCS (Tax Collected at Source)	The seller collects extra from the buyer	<i>At the moment of sale/receipt</i>	Sec 206C

The unifying idea — the one sentence to hold in your head — is:

"Pay-as-you-earn" and "pay-where-you-earn." Advance tax is the taxpayer prepaying on his own estimate; TDS/TCS is a *third party* skimming tax off a transaction and depositing it on the taxpayer's behalf.

Everything else — every rate, every threshold, every due date — is just detail hung on this skeleton. The final settlement happens when the return is filed: the taxpayer computes actual total tax, subtracts everything already paid (advance tax + TDS + TCS, all visible in **Form 26AS / the Annual Information Statement**), and pays the balance (self-assessment tax u/s 140A) or claims a refund.

Figure 10.1 — The three streams all feed one reservoir: the taxpayer's final liability.



3. Why It's Built This Way

Before any section numbers, let us derive *why* each design choice exists. If you understand the **WHY**, the numbers become obvious rather than memorised.

Why instalments for advance tax, and why front-loaded? The government needs steady cash across the year, so one payment won't do. But why is the schedule *back-loaded* toward larger cumulative percentages later (15% → 45% → 75% → 100%)? Because early in the year the taxpayer genuinely *cannot* know his income well — a businessman in June has little idea of his March profit. So the law asks for only 15% by June, then

progressively more as the picture clarifies, reaching 100% by 15th March, two weeks before year-end. It balances the State's cash need against the fairness of not demanding tax on income that hasn't crystallised.

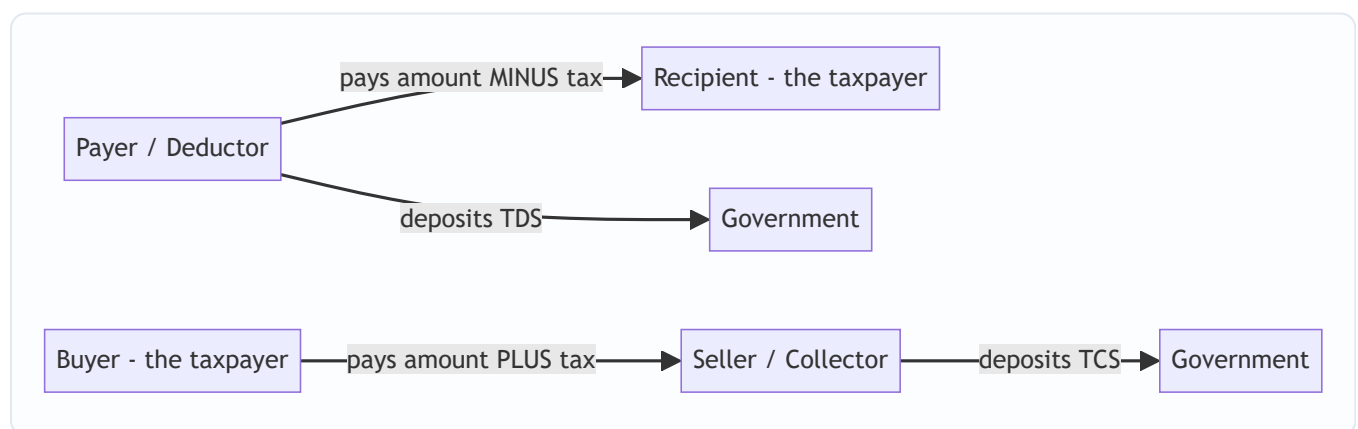
Why does TDS exist at all when advance tax already covers "pay as you earn"? Because advance tax relies on the taxpayer's *honesty and diligence*. TDS removes both from the equation. When your employer pays your salary, *he* deducts the tax — you never touch it. The person with the incentive to comply (the payer, who faces penalties and disallowance) is different from the person with the incentive to evade (the recipient). This separation is the genius of source-based collection. It also generates a **paper trail**: every TDS entry tells the department "X paid Y this much," widening the tax net to people who would never have filed.

Why thresholds (e.g., no TDS on rent below a limit)? If every ₹100 payment triggered TDS, the compliance cost (deduct, deposit, file quarterly returns, issue certificates) would crush small payers and clog the system for trivial revenue. Thresholds are a **cost-benefit cutoff**: deduct only where the amount is large enough that the revenue justifies the friction.

Why different rates for different payments (1%, 2%, 5%, 10%, 30%)? TDS is only an *estimate* of final liability, deducted by someone who doesn't know the recipient's full tax position. So the rate roughly tracks the *expected effective tax* on that stream. A contractor's gross receipt is mostly turnover with thin margins → low rate (1–2%). Professional fees are almost pure income → higher rate (10%). Salary → the *actual* slab rate, because the employer *can* compute it precisely. Lottery winnings → flat 30%, because they are taxed at the maximum flat rate anyway.

Why TCS (collect at source) in addition to TDS (deduct at source)? TDS works when someone *pays* the taxpayer. But what about a person who *spends* big — buying a car, buying liquor-vending rights, remitting money abroad? There is no incoming payment to deduct from. So the mirror-image tool: the **seller collects** an extra slice from the buyer. It catches high-value spenders and traders in sectors historically prone to under-reporting (scrap, minerals, alcohol).

Figure 10.2 — TDS vs TCS are mirror images around the transaction.



4. Full Technical Content

4A. ADVANCE TAX (Sections 207–211, 234B, 234C)

Sec 207 — Liability. Advance tax is payable on the **current income** (income of the year for which it is being computed), estimated by the assessee.

Sec 208 — The threshold (the WHY of ₹10,000). Advance tax is payable only if the **estimated tax liability for the year is ₹10,000 or more**. Reason: for tiny liabilities, the machinery of four instalments is disproportionate; a small taxpayer can settle at return-filing without harming the State's cash flow.

The senior-citizen relief (Sec 207(2)). A **resident individual aged 60 or above** who does **NOT** have income under the head "Profits and Gains of Business or Profession (PGBP)" is **exempt from advance tax entirely**. Why? A retired senior's income is mostly interest/pension, on which TDS already applies, and asking a pensioner to run quarterly estimates is an unfair burden. Note the two conditions — *resident + no business income*. A senior with business income is NOT exempt.

Sec 209 — Computation.

```
Estimated total income → Tax on it at applicable rates
+ surcharge + health & education cess (4%)
- relief/rebate (e.g. 87A)
- TDS / TCS deductible on your income
= Advance tax payable
```

The critical logic: you subtract TDS/TCS **that is deductible/collectible** on your income, because that tax is already being handled by someone else. You only prepay the *gap*.

Sec 211 — Instalments and WHY the schedule looks like this.

For **all assessees** (except those covered by presumptive taxation below):

Due date	Cumulative advance tax payable	Logic
On or before 15 June	15%	Barely into the year; only a rough sense of income
On or before 15 September	45%	Half-year visible; catch up
On or before 15 December	75%	Three-quarters clear
On or before 15 March	100%	Full-year estimate; final top-up before 31 March

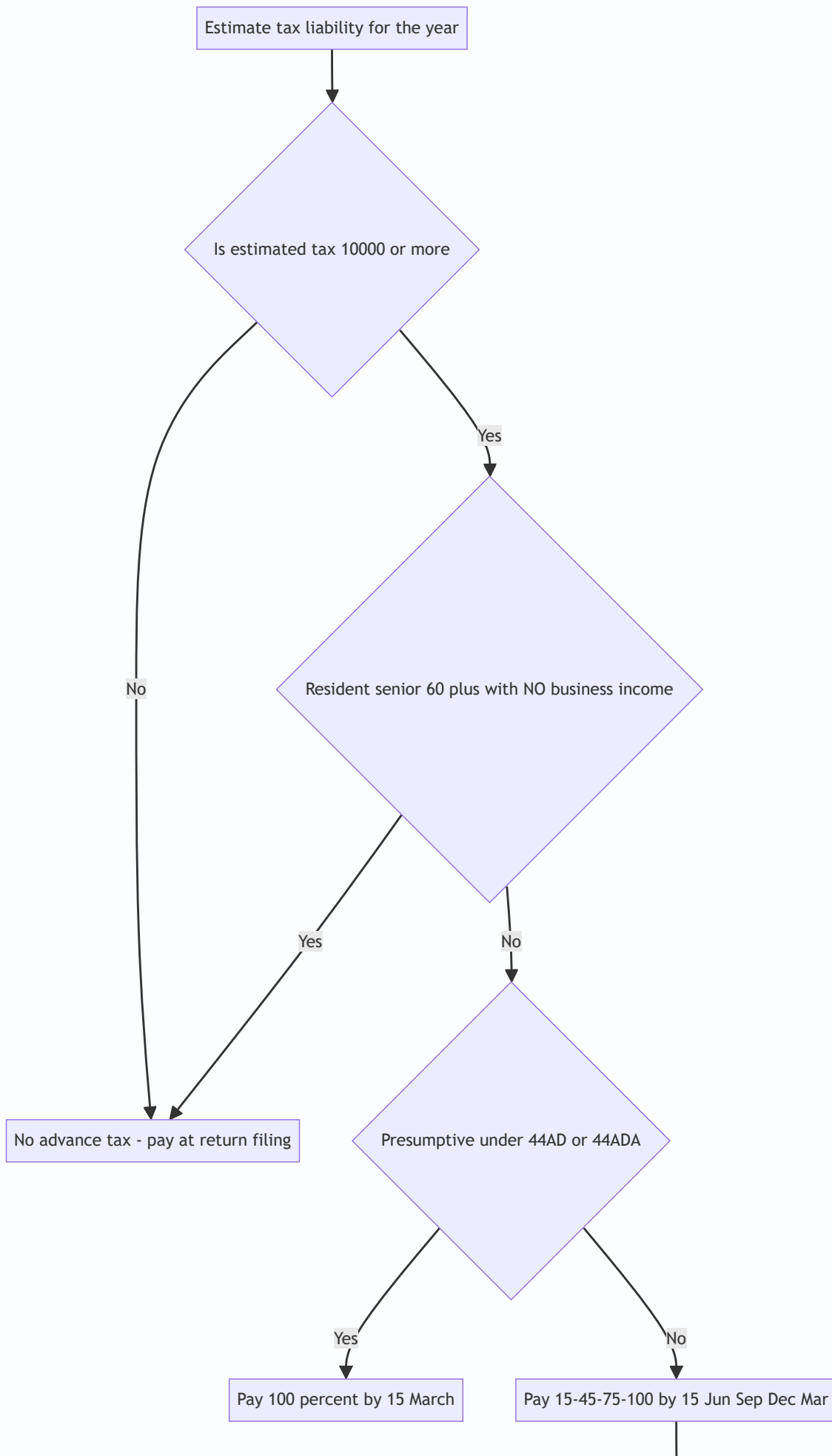
Presumptive taxpayers (Sec 44AD / 44ADA): they pay **100% in a single instalment by 15 March**. Why the concession? Their income is a fixed presumptive percentage of turnover, knowable only near year-end, and the whole point of presumptive schemes is *reduced compliance*. Splitting into four would defeat that.

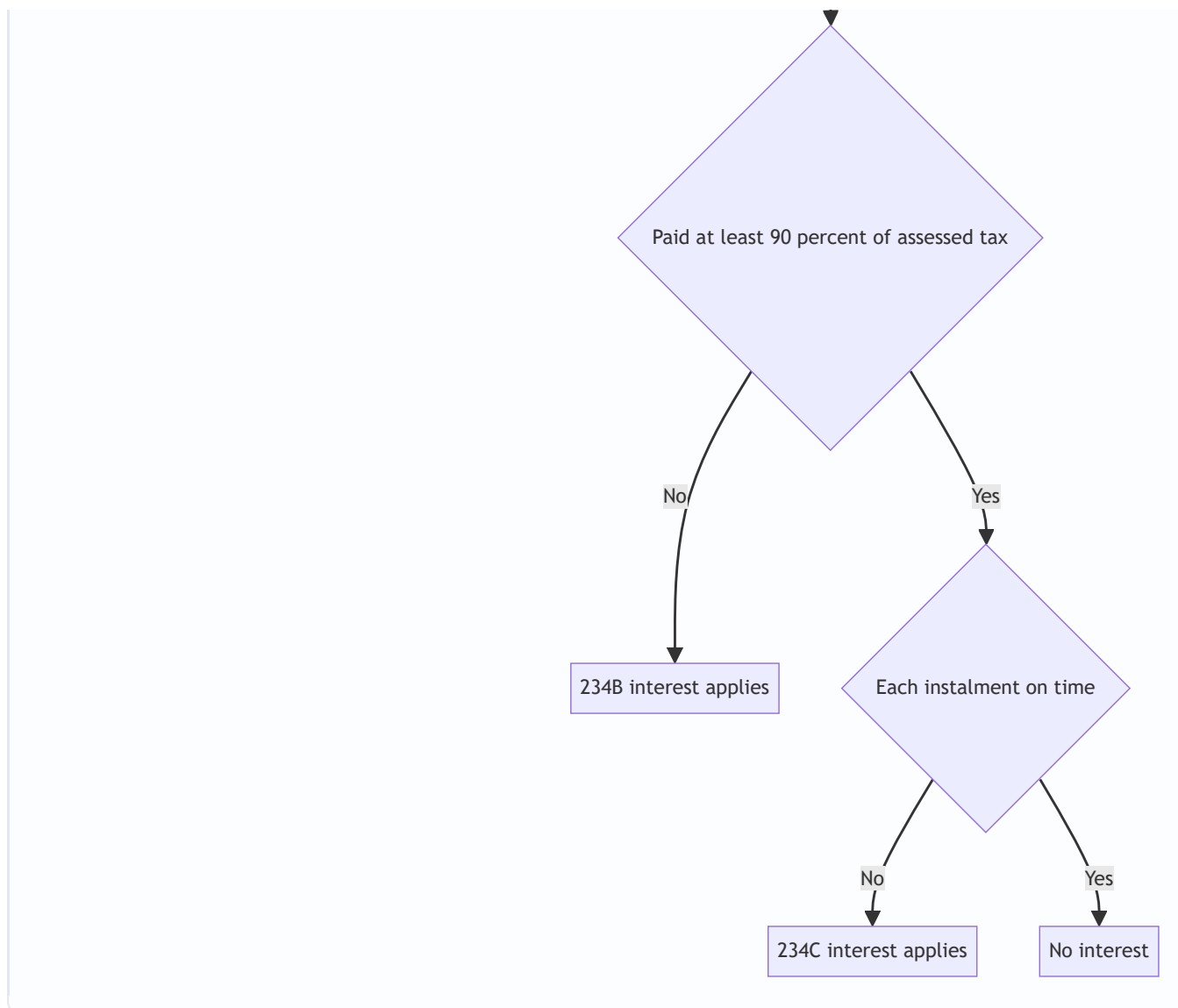
Memory hook — "15-45-75-100 on the 15th of J-S-D-M": every instalment falls on the **15th**, in **June, September, December, March**. The cumulative jumps by **30 percentage points** each time after the first (15, +30=45, +30=75, +25=100 — the last step is only 25 because you're already near the top).

Sec 234B — Interest for default in payment of advance tax. - *Trigger:* advance tax paid is **less than 90%** of assessed tax (or no advance tax paid at all, though liable). - *Rate:* **1% per month or part of a month**. - *Period:* from **1st April** of the AY to the date of determination of income / payment of self-assessment tax. - *Base:* on the **shortfall** (assessed tax minus advance tax paid). - *WHY 90%, not 100%?* Estimating one's own income perfectly is impossible; the law tolerates a 10% margin of error before penalising.

Sec 234C — Interest for deferment (wrong *timing* of instalments). - *Trigger:* an instalment is **short** of the required cumulative percentage on its due date. - *Rate:* **1% per month.** - *Period:* **3 months** for the first three instalments (June, Sept, Dec) and **1 month** for the last (March). - *WHY the tolerance bands?* For the June and September instalments the law only requires you to have paid **12% and 36%** respectively (not 15% and 45%) to escape 234C — because early estimation is hard. No 234C is charged on shortfalls arising from **capital gains, casual income (lottery), or first-time business income** that could not be foreseen — you compute that portion in the instalment *after* it arose.

Figure 10.3 — Advance tax decision flow.





4B. TDS — Tax Deducted at Source (Sections 192–196)

The general mechanics (why the timing rule is "payment OR credit, whichever is earlier"): Most non-salary TDS sections say deduct at the time of **credit to the account of the payee OR payment, whichever is earlier**. Reason: to stop a payer from parking a liability in the books (crediting the payee) while indefinitely delaying the actual cash payment — and thereby delaying TDS. The law grabs tax at the *earlier* event.

Key sections you must know (rates for AY 2025-26 — verify against current ICAI):

Section	Nature of payment	Threshold (no TDS below)	Rate	The WHY of the rate
192	Salary	Basic exemption / where tax payable	Average rate (actual slab)	Employer knows full salary → can compute exact tax
192A	Premature PF withdrawal	₹50,000	10%	Discourages early withdrawal; flat estimate
194A	Interest (other than securities) — banks, etc.	₹40,000 (₹50,000 for seniors); ₹5,000 others	10%	Interest is pure income
194	Dividend	₹5,000	10%	Dividend is pure income (taxable in shareholder's hands)
194C	Payment to contractor/sub-contractor	₹30,000 single / ₹1,00,000 aggregate p.a.	1% (individual/HUF payee), 2% (others)	Mostly turnover, thin margin → low rate
194H	Commission or brokerage	₹15,000	2% (recently reduced from 5%)	Commission is income but modest margins
194I	Rent	₹2,40,000 p.a.	2% (plant & machinery), 10% (land/building/furniture)	Rent is income; P&M lower as it carries depreciation
194J	Professional / technical fees, royalty	₹30,000	10% (2% for technical services / call-centres)	Professional fee ≈ pure income → higher rate
194IA	Transfer of immovable property (not agri land)	₹50,00,000	1%	High-value asset; catch capital gains
194IB	Rent by individual/HUF (not liable to audit)	₹50,000 per month	2%	Brings big personal rents into the net
194Q	Purchase of goods (buyer with turnover > ₹10 cr)	₹50,00,000	0.1%	Mirror of 206C(1H); trade paper trail
194O	E-commerce operator to participant	₹5,00,000 (individual/HUF)	1%	Captures the gig / online economy
194B / 194BB	Winnings — lottery, crossword, horse races	₹10,000 (aggregate for 194B)	30%	Taxed at max flat rate anyway; windfall

Section	Nature of payment	Threshold (no TDS below)	Rate	The WHY of the rate
195	Payment to non-resident	No threshold	Rates in force / DTAA	Non-resident may vanish; catch tax before it leaves India

Sec 192 in depth (salary). The employer must estimate the employee's total salary income for the year, allow eligible deductions (if the employee opts for the old regime and submits proofs), compute tax on the estimate, and deduct **1/12th each month** (the "average rate"). This is the *only* TDS section that uses the actual slab rate rather than a flat rate — because the employer has full information. The employee can report other income (and TDS on it) to the employer under Sec 192(2B) so that one consolidated deduction happens.

Sec 197 — Lower / Nil deduction certificate. If TDS at the normal rate would exceed the recipient's actual liability (e.g., a loss-making company still gets TDS on its interest), it can apply to the AO for a certificate to deduct at a lower or nil rate. This fixes the over-deduction problem at source rather than through a slow refund.

Sec 206AA — No PAN, higher TDS. If the deductee does not furnish PAN, TDS is deducted at the **higher of** the normal rate **or 20%**. Why? PAN is the thread that links the TDS to a person. No PAN = the department can't trace the credit = it penalises with a punitive rate to force PAN disclosure.

Due dates for depositing TDS. - Tax deducted in **any month (April–February): by the 7th of the next month.** - Tax deducted in **March: by 30th April.** (Extra time given because the year just closed and books are being finalised.)

Quarterly TDS returns (statements): Form 24Q (salary), 26Q (other resident payments), 27Q (non-residents) — filed quarterly, due generally by the end of the month following the quarter (Q4 by 31 May).

Consequences of TDS default (the enforcement logic — three layers of pain):

- Interest u/s 201(1A):** - Failure to **deduct: 1% p.m.** from the date tax was deductible to the date it is actually deducted. - Failure to **deposit** (after deducting): **1.5% p.m.** from the date of deduction to the date of deposit. *Why higher (1.5%)?* Because failing to deposit after deducting means you *held the government's money* — that is far worse than merely failing to deduct, so it is punished harder.
- Disallowance u/s 40(a)(ia):** if TDS is not deducted/deposited, **30% of the expenditure is disallowed** while computing the payer's business income (100% for payments to non-residents u/s 40(a)(i)). This is the sharpest teeth — it hits the payer's *own* taxable profit, aligning his incentive with compliance. The disallowance is reversed in the year the TDS is finally paid.
- Fee u/s 234E and penalty u/s 271H** for late/non-filing of TDS returns: **₹200 per day** (234E, capped at the TDS amount) plus penalty ₹10,000–₹1,00,000 (271H).

Additionally, **Sec 201** treats a defaulting deductor as an **"assessee in default"**, and failure to deposit tax deducted can attract **prosecution u/s 276B** (rigorous imprisonment). The escalation from interest → disallowance → penalty → prosecution is deliberate: the State makes non-compliance progressively unbearable.

4C. TCS — Tax Collected at Source (Section 206C)

The seller of certain goods/rights collects an *additional* amount from the buyer at the time of sale/receipt and deposits it. Key items and rates (verify current):

Item (Sec 206C)	Rate
Alcoholic liquor for human consumption	1%
Timber / other forest produce	2.5%
Scrap	1%
Tendu leaves	5%
Minerals (coal, lignite, iron ore)	1%
Motor vehicle above ₹10,00,000	1%
206C(1H) — Sale of goods, seller turnover > ₹10 cr, buyer receipts > ₹50 lakh	0.1%
206C(1G) — Remittance under LRS / overseas tour package (above ₹7 lakh)	5% (20% for tour packages / higher LRS as amended)

The logic of the item list: notice these are historically **cash-heavy, under-reported, or high-value discretionary** categories — liquor, scrap, forest produce, luxury cars, foreign travel. TCS drags them into a documented trail. TCS collected is credited to the buyer and adjusted against his final tax, exactly like TDS.

Due date to deposit TCS: within **7 days** from the end of the month of collection. **Quarterly return:** Form 27EQ.

5. Worked Examples

Example 1 — Advance tax: basic instalment schedule (easy)

Facts: Mr. Arjun (age 40, salaried + FD interest) estimates total tax liability for AY 2025-26 at **₹1,00,000**. TDS already deducted by his bank/employer during the year = **₹40,000**. Compute advance tax and instalments.

Step 1 — Is advance tax payable? Net liability after TDS = $1,00,000 - 40,000 = ₹60,000 \geq ₹10,000 \rightarrow$ Yes, advance tax applies (Sec 208).

Step 2 — Advance tax base (Sec 209). Advance tax payable = ₹60,000 (tax minus TDS deductible on his income).

Step 3 — Instalments (Sec 211):

Due date	Cumulative %	Cumulative amount	Paid this instalment
15 Jun	15%	9,000	9,000
15 Sep	45%	27,000	18,000
15 Dec	75%	45,000	18,000
15 Mar	100%	60,000	15,000

Reconciliation: 9,000 + 18,000 + 18,000 + 15,000 = **₹60,000** ✓ Matches net liability.

Example 2 — 234C interest for deferment (medium)

Facts: Ms. Beena's assessed tax (net of TDS) for AY 2025-26 is **₹2,00,000**. She actually paid advance tax as: 15 Jun — ₹20,000; 15 Sep — ₹60,000; 15 Dec — ₹1,30,000; 15 Mar — ₹2,00,000 (cumulative). No capital gains/casual income. Compute 234C interest.

We test each instalment against the required cumulative amount. (For June/Sept, the 234C "safe harbour" is **12%** and **36%**; if she paid at least that, no interest for that instalment even if below 15%/45%.)

Instalment	Required cumulative	Safe-harbour cumulative	Actually paid (cum.)	Shortfall?	Interest
15 Jun	15% = 30,000	12% = 24,000	20,000	Yes (< 24,000)	1% × 3 months × shortfall
15 Sep	45% = 90,000	36% = 72,000	60,000	Yes (< 72,000)	1% × 3 months × shortfall
15 Dec	75% = 1,50,000	(75% strict)	1,30,000	Yes	1% × 3 months × shortfall
15 Mar	100% = 2,00,000	—	2,00,000	No	Nil

Shortfall computation (234C uses the *required %* as the base once the safe-harbour is failed):

- **June:** required 15% = 30,000; paid 20,000; shortfall = 10,000. Interest = 10,000 × 1% × 3 = **₹300**
- **Sept:** required 45% = 90,000; paid 60,000; shortfall = 30,000. Interest = 30,000 × 1% × 3 = **₹900**
- **Dec:** required 75% = 1,50,000; paid 1,30,000; shortfall = 20,000. Interest = 20,000 × 1% × 3 = **₹600**
- **March:** no shortfall → **Nil**

Total 234C interest = 300 + 900 + 600 = ₹1,800.

Note: Because she paid the full ₹2,00,000 by 15 March, **234B does not apply** (she paid ≥ 90% of assessed tax by year-end). 234C punished only the *timing*.

Example 3 — TDS across multiple sections + 201(1A) interest (exam-hard)

Facts: Zenith Pvt. Ltd. made the following payments during FY 2024-25 (AY 2025-26). Determine TDS in each case, then compute interest where a default occurred.

1. Rent for office building: **₹3,60,000** for the year (paid monthly ₹30,000).
2. Fees to a consultant CA (professional): **₹80,000**.
3. Payment to a contractor (a firm) for civil work: single bill **₹1,50,000**.
4. Commission to an agent: **₹40,000**.
5. Interest on a loan from a resident (non-bank): **₹1,00,000**.

Step 1 — Test each against threshold and apply rate:

Payment	Section	Threshold	Crossed?	Rate	TDS
Rent (building) 3,60,000	194I	2,40,000	Yes	10%	36,000
Professional fee 80,000	194J	30,000	Yes	10%	8,000
Contractor (firm) 1,50,000	194C	30,000 single	Yes	2% (payee is firm)	3,000
Commission 40,000	194H	15,000	Yes	2%	800
Interest 1,00,000	194A	5,000 (non-bank)	Yes	10%	10,000

Total TDS to be deducted = 36,000 + 8,000 + 3,000 + 800 + 10,000 = ₹57,800.

Step 2 — Default scenario. Suppose Zenith deducted the ₹8,000 (professional fee) on **10 January 2025** but deposited it only on **15 May 2025** (due date was 7 February 2025). Compute 201(1A) interest.

- It *deducted* on time, so the 1% "failure-to-deduct" interest doesn't apply.
- It *failed to deposit* → **1.5% per month** from date of deduction (10 Jan) to date of deposit (15 May).
- Months (part of a month counts as a full month): Jan, Feb, Mar, Apr, May = **5 months**.
- Interest = 8,000 × 1.5% × 5 = **₹600**.

Step 3 — Consequence beyond interest. If Zenith had *not deducted at all* on the ₹80,000 professional fee, then u/s 40(a)(ia), **30% of ₹80,000 = ₹24,000 would be disallowed** as a deduction while computing Zenith's business income — inflating its taxable profit — until the TDS is eventually paid. This shows why deductors comply: the disallowance often hurts far more than the TDS itself.

Example 4 — Advance tax with a senior citizen twist + 234B (reconciling)

Facts: Mr. Rao, **age 67, resident**, has pension income and bank interest only (**no business income**). Estimated tax for AY 2025-26 = ₹35,000, of which TDS on interest = ₹15,000. Is advance tax payable?

Answer: Although net liability (35,000 – 15,000 = 20,000) exceeds ₹10,000, Mr. Rao is a **resident senior citizen (60+) with NO PGBP income** → **exempt from advance tax u/s 207(2)**. He simply pays ₹20,000 as **self-assessment tax** at return filing, and **no 234B/234C interest** applies to him for non-payment of advance tax.

Contrast: If Mr. Rao *also* ran a small business, the exemption vanishes — he would owe advance tax and face 234B/234C on default. This single condition ("no business income") is a favourite examiner trap.

6. Computation Format

Advance tax computation (Sec 209) — standard format:

Estimated income under each head	XXX
Gross Total Income	XXX
Less: Chapter VI-A deductions	(XXX)
Total Income	XXX
Tax on total income at applicable rates	XXX
Add: Surcharge (if applicable)	XXX
Add: Health & Education Cess @ 4%	XXX
Less: Rebate u/s 87A	(XXX)
Tax liability	XXX
Less: TDS / TCS deductible on income	(XXX)
ADVANCE TAX PAYABLE	XXX
→ split 15% / 45% / 75% / 100%	

234C interest per instalment:

Interest = Shortfall in instalment $\times$ 1% $\times$ (3 months for Jun/Sep/Dec, 1 month for Mar)
Shortfall = Required cumulative advance tax – Advance tax actually paid up to that date
(Safe harbour: 12% by Jun, 36% by Sep escapes 234C)

234B interest:

Interest = (Assessed tax – Advance tax paid) $\times$ 1% $\times$ months from 1 April of AY to date of payment
Applies only if advance tax paid < 90% of assessed tax

201(1A) interest (deductor default):

Not deducted: Amount $\times$ 1% $\times$ months (deductible date $\rightarrow$ actual deduction)
Not deposited: Amount $\times$ 1.5% $\times$ months (deduction date $\rightarrow$ deposit date)

7. Connections

- **To "Computation of Total Income & Tax Liability":** Advance tax/TDS/TCS are *not* new taxes — they are prepayments of the *same* liability computed in earlier chapters. The final tax (Chapter on tax computation) minus these prepayments = balance payable or refund.
- **To PGBP:** Sec 40(a)(ia) disallowance links TDS default directly into business-income computation. A PGBP question can hide a TDS trap.
- **To "Return Filing & Self-Assessment" (Sec 140A):** self-assessment tax is what remains after advance tax + TDS + TCS. Form 26AS / AIS is the reconciliation ledger.

- **To Interest sections 234A/234B/234C:** 234A (late return filing) sits alongside 234B/234C; all are 1% p.m. and often examined together as a combined interest computation.
 - **To Assessment / Refunds:** excess TDS is refunded with interest u/s 244A — the mirror of the interest the taxpayer pays.
-

8. Traps & Examiner Tricks

1. **Senior-citizen advance-tax exemption needs BOTH conditions:** resident **and** no business income. Examiners give a senior with a small business and expect you to *not* exempt him.
 2. **234C safe harbour (12%/36%) vs required (15%/45%):** the tolerance applies only to the *first two* instalments and only decides *whether* interest triggers — once triggered, the shortfall is measured against the **full required %**, not the safe-harbour %.
 3. **234B base is 90%:** paying 89% triggers 234B on the *entire* shortfall from assessed tax; paying 90%+ escapes it entirely. A one-percent miss is expensive.
 4. **194C two rates:** 1% if payee is **individual/HUF**, 2% otherwise. Also two thresholds: ₹30,000 single bill or ₹1,00,000 aggregate in the year.
 5. **194I two rates:** 2% for plant & machinery, 10% for land/building/furniture. Candidates apply a single rate and lose marks.
 6. **"Credit or payment, whichever is earlier":** TDS liability can arise on *crediting* the payee even before cash is paid. Don't wait for payment.
 7. **Deduct vs deposit interest (201(1A)):** 1% for not deducting, **1.5%** for deducting-but-not-depositing. Mixing them up is common.
 8. **No PAN → 20% (Sec 206AA):** if a question says the payee didn't give PAN, ignore the normal rate and apply the higher of normal or 20%.
 9. **Presumptive taxpayers pay 100% by 15 March** — do NOT split them into four instalments.
 10. **TCS is ADDED to the buyer's price; TDS is DEDUCTED from the recipient's payment.** Direction matters in computation.
 11. **March TDS deposit deadline is 30 April** (not 7 April) — a deliberate exception.
 12. **Threshold is on the payment stream, not per bill for aggregate limits** — e.g., 194C's ₹1,00,000 aggregate catches many small bills that individually escape ₹30,000.
-

9. First-Principles Recap

Start from the State's need: **steady, reliable, evasion-proof revenue**. From that single need, everything is derivable:

- Waiting until year-end fails → **collect during the year** → *advance tax*, in instalments front-weighted to reality (15-45-75-100).
- Relying on the taxpayer alone fails → **collect from the payer** → *TDS*, at the earlier of credit/payment, at rates approximating each income stream's tax, above thresholds that justify the friction.
- Some big-money flows are *outgoing* (spending), not incoming → **collect from the seller** → *TCS*, on discretionary/under-reported categories.

- To make all three self-enforcing → **interest (234B/C, 201(1A)) + disallowance (40(a)(ia)) + penalty/prosecution**, escalating in severity, plus **PAN linkage (206AA)** so every rupee is traceable and lands in **Form 26AS/AIS**.

If you can regenerate the schedule, the rates' logic, and the penalty ladder from "the State needs steady, traceable cash," you never have to memorise them.

10. Quick-Revision Sheet

Advance Tax - Payable if estimated tax $\geq$ ₹10,000 (Sec 208). - Exempt: **resident senior (60+) with NO business income** (Sec 207(2)). - Instalments (Sec 211): **15% / 45% / 75% / 100%** by **15 Jun / Sep / Dec / Mar**. - Presumptive (44AD/44ADA): **100% by 15 March**. - **234B**: paid < 90% of assessed tax → 1% p.m. on shortfall from 1 April of AY. - **234C**: short instalment → 1% p.m. $\times$ 3 (first three) / $\times$ 1 (last); safe harbour 12%/36% for Jun/Sep.

TDS — key sections - 192 salary (average slab rate); 194A interest (10%, threshold 40k/50k/5k); 194C contractor (1%/2%, 30k/1L); 194H commission (2%, 15k); 194I rent (2% P&M, 10% others, 2.4L); 194J professional (10%, 30k); 194IA property (1%, 50L); 195 non-resident (rates in force, no threshold). - Timing: **credit or payment, whichever earlier**. - No PAN → **higher of normal or 20%** (206AA). - Deposit: **7th of next month; March by 30 April**. - Returns: 24Q/26Q/27Q quarterly.

TDS default - 201(1A): **1%** (not deducted) / **1.5%** (not deposited) p.m. - 40(a)(ia): **30% expense disallowed** (100% for non-resident u/s 40(a)(i)). - 234E: ₹200/day; 271H penalty ₹10k–₹1L; 276B prosecution.

TCS (206C) - Liquor 1%, scrap 1%, timber 2.5%, tendu 5%, minerals 1%, motor vehicle > ₹10L 1%. - 206C(1H) sale of goods 0.1% (turnover > 10cr, buyer > 50L); 206C(1G) LRS/tour 5%/20%. - **Added** to buyer's price; deposit within **7 days** of month-end; return Form 27EQ.

Final reminder: thresholds and 194-series rates change frequently. Before the exam, cross-check every figure here against the ICAI Study Material and the Finance Act applicable to your Assessment Year.

Q&A — Advance Tax, TDS & TCS

AY flag: All rates, monetary thresholds and instalment percentages below reflect the position generally examined for **AY 2025-26** under the **Income-tax Act, 1961**. The 194-series thresholds and several TDS/TCS rates are amended by almost every Finance Act (e.g., 194H/194-IB rate cuts, revised 194-I(b)/rent limits, LRS/206C(1G) changes). **Re-verify every figure against the current ICAI Study Material / RTP and the Finance Act applicable to your attempt.** All section references are to the Income-tax Act, 1961.

Section A — Concept Check (short Q&A with section citation)

A1. Why does the law collect tax during the year instead of waiting for the return? To give the State a **steady, reliable, hard-to-evade** revenue stream and to cure the cash-flow mismatch of one lump sum in arrears. This "pay-as-you-earn / pay-where-you-earn" philosophy is implemented through **Advance Tax (Sec 207–211)**, **TDS (Sec 192–196)** and **TCS (Sec 206C)**.

A2. When is advance tax payable, and what is the threshold? Advance tax is payable on the **current income** estimated by the assessee [Sec 207] **only if the estimated tax liability for the year is ₹10,000 or more** [Sec 208]. Below ₹10,000 the four-instalment machinery is disproportionate.

A3. Which assessee is fully exempt from advance tax, and on what two conditions? A **resident individual aged 60 or more (senior citizen)** who has **no income under the head PGBP** [Sec 207(2)]. Both conditions — *resident and no business/professional income* — must hold; a senior with business income is not exempt.

A4. State the instalment schedule under Sec 211 for a normal assessee. Cumulative **15% / 45% / 75% / 100%** by **15 June / 15 September / 15 December / 15 March** respectively. A **presumptive** assessee (Sec 44AD / 44ADA) pays **100% in one instalment by 15 March**.

A5. Distinguish Sec 234B from Sec 234C. - **234B** — default in *payment* of advance tax: triggered when advance tax paid is **< 90% of assessed tax**; interest **1% p.m.** on the shortfall from **1 April of the AY** to date of determination/payment. - **234C** — default in *deferment* (wrong timing of instalments): interest **1% p.m.** on each short instalment, for **3 months** (first three instalments) or **1 month** (last), with a safe-harbour of **12%/36%** for the June/September instalments.

A6. What is the general timing rule for deducting TDS on non-salary payments? Deduct at the time of **credit to the payee's account OR actual payment, whichever is earlier** — to stop a payer parking a liability by crediting the payee while delaying cash.

A7. Why does Sec 192 (salary) use the "average rate" rather than a flat rate? Because the **employer has full information** about the employee's salary and eligible deductions, so it can compute the *exact* slab-based tax and deduct **1/12th each month**. Salary is the only TDS stream deducted at actual slab rate.

A8. What is the consequence of the deductee not furnishing PAN? Under **Sec 206AA**, TDS is deducted at the **higher of the normal rate or 20%**. PAN links the credit to a person; no PAN invites a punitive rate to force disclosure.

A9. Contrast the interest for "failure to deduct" versus "failure to deposit" under Sec 201(1A). Failure to **deduct: 1% p.m.** (from date deductible to date deducted). Failure to **deposit** after deducting: **1.5% p.m.** (from date of deduction to date of deposit) — higher, because the deductor is holding the government's money.

A10. What non-interest consequence hits a payer who fails to deduct/deposit TDS on business expenditure? Under **Sec 40(a)(ia)**, **30% of the expenditure is disallowed** while computing business income (100% for payments to non-residents u/s 40(a)(i)), reversed in the year the TDS is finally paid.

A11. What is TCS and how does it differ in direction from TDS? Under **Sec 206C** the **seller collects** an extra amount **from the buyer** on specified goods/rights (liquor, scrap, timber, minerals, motor vehicle > ₹10L, etc.) and deposits it. TCS is **added to** the buyer's price; TDS is **deducted from** the recipient's payment.

A12. What are the TDS/TCS deposit deadlines? TDS deducted in **April–February: by the 7th of the next month**; deducted in **March: by 30 April**. TCS: within **7 days from the end of the month** of collection.

Section B — Graded Computational Problems (full working, self-checked)

B1 (Easy) — Advance tax instalment schedule [Sec 208, 209, 211]

Mr. Arjun (age 40, salaried + FD interest) estimates total tax liability for AY 2025-26 at **₹1,00,000**; TDS deducted by bank/employer = **₹40,000**. Compute advance tax and its instalments.

Answer. - Net liability after TDS = $1,00,000 - 40,000 = ₹60,000 \geq ₹10,000 \rightarrow$ advance tax payable [Sec 208].
- Advance tax base [Sec 209] = ₹60,000 (tax minus TDS deductible on his income).

Due date	Cumulative %	Cumulative amount	Instalment
15 Jun	15%	9,000	9,000
15 Sep	45%	27,000	18,000
15 Dec	75%	45,000	18,000
15 Mar	100%	60,000	15,000

Check: $9,000 + 18,000 + 18,000 + 15,000 = ₹60,000$. ✓

B2 (Easy-Moderate) — Senior-citizen exemption [Sec 207(2)]

Mr. Rao, **age 67, resident**, has pension and bank interest only (**no business income**). Estimated tax = ₹35,000; TDS on interest = ₹15,000. Is advance tax payable?

Answer. Net liability = $35,000 - 15,000 = ₹20,000 (> ₹10,000)$, **but** Mr. Rao is a **resident senior citizen with no PGBP income** → **exempt from advance tax u/s 207(2)**. He pays ₹20,000 as **self-assessment tax u/s 140A** at filing; **no 234B/234C** applies. *Contrast:* had he any business income, the exemption would vanish and 234B/234C would apply on default. ✓

B3 (Moderate) — Interest u/s 234C for deferment

Ms. Beena's assessed tax net of TDS for AY 2025-26 is **₹2,00,000**. Advance tax actually paid (cumulative): 15 Jun ₹20,000; 15 Sep ₹60,000; 15 Dec ₹1,30,000; 15 Mar ₹2,00,000. No capital gains/casual income. Compute 234C interest.

Answer. Safe harbour is **12%** (Jun) and **36%** (Sep); once failed, shortfall is measured against the **full required %**.

Instalment	Required cum.	Safe harbour	Paid (cum.)	Fails?	Shortfall	Interest = SF × 1% × months
15 Jun	15% = 30,000	12% = 24,000	20,000	Yes	10,000	$10,000 \times 1\% \times 3 = \mathbf{300}$
15 Sep	45% = 90,000	36% = 72,000	60,000	Yes	30,000	$30,000 \times 1\% \times 3 = \mathbf{900}$
15 Dec	75% = 1,50,000	(strict)	1,30,000	Yes	20,000	$20,000 \times 1\% \times 3 = \mathbf{600}$
15 Mar	100% = 2,00,000	—	2,00,000	No	Nil	Nil

Total 234C = 300 + 900 + 600 = ₹1,800. Since full ₹2,00,000 was paid by 15 March ($\geq 90\%$ of assessed tax), **234B does not apply.** ✓

B4 (Moderate) — TDS across several sections [Sec 194A/C/H/I/J]

Zenith Pvt. Ltd. made the following payments in FY 2024-25. Compute TDS on each. 1. Rent of office building ₹3,60,000 (monthly ₹30,000). 2. Professional fee to a CA ₹80,000. 3. Single bill to a contractor (a firm) ₹1,50,000. 4. Commission to an agent ₹40,000. 5. Interest on a loan from a resident (non-bank) ₹1,00,000.

Answer.

Payment	Section	Threshold	Crossed?	Rate	TDS
Rent (building) 3,60,000	194-I	2,40,000	Yes	10%	36,000
Professional fee 80,000	194J	30,000	Yes	10%	8,000
Contractor—firm 1,50,000	194C	30,000 single	Yes	2% (payee not indiv/HUF)	3,000
Commission 40,000	194H	15,000	Yes	2%	800
Interest 1,00,000	194A	5,000 (non-bank)	Yes	10%	10,000

Total TDS = 36,000 + 8,000 + 3,000 + 800 + 10,000 = ₹57,800. ✓

B5 (Moderate-Hard) — TDS default interest u/s 201(1A) + disallowance u/s 40(a)(ia)

From B4, suppose Zenith **deducted** the ₹8,000 professional-fee TDS on **10 Jan 2025** but **deposited** it only on **15 May 2025** (due date 7 Feb 2025). Also, it entirely **failed to deduct** on the ₹80,000 professional fee originally. Compute (a) 201(1A) interest on the deposit delay, (b) the 40(a)(ia) disallowance.

Answer. (a) TDS was deducted on time, so only the **1.5% p.m.** "failure-to-deposit" interest applies, from date of deduction (10 Jan) to date of deposit (15 May) — Jan, Feb, Mar, Apr, May = **5 months** (part-month = full month). - Interest = $8,000 \times 1.5\% \times 5 = \mathbf{₹600}$. (b) On non-deduction of the ₹80,000 fee, **30% of ₹80,000 = ₹24,000 disallowed** u/s 40(a)(ia) — added back to Zenith's business income until the TDS is paid, when it is reversed. ✓

B6 (Exam-Hard) — Combined: advance tax + 234B + 234C, capital-gain carve-out

Mr. K, age 45, has assessed tax (net of TDS) of **₹4,00,000** for AY 2025-26, of which **₹1,00,000 arose from a capital gain on 20 December 2024**. Advance tax paid: 15 Jun ₹45,000; 15 Sep ₹1,35,000; 15 Dec ₹2,25,000; 15 Mar ₹2,80,000. Compute 234C and 234B interest. (Ignore cess for interest working.)

Answer. 234C carve-out: the ₹1,00,000 capital-gain tax could not be foreseen before 20 Dec; no 234C on that portion for instalments *falling due before* it arose. Being paid in the **remaining instalment(s) after it arose** (here by 15 March) escapes 234C on that slice. So test the **non-capital-gain tax = ₹3,00,000** for Jun/Sep, and the full ₹4,00,000 only where the CG had already arisen.

Required on ₹3,00,000 base (Jun, Sep):

Instalment	Required cum.	Paid (cum.)	Fails safe harbour?	Shortfall	Interest
15 Jun	$15\% \times 3,00,000 = 45,000$ (SH 12% = 36,000)	45,000	No ($\geq 45,000$)	Nil	Nil
15 Sep	$45\% \times 3,00,000 = 1,35,000$ (SH 36% = 1,08,000)	1,35,000	No	Nil	Nil

Dec instalment — CG has now arisen (20 Dec), so full ₹4,00,000 base: - Required $75\% \times 4,00,000 = 3,00,000$; paid 2,25,000; shortfall 75,000. Interest = $75,000 \times 1\% \times 3 = \mathbf{₹2,250}$.

March instalment (full base): - Required $100\% \times 4,00,000 = 4,00,000$; paid 2,80,000; shortfall 1,20,000. Interest = $1,20,000 \times 1\% \times 1 = \mathbf{₹1,200}$.

Total 234C = 2,250 + 1,200 = ₹3,450.

234B: advance tax paid ₹2,80,000 vs assessed ₹4,00,000. 90% of 4,00,000 = 3,60,000. Since $2,80,000 < 3,60,000$, **234B applies** on shortfall = $4,00,000 - 2,80,000 = ₹1,20,000$. Assume tax paid on filing 25 July 2025 → Apr, May, Jun, Jul = **4 months**. - Interest = $1,20,000 \times 1\% \times 4 = \mathbf{₹4,800}$.

Check: 234C total ₹3,450; 234B ₹4,800. ✓ (234C punishes timing within the year; 234B punishes the year-end shortfall — both can co-exist.)

Section C — Past-Paper-Style Full Questions

C1. Determine TDS applicability and rate for five transactions

For FY 2024-25 state whether TDS applies, the section, and the amount: (i) Bank pays interest ₹38,000 to a resident (non-senior). (ii) Company pays ₹6,000 dividend to a shareholder. (iii) Payment of ₹28,000 (single) and later ₹80,000 (single) to the same individual contractor. (iv) Rent of plant & machinery ₹5,00,000 to a firm. (v) Winnings from a lottery ₹60,000.

Model answer. - (i) **194A**, bank interest threshold ₹40,000 (non-senior). $₹38,000 < \text{threshold} \rightarrow \text{no TDS}$. - (ii) **194**, dividend threshold ₹5,000. $₹6,000 > 5,000 \rightarrow \text{TDS @ } 10\% = \mathbf{₹600}$. - (iii) **194C**, individual payee → rate **1%**. First bill ₹28,000 $< ₹30,000$ single limit and aggregate ₹28,000 $< ₹1,00,000 \rightarrow$ no TDS on it alone; second bill ₹80,000 crosses the ₹30,000 single limit → TDS on ₹80,000 @ 1% = ₹800. Aggregate now ₹1,08,000 $> ₹1,00,000$, so TDS also on the earlier ₹28,000 @ 1% = ₹280. **Total TDS = ₹1,080**. - (iv) **194-I(a)** plant & machinery @ **2%**; $₹5,00,000 > ₹2,40,000 \rightarrow \text{TDS} = \mathbf{₹10,000}$. - (v) **194B**, winnings threshold ₹10,000; @ **30%** on ₹60,000 = **₹18,000**. Checks: $6,000 \times 10\% = 600$; $80,000 \times 1\% = 800 + 28,000 \times 1\% = 280 = 1,080$; $5,00,000 \times 2\% = 10,000$; $60,000 \times 30\% = 18,000$. ✓

C2. Advance tax for a presumptive assessee [Sec 44AD, 211]

Mr. P runs a business under **presumptive taxation u/s 44AD**. His estimated tax liability for AY 2025-26 is **₹1,20,000** (no TDS). He pays nothing until 15 December and pays ₹1,20,000 on **20 March 2025**. Discuss

advance-tax liability and interest.

Model answer. - A 44AD assessee pays **100% of advance tax in a single instalment by 15 March** [Sec 211 proviso]. The Jun/Sep/Dec schedule does **not** apply, so **no 234C** for those dates. - However, he paid on **20 March**, i.e., **after 15 March**. For 234C, the March instalment shortfall is tested at 100%: nothing was paid by 15 March, so shortfall = ₹1,20,000; interest = $1,20,000 \times 1\% \times 1 = \text{₹1,200}$ (234C, 1 month for the last instalment). - **234B**: advance tax "paid" for 234B is measured by year-end (31 March); ₹1,20,000 was paid on 20 March, i.e., within the year, $\geq 90\%$ of assessed tax $\rightarrow$ **no 234B**. *Result: 234C ₹1,200; 234B nil. ✓*

C3. Consequences of TDS default — full enforcement ladder [Sec 201, 40(a)(ia), 234E, 271H]

A firm deducted TDS of ₹50,000 in FY 2024-25 but neither deposited it nor filed the quarterly TDS return. List every consequence with the governing section.

Model answer. 1. **Assessee-in-default** [Sec 201(1)] — the firm is liable to pay the ₹50,000 itself. 2. **Interest u/s 201(1A)** — 1.5% p.m. from date of deduction to date of deposit (deduct-but-not-deposit rate). 3. **Disallowance u/s 40(a)(ia)** — 30% of the underlying expenditure disallowed while computing the firm's business income (reversed when TDS paid). 4. **Fee u/s 234E** — ₹200 per day of delay in filing the TDS statement, capped at the TDS amount (₹50,000). 5. **Penalty u/s 271H** — ₹10,000 to ₹1,00,000 for non-/late filing of the statement. 6. **Prosecution u/s 276B** — rigorous imprisonment for failure to deposit tax deducted. *The escalation interest $\rightarrow$ disallowance $\rightarrow$ fee $\rightarrow$ penalty $\rightarrow$ prosecution is deliberate: it makes non-compliance progressively unbearable. ✓*

Section D — MCQs / Case Scenarios

D1. Advance tax is payable only if estimated tax liability for the year is at least: (a) ₹5,000 (b) ₹10,000 (c) ₹15,000 (d) ₹50,000 **Ans: (b).** Sec 208 threshold is ₹10,000.

D2. A resident senior citizen is exempt from advance tax provided he has: (a) only pension income (b) no PGBP income (c) income below ₹5 lakh (d) age above 80 **Ans: (b).** Sec 207(2) — resident, 60+, and **no income under PGBP**.

D3. Cumulative advance tax payable by 15 September for a normal assessee is: (a) 15% (b) 30% (c) 45% (d) 75% **Ans: (c).** Sec 211 schedule 15/45/75/100.

D4. Interest u/s 234B is triggered when advance tax paid is less than: (a) 75% (b) 80% (c) 90% (d) 100% of assessed tax **Ans: (c).** A 10% margin of error is tolerated.

D5. The TDS rate on professional fees u/s 194J is: (a) 1% (b) 2% (c) 5% (d) 10% **Ans: (d).** 10% (2% for technical services / call centres). Professional fee $\approx$ pure income.

D6. For a payment to a contractor who is an individual, TDS u/s 194C is: (a) 1% (b) 2% (c) 5% (d) 10% **Ans: (a).** 1% for individual/HUF payee, 2% for others.

D7. Where the deductee does not furnish PAN, TDS is deducted at: (a) normal rate (b) 20% only (c) higher of normal rate or 20% (d) 30% **Ans: (c).** Sec 206AA.

D8. TDS deducted in March must be deposited by: (a) 7 April (b) 30 April (c) 7 May (d) 31 May **Ans: (b).** March gets the extended 30 April deadline.

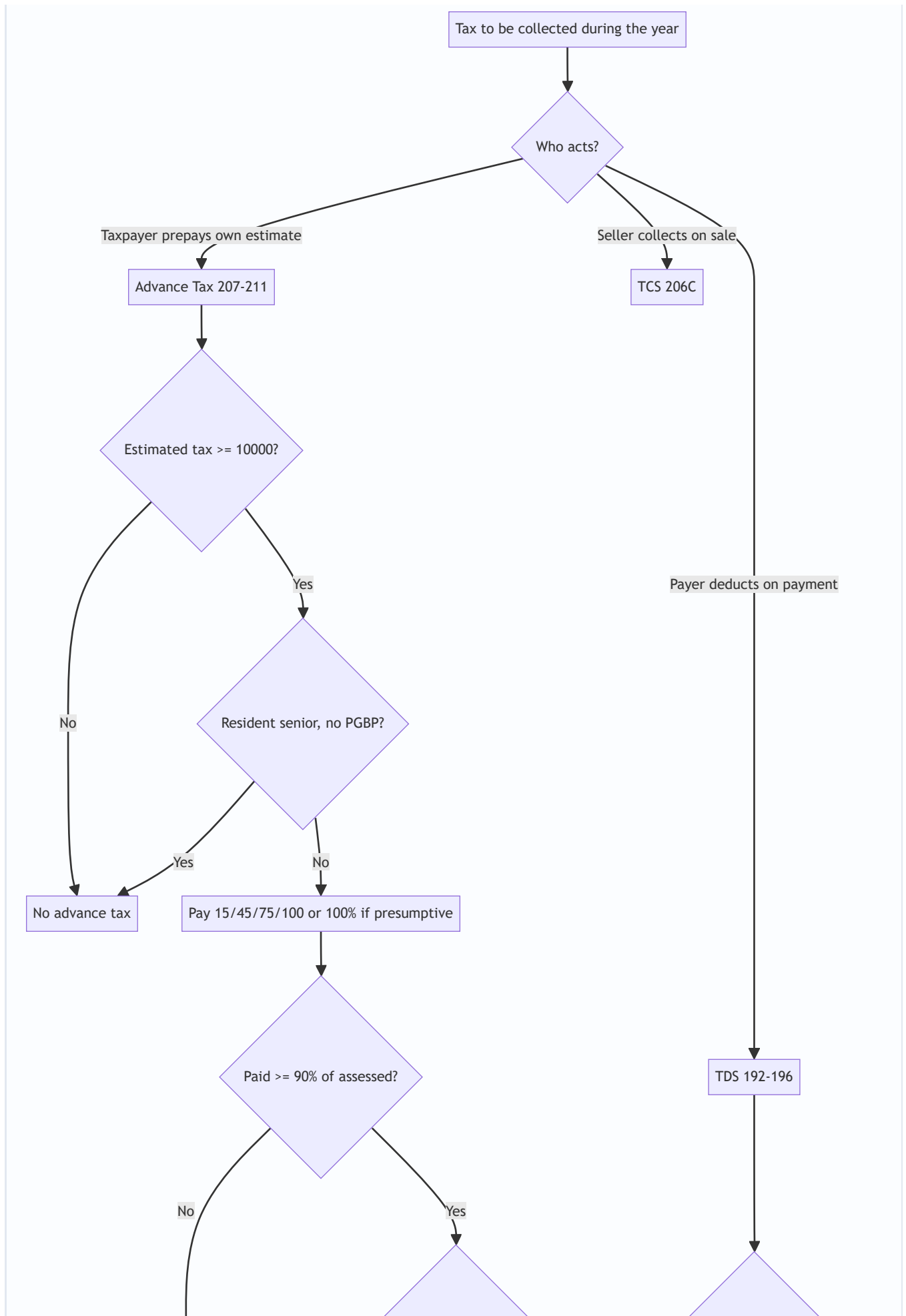
D9 (Scenario). A company credits a consultant's account on 25 March but pays cash on 10 April. TDS liability arises on: (a) 25 March (credit) (b) 10 April (payment) (c) either (d) 31 March **Ans: (a).** "Credit or payment, whichever is earlier" — credit on 25 March triggers it.

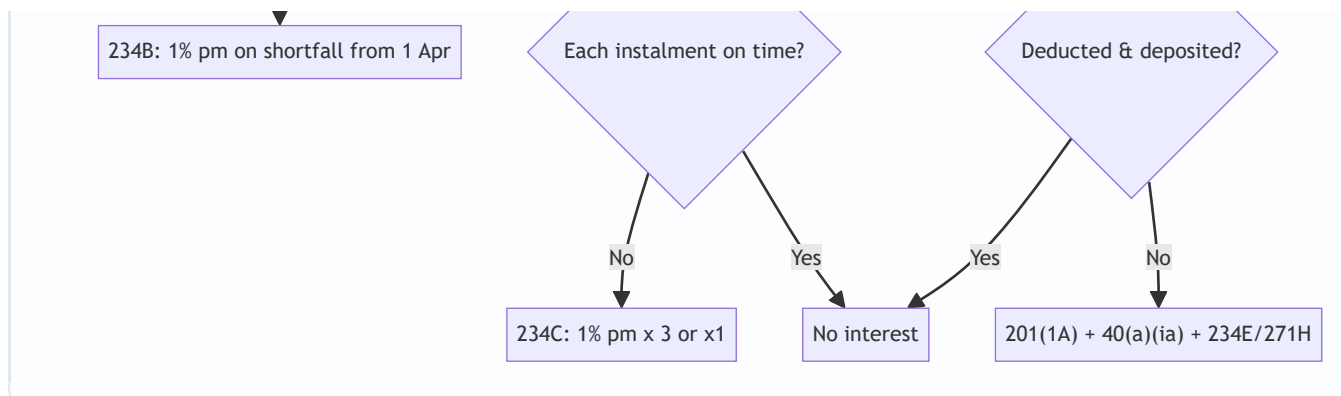
D10 (Scenario). Seller with turnover ₹15 crore sells goods worth ₹80 lakh to a buyer; buyer's payment exceeds ₹50 lakh. Applicable provision: (a) 194Q by buyer (b) 206C(1H) by seller (c) both simultaneously (d) neither **Ans: (a)/(b) depending on facts.** Where the buyer is liable to deduct **194Q (0.1%)**, that prevails and the seller's **206C(1H)** does not apply on the same transaction. If 194Q does not apply, seller collects 206C(1H) @0.1% on receipts above ₹50 lakh.

D11 (Scenario). Ms. X, presumptive u/s 44ADA, pays her entire advance tax on 15 March. Interest exposure: (a) 234C on all four instalments (b) no 234C if fully paid by 15 March (c) 234B always (d) 234A **Ans: (b).** Presumptive assessee pays 100% by 15 March; timely full payment escapes 234C.

D12 (Scenario). TCS collected on sale of a motor vehicle of ₹12,00,000: (a) nil (b) 1% = ₹12,000 (c) 5% = ₹60,000 (d) 0.1% = ₹1,200 **Ans: (b).** Sec 206C — motor vehicle above ₹10 lakh attracts 1%.

Decision Map — which mechanism / interest applies





Quick-Revision Trigger Sheet

Item	Section	Key number (AY 25-26)
Advance tax threshold	208	₹10,000
Senior exemption	207(2)	resident 60+, no PGBP
Instalments	211	15/45/75/100 on 15 Jun/Sep/Dec/Mar
Presumptive	44AD/44ADA	100% by 15 Mar
234B	234B	< 90% → 1% pm on shortfall from 1 Apr
234C	234C	1% pm × 3 (first 3) / ×1 (Mar); SH 12%/36%
Salary TDS	192	average slab rate, 1/12 monthly
Interest (non-sec)	194A	10%; 40k/50k(sr)/5k
Contractor	194C	1% indiv-HUF / 2% others; 30k or 1L
Commission	194H	2%; 15k
Rent	194-I	2% P&M / 10% land-building; 2.4L
Professional	194J	10% (2% technical); 30k
Immovable property	194-IA	1%; 50L
Winnings	194B/BB	30%; 10k
Non-resident	195	rates in force / DTAA; no threshold
No PAN	206AA	higher of normal or 20%
Deposit dates	—	7th next month; March by 30 Apr
Deductor default	201(1A)	1% not-deducted / 1.5% not-deposited
Disallowance	40(a)(ia)	30% (100% non-resident)
Late TDS return	234E / 271H	₹200/day / ₹10k-₹1L
TCS	206C	liquor/scrap/minerals 1%, timber 2.5%, tendu 5%, MV>10L 1%
Sale of goods TCS/TDS	206C(1H)/194Q	0.1%; 194Q prevails if applicable

First-principles recap: every rule descends from one need — *steady, traceable, evasion-proof revenue*.

Collect during the year (advance tax, front-weighted 15/45/75/100), collect at the source from the party with no incentive to hide (TDS, at rates tracking each stream's tax), mirror it for big *spending* flows (TCS), and make all three self-enforcing through escalating interest (234B/C, 201(1A)), disallowance (40(a)(ia)), penalty and prosecution, with PAN (206AA) threading every rupee into Form 26AS/AIS.

Re-confirm all thresholds, 194-series rates and the ₹10,000 / 90% / 12%-36% figures against the **current ICAI Study Material and the Finance Act applicable to your attempt** before the exam.

Chapter 11 — Return Filing & Assessment

Rates / limits / dates flag: Due dates, the basic exemption limit, the late-filing fee under Sec 234F, interest rates under Secs 234A/B/C, the additional-tax slabs for updated returns (Sec 139(8A)), and the time limits for issuing notices and completing assessments are all periodically re-set by Finance Acts and CBDT extensions. This chapter teaches the **architecture and the reason for each deadline** so the machinery is permanent knowledge. **Always verify the exact dates, fees, interest rates, and applicable Assessment Year against current ICAI study material for your attempt.**

1. The Problem — how does a government tax millions of people it has never met?

Imagine you are the tax department. There are crores of taxpayers — salaried people, traders, doctors, companies, freelancers. You cannot send an inspector to every kitchen table to add up each person's income. You do not know what anyone earned last year. You have no way to compute anybody's tax by yourself.

So you face a genuine design problem with two horns:

Horn 1 — You must rely on the taxpayer to tell you. Only the taxpayer knows his salary, his rent, his capital gains, his deductions. The only workable system is **self-declaration**: the taxpayer computes his own income and tax and reports it. This is why the Indian system is called a **self-assessment** system. The *return of income* is that declaration.

Horn 2 — If you simply trust every declaration, everyone under-reports. A pure honour system collapses instantly, because the rational taxpayer would declare zero. So self-declaration must be backed by a **credible threat of verification** — a machinery that says "we might check, and if you lied, we will re-compute and penalise you." That verification machinery is **assessment**.

Return filing and assessment are therefore two halves of one bargain:

- **The return** is the taxpayer saying: "*Here is my income, here is my tax, I have paid it.*"
- **The assessment** is the department saying: "*We accept / correct / investigate that declaration.*"

Neither works without the other. A declaration with no possibility of scrutiny is a joke; scrutiny with no declaration to check has nothing to bite on. The whole of Chapter XIV of the Income-tax Act, 1961 (Sections 139 to 158) is the plumbing that makes this two-sided bargain function at national scale.

2. The Core Idea

The taxpayer first **declares and self-assesses** his income by filing a return (Sec 139). The department then **responds** along a graded ladder of verification — from a silent arithmetic check, to a desk query, to a full investigation, to a punitive estimate when the taxpayer refuses to cooperate. The intensity of the department's response scales with how much cooperation and credibility the taxpayer offers.

Two load-bearing ideas fall out of this:

1. **The return is a legal self-assessment, not a request.** When you file, you are not asking the department to compute your tax — you have already computed it and (ideally) paid it under Sec 140A (self-assessment tax). The return is the *record* of that computation.
2. **Assessment is a spectrum, not a single act.** There are four flavours, and they are ordered by escalating friction:

Type	Section	Who does the work	Trigger
Self-assessment	140A	The taxpayer	Every return
Summary assessment	143(1)	The computer (CPC)	Every processed return
Scrutiny assessment	143(3)	The Assessing Officer	Selected returns
Best judgment assessment	144	The AO, using estimates	Non-cooperation / non-filing

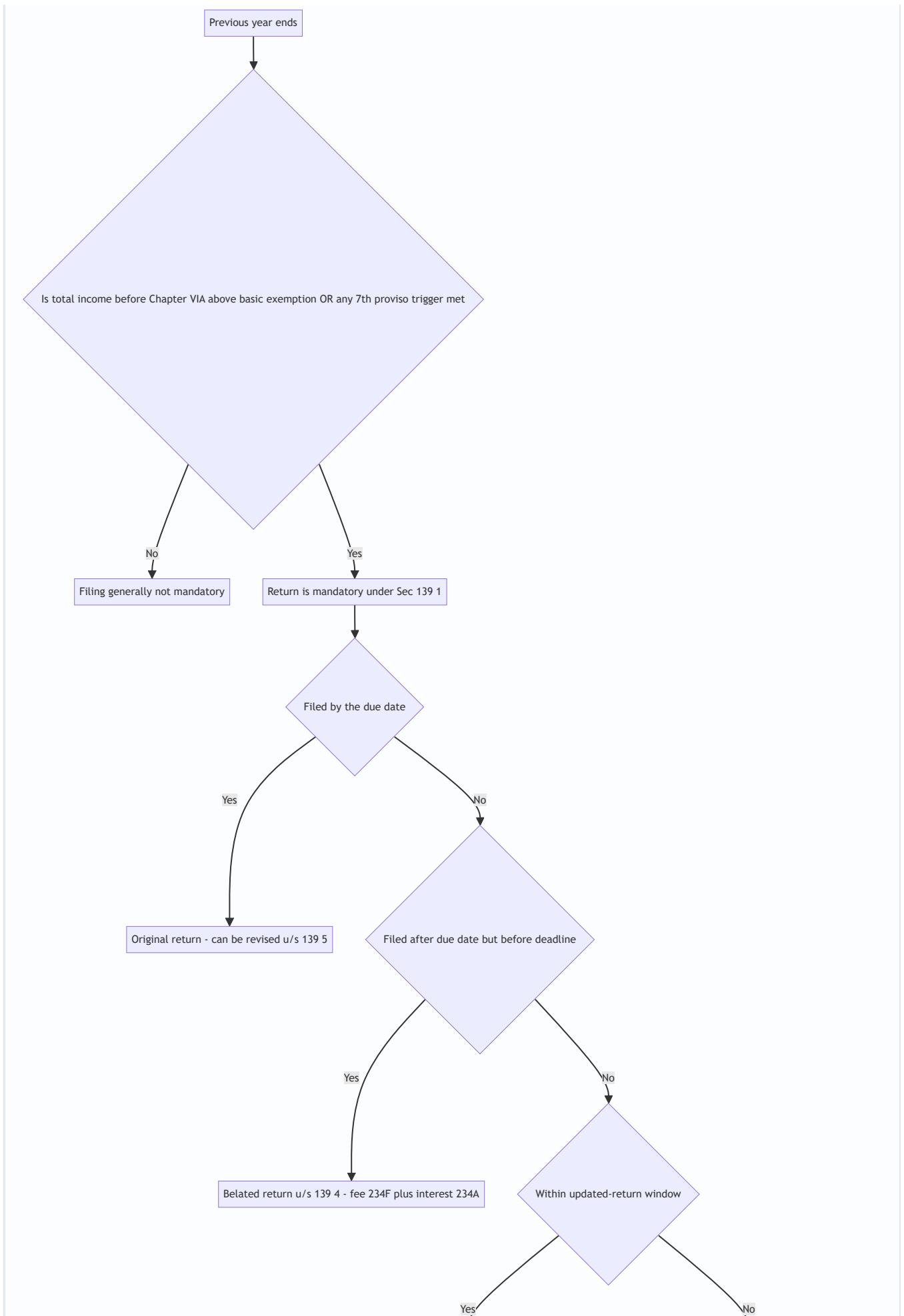
The genius is that **99%+ of returns never meet a human**. The system is built so that the cheap, automated check (143(1)) handles the vast majority, and the expensive human scrutiny (143(3)) is reserved for a tiny selected sliver. Best judgment (144) is the punishment lane for those who won't play. Understand *why* the ladder is graded this way and you never have to memorise the four types — they simply *are* the four rational responses to four levels of taxpayer behaviour.

3. Why It's Built This Way — the design logic behind each rule

Before any section, absorb the design choices. Every rule below is one of these choices wearing a section number.

Design choice	The problem it solves	How the Act implements it
Compulsory filing above a threshold	Can't chase everyone; focus on those with taxable capacity	Sec 139(1) — file if income exceeds basic exemption
Filing even when income is below limit, in some cases	High-value activity can hide income	Sec 139(1) 7th proviso — deposits, spends, turnover triggers
Fixed due dates staggered by complexity	Audited/complex cases need more time than salaried	Sec 139(1) — different dates for different classes
Allow late filing, but with a cost	Rigidity would deny relief to genuine latecomers; but no cost = no deadline	Sec 139(4) belated + Sec 234F fee + Sec 234A interest
Allow correction of honest mistakes	Humans err; punishing honest error deters filing	Sec 139(5) revised return
Allow voluntary "coming clean" later	Recover tax from those who under-reported, without a fight	Sec 139(8A) updated return + additional tax
A single lifelong identifier	Link every transaction to one person; stop identity-splitting	PAN (Sec 139A), linked to Aadhaar (Sec 139AA)
Automated arithmetic check	Catch obvious errors cheaply, at scale	Sec 143(1)
Selective human scrutiny	Deep-dive only where risk is high	Sec 143(3) after notice u/s 143(2)
Estimate when taxpayer won't cooperate	Non-cooperation cannot become a shield	Sec 144 best judgment
Reject junk returns early	An incomplete return can't be meaningfully assessed	Sec 139(9) defective return

The spine of the whole chapter: **the law offers escalating carrots for cooperation and escalating sticks for non-cooperation.** File on time → no cost. File late → fee + interest. Don't file at all, or ignore notices → best judgment estimate + penalty + possible prosecution. Every deadline and every fee is calibrated to nudge you one rung toward voluntary compliance.



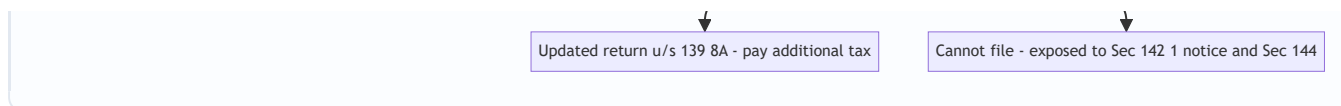


Figure 1 — The filing decision tree: whether you must file, and which door you file through depending on how late you are.

4. Full Technical Content

4.1 Who must file — Section 139(1)

The default rule: **every person whose total income (before giving effect to Chapter VI-A deductions and certain exemptions) exceeds the basic exemption limit must file a return.** The *reason* is precisely the "focus your effort" design choice — below the exemption limit there is no tax, so there is nothing to verify, so filing is not forced.

Two crucial "why" points examiners love:

1. **"Total income before Chapter VI-A deductions."** Suppose your gross total income is ₹4,50,000 and you claim ₹1,50,000 under Sec 80C, bringing taxable income to ₹3,00,000. If the exemption limit were, say, ₹2,50,000, a naive reading says "taxable income ₹3,00,000 > limit, must file" — but the subtle point is that the test is applied on income *before* the 80C deduction. **The logic:** the department wants to see the return precisely *because* you are claiming deductions; letting deductions pull you below the threshold and out of filing would hide the very claims they want to check. So the threshold is measured on the pre-deduction figure.
2. **Companies and firms must file regardless of income (even at a loss).** *Why:* these are formal entities the State has registered; a nil or loss return still carries information the department needs (and losses must be filed on time to be carried forward — see Connections).

The 7th proviso to Sec 139(1) — mandatory filing even below the limit. The problem this solves: a person can have low *declared* income but obvious high-value activity. So filing is compulsory (irrespective of income) if the person, broadly:

- deposited above a specified amount in current accounts,
- spent above a specified amount on foreign travel,
- paid electricity bills above a specified amount, or
- meets other high-value criteria CBDT notifies.

Memory hook: "If you live large, you must file — even if you claim to earn small." The proviso closes the gap between lifestyle and declaration.

Resident holding foreign assets must also file regardless of income (to enforce global-income disclosure for residents — connects to Chapter 2, residential status).

4.2 Due dates — Section 139(1)

The dates are **staggered by how much preparation the taxpayer's affairs require.** More complexity = more time. (Verify exact dates for your AY.)

Class of assessee	Typical due date*
Assessee requiring audit under the Act (e.g. business/profession above turnover limits)	31 October of the AY
A partner of a firm whose accounts are audited (and the spouse, in certain cases)	31 October of the AY
Assessee required to furnish a transfer-pricing report (Sec 92E)	30 November of the AY
Any other assessee (salaried, most individuals, non-audit)	31 July of the AY

*Verify against current ICAI material; CBDT frequently extends.

The why: an audited business must first get its books audited (the auditor needs months after year-end), so it gets until 31 October. A transfer-pricing case involves cross-border documentation, so it gets the longest runway to 30 November. A salaried person has a Form 16 and little else, so 31 July suffices. The dates are not arbitrary — they track document-readiness.

4.3 The three "second chances" — belated, revised, updated

The Act deliberately builds in three ways to fix a filing situation after the due date, each targeting a different failure:

(a) Belated return — Section 139(4): "I missed the deadline entirely." If you did not file by the due date, you may still file a **belated return** up to **three months before the end of the relevant assessment year, or before completion of assessment, whichever is earlier** (verify the exact cut-off for your AY). *Why allow it?* Rigidly barring late filers would leave genuine latecomers unable to report at all — worse for revenue. But lateness cannot be free, or the deadline means nothing. So belated filing carries a **price tag**: the late-filing fee under **Sec 234F** and interest under **Sec 234A** (both below).

(b) Revised return — Section 139(5): "I filed, but I made a mistake." If, after filing (original *or* belated), you discover an **omission or wrong statement**, you may file a revised return up to the **same cut-off as the belated return** (three months before AY-end or before assessment completion, whichever is earlier). *Why*: honest people make honest errors; punishing correction would deter people from ever fixing mistakes. A revised return **replaces** the original — the original is treated as withdrawn. **Trap**: a revision is for a *bona fide* omission/error, not for laundering a deliberately false original once you sense scrutiny.

(c) Updated return — Section 139(8A): "I want to come clean, later, and pay more tax." This is the newest and most conceptually interesting door. It lets a person file an **updated return within a specified number of years from the end of the relevant AY** (verify the exact window), **but only to disclose additional income and pay additional tax**. *The why is pure revenue-collection pragmatism*: the department would rather you voluntarily walk in and pay extra tax than spend years litigating to extract it. To make this worth the State's while (and to ensure it is not cost-free relative to timely filing), the updated return carries **additional tax over and above the normal tax and interest** — a percentage that **increases the longer you wait** (again, cooperation-scales design).

Hard limits on the updated return — you **cannot** file one if it: - results in a **refund or reduces** your tax liability (it is a *pay-more* door, never a *get-back* door), - shows a **loss**, or - is filed in certain cases where a search/survey or assessment is already underway.

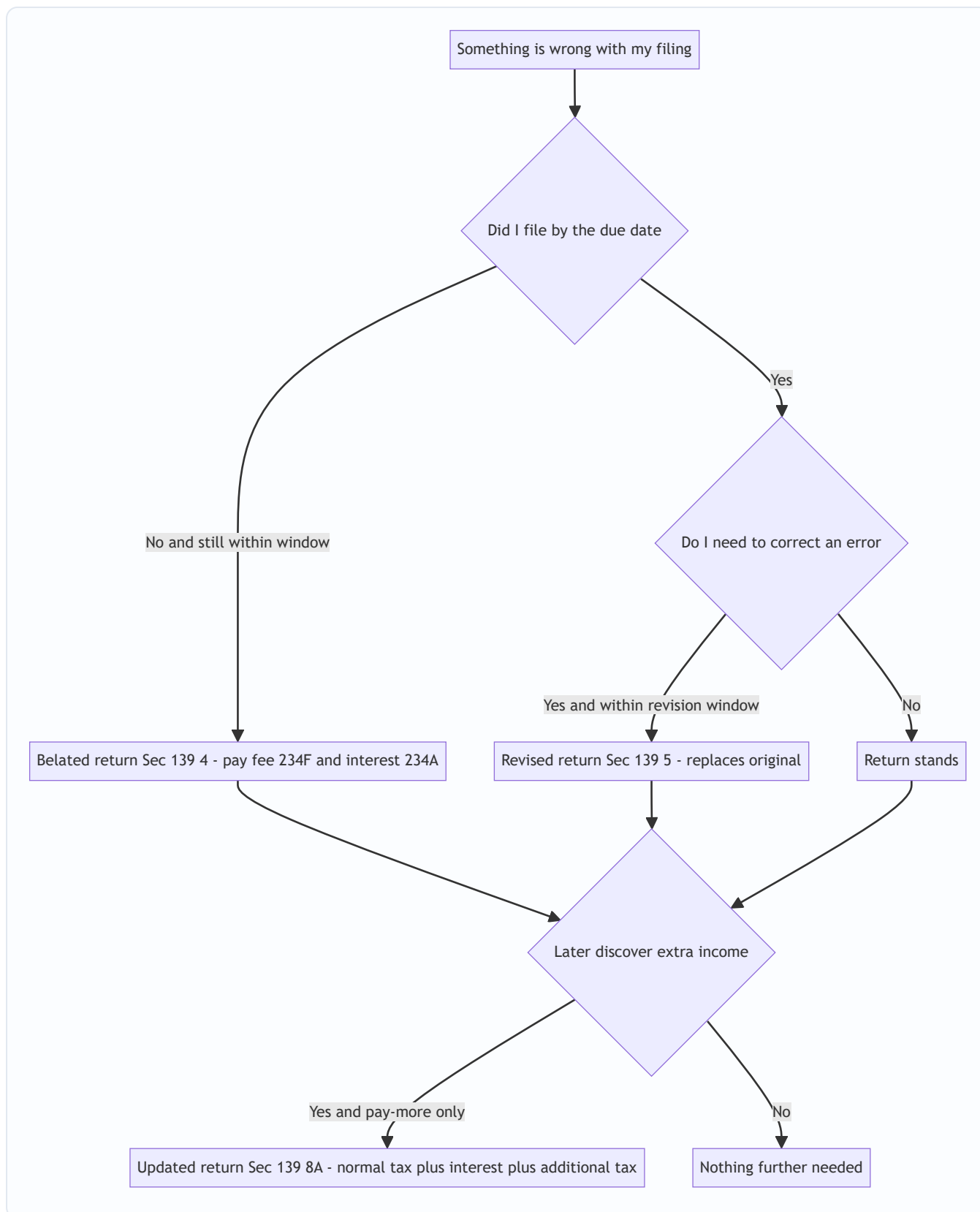


Figure 2 — Choosing between belated, revised, and updated returns based on what went wrong and when you realised.

4.4 Defective return — Section 139(9)

The problem: an incomplete return cannot be meaningfully assessed. If key annexures, tax computations, or proof of tax paid are missing, the department has nothing solid to verify. So the AO may declare the return

defective and issue an intimation giving the assessee **15 days (extendable) to rectify** it.

The consequence with teeth: if you do not fix the defect in time, the return is treated as **invalid** — i.e., as if you **never filed at all**. That is severe: you lose the filing date, become exposed to belated-filing costs, and may lose loss carry-forward. **Memory hook:** *"A defective return is a warning shot; an uncured defect makes the return vanish."*

4.5 PAN — Section 139A, and Aadhaar linking — Section 139AA

Why PAN exists: the entire self-assessment-plus-verification bargain depends on being able to **attribute every transaction to one identifiable person**. Without a unique key, a taxpayer could split identities, and the department could never aggregate a person's income across banks, employers, and property registrars. The **Permanent Account Number** is that key — a lifelong, unique 10-character identifier. It is mandatory for those carrying on business/profession above thresholds, for those who must file, and it must be **quoted in specified high-value transactions** (buying property, large cash deposits, etc.) so the department can stitch a person's financial footprint together.

Why Aadhaar linking (Sec 139AA): PAN alone can be duplicated — a determined evader could hold multiple PANs to fragment income. Aadhaar is biometrically unique, so **linking PAN to Aadhaar de-duplicates PANs and welds the tax identity to a single real human**. Quoting Aadhaar is required when applying for PAN and when filing a return. **Consequence of non-linking:** the PAN becomes **inoperative**, which cascades into higher TDS, inability to file smoothly, and blocked refunds — a deliberately painful nudge to comply.

4.6 The four assessments

(a) Self-assessment — Section 140A. Before filing, the assessee computes tax on the returned income, subtracts TDS/TCS/advance tax already paid, adds interest under 234A/B/C and fee under 234F, and **pays the balance ("self-assessment tax")**. *Why first?* The whole system is self-assessment; the return must arrive already backed by payment, otherwise the department is chasing money on every single return. If you file without paying the self-assessment tax due, you are treated as an **assessee in default** for that amount.

(b) Summary assessment / processing — Section 143(1). Every return is processed, almost entirely by the **Centralised Processing Centre (CPC)** computer. The system performs only **arithmetic and consistency checks** — no investigation. Specifically it: - corrects arithmetical errors, - disallows **internally inconsistent** claims (e.g., a deduction plainly incorrect from the return itself), - disallows losses/deductions claimed in a **belated return** where the law bars them, - matches tax credit with Form 26AS / prepaid taxes. It then issues an **intimation** showing tax payable, refund due, or "no change." **Why keep it purely mechanical?** Because it runs on *every* return — it must be cheap, fast, and non-judgmental. Anything requiring judgment is pushed up to scrutiny. An intimation u/s 143(1) is **deemed a notice of demand** where tax is payable. Time limit: it must be sent within **nine months from the end of the financial year in which the return is filed** (verify current limit).

(c) Scrutiny assessment — Section 143(3). This is the **human deep-dive**, but the department cannot pick you at will and silently. The gate is a **notice under Sec 143(2)**, which must be served within a **time limit (typically three months from the end of the FY in which the return is filed — verify)**. *Why a strict time limit on the notice?* Because the threat of scrutiny cannot hang over a taxpayer forever; certainty is itself a taxpayer right. **No valid 143(2) notice in time = no scrutiny.** The AO then examines evidence, calls for details (Sec 142(1)), may order a **special audit (Sec 142(2A))** in complex cases, and passes a reasoned

assessment order determining the true total income and tax. Modern scrutiny is largely **faceless** (Sec 144B) — allocated to officers anonymously to reduce discretion and corruption. **Memory hook:** "143(2) is the knock on the door; 143(3) is the interview."

(d) Best judgment assessment — Section 144. When the taxpayer **refuses to cooperate**, the department cannot be left helpless. Sec 144 lets the AO **estimate** income to the best of his judgment. It is triggered when the assessee: - fails to file the return (original/belated/in response to Sec 142(1)), - fails to comply with a Sec 142(1) notice or a Sec 142(2A) audit direction, or - fails to comply with a Sec 143(2) scrutiny notice.

Why estimation rather than "give up"? Non-cooperation must not become a shield that pays. But because it is an estimate, natural justice requires the AO to give a **show-cause opportunity** before finalising, and the estimate must be **honest and based on material**, not vindictive or arbitrary. **Memory hook:** "Won't talk? We'll estimate — and you carry the risk of the estimate."

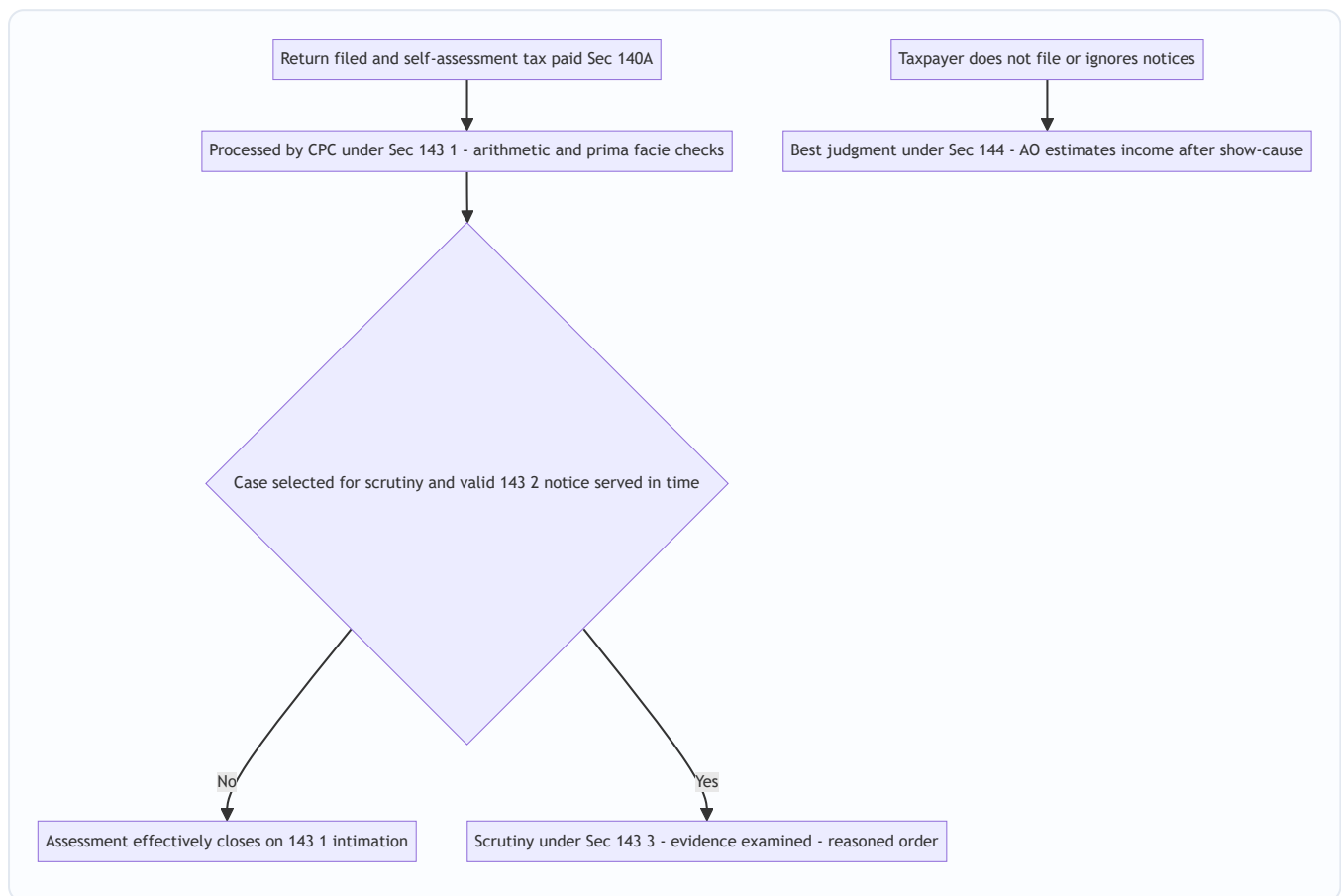


Figure 3 — The assessment ladder: every return is processed (143(1)); a selected few are scrutinised (143(3)); the non-cooperative are estimated (144).

4.7 Interest and fee for delay — the "price of lateness"

These are the sticks that make the deadlines real. Learn the *purpose* and the base each is charged on.

Charge	Section	What it punishes	Broadly, how computed
Late-filing fee	234F	Filing the return after the due date	A flat fee (a smaller amount if total income is below a specified level; a larger amount otherwise) — verify amounts
Interest for late filing	234A	Time gap between due date and actual filing, on unpaid tax	1% per month (or part) on tax unpaid, from due date to filing date — verify rate
Interest for default in advance tax	234B	Not paying at least 90% of assessed tax as advance tax	1% per month on shortfall from 1 April of AY — verify
Interest for deferment of advance tax	234C	Not paying advance-tax instalments on the specified dates	1% per month for each shortfall period — verify

The logical distinction (a favourite exam point): **234A** punishes *late filing of the return*; **234B and 234C** punish *late payment of tax* (regardless of the return). You can trigger 234B/C even if you file the return on time, because advance-tax obligations run *during* the year, before any return exists. Conversely 234F (a fee, not interest) is a flat charge purely for missing the filing date, independent of any tax due. **Memory hook:** "*F for Filing-late-fee; A for filing After due date; B and C for the Bill you should have paid in advance.*"

5. Worked Examples

Example 1 (Easy) — Is Mr Rao even required to file, and by when?

Mr Rao, a salaried employee (no audit, no foreign assets), has for the previous year: - Gross salary ₹6,20,000 - Deduction claimed u/s 80C ₹1,50,000 - Taxable income after deductions ₹4,70,000

Assume the basic exemption limit is ₹2,50,000.

Step 1 — Apply the correct test. Sec 139(1) tests income **before** Chapter VI-A deductions. Income before 80C = ₹6,20,000. **Step 2 — Compare.** ₹6,20,000 > ₹2,50,000. **Filing is mandatory.** (Note the trap: even if the after-80C figure ₹4,70,000 had been below the limit, he would *still* have to file, because the test uses the pre-deduction figure.) **Step 3 — Due date.** Salaried, non-audit → **31 July of the AY** (verify).

Answer: Mr Rao must file, and by 31 July of the assessment year.

Example 2 (Moderate) — Belated filing: fee under 234F and interest under 234A

Same Mr Rao, but suppose his self-assessment tax still payable (after TDS) is **₹40,000**, and he actually files on **10 November** of the AY, i.e., after the 31 July due date. Assume the 234F fee is ₹5,000 (income above ₹5 lakh slab — verify) and the 234A rate is 1% per month or part of a month.

Step 1 — Confirm it is a belated return. Filed after 31 July, but (assume) within the belated-filing window → valid **belated return u/s 139(4)**. **Step 2 — Late-filing fee, Sec 234F.** Flat **₹5,000** (verify slab). **Step 3 — Interest u/s 234A.** Charged on unpaid tax of ₹40,000 from the due date (1 August) to the date of filing (10 November). - Period: August, September, October, and part of November = **4 months** (part of a month counts as a full month). - Interest = ₹40,000 × 1% × 4 = **₹1,600**. **Step 4 — Total extra cost of lateness =**

₹5,000 (fee) + ₹1,600 (interest) = **₹6,600**, payable *in addition to* the ₹40,000 tax, as self-assessment tax under Sec 140A before filing.

Reconciliation check: Tax ₹40,000 + fee ₹5,000 + interest ₹1,600 = ₹46,600 total to deposit. Had he filed by 31 July with the tax paid, the fee and interest (₹6,600) would both have been zero. The gap is precisely the "price of lateness" — the sticks doing their job.

Example 3 (Exam-hard) — Revised vs updated, and a defective-return twist

Ms Iyer, a non-audit individual, filed her **original return on 20 July** (before the 31 July due date) declaring total income ₹8,00,000, tax fully paid. Then three things happen in sequence:

(i) In September of the AY she realises she **forgot to include bank interest of ₹30,000**. (ii) The CPC, while processing, finds she attached **no computation of income for a claimed deduction** and issues a **Sec 139(9) defective-return intimation** on 5 October, giving 15 days to cure. (iii) Two years after the end of the AY, an old **freelance receipt of ₹1,00,000** she genuinely overlooked surfaces.

Advise Ms Iyer on the correct route for each, with reasons.

Part (i) — the ₹30,000 omission discovered in September. - She filed the original *on time*, and the revised-return window (three months before AY-end or before assessment completion, whichever is earlier — verify) is still open in September. - **Correct route: Revised return u/s 139(5)**. *Reason:* it is a bona fide omission discovered before the window closes; a revision replaces the original with the corrected figures. She will pay tax on the extra ₹30,000 plus any interest under 234B/C if advance-tax was short — but **no 234F fee**, because the original was filed on time and a revised return relates back to it.

Part (ii) — the defective return. - She must **cure the defect within 15 days** (extendable) by furnishing the missing computation. - *Reason and consequence:* Sec 139(9). If she does **not** cure it, the return is treated as **invalid — as if never filed**, which would demolish her on-time status and expose her to belated costs and possible loss of any carry-forward. **This is the priority action**; a revised return is pointless if the base return is allowed to become invalid.

Part (iii) — the ₹1,00,000 discovered two years after AY-end. - The revised/belated windows are long gone. But she wants to **disclose additional income and pay more tax**. - **Correct route: Updated return u/s 139(8A)**, if she is within the specified multi-year window (verify). - *Computation logic:* she pays **normal tax** on the ₹1,00,000 + **interest** (234A/B/C as applicable) + **additional tax** under Sec 139(8A) that rises the longer she waited. Suppose normal tax + interest on the ₹1,00,000 works out to ₹34,000, and the applicable additional tax is (say) 25% of (tax + interest) for that year's window (verify the rate): additional tax = 25% × ₹34,000 = ₹8,500. **Total payable = ₹34,000 + ₹8,500 = ₹42,500**. - *Reason:* the updated return is a *pay-more-only* door; because it results in extra tax (not a refund or loss), it is permitted, and the additional tax is the price of the delay.

Reconciliation of the whole scenario: three different failures → three different, non-interchangeable remedies. Revise for an in-window bona fide error; cure the defect immediately or the return dies; use the updated return only to voluntarily pay more, later, at a premium. The examiner is testing whether you can *map each failure to its purpose-built door* — which you can, once you see the doors are graded by lateness and by whether tax goes up or down.

Example 4 (Assessment scenario) — When does 144 replace 143(3)?

Mr Khanna files no return despite taxable income. The AO issues a **Sec 142(1) notice** requiring him to file; Mr Khanna ignores it. The AO then issues a **Sec 143(2) notice**; Mr Khanna ignores that too and does not

respond to any query.

Reasoning: - With **no return and total non-cooperation**, the AO cannot do a normal scrutiny under 143(3) (there is nothing filed to scrutinise and no cooperation to examine evidence). - The AO invokes **Sec 144 — best judgment assessment**: he **estimates** Mr Khanna's income from available material (bank data, 26AS, past records). - **Safeguard**: the AO must issue a **show-cause notice** before finalising, and the estimate must be **reasonable and evidence-based**, not arbitrary.

Answer: Best judgment assessment u/s 144. **Contrast with Example 3's cooperative taxpayer:** cooperation earns you the ordinary 143(3) path with a chance to explain; stonewalling earns you an estimate you may not like — the cooperation-scales principle in action.

6. Computation Format — cost of a late / updated filing

A clean, reusable template for "how much must I deposit before filing?" questions:

A. Tax on returned (or updated) total income	
B. Less: TDS / TCS / advance tax already paid	(....)
C. Balance tax (A – B)	
D. Add: Interest u/s 234A (late filing of return)	
= Balance tax x 1% x months (part = full) from due date to date of filing	
E. Add: Interest u/s 234B (advance-tax shortfall)	
F. Add: Interest u/s 234C (deferment of instalments)	
G. Add: Fee u/s 234F (flat, if filed after due date)	
H. Add: Additional tax u/s 139(8A) (ONLY for an updated return) = specified % of (tax + interest)	
Self-assessment tax payable u/s 140A (C+D+E+F+G+H)	=====

Notes: 234F and 234A apply only if filed after the due date. 234B/234C can apply even to an on-time return. Row H appears **only** for updated returns u/s 139(8A). Always verify current rates and fee amounts.

7. Connections — how this chapter wires into the rest of the syllabus

- **Loss carry-forward (Chapter on set-off, Secs 70–80):** losses under most heads (business loss, capital loss, etc.) can be **carried forward only if the return is filed by the Sec 139(1) due date**. House-property loss and unabsorbed depreciation are exceptions. This is *the* reason on-time filing is not merely a formality — miss the date and you may forfeit years of loss relief. Return filing and loss set-off are joined at the hip.
- **Advance tax (Sec 208–219):** the 234B/234C interest in this chapter is the enforcement arm of the advance-tax obligation — pay-as-you-earn. The return simply reconciles what you pre-paid against what you owe.
- **TDS/TCS (Chapter on deduction at source):** the 143(1) processing **matches your claimed credits against Form 26AS**. A mismatch is the single most common cause of a 143(1) demand or reduced

refund — directly linking TDS accuracy to smooth assessment.

- **Residential status (Chapter 2):** a resident with foreign assets must file **irrespective of income** — the filing obligation enforces the global-income principle established there.
 - **PAN quoting** threads through property (stamp-duty) and high-value transactions, tying capital-gains and other-source reporting back to a single identity.
-

8. Traps & Examiner Tricks

1. **The threshold is tested *before* Chapter VI-A deductions.** Students subtract 80C first and wrongly conclude "no need to file." Always compare the **pre-deduction** income to the exemption limit.
 2. **234F is a *fee*, not interest, and not tax.** It is a flat amount, does not depend on tax due, and is not deductible or refundable. Do not compute it month-wise.
 3. **234A vs 234B/234C confusion.** 234A = late *return*; 234B/234C = late *advance-tax payment*. You can owe 234B/C with a perfectly timely return. Part of a month counts as a **whole** month for all three.
 4. **"Revised return" is not for latecomers.** You can revise only if you *filed* (original or belated). A revision replaces the original; it does not create a fresh right to file if you never filed at all — that would be belated (139(4)) or updated (139(8A)).
 5. **Updated return is pay-more-only.** If the correction reduces tax, produces a refund, or shows a loss, an updated return is **not** available. This is the single most tested feature of Sec 139(8A).
 6. **An uncured defective return becomes *invalid* — treated as never filed.** Students assume a defect is a minor formality. It can wipe out your filing date and loss carry-forward. Cure it first, before anything else.
 7. **No 143(3) scrutiny without a valid, in-time 143(2) notice.** If the department misses the 143(2) time limit, it **cannot** scrutinise — a classic "the AO's order is bad in law" answer.
 8. **143(1) is mechanical only.** It cannot make judgmental disallowances or investigate; if a question describes the CPC "examining evidence" or "calling for explanation," that is 143(3) territory, not 143(1).
 9. **Best judgment (144) must still be reasonable.** An answer that lets the AO pick any number is wrong — the estimate must rest on material and follow a show-cause opportunity.
 10. **PAN inoperative ≠ PAN cancelled.** Non-linking with Aadhaar makes PAN *inoperative* (higher TDS, blocked refunds), not deleted. Watch the wording.
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9. First-Principles Recap

Strip everything away and the chapter is one bargain:

The State cannot compute your tax, so **you declare it (return, Sec 139) and pre-pay it (self-assessment tax, Sec 140A)**. To keep the declaration honest, the State keeps a **graded verification machine**: a cheap automated check on every return (**143(1)**), a rare human deep-dive on selected ones (**143(3), gated by a timely 143(2) notice**), and a punitive estimate for those who won't cooperate (**144**). Because deadlines mean nothing without a price, lateness costs a **fee (234F)** and **interest (234A/B/C)**; because honesty should be rewarded, the law offers second chances graded by lateness — **revise** an error (139(5)), file **belated** (139(4)), or voluntarily **come clean and pay more** (139(8A)). Every person is welded to one identity via **PAN (139A) linked to Aadhaar (139AA)** so nothing can be hidden by splitting identities. Get the *purpose* — declare, verify, price lateness, reward honesty, fix identity — and every section number is just a label on a part you already understand.

10. Quick-Revision Sheet

Who files (Sec 139(1)): income **before Chapter VI-A** > basic exemption; companies/firms always; residents with foreign assets always; 7th proviso high-value triggers (big deposits, foreign travel, electricity, turnover) even if income is below the limit.

Due dates (verify): audit cases 31 Oct · TP report (92E) 30 Nov · everyone else 31 July.

Return types: - Original — 139(1), on or before due date; only these can carry forward most losses. - Belated — 139(4), after due date up to the cut-off; costs 234F + 234A. - Revised — 139(5), to fix a bona fide error; replaces original; same cut-off. - Updated — 139(8A), multi-year window; **pay-more only** (no refund/loss/reduction); normal tax + interest + rising additional tax. - Defective — 139(9), cure in 15 days or return is **invalid**.

Identity: PAN — 139A (unique lifelong number, quote in high-value deals). Aadhaar link — 139AA (non-link → PAN inoperative).

Assessments: - 140A — self-assessment (pay before filing). - 143(1) — CPC summary/arithmetic; intimation within 9 months of FY-end of filing; **mechanical only**. - 143(3) — scrutiny; **needs 143(2) notice in time** (approx. 3 months from FY-end of filing); faceless (144B). - 144 — best judgment (non-filing / ignoring 142(1)/143(2)); estimate after show-cause.

Price of lateness: - 234F — flat late-filing **fee**. - 234A — 1%/month on unpaid tax, due date → filing date (late **return**). - 234B — 1%/month, advance-tax shortfall (< 90% paid). - 234C — 1%/month, missed advance-tax **instalments**. (Part month = full month.)

One-line spine: *Declare and pre-pay; the State verifies on a graded ladder; lateness is priced; honesty is given second chances; identity is fixed by PAN-Aadhaar.*

Reminder: verify all dates, the 234F fee amounts, interest rates, the updated-return window and its additional-tax slabs, and the 143(1)/143(2) time limits against current ICAI material for your Assessment Year.

Q&A — Return Filing & Assessment

Income-tax Act, 1961. All monetary limits, due dates and rates are AY-specific — **verify against the AY applicable to your attempt** (illustrations use AY 2025-26 unless stated). Rates/limits flagged with $\triangle$ depend on the applicable AY.

SECTION A — Concept Check (with answers)

A1. What is the "self-declaration + verification bargain" the return system rests on? The taxpayer computes and *declares* his own income and tax (self-assessment, **Sec 140A**); the Department reserves the right to *verify* through a graded scale of assessments (**143(1)** → **143(3)/144**). Trust first, verify later.

A2. Who is *compulsorily* required to file a return under Sec 139(1)? (i) Companies and firms (incl. LLP) — **always**, even at nil/loss income. (ii) Any other person whose total income *before* Chapter VI-A / 54-type exemptions exceeds the basic exemption limit. (iii) Persons hit by the **7th proviso** even if income is below the limit.

A3. State any three triggers under the 7th proviso to Sec 139(1). $\triangle$ Mandatory filing regardless of income if the person: (a) deposited > **₹1 crore** in one/more current accounts; (b) spent > **₹2 lakh** on foreign travel (self/others); (c) paid electricity bills > **₹1 lakh**; (d) or meets other CBDT-notified high-value criteria (e.g. business turnover > ₹60 lakh, professional receipts > ₹10 lakh, TDS/TCS $\geq$ ₹25,000 [$\triangle$ ₹50,000 for senior citizens], savings deposits $\geq$ ₹50 lakh).

A4. Distinguish belated (139(4)), revised (139(5)) and updated (139(8A)) returns. - **139(4) belated** — return not filed by due date; can be filed up to **31 Dec of AY** or before assessment completion, whichever earlier. Attracts 234A + 234F. - **139(5) revised** — corrects an *omission/wrong statement* in an already-filed return (original or belated); same deadline as belated (31 Dec of AY / before assessment). - **139(8A) updated (ITR-U)** — voluntary return to disclose *additional* income, filed after the 139(4)/(5) window, up to **48 months** $\triangle$ from end of AY, with additional tax of 25%/50%/60%/70% $\triangle$ depending on slab of time. Cannot be used to reduce income, claim/increase refund, or report a loss.

A5. When is a return treated as "defective" under Sec 139(9)? When it is incomplete — e.g. annexures/statements missing, tax + interest not paid before filing, accounts not enclosed where required. AO issues notice; assessee gets **15 days** (extendable) to cure; uncured defect → return treated as invalid (as if never filed).

A6. Contrast Sec 143(1), 143(3) and 144. - **143(1)** — *intimation*: automated processing; arithmetic errors, incorrect claims apparent from return adjusted; no discretion, no opinion. - **143(3)** — *scrutiny*: after 143(2) notice; AO examines evidence and passes a reasoned order. - **144** — *best judgment*: AO estimates income when assessee fails to file/comply (with 139/142(1)/143(2)/144 notices).

A7. What links Sec 139A (PAN) and 139AA (Aadhaar)? Every person filing a return must quote **PAN (139A)**; and must quote/link **Aadhaar (139AA)**. An unlinked PAN becomes **inoperative** — return can't be processed, higher TDS applies.

SECTION B — Graded Computational Problems

B1 (Easy) — Section 234F fee + 234A interest ⚠

Q. Mr. A, total income ₹6,80,000 (old regime), self-assessment tax payable after TDS = ₹12,000. Due date 31 Jul 2025; he files on 20 Nov 2025. Compute 234F fee and 234A interest.

Solution. - **234F fee:** Income > ₹5 lakh and return filed after due date → **₹5,000**. (If total income ≤ ₹5 lakh, capped at ₹1,000.) - **234A interest:** 1% p.m. / part-month on unpaid self-assessment tax, from day after due date to date of filing. - Period: Aug, Sep, Oct, Nov (part) = **4 months**. - Interest = ₹12,000 × 1% × 4 = **₹480**. - **Total late cost = ₹5,000 + ₹480 = ₹5,480.**

B2 (Moderate) — Belated return: loss carry-forward denial

Q. Firm XYZ has business loss ₹3,00,000 and unabsorbed depreciation ₹1,00,000 for PY 2024-25. Due date 31 Oct 2025; it files belated on 15 Dec 2025. What can be carried forward?

Solution. - **Business loss ₹3,00,000:** Sec 80 requires the return to be filed **within 139(1) due date** for a business loss to be carried forward. Belated filing → **cannot carry forward** the ₹3,00,000. - **Unabsorbed depreciation ₹1,00,000:** Governed by **Sec 32(2)**, not Sec 80/139(3). It carries forward **even on a belated return** → **₹1,00,000 c/f allowed**. - **Trap:** examiners mix these; only depreciation (and House Property loss u/s 71B) survive a late return.

B3 (Moderate-Hard) — 234A + 234B + 234C interplay

Q. Mr. B, AY 2025-26, assessed tax (tax on total income – TDS) = ₹1,00,000. Advance tax paid: ₹0. Due date 31 Jul 2025; return + full self-assessment tax paid on 10 Oct 2025. Compute 234A, 234B (ignore 234C detail — state treatment).

Solution. - **234B (default in payment of advance tax):** advance tax paid < 90% of ₹1,00,000, so 234B applies. 1% p.m. from **1 Apr 2025** to date of determination/self-assessment payment (Oct 2025). - Apr–Oct = **7 months** × 1% × ₹1,00,000 = **₹7,000**. - **234A (default in furnishing return):** 1% p.m. on unpaid tax from **1 Aug 2025** (day after due date) to 10 Oct 2025. - Aug, Sep, Oct(part) = **3 months** × 1% × ₹1,00,000 = **₹3,000**. - **234C (deferment):** charged on shortfall in each quarterly instalment (15%/45%/75%/100%). Since ₹0 advance tax was paid, 234C is also attracted on each instalment shortfall — computed separately per due date (15 Jun/15 Sep/15 Dec/15 Mar). - **234A + 234B here = ₹3,000 + ₹7,000 = ₹10,000** (plus 234C and 234F ₹5,000).

B4 (Exam-Hard) — Updated return (ITR-U) full cost, reconciled ⚠

Q. Mr. C did not file for AY 2024-25 (due date passed, 139(4) window over). On 5 May 2026 he files an updated return u/s 139(8A) disclosing total income ₹9,00,000 (new regime). Assume tax on ₹9,00,000 = ₹42,500 (incl. cess) ⚠, TDS ₹10,000, no advance tax. Compute total payable.

Solution — step by step. 1. **Tax on total income:** ₹42,500. 2. **Less TDS:** ₹10,000 → balance ₹32,500. 3. **Interest 234A/234B/234C** (advance tax nil, return late): compute on ₹32,500. - 234B: 1 Apr 2024 → May 2026 ≈ 26 months × 1% × ₹32,500 ≈ ₹8,450 (illustrative). - 234A: from day after due date to date of furnishing updated return. - 234C: instalment shortfalls. - *For exam, show the aggregate interest figure; assume total interest ₹12,000.* 4. **234F late fee:** ₹5,000. 5. **Aggregate tax + interest + fee (before additional tax):** ₹32,500 + ₹12,000 + ₹5,000 = **₹49,500**. 6. **Additional tax u/s 140B:** filed within **12 months** ⚠ from end of AY (end of AY = 31 Mar 2025; 5 May 2026 is within 12–24-month band) → **50% ⚠** of (tax +

interest). - Additional tax = $50\% \times (\text{₹}32,500 + \text{₹}12,000) = 50\% \times \text{₹}44,500 = \text{₹}22,250$. (140B additional tax is on tax + interest, not on the late fee.) 7. **Total payable with ITR-U = ₹32,500 + ₹12,000 + ₹5,000 + ₹22,250 = ₹71,750.**

Reconciliation check: additional tax band (25% if within 12 months of AY-end; 50% if 12–24 months; 60%/70% for later extended bands Δ). Confirm the band by counting months from **end of AY**, not from due date.

SECTION C — Past-Paper-Style Full Questions

C1. "Examine with reasons whether the following persons must file a return u/s 139(1) for AY 2025-26." Δ

(a) A private company with nil income. (b) An individual (age 45) with gross total income ₹2,80,000 before 80C deduction of ₹40,000. (c) A resident individual, income ₹2,00,000, who deposited ₹1.5 crore in a current account.

Model Answer. - (a) Company must file **irrespective of income/loss** — Sec 139(1) proviso (clause a/b covers companies & firms). **Return mandatory.** - (b) GTI ₹2,80,000 is compared **before** Chapter VI-A deduction. Basic exemption Δ ₹2,50,000 (old regime). $\text{₹}2,80,000 > \text{₹}2,50,000 \rightarrow$ **return mandatory**, even though income after 80C (₹2,40,000) falls below the limit. Classic trap: the limit test is on income *before* deductions. - (c) Income ₹2,00,000 < exemption limit, but deposit of ₹1.5 crore (> ₹1 crore) in a current account triggers the **7th proviso** $\rightarrow$ **return mandatory**.

C2. "Mr. D filed his original return on 25 Jul 2025 (due date 31 Jul 2025) but later found he omitted interest income of ₹50,000. Advise on revising, and till when."

Model Answer. - Omission in a filed return is corrected by a **revised return u/s 139(5)**. Original was filed on time, so revision is available. - Deadline: **31 Dec 2025** (three months before end of AY) or completion of assessment, whichever is **earlier**. - A revised return **substitutes** the original entirely; the original is treated as withdrawn. Multiple revisions are allowed within the time limit. No 234F fee purely for revising (original was timely), but 234B/234C interest on the additional tax on ₹50,000 applies.

C3. "State the consequences of a defective return u/s 139(9) and the assessee's remedy."

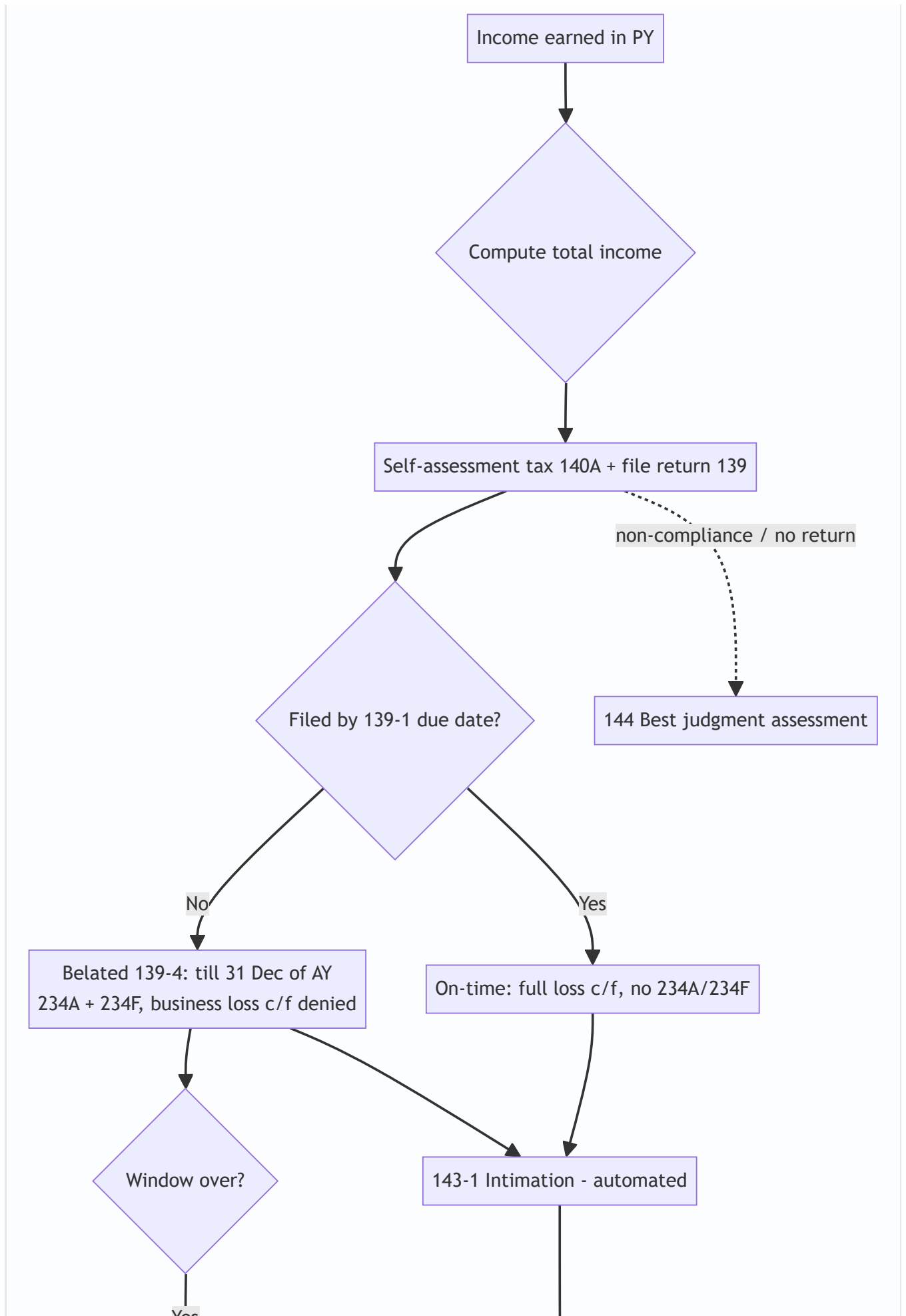
Model Answer. - AO issues a notice specifying the defect; assessee has **15 days** (AO may extend on application) to rectify. - If **cured within time** $\rightarrow$ return valid from original date of filing. - If **not cured** $\rightarrow$ return treated as **invalid** — legal position is as if **no return was filed**, exposing the assessee to 139(4) belated consequences, 234A/234F, best-judgment assessment u/s 144, and loss of carry-forward benefits. - If the assessee rectifies after 15 days but before assessment is completed, the AO **may** condone the delay and treat it as valid.

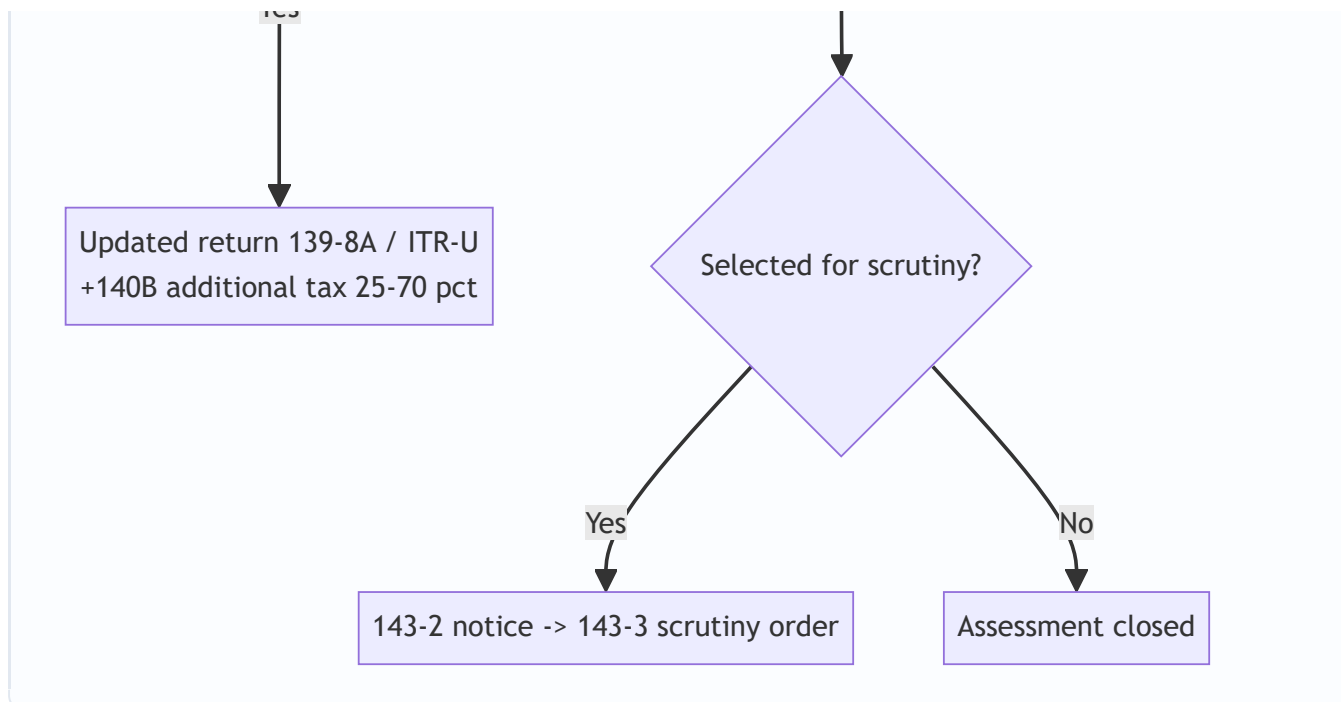
C4. "Explain the assessment ladder and how each stage escalates."

Model Answer. - **140A Self-assessment:** assessee pays tax + interest + fee before filing; foundation of self-declaration. - **143(1) Intimation:** automated; only apparent adjustments (arithmetical errors, internally inconsistent/incorrect claims); refund/demand computed. No hearing. - **143(3) Scrutiny:** requires **143(2)**

notice served within the prescribed period; AO examines evidence, hears assessee, passes reasoned order. -
144 Best judgment: invoked on non-compliance/non-filing; AO estimates income *fairly* after giving a show-cause opportunity; can't be arbitrary. - Escalation logic: cheap/automated verification first, human scrutiny only for flagged cases, coercive estimation only when the taxpayer breaks the bargain.

Assessment / Return Flow (Mermaid)





SECTION D — MCQs & Case Scenarios

D1. The due date u/s 139(1) for a company (not requiring transfer-pricing report) for AY 2025-26 is: Δ (a) 31 Jul (b) **31 Oct** (c) 30 Nov (d) 31 Dec **Answer: (b).** Companies (and any assessee requiring audit) $\rightarrow$ 31 Oct; TP cases (92E report) $\rightarrow$ 30 Nov.

D2. A belated return u/s 139(4) for AY 2025-26 can be filed latest by: Δ (a) 31 Mar 2026 (b) **31 Dec 2025** (c) 31 Jul 2025 (d) 30 Sep 2026 **Answer: (b).** 31 Dec of the AY, or before assessment, whichever earlier.

D3. Which loss can be carried forward even if the return is belated? (a) Business loss (b) Speculation loss (c) **Unabsorbed depreciation** (d) Capital loss **Answer: (c).** Sec 32(2) is outside the 80/139(3) timely-filing bar.

D4. Maximum 234F fee where total income exceeds ₹5,00,000: Δ (a) ₹1,000 (b) **₹5,000** (c) ₹10,000 (d) ₹200/day **Answer: (b).** ₹5,000; reduced to ₹1,000 if total income $\leq$ ₹5 lakh.

D5. An updated return u/s 139(8A) **cannot** be filed if it: (a) increases income (b) **results in a refund or reduces total income** (c) pays additional tax (d) discloses a new source **Answer: (b).** ITR-U only for *additional* income/tax; no loss, no refund, no reduction.

D6. Sec 143(1) intimation permits the AO to: (a) examine books (b) **make arithmetical corrections/disallow apparent incorrect claims** (c) estimate income (d) impose penalty for concealment **Answer: (b).** 143(1) is automated; no judgment or hearing.

D7 (Case). Ms. E's PAN is not linked with Aadhaar. She files a return. Consequence? **Answer:** Under **139AA**, PAN becomes **inoperative** — return not processed, refunds withheld, and **higher TDS/TCS** rates apply until linkage. She must link (with fee) to make PAN operative.

D8 (Case). Mr. F, non-resident, earns only ₹1,80,000 Indian income (below limit) but wants to carry forward a capital loss of ₹2,00,000. Must he file, and by when? **Answer:** To carry forward the capital loss (Sec 74 read with **139(3)**), the return **must be filed within the 139(1) due date**. Though income is below the exemption limit, he must file **on time** to preserve the loss; a belated return forfeits carry-forward. Residential status affects scope of income but not this timing rule.

D9. 234B interest is charged when advance tax paid is less than: (a) 100% (b) **90%** (c) 75% (d) 45% of assessed tax **Answer: (b).** < 90% of assessed tax attracts 234B (1% p.m. from 1 Apr of AY).

D10 (Case). A firm files its return showing a business loss on 5 Nov 2025 (due date 31 Oct 2025). AO issues a 143(2) notice and later a 144 order. Identify the errors in the firm's position. **Answer:** (i) Filing on 5 Nov is **belated** → business loss carry-forward **denied** (Sec 80). (ii) 234A + 234F apply. (iii) A 143(2)/143(3) route needs cooperation; failure invites **144 best judgment**. The firm should have filed by 31 Oct to protect the loss and avoid escalation.

Quick-Revision Trap List (examiner favourites)

1. Exemption-limit test is on income **before** Chapter VI-A.
2. Companies/firms file **even at nil/loss**.
3. **Depreciation & HP loss** carry forward on belated return; **other losses don't**.
4. Revised return **replaces** original; belated return **can** be revised.
5. **139(8A)** never for refund/loss/reduced income.
6. 234F: ₹5,000 (> ₹5L) vs ₹1,000 (≤ ₹5L).
7. 234A from **day after due date**; 234B from **1 Apr of AY**.
8. 140B additional tax counts months from **end of AY**, on **tax + interest** (not fee).
9. Defective return uncured = **invalid = never filed**.
10. Inoperative PAN (Aadhaar not linked) → return not processed + higher TDS.

First-principles recap: **declare honestly (140A), file on time (139(1)) to keep your rights (losses, no fees), and the State verifies proportionately (143(1)→143(3)→144)**. Every penalty (234A/B/C/F) prices a specific breach of that bargain.

Chapter 12 — Computation of Total Income & Tax Liability

Rates / limits / regime flag: Slab rates, the default status of the new regime (Sec 115BAC), the rebate ceiling under Sec 87A, surcharge thresholds and caps, and even the LTCG rate under Sec 112A have all been repeatedly amended by recent Finance Acts. This chapter fixes the **sequence and the logic** — which never changes — and treats the numbers as *plug-in values*. **Always verify the exact slab rates, the 87A rebate limit, surcharge slabs and the applicable Assessment Year against current ICAI study material for your attempt.** Figures used here reflect the widely examined **AY 2025-26** position; confirm before your sitting.

1. The Problem — Five separate streams, one taxpayer, one tax

Every earlier chapter taught you to compute income under *one* head in isolation. A salaried consultant might simultaneously draw a salary, rent out a flat, trade in shares, run a small proprietary side-business, and earn bank interest. By the time you finish Chapters 3 to 6 you can compute each of these five figures perfectly — but the Income-tax Act does **not** tax a person head-by-head. It taxes a *person* on a *single* number called **Total Income**.

So a real problem appears the moment you have more than one source:

Problem 1 — Heads must be combined, but not naively. You cannot simply add five positive numbers. What if the house property shows a *loss* (interest on housing loan exceeds rent)? What if the business made a loss? Losses in one head may or may not be allowed to reduce income of another head, and the rules differ by head. A wrong set-off produces the wrong Total Income and the wrong tax.

Problem 2 — Some income isn't really the taxpayer's — it was diverted. A person can try to shrink his own income by parking assets in a spouse's or minor child's name. The law must *claw that income back* (clubbing) **before** it lets losses and deductions apply, or the whole edifice can be gamed.

Problem 3 — Not all income is taxed at the same rate. Long-term capital gains, short-term gains on listed shares, and lottery winnings each carry their **own** special rate. If you dumped them into the slab system, you would either over-tax or under-tax them. So Total Income must be *split* into "special-rate income" and "normal-rate income" before tax is applied.

Problem 4 — Deductions, rebates, surcharge and cess each attach at a different stage. Chapter VI-A deductions come off *before* Total Income; the 87A rebate comes off the *tax*; surcharge is a percentage *of tax*; cess sits *on top of tax-plus-surcharge*. Apply them in the wrong order and every downstream figure is wrong.

The single skill this chapter builds is **assembly** — taking five verified head-figures and driving them through a **fixed pipeline** to arrive at tax payable. In the exam this is the "full computation" question, and it is where marks are won or lost not on knowing a section, but on **doing the steps in the right order**.

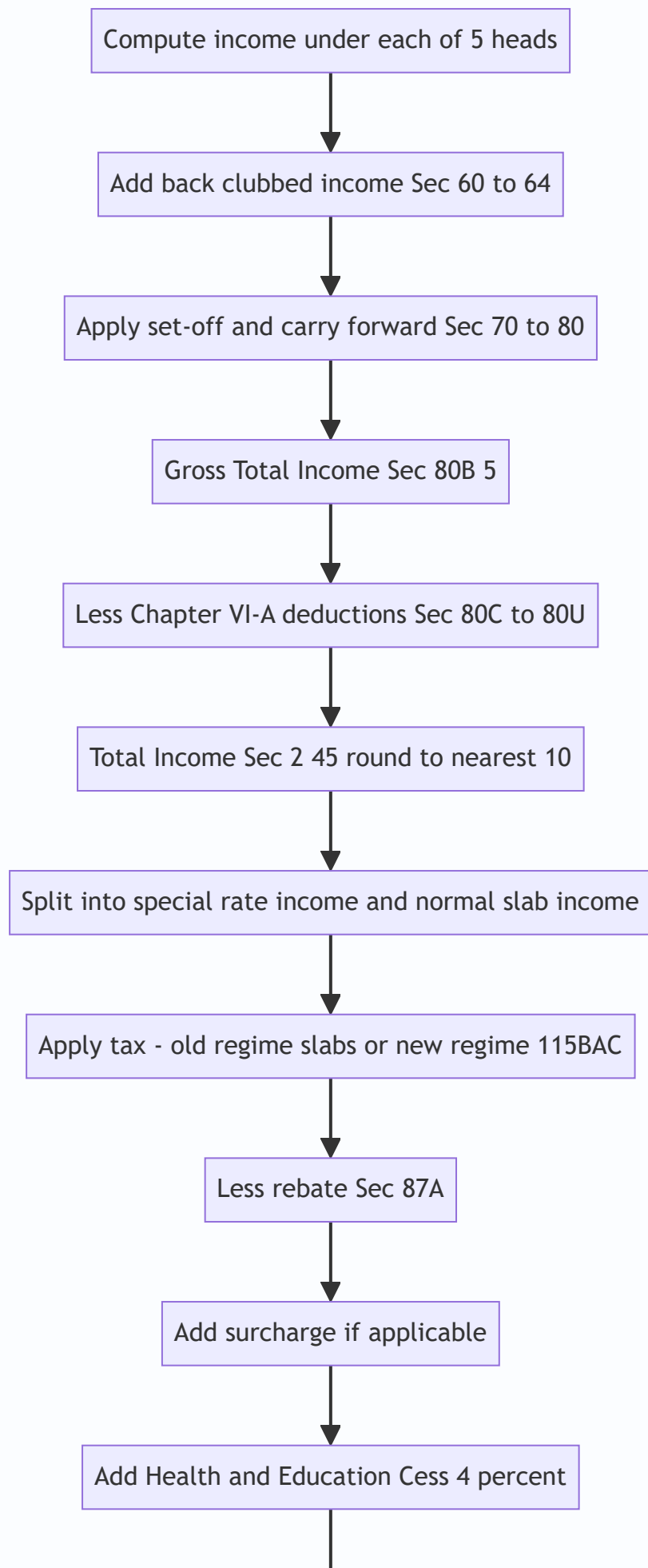
2. The Core Idea

Total Income is built bottom-up in a strict, non-negotiable order — aggregate the five heads, claw back clubbed income, apply inter-head set-off and carry-forward, arrive at Gross Total Income, subtract Chapter VI-A deductions to get Total Income, then split it into special-rate and slab-rate portions, apply the chosen regime's rates, and finally layer rebate → surcharge → cess → relief to reach the tax actually payable.

The order is not a convention — it is *logically forced*. Each step consumes the output of the previous one and cannot run before it:

1. You cannot set off a loss until you know each head's figure (so **aggregation** precedes **set-off**).
2. You cannot set off *your* losses against income that was never truly yours (so **clubbing** precedes **set-off**).
3. Chapter VI-A deductions are capped at Gross Total Income and cannot be claimed against most special-rate incomes (so **GTI** must exist first, and **special incomes** must be identified).
4. A rebate is a discount *on tax*, so **tax** must be computed before **rebate**; surcharge is a levy on high **tax**, so it follows; cess funds education and health *on the whole tax bill*, so it sits last but one; relief for double-taxed or bunched income is the final adjustment.

Memorise the pipeline as a chant: **Heads → Club → Set-off → GTI → VI-A → TI → Rate → Rebate → Surcharge → Cess → Relief → Tax Payable → less prepaid taxes**. Everything else in this chapter is that chant, expanded.



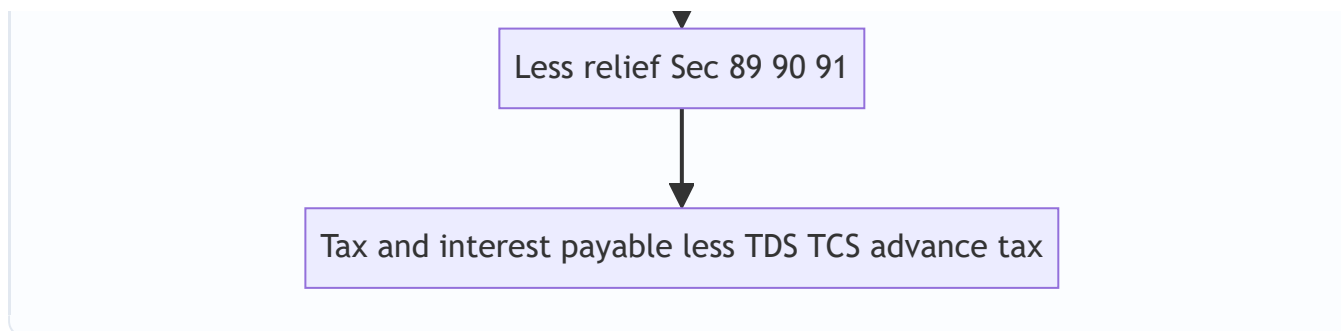


Figure 1 — The master computation pipeline. Every full-computation question is a walk down this single ladder.

3. Why It's Built This Way — the design logic behind each stage

Before the sections, understand *why* each rung exists. Every rule below is one of these design choices in disguise.

Stage	The problem it solves	How the Act implements it
Five separate heads (Sec 14)	Different incomes need different rules	Salary, House Property, PGBP, Capital Gains, Other Sources
Clubbing (Sec 60-64)	Income-splitting within a family	Deemed inclusion in transferor's income
Set-off (Sec 70-71)	Loss in one activity is a real economic loss	Intra-head then inter-head adjustment
Carry-forward (Sec 72-74A)	A loss too big for this year is still real	Carried to future years with head restrictions
GTI cap on VI-A (Sec 80A)	You cannot deduct more than you earned	VI-A deductions $\leq$ GTI, cannot create a loss
Special rates (111A, 112, 112A, 115BB)	Some income is not "ordinary"	Taxed at flat rates, outside the slab
Rebate 87A	Small taxpayers should pay nothing	Rebate wipes out tax below a threshold
Surcharge	The very rich should pay proportionately more	Percentage add-on above income thresholds
Cess	Earmarked funding for health and education	4 percent on tax + surcharge
Relief 89 / 90 / 91	Bunching of arrears and double taxation are unjust	Spread-back and foreign-tax credit

The elegance is that **the pipeline is a filter that gets progressively narrower and more precise**. Early stages decide *how much* is income; middle stages decide *how much is taxable*; late stages decide *how much tax*; the last stage decides *how much cash to send the government*. Each stage answers exactly one question, and answers it completely, before handing off.

4. Full Technical Content

4.1 Stage 1 — Aggregate the five heads (Sec 14)

Section 14 classifies **all** income into five heads. You compute each head's net figure using its own chapter's rules, then list them:

Head	Governing sections	Note
Salaries	15-17	After standard deduction
Income from House Property	22-27	After 30 percent standard deduction and interest
Profits & Gains of Business or Profession	28-44	After all allowances / disallowances
Capital Gains	45-55A	Split into STCG and LTCG, some at special rates
Income from Other Sources	56-59	The residuary head

At this stage a head can be **negative** (a loss) — except that certain heads (e.g., salary) cannot be negative, and long-term capital *gain* cannot be reduced by a short-term loss beyond the set-off rules. Keep each head's figure separate; do not net across heads yet.

4.2 Stage 2 — Clubbing of income (Sec 60-64)

Why first: If a taxpayer transfers *income* without transferring the *asset*, or diverts income to a spouse / minor / son's wife, the Act treats that income as still belonging to the transferor. This must happen **before** set-off, because otherwise a taxpayer could shed income to a relative and then set his own losses against a now-artificially-low income.

Key provisions (each detailed in the clubbing chapter): - **Sec 60** — transfer of income without transfer of asset → clubbed. - **Sec 64(1)(ii)/(iv)/(vi)/(vii)** — income to spouse / son's wife from transferred assets → clubbed. - **Sec 64(1A)** — minor child's income clubbed with the parent whose income is higher, with an exemption of **₹1,500 per child** (Sec 10(32)). - **Sec 64(2)** — income of HUF from converted individual property.

The clubbed amount is added to the *relevant head* of the transferor (e.g., clubbed interest goes under Other Sources).

4.3 Stage 3 — Set-off and carry-forward (Sec 70-80)

This is the most error-prone stage. Two levels:

Intra-head set-off (Sec 70): A loss under a head is first set off against income under the *same* head.

Exceptions that examiners love: - **Speculation business loss** — only against speculation profit. - **Long-term capital loss (LTCL)** — only against **long-term** capital gain (never STCG). - **Short-term capital loss (STCL)** — against STCG **or** LTCG. - **Loss from owning/maintaining race horses** — only against same.

Inter-head set-off (Sec 71): A loss remaining under one head is set off against income under *another* head, **with restrictions**: - **House property loss** — set off against any head but **capped at ₹2,00,000** per year against other heads (Sec 71(3A)); the balance is carried forward. - **Capital gains loss** — *cannot* be set off against any other head at all. - **Business loss** — cannot be set off against **salary**. - **Casual income (lottery etc.)** — no loss can be set off against it, and it cannot be reduced by any deduction.

Carry-forward (Sec 72-74A): What survives set-off is carried forward, each with its own life and its own restriction on *what it can later be set off against*:

Loss type	Section	Carry-forward period	Can be set off in future only against
House property loss	71B	8 years	House property income
Non-speculation business loss	72	8 years	Business income (any business)
Speculation loss	73	4 years	Speculation income
Specified business (35AD) loss	73A	Indefinite	Specified business income
Short-term capital loss	74	8 years	STCG or LTCG
Long-term capital loss	74	8 years	LTCG only
Race-horse loss	74A	4 years	Race-horse income
Unabsorbed depreciation	32(2)	Indefinite	Any income except salary

Memory hook: "*Business and capital losses need the return filed on time (Sec 139(1)) to be carried forward; house property loss and unabsorbed depreciation do not.*" This is Sec 80's condition — file late and you forfeit carry-forward of business/capital/speculation/race-horse losses.

The output of this stage — each head's figure after all legitimate set-offs — sums to **Gross Total Income**.

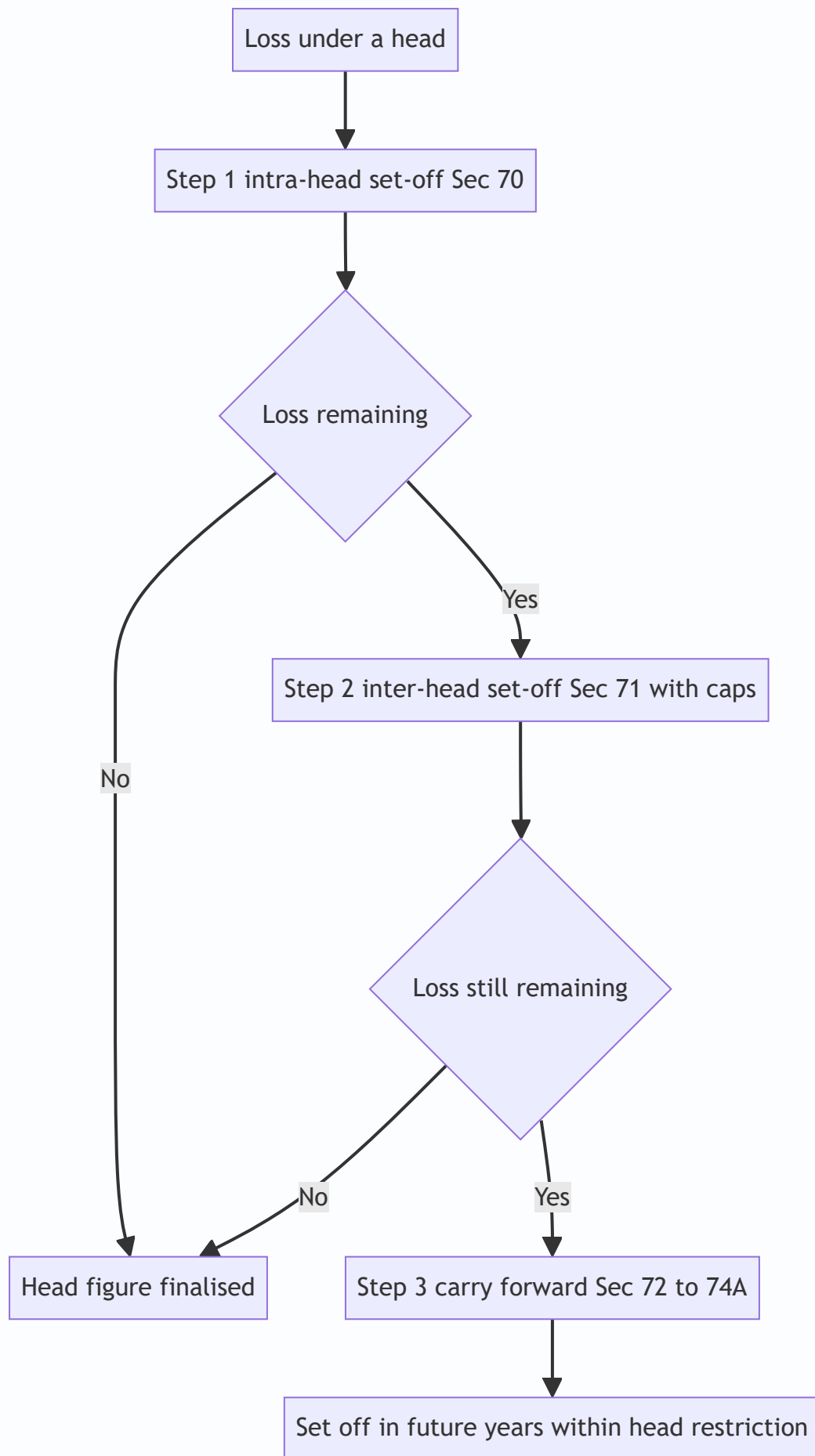


Figure 2 — The three-step waterfall for any loss: same head first, other heads next subject to caps, then carry forward.

4.4 Stage 4 — Gross Total Income (Sec 80B(5))

GTI = sum of the five heads after clubbing and set-off, before Chapter VI-A deductions. This definition matters because Chapter VI-A caps most deductions at GTI — you cannot deduct your way into a loss.

4.5 Stage 5 — Chapter VI-A deductions (Sec 80C to 80U)

Why after GTI, not within a head: These deductions are *policy incentives* (save, insure, donate, repay education loans) granted to the *person*, not features of any income stream. So they sit after all heads are combined.

Two golden restrictions (Sec 80A): 1. Total Chapter VI-A deductions **cannot exceed GTI** — they can reduce Total Income to nil but never below. 2. Deductions under this Chapter are **not allowed against:** LTCG (112/112A), STCG on listed shares (111A), and casual income (115BB). So you must **first remove these special-rate incomes from GTI** and grant VI-A deductions only against the *balance*.

The most examined deductions (verify limits for your AY):

Section	For	Ceiling / rule
80C	LIC, PPF, ELSS, principal on housing loan, tuition fees, 5-yr FD	₹1,50,000 (combined with 80CCC & 80CCD(1))
80CCD(1B)	Additional NPS self-contribution	₹50,000 (over and above 80C)
80CCD(2)	Employer's NPS contribution	10 percent of salary (14 percent for govt / new regime)
80D	Health insurance premium	₹25,000 self/family; ₹50,000 if senior; +₹50,000 for senior parents
80DD / 80DDB / 80U	Disabled dependant / medical treatment / self-disability	Fixed amounts
80E	Interest on education loan	No cap, 8 years
80EEA	Interest on affordable housing loan	₹1,50,000 (subject to conditions)
80G	Donations	50 percent or 100 percent, some with 10 percent-of-adjusted-GTI cap
80GG	Rent paid (no HRA)	Least of ₹5,000 p.m. / 25 percent of AGTI / rent minus 10 percent AGTI
80TTA / 80TTB	Savings interest / senior citizen interest	₹10,000 / ₹50,000

Critical trap: Under the **default new regime (Sec 115BAC)**, almost all Chapter VI-A deductions are **not available** — the only survivors are **80CCD(2)** (employer NPS) and **80CCH** (Agniveer). Standard deduction from salary and family pension deduction *are* allowed. So the regime choice at Stage 6 actually decides how much of Stage 5 you may claim. In practice you compute Stage 5 conditionally on the regime.

4.6 Stage 6 — Total Income (Sec 2(45)) and rounding (Sec 288A)

Total Income = GTI – Chapter VI-A deductions. Round off to the nearest **₹10** (Sec 288A). This is the figure on which tax is charged.

4.7 Stage 7 — Split Total Income and apply rates

Total Income is now split: - **Special-rate income** — taxed at flat rates regardless of slab. - **Normal income (balance)** — taxed at slab / regime rates.

Special rates (verify for AY):

Income	Section	Rate
STCG on listed equity (STT paid)	111A	15 percent (20 percent for transfers on/after 23-Jul-2024)
LTCG on listed equity above threshold	112A	10 percent above ₹1,00,000 (12.5 percent above ₹1,25,000 for transfers on/after 23-Jul-2024)
Other LTCG	112	20 percent with indexation / 12.5 percent without (post-23-Jul-2024)
Winnings — lottery, betting, games	115BB / 115BBJ	30 percent flat, no deduction, no basic-exemption benefit

Basic-exemption absorption: A **resident individual/HUF** may use the *unexhausted* basic exemption limit against **111A and 112/112A** income (but never against 115BB casual income). Non-residents cannot.

Slab rates on the balance. The taxpayer chooses (or defaults into) one of two regimes.

New regime (Sec 115BAC) — the DEFAULT since AY 2024-25. To *opt out* into the old regime, a person with business income must file **Form 10-IEA**; a salaried person without business income may simply choose each year in the return.

New regime slabs (AY 2025-26 — verify):

Total Income slab	Rate
Up to ₹3,00,000	Nil
₹3,00,001 – ₹7,00,000	5 percent
₹7,00,001 – ₹10,00,000	10 percent
₹10,00,001 – ₹12,00,000	15 percent
₹12,00,001 – ₹15,00,000	20 percent
Above ₹15,00,000	30 percent

Old regime slabs (individual < 60 yrs):

Total Income slab	Rate
Up to ₹2,50,000	Nil
₹2,50,001 – ₹5,00,000	5 percent
₹5,00,001 – ₹10,00,000	20 percent
Above ₹10,00,000	30 percent

Basic exemption is **₹3,00,000** for resident seniors (60–80) and **₹5,00,000** for super-seniors (80+) under the *old* regime only; the new regime gives everyone the same ₹3,00,000.

4.8 Stage 8 — Rebate under Sec 87A

Why: A relief so that small taxpayers pay **zero**. It is a rebate *on tax*, available only to a **resident individual**.

Regime	Total Income ceiling	Maximum rebate
Old	₹5,00,000	₹12,500
New (115BAC)	₹7,00,000	₹25,000

Marginal relief (new regime): Just above ₹7,00,000, the tax must not exceed the income in excess of ₹7,00,000 — so a person earning ₹7,10,000 does not pay ₹25,500 tax on ₹10,000 of extra income. Rebate is **not** available against tax on **112A LTCG** (and, under some readings, other special incomes) — verify current position.

4.9 Stage 9 — Surcharge

Why: Progressivity beyond the top slab — the very rich pay an extra percentage *of their tax*.

Surcharge rates (verify):

Total Income	Surcharge (old regime)	Surcharge (new regime)
₹50 lakh – ₹1 crore	10 percent	10 percent
₹1 crore – ₹2 crore	15 percent	15 percent
₹2 crore – ₹5 crore	25 percent	25 percent
Above ₹5 crore	37 percent	25 percent (capped)

Two crucial caps: 1. Surcharge on tax attributable to **111A, 112, 112A and dividend** income is **capped at 15 percent**, even if total income exceeds ₹2 crore. 2. **Marginal relief** applies at every threshold: the increase in (tax + surcharge) cannot exceed the increase in income above the threshold.

4.10 Stage 10 — Health & Education Cess

Flat 4 percent on (tax after rebate + surcharge). It funds health and education and is **not** subject to any exemption.

4.11 Stage 11 — Relief (Sec 89, 90, 91) and AMT

- **Sec 89(1)** — relief for **salary arrears / advance** received in a lump sum, spreading the bunched amount back over the years it related to (Form 10E must be filed). This directly cures the "bunching" injustice.
- **Sec 90 / 90A** — foreign tax credit where a **DTAA** exists.
- **Sec 91** — unilateral relief where no DTAA exists.
- **AMT (Sec 115JC)** — Alternate Minimum Tax at 18.5 percent (plus surcharge/cess) of *adjusted total income* applies to non-corporate taxpayers claiming certain deductions; the higher of normal tax and AMT is payable, with AMT credit carried forward. (Largely irrelevant if the new regime is chosen.)

4.12 Stage 12 — Tax payable and rounding (Sec 288B)

From tax-plus-cess-minus-relief, subtract **prepaid taxes**: TDS, TCS, advance tax and self-assessment tax. Add **interest under Sec 234A/B/C** for defaults. The final tax payable (or refund) is **rounded to the nearest ₹10** (Sec 288B).

5. Worked Examples

Example 1 — The clean single-regime computation (easy)

Mr. A, resident, age 40, AY 2025-26, opts for the OLD regime. Salary income ₹8,00,000 (after standard deduction). Bank savings interest ₹12,000. He invested ₹1,50,000 in PPF (80C) and paid ₹20,000 health insurance (80D).

Step	₹
Salaries	8,00,000
Income from Other Sources (interest)	12,000
Gross Total Income	8,12,000
Less 80C (PPF)	(1,50,000)
Less 80D	(20,000)
Less 80TTA (savings interest, max ₹10,000)	(10,000)
Total Income	6,32,000

Tax (old slabs): 0–2.5L nil; 2.5–5L @5% = ₹12,500; 5L–6.32L @20% = ₹26,400. **Tax = ₹38,900.** 87A? Total income > ₹5L → no rebate. Cess @4% = ₹1,556. **Tax payable = ₹40,456 → ₹40,460 (rounded).**

Reconciliation: 12,500 + 26,400 = 38,900; + 1,556 cess = 40,456; rounded to 40,460. ✓

Example 2 — Set-off, special-rate income, and the VI-A cap (medium)

Ms. B, resident, age 45, AY 2025-26, OLD regime. Business income ₹6,00,000. House property LOSS ₹2,80,000. LTCG on sale of land (Sec 112, indexed) ₹3,00,000. STCG on listed shares (111A) ₹1,00,000. She paid ₹1,50,000 into ELSS (80C).

Stage 3 — set-off: House property loss ₹2,80,000. Inter-head set-off against other heads is **capped at ₹2,00,000** (Sec 71(3A)). Set off ₹2,00,000 against business income → business income becomes ₹4,00,000.

Balance HP loss ₹80,000 is **carried forward** (Sec 71B).

Can HP loss be set against LTCG/STCG? The ₹2,00,000 cap is the overall inter-head limit; here we absorbed it against business income. We will **not** touch the special-rate incomes (better to preserve them for their own rates and the basic-exemption absorption). GTI is built as follows:

Head	₹
Business income (after ₹2L HP set-off)	4,00,000
LTCG (Sec 112)	3,00,000
STCG (Sec 111A)	1,00,000
Gross Total Income	8,00,000

Stage 5 — VI-A: 80C ELSS ₹1,50,000. But it **cannot** be claimed against LTCG (112) or STCG (111A). So 80C is set only against the **normal income** of ₹4,00,000 → normal income becomes ₹2,50,000.

	₹
Normal income after 80C	2,50,000
LTCG (112)	3,00,000
STCG (111A)	1,00,000
Total Income	6,50,000

Stage 7 — tax with basic-exemption absorption (resident): - Normal income ₹2,50,000 falls exactly at the ₹2,50,000 exemption limit → tax nil, and the basic exemption is **fully used up** by normal income, so **nothing is left** to shelter the special incomes. - STCG 111A: ₹1,00,000 @ 15% = ₹15,000. - LTCG 112: ₹3,00,000 @ 20% = ₹60,000. - **Tax before rebate = ₹75,000.**

Stage 8 — 87A: Total income ₹6,50,000 > ₹5,00,000 (old regime) → no rebate. **Cess @4%** on ₹75,000 = ₹3,000. **Tax payable = ₹78,000.**

Reconciliation: 15,000 + 60,000 = 75,000; cess 3,000; total 78,000. Carried-forward HP loss ₹80,000 noted for future. ✓

Teaching point: Had the normal income been *below* ₹2,50,000, the unused exemption would have been absorbed **against the STCG first** (lower-rate benefit is preserved for LTCG), reducing tax further. This is the classic examiner variation.

Example 3 — Full multi-head computation, both regimes compared (exam-hard)

Mr. C, resident, age 52, AY 2025-26. Compute Total Income and tax under BOTH regimes and advise.

- Salary: Basic + DA ₹12,00,000; HRA received ₹2,40,000 (exempt u/s 10(13A) = ₹1,80,000 under old regime); professional tax ₹2,500.
- House property (self-occupied): interest on housing loan ₹2,10,000.
- Business income: ₹3,00,000.
- LTCG on listed shares (112A, STT paid), transfer in June 2024: ₹1,60,000.
- Interest on savings account: ₹18,000; interest on FD: ₹40,000.

- Investments: 80C ₹1,50,000; 80D ₹25,000; 80CCD(1B) NPS ₹50,000; employer NPS contribution 80CCD(2) ₹1,20,000 (10% of salary).

Step A — Salary figure.

	Old regime ₹	New regime ₹
Basic + DA	12,00,000	12,00,000
HRA received	2,40,000	2,40,000
Less HRA exemption 10(13A)	(1,80,000)	(0) — not available
Gross salary	12,60,000	14,40,000
Less standard deduction	(50,000)	(75,000)
Less professional tax	(2,500)	(0) — not available
Salary income	12,07,500	13,65,000

(New regime: standard deduction ₹75,000 for AY 2025-26; HRA exemption and professional tax not allowed. Verify figures.)

Step B — House property (self-occupied). Interest deduction capped at ₹2,00,000 (old regime). Under new regime, self-occupied interest is **not** allowed. - Old: House property loss = **(₹2,00,000)**. - New: **Nil**.

Step C — assemble GTI.

Head	Old ₹	New ₹
Salary	12,07,500	13,65,000
House property	(2,00,000)	0
Business	3,00,000	3,00,000
LTCG 112A	1,60,000	1,60,000
Other sources (18,000 + 40,000)	58,000	58,000
Gross Total Income	15,25,500	18,83,000

(HP loss of ₹2,00,000 is within the ₹2,00,000 inter-head cap, so fully set off in the old regime.)

Step D — Chapter VI-A. Deductions cannot be set against LTCG (112A). Separate the LTCG.

Old regime: || ₹ || ---|---| | Income other than LTCG (15,25,500 – 1,60,000) | 13,65,500 | | Less 80C | (1,50,000) | | Less 80CCD(1B) | (50,000) | | Less 80D | (25,000) | | Less 80CCD(2) employer NPS | (1,20,000) | | Less 80TTA (savings, max 10,000) | (10,000) | | Net normal income | 10,10,500 | | Add LTCG 112A | 1,60,000 | | **Total Income | 11,70,500 |**

New regime: only **80CCD(2)** survives. || ₹ || ---|---| | Income other than LTCG (18,83,000 – 1,60,000) | 17,23,000 | | Less 80CCD(2) | (1,20,000) | | Net normal income | 16,03,000 | | Add LTCG 112A | 1,60,000 | | **Total Income | 17,63,000 |**

Step E — tax on Total Income.

Old regime: Normal income ₹10,10,500. - 0–2.5L: nil - 2.5–5L @5% = 12,500 - 5–10L @20% = 1,00,000 - 10,00,000–10,10,500 @30% = 3,150 - Tax on normal = **1,15,650** - LTCG 112A: gain ₹1,60,000; first ₹1,00,000 exempt; balance ₹60,000 @10% = **6,000** (transfer before 23-Jul-2024, so 10% and ₹1,00,000 threshold — verify). - Tax before rebate = 1,21,650. 87A? TI > ₹5L → no. - Surcharge? TI < ₹50L → none. - Cess @4% = 4,866. **Old-regime tax = ₹1,26,516 → ₹1,26,520.**

New regime: Normal income ₹16,03,000. - 0–3L: nil - 3–7L @5% = 20,000 - 7–10L @10% = 30,000 - 10–12L @15% = 30,000 - 12–15L @20% = 60,000 - 15,00,000–16,03,000 @30% = 30,900 - Tax on normal = **1,70,900** - LTCG 112A: ₹60,000 @10% = **6,000**. - Tax before rebate = 1,76,900. 87A? TI > ₹7L → no. Surcharge? none. - Cess @4% = 7,076. **New-regime tax = ₹1,83,976 → ₹1,83,980.**

Step F — advise. Old regime tax ₹1,26,520 vs new regime ₹1,83,980. **The old regime saves ₹57,460**, driven by the large HRA exemption, self-occupied interest, and ₹2,00,000+ of Chapter VI-A deductions. Mr. C should **opt out into the old regime** (file the return accordingly).

Reconciliation check (old): 12,500 + 1,00,000 + 3,150 = 1,15,650 normal tax; + 6,000 LTCG = 1,21,650; + cess 4,866 = 1,26,516 → 1,26,520. ✓

Teaching point: The regime decision is *not* a slab comparison — it is a comparison of **entire computations**, because the regime changes which deductions and exemptions exist. Always compute both fully.

6. Computation Format (the master template)

Reproduce this skeleton in every full-computation answer — examiners award method marks for the structure itself.

COMPUTATION OF TOTAL INCOME OF <Name> FOR AY <____>

Regime: Old / New

I. Income from Salaries	xxx
II. Income from House Property	xxx
III. Profits & Gains of Business or Profession	xxx
IV. Capital Gains (show STCG-111A, LTCG-112A, LTCG-112 separately)	xxx
V. Income from Other Sources	xxx
Add: Income clubbed u/s 60-64	xxx
Less/Adjust: Inter-head set-off u/s 71 (HP loss cap 2,00,000)	xxx
GROSS TOTAL INCOME (Sec 80B(5))	xxx
Less: Deductions under Chapter VI-A (Sec 80C-80U)	(xxx)
[not against 111A/112/112A/115BB incomes]	
TOTAL INCOME (Sec 2(45)) [round off to nearest ₹10, Sec 288A]	xxx

COMPUTATION OF TAX LIABILITY

Tax on special-rate income (111A @15/20%; 112A; 112; 115BB @30%)	xxx
Tax on balance at slab / regime rates	xxx
[resident: absorb unused basic exemption vs 111A then 112/112A]	
Tax before rebate	xxx
Less: Rebate u/s 87A	(xxx)
Add: Surcharge (with 15% cap on 111A/112/112A; marginal relief)	xxx
Add: Health & Education Cess @ 4%	xxx
Less: Relief u/s 89 / 90 / 91	(xxx)
TAX AND INTEREST PAYABLE	xxx
Less: TDS / TCS / Advance tax / Self-assessment tax	(xxx)
Add: Interest u/s 234A / 234B / 234C	xxx
NET TAX PAYABLE / (REFUND) [round off to nearest ₹10, Sec 288B]	xxx

7. Connections

- **All head chapters (3-6, 11):** their output figures are the *inputs* to Stage 1. This chapter is where they converge.
- **Clubbing chapter (Sec 60-64):** feeds Stage 2; a clubbing error propagates through the entire pipeline.

- **Set-off & carry-forward chapter (Sec 70-80):** is Stage 3; the return-filing deadline (Sec 139(1)) links to carry-forward via Sec 80.
 - **Deductions chapter (Chapter VI-A):** is Stage 5; the regime choice (Sec 115BAC) toggles it on/off.
 - **Basic Concepts (Chapter 1):** residential status decides basic-exemption absorption and 87A eligibility; the definition of "person" and "assessment year" frame the whole exercise.
 - **Advance tax / TDS / Return filing (later chapters):** Stage 12's prepaid-tax subtraction and Sec 234 interest connect forward.
 - **Capital Gains (Chapter 6):** supplies the special-rate incomes (111A/112/112A) that must be carved out at Stages 5 and 7.
-

8. Traps & Examiner Tricks

1. **Netting heads before set-off.** Students add a house-property loss straight into salary without the **₹2,00,000 cap** (Sec 71(3A)). Always apply intra-head first, then capped inter-head, then carry forward.
 2. **Claiming VI-A against special incomes.** 80C etc. **cannot** reduce LTCG (112/112A), STCG (111A) or casual income (115BB). Carve these out *before* deductions.
 3. **Forgetting basic-exemption absorption order.** For residents, unused exemption is used against **STCG 111A first**, then LTCG — never against casual income. Non-residents get **no** absorption.
 4. **Applying 87A rebate on LTCG tax.** Rebate does not shelter 112A LTCG tax (verify current stance). Also, 87A is only for **residents**.
 5. **Wrong regime deductions.** Under the **default new regime**, HRA, LTA, self-occupied interest, professional tax and almost all VI-A deductions vanish; only 80CCD(2)/80CCH and standard deduction survive. Do not carry old-regime deductions into a new-regime computation.
 6. **Ignoring surcharge caps and marginal relief.** The 15 percent cap on 111A/112/112A surcharge and marginal relief at every threshold are favourite adjustments.
 7. **Cess base error.** Cess is 4 percent of **(tax after rebate + surcharge)** — not on tax before surcharge.
 8. **Rounding at the wrong place.** Round **Total Income** (288A) and **net tax payable** (288B) to the nearest ₹10 — not every intermediate figure.
 9. **Carry-forward without timely return.** Business, speculation, capital and race-horse losses need the return filed by the Sec 139(1) due date (Sec 80); HP loss and unabsorbed depreciation do not.
 10. **Salary can never be negative**, and **business loss cannot be set off against salary** (Sec 71(2A)).
-

9. First-Principles Recap

Strip away the sections and this is the whole chapter in five sentences:

1. A person is taxed on **one number**, so five head-figures must be **assembled**, not just listed.
2. Income that was **diverted** to family is clawed back first (clubbing), so that losses and deductions apply to the taxpayer's *true* income.
3. A **loss** is a real economic fact, so the law lets it offset income — but only within rules that stop abuse, then carries the rest forward.
4. Because some income is **not ordinary** (long gains, listed-share gains, windfalls), it is carved out and taxed at its **own rate**, outside the slab and outside most deductions.

5. Tax itself is then **discounted** (rebate), **surcharged** (for the rich), **cessed** (for health/education) and **relieved** (for bunching and double taxation) — in that fixed order — before prepaid taxes are subtracted to reach the cheque you write.

If you can re-derive the pipeline from these five ideas, you never need to memorise the order — it *is* the logic.

10. Quick-Revision Sheet

The pipeline (chant it): Heads → Club → Set-off → **GTI** → VI-A → **TI** → Split rates → Rebate → Surcharge → Cess → Relief → **Tax payable** → less prepaid.

Stage	Section	One-line rule
5 heads	14	Compute each head net
Clubbing	60-64	Add diverted income back; minor exemption ₹1,500 (Sec 10(32))
Set-off	70-71	Intra-head → inter-head; HP loss inter-head cap ₹2,00,000
Carry-forward	72-74A	Each loss has its own life & restriction; needs timely return (Sec 80)
GTI	80B(5)	Sum of heads after set-off
VI-A	80C-80U	≤ GTI; not against 111A/112/112A/115BB
Total Income	2(45), 288A	GTI – VI-A; round to ₹10

Special rates (verify AY): 111A STCG 15%/20% · 112A LTCG 10% over ₹1L (12.5% over ₹1.25L post-23-Jul-24) · 112 LTCG 20% indexed / 12.5% · 115BB casual 30%.

Slabs (AY 2025-26 — verify): - *New (default):* 0–3L nil; 3–7L 5%; 7–10L 10%; 10–12L 15%; 12–15L 20%; >15L 30%. - *Old:* 0–2.5L nil; 2.5–5L 5%; 5–10L 20%; >10L 30%. (Seniors 3L; super-seniors 5L.)

87A rebate: Old — TI ≤ ₹5L → up to ₹12,500. New — TI ≤ ₹7L → up to ₹25,000 (+ marginal relief). Residents only.

Surcharge: 10% (>50L) · 15% (>1cr) · 25% (>2cr) · 37% (>5cr, but new regime caps at 25%). Cap 15% on 111A/112/112A/dividend. Marginal relief everywhere.

Cess: 4% on (tax after rebate + surcharge).

Relief: 89 (arrears, Form 10E) · 90/90A (DTAA) · 91 (no DTAA). **AMT** 115JC @18.5% for certain deduction-claimers.

Prepaid & interest: less TDS/TCS/advance/self-assessment; add 234A/B/C; round net to ₹10 (288B).

Final flag: Every rate, ceiling, surcharge slab and the 87A limit here is a *plug-in value* subject to Finance Act changes. The **sequence** is permanent; the **numbers** are not. Confirm both against current ICAI material for your Assessment Year.

Q&A — Computation of Total Income & Tax Liability

AY / regime flag: Slab rates, the default new regime (**Sec 115BAC**), the **Sec 87A** rebate ceilings, surcharge slabs and the special rates (111A/112/112A) have all been repeatedly amended. The figures used below reflect the widely examined **AY 2025-26** position (including the post-23-July-2024 capital-gains changes). **The pipeline is permanent; the numbers are plug-in values — always re-verify the exact slab, rebate limit, surcharge slab and special rate against the current ICAI Study Material / Finance Act for your attempt.** All section references are to the **Income-tax Act, 1961**.

Section A — Concept Check (short Q&A with section citation)

A1. In what order must Total Income be built, and why is the order non-negotiable? The chant is **Heads → Club → Set-off → GTI → VI-A → TI → Split rates → Rebate → Surcharge → Cess → Relief → Tax payable → less prepaid taxes**. Each step consumes the previous step's output: you cannot set off a loss before each head is computed (Sec 14), cannot set off *your* loss against income that was never yours (so clubbing Sec 60-64 comes first), Chapter VI-A is capped at GTI (Sec 80A), and rebate/surcharge/cess act *on tax* so tax must exist first.

A2. Define Gross Total Income and its statutory source. GTI [Sec 80B(5)] = the aggregate of income under the five heads (Sec 14) **after** clubbing (Sec 60-64) and after set-off/carry-forward (Sec 70-80), but **before** Chapter VI-A deductions. It is the ceiling for VI-A deductions.

A3. What are the "two golden restrictions" on Chapter VI-A deductions (Sec 80A)? (i) Total VI-A deductions **cannot exceed GTI** — they can reduce Total Income to nil but never create a loss; (ii) they **cannot be set against** LTCG (Sec 112/112A), STCG on listed shares (Sec 111A) or casual income (Sec 115BB). So these special incomes are carved out of GTI first.

A4. State the inter-head set-off cap for house property loss and its section. House property loss set off against *other heads* is **capped at ₹2,00,000** per year under **Sec 71(3A)**; the unabsorbed balance is carried forward for **8 years** against house property income only (**Sec 71B**).

A5. Which losses require a return filed by the Sec 139(1) due date to be carried forward? Business (Sec 72), speculation (Sec 73), specified-business (Sec 73A), capital (Sec 74) and race-horse (Sec 74A) losses need a **timely return (Sec 80)**. **House property loss (71B)** and **unabsorbed depreciation (32(2))** may be carried forward even with a belated return.

A6. What is "basic-exemption absorption" and who gets it? A **resident** individual/HUF whose normal (slab) income is below the basic exemption limit may set the *unused* exemption against special-rate income — **STCG 111A first, then LTCG 112/112A** — but **never against casual income (115BB)**. **Non-residents get no absorption.**

A7. Contrast the Sec 87A rebate under the two regimes. Rebate is available only to a **resident individual**. Old regime: Total Income ≤ ₹5,00,000 → rebate up to **₹12,500**. New regime (115BAC): Total Income ≤ ₹7,00,000 → rebate up to **₹25,000**, with **marginal relief** just above ₹7,00,000. Rebate does **not** shelter tax on 112A LTCG (verify current stance).

A8. On what base is Health & Education Cess computed, and at what rate? **4% on (income-tax after Sec 87A rebate + surcharge)** — not on tax before surcharge. There is no exemption from cess.

A9. Which deductions/exemptions survive under the default new regime (Sec 115BAC)? Almost all VI-A deductions vanish; the survivors are **80CCD(2)** (employer NPS) and **80CCH** (Agniveer). The salary **standard deduction** (₹75,000 for AY 25-26) and family-pension deduction are allowed; **HRA, LTA, self-occupied interest, professional tax and 80C** are **not**.

A10. Name the reliefs at the tail of the pipeline and their sections. **Sec 89(1)** — relief for salary arrears/advance bunched into one year (Form 10E). **Sec 90/90A** — foreign tax credit under a DTAA. **Sec 91** — unilateral relief where no DTAA exists. **AMT (Sec 115JC)** at 18.5% of adjusted total income may override for certain deduction-claimers.

A11. Two mandatory rounding rules and their sections. Round **Total Income** to the nearest **₹10** under **Sec 288A**, and round **net tax payable/refund** to the nearest **₹10** under **Sec 288B**. Intermediate figures are *not* rounded.

Section B — Graded Computational Problems (full working, self-checked)

B1 (Easy) — GTI to Total Income, single regime

Mr. P (resident, age 40, AY 2025-26, **old regime**): Salary ₹7,50,000 (after standard deduction); savings-bank interest ₹9,000; 80C (PPF) ₹1,20,000; 80D ₹18,000. Compute Total Income.

Answer. - Salaries = 7,50,000; Other Sources (interest) = 9,000 → **GTI = 7,59,000** [Sec 80B(5)] - Less 80C = 1,20,000; less 80D = 18,000; less **80TTA** savings interest (max ₹10,000, here ₹9,000) = 9,000 - Total VI-A = 1,47,000 - **Total Income = 7,59,000 – 1,47,000 = ₹6,12,000** [Sec 2(45); round Sec 288A]. *Check:* $1,20,000 + 18,000 + 9,000 = 1,47,000$; $7,59,000 - 1,47,000 = 6,12,000$. ✓

B2 (Easy-Moderate) — Slab tax + 87A under the new regime

Ms. Q (resident, AY 2025-26, **new regime**), Total Income = ₹6,80,000 (all normal income). Compute net tax.

Answer. New-regime slabs: 0–3L nil; 3–7L @5%. - Tax = $(6,80,000 - 3,00,000) \times 5\% = 3,80,000 \times 5\% =$ **₹19,000** - **Sec 87A:** TI ₹6,80,000 ≤ ₹7,00,000 → rebate = min(19,000, 25,000) = **₹19,000** - Tax after rebate = **Nil** → cess Nil. **Net tax payable = ₹0.** *Check: rebate fully wipes the ₹19,000.* ✓

B3 (Moderate) — House property loss set-off with the ₹2,00,000 cap

Mr. R (resident, old regime, AY 2025-26): Business income ₹5,00,000; self-occupied house interest ₹2,60,000 (HP loss); savings interest ₹6,000; 80C ₹80,000. Compute Total Income and note carry-forward.

Answer. - HP loss = ₹2,60,000. Inter-head set-off against other heads **capped at ₹2,00,000** [Sec 71(3A)] → set ₹2,00,000 against business income → business = 3,00,000. **Balance HP loss ₹60,000 carried forward (Sec 71B, 8 yrs).** - GTI = Business 3,00,000 + Other Sources 6,000 = 3,06,000 - Less 80C 80,000; less 80TTA 6,000 = 86,000 - **Total Income = 3,06,000 – 86,000 = ₹2,20,000.** Carry-forward HP loss = **₹60,000.** *Check:* $2,60,000 - 2,00,000 = 60,000$; $3,06,000 - 86,000 = 2,20,000$. ✓

B4 (Moderate-Hard) — Special-rate income + basic-exemption absorption

Mr. S (resident, age 45, old regime, AY 2025-26): Normal income (after VI-A) ₹2,10,000; STCG on listed shares 111A ₹90,000; LTCG on land 112 (no indexation, post-23-Jul-24) ₹3,00,000. Compute tax.

Answer. Basic exemption (old) = ₹2,50,000. Normal income ₹2,10,000 uses ₹2,10,000 → **unused exemption ₹40,000** absorbed against **111A first** [resident benefit]. - Normal income ₹2,10,000 → within slab exemption → tax **Nil**. - STCG 111A: 90,000 – 40,000 (unused exemption) = 50,000 @ **20%** (post-23-Jul-24) = **₹10,000** - LTCG 112: 3,00,000 @ **12.5%** (post-23-Jul-24, no indexation) = **₹37,500** - Tax before rebate = 47,500. 87A? Total Income = 2,10,000+90,000+3,00,000 = ₹6,00,000 > ₹5L → **no rebate**. - Cess @4% on 47,500 = 1,900. **Tax payable = ₹49,400.** Check: 10,000+37,500 = 47,500; × 1.04 = 49,400. ✓

B5 (Exam-Hard) — Full pipeline, one regime, with surcharge and its cap

Mr. T (resident, age 50, old regime, AY 2025-26): - Salary income (after standard deduction) ₹58,00,000 - LTCG on listed shares 112A (STT paid, transfer March 2025) ₹6,25,000 - 80C ₹1,50,000; 80D ₹25,000 Compute Total Income and total tax liability (with surcharge and cess).

Answer. Stage — GTI & VI-A. VI-A cannot touch 112A LTCG, so apply against salary only. - Salary 58,00,000 – 80C 1,50,000 – 80D 25,000 = **normal income 56,25,000** - LTCG 112A = 6,25,000 → **Total Income = ₹62,50,000**

Tax on normal income ₹56,25,000 (old slabs): - 2.5–5L @5% = 12,500 - 5–10L @20% = 1,00,000 - 10L–56,25,000 @30% = 46,25,000 × 30% = 13,87,500 - Normal tax = **14,99,999... = 15,00,000**
(12,500+1,00,000+13,87,500 = **15,00,000**)

Tax on LTCG 112A: gain 6,25,000; first ₹1,25,000 exempt; balance 5,00,000 @ **12.5%** = **₹62,500**. - **Tax before surcharge = 15,00,000 + 62,500 = 15,62,500**

Surcharge. Total Income ₹62,50,000 is in the ₹50L–₹1cr band → **10%**. But surcharge on **112A** tax is **capped at 15%** (not relevant here since band rate 10% < 15%, so 10% applies to it too). - Surcharge = 10% × 15,62,500 = **₹1,56,250** - Tax + surcharge = 17,18,750

Cess @4% = 68,750. **Total tax liability = ₹17,87,500.** Check: 15,00,000+62,500 = 15,62,500; × 1.10 = 17,18,750; × 1.04 = 17,87,500. ✓ (Marginal relief not triggered — income comfortably above ₹50L.)

Section C — Past-Paper-Style Full Questions

C1. Full computation, both regimes compared (advise the client)

Mr. C (resident, age 52, AY 2025-26): - Salary: Basic+DA ₹12,00,000; HRA received ₹2,40,000 (10(13A) exemption ₹1,80,000 — old regime); professional tax ₹2,500 - Self-occupied house: loan interest ₹2,10,000 - Business income ₹3,00,000 - LTCG on listed shares 112A (transfer June 2024) ₹1,60,000 - Interest: savings ₹18,000; FD ₹40,000 - 80C ₹1,50,000; 80D ₹25,000; 80CCD(1B) ₹50,000; employer NPS 80CCD(2) ₹1,20,000

Model answer.

Salary: | | Old ₹ | New ₹ | |---|---|---| | Basic+DA + HRA | 14,40,000 | 14,40,000 | | Less HRA 10(13A) | (1,80,000) | - | | Less standard deduction | (50,000) | (75,000) | | Less professional tax | (2,500) | - | | **Salary income** | **12,07,500** | **13,65,000** |

House property (self-occupied): Old — interest capped at ₹2,00,000 → **loss (2,00,000)**; New — self-occupied interest **not allowed** → Nil.

GTI: | Head | Old ₹ | New ₹ | |---|---|---| | Salary | 12,07,500 | 13,65,000 | | House property | (2,00,000) | 0 | | Business | 3,00,000 | 3,00,000 | | LTCG 112A | 1,60,000 | 1,60,000 | | Other sources (58,000) | 58,000 | 58,000 | | **GTI** | **15,25,500** | **18,83,000** |

VI-A (carve out LTCG first — deductions can't touch 112A): - **Old:** income other than LTCG = 13,65,500; less 80C 1,50,000 + 80CCD(1B) 50,000 + 80D 25,000 + 80CCD(2) 1,20,000 + 80TTA 10,000 = 3,55,000 → 10,10,500; + LTCG 1,60,000 → **TI = 11,70,500**. - **New:** only 80CCD(2) survives. 17,23,000 – 1,20,000 = 16,03,000; + LTCG 1,60,000 → **TI = 17,63,000**.

Tax — *old regime* (normal ₹10,10,500): 12,500 + 1,00,000 + (10,500 @30% = 3,150) = **1,15,650**; LTCG 112A (June-24 transfer → 10% over ₹1L): (1,60,000–1,00,000) ×10% = **6,000**; tax before rebate 1,21,650; no 87A (TI>5L); no surcharge; cess 4,866 → **₹1,26,516 ≈ ₹1,26,520**.

Tax — *new regime* (normal ₹16,03,000): 20,000 + 30,000 + 30,000 + 60,000 + (1,03,000 @30% = 30,900) = **1,70,900**; LTCG 6,000; before rebate 1,76,900; cess 7,076 → **₹1,83,976 ≈ ₹1,83,980**.

Advice: Old regime tax ₹1,26,520 vs new ₹1,83,980 → **old regime saves ₹57,460** (driven by HRA, self-occupied interest, and ₹3,55,000 of deductions). Mr. C should **opt out into the old regime**. Check (old): 12,500+1,00,000+3,150 = 1,15,650; +6,000 = 1,21,650; ×1.04 = 1,26,516. ✓

C2. Set-off interplay with special rates

Mr. B (resident, AY 2025-26): non-speculation business loss ₹1,50,000; salary ₹9,00,000; STCG 111A ₹2,00,000; LTCL ₹1,20,000; LTCG 112 ₹3,00,000. Show set-off and the GTI.

Model answer. - **Business loss cannot be set against salary** [Sec 71(2A)]. It can be set against other heads except salary → set ₹1,50,000 against STCG 111A (Sec 71 permits business loss vs capital gains) → STCG = 50,000. - **LTCL only against LTCG** [Sec 74] → LTCG 3,00,000 – 1,20,000 = 1,80,000. - GTI: Salary 9,00,000 + STCG(111A) 50,000 + LTCG(112) 1,80,000 = **₹11,30,000**. Check: *business loss fully absorbed 1,50,000; LTCL fully absorbed 1,20,000*. ✓ (Salary stays intact because business loss cannot reduce it.)

C3. Marginal relief under the new-regime 87A boundary

Ms. M (resident, new regime, AY 2025-26), Total Income ₹7,10,000 (all normal). Compute tax with marginal relief.

Model answer. - Tax before rebate: 3–7L @5% = 20,000; 7L–7,10,000 @10% = 1,000 → **21,000**. - 87A? TI ₹7,10,000 > ₹7,00,000 → **no full rebate**, but **marginal relief** applies: tax cannot exceed income above ₹7,00,000 = **₹10,000**. - So tax is limited to **₹10,000** (relief = 21,000 – 10,000 = 11,000). Cess @4% = 400. **Tax payable = ₹10,400**. Check: *income excess 7,10,000–7,00,000 = 10,000 = capped tax; ×1.04 = 10,400*. ✓

Section D — MCQs / Case Scenarios

D1. Chapter VI-A deductions are capped at: (a) Total Income (b) Gross Total Income (c) Salary income (d) ₹1,50,000 **Ans: (b).** Sec 80A — VI-A deductions cannot exceed GTI or create a loss.

D2. House property loss set off against other heads in a year is capped at: (a) ₹1,50,000 (b) ₹2,00,000 (c) ₹2,50,000 (d) no cap **Ans: (b).** Sec 71(3A); balance carried forward under Sec 71B for 8 years.

D3. Health & Education Cess is charged at 4% on: (a) tax before rebate (b) tax after rebate only (c) tax after rebate + surcharge (d) Total Income **Ans: (c).** Cess base = income-tax after 87A rebate plus surcharge.

D4. The maximum Sec 87A rebate under the new regime (AY 2025-26) is: (a) ₹12,500 (b) ₹25,000 (c) ₹50,000 (d) Nil **Ans: (b).** Resident individual, Total Income ≤ ₹7,00,000, up to ₹25,000 (with marginal relief above).

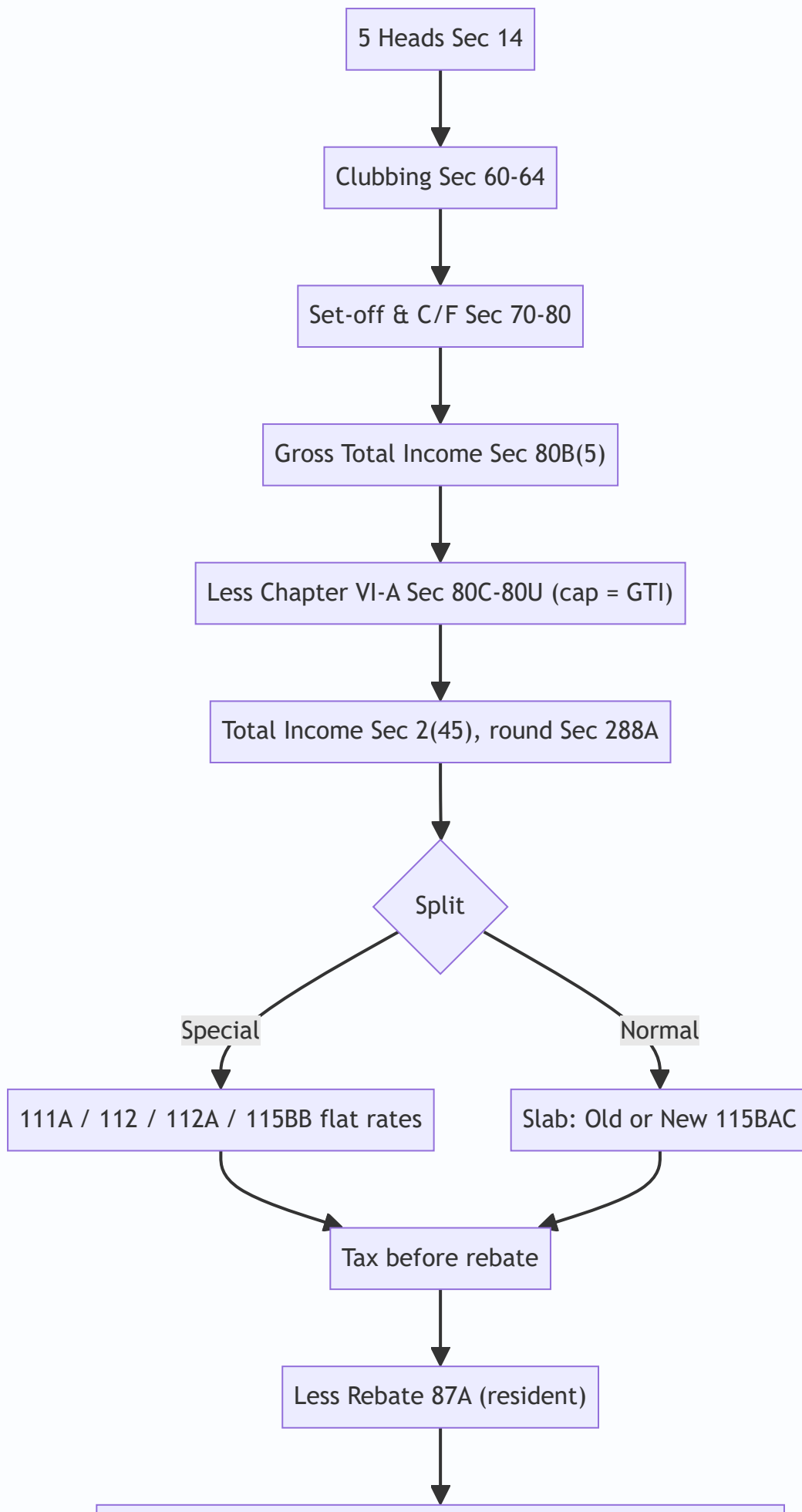
D5. Total Income and net tax payable are rounded to the nearest: (a) ₹1 (b) ₹10 (c) ₹100 (d) ₹1,000 **Ans: (b).** Sec 288A (Total Income) and Sec 288B (net tax payable).

D6 (Scenario). A resident's normal income is ₹1,80,000 and he has LTCG 112 of ₹4,00,000 (post-23-Jul-24). His unused basic exemption is absorbed: (a) against LTCG 112 (b) against 115BB casual income (c) it lapses for non-residents' rules (d) it cannot be absorbed at all **Ans: (a).** Sec 111A/112 absorption for residents — with no 111A income here, unused exemption ($₹2,50,000 - ₹1,80,000 = ₹70,000$) reduces the LTCG 112 base.

D7 (Scenario). Under the default new regime (Sec 115BAC), which survives? (a) 80C (b) HRA exemption (c) 80CCD(2) employer NPS (d) self-occupied interest **Ans: (c).** Only 80CCD(2)/80CCH and standard deduction survive; the rest are switched off.

D8 (Scenario). Surcharge on tax attributable to 111A/112/112A income is capped at: (a) 10% (b) 15% (c) 25% (d) 37% **Ans: (b).** Even if total income exceeds ₹2 crore, surcharge on these gains (and dividend) is capped at 15%.

Master Pipeline (one-glance)



Add Surcharge (15% cap on 111A/112/112A; marginal relief)

Add Cess 4%

Less Relief 89/90/91

Less TDS/TCS/Advance; add 234A/B/C; round Sec 288B

Quick-Revision Trigger Sheet

Item	Section	Key rule (AY 25-26)
Five heads	14	Compute each net
Clubbing	60-64	Add diverted income; minor exemption ₹1,500 (10(32))
Intra→inter set-off	70-71	HP loss inter-head cap ₹2,00,000 (71(3A))
Business loss vs salary	71(2A)	Not allowed
Carry-forward + timely return	72-74A, 80	Business/spec/capital/race-horse need 139(1) return
GTI	80B(5)	Sum of heads after set-off
VI-A restrictions	80A	≤ GTI; not vs 111A/112/112A/115BB
Total Income + rounding	2(45), 288A	GTI – VI-A; round ₹10
Special rates	111A/112/112A/115BB	20% / 12.5% / 12.5% over ₹1.25L / 30%
Basic-exemption absorption	—	Residents: 111A then 112/112A; never 115BB
Rebate	87A	Old ≤5L→₹12,500; New ≤7L→₹25,000 (+ marginal relief)
Surcharge	—	10/15/25/37% (new caps 25%); 15% cap on 111A/112/112A
Cess	—	4% on (tax after rebate + surcharge)
Relief / AMT	89/90/91, 115JC	Arrears (Form 10E); DTAA; AMT 18.5%
Net tax rounding	288B	Round ₹10

First-principles recap: A person is taxed on **one number**, so heads are *assembled* not listed; diverted income is *clawed back* (clubbing) before losses/deductions bite; a *loss* offsets income within anti-abuse rules then carries forward; *non-ordinary* income is carved to its own rate; and tax is then discounted (rebate), surcharged (rich), cessed (health/education) and relieved (bunching/double-tax) in that fixed order before prepaid taxes are subtracted. Re-derive the pipeline from these five ideas and you never memorise the order.

Final flag: Every rate, ceiling, surcharge slab and 87A limit above is a *plug-in value* subject to Finance Act change. The **sequence is permanent; the numbers are not**. Confirm both against the current ICAI Study Material and the Finance Act for your Assessment Year.

Chapter 13 — GST: Concept & Framework

"Verify current rates, thresholds and the latest amendments in the ICAI Study Material and RTP for your specific attempt. This chapter teaches the permanent logic; the numbers move."

1. The Problem — Why the Old System Had to Die

Before 1 July 2017, India did not have "an" indirect tax. It had a *web* of them, and the web had three structural diseases. To understand GST you must first *feel* the pain it cures — because every single rule in the GST law is a scar tissue over one of these three wounds.

Disease 1 — Cascading (tax on tax)

Under the old regime, taxes were charged on a base that already *included* an earlier tax. The classic villain was Central Excise + VAT.

Excise duty was levied by the Centre on **manufacture**. VAT was levied by the State on **sale**. But VAT was charged on the value *inclusive of excise* — so the State taxed the Centre's tax. Then at the next stage of the supply chain, the trader paid tax again on a value that embedded both. There was no mechanism to take **credit of Central Excise against State VAT** — they were levied by different governments under different laws, and credit never crossed that boundary.

Let us make it bite with numbers. Take a good with a factory value of ₹1,000. Suppose Excise is 12.5% and VAT is 14.5%, and the manufacturer sells to a wholesaler, who adds ₹200 margin and sells to a retailer.

Stage	Base	Excise 12.5%	VAT 14.5% (on base + excise)	Invoice price
Manufacturer	1,000	125	163.13 (on 1,125)	1,288.13
Wholesaler (adds ₹200)	1,488.13 + 200 = wait	—	14.5% on full price again	—

Notice the trap already: VAT of ₹163.13 was charged on ₹1,125, i.e. **VAT was charged on the ₹125 of excise**. That ₹18.13 is pure tax-on-tax. At the wholesaler stage, VAT credit of the earlier VAT was available (within a State), but the **excise embedded in the price was never creditable to the trader** — it sat in the cost and got re-taxed by VAT at every subsequent sale. Multiply this across a five-stage chain and the effective tax rate on the consumer balloons far above the nominal rates. The consumer pays tax on tax on tax.

Memory hook — "Cascade = waterfall of taxes, each pool taxing the pool above it."

Disease 2 — Fragmented, non-fungible credit (credit silos)

Even where credit *existed*, it lived in sealed silos:

- **CENVAT credit** (excise + service tax) — one pool, run by the Centre.
- **VAT credit** — a separate pool in each State, and it did not travel across State borders.
- Service tax could not be set off against VAT, and vice versa. A manufacturer who paid service tax on, say, an audit fee could not use it against his VAT liability on the goods he sold.

So a business accumulated **stranded credits** — genuine taxes paid that could never be used because the output tax belonged to a different silo or a different government. Stranded credit is a cost. Cost enters price. Price gets taxed again. The disease compounds Disease 1.

Disease 3 — The inter-State barrier (CST and check-posts)

When goods moved *between* States, a special tax — **Central Sales Tax (CST)** — was levied by the origin State. CST was **non-creditable**: the buyer in the destination State could not claim credit of the CST paid. It was a pure, sticking cost on inter-State trade.

The consequence was economically absurd: it was cheaper to buy *within* your State than across a border, even if the out-of-State supplier was more efficient. India — a single political nation — was **not a single economic market**. Add the physical friction of State check-posts (trucks queuing for hours for entry-tax and octroi verification), and inter-State commerce carried a permanent tax-and-time penalty.

The one-line indictment: the old system taxed *production and sales* in silos, punished credit from crossing government boundaries, and put a tariff wall around every State. It raised prices, distorted where businesses located, and broke the national market.

2. The Core Idea — One Value-Added Tax on Consumption

GST is the cure, and the cure is a single sentence:

GST is a single, destination-based tax on the *value added* at each stage of supply, where tax paid on inputs is fully creditable against tax on outputs — so that the tax finally sticks only on the value consumed, and only in the State of consumption.

Unpack the three load-bearing words.

"Value added." Each supplier pays tax on his full output, but *subtracts* (as Input Tax Credit) the tax already paid on his inputs. Net, he only funds the tax on the value *he* added. The tax does not pile on itself — the cascade is broken by design.

"Destination-based / consumption tax." GST is not a tax on manufacture (like excise) or on the origin sale (like CST). It is a tax that accrues to the jurisdiction where the goods or services are **finally consumed**. Production States do not hoard the revenue; consuming States earn it. This is why GST is called a *destination-based consumption tax*, and it is the reason IGST is engineered the way it is (Section 3 below).

"Full seamless credit." Credit must flow across the entire chain and — critically — across the goods/services divide and across the Centre/State divide, subject to the law's ordering rules. One fungible pool replaces the old silos.

Here is the anti-cascade mechanic on the same ₹1,000 good, now under GST at (say) 18%:

Stage	Value added	Output GST 18%	ITC available	Net GST paid to govt
Manufacturer	1,000	180	0	180
Wholesaler (+200)	200	216 (on 1,200)	180	36
Retailer (+300)	300	270 (on 1,500)	216	54
Total to govt				270
Consumer pays	1,500 × 18% = 270			

Reconcile: net collections 180 + 36 + 54 = **270**, exactly 18% of the final consumer value ₹1,500. **No tax-on-tax.** The government's total take equals the single rate applied once to the final consumption value. That is the whole game. Everything else in the GST law is plumbing to make this identity hold true in messy real-world situations.

Memory hook — "GST take = rate × final consumption. If your answer isn't that, credit leaked somewhere."

3. Why It's Built This Way — The Dual Structure and IGST

Here is the question that shapes the *entire* architecture of Indian GST: **who gets to levy it — the Centre or the States?**

The constitutional knot

Pre-GST, the Constitution split taxing powers: the Centre could tax manufacture and services; States could tax the sale of goods. Neither could tax the other's domain. A *single* national GST would have required one government to surrender its taxing power to the other — politically impossible and constitutionally fraught in a federation.

The **Constitution (101st Amendment) Act, 2016** solved it by inserting **Article 246A**, which gives **both** the Union and the States a *concurrent* power to levy GST on the same supply. It also inserted **Article 269A** (the Centre levies and collects IGST on inter-State supply, then apportions it) and created the **GST Council** under **Article 279A**. This is why India could not adopt a single unified GST like some countries: our federal structure demanded that both tiers of government keep a hand on the tax.

The dual GST — CGST + SGST/UTGST

The answer to "Centre or State?" is **both, simultaneously, on the same transaction**. Every **intra-State** supply attracts two taxes levied in parallel:

- **CGST** (Central GST) — levied by the Centre under the **CGST Act, 2017**.
- **SGST** (State GST) — levied by the State under its **SGST Act** — or **UTGST** (under the **UTGST Act, 2017**) for Union Territories *without* a legislature.

They share the *same* value and are split from a single rate. If the rate on a good is 18%, an intra-State sale carries **9% CGST + 9% SGST**. The taxpayer sees one 18% burden; the revenue is simply divided between the two governments.

Why dual and not a single merged tax? Because Article 246A gives concurrent power. A dual levy lets each government tax the *same base* without either surrendering sovereignty. The rate is harmonised (fixed on GST Council recommendation) so the taxpayer never faces two different tax authorities fighting over the base.

Union Territories: UTs *with* a legislature — currently **Delhi, Puducherry, and Jammu & Kashmir** — behave like States and levy **SGST**. UTs *without* a legislature (e.g. Chandigarh, Andaman & Nicobar, Lakshadweep, Ladakh, Dadra & Nagar Haveli and Daman & Diu) levy **UTGST**. (*Verify the current UT list with ICAI for your attempt — the roster has changed over the years.*)

The inter-State problem, and IGST — the masterstroke

Now the hard case. Supplier in Maharashtra sells to a buyer in Gujarat. If we naively charged Maharashtra-SGST, the revenue would sit with the **origin** State — but GST is a **destination** tax; the good is consumed in Gujarat, so Gujarat must ultimately get the SGST portion. And the Gujarat buyer needs **seamless credit** of whatever tax he paid, so he isn't stuck with a non-creditable cost like the old CST.

The **IGST Act, 2017** solves both at once. On an inter-State supply, the Centre levies a single **Integrated GST = CGST rate + SGST rate** (so IGST $\approx$ 18% in our example, one combined levy). Mechanically:

1. The Maharashtra supplier charges **IGST** and pays it to the Centre. He can use his input credits (of any type) to discharge it.
2. The Gujarat buyer takes **full ITC of the IGST** — no stranded cost, the CST wound is healed.
3. When the buyer sells onward, the **fund transfers** between the Centre and the destination State settle the accounts, so the SGST component finally lands in the **consuming State's** treasury.

IGST is therefore a **clearing mechanism**, not really a "third tax." It lets credit flow *unbroken across State borders* while ensuring the revenue reaches the destination State. It replaces CST and demolishes the inter-State barrier — India finally becomes one economic market.

Memory hook — "IGST = CGST + SGST, collected by the Centre, then routed to the destination. It's a plumbing pipe, not a new tax."

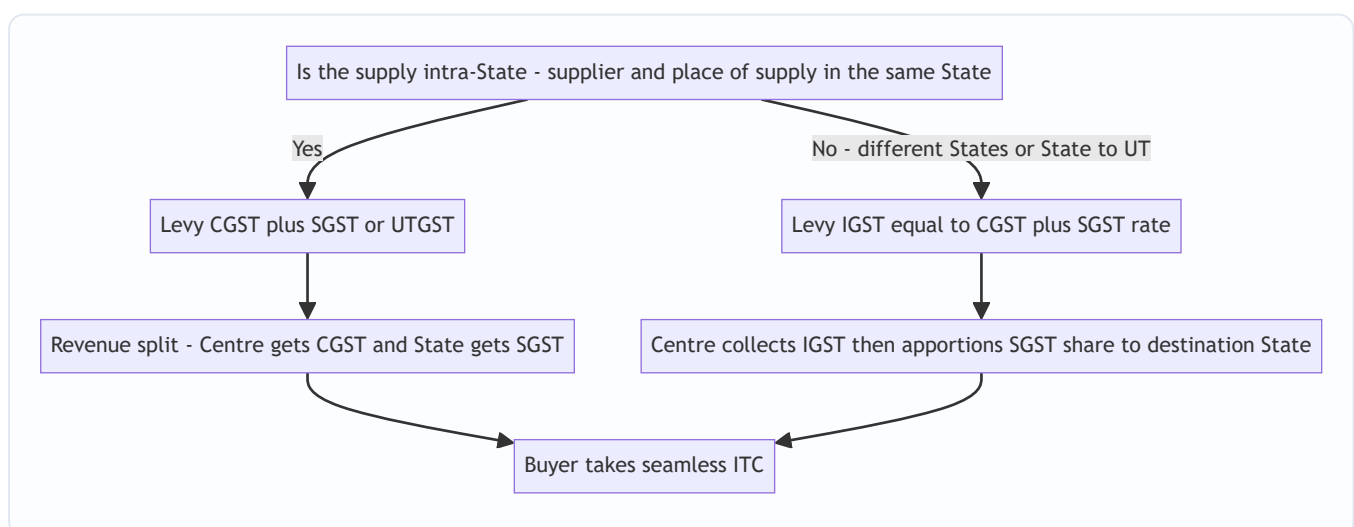


Figure 13.1 — The charge decision: intra-State levies two parallel taxes; inter-State levies one integrated tax that the Centre routes to the consuming State.

The credit fungibility rules (why IGST is the "master pool")

Because IGST is CGST + SGST fused together, the ITC set-off order (Sections 49, 49A, 49B of the CGST Act, with Rule 88A) is built around it:

- **IGST credit** must be used **first**, and can be set off against **IGST, then CGST, then SGST** (in that order, taxpayer's choice between CGST/SGST after IGST).
- **CGST credit** — against IGST then CGST. **CGST can NEVER be set off against SGST.**
- **SGST/UTGST credit** — against IGST then SGST. **SGST can NEVER be set off against CGST.**

The "CGST ↔ SGST cannot cross" rule is not arbitrary: CGST is the Centre's money and SGST is the State's money. Letting them offset each other would mean one government paying the other's dues from its own pocket. IGST, being jointly owned and centrally apportioned, is the bridge that lets credit ultimately reach either side.

Memory hook — "IGST first, then its own kind. Central and State money never touch directly; IGST is the neutral middleman."

4. Full Technical Content — Sections, Definitions, Thresholds

4.1 The statutory architecture

Act / Instrument	What it does	Levied/administered by
Constitution (101st Amendment) Act, 2016	Inserted Arts. 246A, 269A, 279A — the enabling power	—
CGST Act, 2017	Levies CGST on intra-State supply; contains most machinery provisions (registration, ITC, returns, assessment) that SGST Acts adopt by reference	Centre
SGST Acts, 2017 (one per State)	Levies SGST on intra-State supply	Each State
UTGST Act, 2017	Levies UTGST in UTs without legislature	Centre (for those UTs)
IGST Act, 2017	Levies IGST on inter-State supply and imports; place-of-supply and apportionment rules	Centre
GST (Compensation to States) Act, 2017	Compensation cess to fund States' revenue shortfall in the transition years	Centre

Charging sections to remember: - **Section 9, CGST Act** — the charging section for CGST (levy on all intra-State supplies of goods/services except alcoholic liquor for human consumption, on value under Section 15, at notified rates; also houses reverse charge and the e-commerce operator provisions). - **Section 5, IGST Act** — the charging section for IGST (on inter-State supplies and on imports of goods/services).

4.2 The founding definitions (each wrapped in its reason)

"Supply" — Section 7, CGST Act. The old system needed *manufacture* (excise), *sale* (VAT), and *provision of service* (service tax) as separate taxable events — three events, three taxes, three sets of litigation. GST needs **one** taxable event to run one tax, so it invents the umbrella word **supply**: all forms of supply of goods or services *for consideration in the course or furtherance of business* — sale, transfer, barter, exchange, licence, rental, lease, disposal. Certain activities are treated as supply *even without consideration* (Schedule I), and Schedule II classifies borderline cases as goods vs services, while Schedule III lists activities that are **neither** (e.g. services by an employee to employer, sale of land). (*Supply is the subject of its own chapter; here, grasp only that it is the single unifying trigger.*)

"Goods" — Section 2(52) — every kind of movable property except money and securities (includes actionable claims, growing crops as agreed to be severed). **"Services" — Section 2(102)** — anything other than goods, money and securities (but includes activities relating to use of money for a separate consideration). Note the deliberate design: between them, goods + services cover *everything* except money/securities — no gaps for a transaction to escape through, unlike the old fragmented base.

"Intra-State supply" — Section 8, IGST Act and **"Inter-State supply" — Section 7, IGST Act.** These are defined by comparing the **location of the supplier** with the **place of supply**: - Same State/UT → **intra-State** → CGST + SGST/UTGST. - Different States/UTs (or one is a UT/State and the other differs), imports, exports, or supply to/from an SEZ → **inter-State** → IGST.

This is why "place of supply" rules (in the IGST Act) are so important — they mechanically decide *which* tax applies and *which State* gets the money. Destination-based taxation lives or dies on the place-of-supply rules.

"Input Tax Credit" — Section 2(63) / eligibility in Section 16. ITC is the operative tool that breaks the cascade. Section 16 sets the four conditions to claim it (possession of tax invoice; receipt of goods/services; tax actually paid to the government by the supplier; and the recipient has furnished the return) plus the requirement that the credit appears in the auto-populated statement. Section 17 restricts ITC where inputs are used for exempt supplies or personal use, and Section 17(5) lists **blocked credits**. (*ITC has its own dedicated chapter — here, understand only that Section 16 is the anti-cascade engine.*)

4.3 Thresholds (the exemption for small suppliers)

The law does not want to crush tiny traders with compliance. **Section 22, CGST Act** sets the registration threshold — a supplier must register once aggregate turnover in a financial year exceeds the limit.

Category	Threshold for goods	Threshold for services
Normal States	₹40 lakh	₹20 lakh
Special category / specified States (e.g. certain North-Eastern and hill States)	₹20 lakh	₹10 lakh

Aggregate turnover (Section 2(6)) = all taxable + exempt + export + inter-State supplies of a person on the same PAN, computed **all-India**, excluding GST itself. **Verify the exact threshold amounts and the current list of special-category States in the ICAI material for your attempt — these are frequently tweaked.**

Composition scheme — Section 10. For small suppliers below a notified turnover (broadly ₹1.5 crore for goods; a separate lower limit and a 6% scheme for small service providers), GST offers a *simplified* flat-rate

levy on turnover with **no ITC** and no tax collection from customers. The trade-off: less compliance, but the cascade returns for that link (no credit). It exists because forcing micro-businesses into full invoice-matching would defeat the "ease" promise. *(Detailed in the registration/levy chapter.)*

4.4 Taxes subsumed — what GST swallowed

GST replaced a long list of central and state levies. The subsumption is the physical embodiment of "one nation, one tax."

Central taxes subsumed	State taxes subsumed
Central Excise Duty (incl. Additional Excise Duties)	State VAT / Sales Tax
Service Tax	Central Sales Tax (levied by Centre, collected by States)
Additional Customs Duty (CVD)	Luxury Tax
Special Additional Duty of Customs (SAD)	Entry Tax (all forms) / Octroi
Central Surcharges and Cesses (relating to supply)	Entertainment Tax (except that levied by local bodies)
—	Taxes on advertisements; Purchase Tax
—	Taxes on lotteries, betting and gambling; State cesses/surcharges on supply

What GST did NOT subsume (still taxed separately — memorise the exclusions): - **Basic Customs Duty (BCD)** on imports — a tariff, not a domestic consumption tax (though IGST is charged on imports *in addition*). - **Alcoholic liquor for human consumption** — constitutionally kept out; States still levy State Excise + VAT on it. - **Five petroleum products** — petroleum crude, high-speed diesel, motor spirit (petrol), natural gas, aviation turbine fuel — **currently** outside GST (they will be brought in from a date the GST Council notifies; till then excise + VAT continue). - **Electricity** and **stamp duty on immovable property** — outside GST. - **Tobacco** — *inside* GST, but the Centre can *also* levy Central Excise on it (a deliberate double-lever for a demerit good).

Memory hook — the "5 kept-out kings": Liquor, the 5 Petro-products, Electricity, real-estate Stamp duty, and Customs BCD. Everything else GST ate.

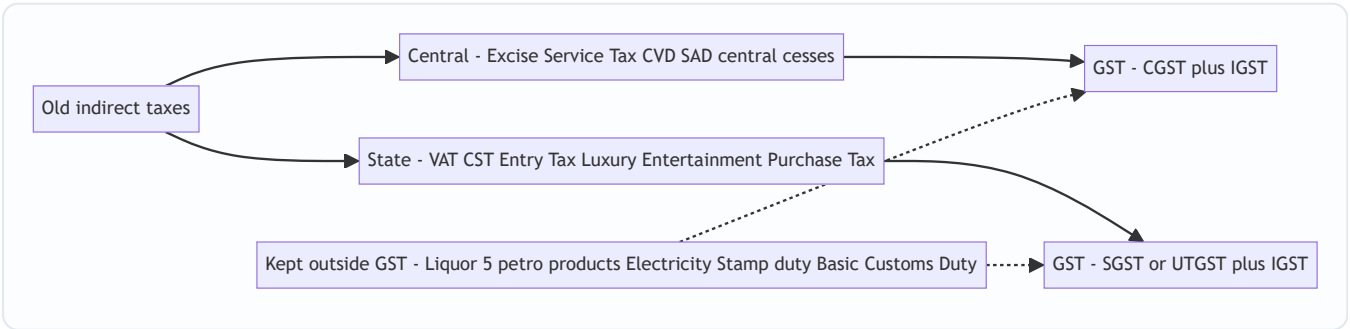


Figure 13.2 — Subsumption map: most central and state indirect taxes folded into the dual GST; a short list of exclusions remains under the old levies.

4.5 The GST Council — Article 279A

If both the Centre and 30-plus States levy GST independently, you get chaos: 30 different rates, 30 definitions of "supply," 30 threshold limits. That would rebuild the fragmentation GST was meant to destroy. The **GST Council** exists precisely to prevent this — it is the institutional guarantor of "one tax."

Constitution & composition (Art. 279A): - **Chairperson:** the **Union Finance Minister**. - **Members:** the **Union Minister of State** for Finance/Revenue, and the **Finance/Taxation Minister (or any nominated minister) of each State**. - **Vice-Chairperson:** chosen from among the State ministers.

Function: it *recommends* to the Union and the States on essentially everything that must stay uniform — the taxes to be subsumed, model laws, rates (including floor rates and bands), threshold limits, exemptions, special provisions for special-category States, and the date to bring petroleum products into GST.

Decision-making (the weighted vote — a favourite exam point): - **Quorum** = one-half of total members.
- Every decision needs a **majority of not less than three-fourths of the weighted votes** of members present and voting, where: - the **Centre's vote = one-third** of total votes cast, and - **all States together = two-thirds** of total votes cast.

Why this weighting? It is a **mutual veto** designed for cooperative federalism. The Centre (one-third) cannot force anything through alone; the States (two-thirds) cannot override the Centre alone either — because 3/4 approval requires *both* sides to substantially agree. Neither tier can bulldoze the other. This is the political engine that keeps the tax genuinely national yet federal.

Note: Council recommendations are **recommendatory**, not binding (as clarified by the Supreme Court in the *Mohit Minerals* line of reasoning) — but in practice they anchor the whole structure because both governments legislate in line with them.

5. Worked Examples

Example 1 — Proving the cascade is dead (multi-stage intra-State chain)

Facts: All parties in Karnataka (intra-State). GST rate 18% (9% CGST + 9% SGST). Chain: Manufacturer → Distributor → Retailer → Consumer. Manufacturer's base value ₹10,000; Distributor adds ₹4,000 margin; Retailer adds ₹6,000 margin.

Step 1 — Manufacturer. Output value 10,000. GST = 1,800 (CGST 900 + SGST 900). ITC = 0. **Net to govt = 1,800.** Invoice to Distributor = 10,000 + 1,800 = 11,800.

Step 2 — Distributor. Sale value 10,000 + 4,000 = 14,000. Output GST = 2,520 (CGST 1,260 + SGST 1,260). ITC = 1,800 (900 CGST + 900 SGST). CGST offset against CGST, SGST against SGST. **Net CGST = 1,260 – 900 = 360; Net SGST = 1,260 – 900 = 360. Net to govt = 720.** Invoice to Retailer = 14,000 + 2,520 = 16,520.

Step 3 — Retailer. Sale value 14,000 + 6,000 = 20,000. Output GST = 3,600 (CGST 1,800 + SGST 1,800). ITC = 2,520 (1,260 + 1,260). **Net CGST = 1,800 – 1,260 = 540; Net SGST = 540. Net to govt = 1,080.** Consumer pays = 20,000 + 3,600 = 23,600.

Step 4 — Reconciliation. Total net GST to government = 1,800 + 720 + 1,080 = **3,600**. Check: final consumption value 20,000 × 18% = **3,600**. ✓ Split: CGST 900 + 360 + 540 = **1,800**; SGST 900 + 360 + 540 = **1,800**. ✓ **Conclusion:** the government collects exactly 18% of ₹20,000, once. Each dealer funded tax only on

his own value addition (Mfr on 10,000, Dist on 4,000, Ret on 6,000 → 1,800 + 720 + 1,080). The cascade is gone.

Example 2 — Inter-State supply and the IGST credit flow

Facts: Rate 18%. Step A: **Manufacturer in Maharashtra** sells to **Distributor in Gujarat** (inter-State) for ₹1,00,000. Step B: the Gujarat distributor adds ₹20,000 and sells to a **consumer in Gujarat** (intra-State).

Step A — Inter-State (Maharashtra → Gujarat). Because location of supplier (MH) ≠ place of supply (GJ), this is inter-State → **IGST**. $IGST = 18\% \times 1,00,000 = 18,000$. Manufacturer (assume no input credit) pays ₹18,000 IGST **to the Centre**. Invoice = 1,00,000 + 18,000 = 1,18,000. Gujarat distributor takes **full ITC of ₹18,000 IGST** (no CST-style sticking cost).

Step B — Intra-State (within Gujarat). Sale value = 1,00,000 + 20,000 = 1,20,000. Output = CGST 9% (10,800) + SGST 9% (10,800) = 21,600. Now apply the set-off order. **IGST credit ₹18,000 is used first**, against CGST then SGST: - Against CGST 10,800 → use 10,800 of IGST credit. CGST payable in cash = 0. IGST credit left = 7,200. - Against SGST 10,800 → use remaining 7,200 IGST credit. **SGST payable in cash = 10,800 – 7,200 = 3,600.**

Cash paid by distributor in Step B = 0 (CGST) + 3,600 (SGST) = 3,600.

Reconciliation of where the money lands (destination principle): - Centre collected ₹18,000 IGST in Step A. - In Step B, the distributor extinguished ₹10,800 CGST and ₹7,200 SGST using that IGST credit, and paid ₹3,600 SGST in cash. - The consumer ultimately bore 18% of ₹1,20,000 = **₹21,600** (10,800 CGST-equivalent + 10,800 SGST-equivalent). - Through the IGST apportionment machinery, the **SGST share flows to Gujarat — the State of consumption — not Maharashtra**, the origin. ✓

Teaching point: the manufacturer's home State (Maharashtra) collected *nothing* in net SGST terms — correct, because the good was consumed in Gujarat. IGST silently transferred the State's share to the destination. Compare the old world: CST would have stuck ~2% on the ₹1,00,000 as a dead, non-creditable cost sitting with Maharashtra. GST healed it.

Example 3 — The ITC set-off order under Section 49A/Rule 88A

Facts: A registered dealer in Delhi has the following for a tax period. Output liability: IGST ₹10,000; CGST ₹8,000; SGST ₹8,000. Available ITC: IGST ₹12,000; CGST ₹3,000; SGST ₹5,000. Compute cash payable.

Rule: IGST credit must be fully utilised first; then CGST credit (IGST→CGST); then SGST credit (IGST→SGST). CGST credit cannot touch SGST and vice-versa.

Step 1 — Utilise IGST credit ₹12,000 (first, in order IGST→CGST→SGST). - Against IGST output 10,000 → use 10,000. IGST output cleared. IGST credit left = 2,000. - Against CGST output 8,000 → use remaining 2,000 IGST credit. CGST output now 6,000 remaining. IGST credit exhausted.

Step 2 — Utilise CGST credit ₹3,000 (against remaining CGST 6,000). - CGST payable in cash = 6,000 – 3,000 = **3,000.**

Step 3 — Utilise SGST credit ₹5,000 (against SGST output 8,000). - SGST payable in cash = 8,000 – 5,000 = **3,000.**

Step 4 — Reconcile. | Head | Output | Credit used | Cash | |---|---|---|---| | IGST | 10,000 | 10,000 (own IGST) | 0 | | CGST | 8,000 | 2,000 (IGST) + 3,000 (CGST) | 3,000 | | SGST | 8,000 | 5,000 (SGST) | 3,000 | | **Total** | 26,000 | 20,000 | **6,000** |

Total credit ₹20,000 + cash ₹6,000 = ₹26,000 = total output liability. ✓ **Cash payable = CGST ₹3,000 + SGST ₹3,000 = ₹6,000.** Note we could NOT use the leftover SGST against CGST — that is why ₹3,000 CGST had to be paid in cash even though SGST credit was fully consumed only on SGST. This asymmetry is the "Central and State money never cross" rule in action.

6. Format / Summary

The GST identity (memorise this as your sanity check):

Net GST to government (whole chain) = Applicable rate × Final consumption value. If a computation violates this, ITC has leaked (blocked credit, composition dealer in the chain, or an error).

Which tax applies — one-line test:

Location of supplier vs Place of supply	Nature	Tax(es)
Same State/UT	Intra-State (Sec 8 IGST Act)	CGST + SGST / UTGST
Different State/UT, import, export, SEZ	Inter-State (Sec 7 IGST Act)	IGST

ITC set-off order (Sec 49, 49A, 49B; Rule 88A):

Credit of	Can be used against (in order)	Never against
IGST	IGST → CGST → SGST (must exhaust first)	—
CGST	IGST → CGST	SGST
SGST/UTGST	IGST → SGST	CGST

GST Council vote: Centre = 1/3, States (together) = 2/3; decision needs ≥ **3/4** of weighted votes; quorum = 1/2.

7. Connections

- **Supply (Ch. on Sec 7 & Schedules):** the single taxable event that replaced manufacture/sale/service. GST's whole reach depends on the width of "supply."
- **Charge & Composition (Sec 9 CGST, Sec 5 IGST, Sec 10):** the charging sections that turn "supply" into a levy; reverse charge and e-commerce operator liability sit here.
- **Place of Supply (IGST Act, Sec 10–14):** the rules that decide intra vs inter-State — i.e. the destination principle in operation. Get these wrong and you charge the wrong tax to the wrong State.
- **Time & Value of Supply (Sec 12–15):** *when* and on *what amount* the tax bites; Section 15 (transaction value) feeds every computation above.
- **Input Tax Credit (Sec 16–18):** the anti-cascade engine in full; blocked credits (Sec 17(5)) are the main way the "rate × consumption" identity breaks.
- **Payment of Tax (Sec 49):** the electronic cash/credit ledgers and the set-off order used in Example 3.

- → **Customs / Imports:** IGST on imports (Sec 5 IGST Act) links GST to the Customs Act; BCD stays outside GST.
-

8. Traps & Examiner Tricks

1. **"IGST is a third, separate tax."** No — IGST = **CGST rate + SGST rate**, collected by the Centre and apportioned to the destination State. Treat it as a clearing pipe, not a new burden.
 2. **Offsetting CGST against SGST.** A classic wrong answer. **They can never be set off against each other.** Only IGST bridges them. Watch for this in payment problems (as in Example 3, where SGST credit couldn't relieve CGST).
 3. **Forgetting IGST must be used first.** Post-Rule 88A, IGST credit must be fully exhausted before CGST/SGST credit is touched. Students who set off "head against same head first" get the cash figure wrong.
 4. **Wrong threshold for services.** The ₹40 lakh limit is for **goods**; services stay at **₹20 lakh** (₹10 lakh in special-category States). Examiners love mixing a service provider into a "₹40 lakh" fact pattern.
 5. **Origin vs destination confusion.** In inter-State problems, the SGST share goes to the **consuming** State, not the supplier's State. Tag the *place of supply*, not the seller's address.
 6. **Assuming petroleum/liquor attract GST.** The five petro-products and alcoholic liquor are **outside** GST *currently*. Basic Customs Duty and electricity too. Tobacco is *inside* GST but can *also* bear central excise.
 7. **GST Council vote fractions flipped.** Centre = **1/3** (not 1/4), States = **2/3**, threshold = **3/4**. Easy to invert under pressure.
 8. **"Manufacture is the taxable event."** That was excise. Under GST the taxable event is **supply** — there is no tax at the moment of manufacture.
 9. **Composition dealer breaks the identity.** If a composition supplier sits in the chain, ITC is denied to him and often to his buyer, so the "rate × final value" reconciliation *won't* hold — the cascade partially returns. Read the facts for the word "composition."
 10. **UTGST vs SGST.** Delhi, Puducherry and J&K have legislatures → **SGST**. Chandigarh, A&N, Lakshadweep, Ladakh, DNH&DD → **UTGST**. Don't write "SGST" for Chandigarh.
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9. First-Principles Recap

Start from the wound and rebuild the entire law from memory:

1. **Old India had three diseases** — cascading (tax on tax), silo'd non-fungible credit, and inter-State barriers (CST + check-posts). Price rose, the national market fractured.
2. **The cure is one idea:** a single tax on *value added*, that is *destination-based* (accrues where consumed), with *seamless credit* across the whole chain. Net take = rate × final consumption. Cascade dead.
3. **But India is a federation** — Article 246A gives Centre and States *concurrent* power. So the single idea is delivered as a **dual tax**: CGST + SGST/UTGST on intra-State supply.
4. **Inter-State trade would break the destination principle and the credit chain** → invent **IGST** (= CGST + SGST), collected by the Centre and routed to the consuming State; buyer gets full ITC. CST barrier healed.

5. **Credit is the engine**, so the set-off order protects government ownership: IGST first; CGST→SGST never cross.
6. **To keep 30+ governments uniform**, create the **GST Council** with a 1/3–2/3 mutual-veto vote — cooperative federalism institutionalised.
7. **Sweep the old taxes in** (excise, service tax, VAT, CST, entry, luxury...) and keep out the politically/constitutionally protected few (liquor, 5 petro-products, electricity, stamp duty, BCD).

Every provision you meet later — supply, place of supply, ITC conditions, returns — is just machinery to make step 2's identity hold in a messy, federal, multi-stage economy.

10. Quick-Revision Sheet

One-liner: GST = single, destination-based, value-added, consumption tax with seamless credit; delivered as a dual levy because India is a federation.

Constitutional pillars: Art. **246A** (concurrent power), Art. **269A** (IGST levy & apportionment), Art. **279A** (GST Council). Enabled by the **101st Amendment, 2016**.

Charging sections: CGST **Sec 9**; IGST **Sec 5**. Taxable event = **supply (Sec 7 CGST)**.

Which tax: same State → **CGST + SGST/UTGST**; different States/import/export/SEZ → **IGST** (= CGST + SGST rate, Centre collects, destination gets SGST share).

Set-off order (Rule 88A): IGST first (IGST→CGST→SGST); CGST (IGST→CGST, never SGST); SGST (IGST→SGST, never CGST).

Thresholds: goods **₹40 L** / services **₹20 L** (special States ₹20 L / ₹10 L). Composition ~₹1.5 cr goods (no ITC). *Verify current figures with ICAI.*

Taxes subsumed: Central — Excise, Service Tax, CVD, SAD, central cesses. State — VAT, CST, Entry/Octroi, Luxury, Entertainment (non-local), Purchase, betting/lottery.

Kept OUT: Alcoholic liquor; 5 petro-products (crude, HSD, petrol, natural gas, ATF); electricity; stamp duty; Basic Customs Duty. (Tobacco IN + central excise possible.)

GST Council: Chair = Union FM; members = MoS Finance + State FMs. Vote: Centre **1/3**, States **2/3**, pass at **3/4**; quorum 1/2. Recommendations are persuasive, not binding.

Sanity check for any sum: total net GST = **rate × final consumption value**; if not, credit leaked.

Reminder: confirm current rates, thresholds, the UT/special-State lists, and the latest amendments in the ICAI Study Material and RTP/MTP for your exam attempt.

Q&A — GST — Concept & Framework

Amendment / rate-sensitivity flag: All rates, thresholds and section references below reflect the position generally examined under the **CGST Act, 2017, IGST Act, 2017, UTGST Act, 2017, GST (Compensation to States) Act, 2017** and Article 246A / 279A of the Constitution, as applicable for the current CA-Intermediate attempt. GST is a **notification-driven** law — rate slabs, the ₹40 lakh / ₹20 lakh / ₹10 lakh registration thresholds, the composition turnover limit (₹1.5 cr / ₹75 lakh) and the list of items outside GST (petroleum, alcohol) change frequently. **Re-verify every figure against the latest ICAI Study Material / RTP and CBIC notifications for your attempt.** Unless stated, "Act" means the CGST Act, 2017.

Section A — Concept Check (short Q&A with section/Article citation)

A1. What single defect of the old indirect-tax regime did GST cure? Cascading — "tax on tax."

Excise/VAT/service tax ran in silos with no cross-credit, so tax paid at one stage became cost at the next. GST is a **destination-based tax on value addition** with a seamless input-tax-credit (ITC) chain [Sec 16, CGST Act] that lets tax flow forward and collapses only the value added at each stage.

A2. What is the constitutional source of the power to levy GST? Article 246A (inserted by the 101st Amendment) gives **both Parliament and State Legislatures concurrent power** to make GST laws. **Article 269A** assigns levy/collection of **IGST on inter-State supply** to the Union (apportioned with States). This dual authority is why GST needed a Constitutional amendment, not an ordinary statute.

A3. Why is GST called a "dual GST"? On every **intra-State** supply, the same transaction attracts **CGST (Sec 9, CGST Act)** and **SGST/UTGST** simultaneously on the same value. India adopted dual GST to preserve the **fiscal federalism** of a federal Constitution — the Centre and the States each keep a slice of the same base rather than one surrendering to the other.

A4. Distinguish the charge under CGST/SGST from IGST. - **Intra-State** supply → **CGST + SGST/UTGST** [Sec 9, CGST/UTGST Acts]. - **Inter-State** supply (and imports) → **IGST = CGST rate + SGST rate**, levied under **Sec 5, IGST Act**. IGST is a single tax that later gets apportioned between Centre and the destination State, avoiding the need to track two taxes across a State border.

A5. What determines whether a supply is inter-State or intra-State? The **location of supplier vs place of supply** [Sec 7 & 8, IGST Act]. Same State → intra-State (CGST+SGST). Different States (or one is a UT/abroad) → inter-State (IGST). This is why "place of supply" rules are the backbone of GST — they decide *which* State gets the money.

A6. Why is GST "destination-based" and not "origin-based"? Because tax accrues to the State where **goods/services are consumed**, not produced. A destination principle stops manufacturing States from hoarding revenue and matches GST's economic logic — it is a **consumption tax** ultimately borne by the final consumer.

A7. Which taxes were subsumed into GST, and which four items are still outside it? Subsumed: central excise, service tax, CVD/SAD, State VAT, entry tax, luxury/entertainment tax, CST, etc. **Outside GST (for now):** (i) **petroleum crude, HSD, petrol, natural gas, ATF** (GST rate notified as *nil* until the Council decides), (ii)

alcoholic liquor for human consumption (permanently outside — State excise/VAT continues), plus **tobacco** (GST *plus* central excise) and **electricity**.

A8. What is the role of the GST Council? Article 279A creates the GST Council (Union FM as chair, State FMs as members) to **recommend** rates, exemptions, thresholds, model laws and dispute-resolution. It is the **cooperative-federalism engine** of GST; decisions need a **75% weighted majority** (Centre 1/3, States 2/3).

A9. What is the taxable event under GST, and how is it different from the old regime? The taxable event is **"supply"** [Sec 7, CGST Act] — a single, unified trigger. It replaced multiple events: *manufacture* (excise), *sale* (VAT) and *provision of service* (service tax). One event removes classification disputes about whether a transaction was a "sale" or a "service."

A10. How does the input-tax-credit chain prevent cascading? Each registered person pays GST on outward supply but sets off GST already paid on inputs/input services/capital goods [Sec 16 read with Sec 49, CGST Act]. Net tax to government = tax on **value added** only. Tax therefore reaches the consumer without compounding at every stage.

A11. What is the composition scheme in one line, and who is it for? Sec 10, CGST Act — small suppliers with aggregate turnover up to **₹1.5 crore (₹75 lakh for special-category States)** pay a low flat rate on turnover (e.g., 1% traders, 5% restaurants, 6% eligible service providers) **without ITC** and **cannot make inter-State outward supplies or collect tax** from customers. It trades ITC for compliance simplicity.

A12. Why are threshold exemptions (₹40L/₹20L/₹10L) built into GST? To keep **tiny suppliers out of the compliance net** — the administrative cost of taxing them exceeds the revenue. ₹40 lakh applies to goods suppliers in normal States, ₹20 lakh for services (₹10 lakh for special-category States) [Sec 22, CGST Act].

Section B — Graded Computational / Application Problems (full working, self-checked)

B1 (Easy) — Splitting the tax between CGST/SGST vs IGST [Sec 9 CGST; Sec 5 IGST]

A supply of goods has a taxable value of **₹1,00,000** and the GST rate is **18%**. Compute the tax if the supply is (a) intra-State, (b) inter-State.

Answer. - Total GST @18% = $1,00,000 \times 18\% = \text{₹}18,000$. - **(a) Intra-State:** CGST 9% = ₹9,000 + SGST 9% = ₹9,000 → total **₹18,000**. - **(b) Inter-State:** IGST 18% = **₹18,000** (single levy). - **Check:** both routes yield the identical ₹18,000 — GST is rate-neutral to the transaction; only the *sharing* differs. ✓

B2 (Easy–Moderate) — Cascading vs GST value addition

A product moves Manufacturer → Wholesaler → Retailer. Value added at each stage: Manufacturer **₹1,000**, Wholesaler adds **₹400**, Retailer adds **₹600**. GST rate **10%** (assume intra-State, ignore CGST/SGST split; use total 10%). Compare tax collected under a **no-credit (cascading)** regime vs **GST with ITC**.

Answer. Selling prices (pre-tax): Mfr ₹1,000; WS ₹1,400; Retailer ₹2,000.

No-credit (tax charged on price incl. earlier tax): - Mfr charges 10% on 1,000 = ₹100 → price 1,100. - WS cost 1,100, adds 400 = 1,500, tax 10% = ₹150 → price 1,650. - Retailer cost 1,650, adds 600 = 2,250, tax 10% = ₹225 → price 2,475. - **Total tax collected = 100 + 150 + 225 = ₹475.**

GST with ITC: | Stage | Value added | Output tax | ITC | Net to govt | |---|---|---|---|---| | Manufacturer | 1,000 | 100 | 0 | 100 | | Wholesaler | 400 | 140 | 100 | 40 | | Retailer | 600 | 200 | 140 | 60 | | **Total** | **2,000** | | | **200** |

- **Check:** GST net collection ₹200 = 10% × total value added ₹2,000. Cascading collected ₹475 (tax on tax). GST saves ₹275 and the consumer's final price falls from ₹2,475 to ₹2,200. ✓

B3 (Moderate) — ITC set-off / net cash payable [Sec 49 read with Sec 49A/49B]

For a month, a dealer (intra-State only) has: **Output CGST ₹30,000, Output SGST ₹30,000. ITC available: CGST ₹18,000, SGST ₹22,000.** Compute net cash payable.

Answer. - CGST: output 30,000 – ITC 18,000 = **₹12,000 payable in cash.** - SGST: output 30,000 – ITC 22,000 = **₹8,000 payable in cash.** - CGST credit cannot be used against SGST and vice-versa [Sec 49(5)]; no cross-utilisation between the two. - **Total cash = ₹20,000.** Check: total output 60,000 – total ITC 40,000 = 20,000. ✓

B4 (Moderate–Hard) — IGST credit cross-utilisation order [Sec 49A, Rule 88A]

A dealer has **Output: IGST ₹10,000, CGST ₹10,000, SGST ₹10,000. ITC: IGST ₹30,000, CGST ₹2,000, SGST ₹2,000.** Determine tax payable, applying the rule that **IGST credit must be fully exhausted first** and may be used against IGST → then CGST/SGST in any order.

Answer. - **Step 1 — IGST output:** set off with IGST ITC 10,000 → IGST output nil. IGST ITC left = 30,000 – 10,000 = **20,000.** - **Step 2 — remaining IGST ITC (20,000)** applied to CGST 10,000 and SGST 10,000 → both wiped out. IGST ITC left = 0. - **Step 3 — CGST & SGST ITC (2,000 each):** their outputs are already nil, so this credit remains unused and carries forward. - **Cash payable = ₹0.** Balance in credit ledger c/f: CGST ₹2,000 + SGST ₹2,000 = **₹4,000.** - **Check:** total output 30,000 fully covered by IGST ITC of 30,000; unused CGST/SGST credit ₹4,000 carried forward. ✓

B5 (Exam-hard) — Composition scheme eligibility + tax [Sec 10]

Mr. Rao, a trader in Maharashtra (normal State), had **aggregate turnover ₹1.30 crore** last year, all intra-State. In the current year his turnover is **₹90 lakh (goods) + ₹8 lakh (interest on FDs, exempt) + ₹2 lakh (renting of commercial property, a service).** He wants the composition scheme. (a) Is he eligible? (b) Compute composition tax.

Answer. - **(a) Eligibility:** Last-year aggregate turnover ₹1.30 cr ≤ **₹1.5 cr** → within the limit [Sec 10(1)]. A composition trader may supply services up to **10% of turnover or ₹5 lakh, whichever is higher** [Sec 10(1) proviso]. Here service (renting ₹2 lakh) vs limit = higher of (10% × 1.30 cr = ₹13 lakh) or ₹5 lakh = **₹13 lakh.** ₹2 lakh ≤ ₹13 lakh → **eligible.** All supplies are intra-State (composition bars inter-State outward supply). ✓ - **(b) Tax:** For a **trader**, composition rate = **1% of turnover** (0.5% CGST + 0.5% SGST) on **taxable turnover.** Exempt FD interest is excluded from the tax base for a trader (turnover of taxable supplies). Base = goods ₹90 lakh + renting ₹2 lakh = **₹92 lakh.** - Composition tax = 1% × 92,00,000 = **₹92,000** (CGST ₹46,000 + SGST ₹46,000). - He **cannot collect tax** from customers and **cannot claim ITC** [Sec 10(4)]. Check: rate applied to taxable turnover, inter-State bar satisfied, service cap satisfied. ✓

B6 (Exam-hard) — Registration threshold & aggregate turnover [Sec 22, Sec 2(6)]

Ms. Iyer operates from **Tamil Nadu (normal State)** with: taxable goods supply ₹28 lakh, exempt supply ₹9 lakh, and exports ₹6 lakh. Must she register?

Answer. - Aggregate turnover [Sec 2(6)] = taxable + exempt + exports + inter-State — computed **all-India, PAN-based**, excluding GST itself. - $ATO = 28 + 9 + 6 = ₹43 \text{ lakh}$. - Threshold for a **supplier of goods in a normal State = ₹40 lakh** [Sec 22 with Notification No. 10/2019-CT]. - $₹43 \text{ lakh} > ₹40 \text{ lakh} \rightarrow$ **registration is mandatory**. - **Trap check:** exempt supply and exports **count** toward aggregate turnover even though they bear no/zero tax; ignoring them ($28 < 40$) would wrongly conclude "no registration." ✓

Section C — Past-Paper-Style Full Questions (model answers)

C1. "Explain the dual GST model adopted in India and the rationale behind it." (5 marks)

Model answer. India follows a **concurrent dual GST**, sourced in **Article 246A**, under which both the Centre and the States levy GST **simultaneously on the same base**: 1. **Intra-State supply** attracts **CGST** (levied by the Centre under Sec 9, CGST Act) **and SGST/UTGST** (levied by the State/UT under the SGST/UTGST Act) on the same taxable value. 2. **Inter-State supply and imports** attract **IGST** (Centre, under Sec 5, IGST Act), where $IGST \text{ rate} = CGST \text{ rate} + SGST \text{ rate}$.

Rationale: India is a **federal polity**; a single central GST would strip States of fiscal autonomy, while a purely State GST could not tax inter-State trade. The dual model preserves **fiscal federalism** — each government retains a revenue stream — while the **IGST mechanism** ensures a seamless credit chain across State borders and routes revenue to the **destination (consuming) State** via apportionment under **Article 269A**. The **GST Council (Art. 279A)** harmonises rates so the dual structure behaves as one tax to the taxpayer.

C2. "Describe how GST removes the cascading effect of taxes. Illustrate briefly." (6 marks)

Model answer. Under the pre-GST regime, central and State levies operated in **silos with no cross-credit** (e.g., VAT could not be set off against service tax), so each tax was charged on a base that already included earlier taxes — the **cascading / "tax-on-tax"** effect that inflated the final price.

GST removes cascading through **two design features**: - **A single taxable event ("supply")** [Sec 7] replacing manufacture/sale/service, and - **A seamless input-tax-credit chain** [Sec 16 r/w Sec 49] — every registered supplier deducts GST already paid on inputs, input services and capital goods from its output tax, so **only value addition is taxed at each stage**.

Illustration: If value added is ₹1,000 (mfr), ₹400 (WS) and ₹600 (retailer) at 10%, GST collects tax only on the running value added — $\text{net } ₹100 + ₹40 + ₹60 = ₹200 = 10\% \text{ of } ₹2,000 \text{ total value added}$ — whereas a no-credit regime would collect ₹475 by taxing tax. The consumer bears tax **once**, on final consumption value.

C3. "State which taxes have been subsumed under GST and which supplies remain outside its purview." (5 marks)

Model answer. Subsumed — Central levies: Central Excise Duty, Additional Excise Duties, Service Tax, CVD & Special Additional Duty of Customs, Central Surcharges/Cesses relating to supply. **Subsumed — State levies:** State VAT/Sales Tax, Central Sales Tax, Entry Tax/Octroi, Luxury Tax, Entertainment Tax (except that levied by local bodies), Taxes on lottery/betting, State cesses/surcharges on supply.

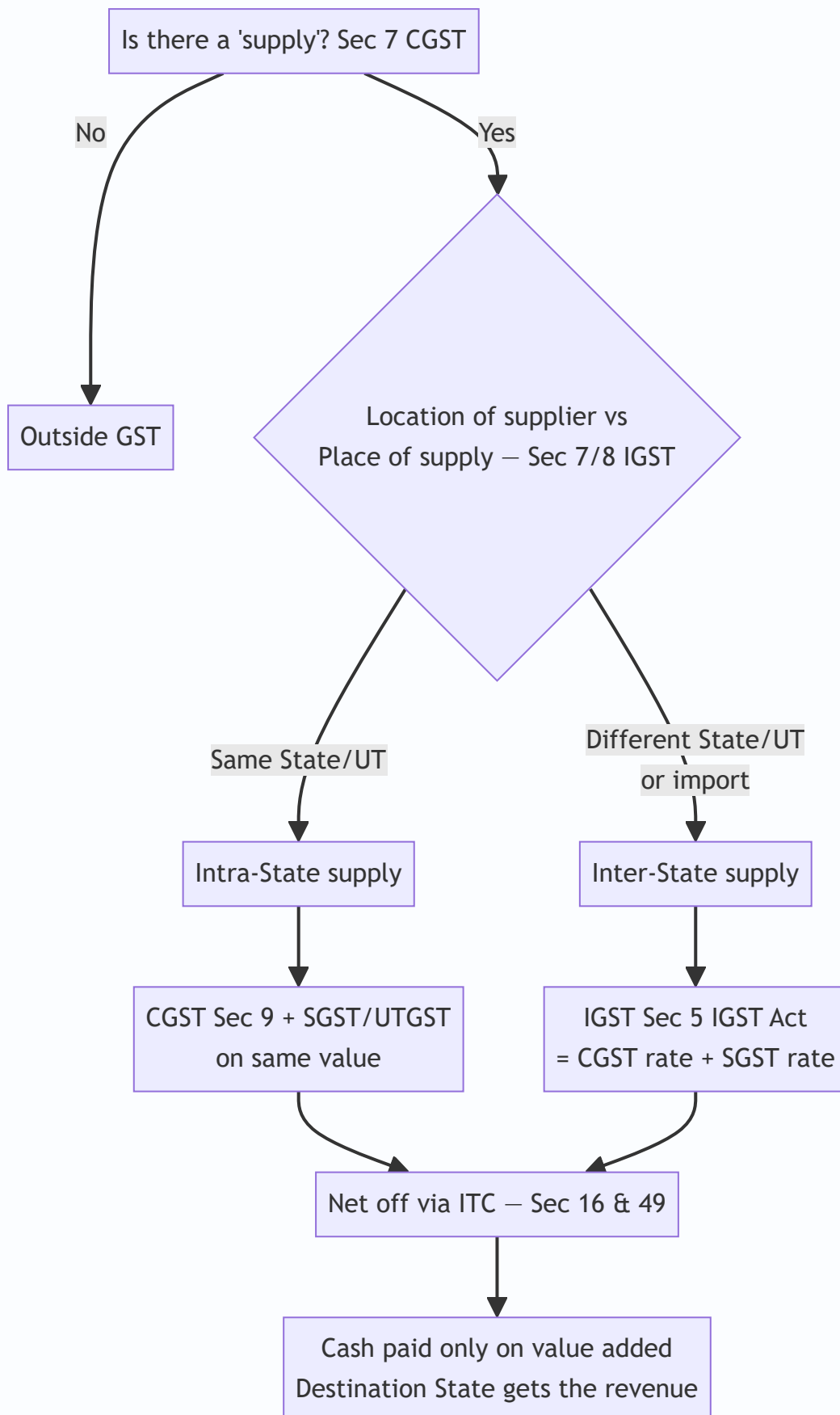
Outside GST: - **Alcoholic liquor for human consumption** — permanently outside; State excise & VAT continue. - **Five petroleum products** — petroleum crude, high-speed diesel, petrol, natural gas and ATF — **constitutionally within GST but taxed at nil GST rate** until the **GST Council** notifies a date; meanwhile

central excise + State VAT apply. - **Electricity** and **immovable property (stamp duty)** remain under existing State taxes. - **Tobacco** is *within* GST **and** additionally bears central excise duty. - **Basic Customs Duty** on imports continues (IGST is levied *in addition*).

Section D — MCQs / Case Scenarios (correct option + one-line reasoning)

- D1.** GST in India derives its constitutional authority primarily from: (a) Article 246 (b) **Article 246A** (c) Article 265 (d) Article 279 **Ans: (b)** — Art. 246A confers concurrent GST-legislating power on Centre and States.
- D2.** On an inter-State supply of goods, the tax levied is: (a) CGST + SGST (b) SGST only (c) **IGST** (d) CGST only **Ans: (c)** — Sec 5, IGST Act; inter-State supplies attract a single IGST.
- D3.** GST is best described as a: (a) Production/origin-based tax (b) **Destination-based consumption tax** (c) Direct tax on income (d) Turnover tax without credit **Ans: (b)** — revenue accrues to the State of consumption via ITC + destination principle.
- D4.** The GST Council is constituted under: (a) Sec 9 CGST Act (b) Article 269A (c) **Article 279A** (d) Sec 2(6) CGST Act **Ans: (c)** — Art. 279A creates the Council; decisions by 75% weighted vote.
- D5.** Which of the following is **NOT** subsumed under GST? (a) Service tax (b) State VAT (c) **Alcoholic liquor for human consumption** (d) Entry tax **Ans: (c)** — alcohol for human consumption is constitutionally outside GST.
- D6.** The taxable event under GST is: (a) Manufacture (b) Sale (c) Provision of service (d) **Supply** **Ans: (d)** — Sec 7, CGST Act unifies all events into "supply."
- D7. Case scenario.** A furniture dealer in Kerala sells goods worth ₹50,000 (18% GST) to a customer in Kerala. The correct tax is: (a) IGST ₹9,000 (b) **CGST ₹4,500 + SGST ₹4,500** (c) CGST ₹9,000 (d) SGST ₹9,000 **Ans: (b)** — intra-State supply → CGST 9% + SGST 9% on ₹50,000.
- D8. Case scenario.** A composition dealer (trader) has taxable turnover ₹80 lakh. His composition tax is: (a) ₹1,44,000 (b) ₹4,00,000 (c) **₹80,000** (d) Nil **Ans: (c)** — traders pay 1% of turnover under Sec 10 → 1% × ₹80 lakh = ₹80,000 (no ITC, no tax collection).
- D9.** IGST revenue on inter-State supply is apportioned between the Centre and the destination State under: (a) Article 246A (b) **Article 269A** (c) Sec 9 CGST (d) Sec 10 CGST **Ans: (b)** — Art. 269A governs levy and apportionment of IGST.
- D10.** The threshold registration limit for a supplier of **goods** in a normal-category State is generally: (a) ₹10 lakh (b) ₹20 lakh (c) **₹40 lakh** (d) ₹1.5 crore **Ans: (c)** — ₹40 lakh for goods (₹20 lakh for services); ₹1.5 cr is the composition limit. (*Rate/threshold-sensitive — verify for your attempt.*)
-

GST charge-decision flow (Mermaid)



One-line first-principles recap

GST replaces a fragmented, cascading regime with **one taxable event (supply)** taxed **concurrently by Centre + State (dual GST)**, made seamless by an **ITC chain** and routed to the **consuming State (destination principle)** — all anchored in **Article 246A / 279A** and worked through the **CGST, SGST/UTGST and IGST Acts, 2017**.

Chapter 14 — Supply under GST

Applicable-law flag: This chapter teaches the *architecture* of "supply" — Sections 7 and 8 of the CGST Act, 2017 read with Schedules I, II and III. The concepts are structurally stable, but Schedule entries, activity-specific clarifications, and the treatment of a few borderline items (actionable claims, high-sea sales, vouchers) have been fine-tuned by amendments and circulars. **Before your attempt, verify the current text of Sec 7, the three Schedules, and the latest ICAI Study Material / RTP amendments for your exam sitting.** If you understand *why* an item lands in a Schedule, memorising the list becomes almost unnecessary.

1. The Problem — what event should GST tax, and why the old answer was a disaster

Every indirect tax must first answer one question before it can charge a single rupee: **what is the taxable event?** — the precise happening that switches the tax on.

Before 1 July 2017, India answered this question *many times over*, once for each tax, and each answer was different:

- **Central Excise** taxed *manufacture* — the moment goods were *produced* in a factory.
- **VAT / CST** taxed *sale* — the transfer of property in goods for a price.
- **Service tax** taxed *provision of a service* — an activity done for another for consideration.
- **Entry tax, octroi** taxed *entry of goods into a local area*.
- **Luxury tax, entertainment tax** taxed still other events.

Because each tax fixed on a *different* event, three ruinous problems followed:

1. **Classification wars.** Is a restaurant meal a *sale* of food (VAT) or a *service* of serving it (service tax)? Is a software licence *goods* or a *service*? Is a works contract (build-a-building) a sale of materials or a service of construction? Litigation ran for decades because the *tax depended on the label*, and each label carried a different tax at a different rate to a different government.
2. **Cascading (tax-on-tax).** Excise was charged at the factory; then VAT was charged on a value that *included* the excise. Tax piled on tax, because credit could not cross the boundary between a Central tax (excise) and a State tax (VAT). The final price carried hidden layers of tax-upon-tax.
3. **Gaps and overlaps.** Some transactions escaped every tax; others were taxed twice (both VAT and service tax on the same works contract), forcing artificial 70:30 splits.

The root cause of all three was the **multiplicity of taxable events**. Fix that, and the mess dissolves.

2. The Core Idea

GST abolishes "manufacture", "sale" and "provision of service" as separate taxable events and replaces all of them with ONE unifying event: *supply*. Tax is triggered when there is a "supply" of goods or services. Section 9 (the charge) says "there shall be levied a tax... on all *intra-State supplies*"; the entire question of "what is taxable" collapses into "what is a supply".

Read that again. The whole complicated pre-GST apparatus — three central events, several state events, all with their own case law — is compressed into a single word. If a transaction is a **supply**, GST *can* apply. If it is **not a supply**, GST *cannot* apply, no matter how much money changes hands.

This is why "supply" is the *single most important definition in the entire GST law*. Every later concept — time of supply (when to pay), place of supply (which State/IGST), value of supply (how much), input tax credit (what you can net off) — all of them presuppose that a supply exists. **Supply is the gate; everything else is inside the gate.**

The chapter's job is therefore to answer four sub-questions, and Sections 7–8 are built to answer exactly these:

- **What counts as a supply?** → *Scope of supply*, Sec 7(1).
- **Can something be a supply even with NO money?** → *Schedule I*, Sec 7(1)(c).
- **When we have a supply, is it of GOODS or SERVICES?** (the rate/rules differ) → *Schedule II*, Sec 7(1A).
- **What is carved OUT — declared "neither goods nor services"?** → *Schedule III*, Sec 7(2).
- **When two things are bundled, how do we tax the bundle?** → *Composite vs mixed supply*, Sec 8.

3. Why it's built this way

Why one event instead of many? Because the *label* was the source of every dispute and every cascade. If "sale vs service" no longer changes *whether* you are taxed (both are "supply", both attract GST, and — crucially — credit flows freely across both), the incentive to litigate the label largely vanishes. A restaurant meal, a software licence, a works contract — all are simply *supplies*, all taxed, all creditable. The war ends because the prize is gone.

Why must "supply" be defined so widely (an inclusive, not exhaustive, list)? Because a tax on value added must catch value *wherever* it is created — in a sale, a lease, a licence, a barter, an exchange, a disposal. If the definition were a closed list, taxpayers would engineer transactions to sit *just outside* it. So Sec 7(1)(a) uses "**includes**" and lists *forms* (sale, transfer, barter, exchange, licence, rental, lease, disposal) as illustrations, not boundaries.

Why bring in transactions with NO consideration (Schedule I)? Because the ordinary meaning of supply requires a *price*, and businesses would otherwise avoid tax by *gifting*. If a company could ship goods to its own branch in another state, or a manufacturer could give away stock, tax-free simply by not charging a price, the base would leak badly and input credit already taken would be enjoyed with no output tax. Schedule I plugs this by *deeming* four specific consideration-free transactions to be supplies anyway.

Why classify goods vs services at all if both are taxed? Because *time of supply*, *place of supply* and sometimes the *rate* differ between the two. The tax is unified, but the *machinery* still needs to know which

limb to run. Schedule II is the rulebook that settles the classification for the historically-contested cases (works contracts, restaurant supply, leasing, etc.).

Why carve out Schedule III (neither goods nor services)? Because some activities are *not economic supplies at all* in the sense GST intends to tax — an employee working for salary, a court's functions, the sale of a completed building (immovable property, outside GST by design), the sale of land. Rather than argue each one, the law *declares* them out.

4. Full Technical Content — Sections 7 & 8 with the "why"

4.1 Section 7(1) — Scope of Supply (the four gates)

Section 7(1) says the expression "supply" **includes**:

Clause	What it captures	Key requirement
7(1)(a)	All <i>forms</i> of supply of goods or services — sale, transfer, barter, exchange, licence, rental, lease, disposal	(i) made or agreed to be made for a consideration AND (ii) in the course or furtherance of business
7(1)(b)	Import of services	for a consideration — whether or not in the course or furtherance of business
7(1)(c)	Activities in Schedule I	made WITHOUT consideration (the four deemed supplies)
~~7(1) (d)~~	(originally referred Schedule II — see 7(1A) below)	—

Memory hook — the "C + B" test. For the *general* limb 7(1)(a): a transaction is a supply if it has **Consideration** **and** is in the course/furtherance of **Business**. Both together. Knock out either one and 7(1)(a) fails — you then fall to check 7(1)(b) (imported service) or 7(1)(c) (Schedule I).

Note the deliberate asymmetries, each with a reason:

- **7(1)(b) — import of services** needs consideration but **NOT** business purpose. *Why?* Cross-border services (e.g., an individual downloading a paid foreign online course) would otherwise escape both the exporting country's tax and India's tax. To protect the base and to level the field with domestic service providers, imported services for a price are taxed even if you consume them personally.
- **7(1)(c) — Schedule I** needs business purpose (implicit) but **NO** consideration. It is the anti-avoidance limb.

4.2 The two ingredients of 7(1)(a): Consideration and Business

Consideration [Sec 2(31)] — widely defined. It includes: - any **payment** in money or otherwise, and - the **monetary value of any act or forbearance** (doing something, or refraining),

made by the recipient *or by any other person*, in respect of, in response to, or for the inducement of the supply.

But — a **subsidy given by the Central or State Government is expressly excluded** from consideration. And a **deposit** is not consideration *unless* the supplier applies it as consideration for the supply.

Why "or by any other person"? So that a payment routed through a third party (e.g., a parent paying for a child's service) still counts — you cannot dodge tax by having someone else pay.

Business [Sec 2(17)] — also very wide. It includes any trade, commerce, manufacture, profession, vocation, adventure, wager or *any similar activity, whether or not it is for a pecuniary benefit, and whether or not there is volume, frequency, continuity or regularity*. It also covers activities incidental/ancillary to the main business, one-off "adventures", and the activities of clubs/associations to their members.

Why so wide? Because "value added" happens in commercial activity of every shape. A one-off "adventure in the nature of trade" adds value just as a regular business does; excluding it would create a loophole. The width of Sec 2(17) is what makes the "furtherance of business" test easy to satisfy for almost anything a firm does.

4.3 Section 7(1A) — once it IS a supply, classify it using Schedule II

Section 7(1A): *"where certain activities or transactions constitute a supply in accordance with 7(1), they shall be treated either as a supply of goods or a supply of services as referred to in Schedule II."*

The 2018 amendment (retrospective from 1 July 2017) is **conceptually crucial**: Schedule II *no longer decides whether something is a supply* — it only decides the *goods-vs-services classification* of things that are **already** supplies under 7(1). First cross the supply gate (7(1)); *then* use Schedule II to label the limb.

4.4 Section 7(2) — what is NOT a supply (Schedule III + notified govt activities)

Section 7(2): notwithstanding anything in 7(1), the following shall be treated as **neither a supply of goods nor a supply of services**: - (a) activities/transactions in **Schedule III**; - (b) activities of the Central/State Government or local authority as *public authorities*, as may be notified.

Section 7(3) empowers the Government, on GST Council recommendation, to notify that a transaction is to be treated as a supply of goods (not services) or vice-versa.

4.5 Schedule I — Supply WITHOUT consideration (the four deemed supplies)

These are treated as supply **even though no consideration is charged**. There are exactly **four** entries. Learn them by their *reason*, not the words.

#	Deemed supply	The reason (why the law refuses to let it be free)
1	Permanent transfer / disposal of business assets where input tax credit has been availed on those assets	You took credit when you bought the asset (reduced your tax). If you then give it away tax-free, the credit is a pure leakage. Tax on disposal reverses the enjoyed credit. No ITC availed → not covered.
2	Supply between related persons or distinct persons [Sec 25], when made in the course/furtherance of business — <i>except</i> gifts by an employer to employee up to ₹50,000 in a financial year	Related/branch parties can set an artificial ₹0 price to dodge tax. So inter-branch stock transfers and related-party supplies are taxed at open-market value even without a price.
3	Supply by a principal to his agent (agent to supply on principal's behalf) or by an agent to his principal (agent to receive on principal's behalf)	Goods moving to/from an agent who will supply them are commercially "in the pipeline"; taxing the transfer keeps the credit chain intact.
4	Import of services by a person from a related person or from his own establishment outside India , in the course/furtherance of business	An Indian arm receiving services free from its foreign parent would otherwise import untaxed value. Deeming it a supply protects the base (mirrors 7(1)(b) for the free-of-charge, related case).

Distinct persons [Sec 25(4)/(5)]: the *same* legal entity registered in two States (or two registrations in one State) are treated as *distinct persons*. This is the engine that makes **branch/stock transfers between States taxable** — the anti-cascade design needs tax (and hence credit) to move with the goods across the State line.

The ₹50,000 employee gift line: gifts *up to* ₹50,000 per employee per year are outside GST; *beyond* ₹50,000 the *whole* amount (per ICAI's view, the value exceeding the exemption logic — verify current ICAI treatment) becomes a supply. Note: perquisites provided by an employer to an employee *in terms of the employment contract* are **not** supplies (Schedule III entry 1 — services by employee to employer).

4.6 Schedule II — Goods vs Services classification (settling the old wars)

Schedule II tells you, for historically-disputed transactions, whether the (already-established) supply is **goods** or **services**. The organising principle:

Transfer of title/ownership → goods. Transfer of right to use without title, or an activity/obligation → services.

Transaction	Treated as	Why
Transfer of title in goods	Goods	Ownership passes → classic goods
Transfer of right in goods / undivided share without transfer of title	Services	You get <i>use</i> , not <i>ownership</i>
Transfer of title under an agreement that property passes at a future date (hire-purchase)	Goods	Title <i>will</i> pass → goods
Lease, tenancy, licence to occupy land ; letting of commercial/residential building	Services	Right to <i>use</i> immovable property
Treatment or process applied to another's goods (job work)	Services	An activity on someone else's goods
Transfer of business assets (assets put to private/non-business use, or ceasing to be a taxable person)	Goods / Services as specified	Anti-leakage on business assets
Renting of immovable property	Services	Right to use
Construction of a building/complex intended for sale (except where <i>entire</i> consideration received <i>after</i> completion certificate)	Services	Ongoing activity; but a <i>completed</i> building is immovable property → out (Sch III)
Temporary transfer / permitting use of intellectual property (IPR)	Services	Right to use, no title transfer
Development, design, programming of IT software	Services	Activity/creation
Agreeing to the obligation to refrain / to tolerate an act / to do an act	Services	Forbearance = a service
Works contract [Sec 2(119)] (building, construction, fabrication, etc. of immovable property)	Services	<i>Ends the VAT-vs-service-tax war by fiat</i>
Restaurant supply — food/drink for human consumption as part of a service	Services	<i>Ends the sale-vs-service war for food</i> — the composite is declared a service
Supply of goods by an unincorporated association/body to a member for consideration	Goods	—

The two most examined "declared services": (a) **Works contract** and (b) **Restaurant/outdoor catering** are declared **services** by Schedule II. Historically both were taxed under *two* laws (VAT + service tax) with artificial splits. Schedule II abolishes the split by *legislative declaration* — the single most direct example of "one event ends classification war."

4.7 Schedule III — Neither goods nor services ("negative list of supply")

These are declared outside the scope of supply entirely (Sec 7(2)(a)). Learn the *logic buckets*:

Entry	Item	Why it is out
1	Services by an employee to the employer in the course of employment	Salary is not a commercial supply; taxing it would tax wages
2	Services by any court or Tribunal	Sovereign judicial function, not commerce
3	Functions/duties of MPs, MLAs, constitutional post-holders ; services by a person as Chairperson/Member/Director in a body established by government where not an employee	Public/constitutional functions
4	Services of funeral, burial, crematorium, mortuary including transportation of the deceased	Not an economic supply the state wishes to tax
5	Sale of land and (subject to Sch II para 5(b)) sale of building (completed)	Immovable property is outside GST by constitutional/design choice; land has no "value added" in the GST sense
6	Actionable claims other than lottery, betting and gambling	Ordinary debts/claims are not goods-in-substance
7	Supply of goods from a place outside India to another place outside India without entering India (merchant/high-sea trading in transit)	Goods never entered India — no Indian value added
8	(a) High-sea sales (supply of warehoused goods before clearance for home consumption); (b) supply of goods before entry for home consumption	Taxed later at import stage; avoids double taxation

Memory hook for Schedule III — "ELF-CAG... out": Employment services, Land & completed buildings, Funeral services, Court/constitutional functions, Actionable claims (non-lottery), Goods outside India / high-sea sales. All *declared out*.

4.8 Section 8 — Composite and Mixed Supply (taxing bundles)

Once you know each item is a supply, a practical problem remains: businesses sell *bundles* (a laptop + carry-bag; a hotel room + breakfast; a gift-hamper of chocolates + juice + tie). Each component might carry a *different rate*. How is the bundle taxed?

Two definitions, then one rule each:

Composite supply [Sec 2(30)] — two or more taxable supplies **naturally bundled and supplied in conjunction** in the *ordinary course of business*, one of which is a **principal supply** [Sec 2(90) — the *predominant* element to which the others are ancillary]. The components are *not* sold separately in the normal course.

Section 8(a) rule: a composite supply is taxed at the rate of the **PRINCIPAL supply**. The whole bundle inherits the principal item's rate/character.

Mixed supply [Sec 2(74)] — two or more individual supplies made **together for a single price**, which are **NOT** a composite supply (i.e., they are *not* naturally bundled — each *could* be sold on its own).

Section 8(b) rule: a mixed supply is taxed at the rate of that particular supply which attracts the **HIGHEST** rate of tax.

Why these two opposite rules? The rules are *anti-abuse and pro-natural-commerce* at once. If items are *genuinely, naturally* bundled (you cannot sensibly buy a hotel room without the incidental services), the law respects commercial reality and charges the principal item's rate. But if a seller *artificially* staples together unrelated items under one price — perhaps to drag a high-rate item down to a low-rate item's tax — the law refuses the trick and charges the **highest** rate. Natural bundle → principal rate (fair); artificial bundle → highest rate (deterrent).

Memory hook: Composite → **Core** (principal) rate. **Mixed** → **Max** rate.

4.9 Decision flow — is it a supply, and how is it taxed?

A transaction happens

Is it in Schedule III or a notified govt function

No

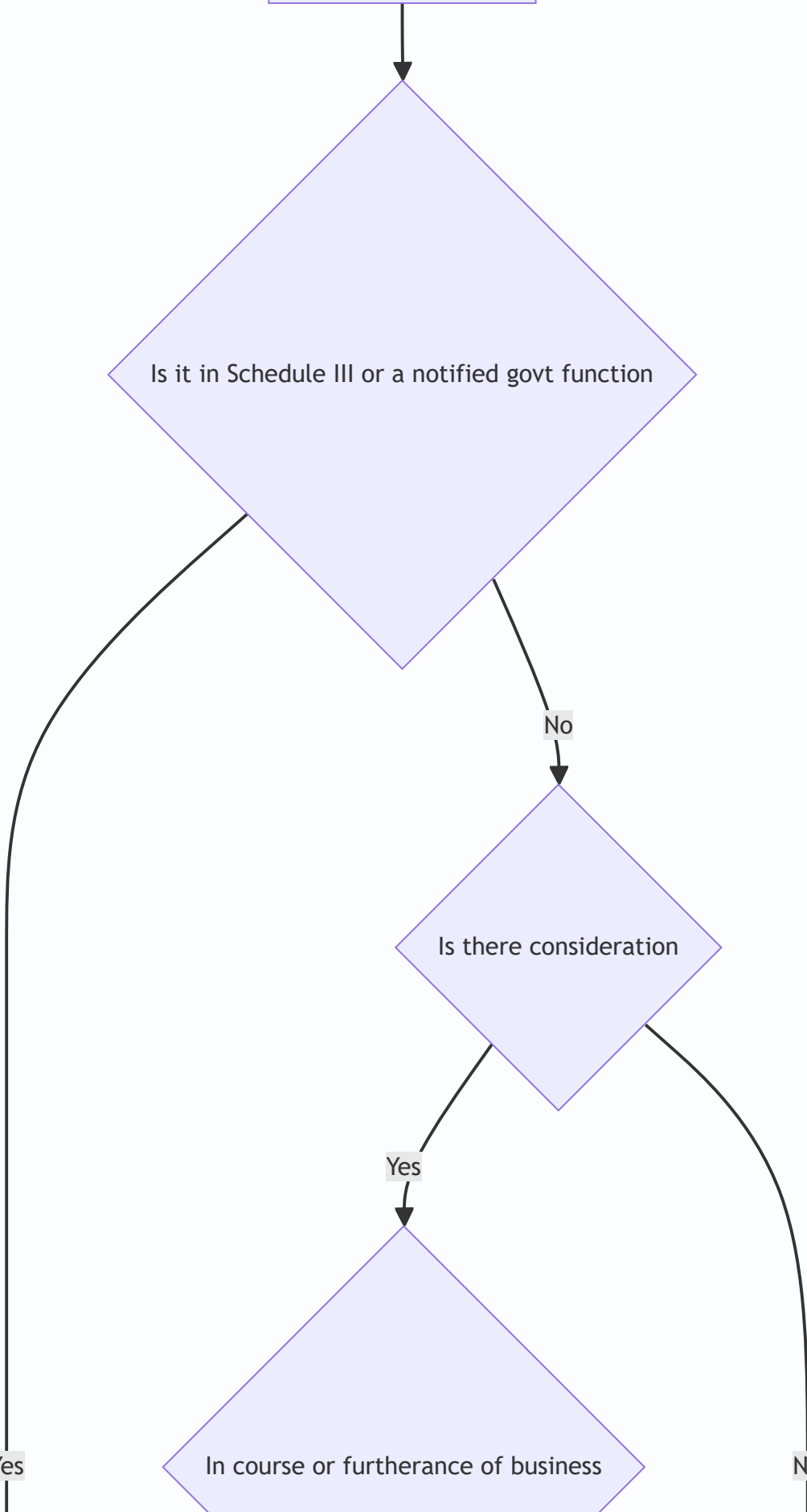
Is there consideration

Yes

In course or furtherance of business

Yes

No



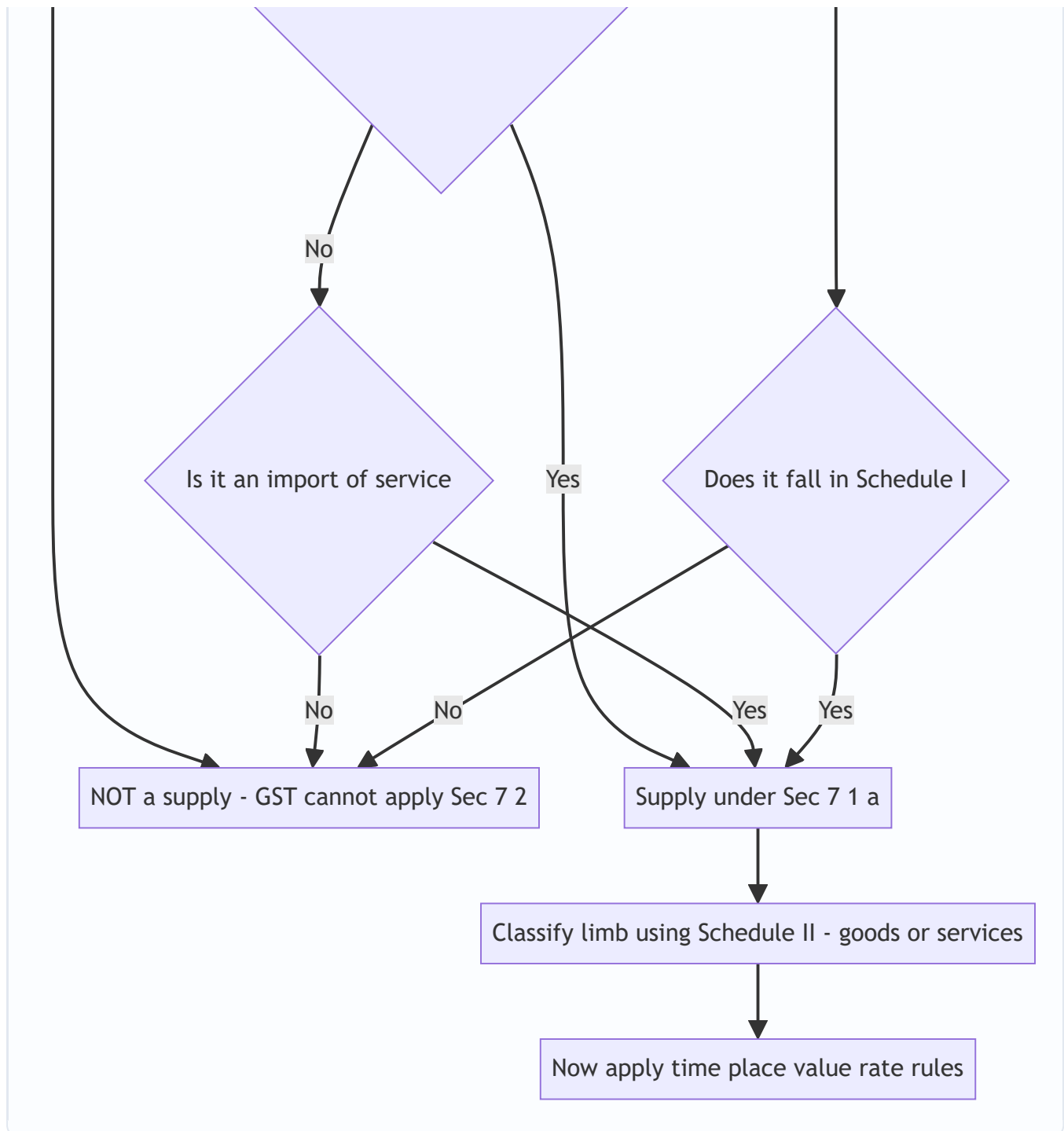


Figure 14.1 — The supply gate. Cross Sec 7 first; classification and the rest of GST live beyond the gate.

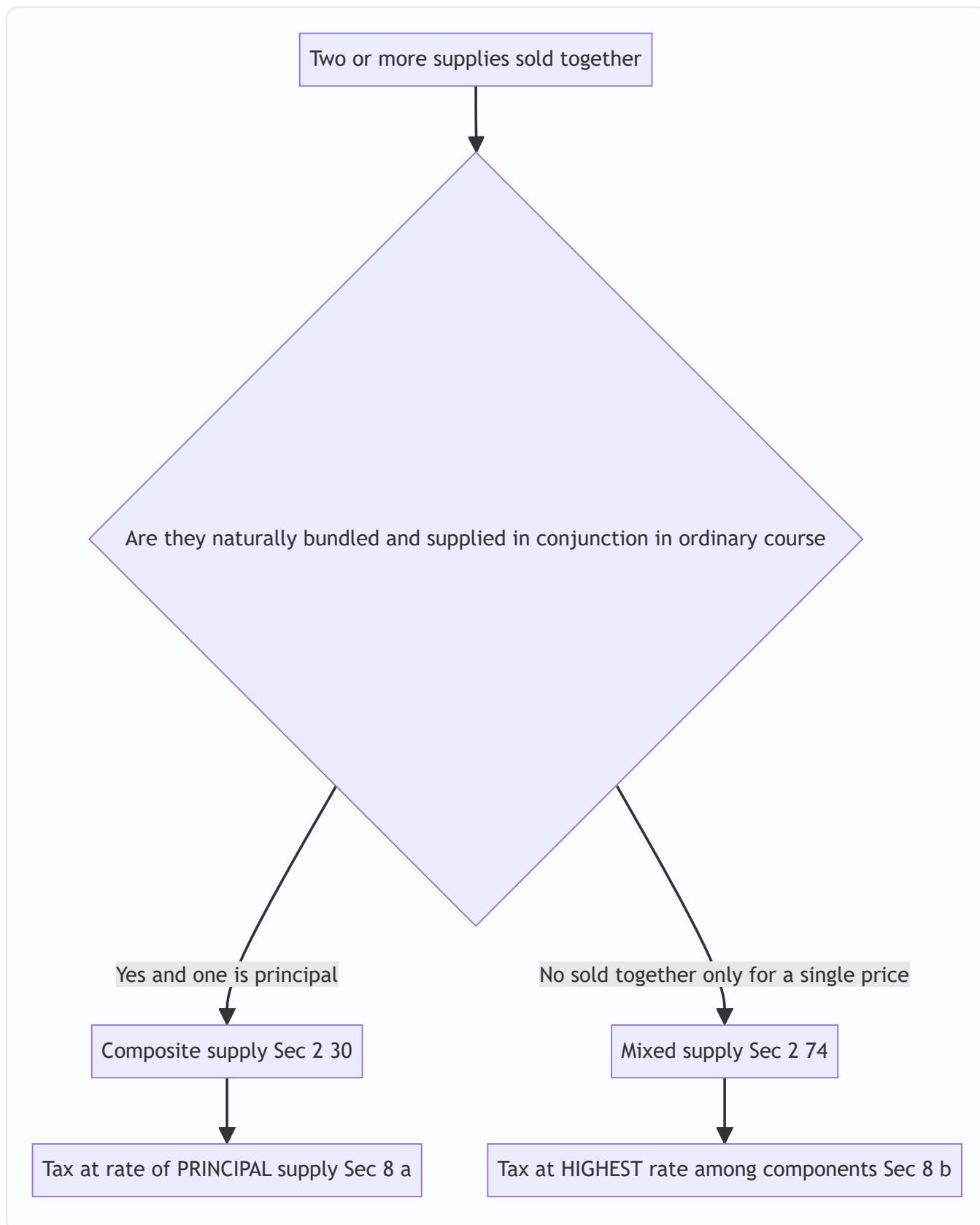


Figure 14.2 — Composite vs mixed: natural bundle takes the core rate, artificial bundle takes the max rate.

5. Worked Examples

Example 1 — The four-gate test on ordinary and odd transactions

Classify each as *supply* / *not supply*, citing the gate.

#	Transaction	C?	B?	Verdict & reason
(a)	A trader sells goods worth ₹1,00,000 to a customer	Yes	Yes	Supply — Sec 7(1)(a); both C and B present
(b)	A salaried employee receives ₹80,000 salary	Yes	—	Not a supply — Schedule III entry 1 (employee-to-employer service is excluded), Sec 7(2)(a)
(c)	A firm barter 100 chairs for 20 tables with another firm	Yes (barter is consideration in kind)	Yes	Supply — 7(1)(a) expressly lists <i>barter/exchange</i> ; monetary value of goods received is consideration
(d)	An individual (not in business) imports a paid online design course from a US website for personal use, pays ₹15,000	Yes	No	Supply — Sec 7(1)(b): import of service for consideration is a supply <i>even without business purpose</i>
(e)	A person sells his ancestral agricultural land for ₹50 lakh	Yes	Maybe	Not a supply — Schedule III entry 5 (sale of land), Sec 7(2)(a). Land is out regardless

Reconciliation of the logic: (a) passes C+B → 7(1)(a). (b) and (e) are *declared out* by Schedule III, so we never even test C/B. (c) shows "consideration" need not be money. (d) is the key trap: no business, yet taxable, because 7(1)(b) drops the business requirement for imported services.

Example 2 — Schedule I: the tax-free-looking transactions that are taxed

ABC Ltd is registered in Maharashtra and Gujarat (same PAN, two GSTINs → distinct persons under Sec 25).

During the year:

- It transfers finished goods (open-market value ₹5,00,000) from its Maharashtra unit to its Gujarat unit for internal use — **no invoice value charged**.
- It donates a delivery van (originally bought for ₹8,00,000 on which it **had availed ITC of ₹1,44,000**) to a charity — free of charge.
- It gives each of its 3 senior managers a Diwali gift worth ₹70,000.

Required: Which are supplies? On what value?

Solution.

Item 1 — Branch transfer between distinct persons. Schedule I entry 2 deems supplies between *distinct persons* in the course of business to be supplies **even without consideration**. → **Supply**. Value = open-market value = **₹5,00,000** (per Rule 28 valuation for distinct persons). *Why taxed:* the anti-cascade design needs GST (and matching ITC in Gujarat) to travel with goods across the State border; otherwise credit chains break.

Item 2 — Disposal of business asset on which ITC was availed. Schedule I entry 1: permanent transfer/disposal of business assets **where ITC has been availed** is a supply even without consideration. →

Supply. The company enjoyed ₹1,44,000 credit; giving the van away free would let that credit sit un-reversed. Value = open-market value of the van at disposal. *If no ITC had been availed → NOT a supply.*

Item 3 — Gifts to employees. Schedule I entry 2 proviso: gifts by employer to employee **up to ₹50,000** per employee per FY are **not** a supply; **beyond ₹50,000** it becomes a supply. Each gift is ₹70,000 (> ₹50,000). → Each is a **supply**. (Verify current ICAI treatment of whether the whole ₹70,000 or only the excess is taxed; ICAI generally treats the gift as a supply once the ₹50,000 threshold is breached.)

Reconciliation: all three *looked* free, yet each is caught — by the exact anti-avoidance reason it was written for: cross-border credit (1), un-reversed ITC (2), disguised remuneration (3).

Example 3 — Composite vs Mixed supply computation

Compute the GST for each bundle. Assume rates: laptop 18%, laptop bag 28% (illustrative — verify current rates); packaged snacks 12%, aerated drinks 28%, chocolates 18%; transport/insurance ancillary.

Bundle A — Laptop supplied with a carry-bag, single price ₹50,000. A laptop is *ordinarily* sold with a bag as a natural accompaniment; the bag is ancillary; the laptop is the **principal supply**. → **Composite supply** (Sec 2(30)). Taxed at the **principal** rate (Sec 8(a)) = laptop @ **18%**. GST = $50,000 \times 18\% = \text{₹9,000}$.

Bundle B — A gift hamper for ₹2,000 containing packaged snacks (12%), chocolates (18%) and a bottle of aerated drink (28%), single price. These items are *not* naturally bundled — each is independently sellable; they are stapled together for a single price. → **Mixed supply** (Sec 2(74)). Taxed at the **highest** rate among components (Sec 8(b)) = **28%** (aerated drink). GST = $2,000 \times 28\% = \text{₹560}$.

Bundle C — Goods worth ₹1,00,000 supplied with transportation (₹5,000) and insurance (₹2,000) in transit, one contract. The supply of goods is the principal; transport and insurance are naturally supplied in conjunction to deliver those goods. → **Composite supply**; principal = the goods. Taxed at the **goods' rate** on the whole ₹1,07,000. If the goods are @18%: GST = $1,07,000 \times 18\% = \text{₹19,260}$.

Reconciliation of the tax logic: In A and C, respecting the natural bundle gives the *fair* (principal) rate — the customer genuinely buys "a laptop" and "delivered goods". In B, the artificial staple triggers the *deterrent* rule: the seller cannot shelter a 28% drink inside a 12%-snack bundle; the whole ₹2,000 bears 28%. Same section (8), opposite outcomes, driven by whether the bundle is natural.

6. Format / Summary Sheet

The one-line skeleton to reproduce in an exam:

Supply [Sec 7] = (a) all forms of supply of goods/services for consideration in the course/furtherance of business; (b) import of services for consideration [business not needed]; (c) Schedule I activities without consideration. Classify goods-vs-services by Schedule II [Sec 7(1A)]. Schedule III + notified govt functions are NOT supply [Sec 7(2)]. Bundles: composite → principal rate [Sec 8(a)]; mixed → highest rate [Sec 8(b)].

Provision	Section	One-line function
Scope of supply	7(1)	The four inclusion gates
Import of service	7(1)(b)	Taxed for consideration, no business needed
Deemed supply w/o consideration	7(1)(c) + Sch I	Anti-avoidance: 4 entries
Goods vs services	7(1A) + Sch II	Classification of an existing supply
Not a supply	7(2) + Sch III	Negative list of supply
Power to reclassify	7(3)	Govt may notify goods↔services
Composite supply	2(30), 8(a)	Natural bundle → principal rate
Mixed supply	2(74), 8(b)	Artificial bundle → highest rate
Consideration	2(31)	Money or value of act/forbearance; excludes govt subsidy
Business	2(17)	Extremely wide; even one-off adventures
Distinct persons	25(4)/(5)	Same PAN, different GSTIN → separate persons

7. Connections

- → **Charge (Sec 9 CGST / Sec 5 IGST):** the charge attaches to "supply". No supply → no charge. This chapter defines the trigger the next chapter *pulls*.
- → **Time of Supply (Sec 12/13):** *when* to pay presupposes a supply exists; goods-vs-services classification (Sch II) selects which time-of-supply section applies.
- → **Place of Supply (IGST Sec 10–13):** decides intra-State (CGST+SGST) vs inter-State (IGST). *Distinct-persons* branch supplies (Sch I) are typically inter-State → IGST.
- → **Value of Supply (Sec 15) & Rules 27–31:** Schedule I supplies with no price are valued at open-market value (Rule 28 for distinct/related persons).
- → **Input Tax Credit (Sec 16–17):** Schedule I entry 1 exists *because* ITC was availed — supply and ITC are two ends of the same anti-leakage design.
- → **Composition & Registration:** "aggregate turnover" is built on the value of *supplies*; whether an activity is a supply feeds the registration threshold.

8. Traps & Examiner Tricks

1. **"No money changed hands, so no GST."** *Wrong* — check Schedule I. Branch transfers, related-party supplies, ITC-availed asset disposals, and free imports from a foreign parent are all supplies *without* consideration.
2. **Import of service for personal use.** Students reflexively apply the "furtherance of business" test and say "not a supply." *Trap:* Sec 7(1)(b) drops the business requirement — a paid imported service is a supply even for a private individual.
3. **Schedule II decides "supply or not."** *Wrong post-2018.* After Sec 7(1A), Schedule II *only* classifies goods-vs-services for something *already* a supply under 7(1). Cross the 7(1) gate first.

4. **Composite treated as mixed (or vice-versa).** Ask: *would these normally be sold separately?* Naturally bundled (laptop+bag, hotel+breakfast) = composite → principal rate. Independently sellable but sold for one price (gift hamper) = mixed → highest rate.
 5. **Sale of land / completed building taxed.** *Wrong* — Schedule III entry 5. But an *under-construction* flat (before completion certificate / part payment before completion) is a **service** under Sch II para 5(b) and IS taxed. Watch the completion-certificate line.
 6. **Employee perquisites.** Salary and contractual perquisites → Schedule III (not supply). But an employer gift *above ₹50,000* → Schedule I supply. Don't confuse the two.
 7. **Actionable claims.** Generally *not* a supply (Sch III entry 6) — *except* lottery, betting and gambling, which ARE supplies. Note recent amendments on online gaming/casinos — verify current ICAI position.
 8. **"Distinct persons" only across States?** Two registrations even within the *same* State, and an establishment in another State/country, are distinct persons — Schedule I entry 2 bites there too.
 9. **Subsidy in the price.** A *government* subsidy is excluded from consideration (Sec 2(31)); a *non-government* subsidy is included. Examiners flip this.
 10. **Composite supply ≠ works contract.** A works contract and restaurant supply are *declared services by Sch II* (not analysed via Sec 8). Don't run the composite/mixed test on them — the statute already labelled them.
-

9. First-Principles Recap

Start from the disease: **many taxable events** → **classification wars + cascading + gaps**. The cure is **one taxable event: supply**. From that single move, everything else is forced:

1. If supply is the only trigger, it must be defined *widely* → inclusive list of forms (7(1)(a)), with two ingredients, **consideration + business**.
2. A wide definition invites two escapes — "*no price*" and "*cross-border free*" — so the law adds **Schedule I** (deemed supply without consideration) and **7(1)(b)** (import of service without business).
3. Even under one tax, *timing, place and sometimes rate* differ for goods vs services, so a **classification rulebook (Schedule II)** settles the old disputes by fiat — works contract and restaurant = services, war over.
4. Some activities are simply *not the kind of value-adding commerce GST targets* (employment, land, courts, funerals), so they are **declared out (Schedule III)**.
5. Real businesses sell **bundles**, so **Sec 8** adds a fair rule for natural bundles (principal rate) and a deterrent rule for artificial ones (highest rate).

If you can regenerate Sections 7, 8 and the three Schedules from those five pressures, you have understood "supply" — no list-memorising required.

10. Quick-Revision Sheet

THE GATE (Sec 7(1)) — a supply is: - (a) **forms** of supply

(sale/transfer/barter/exchange/licence/rental/lease/disposal) — needs **Consideration + Business** ("C+B") -

(b) **import of service** for consideration — **no business needed** - (c) **Schedule I** — deemed supply **without consideration**

SCHEDULE I (no-consideration supplies) — 4 entries: 1. Permanent disposal of business asset **where ITC availed** 2. Supply between **related / distinct persons** in business (gift to employee $\leq$ ₹50,000 exempt) 3. **Principal** ↔ **agent** supplies 4. **Import of service** from **related person / own foreign establishment** for business

SCHEDULE II (goods vs services) — title passes → **goods**; right-to-use / activity / forbearance → **services**. Declared **services**: works contract, restaurant supply, renting/lease of immovable property, job work, IPR temporary transfer, IT software development, agreeing to refrain/tolerate/do.

SCHEDULE III (NOT supply) — "ELF-CAG": Employment, Land & completed buildings, Funeral, Court/constitutional functions, Actionable claims (except lottery/betting/gambling), Goods sold outside India / high-sea sales.

BUNDLES (Sec 8): - **Composite** (natural bundle, has a principal) → **rate of PRINCIPAL supply** [8(a)] — "*Composite = Core rate*" - **Mixed** (single price, not naturally bundled) → **HIGHEST rate** [8(b)] — "*Mixed = Max rate*"

KEY DEFINITIONS: Consideration 2(31) (money/act/forbearance; govt subsidy & unadjusted deposit excluded). Business 2(17) (very wide, includes one-off adventures). Distinct persons 25(4)/(5) (same PAN, different GSTIN). Principal supply 2(90).

GOLDEN LINE: "*No supply, no GST*" — everything downstream (time, place, value, ITC) lives beyond the Sec 7 gate.

Exam reminder: verify current Schedule entries, the ₹50,000 gift treatment, actionable-claim/online-gaming amendments, and illustrative rates against the latest ICAI Study Material / RTP for your attempt.

Q&A — Supply under GST

Statute basis: **Section 7, Section 8, Schedule I, Schedule II, Schedule III of the CGST Act, 2017** (mirrored in SGST/UTGST/IGST Acts). GST is a tax on **supply** (Art. 246A + Sec 9 CGST/Sec 5 IGST). "Taxable event" = supply, so nothing is taxable unless it first clears the Sec 7 gate. **Amendment flag:** Sec 7(1)(d) [Schedule II as a *charging* clause] was **omitted retrospectively w.e.f. 01.07.2017** and Sec 7(1A) inserted (CGST Amendment Act, 2018). Schedule II now only *classifies* (goods vs services) an activity that is *already* a supply — it does NOT decide *whether* it is a supply. Examiners test this constantly.

Section A — Concept Check (short Q&A)

A1. What is the "taxable event" under GST, and why did the law choose a single event? Answer: The taxable event is **supply** [Sec 7, CGST Act]. Pre-GST had multiple events — manufacture (excise), sale (VAT), provision of service (service tax) — causing overlap and cascading. GST replaces all with one unified trigger: *supply*. If there is no supply, there is no charge under Sec 9.

A2. State the four positive limbs of "supply" under Sec 7(1). Answer: (a) **Sec 7(1)(a)** — all forms of supply of goods/services (sale, transfer, barter, exchange, licence, rental, lease, disposal) *made or agreed to be made for a consideration in the course or furtherance of business*; (b) **Sec 7(1)(b)** — **import of services for a consideration** whether or not in course/furtherance of business; (c) **Sec 7(1)(c)** — activities in **Schedule I**, *made without consideration*; (d) **Sec 7(1A)** — once an activity is a supply, Schedule II decides goods vs services.

A3. Why is Sec 7(1)(b) special compared with 7(1)(a)? Answer: 7(1)(a) needs BOTH consideration AND business. 7(1)(b) (import of service) needs consideration but **drops the business test** — even a personal import of a service for consideration is a supply. (If imported *without* consideration, it is generally not supply, unless from a related person / establishment abroad in course of business — Schedule I para 4.)

A4. Give the general rule for consideration and the two big exceptions. Answer: General rule — no consideration, no supply. Exceptions: (i) **Schedule I** activities are supply even *without* consideration [Sec 7(1)(c)]; (ii) import of service from a **related person/distinct establishment** in course of business [Sched I para 4] even without consideration.

A5. What is a "deemed distinct person" and why does the concept exist? Answer: Under **Sec 25(4)/(5)**, each GST registration (each State registration, or separate business verticals) of the same PAN is a **distinct person**. It exists because GST is destination/State-based — value must be captured where it is consumed, so an inter-branch transfer between two registrations is taxed even though it is the same legal entity.

A6. What does Schedule III do? Answer: Schedule III lists activities **treated as neither supply of goods nor supply of services** ("negative list") — e.g., services by an employee to employer in the course of employment, functions of MPs/judges/constitutional posts, sale of land, sale of *completed* building, actionable claims (other than specified actionable claims like lottery/betting/gambling — amendment sensitive), services by a court/tribunal.

A7. Distinguish Schedule I, II and III in one line each. Answer: **Sched I** = supply *even without* consideration (WHEN). **Sched II** = classification goods vs services of things already supply (WHAT KIND).

Sched III = not a supply at all (OUT).

A8. Is a gift by an employer to an employee a supply? Answer: Gifts by employer to employee are **not** a supply *if* value ≤ ₹50,000 in a financial year (per employee). Gifts **exceeding ₹50,000** in aggregate in the FY are a supply [Sched I para 2, proviso]. (Employment service itself is out under Sched III para 1.)

A9. Composite vs mixed supply — one-line test [Sec 8]. Answer: **Composite** = naturally bundled, one principal supply → taxed at rate of the **principal supply** [Sec 8(a)]. **Mixed** = two or more independent supplies bundled for a single price, not naturally bundled → taxed at the **highest rate** among them [Sec 8(b)].

A10. Amendment check — why is Sec 7(1)(d) not cited any more? Answer: It was **omitted retrospectively from 01.07.2017**. Schedule II can no longer *make* something a supply; it only classifies. Always cite **Sec 7(1A)** for the goods-vs-service classification role.

Section B — Graded Computational / Application Problems

B1 (Easy) — Consideration + business test

Mr. A, a practising lawyer, sells his old personal car to a friend for ₹3,00,000. Is it a supply? **Solution (step-by-step):** 1. Sec 7(1)(a) needs: (i) consideration — yes, ₹3,00,000; (ii) *in the course or furtherance of business* — NO. The car is a personal asset, not a business asset of his legal practice. 2. Not covered by Sched I (no such deemed entry for personal-asset disposal by an individual). **Conclusion:** Not a supply. No GST. (*Contrast: if it were a business asset on which ITC had been claimed, disposal even without consideration would be supply under Sched I para 1.*)

B2 (Easy–Medium) — Schedule I para 1 (business assets)

XYZ Ltd purchased machinery for ₹10,00,000 and claimed ITC of ₹1,80,000. It later **donates** the machinery (nil consideration) to a trust. Is it a supply? **Solution:** 1. No consideration → 7(1)(a) fails on its face. 2. Check Sched I para 1: "**permanent transfer or disposal of business assets where input tax credit has been availed**" is a supply *even without consideration*. 3. ITC was availed (₹1,80,000). Condition met. **Conclusion:** It is a supply [Sec 7(1)(c) + Sched I para 1]. GST payable on **open market value** [Rule 27/28 valuation].

B3 (Medium) — Employer gift threshold

During FY 2025-26, ABC Ltd gives one employee: Diwali gift voucher ₹35,000 + a watch worth ₹40,000. Taxable? **Solution:** 1. Aggregate gifts in the FY to this employee = 35,000 + 40,000 = **₹75,000**. 2. Sched I para 2 proviso: gifts up to ₹50,000 per employee per FY are **not** supply; **excess is a supply**. 3. Since ₹75,000 > ₹50,000, the gifts are a supply. (In practice the whole amount treated as supply once threshold crossed; per ICAI, the amount exceeding ₹50,000 i.e. ₹25,000 is the taxable portion — follow the exceeds-₹50,000 rule.) **Conclusion:** Supply arises because aggregate exceeds ₹50,000 [Sched I para 2].

B4 (Medium) — Distinct persons (stock transfer)

Head office of DEF Ltd (registered in Maharashtra) transfers goods worth ₹5,00,000 to its branch (registered in Karnataka), same PAN, no invoice value charged. Supply? **Solution:** 1. Maharashtra and Karnataka registrations = **distinct persons** [Sec 25(4)]. 2. Sched I para 2: "supply of goods/services between distinct persons as specified in Sec 25, when made **in the course or furtherance of business**" is a supply *even*

without consideration. 3. Inter-branch stock transfer for business = covered. **Conclusion:** Supply [Sec 7(1)(c) + Sched I para 2]. **IGST** payable (inter-State). Value per Rule 28 (open market value / or invoice value acceptable if recipient eligible for full ITC).

B5 (Medium–Hard) — Composite supply [Sec 8(a)]

A customer buys an air-conditioner for ₹40,000. The price includes **free delivery + 1-year warranty/installation**. AC @ 18%. Compute treatment. **Solution:** 1. Are these naturally bundled? Yes — you don't buy AC delivery/installation separately in the ordinary course; they are ancillary to the AC. 2. Therefore **composite supply**; principal supply = the AC (goods). 3. Sec 8(a): tax whole ₹40,000 at the **rate of the principal supply = 18%**. **GST = 40,000 × 18% = ₹7,200**. (No splitting of delivery/installation at other rates.)

B6 (Hard) — Mixed supply [Sec 8(b)]

A shop sells a **festive hamper** for a single price of ₹5,000: canned foods (12%), chocolates (18%), aerated drinks (28%), fruit juice (12%). Not naturally bundled; can be sold separately. Compute. **Solution:** 1. Sold together for one price, each item sellable independently → **mixed supply**. 2. Sec 8(b): mixed supply taxed at the **highest rate** applicable to any component. Highest = aerated drinks @ **28%**. 3. **GST = 5,000 × 28% = ₹1,400**. **Note (rate-sensitive):** exact rates change by notification/GST Council; method (highest rate) is the examinable principle.

B7 (Exam-Hard) — Multi-part reconciliation

GHI Ltd (registered, Delhi) reports the following for a tax period. Identify which are supplies and why. Assume all business context unless stated. | # | Transaction | Amount (₹) | |---|-----|-----| | 1 | Sale of goods to customer | 8,00,000 | | 2 | Free samples to dealers (ITC availed on inputs) | 50,000 | | 3 | Stock transfer to branch in Haryana (distinct person) | 2,00,000 | | 4 | Gift to an employee (single, whole FY) | 45,000 | | 5 | Import of consultancy service from parent company abroad, no consideration, for business | 1,20,000 | | 6 | Sale of land held as investment | 30,00,000 |

Solution (item-by-item): 1. **Supply** — 7(1)(a): consideration + business. Taxable ₹8,00,000. 2. **Not a supply** — free samples given *without* consideration are not covered by Sched I (no distinct-person/related-person link, not a permanent disposal to a person against ITC-avail entry the way para 1 is worded for disposals). But **ITC on those inputs must be reversed** [Sec 17(5)(h) — goods disposed by way of gift/free samples]. So: not an outward supply, but ITC blocked. 3. **Supply** — Sched I para 2, distinct persons in course of business, even without consideration. IGST on ₹2,00,000 (Delhi→Haryana, inter-State). 4. **Not a supply** — ₹45,000 ≤ ₹50,000 gift threshold [Sched I para 2 proviso]. 5. **Supply** — Sched I para 4: import of service by a person from a **related person / establishment outside India** in the course of business is supply *even without consideration*. Taxable ₹1,20,000 under **reverse charge** (IGST). 6. **Not a supply** — Sched III para 5: **sale of land** is neither supply of goods nor services.

Reconciliation: Taxable supplies to charge GST on = ₹8,00,000 (1) + ₹2,00,000 (3) + ₹1,20,000 (5, RCM) = **₹11,20,000** of value entering the GST net; ₹50,000 samples trigger **ITC reversal** not output tax; ₹45,000 gift and ₹30,00,000 land are fully outside.

Section C — Past-Paper-Style Full Questions

C1. "Explain the scope of supply under Section 7 of the CGST Act, 2017." (5 marks)

Model answer: Section 7 defines the **scope of supply** — the taxable event for GST. - **Sec 7(1)(a):** All forms of supply of goods or services — sale, transfer, barter, exchange, licence, rental, lease or disposal — **made or agreed to be made for a consideration** by a person **in the course or furtherance of business**. Two cumulative tests: consideration + business. - **Sec 7(1)(b): Import of services for a consideration**, whether or not in the course or furtherance of business (business test dropped). - **Sec 7(1)(c):** Activities specified in **Schedule I**, made or agreed to be made **without a consideration** (permanent transfer of business assets with ITC; supplies between related/distinct persons in course of business; principal-agent supplies; import of service from related person abroad). - **Sec 7(1A):** Where an activity is a supply per 7(1), **Schedule II** determines whether it is a supply of **goods or of services**. - **Sec 7(2):** Notwithstanding 7(1), activities in **Schedule III**, and notified activities of government as public authority, are **neither** supply of goods nor services. Thus Sec 7 is a gate: an activity must clear it before Sec 9 charge applies.

C2. "Distinguish between composite supply and mixed supply with one example each, and state the tax treatment." (5 marks)

Model answer: | Basis | Composite supply [Sec 2(30)] | Mixed supply [Sec 2(74)] | |-----|-----
-----|-----| | Bundling | **Naturally** bundled, supplied together in ordinary course |
Bundled **artificially** for a single price; can be sold separately | | Components | One **principal** + ancillary | Two
or more independent supplies | | Tax rate [Sec 8] | Rate of the **principal supply** — Sec 8(a) | **Highest** rate
among components — Sec 8(b) | | Example | Goods + transit insurance + freight sold together | Diwali
hamper of sweets, chocolates, drinks for one price | Treatment: composite is taxed as the principal supply
throughout; mixed is taxed wholly at the highest component rate.

C3. "State any four activities specified in Schedule III that are treated as no supply." (4 marks)

Model answer (Sched III): 1. Services by an **employee to employer** in the course of/in relation to employment [para 1]. 2. Services by **any court or Tribunal**; functions of **MPs, MLAs, members of local authorities, and holders of constitutional posts** [paras 2–3]. 3. **Sale of land** and, subject to Sched II para 5(b), **sale of building after completion certificate / first occupation** [para 5]. 4. **Actionable claims**, other than specified actionable claims (lottery, betting, gambling — *amendment sensitive; specified actionable claims are now taxable*) [para 6]. (Also: funeral/burial services; supply of warehoused goods before clearance; high-seas sales.)

C4. "MNO Ltd, registered in Tamil Nadu, sends goods to its own godown registered in Kerala without charging any amount. The CFO argues no GST since it is the same company and no sale occurs. Advise." (6 marks)

Model answer: The CFO is **incorrect**. 1. Under **Sec 25(4)**, the Tamil Nadu and Kerala registrations of the same PAN are **distinct persons**. 2. **Schedule I para 2** deems a supply of goods between distinct persons, made **in the course or furtherance of business**, to be a supply **even without consideration** [read with Sec 7(1)(c)]. 3. Absence of a sale or of consideration is therefore irrelevant; the deeming provision applies. 4. Being inter-State (TN→Kerala), it attracts **IGST** [Sec 7 IGST Act]. 5. Value is determined under **Rule 28** (open

market value; the invoice value may be accepted where the recipient is eligible for full ITC). **Advice:** MNO Ltd must raise a tax invoice and pay IGST on the stock transfer.

Section D — MCQs / Case Scenarios

D1. Import of service **without consideration** from an unrelated foreign party for personal use is: a) Supply under 7(1)(b) b) Supply under Sched I c) **Not a supply** d) Mixed supply **Answer: (c)** — 7(1)(b) needs consideration; Sched I para 4 needs a *related* person. Neither is met.

D2. An activity that is a supply is classified as goods or services by: a) Sched I b) **Sched II [via Sec 7(1A)]** c) Sched III d) Sec 8 **Answer: (b)** — Schedule II classifies; it no longer decides *whether* something is a supply (7(1)(d) omitted).

D3. Renting of an immovable commercial property is, under Schedule II: a) Supply of goods b) **Supply of services** c) No supply d) Composite supply **Answer: (b)** — Sched II para 2(b): any lease/tenancy/licence to occupy land is a **service**.

D4. Gifts by employer to an employee are supply when aggregate FY value exceeds: a) ₹5,000 b) ₹20,000 c) **₹50,000** d) ₹1,00,000 **Answer: (c)** — Sched I para 2 proviso.

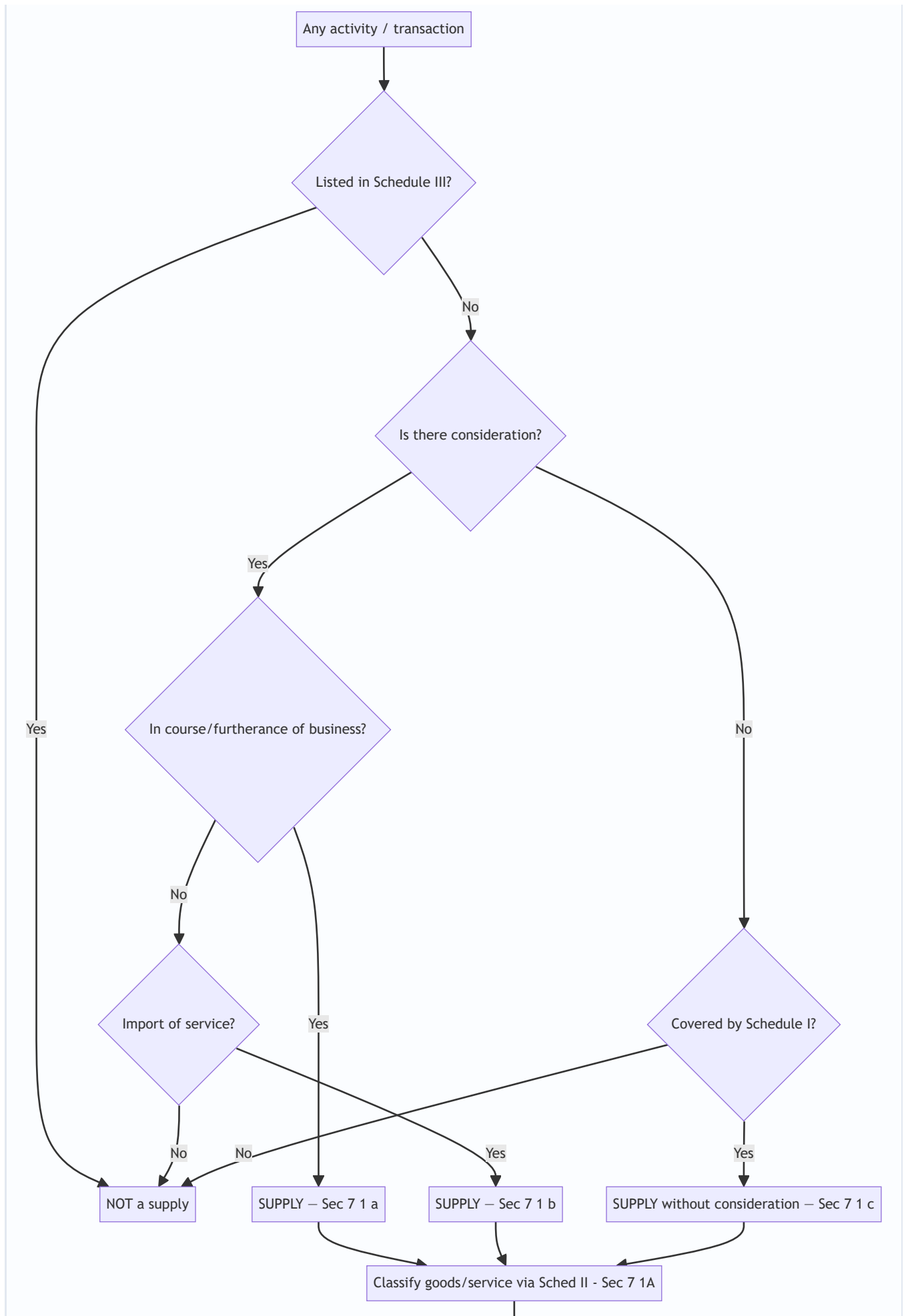
D5. A works contract for construction of a building is treated under Schedule II as supply of: a) Goods b) **Services** c) Both d) Neither **Answer: (b)** — Sched II para 6(a): works contract is a **supply of services**.

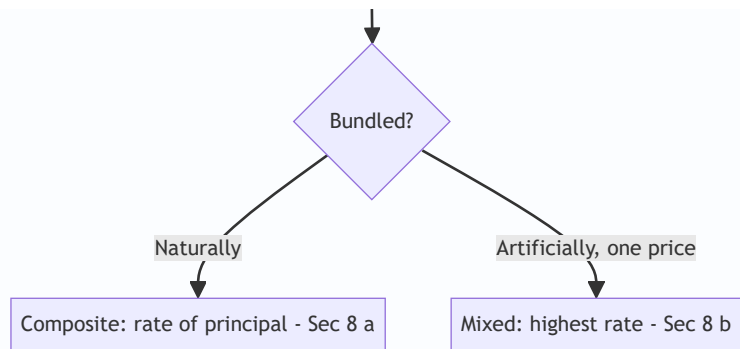
D6. Sale of a fully-constructed flat *after* issue of completion certificate is: a) Supply of goods b) Supply of services c) **No supply (Sched III)** d) Composite supply **Answer: (c)** — Sched III para 5(b): no supply once completed. (Sale *before* completion = service under Sched II.)

D7 (Case). A caterer supplies food + service of serving at a wedding for a lump-sum ₹2,00,000. This is a: a) Mixed supply, highest rate b) **Composite supply, principal = restaurant/catering service** c) Two separate supplies d) No supply **Answer: (b)** — naturally bundled; taxed as the catering (service) at its rate [Sec 8(a)].

D8 (Case). Buy-1-get-1 toothpaste at a single MRP is best treated as: a) Two supplies b) **Not two supplies for consideration — single price supply (treat as per the item; effectively one taxable supply, ITC not to be reversed)** c) Mixed supply at highest rate d) Free sample, no supply **Answer: (b)** — per CBIC circular, "free" item is supplied for the single consideration; it is not a gift, so ITC on it is **not** reversed. (Distinguish from genuine free samples where ITC is reversed under Sec 17(5)(h).)

Mermaid — The Supply Decision Flow





First-Principles Recap

- GST taxes **supply**, nothing else. So every question begins: *is this a supply?* → run the Sec 7 gate.
- Two default tests (consideration + business) can each be waived: business is waived for **import of service** [7(1)(b)]; consideration is waived for **Schedule I** items [7(1)(c)].
- Schedule II answers only *goods or service*; Schedule III kicks activities out entirely.
- Once in, **Sec 8** handles bundling: principal-rate (composite) vs highest-rate (mixed).

Quick-Revision Sheet

Provision	Role	Trigger memory hook
Sec 7(1)(a)	General supply	Consideration + Business
Sec 7(1)(b)	Import of service	Consideration, no business needed
Sec 7(1)(c) + Sched I	No-consideration supply	Business assets w/ ITC; distinct/related persons; agent; import from related party
Sec 7(1A) + Sched II	Goods vs Service	Classify only
Sec 7(2) + Sched III	No supply	Employment, land, completed building, actionable claims, court/MP functions
Sec 8(a)	Composite	Principal supply rate
Sec 8(b)	Mixed	Highest rate
Sec 25(4)/(5)	Distinct persons	Each registration = separate person

Amendment / rate flags: (1) Sec 7(1)(d) omitted retrospectively 01.07.2017 — never cite it. (2) "Specified actionable claims" (lottery/betting/gambling/online money gaming) are **taxable** — carve-out from Sched III para 6; watch current-year Finance Act updates. (3) Gift threshold ₹50,000/employee/FY. (4) All GST *rates* (18%, 28% etc.) are notification-driven and Council-revised — reproduce the *method*, verify the *number* against the current rate schedule.

Chapter 15 — Charge of GST (Levy & Reverse Charge)

Flag: All rates, thresholds, notified RCM lists and composition ceilings below reflect the CGST Act 2017 and IGST Act 2017 as commonly examined. Rates and notifications (especially RCM notifications 4/2017-CT(R), 13/2017-CT(R), 7/2019-CT(R) and the composition rates in Sec 10) are amended frequently. Always re-verify the exact figures, the notified lists, and the applicable date against current ICAI study material for your attempt.

1. The Problem

You now know (from the earlier chapters) *what* a supply is, *where* it is taxable, and *when* it is taxable. But knowing that a transaction is a taxable supply is useless until the law answers three brutally practical questions:

1. **On what authority is the tax even charged?** A tax on citizens cannot exist by administrative wish. Article 265 of the Constitution says plainly: "*No tax shall be levied or collected except by authority of law.*" So somewhere there must be a single **charging section** — the legal switch that turns "this is a supply" into "therefore ₹X of tax is payable." Without it, the entire GST apparatus is unconstitutional.
2. **Who actually hands the money to the government?** The natural answer is "the seller collects GST from the buyer and deposits it." That works beautifully — *when the seller is a registered, traceable, well-behaved business*. But GST's tax base deliberately reaches into corners where the supplier is a small unregistered farmer, an individual advocate, a goods-transport operator with one truck, or a company sitting *outside India* altogether. If the law insisted "only the supplier pays," those supplies would either escape tax entirely or be impossible to enforce. The department would be chasing thousands of tiny, invisible, or foreign suppliers. **How do you tax a supply when the supplier is unregistered, hard to trace, or beyond your jurisdiction?**
3. **What about the corner shop?** GST's compliance machinery — invoice-level returns, input tax credit matching, monthly filings — is built for organised business. Impose that full machinery on a ₹40-lakh-turnover kirana store or a small dhaba and you crush it under paperwork it cannot handle, while collecting a trivial amount of tax. **How do you keep small dealers inside the tax net without destroying them with compliance?**

This chapter is the answer to all three. The charging section (Sec 9 / Sec 5) answers the first. The **reverse charge mechanism** answers the second. The **composition levy** answers the third. Every rule below is a solution — read it as one.

2. The Core Idea

Strip away the detail and GST's charge stands on three pillars:

One levy, collected in whichever way is easiest to enforce, with a simplified lane for the small.

- **The levy itself** is a single tax on the *value of supply*, at the notified rate. That is Sec 9 of the CGST Act (for intra-State supply) and Sec 5 of the IGST Act (for inter-State supply). This is the constitutional switch.
- **The default collection route is Forward Charge:** the *supplier* collects GST from the recipient and pays it to the government. This is how ~95% of GST flows.
- **Where forward charge would fail, the law flips the burden — Reverse Charge:** the *recipient* pays the GST directly to the government, on the supplier's behalf. Same tax, same rate — only the *person liable to pay* changes. It is not a new tax; it is a change of collection agent, chosen precisely because the recipient (a large, registered, traceable business) is far easier to hold accountable than the supplier.
- **For small dealers, the law offers Composition Levy (Sec 10):** pay a tiny flat percentage of turnover, file quarterly, forget invoice-level tax and input credit. It trades away ITC and inter-State sales in exchange for near-zero compliance.

Hold this one sentence: **the tax never changes; only *who pays* and *how much paperwork* changes, and each variation is chosen to make collection actually work.**

3. Why It's Built This Way

Why a separate charging section at all? Because a modern tax statute separates *definitional* provisions (what is a supply, what is value, what is the rate) from the *operative* provision that says "tax **shall be levied**." The word "levy" is the legal trigger. Courts read the charging section strictly: if a transaction does not fall squarely inside it, no tax can be demanded, however much the department wishes otherwise. So GST needed one clean sentence to charge the tax — and it lives in Sec 9(1)/5(1).

Why split CGST and IGST? India is a federation. The Constitution (101st Amendment, Article 246A + Article 269A) lets *both* the Centre and the States tax the same supply — but neither may tax across the country. So: - An **intra-State** supply (within one State) is taxed *twice over the same base*: **CGST** to the Centre + **SGST** to the State, each at half the rate. Sec 9 of the CGST Act charges the CGST half; a parallel SGST Act charges the other. - An **inter-State** supply is taxed by a single **IGST** (Centre collects, then apportions the State's share). Sec 5 of the IGST Act charges it. IGST rate = CGST + SGST rate, so the total is identical whichever way the goods move — that neutrality is the whole point of "one nation, one tax."

Why reverse charge? Follow the anti-cascade logic. GST wants to tax value addition *everywhere*, including services bought from people outside the organised net. But you cannot register and audit every roadside transporter or every foreign software vendor. So the law makes the *recipient* — who is registered, keeps books, and files returns — pay the tax and (usually) claim it back as ITC. The government's money is secured from a party it can actually reach. Reverse charge is enforcement pragmatism, not extra taxation.

Why composition? The genius of GST — invoice matching and seamless ITC — is also its burden. A tiny dealer selling to final consumers gains almost nothing from ITC (his customers can't use it either) but would drown in monthly returns. Composition says: give up ITC and inter-State ambitions, pay a token flat rate on turnover, file once a quarter. The State loses little revenue (these are small players) and gains compliance from businesses that would otherwise stay informal. It is a deliberate, rational trade.

4. Full Technical Content

4.1 The Charging Section — Sec 9 CGST Act / Sec 5 IGST Act

Sec 9(1), CGST Act — the core levy:

"There shall be levied a tax called the central goods and services tax on all intra-State supplies of goods or services or both, except on the supply of alcoholic liquor for human consumption, on the value determined under section 15 and at such rates, not exceeding 20%, as may be notified by the Government on the recommendations of the Council, and collected in such manner as may be prescribed, and shall be paid by the taxable person."

Unpack every clause — each is load-bearing:

Clause	What it means	Why it matters
"shall be levied a tax called CGST"	The constitutional switch is thrown	Without this, no CGST can be demanded
"on all intra-State supplies of goods or services or both"	Scope = supplies within a State	Inter-State supplies go to Sec 5 IGST instead
"except alcoholic liquor for human consumption"	Alcohol is <i>constitutionally</i> outside GST	States still levy State Excise/VAT on it
"on the value determined under section 15"	Base = transaction value (Sec 15)	Links charge to valuation rules
"rates not exceeding 20%"	Statutory ceiling per Act	So CGST + SGST caps at 40%; actual rates (0/5/12/18/28) are <i>notified</i> , not in the Act
"shall be paid by the taxable person"	Default liability = supplier	This is forward charge

The five special sub-sections of Sec 9 (these are examiner favourites):

- **Sec 9(1) proviso — Petroleum products:** GST on petroleum crude, high-speed diesel, petrol (motor spirit), natural gas and aviation turbine fuel shall be levied **with effect from a date notified** by the Government on the Council's recommendation. Translation: these five are *within* GST constitutionally but **not yet notified**, so currently they bear the old regime (Central Excise + State VAT). Alcohol (above) is *permanently* out; petroleum is *temporarily* out.
- **Sec 9(2):** covers the petroleum-product deferral mechanism (levy from notified date).
- **Sec 9(3) — Reverse charge on notified supplies:** the Government may notify categories of goods/services where **tax is paid by the recipient** on reverse charge. (See 4.3.)
- **Sec 9(4) — Reverse charge on supplies from unregistered persons:** where a *registered* person receives supplies from an *unregistered* supplier, tax may be paid by the recipient on reverse charge, for **notified classes of registered persons** and notified supplies. (Currently narrow — see 4.3.)
- **Sec 9(5) — Electronic Commerce Operator (ECO):** for **notified services** (e.g. passenger transport by cab aggregators, accommodation by unregistered hotels, restaurant services through the ECO), the **e-**

commerce operator (Ola, Uber, Zomato, etc.) is made liable to pay GST *as if it were the supplier*.

Rationale: the platform is the single traceable choke-point; taxing thousands of individual drivers/restaurants is impractical.

Sec 5, IGST Act mirrors Sec 9 word-for-word for **inter-State** supplies and **imports**, with two extra points: the rate ceiling is **40%** (since IGST = CGST + SGST), and IGST is also the tax on **import of goods** (collected as a customs duty under the Customs Tariff Act) and **import of services**.

4.2 Forward Charge (the default)

Under forward charge the **supplier**: 1. adds GST to the invoice value, 2. **collects** it from the recipient, 3. **deposits** it with the government (after netting his own input tax credit), and 4. files returns reporting it.

The recipient simply pays the tax-inclusive invoice and claims the GST as ITC (if eligible). This is the ordinary flow for almost all registered-supplier transactions.

4.3 Reverse Charge Mechanism (RCM) — Sec 2(98), Sec 9(3)/(4)/(5)

Definition — Sec 2(98): "reverse charge" means the liability to pay tax by the **recipient** of supply of goods or services (or both) instead of the supplier, under Sec 9(3)/(4) of CGST or Sec 5(3)/(4) of IGST.

Key operating rules of RCM — memorise the logic, not a list:

1. **The recipient pays in cash, not from ITC.** RCM liability must be discharged through the **electronic cash ledger**; you cannot use input tax credit to *pay* an RCM liability. (You first pay it in cash; *then* you may claim that same amount back as ITC if the inward supply is used for business — subject to eligibility.) Reason: the government wants the actual cash secured.
2. **Compulsory registration — Sec 24(iii).** A person *required to pay tax under reverse charge* must register **regardless of turnover** — the ₹20 lakh/₹40 lakh threshold does *not* protect him. Reason: RCM only works if the recipient is in the tax net.
3. **Self-invoicing — Sec 31(3)(f).** When a registered recipient buys from an *unregistered* supplier under RCM, the **recipient must issue an invoice to himself** (and a payment voucher). Reason: the unregistered supplier issues no tax invoice, so a document must exist to support the tax and the ITC.
4. **Composition dealers are hit hard by RCM.** A composition dealer pays his flat composition rate on outward supplies *and* must additionally pay RCM (at the *normal* rate) on notified inward supplies — with **no ITC** available to him. RCM is one of the real costs of being in composition.
5. **Time of supply is different under RCM** (covered in the Time of Supply chapter): for goods, the *earliest* of date of receipt of goods / date of payment / 30 days from invoice; for services, earliest of date of payment / 60 days from invoice.

Sec 9(3) — Notified goods under RCM (illustrative, verify current list):

Supply of goods	Supplier	Recipient who pays RCM
Cashew nuts (not shelled/peeled)	Agriculturist	Any registered person
Tobacco leaves	Agriculturist	Any registered person
Silk yarn	Manufacturer of silk yarn from cocoons	Any registered person
Raw cotton	Agriculturist	Any registered person
Lottery	State Govt / UT / local authority	Lottery distributor/selling agent

Sec 9(3) — Notified services under RCM (the exam heavyweight — Notification 13/2017; illustrative):

Service	Supplier	Recipient liable under RCM
Goods Transport Agency (GTA) consignment (where GTA has <i>not</i> opted 12% forward charge)	GTA	Specified recipients — factory, registered society, co-op, any registered person , body corporate, partnership firm, casual taxable person
Legal services by advocate / firm of advocates	Individual advocate / senior advocate / firm	Any business entity located in taxable territory
Services by an arbitral tribunal	Arbitral tribunal	Any business entity
Sponsorship services	Any person	Body corporate or partnership firm
Services by Government / local authority (excluding some, e.g. renting of immovable property to unregistered person, postal, aircraft/vessel, transport of goods/passengers)	Central/State Govt, local authority	Any business entity
Services by a director of a company to the company (in personal, not employee, capacity)	Director	The company / body corporate
Services by an insurance agent	Insurance agent	Insurance company
Services by a recovery agent	Recovery agent	Bank / NBFC / financial institution
Renting of a motor vehicle (passenger, where fuel cost included, to a body corporate, supplier not charging 12%)	Any person other than body corporate	Body corporate
Import of service	Person located outside India	Recipient (importer) in India

Memory hook — think "the recipient is always the bigger, traceable, registered party." GTA → the business shipping goods; advocate → the business client; director → the company; import → the Indian importer. The State collects from the party it can actually audit.

Sec 9(4) — Supplies from unregistered suppliers: Originally sweeping (any purchase from an unregistered person triggered RCM), it was suspended and then **restricted to notified classes** to avoid crushing every business. Currently the principal live case is the **real-estate promoter**: a builder must pay RCM on shortfall

purchases of inputs/input services from unregistered suppliers below the 80% procurement threshold, and on cement bought from unregistered persons. *Verify the current notified list for your attempt.*

Sec 9(5) — E-Commerce Operator liability: For notified services the **ECO pays GST as if it were the supplier**: (i) passenger transport by radio-taxi/motor-cab/motorcycle/omnibus (Ola, Uber), (ii) accommodation in hotels/clubs where the *actual supplier is unregistered* (via Oyo, etc.), (iii) house-keeping (plumbing, carpentry) where actual supplier is unregistered, (iv) **restaurant service** supplied through the platform (Zomato, Swiggy) other than by restaurants in specified premises. If the ECO has no physical presence in the taxable territory, its **representative** (or an appointed person) is liable.

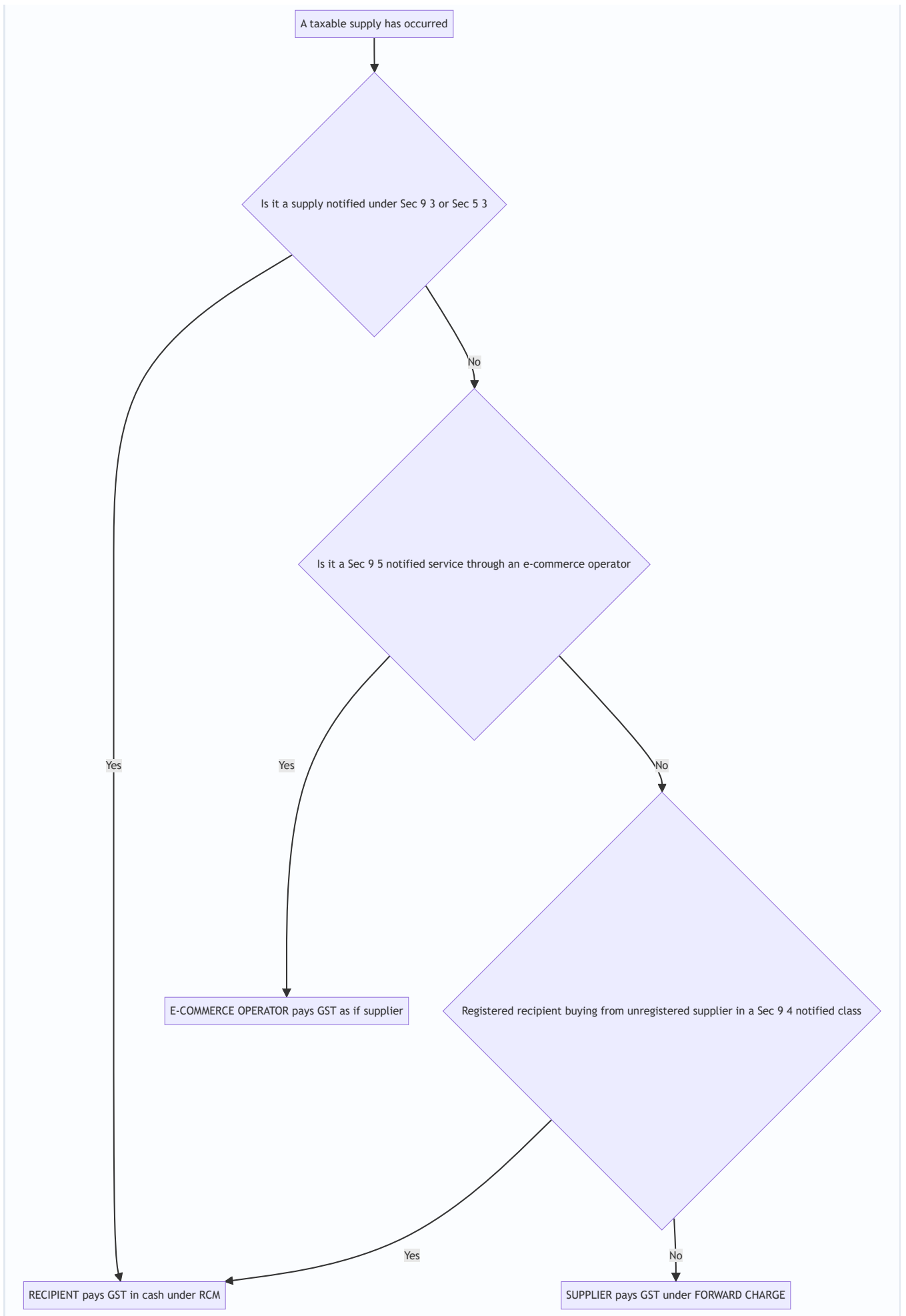


Figure 15.1 — The charge decision tree: who is liable to pay the GST on a given supply.

4.4 Composition Levy — Sec 10, CGST Act

What it is: an *optional* scheme letting a small registered person pay tax at a **flat low percentage of turnover** instead of the normal rate on value, with **no input tax credit** and drastically reduced compliance (quarterly payment via **CMP-08**, annual return **GSTR-4**).

Sec 10(1)/(2) — Composition for goods (and restaurant service):

- **Eligibility threshold:** aggregate turnover in the **preceding** financial year up to **₹1.5 crore** (₹75 lakh for specified **Special Category States** — e.g. the North-Eastern States, Himachal, etc.). *Verify the current figure and State list.*
- **Rates (of turnover in State/UT):**

Category of registered person	CGST	SGST	Total
Manufacturers (other than notified goods e.g. ice-cream, pan masala, tobacco, aerated water)	0.5%	0.5%	1%
Traders / other suppliers of goods	0.5%	0.5%	1% (of turnover of <i>taxable</i> supplies)
Restaurants (supply of food/drink, not serving alcohol)	2.5%	2.5%	5%

Note: for a trader, the 1% is on turnover of taxable supplies of goods and services in the State; for a manufacturer/restaurant it is on total turnover in the State.

Sec 10(2A) — Composition for service providers (and mixed suppliers): - A **separate scheme** for suppliers of *services* (or mixed goods+services) who could not use 10(1) because they supply services beyond the small permitted limit. - **Threshold:** aggregate turnover in the preceding FY up to **₹50 lakh**. - **Rate: 6%** (3% CGST + 3% SGST) of turnover.

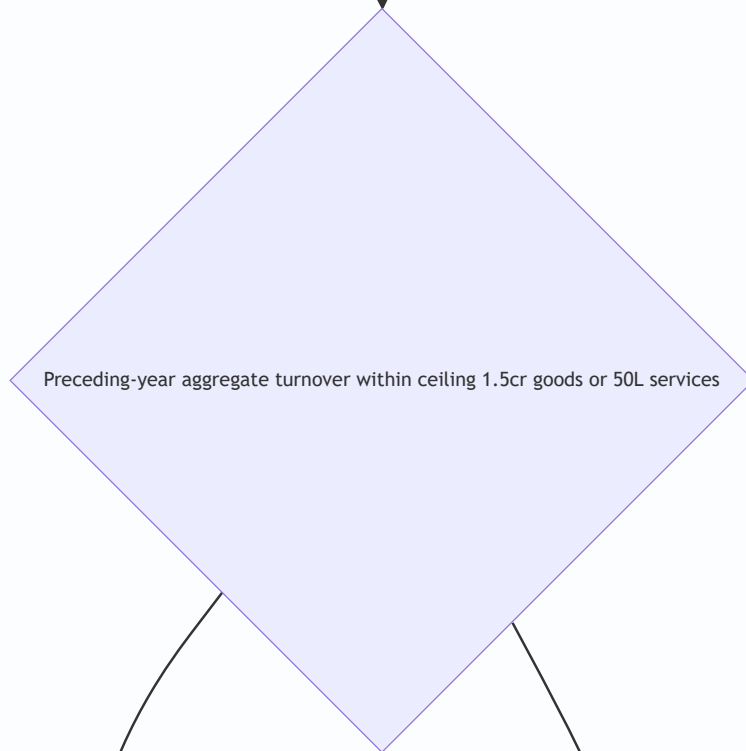
The permitted-services sweetener in 10(1): a *goods* composition dealer may *also* supply services up to the higher of **₹5 lakh** or **10% of turnover** in the preceding year, without losing 10(1) eligibility. Reason: a small trader who also does a little repair/installation work shouldn't be thrown out of the scheme.

Sec 10(2) — Conditions (WHO can opt) — every one is a design choice:

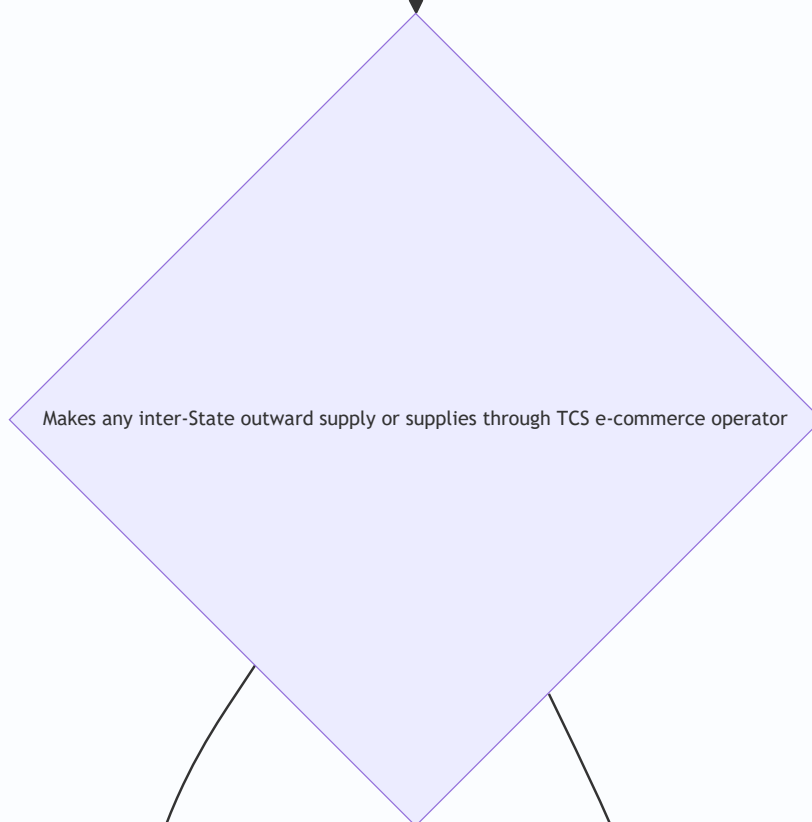
Condition	Why it exists
No inter-State outward supplies	Composition is intra-State by design; inter-State means IGST + full compliance
No supply through an e-commerce operator that collects TCS	ECO sales imply organised, often inter-State trade — inconsistent with the simple scheme
Not a supplier of goods/services <i>not leviable to GST</i> (e.g. alcohol dealer)	Can't compound tax on things outside GST
Not a manufacturer of notified goods (ice-cream, pan masala, tobacco, aerated water, fly-ash bricks etc.)	High-value/sin goods excluded to protect revenue
Not a casual taxable person or non-resident taxable person	These are transient — the scheme assumes an ongoing small business
All registrations under the same PAN must opt together	Prevents splitting a big business into "small" pieces to abuse the scheme
Cannot collect tax from customers and cannot claim ITC	It's a <i>turnover</i> tax, not a value-added tax — this is the core trade-off
Must pay RCM at normal rates on notified inward supplies	The RCM logic (4.3) overrides the composition simplicity
Must issue a <i>Bill of Supply</i>, not a tax invoice , stating " <i>composition taxable person, not eligible to collect tax on supplies</i> "	Warns the buyer that no ITC flows from this purchase
Must display "composition taxable person" on notice boards and signboards	Transparency to customers and department

Sec 10(3)/(5) — Exit and penalty: the option **lapses automatically** the day turnover crosses the ceiling during the year (from then he becomes a normal taxpayer). If a person opts wrongly (was ineligible) or breaches conditions, he pays **tax at normal rates** on the tainted supplies plus a **penalty** (Sec 10(5) → treated like Sec 73/74 demand).

Registered person considering composition



Yes



No

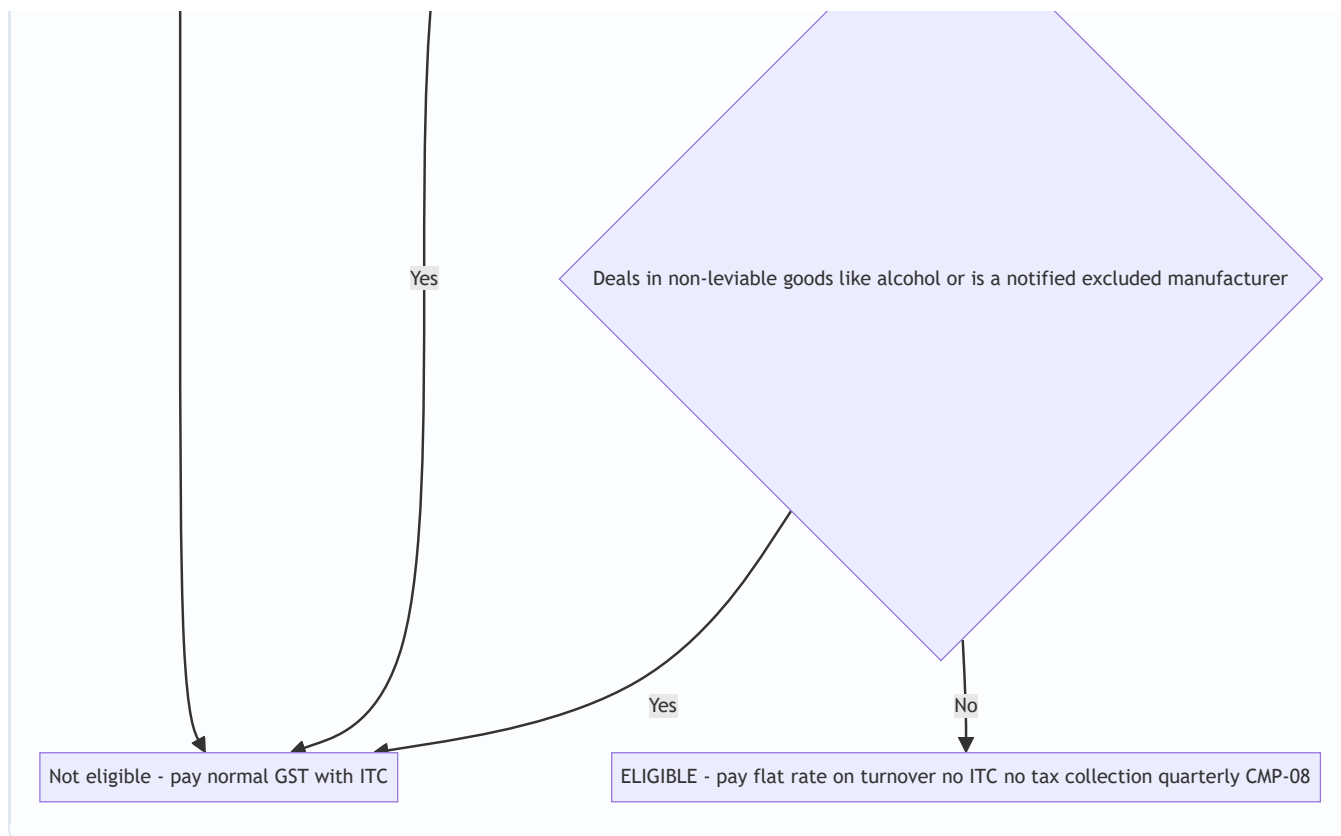


Figure 15.2 — Composition eligibility gate under Sec 10: turnover, then the disqualifiers.

5. Worked Examples

Example 1 — Forward charge vs the value base (Sec 9 + Sec 15)

Facts: Radhika Traders (Maharashtra, registered) sells goods to a customer in Maharashtra for a taxable value of ₹1,00,000. Applicable GST rate = 18%.

Solution: - This is an **intra-State** supply → CGST (Sec 9) + SGST apply, each at half of 18% = **9%**. - CGST = $9\% \times ₹1,00,000 = ₹9,000$ - SGST = $9\% \times ₹1,00,000 = ₹9,000$ - Invoice value = ₹1,00,000 + ₹9,000 + ₹9,000 = **₹1,18,000** - Radhika (the supplier) **collects ₹18,000** from the customer and deposits it (net of her own ITC). This is forward charge — the default under Sec 9(1).

Reconciliation: If instead the customer were in Gujarat (inter-State), the same 18% would be a single **IGST of ₹18,000** under Sec 5 IGST — identical total, only the split changes. Tax neutrality across State lines. Verified.

Example 2 — Reverse charge on legal + GTA services

Facts: Vega Industries Pvt Ltd (registered, Karnataka) incurs the following in a month: - (a) Legal fees of ₹2,00,000 to an individual advocate (intra-State). GST rate 18%. - (b) Freight of ₹50,000 to a Goods Transport Agency that has **not** opted for 12% forward charge (intra-State). RCM rate on GTA = 5%. - (c) Purchase of stationery ₹40,000 from a *registered* dealer, GST 18% (forward charge).

Which supplies are RCM, and what does Vega pay?

Solution:

Item	Charge type	Reason	GST computation	Who pays
(a) Legal fees	RCM	Sec 9(3) — advocate to business entity	$18\% \times ₹2,00,000 = ₹36,000 \rightarrow$ CGST ₹18,000 + SGST ₹18,000	Vega , in cash
(b) GTA freight	RCM	Sec 9(3) — GTA not on 12% forward charge, recipient is registered	$5\% \times ₹50,000 = ₹2,500 \rightarrow$ CGST ₹1,250 + SGST ₹1,250	Vega , in cash
(c) Stationery	Forward charge	Registered supplier, no notification	$18\% \times ₹40,000 = ₹7,200$	The dealer collects it

RCM cash liability for Vega = ₹36,000 + ₹2,500 = ₹38,500 (CGST ₹19,250 + SGST ₹19,250), paid through the **electronic cash ledger** — *not* set off against ITC.

Then Vega may claim **₹38,500 as input tax credit** (both are business inputs and eligible), so the *net* economic cost of RCM is nil — but the **cash must move first**. For the stationery, Vega pays the dealer ₹47,200 and claims ₹7,200 ITC normally.

Reconciliation: Note the advocate and the small GTA never touch the tax — the government secured ₹38,500 from Vega, a large auditable company, exactly as RCM intends. Also note: even if Vega were below the registration threshold, receiving these RCM supplies would force registration under Sec 24(iii). Verified.

Example 3 — Composition levy, trader (Sec 10(1))

Facts: Kirti Stores, a **trader** in Rajasthan (not a special-category State), opted for composition. Turnover for the year: - Taxable supplies of goods within Rajasthan: ₹80,00,000 - Exempt supplies of goods: ₹10,00,000 - Interest earned on a fixed deposit: ₹5,00,000 - Also received GTA freight service under RCM: freight ₹1,00,000 (RCM rate 5%)

Preceding-year turnover was ₹1.2 crore (within ₹1.5 crore). Compute total GST payable.

Solution:

Step 1 — Composition tax on outward supplies. For a **trader**, the rate is **1% of the turnover of taxable supplies of goods** in the State (exempt supplies are **excluded** for a trader; interest on FD is an *exempt service*, also excluded). - Taxable turnover = ₹80,00,000 - Composition tax = $1\% \times ₹80,00,000 = ₹80,000 \rightarrow$ CGST ₹40,000 + SGST ₹40,000

Step 2 — RCM on inward GTA (Sec 9(3) overrides composition simplicity). Composition dealers still pay RCM at **normal** rates. - RCM = $5\% \times ₹1,00,000 = ₹5,000 \rightarrow$ CGST ₹2,500 + SGST ₹2,500, paid in **cash, no ITC** available to a composition dealer.

Step 3 — Total GST payable by Kirti Stores = ₹80,000 (composition) + ₹5,000 (RCM) = **₹85,000**.

Reconciliation: Kirti collects **no** tax from customers (issues a Bill of Supply), claims **no** ITC, and the FD interest and exempt goods correctly drop out of a *trader's* 1% base. If Kirti had been a **manufacturer**, the 1% would apply to **total** turnover in the State (₹90,00,000 of goods, still excluding pure exempt-service interest), i.e. ₹90,000 — illustrating why "trader vs manufacturer" changes the base. Verified.

Example 4 — Composition for a service provider (Sec 10(2A)) + turnover breach

Facts: Nitin runs a small event-management **service** business in Kerala. Preceding-year turnover ₹42 lakh, so he opted for the **6% service composition** (Sec 10(2A)) on 1 April. During the year his turnover reaches ₹50,00,000 on 15 December and rises to ₹58,00,000 by 31 March.

Solution: - Nitin is eligible on 1 April (₹42 lakh < ₹50 lakh preceding-year ceiling). - On the **turnover of ₹50,00,000** earned up to the day he crosses the ceiling, composition applies at **6%** → $6\% \times ₹50,00,000 = ₹3,00,000$ (CGST ₹1,50,000 + SGST ₹1,50,000). - **Sec 10(3):** the moment turnover **exceeds ₹50 lakh** (on 15 December), the composition option **lapses**. From that point Nitin becomes a **normal taxpayer**: on the further ₹8,00,000 he charges GST at the **normal rate** (say 18%) and can claim ITC on inputs from that date. Normal-rate GST = $18\% \times ₹8,00,000 = ₹1,44,000$ (before ITC).

Reconciliation: The scheme protected him only while genuinely small; growth automatically ejected him — no revenue leakage. He must also file the intimation of withdrawal and shift to normal returns. Verified.

6. Format / Summary

Charge-of-GST reference card:

Question	Provision	Answer
Legal authority to charge	Sec 9(1) CGST / Sec 5(1) IGST	Levy on value (Sec 15) at notified rate
Intra-State supply	Sec 9 CGST + SGST Act	CGST + SGST, half rate each
Inter-State supply / imports	Sec 5 IGST	Single IGST = CGST + SGST rate
Outside GST permanently	—	Alcoholic liquor for human consumption
Outside GST till notified	Sec 9(2) proviso	5 petroleum products
Default payer	Sec 9(1)	Supplier (forward charge)
Recipient pays	Sec 9(3)/(4), 5(3)/(4)	Notified goods/services; unregistered supplier (notified)
Platform pays	Sec 9(5)	E-commerce operator on notified services
Small-dealer scheme	Sec 10(1) / 10(2A)	1% / 5% / 6% flat on turnover, no ITC

RCM discharge rule (one line): Pay in cash first (no ITC to pay it), self-invoice if supplier unregistered, register compulsorily under Sec 24 — then claim ITC if eligible.

Composition trade-off (one line): Give up ITC, tax-collection, and inter-State sales; gain a flat low rate and quarterly filing.

7. Connections

- **Supply (Sec 7) & Schedule I/II/III:** the charge only bites on a "supply." No supply → no levy, however the money moves.

- **Value of Supply (Sec 15):** the charging section pins the tax to the Sec 15 value — the two are read together.
 - **Place of Supply (IGST Act):** decides intra vs inter-State, i.e. *which* charging section (Sec 9 vs Sec 5) fires.
 - **Time of Supply (Sec 12/13):** RCM has its **own** time-of-supply rules — the "pay in cash" duty crystallises there.
 - **Registration (Sec 22–24):** Sec 24(iii) forces RCM recipients to register with no threshold; composition needs registration under Sec 10.
 - **Input Tax Credit (Sec 16–17):** forward charge feeds the ITC chain; RCM tax is claimable as ITC; composition dealers get **zero** ITC — the scheme's price.
 - **Exemptions:** an exempt supply is *within* the charging section but relieved by notification; distinguish from alcohol/petroleum which are *outside* the charge.
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8. Traps & Examiner Tricks

1. **"RCM can be paid using ITC."** *False.* RCM must be paid in **cash** via the electronic cash ledger; ITC can be *claimed afterwards* but never *used to pay* the RCM itself.
 2. **Threshold exemption saves an RCM recipient.** *No.* Sec 24(iii): anyone liable under RCM must register **regardless of turnover**.
 3. **Alcohol vs petroleum confusion.** Alcohol for human consumption is **permanently outside** GST (constitutionally); the five petroleum products are **inside but not yet notified**. Don't swap them.
 4. **Composition dealer collects GST / issues a tax invoice.** *Never.* He issues a **Bill of Supply**, collects **no** tax, and shows the "composition taxable person" declaration.
 5. **Applying 1% to a trader's total (incl. exempt) turnover.** For a **trader**, the 1% is on **taxable** supplies only; for a **manufacturer/restaurant** it's on **total** turnover in the State. Examiners plant exempt supplies and FD interest to test this.
 6. **Composition ceiling mix-up.** ₹1.5 crore (goods, Sec 10(1)) vs ₹50 lakh (services, Sec 10(2A)) vs ₹75 lakh (special-category States). And the *permitted extra services* limit in 10(1) is higher of ₹5 lakh or 10% of turnover.
 7. **Composition + inter-State sale.** A single inter-State **outward** supply disqualifies composition. (Inter-State *inward* purchases are fine.)
 8. **Forgetting RCM on a composition dealer.** He still pays RCM at **normal** rates on notified inward supplies, with no ITC — a common missed line in computations.
 9. **GTA trap.** RCM applies only where the GTA has **not** opted for the 12% forward-charge rate. If the GTA charges 12% forward, the recipient does **not** pay RCM.
 10. **Sec 9(5) ECO vs Sec 9(3).** Under 9(5) the ECO pays as *deemed supplier* (e.g. Uber, Zomato); don't confuse with ordinary TCS by e-commerce operators under Sec 52.
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9. First-Principles Recap

Start from Article 265: no tax without law. GST therefore needs a single sentence that *levies* the tax — Sec 9 (CGST, intra-State) and Sec 5 (IGST, inter-State), each charging tax on the Sec 15 value at a notified rate,

capped by statute. Because India is a federation, an intra-State supply is split into CGST + SGST while an inter-State supply bears one IGST — engineered so the total is identical either way (one nation, one tax).

The **default** is that the supplier collects and pays (forward charge). But the tax base deliberately includes suppliers the department cannot easily reach — the unregistered, the tiny, the foreign, the platform-based. For those, forcing the supplier to pay would mean the tax escapes. So the law **flips the collection agent to the recipient** (reverse charge) — always choosing the larger, registered, auditable party — securing the cash first and letting ITC neutralise the cost. Same tax, smarter collection.

Finally, GST's own compliance machinery would crush the smallest dealers. So the law offers them a **flat turnover tax with almost no paperwork** (composition), on the honest condition that they surrender ITC, tax collection, and inter-State reach. Grow past the ceiling and you graduate automatically to the normal regime.

Every rule in this chapter is one of three answers: *how is the tax authorised* (the charge), *how do we actually collect it* (forward vs reverse vs ECO), and *how do we keep the small alive* (composition).

10. Quick-Revision Sheet

Charge - Sec 9(1) CGST: levy on intra-State supply, value u/s 15, rate $\leq 20\%$, paid by taxable person (forward charge). - Sec 5 IGST: inter-State supply + imports, single IGST (= CGST+SGST), ceiling 40%. - Out of GST: alcohol (permanent); petroleum $\times 5$ (till notified — Sec 9(2)). - Special sub-sections: 9(3) RCM notified supplies · 9(4) RCM from unregistered (notified classes) · 9(5) ECO deemed supplier.

Reverse Charge (Sec 2(98), 9(3)/(4)/(5)) - Recipient pays; **cash only** (no ITC to pay it); claim ITC after. - **Compulsory registration** — Sec 24(iii), no threshold. - **Self-invoice** — Sec 31(3)(f) — when supplier unregistered. - Key 9(3) services: **GTA** (unless 12% FC), **advocate/legal**, arbitral tribunal, **sponsorship**, Govt services, **director** to company, insurance agent, recovery agent, motor-vehicle renting to body corporate, **import of service**. - 9(5) ECO: cab aggregators, restaurant via platform (Zomato/Swiggy), unregistered-hotel accommodation, house-keeping.

Composition (Sec 10) - 10(1) goods: preceding-year turnover $\leq \text{₹}1.5 \text{ cr}$ (₹75 L special States). - Manufacturer **1%** (total turnover) · Trader **1%** (taxable turnover) · Restaurant **5%** (total). - May supply services up to higher of ₹5 L or 10% of turnover. - 10(2A) service providers: turnover $\leq \text{₹}50 \text{ L}$, rate **6%**. - Conditions: no inter-State outward supply · no supply via TCS e-commerce operator · not dealing in non-leviable goods · not a notified excluded manufacturer (ice-cream, pan masala, tobacco, aerated water) · not CTP/NRTP · all same-PAN registrations opt together. - **No ITC · no tax collection · Bill of Supply · quarterly CMP-08 · annual GSTR-4 · pay RCM at normal rates.** - Sec 10(3): option lapses the day turnover crosses the ceiling · Sec 10(5): wrong opt-in → normal tax + penalty.

Flag once more: confirm all rates, thresholds and notified RCM/ECO/composition lists against the latest ICAI material and notifications for your exam attempt.

Q&A — Charge of GST (Levy & Reverse Charge)

Scope: Charging sections — **Sec 9, CGST Act, 2017** (intra-State) and **Sec 5, IGST Act, 2017** (inter-State); forward charge; reverse charge under **Sec 9(3)/9(4)/9(5) CGST** (and mirror **Sec 5(3)/5(4)/5(5) IGST**); composition levy under **Sec 10, CGST Act. Amendment/rate sensitivity flag:** RCM notified lists (Notif. 13/2017-CT(R) for services; 4/2017-CT(R) for goods) and composition turnover threshold (₹1.5 crore / ₹75 lakh special-category) are **notification-driven** and change frequently. Always verify against the rates/notifications in force for your attempt. Rates used here are illustrative for method, not for memorisation.

SECTION A — Concept Check (short answer)

A1. On what does GST get levied, and what is expressly kept outside the levy under Sec 9(1)? **Ans.** GST is levied on the **supply** of goods or services or both (Sec 9(1), CGST). It is levied on value determined under Sec 15, at notified rates (max 20% CGST), collected in the prescribed manner, and paid by the **taxable person**. Expressly excluded: supply of **alcoholic liquor for human consumption**. Further, GST on **petroleum crude, high-speed diesel, motor spirit, natural gas and ATF** is deferred to a date to be notified by GST Council (Sec 9(2)).

A2. Distinguish forward charge and reverse charge in one line each. **Ans.** *Forward charge* — the **supplier** collects tax from the recipient and remits it to Government (default rule, Sec 9(1)). *Reverse charge* — the **recipient** of goods/services is liable to pay tax directly to Government (Sec 2(98); charged under Sec 9(3)/9(4)).

A3. What is the difference between Sec 9(3) and Sec 9(4) RCM? **Ans.** **Sec 9(3)** — RCM on **notified categories** of goods/services (e.g., GTA, legal services from advocate, sponsorship), applies regardless of supplier's registration. **Sec 9(4)** — RCM on supplies by an **unregistered supplier to a notified registered recipient** (currently narrow, e.g., promoter/real-estate shortfall purchases). 9(3) is category-based; 9(4) is status-of-supplier-based.

A4. Can a person paying tax under RCM claim ITC of that tax? Can he use ITC to pay the RCM liability? **Ans.** ITC of RCM tax **is available** (subject to normal Sec 16/17 conditions) once tax is paid. But the **RCM liability itself must be discharged in cash** — Sec 49(4) bars using ITC to pay tax payable under reverse charge. (Common trap.)

A5. Under Sec 9(5), who pays and give examples of notified services. **Ans.** For specified services supplied *through* an **e-commerce operator (ECO)**, the **ECO is deemed the supplier** and is liable to pay GST as if it were the supplier. Notified services: (i) passenger transport by radio-taxi/motor cab (Ola/Uber), (ii) accommodation in hotels where the actual supplier is unregistered, (iii) housekeeping (plumber/carpenter) where actual supplier unregistered, (iv) restaurant service supplied through ECO (e.g., Swiggy/Zomato).

A6. Is a composition dealer allowed to charge tax to customers or claim ITC? **Ans.** No. Under Sec 10, a composition taxpayer pays tax at a small % of turnover **out of his own pocket, cannot collect tax** from customers (issues bill of supply, not tax invoice), and **cannot claim ITC**.

SECTION B — Graded Computational / Application Problems

B1 (Easy) — Basic forward-charge output tax

Mr. A, a registered dealer in Telangana, makes an intra-State supply of goods worth ₹1,00,000 taxable at 18%. Compute his tax.

Step 1 — Nature: Intra-State $\Rightarrow$ CGST + SGST under **Sec 9(1) CGST / State GST**, split equally. **Step 2 — Rate split:** 18% = 9% CGST + 9% SGST. **Step 3 — Tax:** CGST = ₹1,00,000 $\times$ 9% = ₹9,000; SGST = ₹9,000. **Step 4 — Who pays:** Supplier (forward charge) collects ₹18,000 from buyer, remits to Govt. **Answer:** CGST ₹9,000 + SGST ₹9,000 = ₹18,000.

Self-check: 9,000 + 9,000 = 18,000 = 18% of 1,00,000. ✓

B2 (Easy–Moderate) — Inter-State vs intra-State

Same ₹1,00,000 @18%, but A (Telangana) supplies to a buyer in Maharashtra.

Step 1 — Nature: Inter-State $\Rightarrow$ **IGST under Sec 5(1) IGST Act**. **Step 2 — Rate:** IGST = CGST + SGST rate = 18% (single levy). **Step 3 — Tax:** IGST = ₹1,00,000 $\times$ 18% = ₹18,000. **Answer:** IGST ₹18,000 (no CGST/SGST). Total tax burden is identical to B1; only the head differs.

Self-check: IGST 18,000 = CGST 9,000 + SGST 9,000 of B1. ✓

B3 (Moderate) — Goods Transport Agency under RCM [Sec 9(3)]

XYZ Ltd (registered, Telangana) pays freight of ₹50,000 to a GTA for intra-State transport. GTA has **not** opted for forward charge; applicable rate 5%. Who pays and how much?

Step 1 — Trigger: GTA service to a body corporate is a **Sec 9(3)** notified service (Notif. 13/2017). Where GTA has not opted for 12% forward charge, **recipient pays under RCM @5%**. **Step 2 — Liability:** XYZ Ltd (recipient) is liable, not the GTA. **Step 3 — Compute:** Intra-State $\Rightarrow$ CGST 2.5% + SGST 2.5%. CGST = ₹50,000 $\times$ 2.5% = ₹1,250; SGST = ₹1,250. **Step 4 — Payment mode:** Discharge **in cash** (Sec 49(4) bars ITC for RCM). ITC of ₹2,500 available thereafter (subject to Sec 16). **Answer:** RCM tax = ₹2,500 (₹1,250 + ₹1,250), paid in cash by XYZ Ltd.

Self-check: 1,250 + 1,250 = 2,500 = 5% of 50,000. ✓

B4 (Moderate) — Mixed transactions, net RCM cash outflow

Bright Co. (registered, Karnataka) has in a month: - (a) Legal fees to an advocate: ₹80,000 (intra-State, 18%) - (b) Sponsorship of an event received from a firm: ₹1,00,000 (intra-State, 18%) - (c) Rent paid to an unregistered individual landlord for office building: ₹40,000 - (d) Purchase of stationery from unregistered small trader: ₹10,000

Determine RCM liability.

Step 1 — Test each against notified lists (Sec 9(3)/9(4)): - (a) Legal services by an advocate to a business entity $\Rightarrow$ **Sec 9(3) RCM**. Taxable. - (b) Sponsorship service to a body corporate/partnership firm $\Rightarrow$ **Sec 9(3) RCM**. Taxable. - (c) Renting of *commercial* immovable property by an **unregistered** person to a **registered** recipient $\Rightarrow$ notified under **RCM** (Notif. 13/2017 as amended, entry inserted w.e.f. 10-10-2024). Taxable.

(Amendment-sensitive — verify entry for your attempt.) - (d) Ordinary purchase of goods from an unregistered trader $\Rightarrow$ Sec 9(4) applies **only to notified recipients** (not general). **Not taxable** under RCM here.

Step 2 — Compute (all intra-State, 18% = 9%+9%):

Item	Value	CGST 9%	SGST 9%	RCM tax
(a) Legal	80,000	7,200	7,200	14,400
(b) Sponsorship	1,00,000	9,000	9,000	18,000
(c) Comm. rent	40,000	3,600	3,600	7,200
(d) Stationery	10,000	—	—	0
Total	19,800	19,800	39,600	

Step 3 — Cash payment: RCM total **₹39,600 payable in cash** (Sec 49(4)); ITC of ₹39,600 then available (Sec 16) if used for business. **Answer:** RCM liability = **₹39,600** (CGST ₹19,800 + SGST ₹19,800).

Self-check: $14,400 + 18,000 + 7,200 = 39,600$; and $19,800 + 19,800 = 39,600$. ✓

B5 (Exam-hard) — Composition eligibility, tax, and consequence of crossing threshold

Sunrise Traders (Telangana), a goods trader, had aggregate turnover of **₹1.20 crore** last FY and validly opted for composition. In the **current FY**, quarter-wise turnover of taxable goods is: Q1 ₹35 lakh, Q2 ₹40 lakh, Q3 ₹45 lakh, Q4 ₹40 lakh. Composition rate for a **trader = 1%** (0.5% CGST + 0.5% SGST) on turnover in State. Determine (i) composition tax each quarter, (ii) the point at which he must exit composition, and (iii) treatment thereafter.

Step 1 — Eligibility (Sec 10(1)): Threshold for goods trader = **₹1.5 crore** aggregate turnover (₹75 lakh for special-category States). Prior year ₹1.20 cr < ₹1.5 cr $\Rightarrow$ eligible to opt. ✓ **Step 2 — Rate (Sec 10(1) r/w Rule 7):** Trader = **1% of turnover of taxable supplies in the State**. **Step 3 — Quarterly tax (paid by dealer, not collected):**

Qtr	Turnover	Tax @1%	Cumulative TO
Q1	35,00,000	35,000	35,00,000
Q2	40,00,000	40,000	75,00,000
Q3	45,00,000	45,000	1,20,00,000
Q4	40,00,000	see below	1,60,00,000

Step 4 — Crossing the limit: Composition option **lapses the moment aggregate turnover exceeds ₹1.5 crore** (Sec 10(3)). Cumulative reaches ₹1.5 cr during Q4 (at ₹1.20 cr + ₹30 lakh). From that point he becomes a **regular taxpayer**: must issue **tax invoices**, charge GST at normal rates (say 18% = 9%+9%), and can claim ITC prospectively. **Step 5 — Q4 tax:** ₹30 lakh of Q4 at composition 1% = **₹30,000**; balance ₹10 lakh as **regular @18% = ₹1,80,000** (CGST ₹90,000 + SGST ₹90,000), with ITC now allowed. **Answer:** Composition tax = Q1 ₹35,000 + Q2 ₹40,000 + Q3 ₹45,000 + part-Q4 ₹30,000 = **₹1,50,000**; thereafter regular tax on ₹10 lakh = **₹1,80,000**. He exits composition on breaching ₹1.5 cr in Q4.

Self-check: Composition portion $1\% \times ₹1.5 \text{ cr} = ₹1,50,000$. ✓ Regular portion $18\% \times ₹10 \text{ lakh} = ₹1,80,000$. ✓

Rate/threshold flag: ₹1.5 cr / ₹75 lakh and the 1%/2.5%/6% composition rates are notification-driven — confirm the figures notified for your exam year.

SECTION C — Past-Paper-Style Full Questions

C1. (Levy + why alcohol/petroleum excluded)

"Explain the charging provision of the CGST Act. Why are alcoholic liquor and five petroleum products treated differently?" (5 marks)

Model answer. Under **Sec 9(1), CGST Act, 2017**, CGST is levied on all **intra-State supplies** of goods or services (except alcoholic liquor for human consumption) on the **value under Sec 15**, at rates notified (not exceeding 20%), collected in the prescribed manner and paid by the taxable person. The **inter-State** counterpart is **Sec 5, IGST Act**. Two carve-outs: 1. **Alcoholic liquor for human consumption** is *constitutionally* outside GST — the States retained exclusive power to tax it (Entry 54, State List) as a revenue-protection measure; it remains under State VAT/excise. It is a **permanent** exclusion. 2. **Five petroleum products** (crude, HSD, motor spirit, natural gas, ATF) are *within* GST's constitutional ambit but the levy is **deferred** under **Sec 9(2)** until the GST Council recommends a date. Until then, Central Excise + State VAT continue. This is a **temporary** (revenue-cushion) suspension, not a permanent exclusion. The distinction matters because supplies of these items are **non-taxable/exempt for ITC purposes**, affecting apportionment under Sec 17.

C2. (RCM identification — application)

"For the following, state who is liable to pay GST and under which provision: (i) A firm of advocates provides legal advice to ABC Ltd; (ii) Import of consultancy service from a US firm by an Indian company; (iii) Ola collects fare for a cab ride; (iv) A registered manufacturer buys raw material from a registered supplier." (4 marks)

Model answer. | # | Transaction | Liable person | Provision | |---|-----|-----|-----| | i | Legal service by advocate to business entity | **Recipient (ABC Ltd)** — RCM | Sec 9(3) CGST, Notif. 13/2017 | | ii | Import of service | **Recipient (Indian co.)** — RCM | Sec 5(3) IGST (import of service is inter-State) | | iii | Radio-taxi passenger transport via ECO | **ECO (Ola)** deemed supplier | Sec 9(5) CGST | | iv | Registered-to-registered normal supply | **Supplier** — forward charge | Sec 9(1) CGST |

Note (i) and (ii): tax discharged in **cash**; ITC available thereafter. (iii): ECO pays; the driver does not.

C3. (Composition — full treatment)

"State the persons NOT eligible for composition levy under Sec 10, and the conditions/restrictions a composition dealer must follow." (5 marks)

Model answer. Ineligible persons (Sec 10(2)): (a) supplier of services other than restaurant service — except the marginal service allowance [up to 10% of turnover or ₹5 lakh, whichever higher]; (b) supplier of **non-taxable goods** (e.g., alcohol); (c) person making **inter-State outward supplies**; (d) person supplying **through an e-commerce operator** required to collect TCS; (e) manufacturer of notified goods (e.g., ice cream, pan masala, tobacco, aerated water); (f) casual taxable person / non-resident taxable person.

Conditions/restrictions (Sec 10(3)–(5)): - Cannot **collect tax** from customers; cannot **claim ITC**. - Must issue **Bill of Supply** with words "composition taxable person, not eligible to collect tax". - Must display "composition taxable person" on notices/signboard. - Pays tax at: **1%** (trader/manufacturer, split 0.5+0.5), **5%** (restaurant, 2.5+2.5), **6%** (service provider under Sec 10(2A), 3+3) of turnover. - Option **lapses** when aggregate turnover exceeds ₹1.5 cr (₹75 lakh special-category); tax then payable under normal provisions.

SECTION D — MCQs / Case Scenarios

D1. GST under Sec 9(1) CGST is **NOT** leviable on: (a) tobacco (b) natural gas — permanently (c) **alcoholic liquor for human consumption** (d) diesel — permanently **Ans: (c)**. Alcohol is permanently outside GST; petroleum products (b, d) are only *deferred*, tobacco (a) is taxable.

D2. Tax paid under reverse charge: (a) can be paid using ITC (b) **must be paid in cash; ITC available afterwards** (c) is never creditable (d) is optional **Ans: (b).** Sec 49(4) bars ITC for RCM discharge; credit is available post-payment under Sec 16.

D3. For restaurant service supplied through Zomato, GST is payable by: (a) the restaurant (b) the customer under RCM (c) **the e-commerce operator (Zomato)** (d) nobody **Ans: (c).** Notified under **Sec 9(5)** — ECO is deemed supplier.

D4. A composition dealer (trader) with turnover ₹80 lakh pays composition tax of: (a) 5% (b) 6% (c) **1% (0.5% CGST + 0.5% SGST)** (d) 18% **Ans: (c).** Traders/manufacturers pay 1%; restaurants 5%; other service providers 6%.

D5. (Case) Mr. P, registered in Kerala, pays ₹1,00,000 sponsorship to a partnership firm and ₹60,000 legal fees to an advocate, both intra-State @18%. His RCM cash liability is: (a) ₹18,000 (b) ₹10,800 (c) **₹28,800** (d) ₹0 **Ans: (c).** Both are Sec 9(3) services. $(1,00,000 + 60,000) \times 18\% = ₹28,800$ (CGST ₹14,400 + SGST ₹14,400), paid in cash.

D6. (Case) ABC Ltd opted for composition but made an inter-State outward supply worth ₹2 lakh. Consequence: (a) allowed, pay 1% (b) **ineligible — inter-State outward supply violates Sec 10(2)(c); becomes regular taxpayer** (c) pay IGST at 1% (d) exempt **Ans: (b).** Composition prohibits inter-State outward supplies.

D7. RCM under **Sec 9(4)** currently applies: (a) to all purchases from unregistered dealers (b) **only to notified classes of registered recipients (e.g., promoters in real estate)** (c) never (d) only to imports **Ans: (b).** The blanket 9(4) was suspended; it now applies only to notified recipients.

Decision Flow — Who Pays the GST?

Taxable supply of goods/services

Supplied through
e-commerce operator
+ notified service?

Yes

ECO pays
Sec 9 5

No

Notified RCM
category?
Sec 9 3

Yes

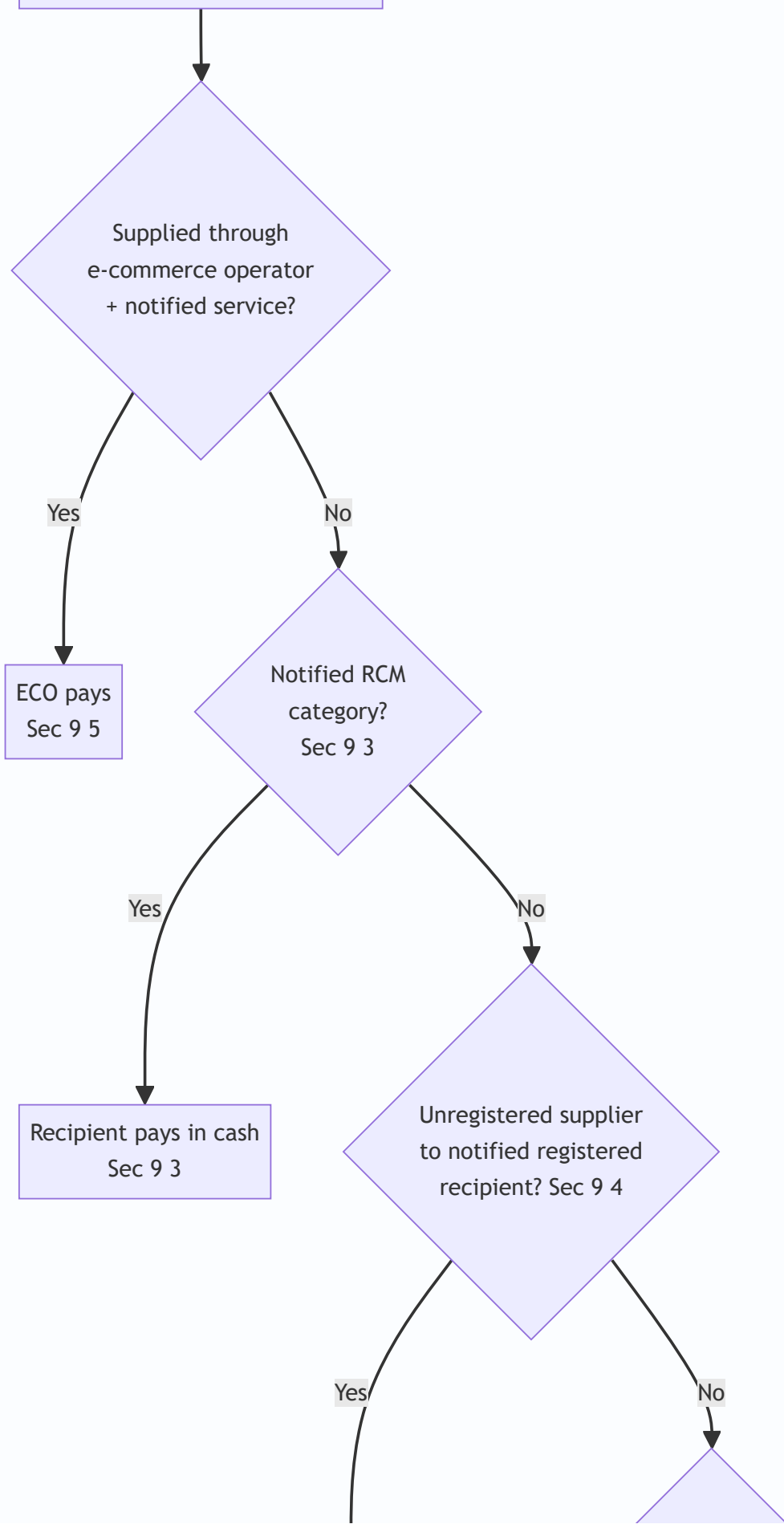
Recipient pays in cash
Sec 9 3

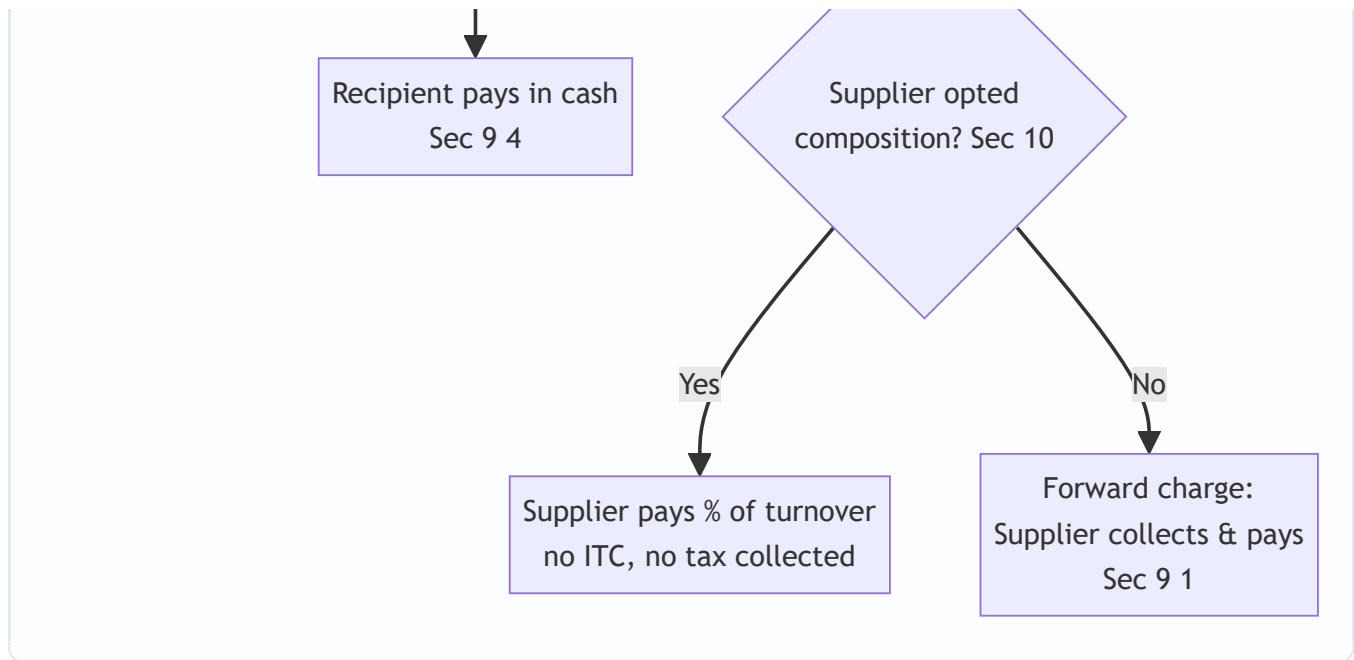
No

Unregistered supplier
to notified registered
recipient? Sec 9 4

Yes

No





Exam Trap Checklist

1. **RCM ≠ ITC to pay** — always cash (Sec 49(4)); credit only *after*.
2. **9(3) vs 9(4)** — category-based vs unregistered-supplier-to-notified-recipient.
3. **Petroleum/natural gas = deferred**, not exempt; **alcohol = permanently outside**.
4. **Composition dealer** — bill of supply, no tax collection, no ITC; **no inter-State outward** supply.
5. **Sec 9(5) ECO** — operator pays *as if* supplier; the underlying driver/restaurant does not.
6. Threshold/rate figures are **notification-driven** — verify for the exam year.

Chapter 16 — Exemptions from GST

Verify current rates, thresholds, notification numbers and the latest amendments in the ICAI Study Material and RTP/MTP for your specific attempt. GST exemption entries are amended almost every Council meeting; this chapter teaches the logic and structure so you can slot in whatever the current entry says.

1. The Problem — A Tax That Taxes Everything Taxes the Poor Hardest

GST is, by design, a tax on **consumption**. Whoever finally consumes a good or service bears the tax. That is elegant and neutral — until you remember *what* people consume.

A billionaire and a daily-wage labourer both consume rice, both fall sick and need a doctor, both send children to school, both take a bus. If GST sat on every one of those transactions at, say, 18%, the labourer — who spends nearly 100% of income on such essentials — would hand over a far larger *share* of income in tax than the billionaire, who spends only a sliver of income on food and saves the rest. A flat consumption tax is inherently **regressive**: it bites hardest at the bottom.

Three concrete problems flow from this:

1. **Equity / regressivity.** Taxing bread, medicine, schooling and public transport transfers the tax burden onto exactly the people least able to pay.
2. **Merit goods get under-consumed.** Health and education produce benefits for society beyond the individual buyer (a healthier, better-educated population). Tax them and people buy *less* of them than society wants — the opposite of what good policy intends.
3. **Administrative dead-weight.** Bringing a tiny farmer selling unbranded grain, or a single auto-rickshaw driver, into the full GST net — returns, invoices, ITC chains — costs the government more to administer than it collects, and crushes the small player.

A pure "tax everything" GST would be politically impossible and socially cruel. The tax has to have a **release valve**. That valve is the **exemption**.

2. The Core Idea — Carve Essentials and Merit Goods Out of the Charge

The core idea is disarmingly simple:

Levy GST broadly on almost everything, so the base is wide and rates can stay low — but surgically carve out a defined list of essential goods, merit services and small suppliers, on which no tax is charged.

Two things make this the *right* tool:

- **Wide base, low rate.** Because so few things are exempt, the taxable base stays large, which lets the average rate stay low. A narrow-base/high-rate tax would just push more consumption into the exempt zone and distort behaviour. Exemptions are meant to be the *exception*, deliberately kept short.

- **Targeted relief.** Instead of a blanket low rate on everything, the government exempts *specifically* the things poor households and society most need — food staples, health, education, public transport, agriculture — leaving discretionary and luxury consumption fully taxed.
- But — and this is the subtle sting that half the exam questions live on — **an exemption is not an unambiguous "gift."** When output is exempt, the supplier **cannot claim input tax credit (ITC)** on the GST it paid on its own purchases. That blocked ITC becomes a hidden cost baked into the price. So exemption *helps* a supplier at the very end of the chain (final consumer of an exempt service) but can *hurt* a supplier in the middle. Understanding *when exemption helps and when it hurts* is the conceptual heart of this chapter.

3. Why It's Built This Way — The Anti-Cascade Logic Turned Inside Out

Recall the one-line thesis of the whole GST system: **GST kills cascading (tax-on-tax) by letting every business claim credit for the tax embedded in its inputs.** Tax flows down the chain and is finally borne only by the consumer.

Exemption deliberately **breaks that chain** — and understanding *why breaking it has consequences* explains every downstream rule.

Picture the credit chain as a relay race passing a baton (ITC) from runner to runner. Each business collects tax on its output, subtracts the tax it paid on inputs, and remits only the difference. The baton keeps moving until the consumer, who has no one to pass it to, absorbs it.

Now **exempt one runner in the middle.** That runner: - charges **no** output tax (good for its customer), **but - cannot pass on the baton** — its own input tax has nowhere to go, so it **must absorb that input tax as a cost** and quietly bury it in the price.

The next runner down the chain, if taxable, now pays tax on a price that *already contains* buried, un-credited tax — **cascading sneaks back in.** This is exactly the evil GST was built to destroy, reappearing at the boundary of an exemption.

That single fact drives the design choices:

Design choice	Reason rooted in the chain logic
Exemptions are kept short and mostly at the end of the chain (final consumer services like health, education, public transport)	If you exempt an <i>intermediate</i> supply, blocked ITC cascades into later taxable supplies. Exempting <i>final</i> supplies avoids that — there is no next runner.
ITC is blocked on exempt output (Sec 17(2), CGST Act)	You cannot claim credit for tax on inputs used to make a supply on which you collected no tax. Allowing it would be a refund of tax never collected — a subsidy, not credit relief.
Zero-rating (exports/SEZ) is treated <i>completely differently</i> from exemption	Exports must leave India <i>tax-free</i> to compete globally, so the government must <i>refund</i> embedded input tax rather than block it. Same "0% on output" but opposite ITC treatment — see §4.6.
Government retains a power to grant exemption by notification (Sec 11 CGST / Sec 6 IGST) rather than writing it into the Act	Essentials change; the Council must be able to add/remove entries fast without amending the statute.

So exemptions are not an afterthought — they are the pressure-release valve, and their design is dictated by the need to *not* reintroduce the cascading the whole system exists to prevent.

4. Full Technical Content

4.1 The Power to Exempt — Section 11 CGST Act / Section 6 IGST Act

Exemption is not automatic; it flows from a statutory **power delegated to the Government** (on the GST Council's recommendation). Learn the structure, because the exam tests the *type* of exemption.

Section 11(1) — General exemption by notification. The Government may, if satisfied it is in the *public interest*, on the Council's recommendation, by **notification**, exempt goods or services **wholly or partly** from tax, either **absolutely** or **subject to conditions**.

- *Wholly* = 100% exemption (nil). *Partly* = concessional rate.
- *Absolutely* = the exemption is compulsory; the supplier **has no choice** and **must not** charge tax.
- *Conditionally* = exemption available only if stated conditions are met.

Section 11(2) — Special order (ad-hoc) exemption. Under *exceptional circumstances* specified in the order, the Government may exempt any goods/services by **special order** (not a general notification) — used for one-off situations (e.g., relief supplies after a disaster).

Section 11(3) — Explanatory clarification. The Government may insert an explanation in a notification within **one year** of issue to clarify scope, and it takes effect **retrospectively**.

The identical structure appears in **Section 6 of the IGST Act** for inter-State supplies, and Section 8(1) of the UTGST Act. A supply is typically exempted under *both* CGST and IGST notifications so that intra-State and inter-State versions are treated alike.

Memory hook — "11 = eleven-th-hour relief." Section 11 is where the Government pulls goods/services *out* of the charge. Sub-sections: **(1) notification** (the normal route), **(2) special order** (emergency), **(3) explanation** (retrospective clarity, 1-year window).

4.2 Definition of "Exempt Supply" — Section 2(47) CGST Act

This definition is load-bearing; almost every ITC and registration question turns on it.

"Exempt supply" means supply of any goods or services or both which **(a)** attracts a **nil rate** of tax, **or (b)** is **wholly exempt** from tax under Section 11 (CGST) or Section 6 (IGST), **and includes non-taxable supply**.

Unpack the three buckets folded into this one definition:

1. **Nil-rated** — the tariff schedule fixes the rate itself at 0% (nil).
2. **Wholly exempt** — a positive rate exists in the schedule, but a Sec 11/6 notification switches it off.
3. **Non-taxable supply — Sec 2(78):** a supply on which GST is **not leviable at all** under the Act (e.g., **alcoholic liquor for human consumption**; and the *currently* out-of-GST petroleum items — petrol,

diesel, ATF, natural gas, crude — which remain under VAT/excise). These are outside GST's charging section entirely.

Why lump all three together? Because for the two consequences that matter most — **(i) blocked ITC** and **(ii) counting toward aggregate turnover for registration** — the law treats them identically. Whether output is nil-rated, notified-exempt, or non-taxable, the supplier gets **no ITC** on related inputs, and the value **still counts in aggregate turnover** (Sec 2(6)). Grouping them under one definition saves the Act from writing the same consequence three times.

4.3 The Exemption Notification Structure — Goods vs Services

Exemptions live in **notifications**, not in the Act's body. Know the two flagship pairs (numbers as originally issued — always confirm current amended text for your attempt):

Subject	Rate notification (positive/nil rates)	Exemption notification (wholly exempt)
Goods	Notification No. 1/2017-CT(Rate) — the rate schedules (0%, 5%, 12%, 18%, 28%)	Notification No. 2/2017-CT(Rate) — list of exempt goods
Services	Notification No. 11/2017-CT(Rate) — service rates	Notification No. 12/2017-CT(Rate) — list of exempt services

Parallel IGST versions exist (e.g., 9/2017-IT(Rate) for exempt services). **Notification 12/2017-CT(Rate)** is the single most exam-relevant document in this chapter — it is a numbered list of service **entries**, each with: - a **description** of the exempt service, - often a **condition** (making it a conditional exemption), and - sometimes an **explanation / definition** of terms used.

The exam pattern: give you a service, ask whether a *specific entry* covers it, and whether *conditions* are met.

4.4 Absolute vs Conditional Exemption — and the Consequence

This distinction is a favourite trap.

- **Absolute exemption:** no conditions. The supplier **cannot opt to pay tax**; charging tax on an absolutely-exempt supply is *wrong* and the recipient cannot claim ITC on it. Example: services by way of **transmission or distribution of electricity by an electricity utility**; RBI services; services to the public by way of **public conveniences** (toilets).
- **Conditional exemption:** available only if the stated condition is satisfied. Miss the condition → the supply is **taxable**. Examples: **hotel accommodation** exemption applies only up to a specified declared tariff per unit per day; **transport of goods by GTA** exemption depends on the type of goods/consignment value; **charitable activities** exemption applies only to entities registered under **Section 12AA/12AB of the Income-tax Act** and only for the defined "charitable activities."

Contrast with the concept of "waiver." Under Sec 11, an *absolute* exemption is **mandatory** — this echoes the old settled principle (*CCE v. Indian Petro Chemicals*) that where an exemption is unconditional, the assessee has no liberty to forgo it. Conditional exemptions, by contrast, apply only when you *qualify*.

Memory hook — "Absolute = No choice, no ITC, don't you dare charge tax." If you see tax charged on an absolutely-exempt supply, the ITC on it is *ineligible* — a classic wrong-answer bait in ITC sums.

4.5 Key Exempt Supplies — Organised by the WHY

Do not memorise the list as random trivia. Each cluster maps onto one of the three problems from §1: **equity (essentials), merit goods, or small-supplier relief**. Group them and the list almost writes itself.

(a) Health care — *merit good + equity*

- Services by a **clinical establishment, an authorised medical practitioner, or para-medics** by way of **health care services** (diagnosis, treatment or care for illness, injury, deformity, abnormality or pregnancy) — **exempt**.
- Services by way of **transportation of a patient in an ambulance** — exempt.
- **Not exempt (taxable)**: purely **cosmetic/plastic surgery** (unless to restore anatomy/functions affected by trauma/congenital defect); hair transplant; **room rent above the notified threshold** in a hospital (a specified daily room charge above the limit is taxable — a recent, verify-current-status entry). Renting of premises to a doctor by the hospital may be taxable.

(b) Education — *merit good + equity*

- Services provided by an **educational institution to its students, faculty and staff** — exempt. An "educational institution" = pre-school up to higher secondary; institution providing education as part of a curriculum for a **recognised qualification**; approved vocational education courses.
- Services **to** an educational institution (up to higher secondary) by way of **transportation of students/faculty, catering (incl. mid-day meals), security, cleaning, house-keeping, and admission/examination services** — exempt (note the *up to higher secondary* limitation for most input services).
- **Not exempt**: coaching/tuition by private coaching centres (no recognised qualification); services *to* higher-education institutions other than admission/exam services.

(c) Agriculture — *essentials + small-supplier relief*

- Services relating to **cultivation of plants and rearing of animals** (agriculture) — including **cultivation, harvesting, threshing, plant protection, supply of farm labour, warehousing of agricultural produce, loading/unloading, packing, renting of agro-machinery, and services by a commission agent for sale/purchase of agricultural produce** — exempt.
- Many **unprocessed agricultural food items** are exempt *goods* (fresh fruit and vegetables, unbranded food grains, milk, etc. under Notification 2/2017).
- **Why**: taxing the farmer at the base of the food chain would cascade into every food price and hammer the poor — plus millions of tiny farmers are impossible to bring into the ITC net.

(d) Transport & essential public services — *equity*

- **Public transport of passengers**: transport by **non-air-conditioned stage/contract carriage, metro/monorail, public transport in a vessel, and metered auto/e-rickshaw/non-AC radio taxi** (verify current entries) — exempt, because the poor depend on it.
- **Transport of goods**: by **road (except GTA and courier)** and by **inland waterways** — exempt. Transport of *specified goods* (e.g., agricultural produce, milk, salt, food grains) by a GTA or by rail — exempt.

- **Electricity** transmission/distribution by a utility — exempt (absolute).
- **Toll charges** for access to a road or bridge — exempt.

(e) Others frequently tested

- **Charitable activities** by an entity registered u/s 12AA/12AB of the Income-tax Act (defined narrowly: public health care for the terminally ill/HIV/addiction, advancement of religion/spirituality/yoga, education/skill to abandoned/orphaned/homeless children, prisoners, persons over 65 in rural areas).
- **Religious/ specified services** — conduct of religious ceremonies; renting of religious precincts owned by a registered charitable/religious trust, *below notified rent thresholds*.
- **Financial:** services by way of **extending deposits/loans where consideration is interest or discount** (interest itself is exempt) — but processing fees are taxable.
- **Government services**, most services **by** Government to business below a threshold, and various **RBI / SEBI / IRDA** functions.
- **Legal services** by an individual advocate/firm of advocates to a business up to a turnover threshold, and to non-business persons — exempt (business recipients above threshold pay under **reverse charge**, which is a *separate* mechanism, not exemption).
- **Renting of residential dwelling for use as residence** (to an unregistered person) — exempt; the position for registered recipients is under reverse charge — *verify current wording*.

4.6 The Big Four — Nil-Rated vs Exempt vs Non-Taxable vs Zero-Rated

This is the conceptual crown jewel of the chapter and the highest-yield exam topic. Three of these terms *look* alike (all mean "0% on output") but their **ITC treatment differs**, and that difference is the whole point.

The single question that separates them: "**Was output tax actually leviable, and is the input tax credit preserved or lost?**"

Concept	Governing idea	Output tax charged	Is it "leviable" under the Act?	ITC on inputs	In aggregate turnover?
Nil-rated	Schedule fixes rate at 0%	None (0%)	Yes — leviable, rate happens to be nil	Blocked	Yes
Exempt (Sec 11/6)	Positive rate switched off by notification	None	Yes — leviable, then exempted	Blocked	Yes
Non-taxable (Sec 2(78))	Outside the charging section altogether (e.g., alcohol, current petro items)	None	No — GST not leviable at all	Blocked	Yes (it is an exempt supply per 2(47))
Zero-rated (Sec 16 IGST)	Export / supply to SEZ — must leave India tax-free	None (net)	Yes — but rated at zero <i>with credit preserved</i>	ALLOWED / refundable	Yes

The crucial contrast — and WHY it matters:

- Nil-rated, exempt and non-taxable all share the **same painful consequence: ITC is blocked** (Sec 17(2): where goods/services are used partly for exempt supplies, credit is restricted to the taxable portion). The embedded input tax becomes a cost. Grouping them under "exempt supply" [2(47)] is precisely so this single ITC-blocking rule catches all three.
- **Zero-rated is the deliberate opposite.** Sec 16 of the IGST Act says exports and supplies to SEZ units/developers are "zero-rated," and Sec 16(2)/17(2) *expressly preserve the ITC* even though the output bears no tax. The exporter can either (i) export under a **LUT/bond without paying IGST and claim refund of unutilised ITC**, or (ii) **pay IGST and claim refund of the tax paid**.

Why the difference? Policy intent is night-and-day. - *Exemption* says: "This is an essential; don't burden the domestic consumer — and we accept a little cascading as the price." Blocking ITC is acceptable because the supply stays within India and the relief is at the consumer end. - *Zero-rating* says: "**Do not export our taxes.**" A core principle of international trade is that goods should be taxed in the country of *consumption*, not production. If India exported goods carrying embedded Indian GST, our exports would be uncompetitive abroad. So the law must **strip out every rupee of embedded tax** — which means *refunding* input tax, not blocking it. Merely exempting exports would leave embedded input tax in the price; zero-rating with refund makes them truly tax-free.

Memory hook — "**Exempt = tax dies AND credit dies. Zero-rated = tax dies BUT credit lives.**" Or: *Exempt is a dead-end for ITC; zero-rated is a green corridor for ITC.* Nil-rated and non-taxable are just two other flavours of "credit dies."

A second-order trap: if a registered person makes an exempt supply, they **cannot issue a tax invoice** — they issue a **bill of supply** (Sec 31(3)(c)). And they cannot collect any amount "as tax" on it (Sec 32).

5. Worked Examples

Each example reconciles every rupee. Rates used are illustrative — confirm current rates for your attempt.

Example 1 — Exempt output blocks ITC (the hidden cost of exemption)

Facts. *Wellness Clinic Pvt Ltd* provides **health care services** (exempt). During a month it incurs: - Medical consumables purchased: ₹10,00,000 + GST @ 12% = ₹1,20,000 - Rent of premises: ₹2,00,000 + GST @ 18% = ₹36,000 - It charges patients ₹25,00,000 for treatment.

Required. GST payable, ITC available, and the economic effect.

Solution.

Item	Amount (₹)
Output — health care (exempt supply)	25,00,000
Output GST (exempt → nil)	0
Input GST paid (1,20,000 + 36,000)	1,56,000
ITC available (Sec 17(2): inputs used for exempt supply)	0 — fully blocked
Net GST payable to Government	0
Un-creditable input tax absorbed as cost	1,56,000

Reconciliation & lesson. The clinic pays *no* GST on output (patients are spared) but *swallows* ₹1,56,000 of input GST it can never recover. That ₹1,56,000 is a real cost — it will be recovered by pricing treatment higher. **Exemption at the consumer end helps the consumer directly but leaves buried input tax.** This is the "exemption is not a pure gift" point in numbers.

Example 2 — Common inputs used for BOTH taxable and exempt supplies (Rule 42 apportionment)

Facts. EduServe LLP runs (i) a **recognised higher-secondary school** (exempt output ₹40,00,000) and (ii) a **commercial coaching centre** (taxable output ₹60,00,000, GST @ 18%). Common input services (shared admin, IT, audit) bore input GST of **₹2,00,000** during the month. There is no exclusively-exempt or exclusively-taxable common credit for this part — treat the ₹2,00,000 as **common credit** to be apportioned.

Required. ITC allowable on the common credit and the reversal.

Solution (Rule 42 logic). Common credit is split in the ratio of **exempt turnover to total turnover**; the exempt portion must be reversed.

Step	Amount (₹)
Total turnover (40,00,000 + 60,00,000)	1,00,00,000
Exempt turnover (school)	40,00,000
Exempt ratio = 40,00,000 / 1,00,00,000	0.40 (40%)
Common ITC (C2)	2,00,000
ITC to reverse (D1 = 40% × 2,00,000)	80,000
ITC allowed (2,00,000 – 80,000)	1,20,000

Now the output side (coaching):

Item	Amount (₹)
Taxable output — coaching	60,00,000
Output GST @ 18%	10,80,000
Less: eligible common ITC	(1,20,000)
Net GST payable (this credit block only)	9,60,000

Reconciliation & lesson. Of ₹2,00,000 common input tax, exactly 40% (the exempt share) is *reversed* and becomes cost; 60% is usable. **Making even one exempt supply forces you to reverse the proportionate ITC on common inputs** — Sec 17(2) read with Rule 42. Reconciles: 80,000 reversed + 1,20,000 allowed = 2,00,000.

Example 3 — Zero-rated vs Exempt: the ITC treatment flips

Facts. *TexPort Ltd* has two divisions with identical cost structures. Each buys inputs of ₹50,00,000 + IGST @ 18% = ₹9,00,000. - **Division A** exports garments (turnover ₹80,00,000) — **zero-rated**, under **LUT without payment of tax**. - **Division B** supplies **exempt goods** domestically (turnover ₹80,00,000).

Required. Compare ITC outcome and cash effect.

Solution.

	Division A (Zero-rated export)	Division B (Exempt supply)
Output tax	0 (zero-rated)	0 (exempt)
Input IGST paid	9,00,000	9,00,000
ITC status	Preserved — Sec 16 IGST	Blocked — Sec 17(2)
Refund of unutilised ITC (under LUT)	9,00,000 refundable	Nil
Input tax that becomes a cost	0	9,00,000

Reconciliation & lesson. Same 0% output, opposite result. The exporter recovers **every rupee** of the ₹9,00,000 (refund) → export truly tax-free. The exempt supplier **loses all ₹9,00,000** to cost. This is precisely *why the distinction between "exempt" and "zero-rated" matters* — never conflate them.

Example 4 — Conditional exemption: miss the condition, lose the exemption

Facts. *StayEasy* operates a lodge. Assume the exemption for hotel accommodation applies only where the **value of supply of a unit is ≤ ₹1,000 per day** (illustrative threshold — verify current limit; the ₹1,000/day residential-unit exemption has itself been amended, confirm for your attempt). In a day it lets: - 20 rooms at ₹900/day - 10 rooms at ₹1,500/day GST rate on taxable rooms = 12%.

Required. Value of exempt vs taxable supply and GST payable.

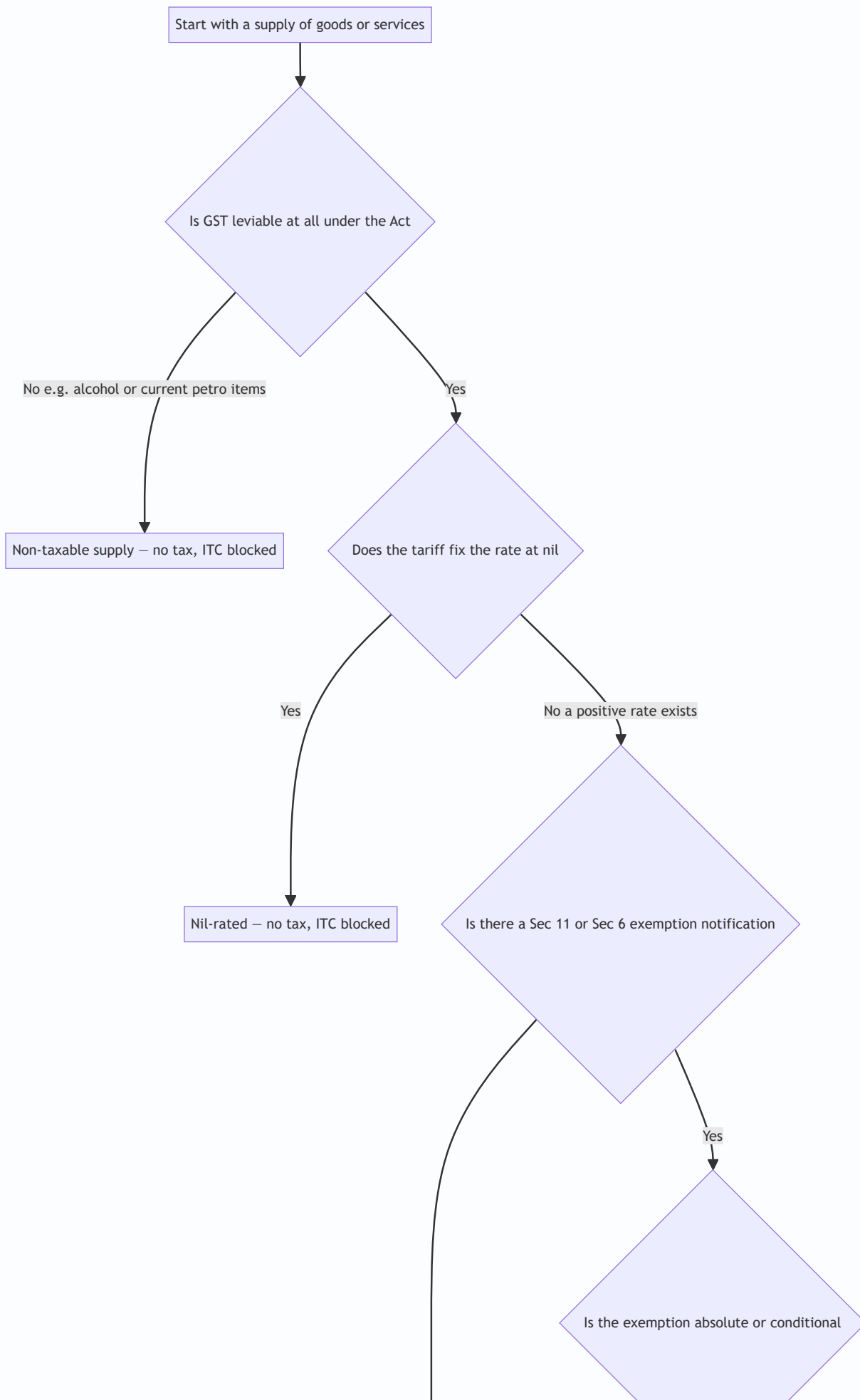
Solution.

Category	Rooms	Rate/day (₹)	Value (₹)	Treatment	GST (₹)
≤ ₹1,000 unit	20	900	18,000	Exempt (condition met)	0
> ₹1,000 unit	10	1,500	15,000	Taxable (condition failed) @12%	1,800
Total	30	—	33,000	—	1,800

Reconciliation & lesson. The *same service* is exempt for the cheap rooms and taxable for the pricier ones — the **condition (price per unit)** decides. Conditional exemptions require you to test the condition line by line. GST payable = ₹1,800; exempt value = ₹18,000.

6. Formats & Summary

Decision format — "Is this supply exempt?"



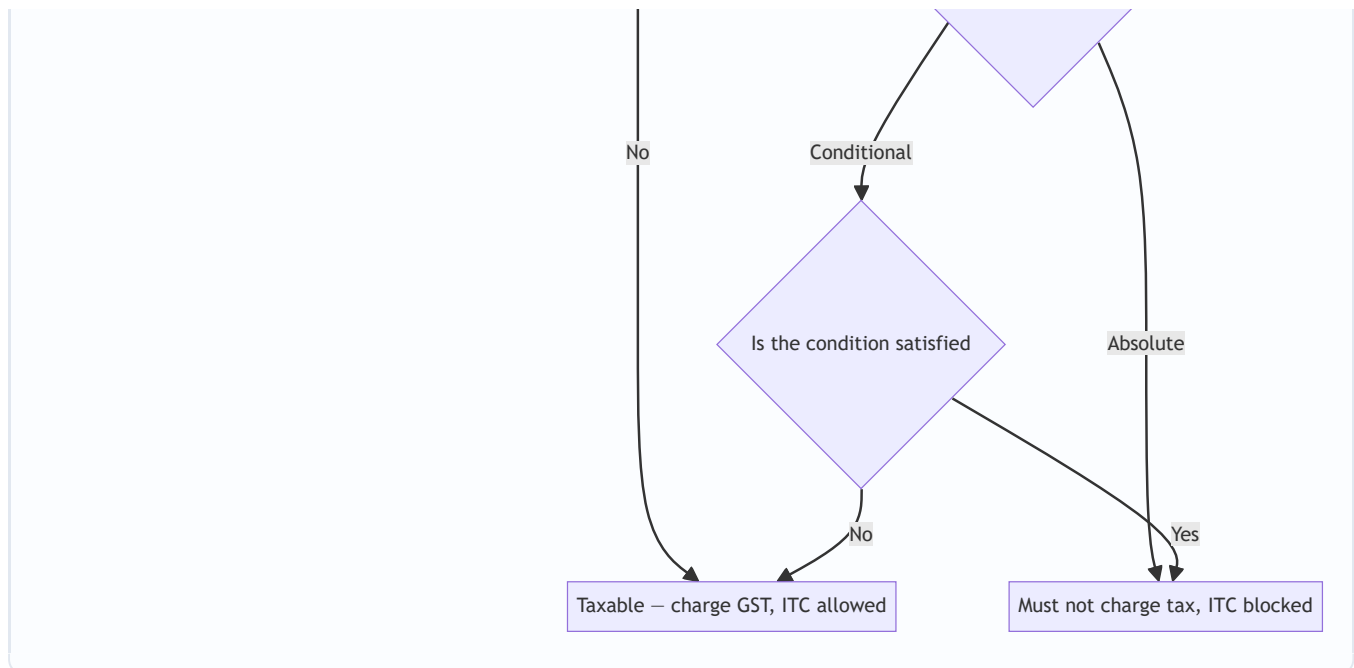


Figure 16.1 — The exemption decision tree; note every 0%-output branch except taxable ends in blocked ITC.

ITC treatment map — the Big Four

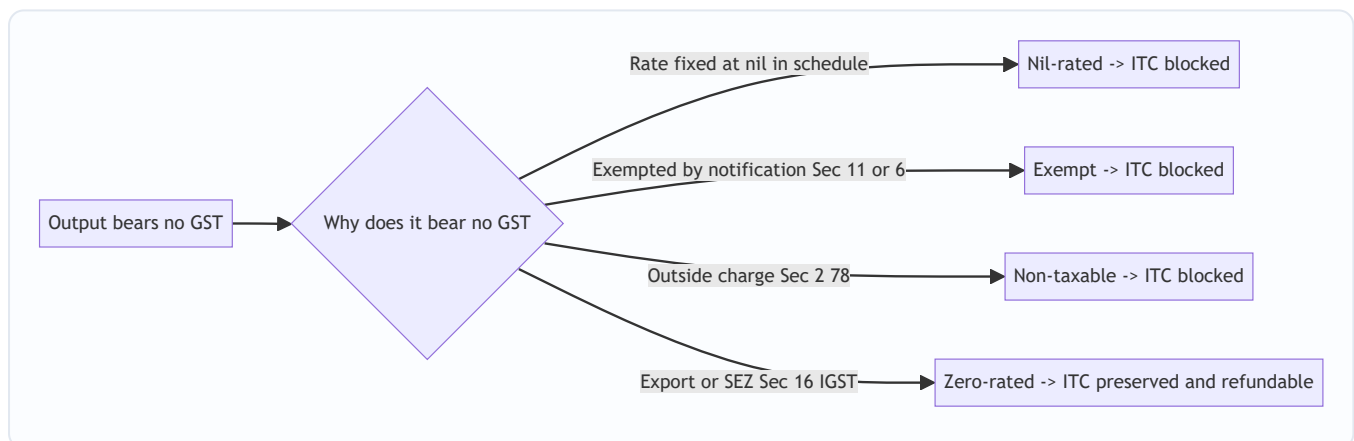


Figure 16.2 — Same zero output tax, four routes; only zero-rating keeps the credit alive.

Master comparison table

Feature	Nil-rated	Exempt (Sec 11/6)	Non-taxable (2(78))	Zero-rated (Sec 16 IGST)
Output GST	0%	Nil	Not leviable	0% (with credit)
Legal source	Rate schedule	Exemption notification	Outside charging section	IGST Sec 16
Is it "exempt supply" per 2(47)?	Yes	Yes	Yes (included)	No
ITC on inputs	Blocked	Blocked	Blocked	Allowed/Refundable
Document issued	Bill of supply	Bill of supply	Bill of supply	Tax invoice (export)
Counts in aggregate turnover	Yes	Yes	Yes	Yes
Typical example	Certain grains	Health, education	Alcohol, petrol	Exports, SEZ

Sec 11 quick-structure

Provision	What it does	Key tag
11(1)	General exemption by notification — wholly/partly, absolute/conditional	Normal route
11(2)	Special order exemption under exceptional circumstances	Emergency
11(3)	Retrospective explanation within 1 year	Clarity

7. Connections

- **Chapter on Charge of GST (Sec 9 CGST / 5 IGST):** exemption is the mirror image of the charging section — Sec 11 *removes* what Sec 9 *imposes*. No charge, no exemption question.
- **Chapter on Input Tax Credit (Sec 16, 17, Rules 42/43):** this is where exemption bites hardest. **Sec 17(2)** blocks ITC on exempt supplies; **Rules 42/43** do the proportionate reversal (Example 2). You cannot understand ITC reversal without exemptions.
- **Chapter on Registration (Sec 22, 24; aggregate turnover 2(6)):** exempt supplies **count toward aggregate turnover**, so they can *drag you into* registration even though you owe no tax on them. A person making **only exempt supplies** is **not liable to register** (Sec 23) — but the moment one taxable supply appears, all turnover counts.
- **Chapter on Zero-rated supplies & Refunds (Sec 16 IGST; Sec 54 CGST):** the natural contrast partner — exports get refund of ITC precisely because they are *not* merely exempt.
- **Chapter on Tax Invoice (Sec 31, 32):** exempt supply → **bill of supply**, and you must **not collect tax** on it.
- **Reverse Charge (Sec 9(3)/(4)):** don't confuse "recipient pays under RCM" (still taxable, ITC generally available) with "exempt" (no tax, no ITC). Legal services and residential renting to registered persons are

8. Traps & Examiner Tricks

1. **"Exempt = good for everyone" — FALSE.** For a mid-chain supplier, exemption *blocks* ITC and can raise costs. Watch for questions asking whether a business *benefits* from exemption.
 2. **Nil-rated ≠ Zero-rated.** The single most common confusion. Nil-rated = 0% in the schedule, **ITC blocked**. Zero-rated = exports/SEZ, **ITC preserved/refundable**. If the sum says "exporter," think *refund*, never *reversal*.
 3. **Non-taxable supply is still an "exempt supply."** Sec 2(47) *includes* non-taxable supply. So alcohol turnover **counts in aggregate turnover** and **blocks ITC** — students who exclude it get registration and Rule 42 sums wrong.
 4. **Absolute exemption is mandatory.** You cannot "opt to pay tax" on an absolutely-exempt supply; and if someone wrongly charges tax on it, the **recipient's ITC is ineligible**.
 5. **Conditional exemption — test the condition per unit/limit.** The hotel/room-rent, GTA, charitable-trust, and religious-precinct-rent entries are exempt *only* within limits. Examiners set values just over the threshold (Example 4).
 6. **Coaching vs education.** A private coaching/tuition centre is **taxable** — it does not lead to a *recognised* qualification. Only "educational institutions" as defined are exempt.
 7. **Interest is exempt, fees are not.** On a loan, the *interest/discount* is exempt but **processing/documentation charges are taxable**. Split them.
 8. **Bill of supply, not tax invoice, and no tax to be collected** (Sec 32) on exempt supplies — a compliance-format trap.
 9. **Rule 42 reversal is compulsory the moment there is any exempt output** — students forget that exempt turnover forces reversal of *common* ITC even when most output is taxable (Example 2).
 10. **"Wholly" vs "partly" exempt.** Partly exempt = concessional rate = *still taxable* at the lower rate, so ITC is **not** blocked (it's a taxable supply). Only *wholly* exempt blocks ITC.
-

9. First-Principles Recap

Reason it out from scratch, and you never need to memorise a list:

1. **GST is a consumption tax → it is regressive → taxing essentials and merit goods is unfair and socially harmful.** Therefore the law needs a carve-out. → **Exemption**.
2. **A carve-out must be flexible** (essentials change) → so it is done by **notification under Sec 11 / Sec 6**, not hard-coded in the Act.
3. **The credit chain only works if tax flows through.** Break it with an exemption and the broken runner **cannot pass ITC** → so **Sec 17(2) blocks ITC** on exempt output, and to avoid re-introducing cascading, exemptions are kept **short and near the consumer end**.
4. **Because "no output tax" can arise four ways** (nil in schedule / notified exempt / outside charge / zero-rated), the law must decide *which ones keep credit*. **Only zero-rating keeps credit** — because its purpose is to make **exports tax-free**, and taxing exports is economically self-defeating. The other three block credit because their purpose is domestic relief, and the buried input tax is an accepted cost.

5. **Since blocked-credit supplies still consume resources, they must still count in turnover** (registration) and must be **documented by a bill of supply** with **no tax collected**.

Everything in this chapter is a consequence of those five sentences.

10. Quick-Revision Sheet

Power to exempt - Sec 11 CGST / Sec 6 IGST. 11(1) notification (wholly/partly; absolute/conditional); 11(2) special order (emergency); 11(3) explanation retrospective within 1 year.

Definitions - Exempt supply — 2(47): nil-rated + wholly exempt (Sec 11/6) + *includes* non-taxable supply. -

Non-taxable supply — 2(78): GST not leviable at all (alcohol; current petro items).

Key notifications (verify current text): Goods rates **1/2017-CT(R)**, exempt goods **2/2017-CT(R)**; Service rates **11/2017-CT(R)**, exempt services **12/2017-CT(R)**.

The Big Four — one-line each - Nil-rated: 0% in schedule → ITC **blocked**. - **Exempt:** rate switched off by notification → ITC **blocked**. - **Non-taxable:** outside charge → ITC **blocked** (still an exempt supply). - **Zero-rated (Sec 16 IGST):** exports/SEZ → ITC **preserved/refundable** (LUT-no-tax + refund, or pay-tax + refund).

Golden line: *Exempt = tax dies and credit dies; Zero-rated = tax dies but credit lives.*

Key exempt clusters (why → what) - Merit/equity → Health care (not cosmetic; room rent above limit taxable) & **Education** (institution to students; specified services to schools; coaching taxable). -

Essentials/small-supplier → **Agriculture** (cultivation, harvesting, warehousing of produce, commission agent; unbranded grains/fresh produce). - Equity → **Transport** (non-AC public passenger transport; goods by road except GTA/courier; electricity; tolls). - Others → **Charitable (12AA/12AB)**, religious ceremonies, **interest on loans/deposits** (fees taxable), specified Government/RBI services.

Consequences of exemption - ITC blocked (Sec 17(2)); common ITC reversed proportionately (Rule 42/43). - Exempt turnover **counts in aggregate turnover** (2(6)); person making **only** exempt supplies **need not register** (Sec 23). - Issue **bill of supply** (Sec 31(3)(c)); **do not collect tax** (Sec 32). - **Absolute** exemption = mandatory (can't opt to pay; wrong tax = no ITC to recipient). **Conditional** = test the condition. **Partly** exempt = concessional rate = still taxable = ITC allowed.

Top traps: nil-rated ≠ zero-rated; non-taxable is still "exempt"; interest exempt but fees taxable; coaching ≠ education; conditional limits (hotel/GTA/charity); any exempt output → Rule 42 reversal.

Final reminder: exemption entries, thresholds and rates are amended frequently. Lock in the exact current entries, room-rent limits, hotel-tariff slabs, and RCM boundaries from the latest ICAI Study Material and amendments applicable to your examination attempt.

Q&A — Exemptions from GST

CGST Act, 2017 and IGST Act, 2017. **Every exemption entry, room-rent limit, hotel-tariff slab, threshold and rate below is amendment-sensitive — GST exemptions change almost every Council meeting. Rates used in sums are illustrative; lock in the exact current entries and limits from the ICAI Study Material/RTP for your attempt.** The logic and section structure are amendment-agnostic.

SECTION A — Concept-Check (Short Q&A)

A1. From which section does the power to exempt flow, and why is exemption done by notification rather than written into the Act? Sec 11 CGST / Sec 6 IGST (and Sec 8 UTGST). The Government, on the GST Council's recommendation and if satisfied it is in the *public interest*, may exempt by **notification**. It is delegated legislation rather than statute because essentials change frequently and the Council must add/remove entries fast without amending the Act. Sub-sections: **11(1)** general notification (wholly/partly; absolute/conditional), **11(2)** special order for exceptional circumstances (emergency), **11(3)** explanation with **retrospective** effect issued within **one year**.

A2. Define "exempt supply" and state why three different things are folded into one definition. Sec 2(47) — supply that (a) attracts a **nil rate**, or (b) is **wholly exempt** under Sec 11/6, **and includes non-taxable supply**. All three (nil-rated, notified-exempt, non-taxable) are grouped together because they share the same two consequences: **ITC is blocked** (Sec 17(2)) and the value **still counts in aggregate turnover** (Sec 2(6)). One definition saves the Act from writing the same consequence three times.

A3. What is a "non-taxable supply" and give examples? Sec 2(78) — a supply on which GST is **not leviable at all** under the Act, i.e. outside the charging section. Examples: **alcoholic liquor for human consumption**, and the currently out-of-GST petroleum items (petrol, diesel, ATF, natural gas, crude) which remain under VAT/excise. Note: it is *included* in "exempt supply" per 2(47), so it blocks ITC and counts in turnover.

A4. Distinguish absolute from conditional exemption, and state the consequence of each. Absolute = no conditions attached; the exemption is **mandatory** — the supplier **cannot opt to pay tax**. If tax is wrongly charged, the recipient's **ITC is ineligible**. Example: transmission/distribution of electricity by a utility. **Conditional** = available only if a stated condition is met; miss the condition and the supply becomes **taxable**. Example: hotel accommodation exemption up to a specified value per unit per day.

A5. Name the four flagship exemption/rate notifications. Goods: rates **1/2017-CT(R)**; exempt goods **2/2017-CT(R)**. Services: rates **11/2017-CT(R)**; **exempt services 12/2017-CT(R)** (the single most exam-relevant document — a numbered list of service entries, each with description, condition, and sometimes definitions). Parallel IGST versions exist (e.g. 9/2017-IT(R)).

A6. The Big Four all show 0% output tax — which one keeps ITC, and why? Only zero-rated (exports / SEZ supplies, **Sec 16 IGST**) preserves ITC. Nil-rated, exempt and non-taxable all **block ITC** (Sec 17(2)). Reason: zero-rating exists so India does **not export its taxes** — goods must be taxed in the country of *consumption*, so embedded input tax is **refunded**, not buried. The other three are domestic-relief measures

where the buried input tax is an accepted cost. *Golden line: exempt = tax dies and credit dies; zero-rated = tax dies but credit lives.*

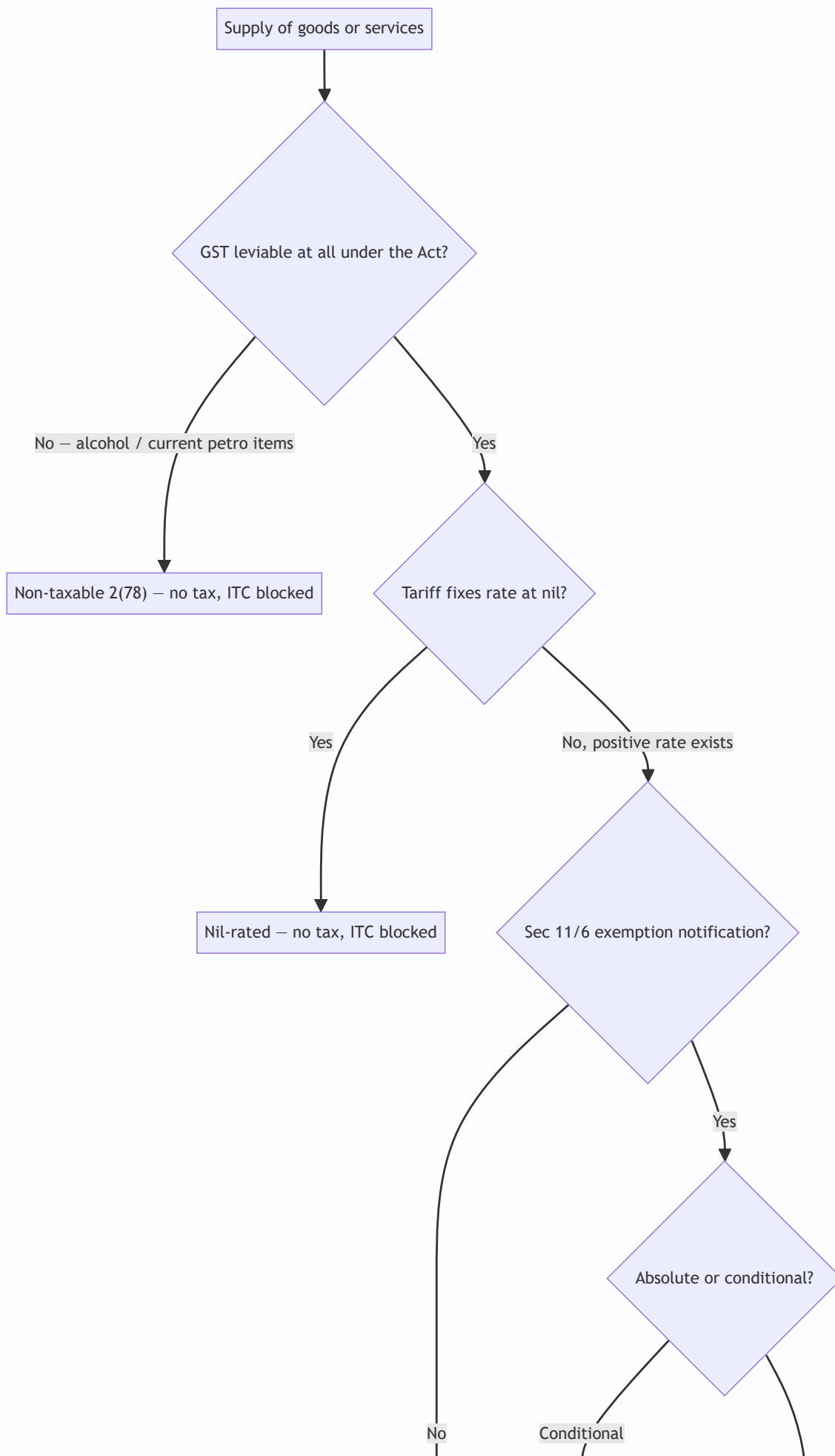
A7. Does making an exempt supply require registration? A person making **only exempt supplies** is **not liable to register** (Sec 23). But exempt turnover **counts in aggregate turnover** (Sec 2(6)), so the moment one taxable supply appears, all turnover — exempt included — is aggregated for the Sec 22 threshold test.

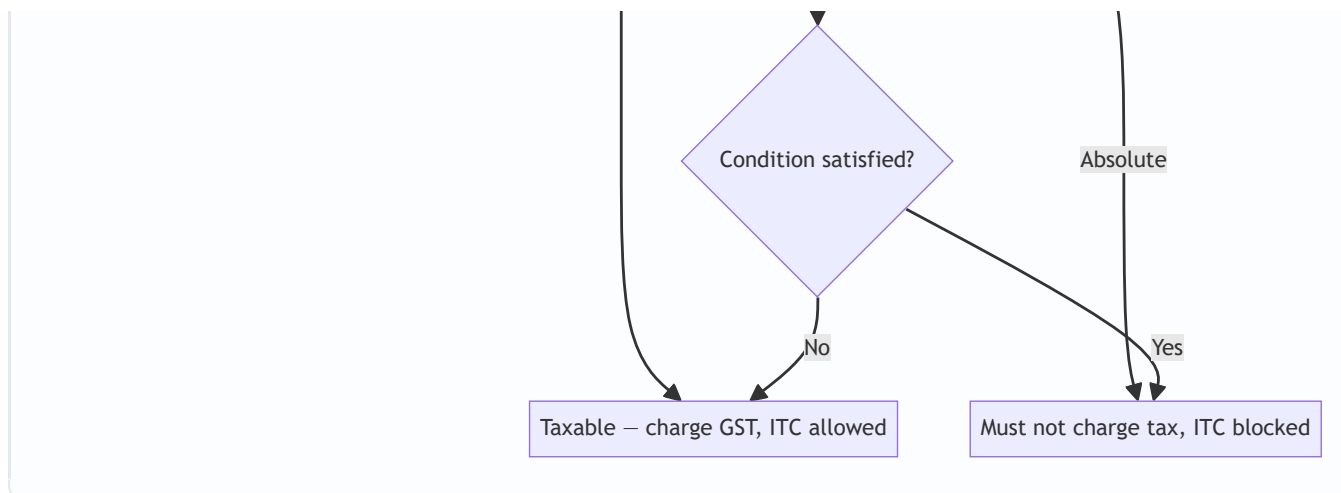
A8. What document is issued for an exempt supply, and can tax be collected on it? A **bill of supply**, not a tax invoice (**Sec 31(3)(c)**). The registered person **must not collect any amount as tax** on an exempt supply (**Sec 32**).

A9. Is a private coaching centre exempt like a school? No. Only an "**educational institution**" (pre-school to higher secondary; institution providing education for a **recognised qualification**; approved vocational courses) is exempt for services to its students/faculty/staff. A private coaching/tuition centre leads to **no recognised qualification** and is therefore **taxable**.

A10. On a bank loan, what is exempt and what is taxable? Services by way of extending deposits/loans **where the consideration is by way of interest or discount** are **exempt** — so the *interest* is exempt. But **processing/documentation charges** are a separate taxable consideration. Split them: interest exempt, fees taxable.

Exemption decision map





SECTION B — Graded Computational Problems

B1 (Easy) — Exempt output blocks ITC

Wellness Clinic Pvt Ltd provides **health care services** (exempt). In a month it buys consumables ₹10,00,000 + GST @12% and pays premises rent ₹2,00,000 + GST @18%; it bills patients ₹25,00,000. Compute output GST, ITC available and the economic effect.

Solution.

Item	Amount (₹)
Output — health care (exempt supply)	25,00,000
Output GST (exempt → nil)	0
Input GST paid (1,20,000 + 36,000)	1,56,000
ITC available — Sec 17(2), inputs used for exempt supply	0 (fully blocked)
Net GST payable	0
Un-creditable input tax absorbed as cost	1,56,000

Patients pay no GST, but the clinic swallows ₹1,56,000 of input tax it can never recover and recoups it through higher prices. **Exemption at the consumer end helps the consumer but leaves buried input tax** — the "exemption is not a pure gift" point in numbers.

B2 (Moderate) — Conditional exemption tested per unit

StayEasy lodge lets rooms in a day: 20 rooms @ ₹900/day and 10 rooms @ ₹1,500/day. Assume the accommodation exemption applies where value per unit $\leq$ **₹1,000/day** (illustrative — verify current limit); taxable rooms bear GST @12%. Compute exempt value, taxable value and GST.

Solution.

Category	Rooms	Rate/day (₹)	Value (₹)	Treatment	GST (₹)
≤ ₹1,000 unit	20	900	18,000	Exempt (condition met)	0
> ₹1,000 unit	10	1,500	15,000	Taxable @12% (condition failed)	1,800
Total	30	—	33,000	—	1,800

The *same service* is exempt for cheap rooms and taxable for pricier ones — the **condition (price per unit)** decides. Exempt value ₹18,000; GST payable ₹1,800. Conditional exemptions must be tested **line by line**.

B3 (Hard) — Rule 42 apportionment of common ITC

EduServe LLP runs (i) a recognised higher-secondary school (**exempt** output ₹40,00,000) and (ii) a commercial coaching centre (**taxable** output ₹60,00,000, GST @18%). Common input services (admin, IT, audit) bore input GST of ₹2,00,000, treated wholly as common credit. Compute the ITC reversal and net GST payable.

Solution — Rule 42 (Sec 17(2)). Common credit is apportioned in the ratio of exempt turnover to total turnover; the exempt portion is reversed.

Step	Amount (₹)
Total turnover (40,00,000 + 60,00,000)	1,00,00,000
Exempt turnover (school)	40,00,000
Exempt ratio = 40 / 100	0.40 (40%)
Common ITC (C2)	2,00,000
ITC to reverse (D1 = 40% × 2,00,000)	80,000
ITC allowed (2,00,000 – 80,000)	1,20,000

Output side (coaching):

Item	Amount (₹)
Output GST @18% on 60,00,000	10,80,000
Less: eligible common ITC	(1,20,000)
Net GST payable	9,60,000

Reconciles: 80,000 reversed + 1,20,000 allowed = 2,00,000. **Any exempt output forces proportionate reversal of common ITC** — even when most output is taxable.

B4 (Exam-hard) — Zero-rated vs Exempt: ITC treatment flips

TexPort Ltd has two divisions, each buying inputs ₹50,00,000 + IGST @18% = ₹9,00,000. **Division A** exports garments (₹80,00,000) — **zero-rated** under **LUT without payment of tax**. **Division B** makes **exempt** domestic supplies (₹80,00,000). Compare ITC outcome and cash effect.

Solution.

	Division A (Zero-rated export)	Division B (Exempt supply)
Output tax	0 (zero-rated)	0 (exempt)
Input IGST paid	9,00,000	9,00,000
ITC status	Preserved — Sec 16 IGST	Blocked — Sec 17(2)
Refund of unutilised ITC (under LUT)	9,00,000 refundable	Nil
Input tax becoming a cost	0	9,00,000

Same 0% output, opposite result. The exporter recovers **every rupee** (refund) → export truly tax-free; the exempt supplier **loses all ₹9,00,000** to cost. **Never conflate "exempt" with "zero-rated."**

B5 (Exam-hard) — Aggregate turnover, registration and the split-supply trap

Mr. Bose (single State) supplies in a year: fresh vegetables (exempt) ₹28,00,000; interest on loans given (exempt) ₹3,00,000; and taxable stationery ₹6,00,000. Assume registration threshold ₹20,00,000 (verify). Is he liable to register, and on what does he pay tax?

Solution. Aggregate turnover (Sec 2(6)) = exempt + taxable = 28,00,000 + 3,00,000 + 6,00,000 = **₹37,00,000**, which **exceeds ₹20,00,000** → **registration required (Sec 22)**. Had he made *only* the exempt supplies, Sec 23 would exempt him from registration; but the ₹6,00,000 taxable supply drags **all** turnover into the threshold test. He pays GST **only on the ₹6,00,000 taxable stationery**; the vegetables (exempt goods) and interest (exempt service) bear no tax, are billed on a **bill of supply** (Sec 31(3)(c)), and block ITC on their related inputs. **Exempt turnover can force registration even though no tax is owed on it.**

SECTION C — Past-Paper-Style Full Questions

C1. "State with reasons whether GST is payable" (8 marks)

Determine taxability, citing the governing idea: (a) Transportation of a patient by ambulance; (b) Hair transplant / cosmetic surgery; (c) Services by a private IIT-JEE coaching centre; (d) Loading, unloading and warehousing of agricultural produce; (e) Transmission of electricity by a distribution utility; (f) Interest on a term loan sanctioned by a bank; (g) Processing fee charged on that loan; (h) Renting of a residential dwelling for use as residence to an unregistered person.

Model answer. (a) **Exempt** — health-care-related transport of a patient in an ambulance (Notif. 12/2017 entry). (b) **Taxable** — cosmetic/plastic surgery and hair transplant are outside "health care services" unless done to restore anatomy affected by trauma/congenital defect. (c) **Taxable** — a private coaching centre is not an "educational institution" (no recognised qualification). (d) **Exempt** — services relating to cultivation/rearing include warehousing, loading/unloading and packing of agricultural produce. (e) **Exempt (absolute)** — transmission/distribution of electricity by an electricity utility. (f) **Exempt** — extending a loan where consideration is interest/discount. (g) **Taxable** — processing fee is a distinct consideration, not interest. (h) **Exempt** — renting of a residential dwelling for use as a residence to an unregistered person (position for registered recipients is under **RCM**, not exemption — verify current wording).

C2. Distinguish and explain (6 marks)

"An exemption and a zero-rated supply both result in nil output tax, yet they are opposites." Explain, citing sections, with a one-line numeric illustration.

Model answer. Both charge **0% on output**, but the **ITC treatment is opposite**. Under **exemption (Sec 11/6, blocked by Sec 17(2))**, input tax cannot be recovered and becomes a **cost buried in the price** — the purpose is domestic relief on essentials, where a little cascading is accepted. Under **zero-rating (Sec 16 IGST)** for exports/SEZ, the ITC is **expressly preserved and refundable** (either LUT-without-tax + refund of unutilised ITC, or pay-IGST + refund) — the purpose is to *not export India's taxes* so exports stay globally competitive. *Illustration:* on ₹9,00,000 input tax with nil output, an exempt supplier loses ₹9,00,000 to cost; an exporter gets ₹9,00,000 refunded. Same output, opposite cash effect.

C3. Structure question (5 marks)

Explain the structure of **Section 11 of the CGST Act** and the meaning of "wholly/partly" and "absolutely/conditionally."

Model answer. **11(1)** — general exemption by **notification**, on Council recommendation, in public interest; may be **wholly** (100%, nil) or **partly** (concessional rate), and **absolutely** (mandatory, no option to pay tax) or **conditionally** (only if conditions met). **11(2)** — exemption by **special order** under exceptional circumstances (emergency, e.g. disaster relief). **11(3)** — the Government may add an **explanation** to a notification within **one year**, effective **retrospectively**. Key nuance: **partly exempt = still taxable at the lower rate → ITC is NOT blocked**; only **wholly** exempt blocks ITC.

SECTION D — MCQs / Case Scenarios

D1. Which supply is *not* an "exempt supply" under Sec 2(47)? A) Nil-rated grain B) Health care exempt by notification C) Export of goods (zero-rated) D) Alcoholic liquor for human consumption **Answer: C.** Zero-rated supplies keep ITC and are governed by Sec 16 IGST — they are excluded from the 2(47) definition; the other three are included.

D2. A registered person makes a wholly exempt supply. He must issue — A) Tax invoice B) Bill of supply C) Debit note D) Receipt voucher **Answer: B.** Sec 31(3)(c) — a bill of supply is issued for exempt supplies, and no tax may be collected (Sec 32).

D3. Common input tax of ₹1,00,000; exempt turnover ₹30 lakh, taxable ₹70 lakh. ITC to be reversed under Rule 42 is — A) ₹30,000 B) ₹70,000 C) ₹1,00,000 D) Nil **Answer: A.** Reversal = $(30/100) \times 1,00,000 = ₹30,000$ (exempt-turnover ratio).

D4. Tax is wrongly charged on an **absolutely** exempt supply. The recipient's ITC on it is — A) Fully available B) Ineligible C) Available at 50% D) Refundable **Answer: B.** Absolute exemption is mandatory; ITC on tax that ought not to have been charged is ineligible.

D5. A person makes *only* exempt supplies of ₹50 lakh. He is — A) Compulsorily registered B) Not liable to register (Sec 23) C) Liable under RCM D) A casual taxable person **Answer: B.** Sec 23 — a person exclusively making exempt supplies need not register, even above the threshold.

D6. Which is **taxable**? A) Interest on a loan B) Loan processing fee C) Metered auto-rickshaw ride D) Toll charges for a bridge **Answer: B.** Interest, public transport and tolls are exempt; the processing fee is a distinct taxable consideration.

D7. Case: A hospital rents shop space to a doctor for a clinic. This renting is — A) Exempt as health care B) Taxable (renting of premises, not health care) C) Zero-rated D) Non-taxable **Answer: B.** Health-care exemption covers treatment of patients, not commercial renting of premises.

D8. "Partly exempt" supply means — A) 0% and ITC blocked B) Concessional rate, still taxable, ITC allowed C) Outside GST D) Zero-rated with refund **Answer: B.** Partly exempt = a lower positive rate = still a taxable supply, so ITC is not blocked.

Top traps recap

Nil-rated $\neq$ zero-rated (only zero-rated keeps ITC); non-taxable supply is *still* an "exempt supply" (counts in turnover, blocks ITC); interest exempt but fees taxable; coaching $\neq$ education; conditional limits (hotel/GTA/charity/religious rent) must be tested per unit; **any** exempt output triggers Rule 42 reversal; absolute exemption is mandatory and its wrongly-charged tax gives no ITC.

Final reminder: exemption entries, room-rent limits, hotel-tariff slabs, thresholds and RCM boundaries are amended frequently. Confirm the exact current text from the latest ICAI Study Material and amendments for your attempt.

Chapter 17 — Time of Supply

Rates / thresholds / amendments flag: Time-of-supply *provisions* (Secs 12–14 of the CGST Act, 2017) are structurally stable, but the surrounding machinery moves — the removal of the 30-day supplementary-invoice window, the abolition of the earlier "goods on payment" trigger, tweaks to reverse-charge lists, and e-invoicing timelines have all been amended. This chapter teaches the **logic that fixes the taxable moment** so the mechanism is permanent. **Always verify the exact triggers, the current reverse-charge list, and the applicable amendments against current ICAI study material for your attempt.**

1. The Problem — GST is a tax on an *event*, but events are stretched out in time

GST is charged on the *supply* of goods or services (Sec 9, CGST Act). Good. But a "supply" is not a single instant — it is a **process** smeared across days, weeks, sometimes months. Consider one perfectly ordinary transaction:

- **1 June** — a customer places an order and pays a 20% advance.
- **10 June** — you dispatch the goods.
- **12 June** — the goods reach the customer.
- **15 June** — you raise the tax invoice.
- **20 July** — the customer pays the balance.

The transaction touches *five* different dates. But the tax law needs a **single, unambiguous date** — one moment it can point to and say "*tax became payable here.*" Without that single moment, three things collapse:

Problem 1 — You cannot fix the *rate*. Suppose GST on this item is 12% until 30 June and rises to 18% from 1 July. Which rate applies — the June rate or the July rate? The answer depends entirely on *which* of those five dates the law treats as decisive. The rate is frozen at the "time of supply"; get the time wrong and every rupee of tax is wrong.

Problem 2 — You cannot fix the *return period*. GST is paid month by month. Does this supply belong in the June return (GSTR-3B for June, paid ~20 July) or the July return? If you report it late, you owe **interest under Sec 50** and possibly a late fee. If you report it early, you have parked the government's money before you needed to. The month is decided by the time of supply.

Problem 3 — You cannot enforce *anything* consistently. Two honest taxpayers doing the identical deal could pick different dates and pay different tax in different months. A tax that lets each person choose their own moment is unadministrable. The law must **legislate the moment** so it is the same for everyone.

So the "time of supply" (TOS) is not a bookkeeping nicety. It is the **coordinate on the time axis** at which the charge under Sec 9 crystallises. Sec 9 tells you *whether* and *how much*; **time of supply tells you *when*, and through "when," it silently also fixes *which rate*.**

2. The Core Idea

The time of supply is the *earliest* of a small set of legally-fixed trigger events — normally issue of invoice, receipt of payment, or (for goods under reverse charge) receipt of the goods. The law picks the *earliest* trigger because it wants the tax in its hands at the first sign that value has changed hands — but it also caps *how late* the invoice trigger can be, so a supplier cannot delay tax simply by delaying his own paperwork.

Two design instincts run through every rule in this chapter, and if you hold them firmly you can *derive* almost every provision instead of memorising it:

1. **"Earliest of" — the revenue-protection instinct.** The moment *any* recognised marker of the supply appears (money in, or invoice out), tax is due. The government does not wait for the transaction to fully complete. Cash flow to the exchequer is front-loaded.
2. **"Don't let the taxpayer control the clock" — the anti-manipulation instinct.** The invoice is issued *by the supplier*. If TOS depended purely on when he chose to invoice, he could postpone tax indefinitely. So the law imposes a **statutory last date for the invoice** (Sec 31), and if the invoice is late, TOS falls back to an event the taxpayer *cannot* game.

Everything else — the goods-vs-services split, the reverse-charge rules, vouchers, the residual rule, the rate-change rules — is these two instincts applied to different fact patterns.

3. Why It's Built This Way — the design logic before the sections

Before touching a single sub-section, understand the choices the legislature made. Each rule below is one of these choices in disguise.

Design choice	The problem it solves	How the Act implements it
A single legislated moment	Supply is stretched across many dates	Secs 12/13 define ONE "time of supply"
"Earliest of" triggers	Front-load revenue; catch value the moment it moves	TOS = earliest of invoice / payment / (goods receipt)
Statutory last date for invoice	Supplier could delay tax by delaying invoice	Link TOS to Sec 31 due date, not actual invoice date
Goods vs services treated differently	Goods = a physical event you can see; services = often continuous, invisible	Sec 12 (goods) vs Sec 13 (services)
Reverse charge has its own clock	Recipient pays; supplier's invoice is not a reliable marker	Sec 12(3)/13(3): use goods-receipt / payment / date-of-payment-to-supplier
Residual rule	Some cases fit no trigger	Fall back to due date of return or date of tax payment
Change-in-rate rule (Sec 14)	Straddling supplies span the rate change	Special "2-of-3" rule <i>overrides</i> Secs 12/13

3.1 Why the advance is (mostly) not taxed for goods any more

Historically GST taxed *advances on goods* at receipt — the "payment" trigger fired even before dispatch. This was an administrative nightmare for small dealers (tax on money before you have even shipped, then reconcile later). By a 2017 notification the government **removed the "receipt of payment" trigger for supply of goods** for all registered persons. So today, for **goods under forward charge, an advance does NOT create a time of supply** — only the invoice (or its due date) matters. **Advances on services, however, remain fully taxable at receipt.** Keep this asymmetry burning in your mind; it is the single most examined trap in this chapter.

Verify for your attempt: the notification excluding advances-on-goods from TOS is a rate-notification and could be amended. ICAI has consistently examined the current position (advances on goods not taxed; advances on services taxed). Confirm before your sitting.

4. Full Technical Content — with the "why" welded to each provision

4.1 The building-block dates you must define first

Two phrases recur; nail them once.

"Date of receipt of payment" (per the CGST Rules / Sec 12–13 explanation) = the **earlier** of: - (a) the date the payment is **entered in the books** of the supplier, or - (b) the date the payment is **credited to his bank account**.

Why the earlier? Same revenue-protection instinct — whichever proof of payment appears first fixes the moment.

"Date of issue of invoice" = the actual date on the invoice — *but* the law constantly compares it to the **due date of issuing the invoice under Sec 31**, because the due date is the anti-manipulation backstop.

4.2 Sec 31 — the invoice due dates (the backstop you cannot skip)

Time of supply for goods/services under forward charge leans on Sec 31, so learn these first.

Supply	Sec 31 due date for the invoice
Goods — movement involved	On or before removal of goods for supply
Goods — no movement	On or before delivery / making available to recipient
Continuous supply of goods	On or before each statement/payment is issued/received
Services (general)	Within 30 days of supply of service
Services by banks/NBFCs/insurers	Within 45 days of supply of service

Why a deadline at all? Because the invoice is the supplier's own document. Sec 31 says "you must invoice by this date," and Sec 12/13 then says "if you invoice late, we tax you as if you had invoiced on time." The two sections lock together to defeat delay.

4.3 Time of supply of GOODS — forward charge (Sec 12(2))

TOS of goods = the EARLIER of: (a) date of issue of invoice, OR the last date on which the invoice *should* have been issued under Sec 31; and (b) — [the "date of receipt of payment" limb, which has been *removed by notification* for registered suppliers of goods].

Because limb (b) is switched off for goods, in practice:

TOS of goods (forward charge) = date of invoice, OR if the invoice is late/not issued, the Sec 31 due date (i.e. removal for movement cases; delivery otherwise) — whichever of the two applies. The advance is ignored.

Worked micro-logic. Goods removed 10 June, invoice raised 15 June. Sec 31 due date = removal = 10 June. TOS = *earlier* of actual invoice (15 June) and due date (10 June) = **10 June**. The late invoice bought the supplier nothing — exactly the anti-manipulation design at work.

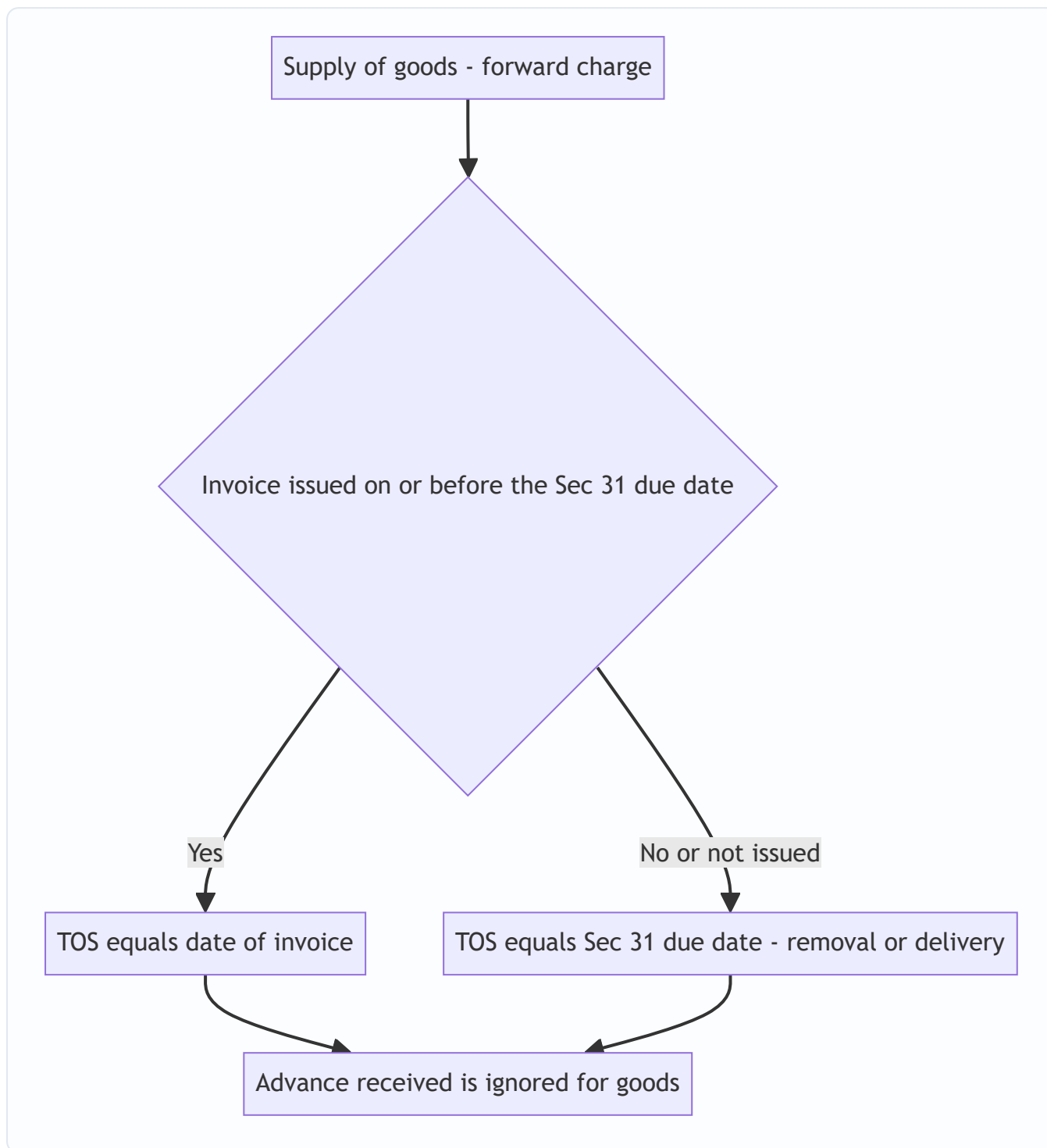


Figure 17.1 — Time of supply of goods under forward charge. The payment trigger is switched off, so only invoice timing (capped by the Sec 31 due date) matters.

4.4 Time of supply of SERVICES — forward charge (Sec 13(2))

Services are different in kind. A service is often **invisible and continuous** — consulting, a subscription, a running contract. There is no "removal" you can photograph. So the law keeps the **payment trigger alive** and uses the **30/45-day invoice window** as the anti-manipulation cap.

TOS of services = the EARLIEST of: (a) if invoice issued *within* the Sec 31 window (30/45 days): the EARLIER of (i) date of invoice or (ii) date of receipt of payment; OR (b) if invoice NOT issued within the window: the EARLIER of (i) date of *provision* of service or (ii) date of receipt of payment; OR (c) if neither (a) nor (b) applies: the date the recipient shows receipt of the service in his books.

Decoded into a decision the way you would actually apply it:

1. Was the invoice issued within 30 days (45 for banks etc.)?
2. **Yes** → TOS = earlier of *invoice date* and *payment date*.
3. **No** → TOS = earlier of *date service was provided* and *payment date*.

Notice the elegant symmetry with goods: a **timely** invoice lets you use the invoice date; a **late** invoice throws you back onto an event you cannot manipulate (the actual provision of service). Same instinct, adapted to a continuous supply.

Advances on services ARE taxed. Because the payment limb is live, if a client pays you an advance on 1 June for a service invoiced 15 July, the *advance* fixes TOS at 1 June for that portion. This is the asymmetry against goods.

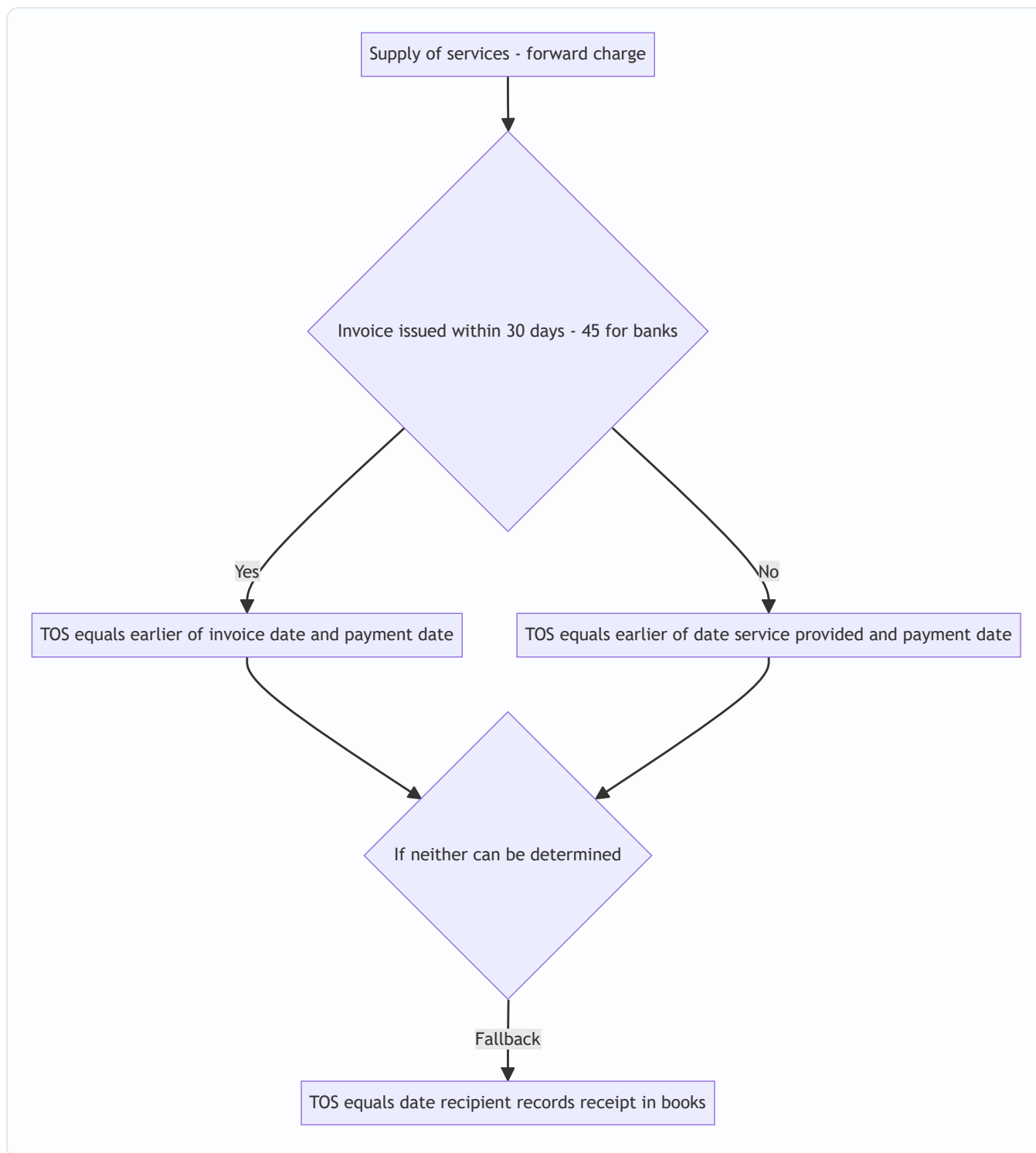


Figure 17.2 — Time of supply of services under forward charge. The payment trigger stays live, so advances are taxable; the 30/45-day window is the anti-delay cap.

4.5 Reverse charge — why the clock is completely different (Secs 12(3) & 13(3))

Under **reverse charge (RCM)**, the *recipient* pays the tax, not the supplier. Now think about the design instinct: the trigger events for forward charge (invoice, payment received) are all **the supplier's actions**. But under RCM the supplier may be an unregistered person, a farmer, a foreign entity — someone who may not issue a GST invoice at all and certainly is not the one paying tax. **Using the supplier's invoice as the anchor would be unreliable and unenforceable against the person who actually owes the tax.**

So RCM anchors TOS to events **within the recipient's own control and records** — when *he* got the goods, when *he* paid the supplier — plus a hard backstop.

Reverse charge on GOODS — TOS = EARLIEST of (Sec 12(3)): 1. date of **receipt of the goods**; 2. date of **payment** (as entered in recipient's books or debited from bank, whichever earlier); 3. the day **immediately after 30 days** from the date of the supplier's invoice.

If none can be determined → date of **entry in the recipient's books of account**.

Reverse charge on SERVICES — TOS = EARLIEST of (Sec 13(3)): 1. date of **payment**; 2. the day **immediately after 60 days** from the date of the supplier's invoice.

If neither → date of **entry in the recipient's books**. **Special case — associated enterprises where the supplier is outside India:** TOS = **earlier of** date of entry in recipient's books **or** date of payment. (Cross-border related-party services have no reliable invoice, so the law leans entirely on the recipient's books/payment.)

Why 30 days for goods but **60 days** for services? Services take longer to complete and invoice, so the recipient is given a longer runway before the "invoice + N days" backstop bites — the same 30-vs-45/60 leniency logic that services get everywhere in GST.

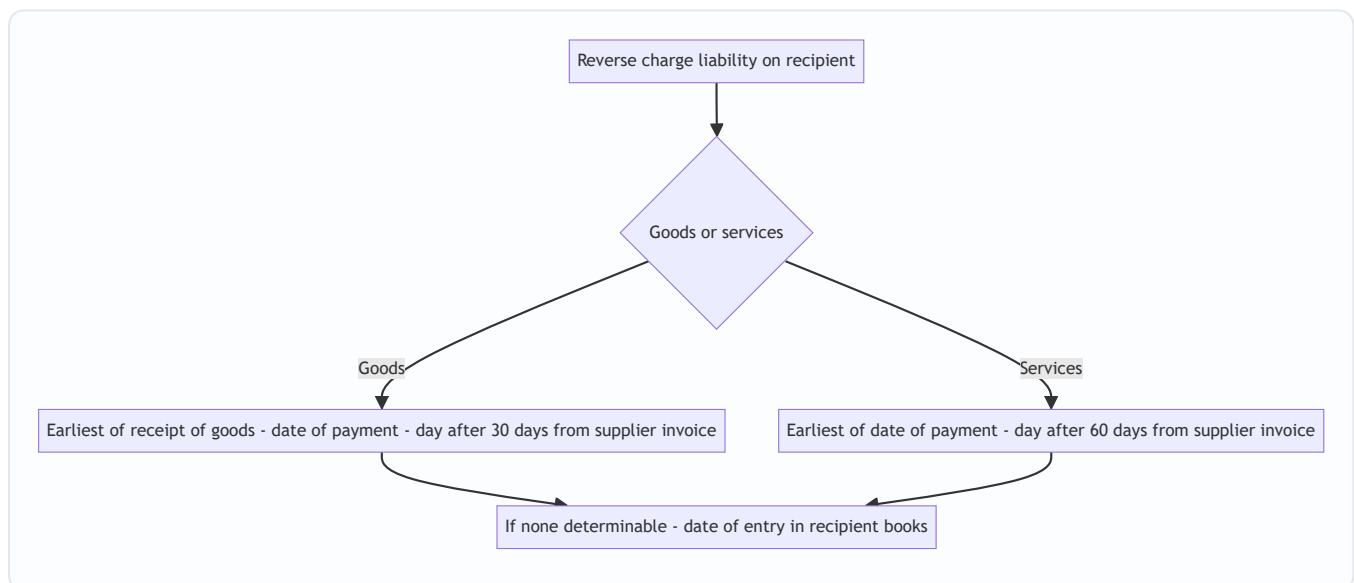


Figure 17.3 — Reverse charge time of supply. Anchored to the recipient's own events because the supplier's invoice is not a reliable marker when the recipient pays the tax.

4.6 Vouchers (Sec 12(4) for goods / 13(4) for services)

A voucher is a **prepaid instrument** — a gift card, a meal coupon. The problem: has a "supply" happened when the voucher is *sold*, or only when it is *redeemed* for actual goods/services? The answer turns on whether we already know *what* will be bought (and hence its tax rate).

Rule: TOS of a voucher = - If the supply is *identifiable* at the time the voucher is issued → date of *issue* of the voucher. - If the supply is NOT identifiable at issue → date of *redemption* of the voucher.

Why? GST needs to know the rate. A single-purpose voucher (e.g. a coupon redeemable only for a specific 18% product) already tells us the rate, so tax it at issue. A general "₹1,000 gift card" usable across a store of mixed-rate goods gives us no rate yet, so we must **wait until redemption** to know what was actually supplied. **Rate-certainty drives the timing** — the same logic as Sec 9 needing a rate.

4.7 Residual rule (Sec 12(5) / 13(5))

Some cases fit none of the above (records missing, unusual facts). The law needs a guaranteed fallback so a supply can never escape a TOS.

Residual TOS = - where a periodical return must be filed → the date on which that return is *due* to be filed; OR - in any other case → the date on which the *tax is paid*.

This is pure gap-filling. It ties TOS to the next hard administrative deadline (the return due date), so there is always a determinable moment.

4.8 Time of supply for interest, late fee, penalty for delayed payment (Sec 12(6) / 13(6))

If a supplier charges **interest / late fee / penalty for delayed payment** of consideration, the TOS of *that extra amount* is the **date the supplier receives it**. Reason: this add-on is contingent and only becomes real when actually collected, so taxing it on receipt matches its nature.

4.9 Change in rate of tax — Sec 14 (overrides Secs 12 & 13)

This is the section examiners love, and it exists for one reason: some supplies **straddle** the moment the rate changes. Three events matter — **(1) supply of goods/service, (2) issue of invoice, (3) receipt of payment** — and the rate change sits somewhere in the middle. Sec 14 gives a clean **"2-out-of-3" majority rule**: look at whether invoice and payment happened *before* or *after* the rate change; whichever period holds the majority (2 of the 3 events) decides the rate.

Sec 14 logic (applies where supply is *before* OR *after* the rate change):

Case A — Supply completed *BEFORE* the rate change:

Invoice	Payment	Time of supply	Rate
After change	After change	earlier of invoice/payment	NEW
Before change	After change	date of invoice	OLD
After change	Before change	date of payment	OLD

Case B — Supply provided *AFTER* the rate change:

Invoice	Payment	Time of supply	Rate
Before change	After change	date of payment	NEW
Before change	Before change	earlier of invoice/payment	OLD
After change	Before change	date of invoice	NEW

The shortcut that makes this memoryless — the "2 of 3" test. Take the three events {supply, invoice, payment}. If **two or more** fall on the *same side* of the rate-change date, that side wins: - Supply before + (any two of the three before) → **old rate**; majority after → **new rate**. - Equivalently: when **supply and one other event** are on the same side, that side's rate applies; when supply is alone, the **invoice-and-payment pair** decides.

You never need the two tables above if you internalise: **the majority of the three events wins, and the "time of supply" is the date of whichever event(s) sit on the winning side.**

Payment-date relief under Sec 14: for the purpose of Sec 14, if payment is credited to the bank account **more than 4 working days after** the rate change, the date of receipt of payment is taken as the **date of bank credit** (not book entry). This narrow proviso stops manipulation of the "book entry" date around a rate change.

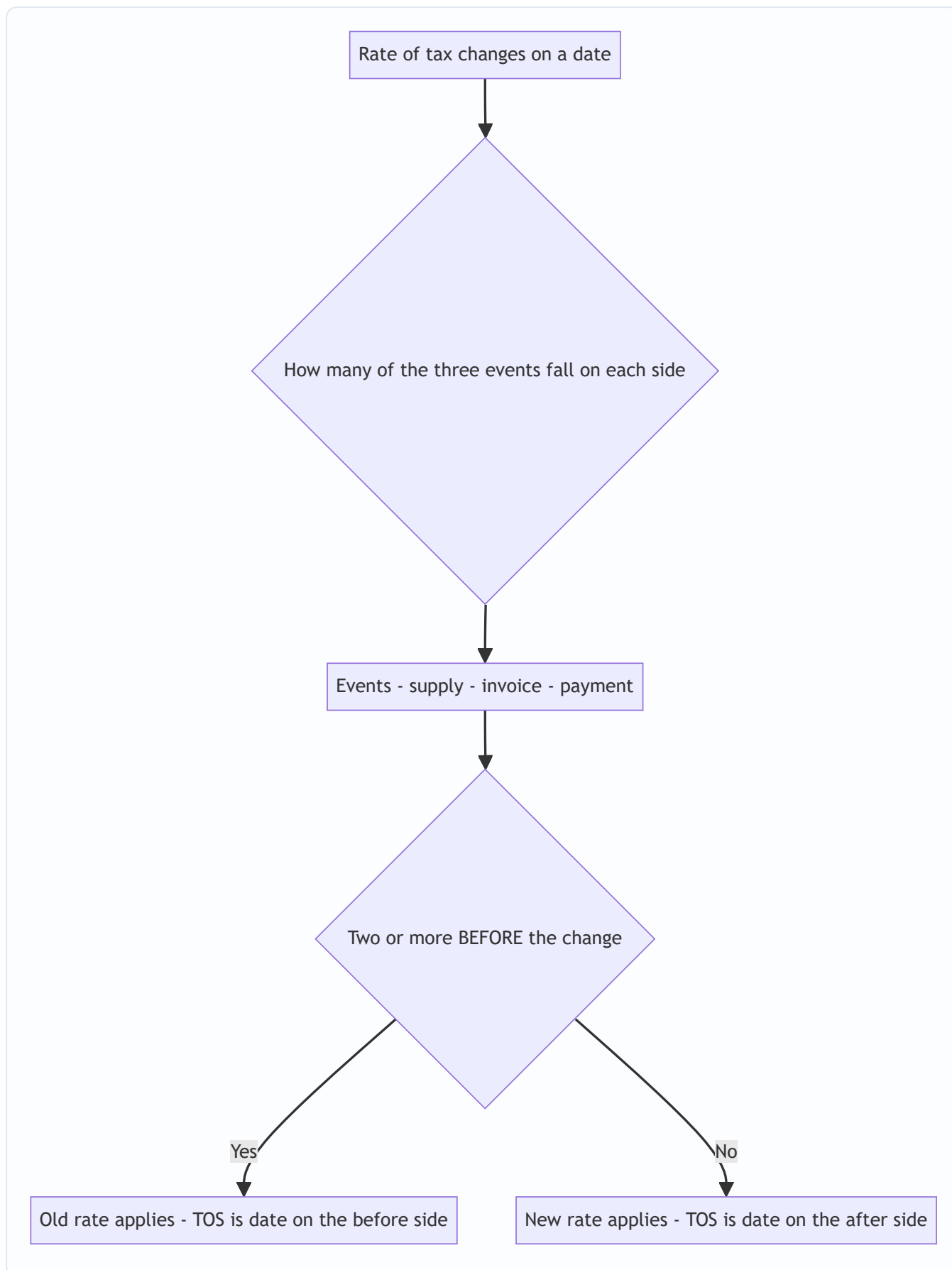


Figure 17.4 — Change in rate of tax under Sec 14. The majority of the three events (supply, invoice, payment) decides the rate and the time of supply.

5. Worked Examples — full, reconciling determinations

Example 1 — Goods, forward charge, late invoice, with an advance

Facts. Rex Ltd manufactures fans (registered, forward charge). For an order: - 5 August — customer pays 30% advance (₹30,000 of ₹1,00,000). - 12 August — goods **removed** from factory for delivery. - 18 August — tax **invoice** issued. - 2 September — balance ₹70,000 received.

Determine the time of supply.

Step 1 — Which rule? Goods, forward charge → **Sec 12(2)**. **Step 2 — Payment trigger?** For goods, the receipt-of-payment trigger is **removed**. So the 5 August advance and the 2 September balance are **both irrelevant** to TOS. **Step 3 — Invoice vs Sec 31 due date.** Movement is involved → invoice due **on/before removal = 12 August**. Actual invoice = 18 August (late). **Step 4 — TOS = earlier of actual invoice (18 Aug) and due date (12 Aug) = 12 August.**

Reconciliation. The whole ₹1,00,000 is taxed with TOS 12 August (August return). The late invoice did not defer tax; the advance did not accelerate it. Both design instincts visible in one example.

Example 2 — Services, forward charge, advance received, invoice within window

Facts. Vega Consultants (registered) render advisory services. - 10 June — client pays ₹40,000 advance. - 28 June — service **completed**. - 5 July — **invoice** for full ₹1,50,000 issued. - 20 July — balance ₹1,10,000 received.

Determine the time(s) of supply.

Step 1 — Rule. Services, forward charge → **Sec 13(2)**. Payment trigger is **live**. **Step 2 — Invoice within window?** Service completed 28 June; invoice 5 July → **7 days**, well within 30 days. So use: TOS = **earlier of invoice date and payment date**, applied to each receipt. **Step 3 — The advance (₹40,000).** Earlier of payment (10 June) and invoice (5 July) = **10 June**. So ₹40,000 has **TOS 10 June** (June return). **Step 4 — The balance (₹1,10,000).** Earlier of payment (20 July) and invoice (5 July) = **5 July**. So ₹1,10,000 has **TOS 5 July** (July return).

Reconciliation. Total consideration ₹1,50,000 = ₹40,000 (taxed June) + ₹1,10,000 (taxed July). The advance-on-service was taxed at receipt — the exact opposite of goods in Example 1. Split TOS is normal for services with advances.

Example 3 — Reverse charge on goods

Facts. Orion Ltd buys goods from an unregistered dealer; the supply is under **RCM**. - Supplier's invoice dated 1 October. - Goods **received** by Orion 6 October. - Orion **pays** the supplier 25 October.

Determine the time of supply.

Rule — Sec 12(3): earliest of - receipt of goods = **6 October**; - date of payment = **25 October**; - day after 30 days from invoice = 1 Oct + 30 = 31 Oct → **1 November**.

TOS = earliest = 6 October. Orion accounts for RCM tax in its **October** return. Note TOS is anchored to Orion's events (its receipt of goods), not the supplier's invoice date — because Orion is the one paying the tax.

Example 4 — Reverse charge on services, invoice-plus-60-days backstop bites

Facts. Orion Ltd receives legal services (RCM) from an advocate. - Advocate's invoice dated 1 October. - Orion **pays** on 20 December.

Rule — Sec 13(3): earliest of - date of payment = **20 December**; - day after 60 days from invoice = 1 Oct + 60 = 30 Nov → **1 December**.

TOS = earliest = 1 December. Because Orion delayed payment past the 60-day backstop, the "*invoice + 60 days*" limb fires first. Orion cannot defer RCM tax to December simply by paying late — the backstop pulls TOS into the **December return** period (1 Dec), and interest would run if reported later. Anti-manipulation instinct again.

Example 5 — Change in rate of tax (Sec 14)

Facts. GST rate on a service rises from **12% to 18% on 1 September**. For one engagement: - Service **provided**: 20 August (**before** change). - **Invoice** issued: 3 September (**after** change). - **Payment** received: 28 August (**before** change).

Determine TOS and the applicable rate.

Step 1 — Supply is before the change → Case A. Step 2 — 2-of-3 test. Events: supply (20 Aug, before), invoice (3 Sep, after), payment (28 Aug, before). **Two events (supply + payment) are before** the change → **old side wins → OLD rate 12%.** **Step 3 — TOS is the date on the winning (before) side that the table specifies.** Invoice after + payment before → TOS = **date of payment = 28 August**, rate **12%**.

Reconciliation with the table. Case A, "invoice after / payment before" → TOS = payment date, OLD rate. Matches. Had the payment *also* been on 3 September (after), then supply alone would be before, invoice+payment both after → majority after → **18%**, TOS = earlier of invoice/payment = 3 September. The single moving fact (payment side) flips the rate — exactly what Sec 14 is designed to resolve cleanly.

Example 6 — Voucher

Facts. A retail chain sells (a) a coupon redeemable only against a specific 18% branded appliance, issued 10 May, redeemed 2 July; and (b) a generic ₹5,000 store gift card usable on any product, issued 10 May, redeemed 2 July.

- **(a) Single-purpose (supply identifiable at issue):** TOS = **date of issue = 10 May** (rate is already known — 18%).
- **(b) General gift card (supply not identifiable at issue):** TOS = **date of redemption = 2 July** (only then is it known what was bought and at what rate).

Reconciliation. Same two dates, opposite TOS — driven purely by whether the rate was knowable at issue. That is the whole of Sec 12(4)/13(4).

6. Format / Summary Table

Scenario	Section	Time of supply =
Goods — forward charge	12(2)	Date of invoice, or if late/none, Sec 31 due date (removal/delivery). <i>Advance ignored.</i>
Services — forward charge	13(2)	Invoice in 30/45 days → earlier of invoice or payment ; else earlier of provision or payment ; else recipient's book entry. <i>Advance taxed.</i>
Goods — reverse charge	12(3)	Earliest of: receipt of goods / payment / (invoice + 30 days + 1). Else book entry.
Services — reverse charge	13(3)	Earliest of: payment / (invoice + 60 days + 1). Else book entry. Assoc. enterprise (foreign supplier) → earlier of book entry or payment.
Voucher	12(4)/13(4)	Identifiable at issue → issue date ; else redemption date .
Residual	12(5)/13(5)	Return due date; else date tax is paid.
Interest/late fee/penalty	12(6)/13(6)	Date of receipt of that amount.
Change in rate	14	2-of-3 of {supply, invoice, payment} on same side → that side's rate; TOS = date on winning side.

One-line spine: Forward charge on goods watches the invoice; forward charge on services watches invoice-or-payment; reverse charge watches the recipient's own goods-receipt/payment plus an invoice-plus-N-days backstop; rate changes are decided by majority of three events.

7. Connections

- **Sec 9 (Charge) → Sec 12–14 (Time):** Sec 9 says *whether* and *how much*; TOS says *when*, and *when* silently fixes *which rate* (Sec 14).
- **Sec 31 (Tax invoice):** TOS of forward-charge supplies is bolted to the Sec 31 invoice due dates. You cannot solve a TOS problem without knowing Sec 31 — study them together.
- **Sec 13 of IGST Act / place of supply:** *Time* and *place* of supply together decide *which* tax (CGST+SGST vs IGST) applies *when*. TOS fixes the tax period; place of supply fixes the tax's identity.
- **Sec 50 (Interest):** get TOS wrong → wrong return period → interest for delayed payment. TOS errors are expensive.
- **Reverse charge (Sec 9(3)/9(4)):** TOS under RCM (12(3)/13(3)) only matters once you have determined a supply *is* under RCM — link to the RCM chapter.
- **Value of supply (Sec 15):** advances on services are taxed at TOS but the *value* on which tax is computed comes from Sec 15.

8. Traps & Examiner Tricks

1. **Advance on GOODS is NOT taxed; advance on SERVICES IS.** The single most tested distinction. If the question gives an advance on goods, ignore it for TOS; on services, it fixes a TOS.

2. **Late invoice does not defer tax on goods.** TOS drops to the Sec 31 due date (removal/delivery), not the actual invoice date. Students wrongly use the late invoice date.
 3. **RCM services backstop is 60 days, goods is 30 days.** Swapping them is a classic error. Also: the trigger is the day *immediately after* the 30/60 days, i.e. invoice date + N + 1.
 4. **RCM anchors to the recipient's events, not the supplier's invoice date** (except via the +30/+60 backstop). Do not use "date of invoice" as a standalone RCM trigger.
 5. **Sec 14 overrides Secs 12/13.** The instant a question mentions a rate change straddling the supply, abandon the normal rules and run the 2-of-3 test.
 6. **"Receipt of payment" = earlier of book entry or bank credit.** Not just bank credit (except the Sec 14 >4-working-days proviso).
 7. **Voucher timing is about rate-certainty, not about when cash was taken.** Single-purpose = issue; general = redemption.
 8. **Splitting the invoice value across two TOS.** For services with an advance, the advance and the balance can have *different* TOS in *different* months — you must split (Example 2).
 9. **Continuous supply** has its own Sec 31 invoice dates (tied to statements/payments); do not apply the plain 30-day rule.
-

9. First-Principles Recap

Start from nothing and rebuild the chapter:

1. GST taxes a *supply*, but a supply is smeared across many dates. The tax needs **one** date. → *Time of supply exists*.
2. The exchequer wants money early and cannot let taxpayers stall. → **Earliest-of triggers**, capped by a **statutory invoice deadline (Sec 31)**.
3. **Goods** are a visible physical event; the invoice (capped at removal/delivery) is a reliable marker, and taxing advances on goods was a nuisance, so the payment trigger was switched off. → *Goods TOS watches the invoice only*.
4. **Services** are often continuous and invisible; there is no "removal," so the **payment trigger stays live** and a **30/45-day invoice window** is the anti-delay cap. → *Services TOS = earlier of invoice/payment (or provision/payment if invoice is late); advances taxed*.
5. Under **reverse charge** the recipient pays, so the supplier's invoice is not a trustworthy anchor. → *Anchor to the recipient's goods-receipt/payment, with an invoice+30/60-day backstop*.
6. **Vouchers** need a known rate; if the supply is identifiable at issue, tax at issue, else at redemption.
7. Any gap → **residual rule** (return due date / date tax paid).
8. When the **rate changes** mid-transaction, whichever period holds **2 of the 3 events** (supply, invoice, payment) wins the rate, and TOS is the date on that winning side (Sec 14, overriding 12/13).

Every provision in the chapter is one of these eight sentences. You did not memorise; you *derived*.

10. Quick-Revision Sheet

Core moment: TOS = earliest legally-fixed trigger; invoice trigger capped by Sec 31 due date.

Goods — forward (Sec 12(2)): invoice date, else Sec 31 due date (removal / delivery). **Advance IGNORED.**

Services — forward (Sec 13(2)): - Invoice within 30 days (45 = banks/NBFC/insurer) → **earlier of invoice or payment**. - Invoice late → **earlier of provision or payment**. - Else → recipient's book entry. **Advance TAXED.**

Goods — RCM (Sec 12(3)): earliest of — receipt of goods / payment / (invoice +**30** days +1). Else book entry.

Services — RCM (Sec 13(3)): earliest of — payment / (invoice +**60** days +1). Else book entry. Foreign associated enterprise → earlier of book entry or payment.

Voucher (12(4)/13(4)): identifiable at issue → **issue**; else → **redemption**.

Residual (12(5)/13(5)): return due date; else date tax paid.

Interest/late fee/penalty (12(6)/13(6)): date of **receipt**.

Receipt of payment = earlier of book entry or bank credit.

Change in rate (Sec 14) — 2-of-3 rule (overrides 12/13): - Supply **before** change: both invoice+payment after → NEW (earlier of the two); one before → OLD (that date). - Supply **after** change: both invoice+payment before → OLD (earlier of the two); one after → NEW (that date). - Shortcut: majority of {supply, invoice, payment} on one side → that side's rate; TOS = date on winning side. Payment >4 working days after change → use bank-credit date.

Golden asymmetries to never forget: advance on goods = ignored / advance on services = taxed; RCM goods +30 / RCM services +60; single-purpose voucher = issue / general = redemption.

Flag: verify the advance-on-goods exclusion, the current RCM list, and any Sec 14 / e-invoicing amendments in the latest ICAI material for your attempt.

Q&A — Time of Supply

Law flag: All section references are to the **CGST Act, 2017** unless stated; the same rules apply mutatis mutandis to the IGST Act, 2017 via **Sec 20 IGST**. Time of Supply (TOS) fixes the **rate, and the tax-period/return** in which the liability crops up. **Amendment sensitivity:** for **goods under forward charge, Notification 66/2017-CT (dated 15-11-2017) removed GST on advances** — so despite the literal words of Sec 12(2), a normal supplier of goods pays tax on the **invoice/removal date only**, not on advances. Advances **for services remain fully taxable** (Sec 13). Composition dealers are outside 66/2017. Re-verify every figure against the ICAI Study Material / RTP for your attempt. Rate-change questions turn on **Sec 14**.

Section A — Concept Check (short Q&A with section citation)

A1. Why does GST need a "time of supply" at all? GST is a **transaction tax charged period-by-period**. The charging section (Sec 9 CGST / 5 IGST) says tax "shall be levied" but is silent on *when* the liability arises. TOS (**Sec 12 for goods, Sec 13 for services, Sec 14 for rate change**) supplies that missing date — it fixes the **tax period** for GSTR-3B and the **rate** to apply.

A2. State the general TOS for goods under forward charge [Sec 12(2)]. Earlier of (a) **date of issue of invoice** or the **last date on which invoice was required u/s 31(1)**, or (b) **date of receipt of payment**. But by **Notification 66/2017-CT**, clause (b) is switched off for goods — so effectively TOS = **date of invoice / last date to issue it**.

A3. When must an invoice for goods be issued [Sec 31(1)]? Where supply **involves movement** — **before or at the time of removal**. Where there is **no movement** — **before or at delivery / making available** to the recipient. This "last date" is what plugs into Sec 12(2)(a).

A4. State the general TOS for services under forward charge [Sec 13(2)]. - If invoice issued **within** the Sec 31(2) period (normally **30 days, 45 days** for banks/NBFC/insurers): earlier of **invoice date** or **payment date**. - If invoice **not** issued in time: earlier of **date of provision of service** or **payment date**. - If neither works: **date recipient shows receipt in his books**. Note advances for services **are** taxable (no 66/2017 relief).

A5. What is the "date of receipt of payment"? Earlier of (i) **date the payment is entered in the supplier's books** or (ii) **date it is credited to his bank account** [Explanation to Sec 12/13].

A6. Give the reverse-charge TOS for goods [Sec 12(3)]. Earliest of (a) **date of receipt of goods**, (b) **date of payment** (per books or bank debit, earlier), or (c) **date immediately following 30 days from the invoice date**. If none is determinable → **date of entry in the recipient's books**.

A7. Give the reverse-charge TOS for services [Sec 13(3)]. Earlier of (a) **date of payment**, or (b) **date immediately following 60 days from invoice date**. If not determinable → **date of entry in recipient's books**. For an **associated enterprise** where the supplier is **outside India** → earlier of **date of entry in recipient's books** or **date of payment**. (Note **60 days for services vs 30 days for goods**, and receipt-of-goods has **no service equivalent**.)

A8. How is TOS of vouchers determined [Sec 12(4)/13(4)]? If the **supply is identifiable at the time of issue** of the voucher → **date of issue**. Otherwise → **date of redemption**.

A9. What is the residual TOS [Sec 12(5)/13(5)]? Where TOS cannot be fixed by the above: if a **periodical return** is to be filed → **due date of that return**; in any other case → **date of payment of tax**.

A10. TOS for interest, late fee or penalty for delayed payment of consideration [Sec 12(6)/13(6)]? The **date on which the supplier receives** such addition to value. (Only that extra amount, not the whole invoice, is re-timed.)

A11. Under Sec 14, which events decide the rate on a change of tax rate? Three events — (1) **supply**, (2) **invoice**, (3) **receipt of payment**. The **rate is fixed by whichever two of the three fall on the same side** of the rate-change date; TOS is then the earlier of the two "new-side" events (or the single relevant event).

A12. Sec 14 proviso on payment date near a rate change? "Date of receipt of payment" is the **date of credit in the bank account** if such credit is **after four working days** from the date of change in rate of tax (else the normal earlier-of-books/bank rule).

Section B — Graded Computational Problems (full working, self-checked)

B1 (Easy) — Goods, forward charge, advance received [Sec 12(2) + Notn 66/2017]

Supplier removes goods and issues invoice on **10 Aug**. It had received an **advance of ₹50,000 on 2 Aug**; balance paid **20 Aug**. Find TOS.

Answer. For goods under forward charge, **Notification 66/2017-CT** switches off the "receipt of payment" limb. So the advance of 2 Aug is **ignored**. TOS = **date of invoice = 10 Aug** [Sec 12(2)(a)]. *Trap check:* students who apply the literal "earlier of invoice/payment" would wrongly say 2 Aug for the ₹50,000. ✓

B2 (Easy) — Services, forward charge, advance received [Sec 13(2)]

A consultant provides service and issues invoice **12 Sep** (within 30 days of completion **5 Sep**). He received an **advance ₹20,000 on 1 Sep**; balance ₹80,000 on **15 Sep**. Find TOS.

Answer. Services have **no 66/2017 relief**, so advances are taxable. - On ₹20,000 advance: earlier of invoice (12 Sep) or payment (1 Sep) → **1 Sep** [Sec 13(2)(a)]. - On ₹80,000 balance: earlier of invoice (12 Sep) or payment (15 Sep) → **12 Sep**. TOS: **₹20,000 → 1 Sep; ₹80,000 → 12 Sep**. ✓

B3 (Moderate) — Services, invoice issued late [Sec 13(2)(b)]

Service completed **5 June**; invoice issued **20 July** (i.e. **beyond 30 days**). Full payment received **25 July**. Find TOS.

Answer. Since invoice was **not issued within 30 days**, limb (a) fails and limb (b) applies: earlier of **date of provision of service (5 June)** or **payment (25 July)** → **5 June** [Sec 13(2)(b)]. *Reason:* late invoicing cannot be rewarded with a later TOS. ✓

B4 (Moderate) — Reverse charge on goods [Sec 12(3)]

Registered recipient buys goods under RCM. Invoice by supplier **1 Oct**; goods received **20 Oct**; payment made **5 Nov**. Find TOS.

Answer. Earliest of: - (a) receipt of goods = **20 Oct** - (b) payment = **5 Nov** - (c) 30 days after invoice = 1 Oct + 30 = **31 Oct** Earliest = **20 Oct** [Sec 12(3)]. ✓

B5 (Moderate) — Reverse charge on goods, all dates late [Sec 12(3)(c)]

Under RCM for goods: invoice **1 Oct**; goods received **15 Nov**; payment **10 Dec**. Find TOS.

Answer. (a) 15 Nov; (b) 10 Dec; (c) 31 Oct (30 days after 1 Oct). Earliest = **31 Oct** — the "30-days" limb bites because the recipient sat on the goods and payment. [Sec 12(3)(c)] ✓

B6 (Moderate) — Reverse charge on services [Sec 13(3)]

RCM service: supplier's invoice **1 Aug**; payment **20 Sep**. Find TOS.

Answer. Earlier of: - (a) payment = **20 Sep** - (b) 60 days after invoice = 1 Aug + 60 = **30 Sep** Earlier = **20 Sep** [Sec 13(3)]. If payment had instead been on 5 Oct, TOS would be **30 Sep** (the 60-day limb). ✓

B7 (Moderate) — Import of service from associated enterprise [Sec 13(3) proviso]

Indian Co. receives service from its **foreign associated enterprise**. Entry in recipient's books **10 May**; payment **25 August**. Find TOS.

Answer. For associated enterprise with supplier **outside India**, TOS = earlier of **date of entry in books (10 May)** or **payment (25 Aug)** → **10 May**. The 60-day rule does **not** apply to associated enterprises. ✓

B8 (Moderate) — Vouchers [Sec 12(4)/13(4)]

(i) A retailer issues a **₹1,000 gift voucher redeemable only against a specific TV model** on **1 Jan**, redeemed **10 Feb**. (ii) A departmental store issues a **₹1,000 general voucher** on **1 Jan** usable against anything, redeemed **10 Feb**. Find TOS in each.

Answer. - (i) Supply **identifiable at issue** (specific TV) → TOS = **date of issue = 1 Jan**. - (ii) Supply **not identifiable at issue** → TOS = **date of redemption = 10 Feb**. [Sec 12(4)/13(4)] ✓

B9 (Moderate) — Interest for delayed payment [Sec 13(6)]

Invoice value ₹1,00,000 (TOS already fixed at 5 April). Customer pays **60 days late** and, per contract, pays **₹2,000 interest**, received on **20 July**. What is the TOS of the ₹2,000?

Answer. TOS of the interest = **date the supplier receives it = 20 July** [Sec 13(6)]. Only the ₹2,000 addition is re-timed; the ₹1,00,000 keeps its 5 April TOS. ✓

B10 (Exam-Hard) — Change in rate of tax, full Sec 14 grid

Rate changed from **18% to 12% w.e.f. 1 October**. Examine the following independent cases (payment credited to bank within 4 working days each). State the applicable rate and TOS.

Case	Supply	Invoice	Payment
(a)	25 Sep (before)	5 Oct (after)	8 Oct (after)
(b)	25 Sep (before)	28 Sep (before)	8 Oct (after)
(c)	25 Sep (before)	5 Oct (after)	28 Sep (before)
(d)	5 Oct (after)	28 Sep (before)	25 Sep (before)
(e)	5 Oct (after)	28 Sep (before)	8 Oct (after)
(f)	5 Oct (after)	5 Oct (after)	28 Sep (before)

Answer — rule: the two events on the **same side** as each other decide the rate; TOS = **earlier of the two events falling *after* the rate change** (Sec 14).

Case	Two events deciding	Rate	TOS
(a) supply before; invoice & payment after	invoice + payment (both after)	12% (new)	earlier of 5 Oct & 8 Oct = 5 Oct
(b) supply before; invoice before; payment after	supply + invoice before	18% (old)	28 Sep (invoice)
(c) supply before; payment before; invoice after	supply + payment before	18% (old)	28 Sep (payment)
(d) supply after; invoice & payment before	invoice + payment before	18% (old)	earlier of 28 Sep & 25 Sep = 25 Sep
(e) supply after; invoice before; payment after	supply + payment after	12% (new)	8 Oct (payment)
(f) supply after; payment before; invoice after	supply + invoice after	12% (new)	5 Oct (invoice)

Self-check: whenever **two of {supply, invoice, payment} lie before 1 Oct** → **old 18%**; whenever two lie after → **new 12%**. TOS is always the earlier of the post-change events (or the single decisive one). ✓ [Sec 14]

Decision flow — which TOS rule applies



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Section C — Past-paper-style full questions with model answers

C1. Determine the time of supply in each independent case, citing the section. (ICAI-style, 5 marks)

1. Goods supplied under forward charge; removal **3 May**, invoice **3 May**, advance ₹10,000 received **28 Apr**, balance **10 May**.
2. Service (forward charge); completed **1 Jun**, invoice **2 Jun**, payment **15 Jun**.
3. Goods under RCM; invoice **4 Jul**, goods received **9 Jul**, payment **1 Sep**.
4. Service under RCM; invoice **1 Aug**, payment **20 Nov**.
5. Voucher for a specified spa package, issued **1 Jan**, redeemed **1 Mar**.

Model answer. 1. Forward-charge goods → **Sec 12(2)** with **Notn 66/2017**: advance ignored, TOS = **invoice/removal = 3 May**. 2. Forward-charge service, invoice within 30 days → **Sec 13(2)(a)**: earlier of invoice (2 Jun) or payment (15 Jun) = **2 Jun**. 3. RCM goods → **Sec 12(3)**: earliest of receipt (9 Jul), payment (1 Sep), 30 days after invoice (3 Aug) = **9 Jul**. 4. RCM service → **Sec 13(3)**: earlier of payment (20 Nov) or 60 days after invoice (30 Sep) = **30 Sep**. 5. Voucher, supply identifiable at issue → **Sec 13(4)** = **date of issue = 1 Jan**.

C2. (a) Explain the time-of-supply provisions on change in rate of tax and (b) apply to the given facts. (7 marks)

Rate rises **12% → 18% w.e.f. 1 Sept**. A works-contract **service** was **provided on 28 Aug** (before). Invoice issued **10 Sept**; payment received **5 Sept**. State rate, TOS and reasoning. (Payment credited within 4 working days.)

Model answer. (a) Sec 14 governs supplies straddling a rate change. Where the **supply is before** the change: (i) invoice & payment both after → new rate, TOS = earlier of the two; (ii) invoice before, payment after → old rate (TOS = invoice); (iii) payment before, invoice after → old rate (TOS = payment). Where the **supply is after**: mirror the above with the new rate applying whenever two events fall after. The date of receipt of payment shifts to the bank-credit date only if credited beyond **4 working days** of the change (proviso).

(b) Supply (28 Aug) is **before** 1 Sept; both **invoice (10 Sept) and payment (5 Sept) are after**. Therefore case (i): **new rate 18%** applies, and TOS = **earlier of 10 Sept and 5 Sept = 5 Sept** [Sec 14(a)(i)]. ✓

C3. State, with reasons, the last date for issuing a tax invoice and its impact on TOS. (4 marks)

A goods supplier removes goods on **12 March** but issues the invoice only on **20 March**. No advance. What is the TOS?

Model answer. Under **Sec 31(1)(a)**, for a supply involving movement the invoice must be issued **before or at removal — i.e., by 12 March**. Under **Sec 12(2)(a)** TOS is the earlier of the invoice date or the **last date it ought to have been issued**. Since the invoice ought to have been issued by 12 March, TOS = **12 March**, not the delayed 20 March. Late invoicing does not defer the tax. ✓

Section D — MCQs / Case Scenarios (correct option + one-line reasoning)

D1. For goods under forward charge, an advance of ₹1 lakh received before invoice is: (a) taxed on receipt (b) taxed on invoice date (c) exempt (d) taxed on delivery **Answer: (b)** — Notn 66/2017 shifts TOS to the invoice date; advance is not separately taxed. [Sec 12(2)]

D2. RCM on services: invoice 1 Jan, payment 10 May, no other data. TOS is: (a) 1 Jan (b) 10 May (c) 2 Mar (61st day) (d) 31 Dec **Answer: (c) 2 Mar** — earlier of payment (10 May) and **60 days after invoice (2 Mar)** = 2 Mar. [Sec 13(3)]

D3. The "date of receipt of payment" means: (a) bank credit date only (b) books entry date only (c) **earlier of books entry or bank credit** (d) invoice date **Answer: (c)** — Explanation to Sec 12/13. (Sec 14 proviso overrides this near a rate change.)

- D4.** A general-purpose gift card usable at any store, issued 1 Feb, redeemed 20 Feb. TOS: (a) 1 Feb (b) **20 Feb** (c) either (d) exempt **Answer: (b)** — supply not identifiable at issue → date of redemption. [Sec 13(4)]
- D5.** RCM on goods: invoice 5 Apr, received 25 Apr, payment 30 Apr. TOS: (a) **5 May** (b) 25 Apr (c) 30 Apr (d) 5 Apr **Answer: (a) 5 May** — earliest of receipt (25 Apr), payment (30 Apr), **31st day after invoice (5 May)**? Recompute: 5 Apr + 30 days = 5 May; earliest is **25 Apr**. Correct answer is **(b) 25 Apr**. (*Trap: the 30-day limb 5 May is later than actual receipt; always pick the earliest.*) [Sec 12(3)]
- D6.** Rate changes 18%→28% on 1 July. Supply 20 June, invoice 20 June, payment 5 July. Applicable rate: (a) 28% (b) **18%** (c) average (d) nil **Answer: (b) 18%** — supply and invoice both before 1 July (two of three) → old rate, TOS = 20 June. [Sec 14]
- D7.** Interest received for delayed payment of consideration is taxed at TOS = (a) original invoice date (b) **date supplier receives the interest** (c) year-end (d) due date of return **Answer: (b)** — Sec 12(6)/13(6).
- D8.** Residual TOS where a periodical return must be filed is: (a) date of payment of tax (b) **due date of that return** (c) date of supply (d) 30 days from invoice **Answer: (b)** — Sec 12(5)(a)/13(5)(a).
-

Exam pointers / traps recap

- **Goods vs services split:** advances taxable for **services**, not for **goods** (Notn 66/2017) — the single most-tested trap.
- **RCM limbs:** goods use **receipt of goods + 30 days**; services use **60 days** with **no receipt-of-goods** limb.
- **Sec 12(2)(a) "last date u/s 31"** means late invoicing never pushes TOS forward.
- **Sec 14:** always identify the **two events on the same side** first; TOS is the earlier post-change event.
- **Associated enterprise (foreign supplier):** 60-day rule disabled — earlier of books-entry or payment.
- Cite the **CGST Act** section; note IGST supplies borrow these via **Sec 20 IGST**.

Chapter 18 — Value of Supply

Rates / thresholds / amendments flag: This chapter teaches the *logic and mechanism* of valuation under Section 15 of the CGST Act, 2017 and the Chapter IV Valuation Rules (Rules 27–35 of the CGST Rules). The *rules* here are extremely stable, but the specific rates used inside the examples, the notified TCS rate, and any fresh amendments to the Rules must be **verified against current ICAI study material for your attempt**. The framework below is permanent knowledge.

1. The Problem — Why GST cannot just say "tax the price"

GST is an **ad valorem** tax: it is a *percentage of value*, not a flat rupee amount per unit. CGST + SGST at 18% on a ₹1,000 sale is ₹180; the whole revenue of the nation hangs on that word **value**. So the single most dangerous question in the entire GST law is deceptively simple:

Value of *what*, exactly?

If the law naively answered "the price on the invoice," four separate leaks would open up immediately — and each one is a genuine revenue hole, not a technicality:

Problem 1 — Parties can simply write a smaller number. A seller and buyer who are friends, relatives, or two arms of the same company can agree to show ₹100 on the invoice for something worth ₹1,000, settle the real ₹900 in cash or as a "loan," and starve the exchequer. Price is whatever two people *say* it is; the tax base cannot be left to their honesty.

Problem 2 — The "price" is often not the whole consideration. Suppose I sell you a machine for ₹1,00,000 but I also make you pay the ₹5,000 freight, ₹2,000 installation, and a ₹3,000 municipal levy separately. Economically you paid ₹1,10,000 to *get that machine working*. If tax only hit the ₹1,00,000 "price," every seller would unbundle charges into a dozen side-invoices and shrink the taxable base to nothing.

Problem 3 — Sometimes there is no price at all. I give goods to my sister-concern for free (stock transfer to another State), or I barter a designing service for a laptop, or I pay partly in old-gold exchange. There is a *supply* — GST is due — but no clean money price exists to tax. The law still needs a number.

Problem 4 — Subsidies and discounts distort the raw price in opposite directions. A government subsidy can make the sticker price *artificially low* (the supplier's true realisation is higher). A trade discount can make the invoice *artificially high* relative to what the buyer really pays. Tax should follow economic reality, not the raw figure.

The **cascade-killing promise of GST** — tax only on the *value added* at each stage — only works if "value" at each stage is measured honestly and consistently. A wrong value poisons the whole chain, because the buyer's input tax credit (ITC) equals the tax the seller charged on that value. **Get value wrong and you either under-tax the nation or over-credit the buyer.** That is why an entire, carefully lawyered mechanism — Section 15 plus a ladder of fallback Rules — exists purely to pin down one number.

2. The Core Idea

The default value of a supply is the *transaction value* — the actual price paid or payable — but **ONLY** when (a) the two parties are unrelated and (b) the price is the *sole* consideration. The law then surgically adds back things sellers try to strip out of the price (Sec 15(2)) and subtracts things that were never really part of it (Sec 15(3)). If, and only if, the transaction value cannot be trusted or does not exist, the law climbs a fallback ladder of Valuation Rules to *construct* a value.

Three load-bearing ideas fall out of this and organise the whole chapter:

1. **Trust the price by default.** In an arm's-length cash deal, the price two independent parties struck is the fairest measure of value. The law is not paternalistic; it accepts the market. This is the "transaction value" of **Sec 15(1)**.
2. **But police the price.** Because sellers game the raw figure, Sec 15(2) forces certain amounts *in* (inclusions) and Sec 15(3) allows certain amounts *out* (discounts) — each adjustment is a direct answer to Problems 2 and 4 above.
3. **Replace the price only as a last resort.** When trust breaks (related parties — Problem 1) or the price is missing (barter, free supply — Problem 3), Sec 15(4)/(5) hands over to the Valuation Rules, which reconstruct value from open-market prices, cost, or a residual best-judgement method — always the *closest available proxy* for a real arm's-length price.

Everything else is detail hanging off these three hooks.

3. Why It's Built This Way — the design logic behind each lever

Before a single sub-section, understand the *design choices*, because every rule below is one of these in disguise:

Design choice	The problem it solves	How the Act implements it
Accept the actual price by default	Don't second-guess honest markets; keep compliance simple	Transaction value, Sec 15(1)
Two conditions on that default	Price is only trustworthy if arm's-length and cash	"Not related" + "price is sole consideration", Sec 15(1)
Force incidental charges back in	Sellers unbundle to shrink the base (Problem 2)	Inclusions, Sec 15(2)
Add non-GST taxes/levies to value	Otherwise base excludes real cost borne	Sec 15(2)(a)
Add third-party payments the buyer owed the supplier	Consideration routed around the invoice	Sec 15(2)(b)
Add interest, late fee, penalty for delayed payment	These are part of the real price of credit	Sec 15(2)(d)
Add non-refundable subsidies	Subsidy props up a low sticker price (Problem 4)	Sec 15(2)(e)
Allow only <i>disclosed</i> discounts out	Discounts are real, but fake post-hoc discounts hide value (Problem 4)	Sec 15(3) — pre-supply vs post-supply conditions
Fallback Valuation Rules	No price, or untrustworthy price (Problems 1 & 3)	Sec 15(4)/(5) → Rules 27–35

The elegance to internalise: **Section 15 is a filter, not a formula.** It starts from the invoice price and makes *minimal, targeted* corrections. It never rebuilds value from scratch unless the price itself is disqualified. This "least intervention" philosophy is why GST valuation is far simpler than the old Central Excise valuation regime — and why the exam rewards you for knowing *which lever applies*, not for memorising a mega-formula.

One more foundational note on scope: **GST value under Sec 15 is exclusive of the GST itself.** You compute value first, then apply the rate. CGST, SGST/UTGST, IGST and the Compensation Cess are *not* part of the value (Sec 15(2)(a) deliberately carves them out — see below). Tax is not levied on tax.

4. Full Technical Content — Section 15 and the Valuation Rules, with the "why"

4.1 The charging link — why Sec 15 even exists

Sec 15 does not levy tax; the charging sections (Sec 9 of CGST, Sec 5 of IGST) do. Sec 9(1) says CGST is levied "on the value of supply *determined under Section 15.*" So **Sec 15 is the plug that feeds a number into the charging section.** No value, no charge. This is the mechanical reason the whole chapter matters.

4.2 Sec 15(1) — Transaction value: the default, and its two gatekeeper conditions

Sec 15(1): "The value of a supply of goods or services or both shall be the *transaction value*, which is the *price actually paid or payable* for the said supply of goods or services or both where — (i) the supplier and the recipient of the supply are *not related*, and (ii) the *price is the sole consideration* for the supply."

Unpack the four key phrases:

- **"Price actually paid or payable"** — actual, not notional; and *payable* means an amount owed but not yet paid still counts. You cannot escape value by delaying payment.
- **"Not related"** — because related parties can rig the price (Problem 1). "Related persons" is defined in the **Explanation to Sec 15**: persons are related if they are officers/directors of one another's business, legally recognised partners, employer–employee, one holds $\geq 25\%$ of shares in both / in the other, one controls the other, both are controlled by a third, together they control a third, they are members of the same family, or they are sole agent/distributor of each other. *Persons associated in business where one is the sole agent, sole distributor, or sole concessionaire of the other are deemed related.*
- **"Sole consideration"** — because if the buyer also gives something *other than money* (a barter, an exchange, a free mould), the money price alone understates value (Problem 3 in mild form). If there is additional non-monetary consideration, transaction value under 15(1) may still be used *after adding the money value of that extra consideration* — but if it cannot be so quantified cleanly, you fall to the Rules.

Memory hook — **"R.S." disqualifies the price: Related, or not Sole consideration.** If either is true, Sec 15(1) is off the table and you go to the Rules (via 15(4)).

4.3 Sec 15(2) — Inclusions: what must be ADDED to the transaction value

These are the "add-backs" — amounts sellers try to keep off the taxable price. **Every clause answers "the seller shifted real cost off the invoice; drag it back."** There are five clauses, (a) through (e).

Clause	What is included	The WHY	Watch-out
15(2)(a)	Any taxes, duties, cesses, fees, charges levied under <i>any law other than</i> CGST/SGST/UTGST/IGST/GST-Compensation-Cess Acts, if charged separately by the supplier	These are real amounts the recipient pays to <i>get</i> the supply; only GST itself is excluded (no tax on tax)	Examples included: municipal taxes, TCS under Income-tax Act (<i>see trap 8.6</i>), entertainment tax by local body. GST itself is NOT included.
15(2)(b)	Amount the <i>supplier</i> is liable to pay but which the <i>recipient</i> has paid, and which is not already in the price	Consideration routed around the invoice — the buyer discharged the seller's obligation, so it is part of the real price	e.g. buyer pays a fee the supplier legally owed
15(2)(c)	Incidental expenses — commission, packing, and any amount charged for anything done by the supplier <i>at the time of, or before, delivery</i>	These are costs of <i>making the supply delivery-ready</i> ; unbundling them into side-charges would shrink the base (Problem 2)	Packing, weighing, loading, inspection, testing, design charges before supply
15(2)(d)	Interest, late fee, or penalty for delayed payment of any consideration	The price of credit is part of the price; a buyer who pays late effectively bought on more expensive terms	Time of supply of this interest is <i>when the supplier receives it</i> (Sec 12/13) — it is taxed when actually received, not accrued
15(2)(e)	Subsidies directly linked to the price , EXCLUDING subsidies given by the Central/State Government	A price-linked subsidy from a <i>non-government</i> party props up an artificially low sticker price; the supplier's true realisation includes it	Government subsidies are NOT included — deliberately excluded to avoid taxing public support. Subsidy is added in the hands of the <i>supplier who receives it</i> .

Memory hook for inclusions — "T-P-I-I-S": Taxes (other than GST), Payments made by recipient on supplier's behalf, Incidental expenses, Interest/late fee/penalty, Subsidy (non-government, price-linked).

Two of these repay careful thought:

- **15(2)(a) and the "no tax on tax" principle.** The clause *includes* every other levy but *excludes* GST. This is the statutory expression of the anti-cascade promise: GST is charged on a value that is itself free of GST, but not free of, say, a municipal levy the buyer genuinely paid.
- **15(2)(e) subsidies — direction of the flow matters.** A subsidy is included in the value only if it is (i) *directly linked to the price* and (ii) *not from the government*. A lump-sum or non-price-linked grant is out. A government subsidy is out. The reason: value should reflect what the *supply* is worth to the market; a private party paying part of the price on the buyer's behalf is really topping up the price.

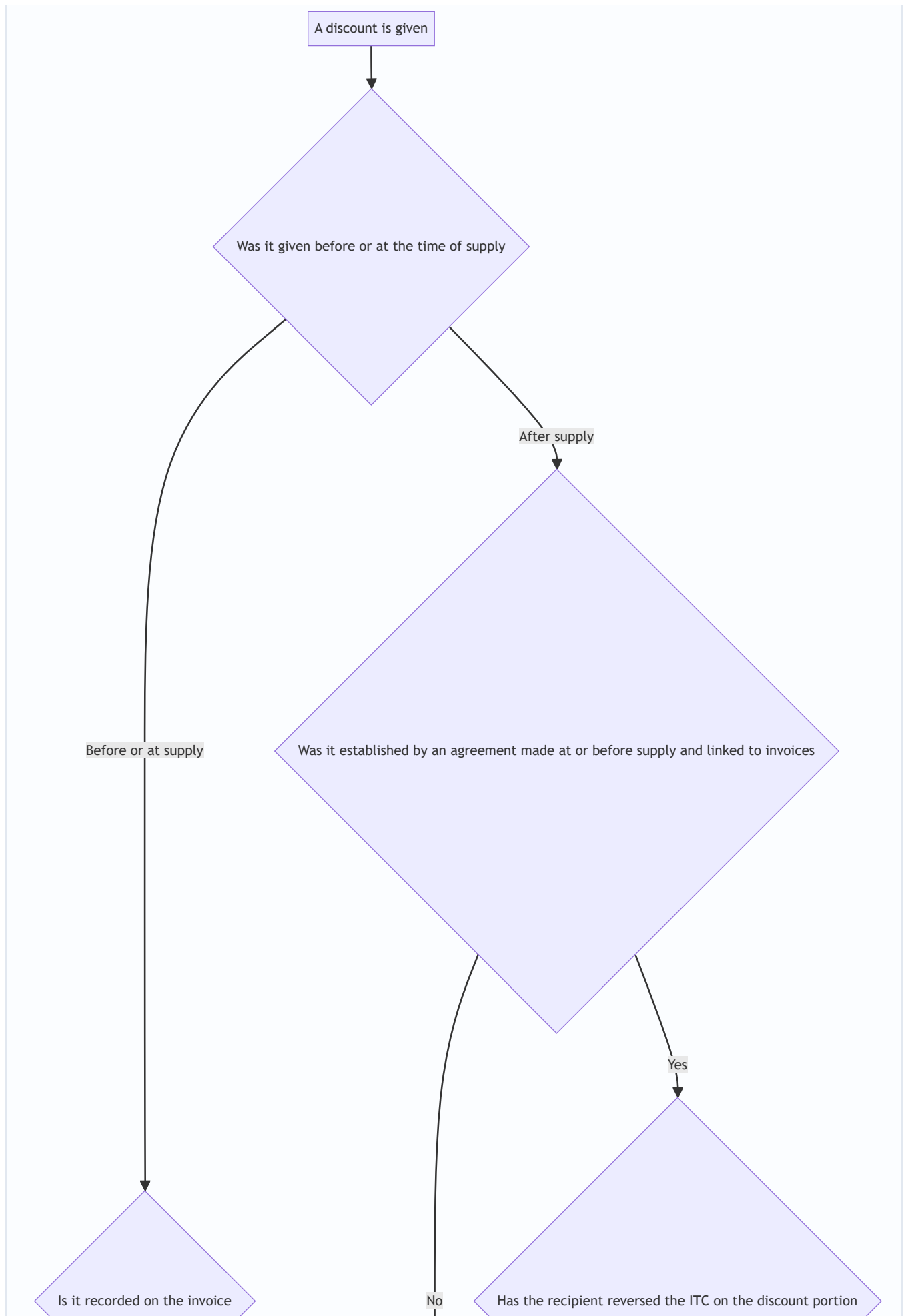
4.4 Sec 15(3) — Exclusions: discounts that come OUT of value

A discount is a genuine reduction in the real price — so it should reduce value. But a fake, undisclosed, after-the-fact "discount" is just a way to hide value (Problem 4). So the law splits discounts by *timing* and imposes conditions on the risky kind.

Discount type	Condition to be deducted (Sec 15(3))	The WHY
Before/at the time of supply — 15(3)(a)	Must be recorded in the invoice	If it's on the face of the invoice, it's transparent and real; no manipulation risk
After the supply — 15(3)(b)	Allowed ONLY if (i) it is established in terms of an <i>agreement entered into at or before the time of supply</i> AND <i>linked to relevant invoices</i> , AND (ii) the ITC attributable to the discount has been reversed by the recipient	Post-supply discounts are the classic dodge. Both conditions plug it: the deal must pre-exist (not invented later), and the buyer must give back the credit he took on the discounted portion (else the chain over-credits)

Why the ITC-reversal condition is non-negotiable. Recall GST's chain: the buyer claimed ITC equal to the tax the seller charged. If the seller later reduces value via a discount (and reduces his output tax by a credit note), but the buyer keeps the *full* ITC, the buyer now holds more credit than tax that exists in the system — a leak. So the law says: you may reduce value post-supply only if the buyer *reverses* the matching ITC. This is a beautiful, self-consistent anti-cascade safeguard.

Trap to bank now: a post-supply discount decided *after* the supply with **no pre-existing agreement** (e.g. a year-end volume bonus dreamt up in March) is **NOT deductible** — value stays gross. Only *pre-agreed* post-supply discounts qualify.



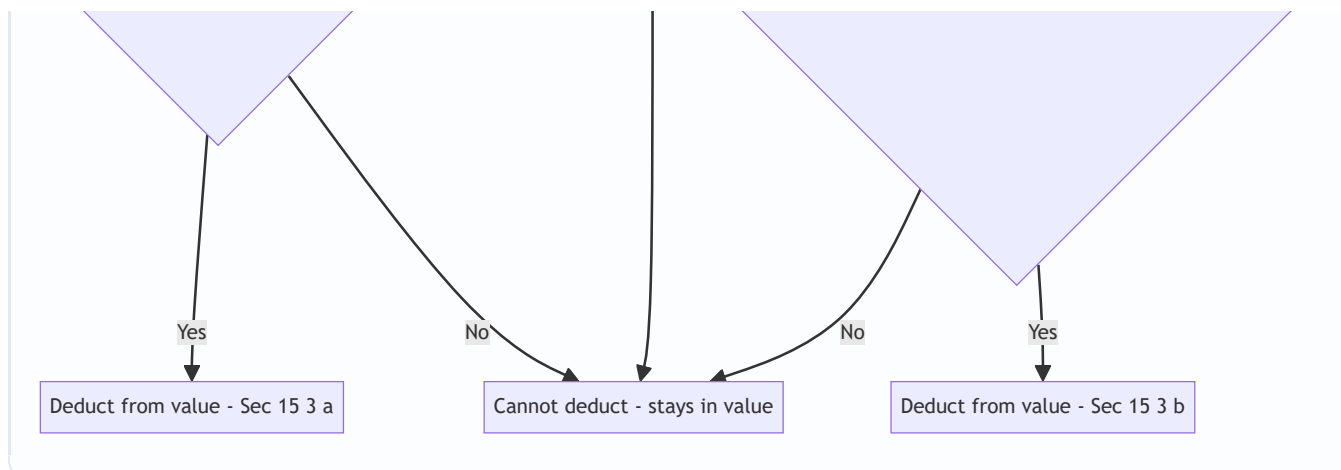


Figure 2 — Discount gate: pre-supply discounts pass if disclosed on the invoice; post-supply discounts pass only through both locks (pre-agreement AND ITC reversal).

4.5 Sec 15(4) & 15(5) — the handover to Rules

Sec 15(4): Where value *cannot be determined* under 15(1) — i.e. parties are related, or price is not the sole consideration — value "shall be determined in such manner as may be prescribed" → the **Valuation Rules (Rules 27–31)**.

Sec 15(5): Notwithstanding 15(1)/(4), the value of *notified* supplies shall be determined as prescribed → special Rules (32–35), covering specific sectors (foreign exchange, air travel agents, life insurance, second-hand goods, tokens/vouchers, pure agents, rate of exchange).

4.6 The Valuation Rules ladder (Rules 27–31) — how value is *constructed* when the price fails

The Rules are a **sequential ladder**: you use Rule 27, and only if it can't apply do you drop to 28, then 29, 30, 31. **The philosophy throughout: find the closest available proxy to a real arm's-length price.**

Rule	Applies when	How value is built	The WHY
Rule 27	Consideration is not wholly in money (barter, exchange)	(a) Open market value (OMV) ; if not available → (b) money consideration + money-equivalent of the non-money part ; if not → (c) value of like kind and quality supply; if not → (d) Rule 30 or 31	Problem 3: no clean price. Start from what the same thing sells for in the open market
Rule 28	Supply between related / distinct persons (not through agent)	(a) OMV ; else (b) value of like kind and quality ; else (c) Rule 30/31. Proviso 1: where recipient is eligible for full ITC , the value declared on the invoice is deemed to be the OMV	Problem 1: price is rigged. But if the buyer gets full ITC, any value is revenue-neutral (tax paid = credit taken), so the law pragmatically accepts the invoice
Rule 29	Supply made through an agent	(a) OMV , OR at supplier's option 90% of the price charged by the recipient-agent to <i>his</i> unrelated customer (for like goods); else (b) Rule 30/31	Agent situations have a natural downstream price to anchor to — the 90% option gives a clean proxy
Rule 30	Value not determinable by 27–29	110% of cost of production / acquisition / provision (cost-plus)	When no market anchor exists, build up from cost + a standard 10% margin
Rule 31	Value not determinable even by 30	Residual / best-judgement — reasonable means consistent with the principles of Sec 15	The final safety net; for <i>services</i> , the supplier may skip Rule 30 and use Rule 31 directly

Memory hook — the ladder "OMV → Like → Cost+10% → Best judgement." OMV is always the first choice in every rule, because it is the truest proxy for an arm's-length price. Cost-plus (Rule 30, 110%) and best-judgement (Rule 31) are only for when no market comparison exists.

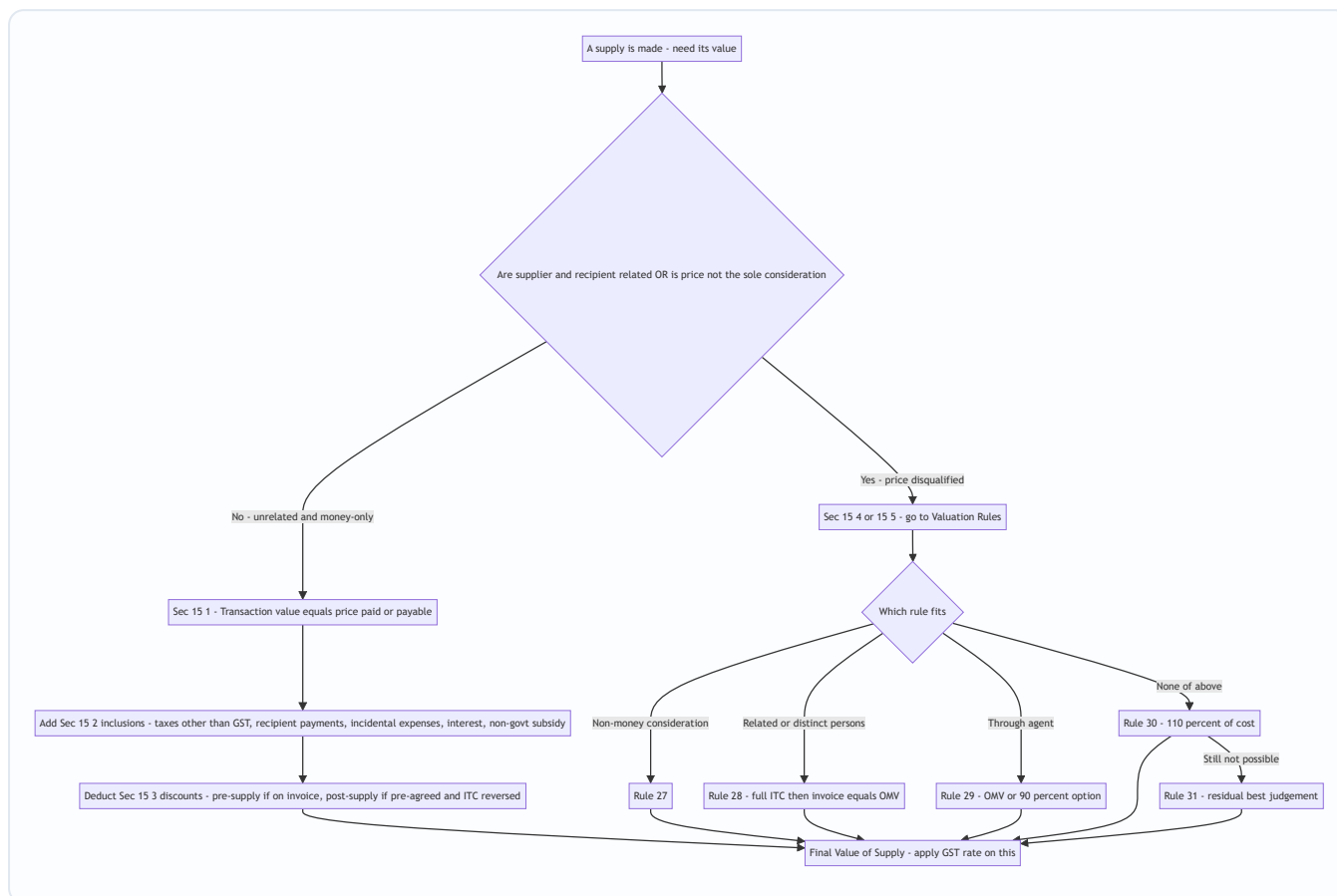


Figure 1 — The valuation decision spine: trust the price (Sec 15) unless it is disqualified, then climb the Rules ladder. Read left path first; the right path is the exception.

4.7 Selected special valuation Rules (Rule 32) — because some sectors have no ordinary "value"

Rule 32 lets certain notified suppliers use a *simplified* value. Know the four exam-favourite ones:

- **Rule 32(2) — Foreign exchange / money changing.** Value = difference between the buying/selling rate and the RBI reference rate × units; or a slab method if no reference rate. *Why: a money-changer's "value added" is the spread, not the face value of currency moved.*
- **Rule 32(3) — Air travel agent.** Value = **5% of basic fare** for domestic, **10%** for international. *Why: the agent's supply is the booking service, proxied as a fixed slice of fare.*
- **Rule 32(4) — Life insurance.** Value = gross premium less the portion allocated to investment/savings (if intimated); or 25% of first-year premium and 12.5% thereafter (for other than pure-risk policies). *Why: only the risk-cover portion is a "service"; the savings portion is not consumption.*
- **Rule 32(5) — Second-hand goods (margin scheme).** Value = **selling price minus purchase price** (the margin), where no ITC was taken on purchase; if negative, ignored. *Why: taxing the full resale price of used goods would double-tax value already taxed when new — the margin scheme taxes only the fresh value the dealer added.*
- **Rule 33 — Pure agent.** Expenses incurred by a supplier as a **pure agent** of the recipient (separately shown) are **excluded** from value. *Why: a pure agent merely passes through third-party costs; those are not his own supply's value.*

4.8 Rule 34 & 35

- **Rule 34 — Rate of exchange** for imports/exports: the notified rate on the date of time of supply.
- **Rule 35 — Value inclusive of tax:** when the price *already includes* GST, extract value by back-calculation:
Value = Tax-inclusive amount × 100 ÷ (100 + GST rate). *The single most common computational sub-step in the exam — commit it.*

5. Worked Examples — every rupee reconciled

All rates below are illustrative; **verify the applicable GST rate for the goods/service in the exam.** I use CGST 9% + SGST 9% (intra-State, 18% total) or IGST 18% (inter-State) unless stated.

Example 1 — The classic "inclusions and discount" build-up (Sec 15(1)+(2)+(3))

Facts. Ashok Ltd. (Maharashtra) supplies a machine to an *unrelated* buyer in Maharashtra. Details:

Particular	Amount (₹)
Basic price of machine	5,00,000
Municipal tax charged separately by supplier	20,000
Packing and forwarding charged separately	15,000
Installation charges (done before delivery)	25,000
Late-payment interest actually received later	8,000
Subsidy received from a private trade body (price-linked)	30,000
Trade discount shown on the invoice	40,000
Weight-based cash discount for early payment, per pre-supply agreement, given after supply (buyer reverses matching ITC)	10,000

GST rate 18% (CGST 9% + SGST 9%). **Compute the value of supply and the tax.**

Reasoning first — apply each lever: - Parties unrelated, price is money → **Sec 15(1) applies**; start at basic price ₹5,00,000. - Municipal tax (non-GST levy, charged separately) → **include, 15(2)(a)** → +20,000. - Packing/forwarding → incidental expense **15(2)(c)** → +15,000. - Installation before delivery → incidental expense **15(2)(c)** → +25,000. - Late-payment interest → **15(2)(d)**, included when received → +8,000. - Private (non-government) price-linked subsidy → **15(2)(e)** → +30,000. - Invoice trade discount → pre-supply, on invoice → **deduct 15(3)(a)** → -40,000. - Post-supply discount, pre-agreed + ITC reversed → **deduct 15(3)(b)** → -10,000.

Computation:

Step	₹
Basic price	5,00,000
Add: Municipal tax 15(2)(a)	20,000
Add: Packing & forwarding 15(2)(c)	15,000
Add: Installation 15(2)(c)	25,000
Add: Late-payment interest 15(2)(d)	8,000
Add: Non-govt price-linked subsidy 15(2)(e)	30,000
Sub-total	5,98,000
Less: Invoice trade discount 15(3)(a)	(40,000)
Less: Pre-agreed post-supply discount 15(3)(b)	(10,000)
Value of Supply	5,48,000
CGST @ 9%	49,320
SGST @ 9%	49,320
Total invoice value	6,46,640

Reconciliation check: $5,98,000 - 50,000 = 5,48,000$. Tax = $5,48,000 \times 18\% = 98,640$, split $49,320 + 49,320$.
Total = $5,48,000 + 98,640 = 6,46,640$. ✓

Note if the facts had said the subsidy was from the State Government: it would be excluded (15(2)(e)), dropping value to 5,18,000.

Example 2 — Price includes GST (Rule 35 back-calculation)

Facts. A retailer sells goods for a *single all-inclusive* price of ₹1,18,000, and the GST rate is 18%. The invoice does not separately show tax. **Find the value of supply and the tax.**

Reasoning. The price already embeds GST, so we must strip it out using **Rule 35**: Value = Tax-inclusive ÷ (1 + rate).

Computation: - Value = $1,18,000 \times 100 \div (100 + 18) = 1,18,000 \div 1.18 = \text{₹}1,00,000$ - GST = $1,18,000 - 1,00,000 = \text{₹}18,000$ (CGST 9,000 + SGST 9,000)

Reconciliation: $1,00,000 + 18,000 = 1,18,000$. ✓ *Common error: applying 18% on 1,18,000 (giving 21,240) — that double-counts tax. The divisor method is mandatory when price is tax-inclusive.*

Example 3 — Related-party / distinct-person supply (Sec 15(4) → Rule 28)

Facts. Surya Ltd. (Gujarat) transfers goods to its own branch in Rajasthan (a *distinct person* under Sec 25). The goods are also sold to independent customers at an **open market value of ₹2,00,000**. Surya declares ₹1,50,000 on the stock-transfer invoice. Consider two scenarios; GST (IGST) 18%.

Scenario A — the Rajasthan branch is NOT eligible for full ITC (it makes some exempt supplies). - Parties are distinct persons → Sec 15(1) fails → **Rule 28**. - Rule 28(a): use **OMV = ₹2,00,000**. - **Value = ₹2,00,000; IGST @18% = ₹36,000.**

Scenario B — the Rajasthan branch IS eligible for FULL ITC. - Rule 28 **first proviso**: where the recipient is eligible for full ITC, the **value declared in the invoice is deemed to be the OMV**. - So the ₹1,50,000 declared value is *accepted*. - **Value = ₹1,50,000; IGST @18% = ₹27,000.**

Why the difference is *not* a loophole. In Scenario B, whatever IGST Surya charges, the branch takes back as ITC — the transaction is **revenue-neutral** to the exchequer. So the law does not waste effort policing the value; it accepts the invoice. In Scenario A, the branch *cannot* fully credit the tax, so an understated value would permanently under-tax the chain — hence OMV is forced. **The ITC position drives the answer.** This is the single most tested nuance in related-party valuation.

Reconciliation: Scenario A: $2,00,000 \times 18\% = 36,000$. ✓ Scenario B: $1,50,000 \times 18\% = 27,000$. ✓

Example 4 — Non-monetary consideration / exchange (Rule 27)

Facts. Mr. Rao supplies a new laptop and, as part payment, takes the customer's *old* laptop valued (money-equivalent) at ₹8,000 plus ₹40,000 cash. The **open market value** of the new laptop (its normal cash selling price) is ₹52,000. GST 18%.

Reasoning. Consideration is *not wholly in money* (part is the old laptop) → Sec 15(1) "sole consideration" condition fails → **Rule 27**. - Rule 27(a): **OMV first** = ₹52,000 (available). - (We do *not* need to fall to (b) money + money-equivalent = $40,000 + 8,000 = 48,000$, because OMV exists and takes priority.) - **Value = ₹52,000; GST @18% = ₹9,360.**

Reconciliation & teaching point: Had the OMV *not* been available, Rule 27(b) would give $40,000 + 8,000 = ₹48,000$. The two answers differ (52,000 vs 48,000) precisely because the ladder is **sequential** — you must justify *why* you are on a given rung. Using 48,000 when OMV is available is a marking error. ✓

Example 5 — Second-hand goods margin scheme (Rule 32(5))

Facts. A used-car dealer buys a second-hand car from an individual for ₹3,00,000 (no GST charged, no ITC taken), spends nothing on it, and resells for ₹3,50,000. GST 18% (assume, for illustration).

Reasoning. Margin scheme applies (no ITC on purchase) → value = **selling – purchase margin** = $3,50,000 - 3,00,000 = ₹50,000$. - **GST @18% on ₹50,000 = ₹9,000.**

Why: the car's value was already taxed when new; taxing the full ₹3,50,000 resale would double-tax. GST hits only the ₹50,000 the dealer added. On a resale at a *loss*, the negative margin is **ignored** — value is nil, no tax. ✓

6. Format / Summary — the one-page valuation worksheet

Use this exact skeleton in the exam for any Sec 15 build-up problem:

Line	Particular	₹
1	Price actually paid or payable (Sec 15(1))	XXX
2	Add — Non-GST taxes, duties, cesses, fees charged separately (15(2)(a))	XXX
3	Add — Amounts supplier liable to pay, but paid by recipient (15(2)(b))	XXX
4	Add — Incidental expenses: commission, packing, pre-delivery charges (15(2)(c))	XXX
5	Add — Interest / late fee / penalty for delayed payment (15(2)(d))	XXX
6	Add — Subsidies price-linked, non-government (15(2)(e))	XXX
7	Less — Discount on invoice, pre/at supply (15(3)(a))	(XXX)
8	Less — Post-supply discount, pre-agreed + ITC reversed (15(3)(b))	(XXX)
9	= VALUE OF SUPPLY	XXX
10	CGST + SGST (intra-State) OR IGST (inter-State) on line 9	XXX
11	Invoice value = line 9 + line 10	XXX

Decision cheat-sheet — which valuation route?

Situation	Route
Unrelated + money only	Sec 15(1) transaction value
Non-monetary / part-exchange	Rule 27 (OMV → money+equivalent → like → 30/31)
Related / distinct persons	Rule 28 (OMV; invoice=OMV if full ITC)
Through agent	Rule 29 (OMV or 90% option)
No anchor available	Rule 30 (110% of cost)
Nothing works	Rule 31 (best judgement)
Price includes GST	Rule 35 divisor: $\times 100 \div (100 + \text{rate})$

7. Connections — where valuation plugs into the rest of GST

- **Charge of tax (Sec 9 CGST / Sec 5 IGST)**: value is the *base* those charging sections multiply by the rate. Valuation feeds the charge.
- **Time of supply (Chapter 17)**: valuation answers *how much*; time of supply answers *when*. Note the crossover: interest/late-fee under 15(2)(d) is valued *and* timed to **receipt** (Sec 12(6)/13(6)).
- **Input Tax Credit**: the recipient's ITC equals the tax on *this* value. This is why Rule 28's "full ITC → invoice = OMV" concession works, and why post-supply discounts (15(3)(b)) demand ITC reversal. Valuation and ITC are two ends of the same rupee.
- **Registration / distinct persons (Sec 25)**: branches in different States are *distinct persons*, so inter-branch stock transfers are supplies needing valuation under Rule 28 — a favourite exam link.
- **Composite & mixed supply (Chapter on Supply)**: valuation applies to the *single* value of a composite supply taxed at the principal-supply rate; you value the bundle, not the parts.

- → **Import valuation (Customs):** IGST on imports is levied on **assessable value + Basic Customs Duty** (a Customs-law valuation), *not* Sec 15 — a deliberate carve-out worth flagging.
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8. Traps & Examiner Tricks

8.1 GST is never part of value. Sec 15(2)(a) includes *other* taxes but explicitly excludes CGST/SGST/UTGST/IGST/Compensation Cess. Students wrongly add back GST. Value is always GST-exclusive; tax sits *on top*.

8.2 Government subsidy vs private subsidy. Only **non-government** price-linked subsidies are included (15(2)(e)). A Central/State Government subsidy is **excluded**. Examiners plant a "subsidy from State Government" precisely to catch the reflex "add all subsidies."

8.3 Post-supply discount without a prior agreement. A discount decided *after* supply with **no pre-existing agreement** is **NOT deductible** (fails 15(3)(b)). Only pre-agreed, invoice-linked, ITC-reversed post-supply discounts come out. Value stays gross otherwise.

8.4 Rule 28 full-ITC proviso. When the related/distinct recipient gets **full ITC**, the *invoice value is accepted as OMV*. Weak students force OMV even here and over-value the supply. The ITC eligibility of the *recipient* is the switch.

8.5 The valuation ladder is sequential, not a menu. You cannot pick Rule 30 (cost+10%) if OMV under Rule 27/28 is available. Always justify *why the higher rung failed* before descending. (See Example 4.)

8.6 TCS under the Income-tax Act. Per CBIC clarification, TCS collected under the Income-tax Act is a *tax on income* not on the goods, and is **not** included in the value of supply — do not treat it like an excise-type levy under 15(2)(a). (*Verify the current clarification position in ICAI material.*)

8.7 Tax-inclusive price. If the price "includes GST," you **must** back-calculate with Rule 35 ($\times 100 \div (100 + \text{rate})$). Applying the rate *on* the inclusive figure double-taxes. (See Example 2.)

8.8 Interest under 15(2)(d) is taxed on receipt. Do not add accrued-but-unreceived delayed-payment interest to value; its time of supply is the date of *receipt*.

8.9 "Free of cost" supplies between unrelated parties. A genuinely free supply to an *unrelated* party (no consideration at all) is generally **not a supply** (outside Schedule I) — no valuation question arises. But the *same* free transfer between *related/distinct persons* **is** a supply (Schedule I) and **must** be valued under Rule 28. Test *relatedness* before valuing.

8.10 Related persons definition. Employer–employee are related — but *gifts up to ₹50,000 per year* by employer to employee are not treated as supply (Schedule I proviso). Also, sole agent/distributor/concessionaire relationships are *deemed* related. Examiners test the edges of the Explanation to Sec 15.

9. First-Principles Recap — rebuild the chapter from one sentence

Start from: **"GST is a percentage of value, so the law must pin down one trustworthy number."**

1. The fairest number is the **price two independent parties actually agreed** → transaction value, **Sec 15(1)**.

2. That price is only trustworthy if the parties are **unrelated** and the price is the **sole consideration** — the two gatekeeper conditions.
3. Because sellers **strip real cost off the invoice**, the law drags it back → **inclusions, Sec 15(2)**: other taxes, recipient-borne payments, incidental expenses, delayed-payment interest, non-government price-linked subsidy.
4. Because **genuine discounts** are real reductions but **fake post-hoc discounts** hide value, the law lets pre-supply invoice discounts out freely and post-supply discounts out only if **pre-agreed and ITC-reversed** → **exclusions, Sec 15(3)**.
5. When the price is **disqualified** (related parties) or **missing** (barter, free supply), the law **constructs** value via a sequential ladder — **Rules 27–31** — always chasing the closest proxy to an arm's-length price: **OMV** → **like-kind** → **cost+10%** → **best judgement**.
6. Special sectors with no ordinary "value" (forex, air agents, insurance, second-hand goods, pure agents) get **simplified Rules 32–33**; a tax-inclusive price is unwound by **Rule 35**.

Everything in the chapter is one of these six moves. If you can regenerate the six, you never need to memorise the sections — they fall out of the logic.

10. Quick-Revision Sheet

Default (Sec 15(1)): Value = transaction value = price paid/payable, **IF** (i) unrelated **AND** (ii) price = sole consideration. Fail either → Rules.

Inclusions — "T-P-I-I-S" (Sec 15(2)): - **T** — taxes/duties/cesses/fees *other than* GST, charged separately (a) - **P** — supplier's liability paid by recipient (b) - **I** — incidental expenses: commission, packing, pre-delivery charges (c) - **I** — interest/late fee/penalty for delayed payment; taxed on **receipt** (d) - **S** — **non-government** price-linked subsidy (e)

Exclusions — discounts (Sec 15(3)): - Pre/at supply → deduct if **on invoice** (a) - Post supply → deduct only if **pre-agreed + invoice-linked + recipient reverses ITC** (b)

Never in value: GST itself; government subsidies; TCS (Income-tax Act); pure-agent pass-through (Rule 33).

Valuation Rules ladder: | Rule | Trigger | Method | |---|---|---| | 27 | Non-money consideration | OMV → money+equiv → like → 30/31 | | 28 | Related/distinct persons | OMV; **full ITC ⇒ invoice = OMV** | | 29 | Through agent | OMV or **90%** of agent's onward price | | 30 | No anchor | **110% of cost** | | 31 | Nothing else | Best judgement (services may use directly) |

Special: 32(3) air agent 5%/10% of basic fare; 32(4) life insurance; 32(5) second-hand **margin scheme** (SP – PP, negative ignored); 33 pure agent excluded; **35 tax-inclusive:** $\times 100 \div (100 + \text{rate})$.

Master switches to check first, every time: 1. Related or distinct persons? → Rule 28 (mind the full-ITC proviso). 2. Consideration not wholly money? → Rule 27. 3. Price already includes GST? → Rule 35 divisor. 4. Any subsidy/discount? → test *government?* and *pre-agreed + ITC-reversed?*

Reminder: verify current GST rates, the notified TCS position, and any fresh amendments to Rules 27–35 against **current ICAI study material for your attempt**.

Q&A — Value of Supply

CGST Act, 2017 (Sec 15) read with CGST Rules, 2017 (Rules 27–35); mirrored in the IGST Act via Sec 20 IGST (Sec 15 applies to IGST). **Rates (18% used throughout), the air-travel percentages (5%/10%), the forex slabs and any monetary limits are amendment/rate-sensitive — confirm the current figures from the ICAI Study Material/RTP for your attempt.** The *structure* (transaction value → inclusions → exclusions → rules) is stable and is what the exam tests.

SECTION A — Concept-Check (Short Q&A)

A1. What is the default measure of value, and what two conditions must hold for it to apply? Sec 15(1) — value is the **transaction value**, i.e. the **price actually paid or payable** for the supply. It applies only when **(i) the supplier and recipient are not related**, and **(ii) the price is the sole consideration**. Fail either test and you drop to the **valuation rules** (Sec 15(4)/(5)).

A2. Why does GST start from "price actually paid or payable" instead of a fixed government price? Because GST is a tax on the *commercial* value of a transaction. A market price set by two independent parties dealing at arm's length is the truest measure of what the supply is worth. The rules exist only as a **fallback** for when that market signal is distorted (relatives, barter, agents, notified sectors).

A3. Is "related person" only about family? No. **Explanation to Sec 15** defines it widely: officers/directors of each other's business, legally recognised partners, employer–employee, a person holding **≥25%** of shares in both, one controlling the other, both controlled by a third, together controlling a third, members of the same family, and **sole agents/distributors**. Persons "**associated in business** such that one is the sole distributor of the other" are deemed related.

A4. List the five inclusions under Sec 15(2) in one line each. (a) **Taxes/duties/cesses** other than CGST/SGST/IGST/Cess, if charged separately; (b) amounts the **supplier is liable to pay but the recipient has incurred** and which are not in the price; (c) **incidental expenses** (packing, commission) and anything done by the supplier **at or before delivery**; (d) **interest, late fee or penalty** for delayed payment of consideration; (e) **subsidies directly linked to the price — excluding** Central/State Government subsidies.

A5. Why are Government subsidies excluded from value but private subsidies included? A subsidy directly linked to price is really part of the consideration — someone is paying it *for* the supply — so a private/third-party subsidy is added. A **Government** subsidy is a welfare transfer, not commercial consideration, and taxing it would mean taxing public money; hence carved out of 15(2)(e).

A6. What are the two discount limbs under Sec 15(3)? (a) Discount given **before or at the time of supply** and **recorded in the invoice** — always deductible. (b) **Post-supply discount** — deductible only if it was **established in an agreement entered into at or before the time of supply**, is **linked to relevant invoices**, and the **recipient reverses the ITC** attributable to it. Miss any of the three and the post-supply discount is **not** deductible.

A7. Why the harsh conditions on post-supply discounts? To stop value being shaved *after* the tax has been charged and credit taken. Without the "pre-agreed + ITC reversal" gate, a supplier could cut value later while the buyer keeps full ITC — breaking the credit chain. The conditions keep output tax and input credit symmetrical.

A8. When do the valuation Rules 27–35 apply? Two gateways: **Sec 15(4)** — value cannot be determined under 15(1) (no monetary price / related parties / price not sole consideration); and **Sec 15(5)** — **notified supplies** whose value is *always* determined by rules regardless of transaction value.

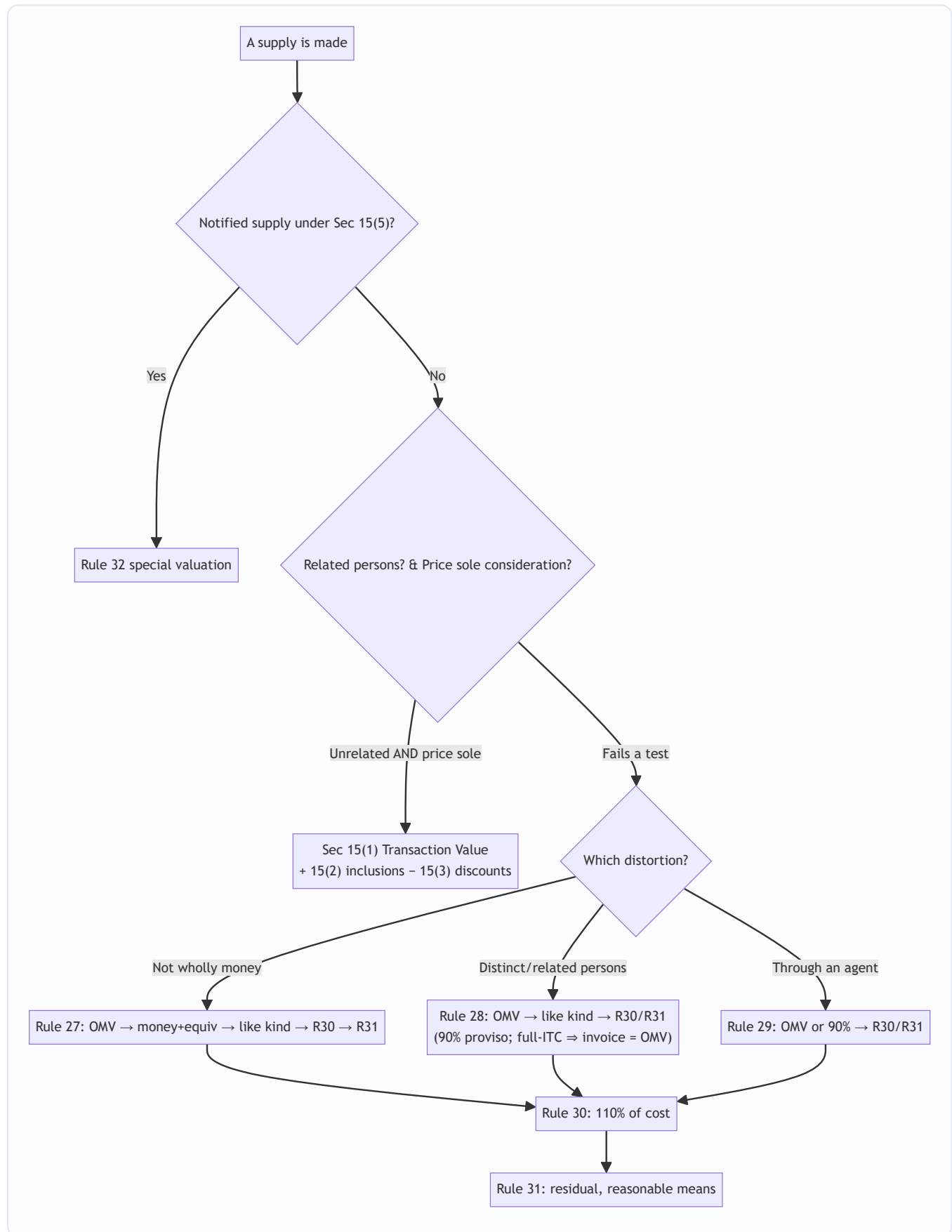
A9. State the rule ladder for "consideration not wholly in money" (Rule 27). In order: (a) **Open Market Value (OMV)**; (b) money + **money-equivalent of the non-monetary consideration**; (c) value of **like kind and quality**; (d) **Rule 30** (110% of cost); (e) **Rule 31** (reasonable means). You descend only when the higher step is unavailable.

A10. What is a "pure agent" and why does Rule 33 matter? A **pure agent** (Rule 33) incurs expenditure on the recipient's behalf, is separately reimbursed at **actual cost**, and holds no title/interest in what is procured. Such reimbursements are **excluded** from value — otherwise you would tax a mere pass-through (e.g. a customs broker paying statutory port fees for the client).

A11. Second-proviso to Rule 28 — the exam's favourite escape hatch. On supplies between **distinct/related persons**, if the **recipient is eligible for full ITC**, the **value declared in the invoice is deemed to be the OMV**. Logic: the tax is fully creditable, so it is revenue-neutral — no incentive to under-value, so no need to police it.

A12. Rule 35 — value when the price already includes GST. Tax = $(\text{value inclusive of tax} \times \text{tax rate}) \div (100 + \text{tax rate})$. It back-calculates the tax out of a tax-inclusive figure (e.g. MRP-based / B2C).

Valuation decision map



SECTION B — Graded Computational Problems

B1 (Easy) — Building the transaction value from Sec 15(2)

X Ltd sells a machine. List price **₹1,00,000**; packing **₹2,000**; installation done before delivery **₹3,000**; municipal cess charged separately **₹1,000**; discount shown on the invoice **₹6,000**. All parties unrelated. Compute value and GST @ 18%.

Item	Sec ref	₹
List price	15(1)	1,00,000
Packing (incidental)	15(2)(c)	+2,000
Installation before delivery	15(2)(c)	+3,000
Municipal cess (not GST)	15(2)(a)	+1,000
Discount on invoice	15(3)(a)	−6,000
Taxable value		1,00,000
CGST 9% + SGST 9%		9,000 + 9,000
Invoice total		1,18,000

Check: $1,00,000 + 2,000 + 3,000 + 1,000 - 6,000 = 1,00,000$. GST 18% = 18,000. ✓

B2 (Easy) — Recipient discharges the supplier's liability

Value agreed **₹50,000**. The supplier is legally liable to pay a freight of **₹4,000**, but the **recipient pays it** and it is **not** included in the ₹50,000. GST @ 18%.

- Sec **15(2)(b)** adds any amount the **supplier was liable** to pay but the **recipient incurred**, if not already in the price.
- Value = $50,000 + 4,000 = \text{₹}54,000$; GST = $54,000 \times 18\% = \text{₹}9,720$. **Check:** the ₹4,000 was the supplier's obligation, so it belongs in his consideration. ✓

B3 (Moderate) — Interest for delayed payment + subsidy

Invoice value **₹2,00,000** (unrelated buyer, GST 18%). Buyer pays 40 days late and is charged **₹5,000 interest**. A **private trade body** pays the seller a **₹10,000 subsidy directly linked to the price**; a **State Government subsidy of ₹15,000** is also received.

Item	Sec ref	₹
Base value	15(1)	2,00,000
Interest for delay	15(2)(d)	+5,000
Private subsidy linked to price	15(2)(e)	+10,000
State Govt subsidy	15(2)(e) proviso	excluded
Taxable value		2,15,000

GST 18% = **₹38,700**. **Check:** $2,00,000 + 5,000 + 10,000 = 2,15,000$; Govt ₹15,000 ignored. ✓ *Note (rate-sensitive treatment):* the interest of ₹5,000 is itself consideration; strictly it can be treated as inclusive of GST and grossed down under Rule 35 — the ICAI SM commonly adds it to value as above unless the question says "inclusive."

B4 (Moderate) — Post-supply discount: the three-gate test

A Ltd supplied goods for **₹5,00,000** (GST 18%). It later grants a **5% turnover discount (₹25,000)**. Two scenarios: - **(i)** The discount was **agreed in writing before supply**, is linked to the specific invoices, and the buyer **reverses the ITC** on ₹25,000 (via credit note). - **(ii)** The discount was a **surprise year-end gesture**, not pre-agreed.

(i) All three conditions of **Sec 15(3)(b)** met → discount **deductible**. Revised value = $5,00,000 - 25,000 = ₹4,75,000$; GST = **₹85,500**. Supplier issues a credit note; buyer reverses ITC of ₹4,500. **(ii)** Not established at/before supply → **not deductible**. Value stays **₹5,00,000**; GST **₹90,000**. Any discount is commercial, given post-tax, with **no tax adjustment**. **Check:** difference in GST = $90,000 - 85,500 = ₹4,500 = 18\% \text{ of } ₹25,000$ — exactly the credit the buyer must reverse in (i). ✓

B5 (Moderate) — Consideration not wholly in money (Rule 27)

A dealer sells a new phone. **OMV of the new phone = ₹20,000**. The customer gives an old phone in exchange (valued ₹5,000) **plus ₹16,000 cash**.

- Price is **not the sole consideration** (part is the old phone) → **Sec 15(4) → Rule 27**.
- **Step (a): OMV is available = ₹20,000** → value = **₹20,000**. GST 18% = **₹3,600**.
- Do **not** use the ₹16,000 cash, nor $₹16,000 + ₹5,000 = ₹21,000$ (that path is only used when OMV is *not* available). **Check:** OMV exists, so we stop at step (a). Value ₹20,000. ✓

B6 (Exam-hard) — Rule 28 with the two provisos

Head Office (Mumbai) transfers goods to its **branch (Pune) — a distinct person** under Sec 25(4). Cost of the goods **₹1,00,000**; **OMV ₹1,20,000**. The Pune branch will **sell them as such** to unrelated customers at **₹1,50,000**.

- Distinct persons → **Sec 15(4) → Rule 28**. Default = **OMV ₹1,20,000**.
- **First proviso (option to supplier):** where goods are for **further supply as such**, value may be taken at **90% of the price charged by the recipient** to its unrelated customer = $90\% \times 1,50,000 = ₹1,35,000$ — *at the supplier's option*.
- **Second proviso (overrides):** if the **recipient branch is eligible for full ITC**, the **value declared in the invoice is deemed the OMV**. So HO may invoice at **any value, say ₹1,00,000, and that is accepted**.

Ranked answer: if full ITC available → invoice value (₹1,00,000) is fine (2nd proviso, revenue-neutral). If not, default OMV ₹1,20,000, or elect 90% = ₹1,35,000. **Check:** three legitimate figures — 1,00,000 (2nd proviso), 1,20,000 (OMV), 1,35,000 (90% option) — each traceable to a limb of Rule 28. ✓

B7 (Exam-hard) — Rule 32(3) Air travel agent + Rule 35 gross-down

An air-travel agent books tickets: **domestic basic fare ₹50,000, international basic fare ₹1,00,000**. Also, a separate B2C service is billed **₹11,800 inclusive of 18% GST**.

- **Rule 32(3)** (at option): value = **5% of basic fare (domestic) + 10% (international)**.

- Domestic: $5\% \times 50,000 = \text{₹}2,500$
- International: $10\% \times 1,00,000 = \text{₹}10,000$
- Deemed value = ₹12,500; GST 18% = ₹2,250.
- **Rule 35** for the inclusive bill: tax = $11,800 \times 18 \div 118 = \text{₹}1,800$; value = ₹10,000. **Check:** $11,800 = 10,000 + 1,800$. ✓ Air-travel value uses **basic fare only** (excludes airport taxes/other charges).

B8 (Exam-hard) — Rule 32(5) Margin scheme (second-hand goods)

A registered dealer in used cars buys a car from an unregistered person for ₹4,00,000, spends ₹20,000 on minor refurbishing (no change in nature), and sells it for ₹4,50,000. No ITC was taken on purchase.

- **Rule 32(5)** margin scheme: value = **selling price – purchase price** (only where no ITC availed).
- Margin = $4,50,000 - 4,00,000 = \text{₹}50,000$ (repair cost is **not** deducted). GST 18% = ₹9,000.
- If margin were negative, it is **ignored** (value taken as nil, no GST). **Check:** the ₹20,000 refurbishing is *not* subtracted — only purchase price is. Margin ₹50,000. ✓

B9 (Exam-hard) — Rule 33 Pure agent exclusion

A Company Secretary firm raises a bill: **professional fee ₹40,000**; **ROC filing fee paid to MCA on client's behalf ₹5,000** (reimbursed at actual, separately shown, firm holds no interest); **out-of-pocket courier ₹2,000** (part of its own service).

Item	Treatment	₹
Professional fee	value	40,000
ROC fee (pure agent, Rule 33)	excluded	0
Courier (own expense)	value 15(2)(c)	2,000
Taxable value		42,000

GST 18% = ₹7,560 (plus the ₹5,000 statutory fee reimbursed separately, no GST). **Check:** the ROC fee satisfies all pure-agent conditions → out; courier is the firm's own incidental cost → in. Value ₹42,000. ✓

SECTION C — Past-Paper-Style Full Questions

C1. "Compute the taxable value" (typical 5-mark)

Q. Superb Motors Ltd (unrelated B2B sale) gives you: ex-factory price ₹6,00,000; installation charges ₹25,000; packing ₹15,000; extended warranty (optional, billed separately) ₹20,000; trade discount shown on invoice ₹30,000; TCS under Income-tax Act ₹4,700; freight (supplier's liability) borne by buyer and not in price ₹10,000. Determine the value and total GST @ 18%.

Model answer. | Item | Sec | ₹ | |---|---|---| | Ex-factory price | 15(1) | 6,00,000 | | Installation | 15(2)(c) | +25,000 | | Packing | 15(2)(c) | +15,000 | | Extended warranty (separate consideration, part of supply value) | 15(2)(c) | +20,000 | | Freight (supplier liable, buyer paid) | 15(2)(b) | +10,000 | | TCS under Income-tax Act | not a value component | 0 | | Trade discount on invoice | 15(3)(a) | –30,000 | | **Taxable value** | | **6,40,000** |

GST 18% = ₹1,15,200 (CGST 57,600 + SGST 57,600). **Reasoning notes:** TCS collected under the Income-tax Act is not consideration for the supply and, per CBIC clarification, is **excluded** from value. Warranty billed

separately is still consideration flowing for the composite supply → included. **Check:** 6,00,000 + 25,000 + 15,000 + 20,000 + 10,000 – 30,000 = 6,40,000. ✓

C2. "Which rule and why" (theory + application, 4-mark)

Q. State, with the governing rule, how value is determined for: (i) supply of goods through a commission agent; (ii) a free-of-cost sample to an unrelated dealer; (iii) forex conversion by a money-changer.

Model answer. (i) **Rule 29** (supply through agent): OMV, **or at the principal's option 90%** of the price charged by the agent to unrelated customers, failing which Rule 30/31. (ii) A **free sample** has **no consideration** — if to an unrelated person it is **not a supply at all** (Schedule I excepted) and the question of value does not arise; if it were a deemed supply (distinct/related), value = **Rule 28 (OMV)**. Note ITC on the inputs would be blocked under Sec 17(5)(h) for gifts/free samples. (iii) **Rule 32(2)** forex: value = **difference between the rate charged and the RBI reference rate × units**; if the RBI rate is unavailable, **1% of the gross INR** exchanged; option 2 offers a slab method (0.25%/etc.). It is a **Sec 15(5) notified** service.

C3. Full valuation with rule ladder (7-mark)

Q. Cost of manufacture of a specialised part = ₹80,000. It is supplied to a **related party**; there is **no OMV** and **no like-kind supply**; the related recipient is **not eligible for full ITC** (exempt output). Determine value; then state how your answer changes if full ITC were available.

Model answer. - Related persons → **Sec 15(4)** → **Rule 28**. OMV unavailable; like-kind unavailable → descend to **Rule 30**. - **Rule 30:** value = **110% of cost of production** = 110% × 80,000 = ₹88,000. GST 18% = ₹15,840. - Rule 31 (residual) is not reached because Rule 30 gives a workable figure. - **If full ITC were available: second proviso to Rule 28** applies — the **invoice value is deemed OMV**, so whatever HO/related supplier declares (e.g. ₹80,000) is accepted; no need for Rule 30. **Check:** 80,000 × 1.10 = 88,000. ✓ The full-ITC route makes valuation revenue-neutral, so the law stops policing it.

SECTION D — MCQs / Case Scenarios

D1. Value is the transaction value under Sec 15(1) only when — (a) parties unrelated; (b) price is sole consideration; (c) both; (d) neither. → **(c)**. Both conditions in Sec 15(1) must hold simultaneously.

D2. A Central Government subsidy of ₹20,000 directly linked to the price of a supply is — (a) added to value; (b) excluded from value; (c) added at 50%; (d) added only if taxable. → **(b)**. Sec 15(2)(e) proviso excludes Government subsidies; only non-Government subsidies are added.

D3. A post-supply discount is deductible from value only if — (a) it is generous; (b) recorded in the invoice; (c) pre-agreed, invoice-linked, and ITC reversed by recipient; (d) approved by GST officer. → **(c)**. The three cumulative gates of Sec 15(3)(b); "recorded in invoice" (option b) is the *pre-supply* limb (a).

D4. Goods exchanged partly for an old article; OMV of the new goods is known. Value is — (a) cash received; (b) cash + value of old article; (c) OMV; (d) 110% of cost. → **(c)**. Rule 27 step (a) — where OMV is available it is used first, before the money-plus-equivalent method.

D5. On a stock transfer to a branch (distinct person) that is **eligible for full ITC**, the value is — (a) OMV only; (b) 110% of cost; (c) the value declared in the invoice; (d) 90% of onward sale. → **(c)**. Second proviso to Rule 28 — full-ITC recipient makes the invoice value the deemed OMV (revenue-neutral).

- D6.** Air-travel agent's deemed value on **domestic** bookings under Rule 32(3) is — (a) 5% of basic fare; (b) 10% of basic fare; (c) 5% of total fare incl. taxes; (d) 18% of commission. → **(a).** 5% of **basic fare** (domestic); 10% for international. (Percentages are rate-sensitive — verify.)
- D7.** A used-goods dealer buys at ₹40,000, sells at ₹38,000, took no ITC. Taxable value under Rule 32(5) is — (a) ₹38,000; (b) ₹2,000; (c) Nil (negative margin ignored); (d) ₹40,000. → **(c).** Margin is negative (–₹2,000); a negative margin is ignored, so value/GST is nil.
- D8.** Price of a supply is **₹1,18,000 inclusive of 18% GST**. The tax component under Rule 35 is — (a) ₹21,240; (b) ₹18,000; (c) ₹1,00,000; (d) ₹18,900. → **(b).** $1,18,000 \times 18 \div 118 = ₹18,000$ (value ₹1,00,000).
- D9.** Reimbursement of statutory fees paid by a customs broker on the importer's behalf, at actual cost, is — (a) always taxable; (b) excluded as pure-agent expense under Rule 33; (c) added under 15(2)(c); (d) added under 15(2)(b). → **(b).** Meets the pure-agent conditions of Rule 33 — a pass-through, excluded from value.
- D10. Case scenario.** HO (Delhi) sends goods to its Chennai branch (distinct person, **not** eligible for full ITC). Cost ₹2,00,000; OMV ₹2,40,000; branch will sell as-such at ₹3,00,000. The **lowest legally permissible** value HO can adopt is — (a) ₹2,00,000; (b) ₹2,40,000; (c) ₹2,70,000; (d) ₹3,00,000. → **(c) ₹2,70,000.** Full-ITC escape (2nd proviso) is unavailable. Options are OMV ₹2,40,000 or 90% of onward price = ₹2,70,000; between the two *available* figures the question's framing (goods for further supply as such, supplier electing the 90% proviso) gives ₹2,70,000. *(If the exam asks simply for the default, it is OMV ₹2,40,000 — read the proviso wording carefully.)*
- D11.** Interest charged for delayed payment of consideration is — (a) excluded from value; (b) included under Sec 15(2)(d); (c) exempt; (d) taxed at 12% flat. → **(b).** Sec 15(2)(d) expressly includes interest, late fee or penalty for delayed payment.
- D12.** The valuation rules (27–35) are triggered by — (a) Sec 15(1); (b) Sec 15(2); (c) Sec 15(3); (d) Sec 15(4) and 15(5). → **(d).** 15(4) (value not determinable under 15(1)) and 15(5) (notified supplies).

One-line traps to carry into the hall

- **OMV first** in Rules 27–29 — don't jump to cost or 90% when OMV exists.
- **Government subsidy out, private subsidy in** (15(2)(e)).
- **Post-supply discount** needs *pre-agreement + invoice link + ITC reversal* — all three.
- **Full ITC** ⇒ **invoice value = OMV** (2nd proviso, Rule 28) — the biggest time-saver.
- **Margin scheme (32(5))**: subtract only **purchase price**, ignore repairs; negative margin ⇒ nil.
- **Air-travel value = % of basic fare only**, not total fare.
- **TCS (Income-tax) is not** part of GST value; **non-GST taxes/cesses are** (15(2)(a)).
- **Rule 35 gross-down** whenever a figure is stated "inclusive of GST."

Chapter 19 — Input Tax Credit (ITC)

Rates / thresholds / amendments flag: This chapter teaches the *logic and machinery* of Input Tax Credit under Sections 16–21 of the CGST Act, 2017 and Rules 36–45 of the CGST Rules, 2017. ITC is the single most litigated and most amended area of GST — the invoice-matching mechanism (Sec 16(2)(aa), Rule 36(4)), the utilisation order (Sec 49, Rule 88A), and the reversal formulae (Rules 42/43) have all been tightened repeatedly. Internalise the *mechanism* here; then **verify the exact current wording, the latest time-limit for a financial year, the common-credit percentages, and any fresh amendments against ICAI study material for your attempt.** The design logic below is permanent.

1. The Problem — Why a tax on a tax destroys an economy

Imagine a simple three-stage chain with a flat 10% tax **charged on the full sale price at every stage**, and no credit for tax already suffered:

Stage	Buys at	Adds value	Sells (pre-tax)	Tax @10%	Price to next buyer
Manufacturer	—	100	100	10	110
Wholesaler	110	40	150	15	165
Retailer	165	35	200	20	220

The consumer pays ₹220. But the *real* value added across the whole chain was only $100 + 40 + 35 = \text{₹}175$. A clean 10% tax on that should have collected **₹17.50**. Instead the exchequer collected $10 + 15 + 20 = \text{₹}45$.

Where did the extra ₹27.50 come from? The wholesaler paid tax on ₹150 — but ₹110 of that ₹150 *already had ₹10 of tax baked into it*. He is being taxed on the manufacturer's tax. The retailer is taxed on both earlier taxes. **Tax is compounding on tax at every handover.** This is **cascading**, or the "tax-on-tax" effect, and it is economically toxic for four reasons:

1. **It punishes specialisation.** The more hands a product passes through, the more layers of tax-on-tax it accumulates. So a firm is pushed to do everything in-house (**vertical integration**) purely to dodge tax layers — a distortion that has nothing to do with efficiency.
2. **It is invisible and regressive.** Nobody can tell how much tax is embedded in the final ₹220. The effective rate is 25.7%, not the advertised 10%.
3. **It kills exports.** You cannot cleanly refund embedded tax you cannot even measure, so domestic taxes get exported inside the price, making Indian goods uncompetitive abroad.
4. **It rewards evasion.** Because each stage's tax is a dead cost to the next buyer, everyone has an incentive to deal off-the-books.

The old Indian indirect-tax system had *exactly* this disease across the Excise–VAT–Service-Tax–CST silos: credit could not flow across the boundaries between them (Central taxes vs State taxes; goods vs services). GST's entire reason for existing is to cure cascading. And the instrument that does the curing is **Input Tax Credit**.

The problem ITC solves, in one line: *make sure that at every stage a business pays tax only on the value IT adds — never again on value (and tax) that earlier stages already bore.*

2. The Core Idea

Input Tax Credit means: the GST a registered person pays on his purchases (inputs, input services, capital goods) is not a cost — it is a *deposit* he can set off against the GST he collects on his sales. He deposits tax to the government on his sales (output tax), takes credit for tax already deposited by his suppliers on his purchases (input tax), and pays the government only the difference — which is exactly the tax on the value HE added.

Re-run the chain above, now *with* full ITC at 10%:

Stage	Output tax on sale	Less: ITC on purchases	Net cash to govt
Manufacturer	$100 \times 10\% = 10$	0	10
Wholesaler	$150 \times 10\% = 15$	10	5
Retailer	$200 \times 10\% = 20$	15	5
Total			20

Total collected = ₹20 = exactly 10% of the final ₹200 value. The consumer bears ₹20 and *only* ₹20. Each business remitted tax purely on its own value-add ($100 \rightarrow ₹10$, $40 \rightarrow ₹5$, $35 \rightarrow ₹3.50$... note the ₹5 and ₹5 net figures equal 10% of 40 and 35 respectively once you strip rounding). **Cascading is gone.** The tax has become a pure Value Added Tax by the mechanism of credit.

Three consequences fall out of this and organise the whole chapter:

1. **ITC makes GST a "credit-invoice" tax.** The invoice is the currency of credit. My purchase invoice is my *claim* on the treasury; my sale invoice is the *source* of my customer's claim. The whole system is a chain of matched invoices.
2. **The chain must be unbroken to work.** If any link fails to actually pay the tax he collected, the government would be crediting money it never received. So ITC is granted *conditionally* — the buyer only gets credit once the seller has genuinely paid. This is the self-policing heart of GST.
3. **Credit is not universal — it follows the tax.** You get credit only for tax on things used *in the course of business to make taxable supplies*. Personal use, exempt supplies, and specifically-blocked items break the "value-add-to-taxable-output" logic, so their credit is denied or apportioned.

Everything in Sections 16–21 is one of these three ideas made precise.

3. Why It's Built This Way — the design logic behind every rule

Before a single sub-section, lock in the design choices. Every technical rule below is one of these in disguise:

Design choice	The problem it solves	How the Act implements it
Credit only what was used for <i>business & taxable</i> output	Personal use / exempt output added no taxable value — crediting it is a giveaway	Sec 16(1) purpose test; Sec 17(1)/(2) apportionment
Credit only when a <i>genuine tax-paid</i> transaction exists	Fake invoices with no real tax paid would drain the treasury	Sec 16(2): invoice + receipt + tax actually paid + return filed
Buyer's credit hinges on the <i>supplier's</i> compliance	Makes every buyer police his own suppliers — self-enforcing	Sec 16(2)(aa) invoice must appear in GSTR-2B; Sec 16(2)(c) tax actually paid
A hard deadline to claim	Books must close; the government cannot leave credit open forever	Sec 16(4) time limit
Pay the supplier within 180 days or reverse	Credit is for tax on a <i>real</i> purchase, not an unpaid paper entry	Sec 16(2) 2nd proviso + Rule 37
Spread capital-goods credit correctly	A machine yields output over years, not instantly	Sec 16 + Rule 43 (and depreciation bar u/s 16(3))
Block credit on items prone to personal use / no clear business nexus	Motor cars, food, club fees etc. blur business vs consumption	Sec 17(5) blocked credits
Reverse credit tied to exempt / non-business use	Restore the "taxable-output-only" principle proportionately	Sec 17(1)/(2) + Rules 42 & 43
Fixed order of credit utilisation	Stop taxpayers hoarding one head's cash while another runs dry	Sec 49(5), Sec 49A/49B, Rule 88A

The elegance to internalise: **ITC is a privilege granted against proof, not a right.** The default is *no credit*; you earn it by satisfying conditions that each guarantee the government isn't refunding tax it never got, or crediting consumption it shouldn't subsidise. Read every rule as "*which leak is this plugging?*" and the section numbers stop being arbitrary.

4. Full Technical Content

4.1 The gateway: Section 16(1) — the *eligibility* / purpose test

"Every registered person shall... be entitled to take credit of input tax charged on any supply of goods or services... which are **used or intended to be used in the course or furtherance of his business...**"

Three gatekeepers hide in this single sentence:

- **Registered person.** An unregistered person or a composition dealer (Sec 10) gets *no* ITC — composition is a flat-rate scheme that trades away credit for simplicity. Credit is a benefit of the regular regime only.
- **Input tax.** Defined in Sec 2(62): the CGST, SGST/UTGST, IGST *charged on any supply to him*, plus IGST on imports and tax paid under reverse charge (RCM). It does **not** include tax paid under composition, nor any tax paid as penalty.

- **Course or furtherance of business + taxable output.** This is the load-bearing nexus. The purchase must feed the making of *taxable* (including zero-rated) supplies. This test is what powers the apportionment of Sec 17 (below).

Memory hook — "R-I-B": Registered person, Input tax, Business (taxable) use. Fail any one and Sec 16(1) shuts the gate before you even reach the conditions.

4.2 The four conditions: Section 16(2) — the *entitlement* test (non-obstante, overriding)

Sec 16(2) opens with "*Notwithstanding anything contained in this section*" — meaning **even if 16(1) is satisfied, NO credit is available unless ALL of the following are met.** These are cumulative, not alternatives.

Condition 1 — Possession of a tax-paying document [Sec 16(2)(a)]. You must hold a valid **tax invoice**, debit note, bill of entry (imports), or ISD invoice. *Why:* the invoice is the primary evidence that tax was charged; no document, no claim. It must contain the prescribed particulars (Rule 36) — at minimum GSTIN of supplier and recipient, invoice number/date, description, value, tax rate and amount.

Condition 1A — Invoice communicated / appears in GSTR-2B [Sec 16(2)(aa)]. The invoice details must have been **furnished by the supplier in his GSTR-1** and **communicated to the recipient** (i.e. it must show up in the auto-generated **GSTR-2B**). *Why:* this is the self-policing masterstroke. Your credit is now mechanically tied to your supplier actually declaring the sale. If he hides the sale, no 2B entry, no credit for you — so *you* will chase him. Rule 36(4) reinforces this: **no credit on any invoice not reflected in GSTR-2B.**

Condition 2 — Receipt of the goods or services [Sec 16(2)(b)]. You must have actually **received** the goods/services. *Why:* credit is for a *real* supply consumed in business, not a paper transaction. - "*Bill-to-ship-to*" *deeming fiction:* if goods are delivered to a third party on the buyer's instruction, the buyer is *deemed* to have received them (so the buyer still gets credit). This mirrors the identical fiction in place-of-supply rules. - Where goods are received in lots/instalments against a single invoice, credit is allowed only on receipt of the **last lot**.

Condition 3 — Tax actually paid to the government [Sec 16(2)(c)]. The tax charged on your invoice must have been **actually paid** to the government by the supplier (in cash or through his own valid ITC). *Why:* this is the ultimate anti-fraud clamp — the government will not credit you money it never received. This condition is what makes buyers vulnerable to defaulting suppliers, and is the single biggest ITC litigation battleground.

Condition 4 — Return furnished [Sec 16(2)(d)]. The recipient must have **filed his return under Sec 39** (GSTR-3B). *Why:* credit is claimed *through* the return; it is not a standalone right you bank unilaterally.

Fifth, cross-cutting condition — pay the supplier within 180 days [2nd proviso to Sec 16(2)] + Rule 37.

If the recipient does not pay the **supplier** the value + tax within **180 days** from the invoice date, the credit already taken must be **added back to output tax liability with interest**. Once payment is eventually made, credit can be **re-availed** (with no time bar under Sec 16(4) for the re-availment). *Why:* ITC is credit for tax on a *genuine, paid-for* purchase. An unpaid invoice is just a bookkeeping entry; letting it fund credit would let related parties raise invoices they never intend to settle. (*This does not apply to supplies taxed under RCM, or where value is deemed supplied without consideration under Schedule I.*)

Memory hook — the "PRTR + 180" ladder: Possession of invoice → Receipt of goods/services → Tax paid to govt (and in 2B) → Return filed → then keep it by **paying within 180 days**.

Purchase with GST charged

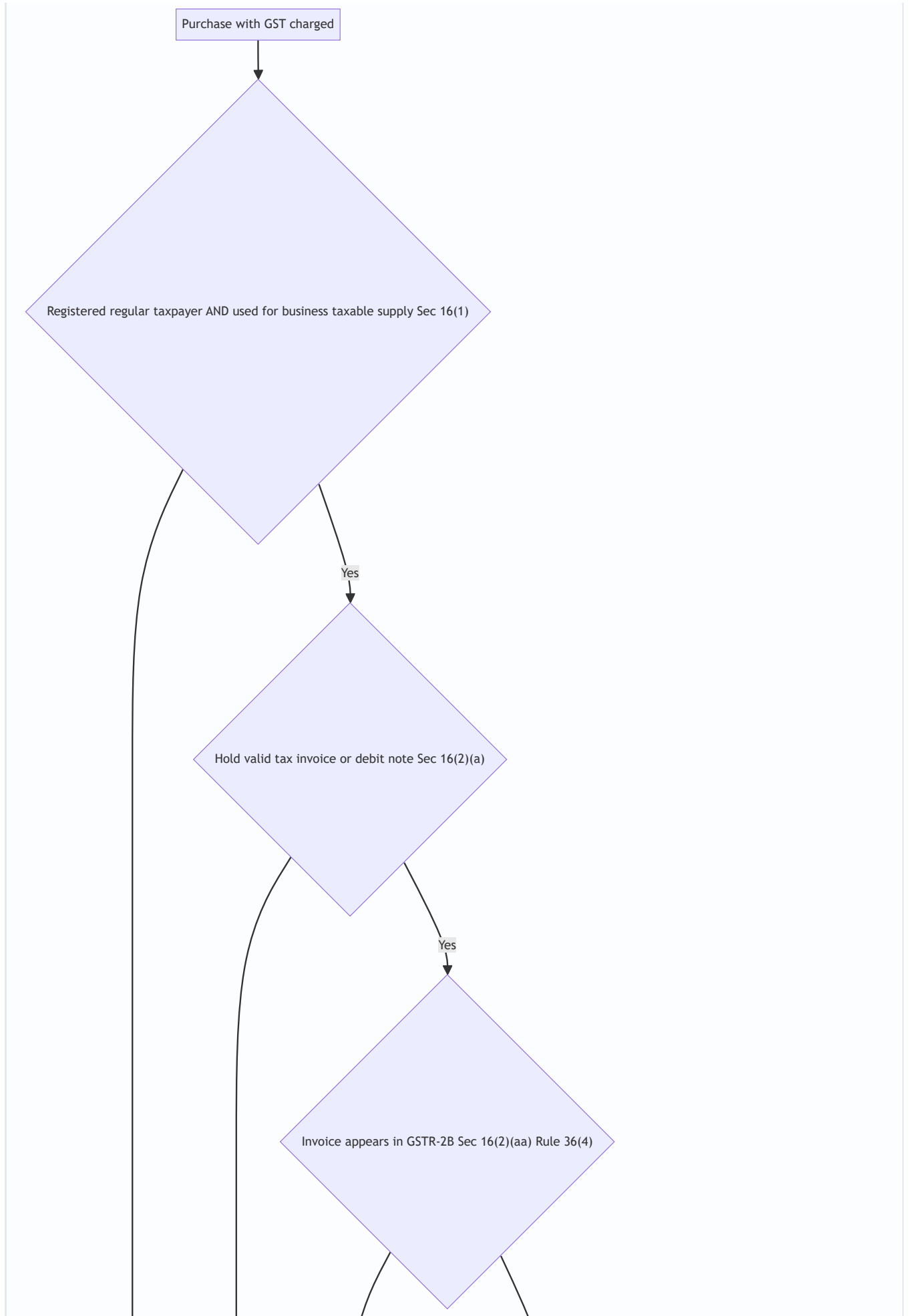
Registered regular taxpayer AND used for business taxable supply Sec 16(1)

Yes

Hold valid tax invoice or debit note Sec 16(2)(a)

Yes

Invoice appears in GSTR-2B Sec 16(2)(aa) Rule 36(4)



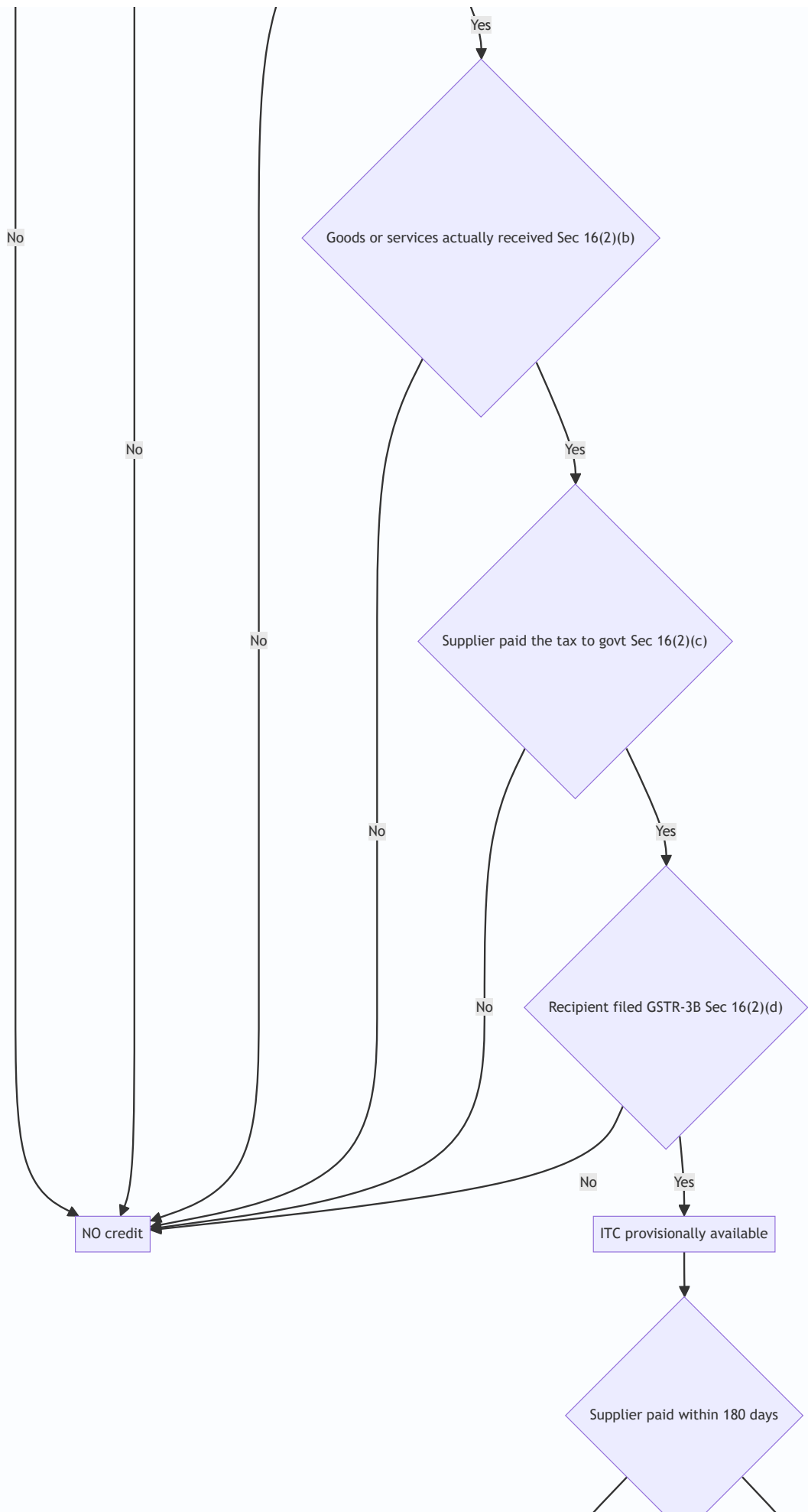


Figure 19.1 — The Section 16 eligibility gauntlet: every gate must pass, in sequence, for credit to survive.

4.3 The hard deadline: Section 16(4) — the time limit

Reverse ITC plus interest Rule 37 re-avail on later payment

ITC retained

ITC on an invoice/debit note for a financial year **cannot be claimed after the earlier of:**

- **30th November** following the end of that financial year, **or**
- the date of filing the **annual return** for that year.

Why: the government's accounts for a year must eventually close. An open-ended claim would make reconciliation impossible and invite backdated fraud. (*The date was liberalised from the old "due date of September return" to 30th November — always confirm the current cut-off for your exam year.*) Note the deadline is keyed to the *invoice's* financial year, not when you happened to receive it.

Memory hook: "By 30-Nov-next or annual return, whichever is earlier — after that, the door is bolted."

4.4 Apportionment & the "taxable-output-only" principle: Section 17(1) & (2)

Sec 16 says credit is for *business + taxable* use. Section 17 handles the messy real world where a purchase is used **partly** outside that pure zone:

- **Sec 17(1):** goods/services used *partly for business and partly for other (non-business/personal) purposes* → credit restricted to the **business portion**.
- **Sec 17(2):** goods/services used *partly for taxable (incl. zero-rated) supplies and partly for exempt supplies* → credit restricted to the portion attributable to **taxable supplies**.

Why: exempt output and personal use never carried output tax against which input tax could set off.

Granting full credit there would refund tax with nothing to net it against — a straight subsidy. So credit is *apportioned*. For this purpose, **exempt supply** (Sec 17(3)) is defined broadly to also drag in supplies taxed under RCM in the recipient's hands, sale of land/completed building, and certain securities transactions — so common credit gets reversed against these too.

Banking/NBFC option [Sec 17(4)]: a bank or NBFC may, instead of the item-wise apportionment, opt to **claim a flat 50%** of eligible ITC each month and forgo the rest — a compliance-simplifying trade-off (the 50% option is irrevocable for the year).

4.5 The mechanical apportionment formulae: Rules 42 & 43

When inputs are *common* to taxable and exempt supplies and cannot be directly attributed, the reversal is computed by formula.

Rule 42 — inputs & input services (monthly). The logic: 1. **T** = total input tax on all inputs/input services in the month. 2. Strip out **T1** (used exclusively for non-business), **T2** (used exclusively for exempt), **T3** (blocked u/s 17(5)) — these get *no* credit, ever. 3. **T4** = credit *exclusively* for taxable/zero-rated supplies → fully allowed. 4. **Common credit C2** = $T - (T1 + T2 + T3) - T4$. 5. Reverse the exempt-attributable slice: **D1** = $C2 \times (E \div F)$, where **E** = exempt turnover, **F** = total turnover. 6. Reverse the non-business slice **D2** = **5% of C2** (a standardised assumption). 7. **Eligible common credit C3** = $C2 - (D1 + D2)$. D1 and D2 are added back to output liability; a final annual true-up is done by 30th November of the next year, with interest if the annual figure exceeds the provisional monthly reversals.

Rule 43 — capital goods (monthly, spread over 60 months). *Why a separate rule:* a machine delivers its usefulness over *years*, so its credit is spread rather than reversed all at once. Common capital-goods credit **A**

is spread as $T_m = A \div 60$ per month (i.e. a useful life of **5 years**), and the exempt portion $T_e = T_m \times (E \div F)$ is reversed each month. Capital goods used exclusively for taxable supplies get full credit; those exclusively for exempt/non-business get none.

Memory hook: Rule 42 = inputs, reverse now, 5% non-business fudge. Rule 43 = capital goods, spread over 60 months.

4.6 Blocked credits: Section 17(5) — the "no credit even if used in business" list

This is the most exam-tested memory list. The unifying *why*: each item is either (a) prone to **personal consumption** masquerading as business, or (b) an end-consumption item where the chain is meant to *stop* (the business is the final consumer). Group them by logic rather than rote:

Clause	Blocked item	The "why"	Key exceptions (credit ALLOWED)
(a),(aa), (ab)	Motor vehicles for passenger transport (seating $\leq$ 13 incl. driver); vessels & aircraft; their insurance/repairs	Cars blur business vs personal use	If used for: (i) further supply of such vehicles (dealer), (ii) passenger transport (taxi/bus operator), (iii) driving training, or goods transport vehicles
(b)	Food & beverages, outdoor catering, health services, club/fitness membership, beauty treatment, health insurance, travel benefits to employees on leave	Classic personal-consumption items	If inward = same category as outward (e.g. a restaurant buying food) OR provision is obligatory under any law for the employer
(c),(d)	Works contract services & goods/services for construction of immovable property (on own account)	The building is final consumption; chain stops	If it's plant & machinery , or the works-contract is an input to <i>further</i> works-contract supply
(e)	Goods/services on which composition tax paid (Sec 10)	Composition dealer charged no creditable tax	—
(f)	Supplies to a non-resident taxable person (except imported goods)	Outside the domestic credit chain	—
(fa)	Goods/services used for CSR activities	Not "in the course of business"	—
(g)	Goods/services for personal consumption	Directly fails the business nexus	—
(h)	Goods lost, stolen, destroyed, written off , or given as gifts/free samples	No taxable output ever resulted	—
(i)	Tax paid after fraud/detention/confiscation (Secs 74, 129, 130)	Won't reward evasion with credit	—

Memory hook — "The consumer's basket." Ask: *would a normal individual enjoy this personally, or does the value chain end here?* Cars, food, gym, cosmetics, a building, gifts, personal goods — all things a consumer enjoys. That's why the credit stops. The exceptions all restore a genuine *business-to-business, chain-continuing* purpose.

4.7 ITC on capital goods — the two special rules

Capital goods (Sec 2(19): goods capitalised in the books, used in business) get **full ITC upfront in the month of receipt** (subject to Sec 16 conditions) — GST does *not* make you spread the credit over the asset's life the way old CENVAT did, *except* under Rule 43 apportionment when the asset is common to taxable + exempt output.

Two capital-goods-specific rules matter:

- **Sec 16(3) — the depreciation bar.** If you claim **depreciation under the Income-tax Act on the tax component** of a capital good's cost, you **cannot** also take ITC on that tax. *Why:* that would be a double benefit — deducting the tax as cost *and* crediting it. Choose one. (Practically: capitalise the asset *net* of GST and claim ITC; do not include GST in the depreciable cost.)
- **Sec 18(6) + Rule 44 — supply of used capital goods.** If you sell/transfer capital goods on which ITC was taken, you must pay the **higher of:** (i) ITC taken *reduced by 5% per quarter (or part)* of use, or (ii) tax on the transaction value. *Why:* claw back the unused portion of credit on an asset leaving the taxable chain, so the remaining life isn't credit-subsidised.

4.8 The credit-utilisation order: Section 49, 49A, 49B & Rule 88A

You hold three separate credit ledgers — **IGST, CGST, SGST/UTGST** — and three output liabilities in the same heads. The law dictates a **strict order** for setting credit against liability. *Why an order at all:* CGST is Centre's revenue, SGST is the State's; IGST is shared. Uncontrolled utilisation would let a taxpayer drain the head that suits his cash flow, distorting the Centre–State settlement. The order protects the revenue-sharing arithmetic.

The rules, in force order:

1. **IGST credit must be exhausted FIRST** (Sec 49A) — before any CGST or SGST credit can be used at all.
2. **IGST credit** is set off against **IGST → then CGST → then SGST/UTGST**, in that order (Rule 88A allows IGST to be used against CGST/SGST in any order *once IGST output is cleared*, but IGST itself must be used before CGST/SGST credit).
3. **CGST credit** → against **CGST first, then IGST**. **CGST can NEVER be used for SGST.**
4. **SGST/UTGST credit** → against **SGST first, then IGST** — *and SGST can be used against IGST only after the CGST credit has been fully used for IGST*. **SGST can NEVER be used for CGST.**

Memory hook — "IGST is the universal donor; CGST and SGST never touch each other." IGST credit can pay any head (like O-negative blood). But the CGST↔SGST wall is absolute — one can never pay the other's liability, because that would silently transfer money between the Centre and a State.

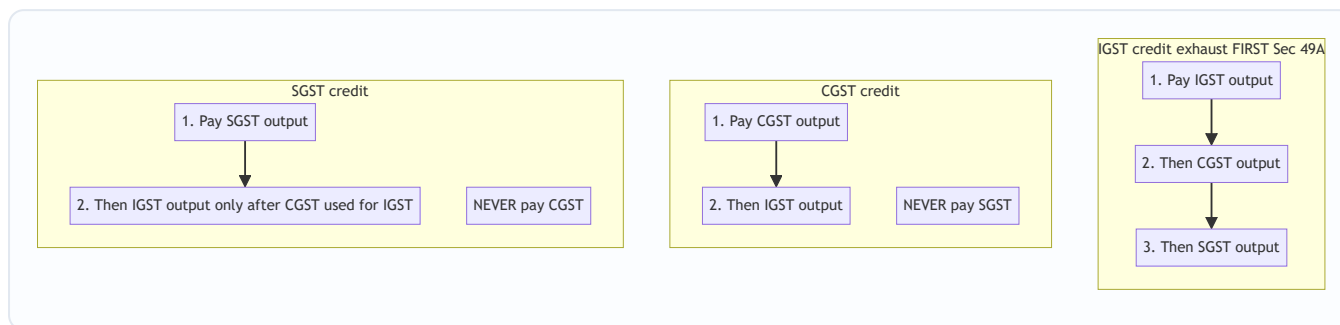


Figure 19.2 — Credit utilisation order: IGST is used up first and can pay anything; CGST and SGST guard the Centre-State wall and can never cross-pay each other.

4.9 Reversal situations — a consolidated map

Credit, once taken, must be **reversed** (added back to output liability, usually with interest) whenever the "tax-on-genuine-taxable-business-use" premise breaks:

Trigger	Provision	Reversal
Non-payment to supplier within 180 days	2nd proviso Sec 16(2) + Rule 37	Full ITC + interest; re-avail on payment
Common inputs used for exempt/non-business	Sec 17(1)/(2) + Rule 42	Proportionate (E/F) + 5%
Common capital goods for exempt/non-business	Rule 43	Proportionate, spread over 60 months
Inputs/CG in stock when switching to composition or when output becomes wholly exempt	Sec 18(4) + Rule 44	Reverse ITC on stock/CG (CG reduced 5% per quarter)
Goods lost, stolen, destroyed, written off, gifted, free samples	Sec 17(5)(h)	Full reversal
Sale/transfer of capital goods on which ITC taken	Sec 18(6) + Rule 44	Higher of (ITC – 5%/quarter) or tax on transaction value
Registration cancelled	Sec 29(5)	Reverse ITC on stock & CG held

4.10 Special-situation credit: Section 18 (entitlement on transitions)

Sec 18 answers "what happens to credit when a taxpayer's status changes?" — symmetrical logic in both directions:

- **Sec 18(1)(a):** person becomes liable to register & registers within 30 days → ITC on **inputs in stock** (and in semi-finished/finished goods) on the day *before* registration liability.
- **Sec 18(1)(b):** voluntary registration → ITC on inputs in stock on day before registration.
- **Sec 18(1)(c):** composition dealer switches to regular scheme → ITC on inputs in stock **and capital goods** (CG reduced by 5% per quarter of prior use).
- **Sec 18(1)(d):** exempt supply becomes taxable → ITC on inputs in stock and CG relatable to that supply.
- **Sec 18(4):** reverse direction — regular → composition, or supplies become wholly exempt → **reverse** ITC on stock & CG.

- **Sec 18(3):** on **sale/merger/transfer of business**, unutilised ITC transfers to the new entity (Form ITC-02).
Why: credit belongs to the business, not the legal shell; it should follow the going concern.

All Sec 18(1) claims require filing **Form ITC-01** within 30 days and carry a **one-year time bar** from the invoice date (credit on stock older than a year is stale).

4.11 Input Service Distributor & job-work (brief, for completeness)

- **ISD (Sec 20):** a head office that receives *common input-service* invoices (e.g. audit fee, software licence for the whole group) distributes that ITC to its branches (having the same PAN) in proportion to turnover, via an **ISD invoice**. *Why:* the credit belongs where the service is *used*, not where the invoice happens to land.
- **Job-work (Sec 19):** a principal sending inputs/CG to a job-worker retains ITC even though the goods left his premises, provided they return within **1 year (inputs) / 3 years (capital goods)**; else it is deemed a supply and tax applies. *Why:* physical movement to a processor isn't consumption — the business nexus continues.

5. Worked Examples

Example 1 — Basic net-liability computation with the utilisation order

Facts. Mehta Traders (regular dealer, Maharashtra) for a month has: - Output tax payable: IGST ₹40,000; CGST ₹30,000; SGST ₹30,000. - ITC available (all conditions of Sec 16 met, invoices in GSTR-2B): IGST ₹50,000; CGST ₹20,000; SGST ₹18,000.

Required. Net GST payable in cash.

Step 1 — Use IGST credit first (Sec 49A). IGST credit = ₹50,000. - Against IGST output ₹40,000 → uses ₹40,000. IGST output now nil. IGST credit left = ₹10,000. - Remaining IGST credit ₹10,000 against CGST output ₹30,000 → uses ₹10,000. CGST output now ₹20,000. IGST credit exhausted.

Step 2 — CGST credit ₹20,000 against remaining CGST output ₹20,000 → uses ₹20,000. CGST output now **nil**. CGST credit exhausted.

Step 3 — SGST credit ₹18,000 against SGST output ₹30,000 → uses ₹18,000. SGST output left = ₹12,000. SGST credit exhausted.

Step 4 — Cash payable.

Head	Output	Credit set off	Cash payable
IGST	40,000	40,000 (IGST)	0
CGST	30,000	10,000 (IGST) + 20,000 (CGST)	0
SGST	30,000	18,000 (SGST)	12,000
Total	1,00,000	88,000	12,000

Reconciliation: Total credit ₹88,000 + cash ₹12,000 = ₹1,00,000 = total output tax. ✓ **Net cash = ₹12,000 (SGST).** Note CGST credit could *not* rescue the SGST shortfall — the wall held.

Example 2 — Eligible-ITC determination with blocked credits (Sec 17(5))

Facts. Surya Manufacturing Ltd (regular, taxable output only) received these inward supplies in a month. Determine **eligible ITC**. (All invoices are in GSTR-2B, tax paid, returns filed.)

#	Inward supply	GST (₹)	Eligible?	Reason
1	Raw material for production	1,80,000	Yes 1,80,000	Direct input, taxable output
2	Machinery (capital goods) for the factory	90,000	Yes 90,000	Capital goods, full upfront credit
3	Car (seating 5) for the MD's use	60,000	No	Sec 17(5)(a) — passenger motor vehicle
4	Outdoor catering for staff annual party	24,000	No	Sec 17(5)(b) — food/catering, not obligatory
5	Works contract for constructing a new office building	1,50,000	No	Sec 17(5)(c)/(d) — construction of immovable property
6	GST on installation of the machinery (contractor)	15,000	Yes 15,000	Installation of plant & machinery — not blocked
7	Audit & consultancy fees	45,000	Yes 45,000	Input service for business
8	Goods destroyed in a minor fire	12,000	No	Sec 17(5)(h) — goods destroyed

Eligible ITC = 1,80,000 + 90,000 + 15,000 + 45,000 = ₹3,30,000. **Blocked/ineligible** = 60,000 + 24,000 + 1,50,000 + 12,000 = ₹2,46,000.

Reconciliation: total input tax on the eight supplies = ₹5,76,000; eligible ₹3,30,000 + blocked ₹2,46,000 = ₹5,76,000. ✓ *Teaching point:* item 6 is a deliberate trap — installation of **plant & machinery** is carved OUT of the construction block, so its credit survives even though item 5 (building works contract) does not.

Example 3 — Rule 42 apportionment of common credit (taxable + exempt output)

Facts. Ganga Enterprises makes both taxable and exempt supplies. For the month: - Total ITC on inputs & input services **T** = ₹5,00,000. - Of this: **T1** (exclusively non-business/personal) = ₹20,000; **T2** (exclusively for exempt supplies) = ₹50,000; **T3** (blocked u/s 17(5)) = ₹30,000. - **T4** (exclusively for taxable/zero-rated supplies) = ₹2,50,000. - Turnover in the month: taxable ₹60,00,000; exempt ₹20,00,000; **total F** = ₹80,00,000; exempt **E** = ₹20,00,000.

Required. Eligible common credit and the reversal.

Step 1 — Common credit C2. $C2 = T - (T1 + T2 + T3) - T4$
 $C2 = 5,00,000 - (20,000 + 50,000 + 30,000) - 2,50,000$
 $C2 = 5,00,000 - 1,00,000 - 2,50,000 = ₹1,50,000.$

Step 2 — Exempt-attributable reversal D1. $D1 = C2 \times (E \div F) = 1,50,000 \times (20,00,000 \div 80,00,000) = 1,50,000 \times 0.25 = ₹37,500.$

Step 3 — Non-business standardised reversal D2. $D2 = 5\% \text{ of } C2 = 5\% \times 1,50,000 = ₹7,500.$

Step 4 — Eligible common credit C3. $C3 = C2 - (D1 + D2) = 1,50,000 - (37,500 + 7,500) = ₹1,05,000.$

Step 5 — Total ITC the assessee may finally take this month. = T4 (exclusive taxable) + C3 (eligible common) = 2,50,000 + 1,05,000 = ₹3,55,000. **Reversed / ineligible** = T1 + T2 + T3 + D1 + D2 = 20,000 +

$50,000 + 30,000 + 37,500 + 7,500 = \text{₹}1,45,000.$

Reconciliation: eligible ₹3,55,000 + ineligible ₹1,45,000 = ₹5,00,000 = T. ✓ (D1 and D2 are added to output liability for the month; an annual true-up follows by 30 November of the next FY, with interest if the yearly ratio makes the reversal larger.)

Example 4 — The 180-day reversal (Sec 16(2) proviso + Rule 37)

Facts. On 10 April, Nova Ltd received goods worth ₹1,00,000 + IGST ₹18,000 and took ITC of ₹18,000 in April's GSTR-3B. By the 180th day ($\approx$ 7 October) it had **not paid the supplier**. Payment was finally made on 20 December.

Consequences. - **On crossing 180 days:** the ₹18,000 ITC must be **added back to output tax liability**, plus **interest** from the date of availing to the date of reversal. Nova's October return therefore shows ₹18,000 extra liability + interest. - **On payment (20 December):** Nova may **re-avail** the ₹18,000. Crucially, this re-availing is **not subject to the Sec 16(4) time bar** — the door reopens once the genuine payment is made.

Teaching point: credit is for tax on a *paid-for* purchase. An unpaid invoice cannot fund credit indefinitely; the 180-day rule enforces that economic reality.

Example 5 — Capital-goods credit vs the depreciation bar (Sec 16(3))

Facts. Tejas Ltd buys a machine: base ₹10,00,000 + CGST ₹90,000 + SGST ₹90,000 (total tax ₹1,80,000). It wants the best treatment.

Option A — take ITC. Capitalise the machine at ₹10,00,000 (net of GST). Claim full ITC of ₹1,80,000 upfront (Sec 16). Depreciation under Income-tax Act is computed on ₹10,00,000 — the tax component is *not* in the depreciable base.

Option B — capitalise gross & claim depreciation on tax. Capitalise at ₹11,80,000 and claim income-tax depreciation on the whole amount. Then, under **Sec 16(3), NO ITC of ₹1,80,000 is allowed** — you cannot double-dip.

Which wins? ITC is a **rupee-for-rupee** set-off against GST liability (worth the full ₹1,80,000 now).

Depreciation only gives a *tax-rate* benefit on the ₹1,80,000, spread over years (e.g. at 15% WDV and a $\sim$ 30% income-tax rate, a fraction of ₹1,80,000 recovered slowly). **Option A (take ITC) is almost always superior.**

This is a favourite exam/interview point: the correct choice is claim ITC, capitalise net of tax.

6. Format / Summary Sheet

Net-liability computation format (per return period):

	IGST	CGST	SGST/UTGST
(A) Output tax payable	xxx	xxx	xxx
(B) Less: ITC utilised			
- IGST credit (first)	(xx)	(xx)	(xx)
- CGST credit	-	(xx)	-
- SGST/UTGST credit	-	-	(xx)
(C) Tax payable in cash = A-B	xxx	xxx	xxx
Add: RCM liability (cash only)	xxx	xxx	xxx
Add: interest / late fee (cash)	xxx	xxx	xxx
= Total to be paid in cash	XXX	XXX	XXX

Rules: IGST credit exhausted first; CGST never pays SGST and vice-versa; RCM is always paid in cash, then credit of it taken separately.

Rule 42 skeleton: $C2 = T - (T1+T2+T3) - T4$; $D1 = C2 \times E/F$; $D2 = 5\% C2$; Eligible = $T4 + (C2 - D1 - D2)$.

7. Connections

- **Ch 13 (Concept & Framework):** ITC is the *reason* GST is a "value-added" tax and the reason for dual-GST + IGST — the IGST mechanism exists precisely so credit flows seamlessly across State borders.
- **Ch 14 (Supply) & Ch 16 (Exemptions):** whether output is a *taxable* supply decides whether the related ITC is fully available (taxable/zero-rated), blocked, or apportioned (exempt). Exemption is a double-edged sword — it breaks the credit chain (Sec 17(2)).
- **Ch 15 (Charge & RCM):** RCM-paid tax is *itself* input tax (Sec 2(62)) — you pay it in cash, then claim ITC of it, subject to Sec 16.
- **Ch 18 (Value of Supply):** the buyer's ITC = the tax the seller charged on the *value*. A wrong value poisons the downstream credit. Value and ITC are two ends of the same invoice.
- **Ch 17 (Time of Supply):** determines *when* output tax arises; Sec 16(2)/(4) determine *when* the matching credit can be taken.
- **Returns (later chapter):** GSTR-1 → GSTR-2B → GSTR-3B is the machinery that operationalises Sec 16(2) (aa) and Rule 36(4).

8. Traps & Examiner Tricks

1. **CGST cannot pay SGST (and vice-versa) — ever.** The commonest computation blunder is netting a CGST credit surplus against an SGST shortfall. Cash still has to be paid.
2. **IGST credit MUST be used before CGST/SGST credit (Sec 49A).** Students often set off CGST/SGST first and leave IGST credit lying — wrong order, wrong answer.
3. **Installation of "plant & machinery" is NOT blocked** even though "construction of a building" is. Read Sec 17(5)(c)/(d) — P&M is carved out.
4. **Motor-vehicle block is only for passenger vehicles seating ≤ 13.** Goods-carriage trucks, dumpers, and vehicles used for taxable transport/dealer/driving-school are fully eligible.

5. **Depreciation on the tax component blocks ITC (Sec 16(3)) — not depreciation on the asset.** You may depreciate the base cost *and* claim ITC; you just can't depreciate the *tax* and claim ITC on it.
 6. **Composition dealers get NO ITC**, and buyers get no ITC on a composition dealer's supply (he charges no creditable tax).
 7. **The 180-day reversal applies to the value + tax owed to the supplier, not to the government.** And it does *not* apply to RCM supplies.
 8. **Sec 16(4) deadline is keyed to the invoice's financial year**, not the year of receipt or of claim — a late-received old invoice can be time-barred.
 9. **"Received" includes bill-to-ship-to deeming** — don't deny the buyer credit merely because goods went to a third-party site on his instruction.
 10. **Exempt supply for Sec 17 is wider than you think** — it drags in RCM-outward supplies, sale of land/building, and securities, forcing common-credit reversal against them.
 11. **Blocked-credit list is exhaustive but its exceptions are the exam** — always check whether the "same-category inward = outward" or "obligatory under law" exception rescues the credit (e.g. a restaurant's food purchases, a cab operator's cars).
 12. **Goods lost/stolen/destroyed/gifted → reverse (Sec 17(5)(h)).** A classic sneak-in line inside an otherwise-eligible list.
-

9. First-Principles Recap

Start from the disease, rebuild the cure:

1. **Cascading** (tax-on-tax) inflates prices invisibly, punishes specialisation, and cripples exports. (*Section 1.*)
2. The cure is to tax **only value added at each stage** — achieved by letting each business **credit the tax on its purchases against the tax on its sales**. That credit is **ITC**. (*Section 2.*)
3. But credit is money out of the treasury, so it is a **conditional privilege, not a right**: you must be a registered regular taxpayer using the input for **business + taxable output** (Sec 16(1)); hold an **invoice** that **appears in GSTR-2B**; have **received** the goods; the **supplier must have paid** the tax; you must have **filed your return** (Sec 16(2)); within the **time limit** (Sec 16(4)); and you must **pay the supplier within 180 days** or reverse.
4. Where use is mixed (personal/exempt), the "taxable-output-only" logic forces **apportionment** (Sec 17(1)/(2), Rules 42/43). Where the item is really **end-consumption** (cars, food, buildings, gifts), credit is **blocked** (Sec 17(5)).
5. To protect the **Centre-State revenue split**, credit is utilised in a **fixed order**: IGST first and universal; **CGST and SGST never cross-pay** (Sec 49/49A, Rule 88A).
6. When the "genuine-taxable-business-use" premise later breaks, credit is **reversed** (Sec 16 proviso, Sec 17, Sec 18(4), Sec 18(6)).

Every section number is just one of these six ideas made precise.

10. Quick-Revision Sheet

Topic	Provision	One-line rule
Eligibility gate	Sec 16(1)	Registered + input tax + business/taxable use
Four conditions	Sec 16(2)(a)-(d)	Invoice · in GSTR-2B (aa) · received · tax paid by supplier · return filed
Match with GSTR-2B	Sec 16(2)(aa), Rule 36(4)	No 2B entry = no credit
180-day rule	2nd proviso 16(2) + Rule 37	Pay supplier ≤180 days else reverse + interest; re-avail on payment
Time limit	Sec 16(4)	Earlier of 30 Nov of next FY or annual return
Depreciation bar	Sec 16(3)	No ITC if depreciation claimed on tax component
Apportionment (business vs other)	Sec 17(1)	Credit only business portion
Apportionment (taxable vs exempt)	Sec 17(2), Rule 42	$C2 = T - (T1 + T2 + T3) - T4$; $D1 = C2 \cdot E/F$; $D2 = 5\%C2$
Capital-goods common credit	Rule 43	Spread over 60 months (5 yrs)
Bank/NBFC option	Sec 17(4)	Flat 50% of eligible ITC
Blocked credits	Sec 17(5)	Cars/food/gym/construction/gifts/lost goods etc.
P&M exception	Sec 17(5)(c)/(d)	Plant & machinery NOT blocked
Utilisation order	Sec 49, 49A, Rule 88A	IGST first & universal; CGST→SGST never cross
Sale of used CG	Sec 18(6), Rule 44	Higher of (ITC – 5%/qtr) or tax on transaction value
Transition-in credit	Sec 18(1), Form ITC-01	Stock/CG credit on registering/switching; 1-yr bar
Transition-out reversal	Sec 18(4)	Reverse stock/CG credit on going composition/exempt
Transfer of business	Sec 18(3), Form ITC-02	Unutilised ITC follows the going concern
ISD	Sec 20	Distribute common input-service credit by turnover
Job-work	Sec 19	Retain ITC if goods return in 1 yr (inputs)/3 yrs (CG)

One-breath summary: ITC turns purchase-tax into a set-off so each business is taxed only on its own value-add. Earn it by satisfying Sec 16's PRTR conditions within time; keep the input for taxable business use or face Sec 17 apportionment / blocking; utilise it IGST-first without ever crossing the CGST–SGST wall; and reverse it whenever the genuine-taxable-use premise breaks.

Final reminder: confirm the current Sec 16(4) cut-off date, Rule 36(4) matching wording, the Sec 49 utilisation nuances (Rule 88A/88B), and the exact Sec 17(5) list and exceptions against the latest ICAI material for your attempt — these are amended more often than any other GST topic.

Q&A — Input Tax Credit (ITC)

Acts: **CGST Act, 2017** and **IGST Act, 2017** (sections cited as "Sec"). Rules = CGST Rules, 2017.

Amendment-sensitive items are flagged with Δ — verify against the current Finance Act / notifications before the exam.

SECTION A — Concept-Check (short answers)

A1. What "disease" does ITC cure, in one line? Ans. *Cascading* — tax charged on a value that already includes tax at an earlier stage. ITC lets each supplier pay tax only on the **value he adds**, by setting off tax already paid on inward supplies (the "deposit / set-off" logic of **Sec 16(1)**).

A2. Is ITC a right or a concession? Ans. A **conditional statutory entitlement** — available only if every gate in **Sec 16** and every rule (17, 18, Rules 36/37/42/43) is satisfied. Courts treat it as a concession, so conditions are construed strictly.

A3. List the four cumulative conditions of Sec 16(2). Ans. (a) possession of a **tax invoice / debit note**; (aa) the supplier has **furnished the invoice in GSTR-1** and it is **communicated in GSTR-2B**; (b) **receipt** of goods/services (incl. "bill-to-ship-to" deemed receipt); (c) **tax actually paid** to Government by supplier; (d) recipient has **furnished the return u/s 39**. Δ Clause (ba) (Finance Act 2022) adds that the credit must **not be restricted** in GSTR-2B u/s 38.

A4. State the 180-day rule and its consequence. Ans. **2nd proviso to Sec 16(2) r/w Rule 37**: if the recipient does not pay the **supplier** the *value + tax* within **180 days** of invoice date, the ITC availed is **added to output tax liability with interest @18% (Sec 50)**. On later payment it can be **re-availed** (no time bar). Note: this bites only where **consideration is unpaid** — not where only the ITC condition timing lapses.

A5. State the Sec 16(4) time limit. Δ Ans. ITC on an invoice/debit note of a financial year must be availed by the **earlier of** (i) **30th November** following the end of that FY, or (ii) date of furnishing the **annual return**. Δ Special relaxation: **Sec 16(5)/16(6)** (Finance (No.2) Act 2024) allow ITC for FY 2017-18 to 2020-21 up to **30.11.2021** and for revoked cancellations.

A6. Difference between Sec 17(1) and Sec 17(2)? Ans. **17(1)** apportions credit when inputs are used partly for **business and partly for non-business/personal** use. **17(2)** apportions when used partly for **taxable + zero-rated** and partly for **exempt** supplies. Only the **business + taxable** portion survives; the rest is reversed via **Rule 42 (inputs/input services)** or **Rule 43 (capital goods)**.

A7. Can ITC be taken on capital goods if depreciation is claimed? (Sec 16(3)) Ans. If depreciation under the **Income-tax Act** is claimed on the **tax component** of a capital good, **ITC on that tax is barred**. Assessee chooses **one** benefit — ITC or depreciation on the GST portion, not both.

A8. State the utilisation order under Sec 49/49A/49B r/w Rule 88A. Ans. **IGST credit must be exhausted first** — first against IGST output, then against CGST/SGST **in any order/amount**. Only after IGST credit is nil may **CGST credit** be used (CGST output → then IGST) and **SGST/UTGST credit** be used (SGST output → then IGST). **CGST and SGST credits can never cross-utilise**.

SECTION B — Graded Computational Problems (full working)

B1 (Easy) — Basic eligibility filter

A trader's inward invoices in a month carry ITC: raw material ₹40,000; office **staff car** (seating 5) repairs ₹6,000; **food** for staff party ₹3,000; courier ₹2,000. How much ITC is eligible? **Working & Ans.** | Item | ITC | Eligible? | Reason | |---|---|---|---| | Raw material | 40,000 | ✓ | Sec 16(1) — business use | | Motor car (≤13 seats) | 6,000 | X | **Sec 17(5)(a)** — blocked | | Food & beverages | 3,000 | X | **Sec 17(5)(b)** | | Courier | 2,000 | ✓ | 16(1) | **Eligible ITC = ₹42,000.** Blocked = ₹9,000.

B2 (Moderate) — Set-off / utilisation order ★ (exam favourite)

Output tax: **IGST ₹1,000 · CGST ₹1,000 · SGST ₹1,000.** Credit available: **IGST ₹1,600 · CGST ₹700 · SGST ₹700.** Utilise optimally (Rule 88A) and find cash payable.

Step-by-step (IGST-first mandate):

Step	Credit used	Against	Amount
1	IGST	IGST output (must use IGST for IGST first)	1,000
2	IGST (bal. 600)	CGST output	300
3	IGST (bal. 300)	SGST output	300 → IGST credit now 0
4	CGST	CGST output (1,000 – 300)	700 → CGST credit 0
5	SGST	SGST output (1,000 – 300)	700 → SGST credit 0

Reconciliation: IGST credit 1,000+300+300 = **1,600 ✓**; CGST out 300+700 = **1,000 ✓**; SGST out 300+700 = **1,000 ✓**. **Cash payable = ₹0.** *Trap:* had we naively pushed all leftover IGST into CGST only, SGST would fall short and force cash even though total credit = total liability. **The order of pushing IGST across CGST/SGST is a taxpayer choice — use it to zero out cash.**

B3 (Moderate) — 180-day reversal (Rule 37)

Invoice dated **10-Apr**, value ₹1,00,000 + GST ₹18,000 (CGST ₹9,000 + SGST ₹9,000); full ITC ₹18,000 availed in April. Consideration remains **unpaid** on the 181st day. Payment finally made on **20-Feb** next year.

Working & Ans. - Non-payment within 180 days → **reverse ₹18,000** (add to output liability) + **interest @18% u/s 50** from date of availing to date of reversal (2nd proviso to Sec 16(2), Rule 37). - On **20-Feb** payment → **re-avail ₹18,000**. Re-availment is **not subject to Sec 16(4)** time limit. - Note: reversal is only of the **ITC**, not the invoice value; interest runs only on the ITC amount reversed.

B4 (Hard) — Rule 42 apportionment (common inputs) ★

In a tax period a manufacturer has **total input & input-service tax T = ₹1,50,000**, comprising: - T1 (exclusively **non-business**) = ₹10,000 - T2 (exclusively **exempt** supplies) = ₹20,000 - T3 (**blocked** u/s 17(5)) = ₹5,000 - T4 (exclusively **taxable + zero-rated**) = ₹75,000 Exempt turnover **E = ₹8,00,000**; total turnover **F = ₹40,00,000**.

Step 1 — credit to Electronic Credit Ledger: $C1 = T - (T1+T2+T3) = 1,50,000 - 35,000 = ₹1,15,000$ **Step 2 — common credit:** $C2 = C1 - T4 = 1,15,000 - 75,000 = ₹40,000$ **Step 3 — exempt attribution:** $D1 = (E \div F) \times C2 = (8,00,000 \div 40,00,000) \times 40,000 = 0.20 \times 40,000 = ₹8,000$ **Step 4 — deemed non-business (5% of C2):** $D2 = 5\% \times 40,000 = ₹2,000$ **Step 5 — eligible common credit:** $C3 = C2 - (D1+D2) = 40,000 - 10,000 = ₹30,000$

Reversal (added to output liability) = $D1 + D2 = ₹10,000$. Total eligible ITC = $T4 + C3 = 75,000 + 30,000 = ₹1,05,000$. Check: eligible 1,05,000 + reversed 10,000 + already-excluded ($T1+T2+T3$) 35,000 = **₹1,50,000 = T ✓**. Note: Rule 42 is computed monthly on estimates and **re-computed annually** by 30-Nov; shortfall → interest, excess → re-credit.

B5 (Hard) — Depreciation vs ITC choice (Sec 16(3))

A ₹10,00,000 machine attracts GST ₹1,80,000 (total invoice ₹11,80,000). Firm is in the **28% tax slab**, machine depreciation rate **15%**. **Option analysis:** - **Option A — take ITC ₹1,80,000, capitalise cost at ₹10,00,000.** Immediate credit of **₹1,80,000** usable against output tax (cash-equivalent now). Depreciation is on ₹10,00,000 only. - **Option B — no ITC, capitalise at ₹11,80,000.** Extra depreciation base ₹1,80,000 → year-1 tax saving = $1,80,000 \times 15\% \times 28\% = ₹7,560$ (and declining thereafter over the asset life). **Decision:** Option A gives ₹1,80,000 upfront vs Option B's slow ~₹7,560/yr income-tax shield. **Take ITC** (Sec 16(3) bars claiming both). Rule 43 spreads capital-goods common credit over **60 months** if the asset is used partly for exempt supplies.

SECTION C — Past-Paper-Style Full Questions

C1. "Discuss the eligibility of ITC in the following independent cases with reference to Sec 17(5):" 1. Works contract service for **construction of an office building** (capitalised). 2. **Health insurance** of employees where it is **obligatory** under a law. 3. Goods **stolen** from the warehouse. 4. **Motor vehicle** (seating 40) bought by a **passenger-transport** operator. 5. Goods distributed as **free samples**.

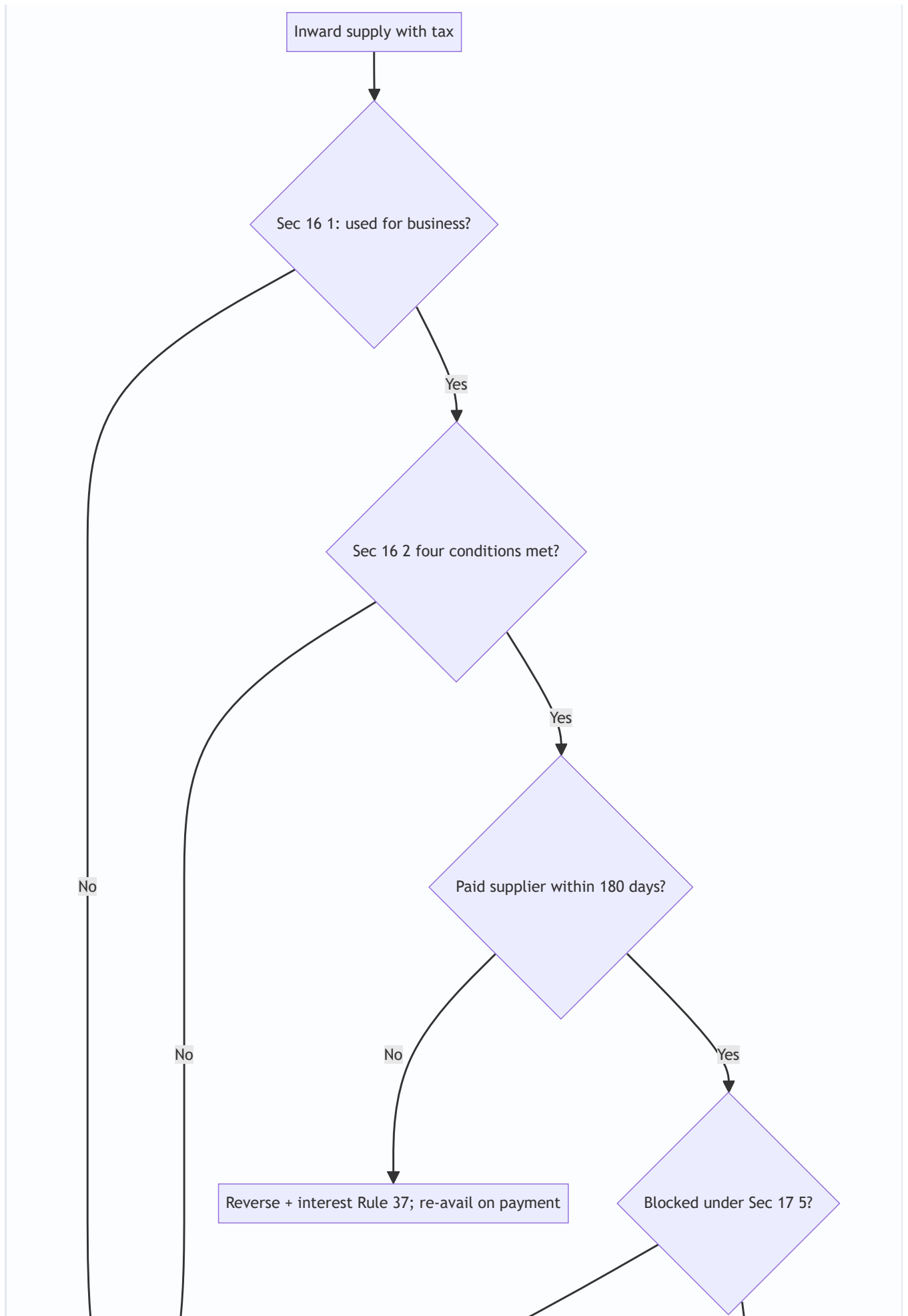
Model Answer: 1. **Blocked** — Sec 17(5)(c)/(d): works contract & goods/services for construction of immovable property on own account (except plant & machinery) → ITC **not** available. 2. **Allowed** — proviso to Sec 17(5)(b): where provision of such service is **obligatory** for an employer under any law, ITC is available. 3. **Blocked** — Sec 17(5)(h): goods **lost, stolen, destroyed, written off** → no ITC. 4. **Allowed** — Sec 17(5)(a) exception: seating capacity **>13** and/or used for **transportation of passengers** as a taxable output service. 5. **Blocked** — Sec 17(5)(h): **free samples / gifts** → ITC to be reversed.

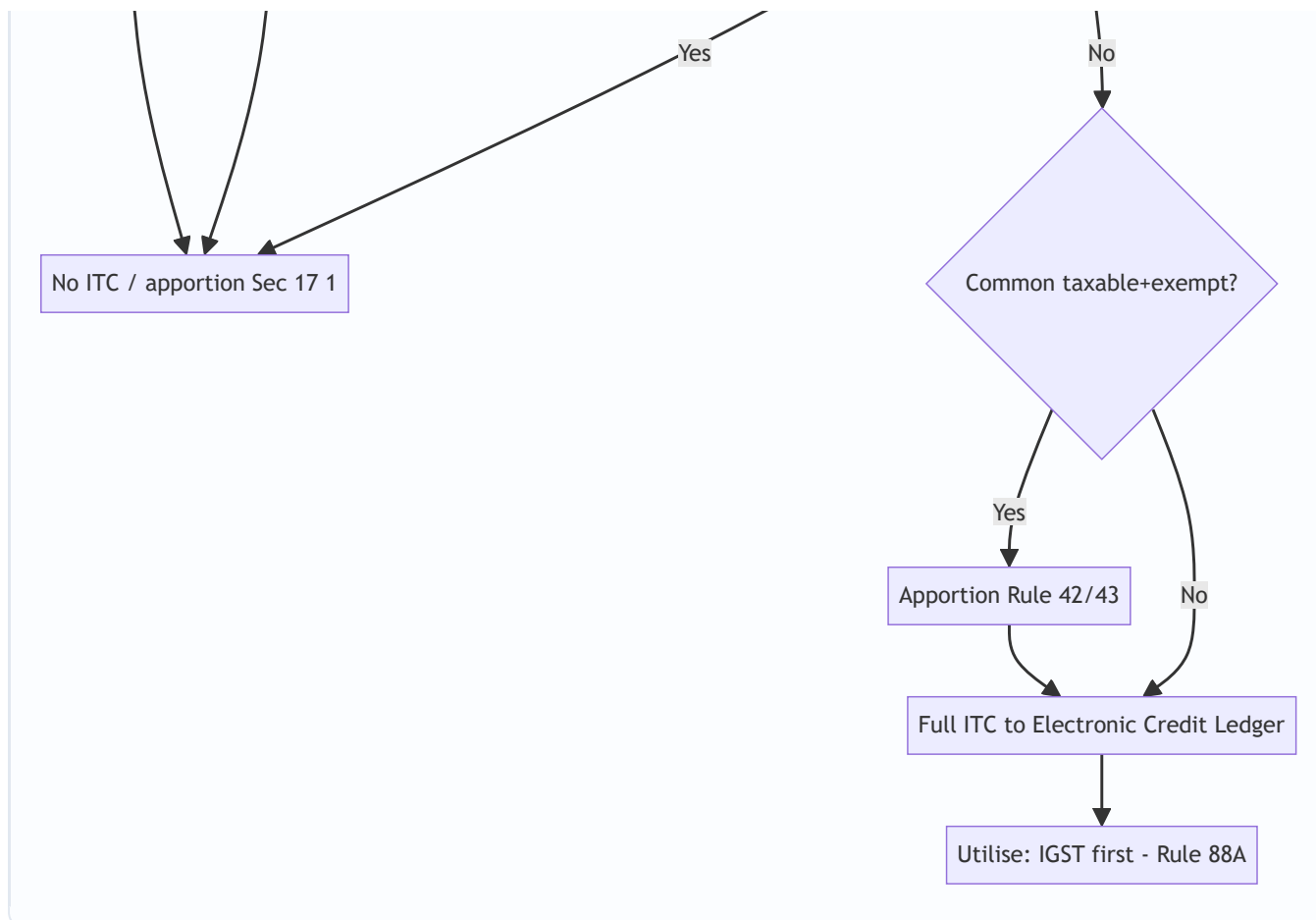
C2. "State the conditions for taking ITC on capital goods and explain treatment when a capital good on which ITC was taken is later sold." **Model Answer:** - ITC on capital goods is allowed in **one shot** on receipt (subject to Sec 16(2) conditions), **unless** depreciation is claimed on the tax portion (**Sec 16(3)** — then barred). - If used commonly for taxable & exempt/personal use → credit is **spread over 60 months** and monthly exempt-portion reversed under **Rule 43**. - **On sale/disposal (Sec 18(6) r/w Rule 40(2)/44):** pay the **higher of** — (i) ITC taken **reduced by 5% per quarter** (or part) from date of invoice, or (ii) **tax on transaction value** of the capital good. If it is **refractory bricks/moulds/dies/jigs/fixtures** sold as scrap, tax on transaction value applies.

C3. "Sec 18 — Explain availability of ITC in special circumstances." **Model Answer (Sec 18(1)):** | Trigger | Entitlement | Timing | ---|---|---| | (a) Person becomes **liable** & applies within 30 days | ITC on **inputs in stock / semi-finished / finished** on day before liability | File **Form ITC-01** within 30 days | | (b) **Voluntary** registration | ITC on stocks on day before grant | ITC-01 | | (c) **Composition** → **regular** | ITC on stocks + **capital goods** (reduced 5%/quarter) | ITC-01 | | (d) **Exempt** → **taxable** | ITC on stocks + capital goods relatable to taxable supply | ITC-01 | Invoices for such stock must be ≤ **1 year** old (Sec 18(2)). Reverse case (regular→composition / taxable→exempt): **reverse** ITC on stock & capital goods (Sec 18(4), Form ITC-03).

SECTION D — MCQs & Case Scenarios

- D1.** ITC on an invoice pertaining to FY 2023-24 can be availed latest by: A) 31-Mar-24 B) 30-Sep-24 C) **30-Nov-24 ✓** D) 31-Dec-24 *Reason:* Sec 16(4) — earlier of 30-Nov following FY or annual return. △
- D2.** Under Rule 88A, which credit must be **fully utilised first**? A) CGST B) SGST C) **IGST ✓** D) Any *Reason:* Sec 49A — IGST credit exhausted before CGST/SGST is touched.
- D3.** ITC of ₹9,000 was availed; supplier not paid within 180 days. Consequence: A) Lapses permanently B) **Reversed with interest, re-availed on payment ✓** C) No effect D) 50% reversed *Reason:* 2nd proviso to Sec 16(2), Rule 37 — reverse + interest @18%, re-avail later.
- D4.** Which is **NOT** a blocked credit under Sec 17(5)? A) Club membership B) **Raw material inputs ✓** C) Rent-a-cab (non-obligatory) D) Free samples *Reason:* raw materials used in business are the core eligible credit under 16(1).
- D5. Case:** Mr. X (regular dealer) buys a car (5-seater) for ₹20L + GST ₹5.6L for **personal + business** use, and inputs ₹1L + GST ₹18,000 for taxable supplies. Eligible ITC? **Ans.** Car → **fully blocked** (Sec 17(5)(a), ≤13 seats). Inputs → **₹18,000 eligible. Total eligible = ₹18,000.**
- D6.** CGST credit can be utilised for payment of: A) SGST B) **CGST then IGST ✓** C) Only IGST D) SGST then IGST *Reason:* Sec 49(5) — CGST credit for CGST, balance for IGST; **never SGST.**
- D7. Case (ISD):** Head office receives a common input-service invoice with **IGST ₹90,000** to be distributed to 3 branches (turnover ratio 2:1:1). Distribution? **Ans.** Under **Sec 20 / Rule 39**, ISD distributes pro-rata to turnover: Branch A = 45,000; B = 22,500; C = 22,500. IGST credit is distributed as **IGST** (or as CGST+SGST if recipient is in same State). △ ISD distribution became **mandatory** (Finance Act 2024, w.e.f. 01-04-2025).
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Traps & Examiner Tricks (quick list)

1. **≤13-seat** motor vehicle blocked — but **>13 seats** or passenger-transport business is **allowed**. Count the driver.
2. **Obligatory** insurance/canteen (by law) is **allowed** despite 17(5)(b).
3. **Plant & machinery** is *excluded* from the construction bar — pipelines & telecom towers are *excluded* from P&M (so blocked). ⚠
4. 180-day rule triggers on **non-payment of value**, not on the ITC-timing condition.
5. Sec 16(4) limit is **30-Nov** — not 30-Sep (old law). ⚠
6. Depreciation on tax component ⇒ **no ITC** (Sec 16(3)) — you cannot double-dip.
7. **CGST↔SGST cross-utilisation is impossible** — a classic set-off trap.
8. IGST credit **must** clear before CGST/SGST — but its spread across CGST vs SGST is a **choice** (use it to avoid cash).
9. Rule 42 **D2 = flat 5%** of C2 (deemed non-business), independent of D1.
10. **Free samples/gifts/stolen/written-off** goods → reverse ITC (17(5)(h)).
11. **CSR expenditure** ITC **blocked** — Sec 17(5)(fa). ⚠ (Finance Act 2023, w.e.f. 01-10-2023.)
12. Blocked-credit list is **exhaustive** — if not listed in 17(5) and business-used, it is **eligible**.

First-Principles Recap

Tax should fall only on **value added**. ITC is the ledger mechanism that refunds tax-on-tax by letting each link **deposit** tax paid on inputs and **set it off** against tax collected on outputs — provided the chain is **verifiable** (invoice + supplier compliance + payment). Every restriction (17, 18, blocked credits, apportionment) exists to stop credit leaking into **non-business, exempt, or personal** consumption where no further taxable value is added.

Quick-Revision Sheet

- **Gate:** Sec 16(1) business use → 16(2) 4 conditions (invoice, GSTR-2B, receipt, tax paid, return) → 180-day payment → 16(4) 30-Nov limit [△](#).
- **Apportion:** 17(1) business/non-business; 17(2) taxable/exempt → **Rule 42** (inputs) / **Rule 43** (capital, 60 months).
- **Blocked (17(5)):** motor vehicles ≤13 seats, F&B, club, works contract & construction on own account, personal, lost/stolen/gifts/free samples, CSR [△](#).
- **Capital goods:** one-shot ITC or Rule 43 spread; Sec 16(3) depreciation bar; Sec 18(6) on sale = higher of (ITC – 5%/qtr) or tax on TV.
- **Utilisation (Sec 49/49A, Rule 88A):** IGST → (IGST, then CGST/SGST any order); CGST → (CGST, IGST); SGST → (SGST, IGST); **no CGST↔SGST**.
- **Transitions (Sec 18):** ITC-01 to claim on becoming taxable; ITC-03 to reverse on becoming exempt/composition.
- **ISD (Sec 20/Rule 39)** mandatory 01-04-2025 [△](#); **Job-work (Sec 19):** inputs back in **1 yr**, capital goods **3 yrs**, else deemed supply.

Chapter 20 — Registration

Currency flag: GST thresholds, State categorisation, and procedural timelines are amended frequently by notification. Every number in this chapter (₹40 lakh / ₹20 lakh / ₹10 lakh, the special-category State list, the 30-day and 7-working-day timelines) is stated as the settled position but **verify current thresholds, the special-category State list, and the latest amendments in the ICAI Study Material / RTP for your exam attempt** before relying on them.

1. The Problem — Who is even *allowed* into the credit chain?

GST is built on one beautiful, fragile idea: **tax is collected at every stage, but each stage gets credit for the tax paid on its inputs, so the tax sticks only on the value it added.** That is what kills cascading (tax-on-tax). We have spent earlier chapters admiring this seamless-credit machine.

But a machine that lets everyone freely collect tax from customers and freely claim credit from the government has an obvious hole: **how does the government even know you exist?**

Think about what the credit chain actually requires to function:

- When a buyer claims Input Tax Credit (ITC), the government must be able to check that the **seller actually deposited** that tax. That match is impossible if the seller is an anonymous person with no identity in the system.
- When a seller collects tax "on behalf of the government," the government must have a **handle** — a legal identity — through which it can demand that money, audit it, and penalise its non-payment.
- The whole system is **self-policing**: my purchase invoice is your sales invoice. For that mirror to work, both of us must be **identifiable by a common key**.

Without a gatekeeping mechanism, you would have two failures at once. Fraudsters could collect "GST" from customers and vanish (the government has nobody to chase). And genuine buyers could not claim credit, because there is no verified seller-identity to match their invoice against. The credit chain would snap.

So before any of the credit rules can operate, the law needs a register of participants. That register — and the identity it issues — is *registration*. It is the turnstile at the entrance of the GST stadium. This chapter is about who must pass through it, why, when, and how.

2. The Core Idea — Registration is the licence to *participate*

Registration under GST does exactly two things, and they are the two things the entire tax rests on:

Only a registered person can (a) legally collect GST from customers, and (b) claim Input Tax Credit.

That single sentence explains almost every rule that follows. Registration is not a bureaucratic formality — it is the **legal status that switches on your rights and duties inside the credit chain**.

The identity issued is the **GSTIN — Goods and Services Tax Identification Number** — a **15-character, State-wise, PAN-based** number. Decode it and you see the design intent baked in:

Digits	Meaning	Why it is designed this way
1–2	State code (as per Census)	GST registration is State-wise — a person operating in 3 States needs 3 GSTINs
3–12	PAN (10 chars)	Ties GST identity to the income-tax PAN — one national key links direct and indirect tax, defeating identity-splitting
13	Entity code	Number of registrations of that PAN within the State
14	"Z" (default)	Reserved/blank check character
15	Checksum	Machine-verifiable — a typo'd GSTIN fails instantly, protecting the invoice-match

Memory hook — "PAN is the spine." GST identity is *stapled to PAN*. No PAN, no normal registration (the lone exception is the non-resident and the TDS/TCS deductor, who can use other identity documents). This is why registration is **PAN-based and State-wise**: PAN gives national traceability; the State code gives fiscal federalism (each State's SGST must be trackable to that State).

3. Why It's Built This Way — Four design forces

Everything in Chapter 20 falls out of four forces. Hold these and you can *derive* the rules instead of memorising them.

Force 1 — Enable the credit chain (inclusion). The system *wants* real businesses inside, because credit only flows between registered persons. Registration is therefore made **easy, online, and largely deemed-approved** — the State does not want to block genuine participants.

Force 2 — Protect small persons (a threshold). Forcing a ₹15-lakh-turnover kirana store to file monthly returns and maintain the compliance apparatus would crush it and clog the system for no revenue gain. So the law grants an **exemption below a turnover threshold**. Compliance cost must be proportionate to revenue at stake.

Force 3 — Plug leakage where the threshold would be abused (compulsory registration). Some activities are *so leakage-prone* that letting a small-turnover person stay outside the net would break the system regardless of size. Example: an e-commerce operator, or a person making inter-State supplies, or someone liable under reverse charge. Here **Section 24 overrides the threshold** — register from Rupee One.

Force 4 — Keep the register truthful (amendment / cancellation / revocation). A register is only useful if it reflects reality. Businesses change address, add partners, stop trading, or turn fraudulent. So the law needs live maintenance: **amendment** (edit the record), **cancellation** (remove a person who should no longer be in), and **revocation** (a safety valve to reverse a wrongful/repaid cancellation). Without this, the register rots and the invoice-match degrades.

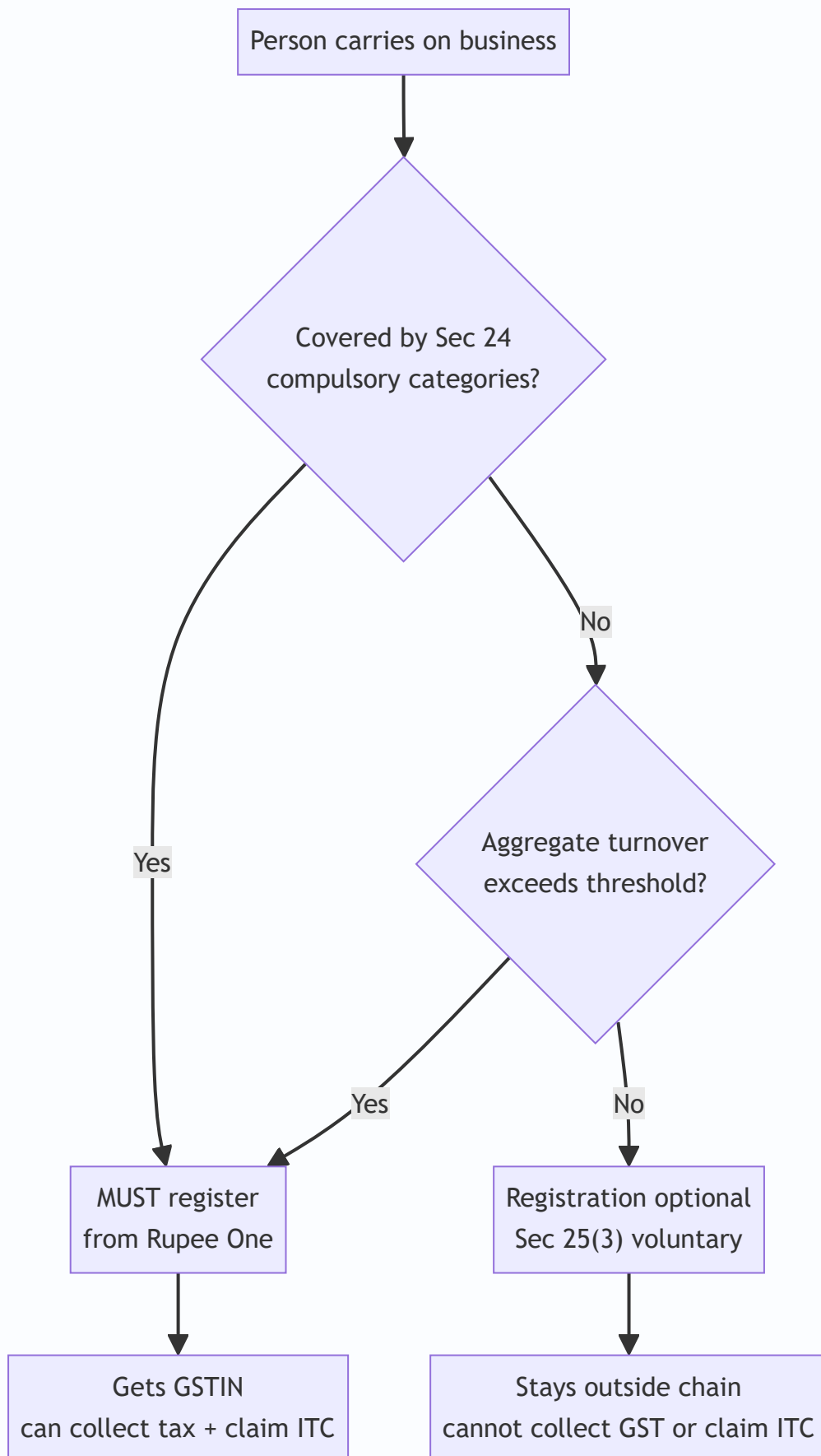


Figure 20.1 — The registration decision at the highest level: compulsory categories are tested BEFORE the threshold, because Section 24 overrides turnover.

4. Full Technical Content — Every provision, wrapped in its reason

4.1 The pivotal concept: "Aggregate Turnover" [Sec 2(6)]

The threshold is measured on **aggregate turnover**, not on the turnover of one branch or one product. *Why aggregate?* Because if the test were per-branch, a person could split a ₹1-crore business into ten ₹10-lakh "shops" and each stay below the limit. Aggregation defeats fragmentation.

Aggregate Turnover = Taxable supplies + Exempt supplies + Exports + Inter-State supplies of persons having the **same PAN, computed on an all-India basis**.

What is **included** and what is **excluded** — and the "why":

Component	In / Out	Reason
Taxable supplies	Include	Core business turnover
Exempt supplies (incl. nil-rated, non-taxable)	Include	Threshold is about <i>scale of business</i> , not tax collected — a large exempt trader is still "large"
Exports / zero-rated	Include	Still economic activity of scale
Inter-State supplies	Include	Counts toward scale
CGST, SGST, IGST, UTGST, Cess	Exclude	Tax is not your turnover — it is collected <i>for</i> the government
Inward supplies taxed under reverse charge	Exclude	RCM is tax you <i>pay as recipient</i> ; it is not <i>your</i> outward supply
Value of supplies as a pure agent (job-work goods for the principal, etc.)	Excluded on all-India same-PAN basis but computed together	Prevents double counting across the same PAN

Memory hook — "Everything you *sell* counts (even exempt); nothing you *pay as tax or as recipient* counts."

Exam trap alert: aggregate turnover **includes exempt supplies** for the *threshold* test, even though exempt supplies give no ITC. Students routinely drop exempt turnover here and get the registration answer wrong.

4.2 The threshold limits — and WHY they differ [Sec 22]

Section 22: a supplier must register in a State/UT if aggregate turnover in a financial year **exceeds** the threshold.

The threshold is **not one number** — and the differences are deliberate:

Category of person	Threshold (aggregate turnover p.a.)	Design reason
Supplier of GOODS (exclusively), normal States	₹40 lakh	Goods traders are numerous and low-margin; a higher floor keeps small shopkeepers out of the net
Supplier of SERVICES (or goods + services), normal States	₹20 lakh	Services are harder to track (no physical stock trail), so the net is cast wider — lower floor
Special-category States — services / mixed	₹10 lakh	These States are smaller economies; ₹10L is "large" locally, and the revenue base needs protection
Special-category States — goods (specified States)	₹20 lakh	A middle floor reflecting their smaller economies

Why goods (₹40L) get a higher floor than services (₹20L): Goods leave a **physical trail** — stock, e-way bills, transport records — so a small unregistered goods trader is comparatively low-risk and easy to catch later if needed. Services leave **no such trail**; an unregistered service provider is nearly invisible. The law therefore pulls services into the net at half the turnover.

Why special-category States get a lower floor (₹10L): These are the constitutionally recognised smaller/hilly/border States (the "special category" list). Their economies are smaller, so what looks tiny nationally is significant locally; a lower threshold protects their SGST base. **The special-category list is periodically re-notified — verify the exact list for your attempt** (historically it has moved between the full 11 north-eastern/hill States and a reduced set, with some States opting up to ₹20L or ₹40L).

The ₹40 lakh goods enhancement carries fine print (all must hold, else fall back to ₹20L): - Supplier is engaged **exclusively in supply of goods** (any service supply, even small, drops you to ₹20L); - Not making **inter-State** supplies; - Not a compulsory-registration person under Sec 24; - Not supplying specified goods (e.g. ice cream, pan masala, tobacco, fly ash bricks and similar notified items); - Not registered voluntarily.

Memory hook — "40-20-10, and services always sit at 20." If services are anywhere in the picture (normal State), the number is ₹20L. Goods-only-and-clean gets you the ₹40L upgrade.

4.3 Persons NOT liable to register [Sec 23]

The law also *names people it does not want to burden*, because forcing them in adds compliance with no revenue or tracking benefit:

- A person supplying **exclusively exempt / nil-rated / non-taxable** goods or services (there is no output tax to collect, so why register?);
- An **agriculturist**, to the extent of supply of produce out of cultivation of land;
- Persons making supplies **wholly under reverse charge** (the *recipient* pays the tax, so the supplier collects nothing — nothing to police at the supplier).

Why Sec 23 overrides even Sec 22: if your entire output is exempt, hitting the ₹40L threshold is irrelevant — there is literally no tax to collect. **Sec 23 (not liable) is checked to relieve; Sec 24 (compulsory) is checked to compel.** When both a "not liable" and a "compulsory" character could apply, note the interplay carefully (e.g., a person supplying exclusively exempt goods is genuinely outside — but the moment any taxable or Sec-24 element appears, the analysis changes).

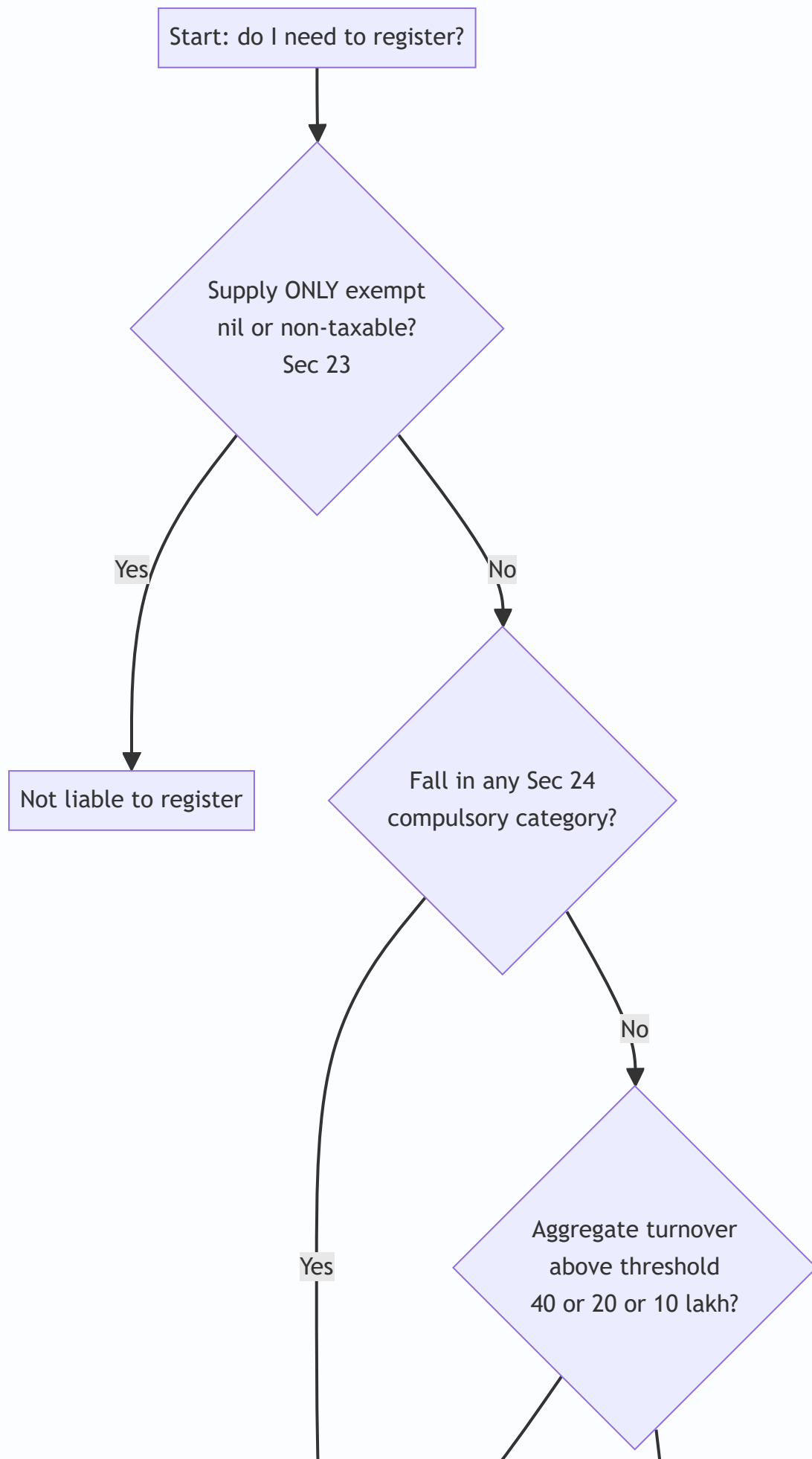
4.4 Compulsory registration [Sec 24] — threshold IRRELEVANT

Section 24 begins "**notwithstanding** anything in Sec 22(1)" — meaning **turnover does not matter; these persons register from the first rupee**. Learn the *reason category*, not the list:

Compulsory category (Sec 24)	The leakage it plugs
Persons making inter-State taxable supply (of goods)	Cross-border trade must be tracked at both ends; can't be invisible
Casual taxable person (occasional supply, no fixed place e.g. exhibition stall)	Would otherwise supply and vanish — pin them down with advance-deposit registration
Persons liable under reverse charge (as recipient)	Recipient becomes the tax-payer — must be registered to deposit and be audited
Persons liable to pay tax under Sec 9(5) (e-commerce specified services)	The ECO pays; must be registered
Non-resident taxable person	No Indian PAN/place — needs a controlled, time-bound registration
Persons required to deduct TDS (Sec 51)	They withhold government money — must be identifiable
E-commerce operators required to collect TCS (Sec 52)	They sit on others' money and data — the biggest tracking node in the system
Persons supplying through an ECO (who are liable to collect TCS)	Each seller on the platform must be matchable
Input Service Distributor (ISD)	Distributes credit — must be registered to do so validly
Persons supplying on behalf of another (agents)	The agent's supplies must tie back
Person supplying OIDAR services from outside India to an unregistered Indian recipient	Otherwise wholly untaxed cross-border digital services

Two important carve-outs (relief within Sec 24): Persons making **inter-State supply of services** up to ₹20L are exempted from compulsory registration (notification), because forcing every small freelancer serving another State to register was disproportionate. Similarly, small suppliers **through an ECO of services** got threshold relief. *Why the split?* Same Force-2 logic: services are lower-value-per-supply and the compliance burden on tiny service providers outweighed the leakage — so the compulsory hammer was softened *for services only*.

Memory hook — "Sec 24 = people who touch *someone else's* tax or cross a *border*." Inter-State, reverse charge, TDS/TCS, ECO, agents, ISD, non-residents — in every case the person is handling tax that isn't purely their own domestic small-scale output. That is why turnover is irrelevant: the risk is structural, not scale-based.



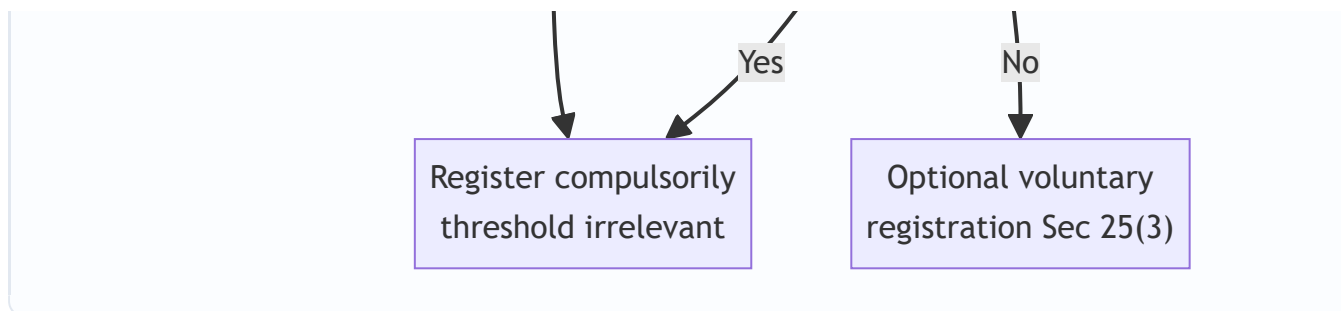


Figure 20.2 — The full decision tree. Note the ORDER: relief (Sec 23) → compulsion (Sec 24) → threshold (Sec 22) → voluntary. This order matters in exam problems.

4.5 Special persons

- **Casual Taxable Person (CTP) and Non-Resident Taxable Person (NRTP):** Since they have no permanent stake, they must **deposit estimated tax in advance** and get registration valid for **90 days (extendable by 90 more)**. *Why advance deposit?* They could otherwise supply at an exhibition and disappear owing tax — the deposit is the government's security.
- **Voluntary registration [Sec 25(3)]:** A below-threshold person *may* register to enter the credit chain (e.g., a small supplier whose B2B customers demand ITC). Once registered, **all provisions apply as to any registered person** — you can't enjoy ITC benefits and skip return-filing duties.
- **Single vs multiple registrations [Sec 25(2)]:** One registration per State/UT is the default, but a person with **multiple places of business in a State may obtain separate registrations for each** (each then treated as a distinct person, and supplies between them are taxable). *Why allow it?* Different verticals may want independent compliance/credit pools.
- **Distinct persons [Sec 25(4)/(5)]:** Establishments of the same PAN in **different States** are **distinct persons** — a stock transfer between them is a *supply* and attracts GST. *Why?* Each State's SGST base must be independently preserved; without "distinct persons," inter-State stock movement inside one company would escape the State-wise design.

4.6 Procedure & Timelines [Sec 25, Rules 8–11]

The design goal (Force 1) is **frictionless entry**, so the process is online and default-approved.

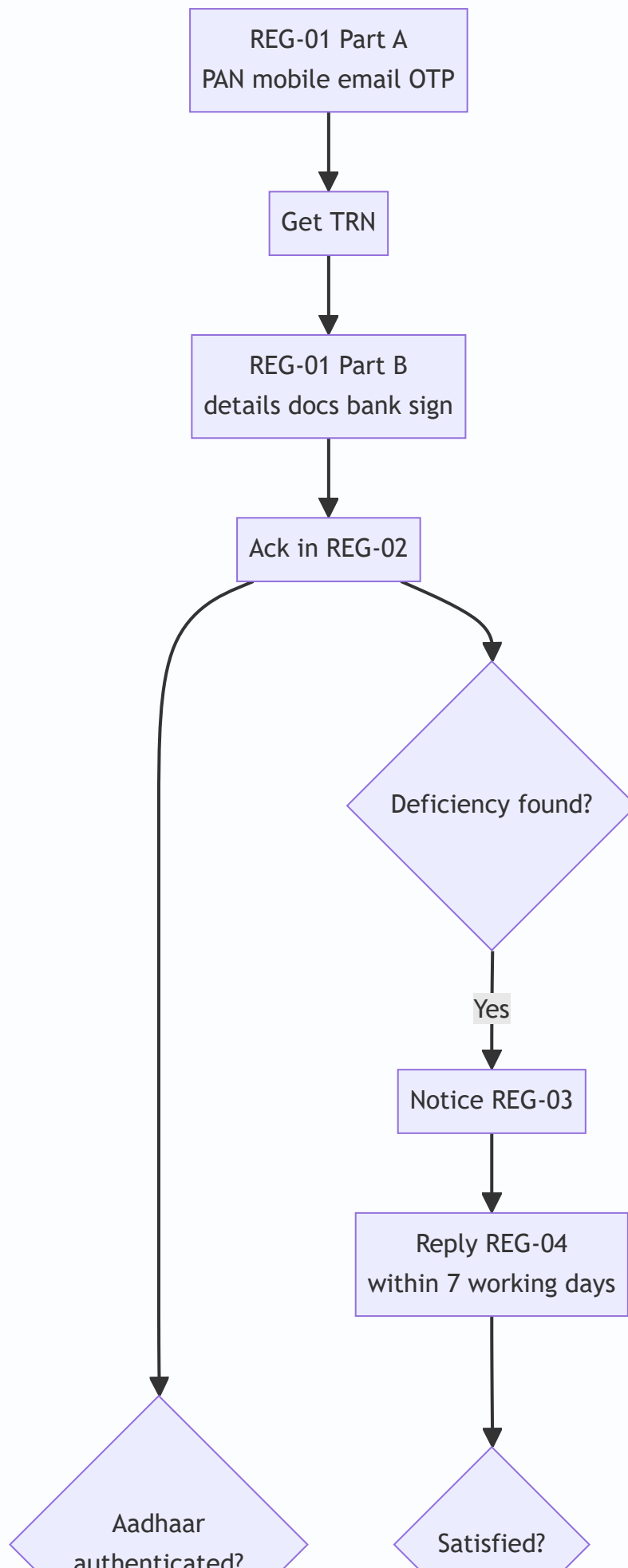
When to apply [Sec 25(1)]: within **30 days** from the date the person **becomes liable** to register. (A CTP/NRTP must apply **at least 5 days prior** to commencing business.)

Step-by-step:

1. **PART A of Form GST REG-01** — declare PAN, mobile, email. PAN is validated on the portal; mobile and email are **OTP-verified**. You receive a **TRN (Temporary Reference Number)**.
2. **PART B of REG-01** — using the TRN, submit business details, place(s) of business, bank details, authorised signatory, and upload documents. Verify via **DSC / e-signature / EVC**.
3. **Acknowledgement in REG-02** is issued.
4. **Aadhaar authentication (Rule 8)** — if the applicant opts and succeeds, processing is faster. *Why Aadhaar?* It is an anti-fraud tightening — fake registrations exploded, so biometric/Aadhaar authentication (and physical verification where flagged) was added.
5. **Officer's scrutiny:** - If in order (and Aadhaar authenticated): **approve within 7 working days**. - If Aadhaar **not** authenticated / flagged for risk: **physical verification of premises** may be done and the

window extends (commonly **30 days**). - If deficiency: **notice in REG-03** within the period; applicant replies in **REG-04 within 7 working days**; officer may reject via **REG-05**.

6. **Deemed approval:** if the officer takes **no action within the prescribed period**, registration is **deemed granted**. *Why deemed approval?* Force 1 again — the State should not be able to strangle genuine entry by inaction.
7. **Certificate in Form GST REG-06** is issued with the GSTIN.
8. **Effective date of registration:** - If applied **within 30 days** of becoming liable → effective from the **date of liability** (so no gap; supplies from day one are covered). - If applied **late** → effective from the **date of grant** (the gap period's tax exposure sits on you, but ITC of that gap is lost — the penalty for delay).



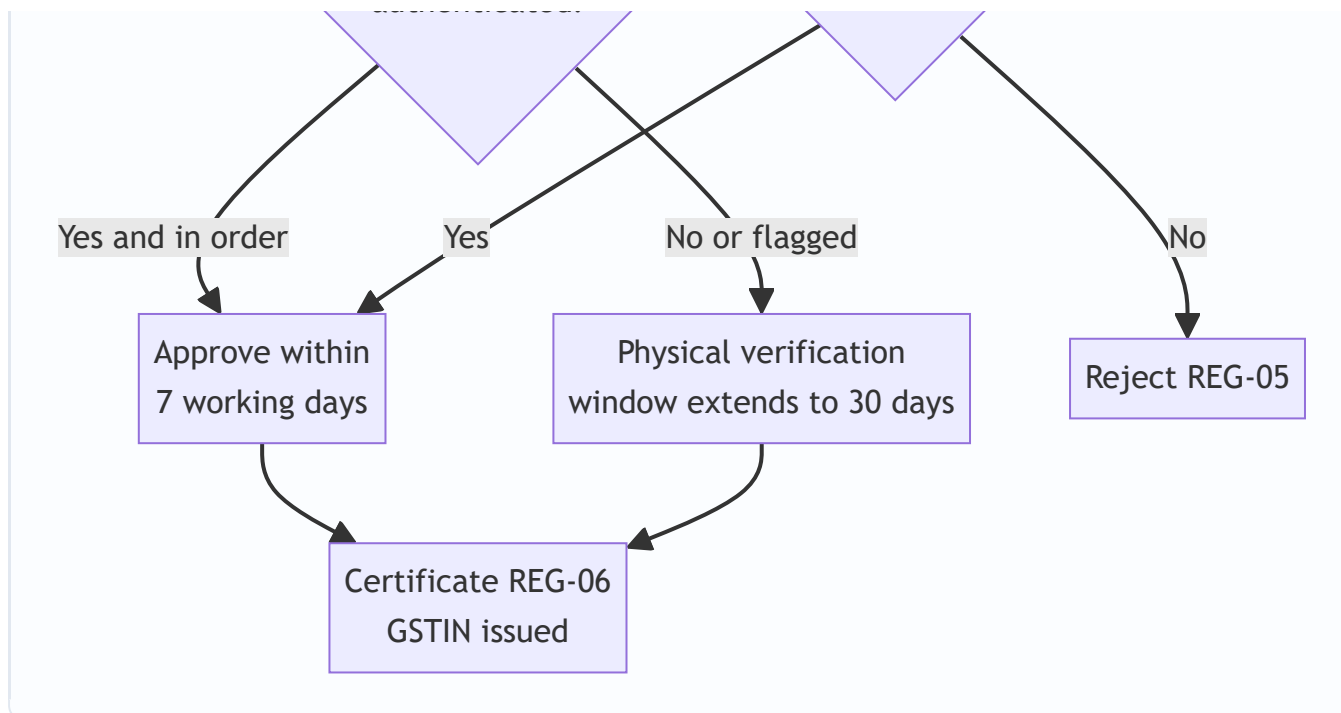


Figure 20.3 — Registration procedure and the two speed-lanes (Aadhaar-authenticated fast track vs physical-verification slow track), plus deemed approval on official inaction.

4.7 Amendment of registration [Sec 28, Rule 19]

Why amendment exists (Force 4): the register must mirror reality. Change something → tell the department in **REG-14 within 15 days** of the change.

Type of change	Officer approval needed?	Reason
Core fields — legal name (no PAN change), principal/additional place of business, addition/deletion of partners/directors/karta	Yes — officer must approve (order in REG-15); acts within 15 working days	These affect <i>who and where</i> — high fraud value, must be vetted
Non-core fields — most other details (e.g. contact, minor particulars)	No — auto-amended on portal	Low risk, so no friction
Change requiring fresh PAN (change of constitution altering PAN, e.g. proprietorship → company)	Cannot be amended — fresh registration	GSTIN is PAN-based; a new PAN is a new legal person

4.8 Cancellation of registration [Sec 29, Rule 20–22]

Why cancellation (Force 4): remove those who should no longer be in the net, or eject fraud.

By the registered person (voluntary) or legal heirs, e.g. business discontinued, transferred, amalgamated, constitution changed, or turnover fell and person no longer liable.

By the proper officer (suo motu), for cause — the leakage-plugging teeth: - Contravention of specified provisions; - A composition dealer not filing returns for **specified tax periods**; - Any other registered person **not filing returns for a continuous period** (as prescribed); - **Voluntary registrant not commencing business** within 6 months; - Registration obtained by **fraud, wilful misstatement or suppression**; - Not conducting business from the declared place / issuing invoices without supply (bill-trading).

Process: show-cause **REG-17** → reply **REG-18** → order **REG-19**. The officer cannot cancel without opportunity of being heard (natural justice).

The sting — Reversal on cancellation [Sec 29(5)]: on cancellation, the person must **pay back**, by way of debit to the electronic credit/cash ledger, an amount equal to the **ITC on inputs held in stock, inputs in semi-finished/finished goods, and on capital goods** (reduced as prescribed) — **or the output tax on such goods, whichever is higher**. *Why?* You claimed credit as a chain participant; on exit you leave with tax-free stock in hand unless you disgorge that credit. This closes the exit-leak. **Final Return in GSTR-10** must be filed within 3 months.

4.9 Revocation of cancellation [Sec 30, Rule 23]

Why revocation (Force 4 — the safety valve): cancellation by the officer can be wrong, or the defaulter can cure the default (file the missing returns, pay dues). The system should let a *repaired* or *wrongly-ejected* person back in rather than force a costly fresh registration and loss of history.

- Applies **only where the officer cancelled suo motu** (you cannot "revoke" your own voluntary cancellation).
- Apply in **REG-21 within 30 days** of the cancellation order (this period is extendable by the proper officer / Commissioner up to a further specified period — **verify the current extension window**).
- **Precondition:** all pending returns must be furnished and all dues (tax, interest, penalty) paid before/along with the application — you must *cure the default first*.
- Officer's order in **REG-22** (revoke) or rejects after notice (REG-23) and reply (REG-24).

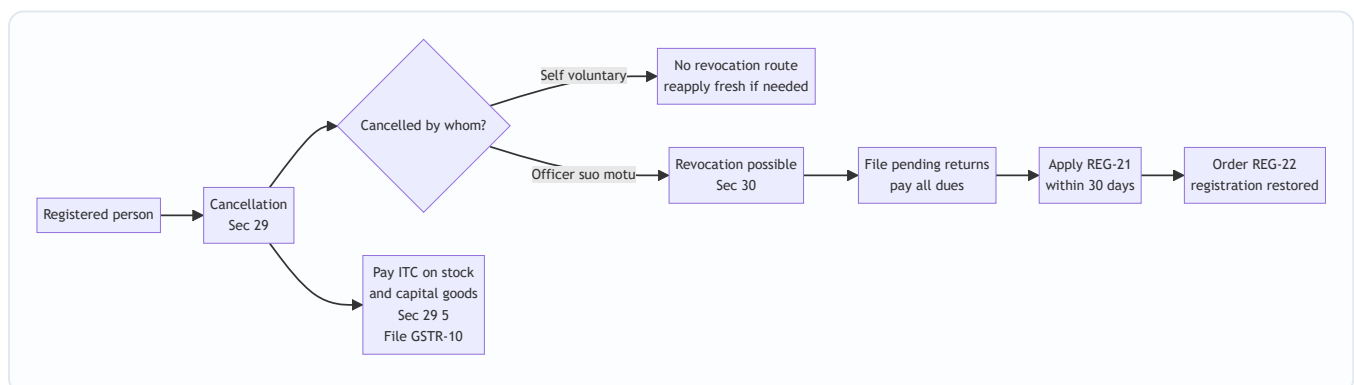


Figure 20.4 — Cancellation vs revocation. Revocation is available **ONLY** against officer-initiated cancellation, and only after the default is cured.

5. Worked Examples

Example 1 — The exempt-turnover trap (threshold computation)

Facts: *Mehta Traders*, operating **only in Maharashtra** (a normal State), supplies **exclusively goods**. During FY, its supplies are: - Taxable goods: ₹28,00,000 - Exempt goods: ₹9,00,000 - Nil-rated goods: ₹4,00,000 It also paid ₹1,50,000 GST under **reverse charge** on inward legal services. No inter-State supply, no Sec-24 category, no specified goods.

Is registration required?

Step 1 — pick the threshold. Goods-only, normal State, clean of all disqualifiers → the enhanced ₹40 lakh threshold applies.

Step 2 — compute aggregate turnover. Include *all outward supplies* (taxable + exempt + nil-rated); **exclude** the reverse-charge inward supply. = 28,00,000 + 9,00,000 + 4,00,000 = **₹41,00,000**.

Step 3 — compare. ₹41,00,000 > **₹40,00,000** → **registration is required**.

Reconciliation / the lesson: Had we (wrongly) dropped the exempt + nil-rated ₹13,00,000, we'd have got ₹28,00,000 and concluded "no registration." **Aggregate turnover includes exempt supplies for the threshold test** — that ₹13L is exactly what pushes Mehta over. The RCM ₹1.5L is correctly excluded (it's inward, not Mehta's outward supply). *Answer: liable to register.*

Example 2 — Services drag the threshold down, and Sec 24 overrides both

Facts: Rao Consultancy in Telangana (normal State) has aggregate turnover of **₹19,00,000**, entirely from **consultancy services** (intra-State). Separately, it made a **single inter-State supply of goods** worth ₹50,000 (sale of an old design mock-up to a Karnataka client).

Is registration required?

Step 1 — threshold if we only looked at turnover. Services → threshold is **₹20 lakh**, not ₹40L. ₹19,00,000 < ₹20,00,000 → *would be below threshold*.

Step 2 — but check Sec 24 FIRST (per Figure 20.2 order). Rao made an **inter-State taxable supply of goods** (₹50,000). Inter-State supply of *goods* is a **Sec 24 compulsory category — threshold irrelevant**.

Note the services carve-out does *not* rescue Rao: the exemption from compulsory registration for small inter-State suppliers applies to inter-State supply of **services** up to ₹20L. Rao's inter-State supply was of **goods**, so the carve-out doesn't apply.

Step 3 — conclusion. Despite turnover below ₹20L, **Rao must register compulsorily** because of the inter-State supply of goods.

Reconciliation / the lesson: This is the classic "Sec 24 beats Sec 22" trap. A single ₹50,000 inter-State *goods* supply forces full registration on a ₹19L service firm. Had the ₹50,000 inter-State supply been of **services**, the carve-out would have kept Rao out (below ₹20L). *Answer: liable to register (compulsorily under Sec 24).*

Example 3 — Effective date, and the cost of applying late

Facts: Nair Foods (goods-only, Kerala) crossed ₹40,00,000 aggregate turnover on **10 August**. It applied for registration on **25 September** and was granted registration on **1 October**. Between 10 August and 25 September it made taxable supplies of ₹6,00,000 and bought inputs bearing ₹90,000 GST.

(a) From what date is registration effective? (b) What is the consequence?

Step 1 — was the 30-day window met? Liability arose 10 August. 30 days ends **9 September**. Nair applied on **25 September** — **late by 16 days**.

Step 2 — effective date rule. Because the application was **not within 30 days**, registration is effective from the **date of grant = 1 October**, *not* from 10 August.

Step 3 — consequences of the gap (10 Aug – 30 Sep). - Nair was **liable** to pay tax from 10 August (liability arises on crossing the threshold, independent of when registration is granted) — so tax on the ₹6,00,000 of

supplies in the gap is still owed, plus interest/penalty for the delay. - But because registration is effective only from 1 October, Nair **cannot claim the ₹90,000 ITC** on inputs bought during the gap under the normal transition rule for a timely applicant. (A timely applicant — applying within 30 days — gets registration from the date of liability and can claim ITC on inputs in stock as on that date. Late application forfeits that transition benefit.)

Reconciliation / the lesson: The 30-day rule is not cosmetic. **Apply within 30 days → effective from date of liability → no lost ITC on opening stock. Apply late → effective from grant date → you still owe output tax for the gap but lose the gap-period input credit.** The asymmetry (tax owed, credit lost) is the deliberate penalty that enforces timely registration. *Answer: effective 1 October; ₹6L supplies still taxable with interest; ₹90,000 gap-ITC lost.*

Example 4 — Casual taxable person at a trade fair

Facts: *Bengal Handlooms* (registered in West Bengal) wants a **20-day stall at a Delhi trade fair**, expecting ₹8,00,000 of supplies there. It has no fixed place in Delhi.

What must it do?

Step 1 — identify the character. Occasional supply in a State where it has no fixed place of business = **Casual Taxable Person (CTP)** in Delhi. CTP is a **Sec 24 compulsory** category — threshold irrelevant.

Step 2 — timing & deposit. Apply for registration **at least 5 days before** commencing business at the fair. Deposit **advance tax** equal to the estimated tax liability (roughly the GST on the expected ₹8,00,000).

Step 3 — validity. Registration is valid for **90 days** (or the period requested), extendable once by **90 more days**.

Reconciliation / the lesson: The advance deposit is the government's security against a supplier who will pack up and leave. *Answer: register as CTP in Delhi ≥5 days ahead, deposit estimated tax, registration valid up to 90+90 days.*

6. Format / Summary — the forms and the numbers at a glance

Key forms (learn the REG family as a story: apply → clarify → grant → amend → cancel → revoke):

Form	Purpose
REG-01	Application (Part A: PAN/OTP → TRN; Part B: details)
REG-02	Acknowledgement
REG-03	Notice for clarification / deficiency
REG-04	Applicant's clarification (within 7 working days)
REG-05	Order of rejection
REG-06	Registration Certificate (carries the GSTIN)
REG-14	Application for amendment
REG-15	Order approving amendment
REG-17	Show-cause notice for cancellation
REG-18	Reply to SCN
REG-19	Order of cancellation
REG-21	Application for revocation
REG-22	Order revoking cancellation
GSTR-10	Final Return (within 3 months of cancellation)

The critical timelines:

Event	Time limit
Apply after becoming liable	30 days
CTP / NRTP apply before business	5 days prior
Approval (Aadhaar authenticated, in order)	7 working days
Approval where physical verification needed	~30 days
Reply to deficiency notice (REG-04)	7 working days
Intimate amendment (REG-14)	15 days of change
Officer to act on core amendment	15 working days
Apply for revocation (REG-21)	30 days of cancellation order (extendable)
File Final Return GSTR-10	3 months of cancellation/order
CTP / NRTP validity	90 days (+90)

Thresholds: Goods-only clean = **₹40L**; Services / mixed = **₹20L**; Special-category = **₹10L** (services/mixed) / **₹20L** (goods). *Verify list & numbers for your attempt.*

7. Connections — where registration plugs into the rest of GST

- → **Chapter on Supply & Levy:** you only need registration once you cross the threshold *on aggregate turnover of supplies* — so the definition of "supply" feeds directly into whether you're liable.
 - → **Input Tax Credit:** ITC is available **only to a registered person** and (broadly) **only from the effective date of registration** — this is why the effective-date rule (Example 3) is worth real marks.
 - → **Returns:** registration switches on return-filing duties (GSTR-1, GSTR-3B). Persistent non-filing is itself a *ground for cancellation* (Sec 29) — the loop closes.
 - → **Reverse Charge & E-commerce:** Sec 24 pulls RCM recipients, ECOs, and TCS/TDS deductors in irrespective of turnover — registration is the enabler of those special collection mechanisms.
 - → **Composition Scheme:** a composition dealer is still a *registered* person; the scheme is a *manner of paying tax after* registration, not an alternative to it.
 - → **Place of Supply / IGST:** "distinct persons" (Sec 25(4)) makes inter-State branch transfers taxable — a direct consequence of State-wise registration.
-

8. Traps & Examiner Tricks

1. **Dropping exempt turnover from aggregate turnover.** Exempt + nil-rated supplies **count** for the threshold (Example 1). This is the single most common error.
 2. **Including RCM inward supplies in aggregate turnover.** They are **excluded** — RCM is tax you pay as *recipient*, not your outward supply. (But note: being *liable under RCM* triggers **compulsory** registration under Sec 24, a separate point.)
 3. **Applying ₹40L to a service provider.** ₹40L is **goods-only-and-clean**. Any service element in a normal State → ₹20L. Special-category → ₹10L. Examiners love a firm that supplies "goods and a little installation service."
 4. **Forgetting Sec 24 overrides the threshold.** A ₹5-lakh firm making one inter-State *goods* supply, or liable under RCM, or an ECO — **must register from Rupee One** (Example 2).
 5. **Confusing the two inter-State carve-outs.** Small inter-State supply of **services** ($\leq ₹20L$) escapes compulsory registration; inter-State supply of **goods** does **not**.
 6. **Effective-date / late-application ITC loss.** Late application → registration from date of grant → gap-period ITC lost but gap-period output tax still due (Example 3).
 7. **Cancellation reversal (Sec 29(5)).** Students forget you must **pay back ITC on stock and capital goods** on cancellation, and file **GSTR-10**.
 8. **Revocation scope.** Revocation (Sec 30) applies **only to officer-initiated (suo motu) cancellation**, and **only after all returns are filed and dues paid**. You cannot "revoke" your own voluntary cancellation.
 9. **Core vs non-core amendment.** Change of place of business / partners = **core** (needs approval); PAN-changing constitution change = **fresh registration**, not amendment.
 10. **Special-category State list / thresholds are dynamic.** Never quote from memory in the exam without the caveat — the list and numbers have been amended repeatedly.
-

9. First-Principles Recap

Start from the machine, and every rule reappears on its own:

1. GST works only if participants are **identifiable and matchable** → we need a register → **registration** issues a PAN-based, State-wise **GSTIN**.
2. Only registered persons should **collect tax and claim ITC** → registration is the *licence to participate*.
3. Crushing tiny businesses helps no one → grant a **threshold exemption** (₹40L/₹20L/₹10L), **higher for goods** (physical trail, low risk) and **lower for services / small States** (invisible / smaller base).
4. Some activities leak *regardless of size* → **Sec 24** forces registration from Rupee One for anyone touching **someone else's tax or a border** (inter-State, RCM, TDS/TCS, ECO, ISD, agents, non-residents).
5. Some persons should be **relieved** entirely → **Sec 23** (wholly exempt / agriculturist / wholly-RCM suppliers).
6. Entry must be **frictionless** → online process, Aadhaar fast-track, and **deemed approval** on official inaction; but delay is punished via the **effective-date rule**.
7. A register must stay **truthful** → **amendment** (edit), **cancellation** (exit, with ITC-on-stock clawback under Sec 29(5)), and **revocation** (Sec 30 safety valve, only after curing default).

If you can retell those seven sentences, you can rebuild the entire chapter — sections, thresholds, forms, and timelines — from reasoning alone.

10. Quick-Revision Sheet

Identity: GSTIN = 15 chars — State code (2) + PAN (10) + entity (1) + Z + checksum. **PAN-based, State-wise.**

Aggregate turnover [2(6)]: all outward supplies (taxable + **exempt** + nil + exports + inter-State), all-India same PAN. **Exclude** taxes and **RCM inward** supplies.

Thresholds [22]: Goods-only clean **₹40L** | Services/mixed **₹20L** | Special-category **₹10L** (svc/mixed) / **₹20L** (goods). *Verify for attempt.*

Not liable [23]: wholly exempt/nil/non-taxable, agriculturist, wholly-RCM suppliers.

Compulsory [24] — threshold irrelevant: inter-State (goods), CTP, RCM recipient, Sec 9(5) ECO, NRTP, TDS (51), TCS/ECO (52), sellers via ECO, ISD, agents, OIDAR from abroad. *Carve-out: small inter-State supply of services ≤ ₹20L exempted.*

Special persons: CTP/NRTP → advance tax + valid **90 (+90) days**, apply **5 days prior**. Voluntary [25(3)] → all provisions apply. Same PAN in different States = **distinct persons** [25(4)].

Procedure [25, R8-11]: REG-01 Part A (PAN/OTP→TRN) → Part B (docs, DSC/EVC) → REG-02 ack → Aadhaar auth → approve **7 working days** (else physical verification, ~30 days) → deficiency REG-03/reply REG-04 (**7 wd**)/reject REG-05 → **deemed approval** on inaction → **REG-06** with GSTIN. **Apply within 30 days** of liability.

Effective date: applied ≤30 days → **from date of liability** (ITC on opening stock allowed); applied late → **from date of grant** (gap ITC lost, gap tax still due).

Amendment [28, R19]: intimate **REG-14 within 15 days**. Core (name/place/partners) → officer approves **REG-15** (15 wd). Non-core → auto. PAN change → **fresh registration**.

Cancellation [29, R20-22]: voluntary or suo motu (fraud, non-filing, no business, bill-trading). SCN **REG-17** → reply **REG-18** → order **REG-19. Sec 29(5):** pay back **ITC on stock + capital goods OR output tax, whichever higher.** File **GSTR-10 within 3 months.**

Revocation [30, R23]: only vs **officer** cancellation; file all returns + pay dues first; apply **REG-21 within 30 days** (extendable) → order **REG-22.**

Golden order: Relief (23) → Compulsion (24) → Threshold (22) → Voluntary (25(3)).

Two-line mantra: *Registration is the turnstile of the credit chain — only inside can you collect tax or claim ITC. Threshold protects the small; Section 24 overrides it wherever someone touches another's tax or crosses a border.*

End of Chapter 20. Cross-check the special-category State list, exact thresholds, and any latest procedural amendments (Aadhaar authentication, biometric verification, revocation extension windows) against the current ICAI Study Material / RTP / MTP for your examination attempt.

Q&A — Registration

CGST Act, 2017 — **Sec 2(6)** (aggregate turnover), **Sec 22** (liability threshold), **Sec 23** (not liable), **Sec 24** (compulsory), **Sec 25** (procedure/distinct persons), **Sec 27** (CTP/NRTP), **Sec 28** (amendment), **Sec 29** (cancellation), **Sec 30** (revocation); CGST Rules 8–23; IGST Act inter-State supply is what pulls Sec 24 in. **Every monetary threshold (₹40L / ₹20L / ₹10L), the special-category State list, and procedural timelines (30 days, 7 working days, 90+90, revocation extension) are amendment-sensitive — confirm current figures from the ICAI Study Material / RTP for your attempt.** The *structure* (relief → compulsion → threshold → voluntary) is stable and is what the exam tests.

SECTION A — Concept-Check (Short Q&A)

A1. What two rights does registration switch on, and why is it the "turnstile" of GST? Under **Sec 25**, only a *registered person* may (a) **legally collect GST** from customers and (b) **claim Input Tax Credit (ITC)**. Registration is the legal identity (GSTIN) through which the government can match invoices, demand tax, and audit — without it the self-policing credit chain (my purchase = your sale) cannot function.

A2. Decode the GSTIN. Why PAN-based and State-wise? 15 characters: **State code (2) + PAN (10) + entity code (1) + "Z" + checksum (1)**. PAN gives national traceability (defeats identity-splitting; links direct and indirect tax); the State code enforces fiscal federalism (each State's SGST is trackable). Hence a person in 3 States needs 3 GSTINs.

A3. Define aggregate turnover [Sec 2(6)]. What is in and what is out? = Taxable + Exempt (incl. nil-rated/non-taxable) + Exports/zero-rated + Inter-State supplies, of the same PAN, all-India basis. **Exclude:** CGST/SGST/IGST/UTGST/Cess, and **inward supplies taxed under reverse charge**. Trap: exempt supplies are **included** for the threshold test though they carry no ITC.

A4. State the thresholds under Sec 22 and the design reason for the split. Goods-only-and-clean (normal State) **₹40L**; Services or mixed (normal State) **₹20L**; special-category States **₹10L** (services/mixed) / **₹20L** (goods). Goods leave a physical trail (e-way bills, stock) so a higher floor is safe; services are invisible so the net is cast wider; small States get a lower floor to protect their SGST base. (*Numbers amendment-sensitive.*)

A5. Who is NOT liable to register [Sec 23], and why does it override Sec 22? Persons supplying **exclusively exempt/nil-rated/non-taxable** supplies; an **agriculturist** (produce out of cultivation); persons making supplies **wholly under reverse charge**. If your entire output carries no output tax, crossing ₹40L is irrelevant — there is nothing to collect.

A6. What is the logic of Sec 24 (compulsory registration)? It opens "**notwithstanding** Sec 22(1)" — **threshold irrelevant, register from Rupee One**. The unifying reason: these persons **touch someone else's tax or cross a border** — inter-State (goods), casual taxable person, RCM recipient, Sec 9(5) ECO, NRTP, TDS deductor (Sec 51), TCS/ECO (Sec 52), sellers via ECO, ISD, agents, OIDAR from abroad. The risk is *structural*, not scale-based.

A7. The two inter-State carve-outs — what escapes Sec 24? Small inter-State supply of **services** up to ₹20L is **exempted** from compulsory registration (notification); so is small supply of **services through an**

ECO. But inter-State supply of **goods** gets **no** such relief. Force-2 logic: tiny service providers were disproportionately burdened.

A8. CTP vs NRTP [Sec 27] — common features? Both must **deposit estimated tax in advance**, apply **at least 5 days prior** to commencing business, and get a registration valid for **90 days (extendable by 90 more)**. The advance deposit is the government's security against a supplier who supplies and vanishes.

A9. Effective date of registration — the 30-day pivot [Sec 25(1), Rule 10]. Apply **within 30 days** of becoming liable → effective from the **date of liability** (ITC on opening stock allowed, no gap). Apply **late** → effective from the **date of grant** (gap-period output tax still owed with interest, but gap-period ITC is lost).

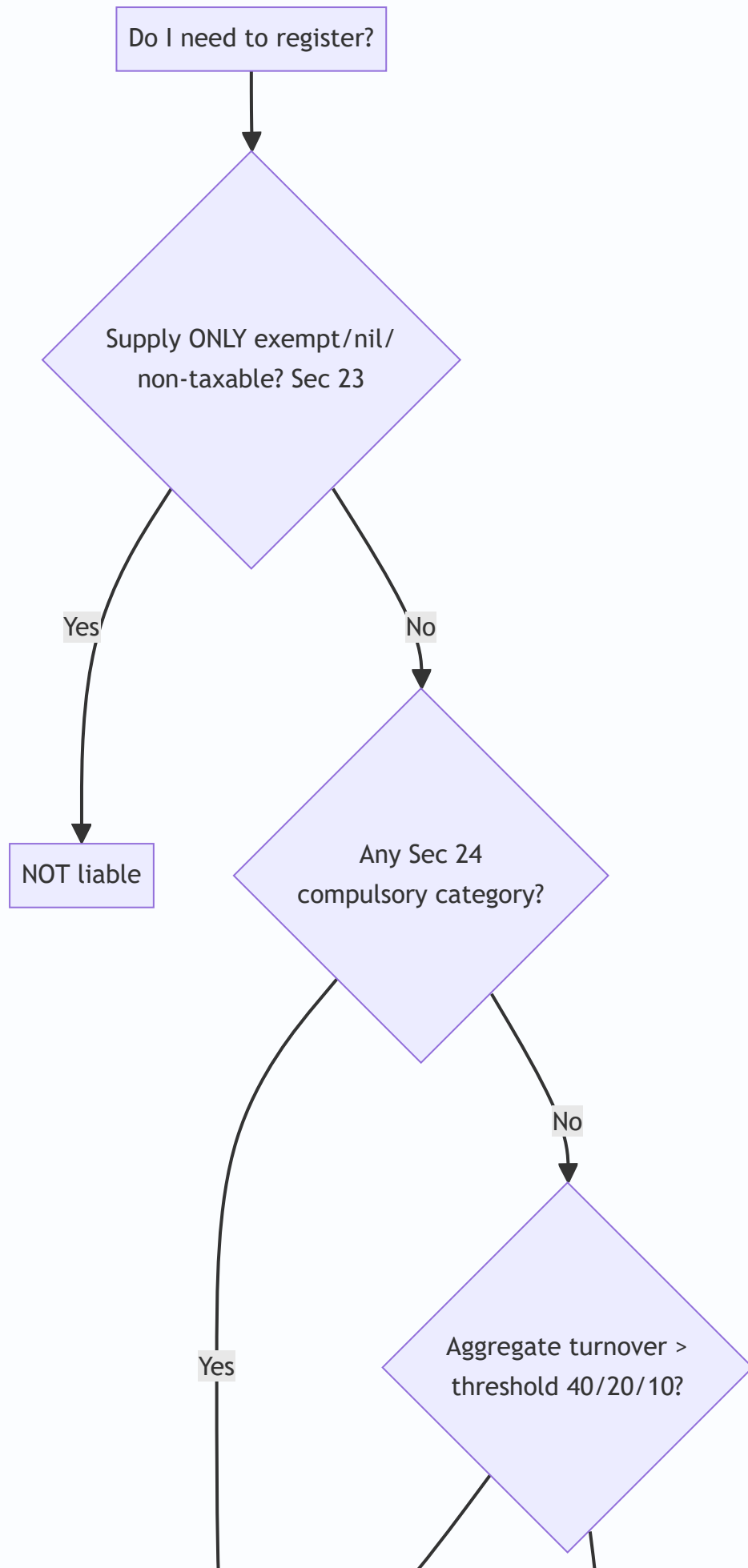
A10. What is the "deemed approval" rule and why does it exist? If the officer takes no action within the prescribed period (broadly 7 working days where Aadhaar-authenticated, else the extended window), registration is **deemed granted**. Rationale: the State should not be able to strangle genuine entry by inaction (frictionless-entry design force).

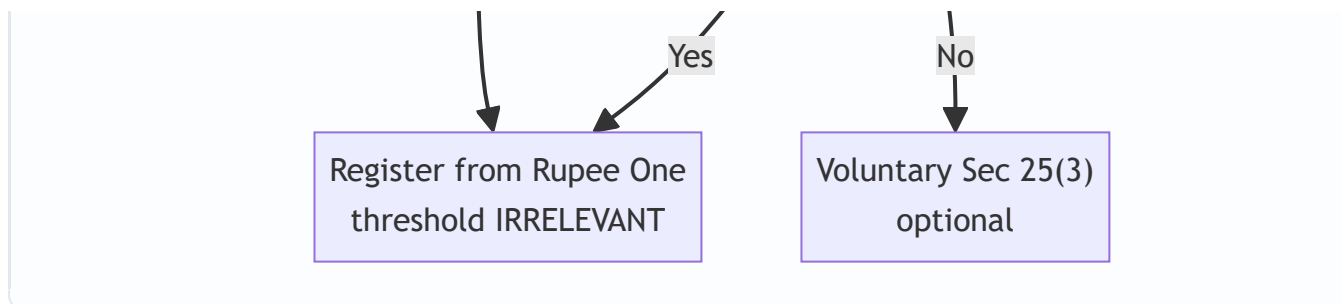
A11. Distinct persons [Sec 25(4)/(5)] — why do branch transfers get taxed? Establishments of the **same PAN in different States** (or separately-registered verticals in one State) are **distinct persons**; a stock transfer between them is a **supply** attracting GST. Reason: each State's SGST base must be independently preserved.

A12. Sec 29(5) — the sting on cancellation. On cancellation the person must pay, by debit to the electronic credit/cash ledger, an amount = **ITC on inputs in stock, inputs in semi-/finished goods, and on capital goods (reduced as prescribed) OR the output tax on such goods, whichever is HIGHER**. This disgorges credit so nobody exits with tax-free stock. **Final Return GSTR-10 within 3 months.**

A13. Revocation [Sec 30] — scope and precondition. Available **only against officer-initiated (suo motu) cancellation**, not your own voluntary cancellation. Precondition: **file all pending returns and pay all dues first**. Apply in **REG-21 within 30 days** of the order (extendable — verify window).

Decision order (memorise the sequence)





Order matters in exam problems: Relief (23) → Compulsion (24) → Threshold (22) → Voluntary (25(3)).

SECTION B — Graded Computational Problems

B1 (Easy) — Aggregate turnover, the exempt trap [Sec 2(6), 22]

Mehta Traders (Maharashtra, normal State, goods only, no inter-State, no Sec-24 item): taxable goods ₹28,00,000; exempt goods ₹9,00,000; nil-rated goods ₹4,00,000; GST paid under RCM on inward legal services ₹1,50,000. Is registration required?

Component	Sec	In/Out	₹
Taxable goods	2(6)	In	28,00,000
Exempt goods	2(6)	In	9,00,000
Nil-rated goods	2(6)	In	4,00,000
RCM inward (legal)	2(6)	Out	—
Aggregate turnover			41,00,000

Threshold = **₹40L** (goods-only-and-clean). ₹41,00,000 > **₹40,00,000** → **liable to register**. **Check:** drop the exempt+nil ₹13L wrongly and you get ₹28L ("not liable") — the exempt supplies are exactly what tip Mehta over. RCM inward correctly excluded. ✓

B2 (Easy) — Services drag the threshold to ₹20L [Sec 22]

Rao & Co (Telangana): consultancy (services) ₹18,00,000 + trading of goods ₹15,00,000, all intra-State, no Sec-24 category. Liable?

- Any **service element** in a normal State kills the ₹40L upgrade → threshold = **₹20L**.
- Aggregate turnover = 18,00,000 + 15,00,000 = **₹33,00,000** > **₹20,00,000** → **liable**. **Check:** had it been goods-only ₹33L it would still be liable (>₹40L? no — ₹33L < ₹40L → NOT liable). The service element is what forces registration here. ✓

B3 (Moderate) — Sec 24 overrides a sub-threshold firm [Sec 24]

Rao Consultancy (Telangana): consultancy ₹19,00,000 (intra-State) + a single **inter-State supply of goods** ₹50,000 to Karnataka. Liable?

- Step 1 (threshold view):** services → ₹20L; ₹19,00,000 < ₹20,00,000 → *appears* below threshold.
- Step 2 (Sec 24 checked first):** inter-State supply of **goods** = compulsory category, **threshold irrelevant**.

- The services carve-out (inter-State **services** ≤ ₹20L) does **not** rescue a *goods* supply.
- **Conclusion: liable compulsorily under Sec 24. Check:** had the ₹50,000 been inter-State *services*, the carve-out keeps Rao out (turnover < ₹20L). One ₹50,000 goods supply = full registration. ✓

B4 (Moderate) — Effective date and lost ITC [Sec 25(1), Rule 10]

Nair Foods (Kerala, goods-only) crossed ₹40L on **10 August**; applied **25 September**; granted **1 October**. In the gap it made taxable supplies of ₹6,00,000 (GST @18% = ₹1,08,000) and bought inputs bearing ₹90,000 GST.

- 30-day window from 10 Aug ends **9 September**; applied 25 Sept → **late by 16 days**.
- Late ⇒ registration effective from **date of grant = 1 October**.
- Gap output tax **still owed**: ₹1,08,000 + interest/penalty (liability arose 10 Aug, independent of grant).
- Gap-period **ITC of ₹90,000 is LOST** (timely applicant would have got registration from 10 Aug and claimed ITC on stock; late application forfeits this). **Check:** timely path → net cost = 1,08,000 – 90,000 = ₹18,000; late path → ₹1,08,000 out, ₹90,000 credit gone. The ₹90,000 asymmetry is the deliberate penalty for delay. ✓

B5 (Moderate) — Casual taxable person advance tax [Sec 24, 27]

Bengal Handlooms (registered in WB) takes a 20-day Delhi trade-fair stall; expected supplies ₹8,00,000 @ 18% GST (intra-Delhi). What must it do?

- Occasional supply, no fixed place in Delhi = **CTP** → **Sec 24 compulsory**, threshold irrelevant.
- Apply **≥5 days before** commencing; deposit **advance tax = estimated liability** = 18% × 8,00,000 = **₹1,44,000** (CGST ₹72,000 + SGST ₹72,000, credited to electronic cash ledger).
- Registration valid **90 days**, extendable by **90 more**. **Check:** advance deposit ≈ estimated output tax; it is the security against pack-up-and-leave. ✓

B6 (Exam-hard) — Sec 29(5) reversal on cancellation

Surya Ltd's registration is cancelled. On the effective date it holds: inputs in stock with ITC availed ₹60,000; inputs contained in finished goods with ITC ₹25,000; capital goods bought 30 months earlier, ITC originally availed ₹1,80,000 (useful life taken as 60 months; ₹3,000 p.m.). Output tax if the stock/goods were supplied today = ₹70,000. Compute the reversal.

Item	Basis	₹
ITC on inputs in stock	full	60,000
ITC on inputs in finished goods	full	25,000
Capital goods: ITC reduced for used life	1,80,000 × (remaining 30/60)	90,000
(A) ITC-based amount		1,75,000
(B) Output tax on such goods	given	70,000
Payable = higher of (A),(B)	Sec 29(5)	1,75,000

- Capital-goods ITC is reduced by 5 percentage points per quarter (~pro-rata for months used): used 30 of 60 months → reverse the **remaining** 30 months = ₹90,000.

- File **GSTR-10 within 3 months**. **Check:** ₹1,75,000 (ITC-based) > ₹70,000 (output-tax) → higher figure ₹1,75,000 disgorged; nobody exits with credited-but-untaxed stock. ✓ (*Prescribed reduction method is rule-sensitive — verify.*)

B7 (Exam-hard) — Sec 23 vs Sec 24 interplay

Kisan Agro: sale of own farm produce ₹50,00,000 (agriculturist); plus it is **liable to pay tax under RCM** on ₹2,00,000 of inward goods-transport (GTA) services. Is it liable to register?

- Agriculturist's produce → **Sec 23 not liable** for that activity, and turnover of exempt-type produce would not by itself force registration.
- **BUT** being **liable under reverse charge** is an independent **Sec 24 compulsory** trigger — threshold irrelevant.
- **Conclusion: must register** (to deposit the RCM tax and be auditable), even though its outward produce alone would keep it out. **Check:** Sec 23 relieves the *produce*; Sec 24 compels because Kisan now *pays someone else's-type tax as recipient*. Compulsion beats relief here. ✓

SECTION C — Past-Paper-Style Full Questions

C1. "Is registration required + from what date" (typical 6-mark)

Q. Mr. Bose supplies goods only, in Assam (special-category, ₹20L for goods) and West Bengal (normal). All-India same-PAN turnover: Assam taxable ₹12,00,000; WB taxable ₹15,00,000; WB exempt ₹6,00,000. He crossed the limit on 5 July, applied 20 July, granted 28 July. (a) Liable? (b) In which States? (c) Effective date?

Model answer. - **Aggregate turnover [Sec 2(6)]** is computed **all-India, same PAN** = 12,00,000 + 15,00,000 + 6,00,000 (exempt included) = **₹33,00,000**. - The **relevant threshold** for a *goods-only* supplier is ₹40L (normal) / ₹20L (special-category goods). Aggregate ₹33L exceeds the **₹20L special-category limit** → **liable**. - Registration under **Sec 22** is **State-wise**: once aggregate turnover crosses the limit, he must register **in every State from which he makes taxable supplies** — i.e. **both Assam and West Bengal** (each needs its own GSTIN). - Applied on **20 July**, within **30 days** of 5 July → effective from the **date of liability, 5 July** [Rule 10]; ITC on inputs held in stock as on 4 July is available under Sec 18(1)(a). **Check:** threshold tested on all-India aggregate but registration taken State-wise; timely application preserves the liability-date effective date. ✓

C2. "Explain the procedure and timelines" (theory, 5-mark)

Q. Outline the registration procedure under Sec 25 read with Rules 8–11, including forms and the deemed-approval concept.

Model answer. 1. **REG-01 Part A** — PAN (portal-validated), mobile & email (**OTP-verified**) → **TRN** issued. 2. **REG-01 Part B** — business details, place(s) of business, bank, authorised signatory, documents; verify via **DSC / e-sign / EVC**. 3. **REG-02** acknowledgement issued. 4. **Aadhaar authentication (Rule 8)** — success = fast-track; failure/risk-flag = **physical verification of premises**. 5. Officer scrutiny: if in order & Aadhaar-authenticated, **approve within 7 working days**; if physical verification, window extends (~30 days); if deficient, **notice REG-03** → applicant replies **REG-04 within 7 working days** → officer may reject **REG-05**. 6. **Deemed approval** if the officer does not act within the prescribed period — protects genuine entrants from

bureaucratic inaction. 7. **Certificate REG-06** carrying the **GSTIN** is issued. Apply **within 30 days** of becoming liable (CTP/NRTP: **5 days prior**). (*Timelines amendment-sensitive.*)

C3. Cancellation and revocation (application, 7-mark)

Q. M/s Ravi Enterprises did not file returns for a continuous prescribed period; the proper officer cancelled its registration suo motu on 1 April. It holds stock on which ITC of ₹40,000 was availed and capital goods (remaining-life ITC ₹60,000); output tax on such goods = ₹55,000. It now wants back in. Advise on (a) the reversal on cancellation, (b) whether and how it can be revived.

Model answer. - (a) **Sec 29(5) reversal:** pay higher of — ITC-based ₹40,000 + ₹60,000 = **₹1,00,000**, or output tax **₹55,000** → **₹1,00,000** payable by debit to the ledgers. File **Final Return GSTR-10 within 3 months** of the cancellation order. - (b) **Revocation [Sec 30, Rule 23]:** because cancellation was **officer-initiated (suo motu)**, revocation is available (it would **not** be, had cancellation been voluntary).

Precondition: furnish **all pending returns** and **pay all dues** (tax, interest, late fee, penalty) *first*. Then apply in **REG-21 within 30 days** of the order (extendable by the proper officer/Commissioner — verify window). Officer restores via **REG-22**; may reject after notice (REG-23) and reply (REG-24). **Check:** revocation cures a defaulter who repairs the default; it is not a route to escape the Sec 29(5) clawback. ✓

SECTION D — MCQs / Case Scenarios

D1. Aggregate turnover under Sec 2(6) **includes** — (a) CGST/SGST; (b) exempt supplies; (c) RCM inward supplies; (d) none. → **(b).** Exempt supplies count for the threshold; taxes and RCM inward are excluded.

D2. The ₹40 lakh threshold applies to — (a) any supplier; (b) service providers; (c) exclusive goods suppliers who are clean of disqualifiers; (d) special-category States. → **(c).** Goods-only, no inter-State, no Sec-24, no specified goods, not voluntarily registered. (*Amount amendment-sensitive.*)

D3. A firm with ₹8L turnover makes one inter-State supply of **goods**. It — (a) need not register; (b) must register (Sec 24); (c) registers only if > ₹20L; (d) is exempt as agriculturist. → **(b).** Inter-State supply of goods is compulsory registration, threshold irrelevant.

D4. Inter-State supply of **services** up to ₹20L — (a) forces registration; (b) is exempt from **compulsory** registration by notification; (c) attracts ₹40L limit; (d) is prohibited. → **(b).** The services-only carve-out from Sec 24; goods get no such relief.

D5. A person supplying **wholly exempt** goods with ₹60L turnover — (a) must register (> ₹40L); (b) not liable (Sec 23); (c) CTP; (d) must take voluntary registration. → **(b).** Sec 23 relieves wholly-exempt suppliers; crossing ₹40L is irrelevant with no output tax.

D6. A CTP must apply for registration — (a) within 30 days; (b) at least 5 days before commencing business; (c) within 90 days; (d) never. → **(b).** Sec 27; also deposits advance tax; validity 90 (+90) days.

D7. Applying for registration **after** 30 days of becoming liable makes it effective from — (a) date of liability; (b) date of grant; (c) 1 April; (d) date of first supply. → **(b).** Rule 10 — late application forfeits the liability-date effect and the gap-period ITC.

D8. On cancellation, the amount payable under Sec 29(5) is — (a) ITC on stock only; (b) output tax only; (c) higher of ITC on stock+capital goods OR output tax on such goods; (d) nil. → **(c).** Whichever is higher; then file GSTR-10 within 3 months.

D9. Revocation of cancellation (Sec 30) is available — (a) for any cancellation; (b) only for voluntary cancellation; (c) only for officer-initiated cancellation after curing default; (d) automatically. → **(c).** REG-21 within 30 days, after filing all returns and paying dues.

D10. Change of **principal place of business** is — (a) a non-core auto-amendment; (b) a core-field amendment needing officer approval (REG-14/REG-15); (c) requires fresh registration; (d) not intimated. → **(b).** Core field — intimate REG-14 within 15 days; officer approves REG-15.

D11. Case scenario. X (Delhi) has consultancy turnover ₹17L and is **liable under RCM** on inward legal services. X — (a) need not register (below ₹20L); (b) must register (Sec 24 — RCM recipient); (c) is not liable (Sec 23); (d) registers only above ₹40L. → **(b).** RCM liability is a Sec 24 compulsory trigger; the ₹20L threshold is irrelevant.

D12. Case scenario. Same PAN, two branches — Gujarat and Rajasthan. A stock transfer between them is — (a) not a supply (same company); (b) a supply between distinct persons, taxable (Sec 25(4)); (c) exempt; (d) an amendment. → **(b).** Different-State establishments of one PAN are distinct persons; the transfer is a taxable supply.

D13. A proprietorship converts to a company (PAN changes). It should — (a) file REG-14 amendment; (b) take **fresh registration**; (c) revoke and reapply; (d) do nothing. → **(b).** GSTIN is PAN-based; a new PAN is a new legal person → fresh registration, not amendment.

One-line traps to carry into the hall

- **Exempt/nil supplies COUNT** in aggregate turnover for the threshold (Sec 2(6)) — the #1 error.
- **RCM inward is OUT** of turnover, but being **RCM-liable is a Sec 24 compulsory trigger** — two different points.
- **₹40L = goods-only-and-clean**; any service element (normal State) → **₹20L**; special-category → **₹10L**.
- **Sec 24 beats the threshold** — inter-State *goods*, CTP, RCM, ECO, TDS/TCS, NRTP, ISD, agents register from Rupee One.
- **Inter-State services ≤ ₹20L escape** Sec 24; inter-State *goods* do not.
- **Timely (≤30 days) → effective from liability date & ITC on stock**; late → grant date, gap ITC lost, gap tax still due.
- **Sec 29(5): higher of ITC-on-stock-and-capital-goods OR output tax**; then **GSTR-10 in 3 months**.
- **Revocation only against officer cancellation, only after curing default** (REG-21, 30 days).
- **Core amendment (name/place/partners) needs approval; PAN-changing constitution change = fresh registration.**
- Thresholds, special-category list and timelines are **amendment-sensitive** — never quote from memory without the caveat.

Chapter 21 — Tax Invoice, Credit & Debit Notes

Rates / thresholds / amendments flag: This chapter teaches the *logic and mechanism* of documentation under Sections 31–34 of the CGST Act, 2017 read with Rules 46–55A of the CGST Rules, 2017. The framework is permanent. But the **e-invoicing turnover threshold (currently ₹5 crore aggregate turnover)**, the **QR-code rules**, the **HSN-digit requirements**, and the **exact time limits** are amended frequently by notification. **Verify current thresholds and any latest amendments in ICAI material for your attempt.** The *why* below does not change.

1. The Problem — Why a tax law obsesses over a piece of paper

Step back and ask a strange question: why does GST — a law about *money* — spend an entire chapter, four sections, and a dozen rules on *documents*? Excise and VAT never made this much fuss. The answer is the single most important structural fact about GST, and if you grasp it, this chapter writes itself.

GST is a self-policing, credit-based tax that runs on a chain of documents, not on a chain of trust.

Recall the promise of GST from the very first GST chapter: tax only on *value added*, achieved through **seamless input tax credit (ITC)**. Your output tax minus the tax you already paid on inputs equals what you deposit. But this creates an immediate, dangerous asymmetry:

Problem 1 — The recipient's credit is the supplier's liability, and they are two different people. When A sells to B and charges ₹18,000 GST, B wants to claim ₹18,000 as ITC. B's *credit* is only legitimate if A *actually charged and (eventually) paid* that ₹18,000 to the government. If B could claim credit on nothing but B's own word, the treasury would haemorrhage — every buyer would invent purchases. So the law needs a **single, standardised, tamper-resistant token** that simultaneously (a) records A's liability and (b) authorises B's credit. That token is the **tax invoice**. It is the *pivot* of the entire GST machine: one document, two tax consequences, opposite directions.

Problem 2 — The government cannot watch every transaction, so it must audit backwards. With crores of transactions, no officer can observe supply happening. The only way to reconstruct "did tax actually flow?" is a **paper (now digital) trail** that can be matched: A's outward invoice against B's inward claim. If the documents don't have a fixed format, mandatory contents, and a unique serial number, matching is impossible and fraud is invisible. The invoice is therefore the **audit trail's fundamental unit**.

Problem 3 — Not every business event is a "sale with tax." A dealer in exempt goods charges no tax. A registered person receiving a small cash advance hasn't supplied anything yet. A composition dealer isn't allowed to charge GST at all. If every such event were forced onto a "tax invoice," the invoice would falsely assert a tax that isn't due — and a buyer might wrongly claim credit off it. So the law needs a **family of documents**, each shaped to its situation: bill of supply, receipt voucher, refund voucher, payment voucher, delivery challan.

Problem 4 — The original invoice is often wrong after the fact. Goods come back. A discount is agreed later. The rate was mis-charged. The quantity was over-billed. Once B has already taken credit on the original invoice, you cannot simply tear it up — B's books and the government's records already reference it. You need a *linked correcting document* that adjusts the numbers **without erasing the audit trail**, and that forces a symmetrical reversal: if the supplier reduces output tax, the recipient must reduce ITC. That is the entire

reason **credit notes and debit notes** exist under GST, and it is why a GST credit note is a very different animal from a commercial "credit note."

Problem 5 — Paper invoices can be faked, back-dated, and double-used. The rise of *fake-invoice rackets* (invoices with no underlying supply, used to pass on bogus ITC) is the biggest fraud in GST history. The structural fix is **e-invoicing** — reporting the invoice to a government portal *before* it is used, getting it authenticated with a unique number, so a fake can't enter the credit chain undetected.

So the whole chapter is one idea in five costumes: **the credit chain is only as trustworthy as the documents that feed it**. Every rule below is protecting that chain.

2. The Core Idea

The tax invoice is the load-bearing document of GST: it is simultaneously the *evidence of the supplier's output-tax liability* and the *sole legitimate basis for the recipient's input tax credit*. Everything else in this chapter is either (a) a *substitute* document for situations where a tax invoice would lie (bill of supply, vouchers, delivery challan), or (b) a *correcting* document that adjusts an already-issued invoice while preserving the audit trail (credit/debit notes), or (c) an *authentication* layer that stops fake invoices from entering the chain (e-invoicing).

Three load-bearing ideas organise the chapter:

1. **One document, two mirror-image consequences.** The tax invoice is the hinge. On the supplier's side it fixes *when* and *how much* output tax is due; on the recipient's side it is condition-number-one for ITC under Section 16. This is why its *contents* and *timing* are legislated in detail — a vague invoice breaks both sides.
2. **Match the document to the truth of the event.** If there's a taxable supply → tax invoice. If the supply is exempt or the supplier is a composition dealer → **bill of supply** (no tax shown). If money is received but nothing is yet supplied → **receipt voucher**. If that advance is later refunded → **refund voucher**. If you pay tax under reverse charge to an unregistered supplier → **self-invoice + payment voucher**. If goods move without a supply → **delivery challan**. The document *is a factual claim* about the event; issuing the wrong one is issuing a false claim.
3. **Never erase — always link and reverse.** Post-supply corrections flow through credit/debit notes that carry the *original invoice reference*, so the trail stays intact and the tax adjustment is symmetric on both sides.

Everything else is detail hanging off these three hooks.

3. Why It's Built This Way — the design logic behind each lever

Before a single section, internalise the design choices. Every rule below is one of these in disguise:

Design choice	The problem it solves	How the Act implements it
A mandatory, standard-format invoice	Credit needs a tamper-resistant, matchable token (Problems 1 & 2)	Sec 31 + Rule 46 (16 prescribed particulars, consecutive serial)
Legislated <i>time limits</i> to issue it	Late/no invoice hides supply and delays the tax point	Sec 31(1)/(2) — different rules for goods vs services
A no-tax document for non-taxable supplies	A tax invoice would falsely assert tax and enable wrong ITC (Problem 3)	Bill of supply, Sec 31(3)(c) + Rule 49
Vouchers for advances and refunds	Money moved but supply hasn't (or was undone)	Receipt/refund voucher, Sec 31(3)(d)/(e)
Self-invoice under RCM	Unregistered supplier issues nothing; recipient owes the tax	Sec 31(3)(f) + payment voucher 31(3)(g)
Delivery challan for movement without supply	Goods move (job-work, transfer) but no supply/invoice yet	Rule 55
Credit note reduces output tax	Over-billing / returns / discounts must be undone without deleting the invoice (Problem 4)	Sec 34(1)/(2) — supplier-issued, with reversal condition
Debit note increases output tax	Under-billing must be topped up, linked to the original	Sec 34(3)/(4) — supplier-issued
E-invoice pre-authentication (IRN + QR)	Fake invoices poison the credit chain (Problem 5)	Rule 48(4) + notified threshold

Two elegant points to carry through the chapter:

- **The invoice is issued by the *supplier*, always — including credit and debit notes.** A recipient never issues a GST credit/debit note that adjusts tax. This surprises accountants used to commercial practice, and examiners love it (see Traps).
- **GST separates the *tax point* from the *document*, but ties them tightly.** The *time of supply* (Chapter 17) often is the invoice date — so getting the invoice timing wrong shifts the whole tax liability into the wrong month. Documentation is not paperwork bureaucracy; it is the timing mechanism.

4. Full Technical Content — Sections 31–34 with the "why"

4.1 The tax invoice — Section 31 + Rule 46

Who and when — the charging link. Section 31 obliges a **registered person** making a **taxable supply** to issue a tax invoice. The *timing* differs for goods and services because their economics differ — goods have a physical movement you can pin a date to; services are continuous and intangible.

Time limit — GOODS — Sec 31(1): invoice must be issued **before or at the time of - removal** of goods, where supply involves *movement*; or - **delivery / making available** to the recipient, where there is *no movement*.

Why: goods have a clean physical trigger (removal). Pinning the invoice to removal means the invoice date and the movement date coincide, so the e-way bill, the transporter's documents, and the tax point all line up

and can be cross-matched.

Time limit — SERVICES — Sec 31(2) + Rule 47: invoice must be issued **within 30 days** of the *supply of service* (**45 days** for banking companies, insurers, and NBFCs).

Why: services have no "removal" moment. The law gives a reasonable window after the service is rendered, but caps it so the tax point can't be pushed indefinitely. The longer 45-day window for financial-sector entities reflects their high transaction volumes and billing cycles.

Continuous supply of goods (Sec 31(4)): invoice on or before each *statement of account / payment*.

Continuous supply of services (Sec 31(5)): invoice by the *due date of payment* if ascertainable from the contract; else *before/at receipt of payment*; if payment is linked to completion of an event, *on or before that event*.

Why: a 12-month AMC or an electricity connection has no single "supply" moment — the trigger is the contractual billing/payment milestone, so the invoice tracks the milestone.

Goods sent on approval / sale-or-return (Sec 31(7)): invoice **before or at the time of supply**, or **within 6 months** of removal, whichever is earlier. *Why:* the "supply" only crystallises when the recipient approves; the 6-month outer cap stops indefinite deferral.

Contents — Rule 46 (the 16 particulars). A tax invoice must contain (learn these as *what a matcher and an auditor need*, not as a list):

#	Particular	Why it's mandatory
1	Name, address, GSTIN of supplier	Identifies who owes the output tax
2	Consecutive serial number (≤ 16 chars, unique for a FY)	Makes invoices countable and un-duplicable — the anti-fraud backbone
3	Date of issue	Fixes the tax point / time limit
4	Recipient name, address, GSTIN/UID (if registered)	Links the credit to a real registered claimant
5	For unregistered recipient & value > ₹50,000 — name, address, delivery address, State & code	Tracks high-value B2C for inter-State place-of-supply
6	HSN code of goods / SAC of services	Enables rate verification and analytics
7	Description of goods/services	Proves a real supply exists
8	Quantity (with unit)	Ties to physical movement
9	Total value of supply	—
10	Taxable value (after discounts under Sec 15)	The base the recipient claims credit against
11	Rate of tax (CGST/SGST/IGST/cess separately)	—
12	Amount of tax charged (each head separately)	The exact ITC the recipient may claim
13	Place of supply + State (for inter-State)	Decides CGST+SGST vs IGST
14	Delivery address if different from place of supply	Place-of-supply integrity
15	Whether tax is on reverse charge basis	Warns recipient <i>they</i> must pay, and must NOT claim on this invoice as forward charge
16	Signature / digital signature of supplier	Authenticates the document

Memory hook — "WHO, WHAT, HOW-MUCH, WHERE, SIGNED": *Who* (supplier + recipient GSTIN), *What* (HSN + description + quantity), *How-much* (taxable value + rate + tax), *Where* (place of supply), *Signed*. Every particular falls under one of these five — because a matcher needs exactly these to reconcile A's outward with B's inward.

Manner of issue — Rule 48: - **Goods** → **triplicate**: Original for **Recipient**, Duplicate for **Transporter**, Triplicate for **Supplier**. - **Services** → **duplicate**: Original for **Recipient**, Duplicate for **Supplier**. *Why the extra copy for goods?* The transporter must carry proof during physical movement (Problem 2 again — the trail must be visible on the road).

HSN digit requirement (Rule 46 read with notification): turnover-linked — broadly, aggregate turnover **up to ₹5 crore** → **4 digits**, **above ₹5 crore** → **6 digits** for B2B (B2C relaxations exist). *Verify current slabs for your attempt.*

Relaxations — small value (Rule 46 proviso): for supplies < **₹200** to an unregistered recipient who doesn't need an invoice, the supplier may issue a **consolidated tax invoice** at day-end. *Why:* a tea-stall can't invoice every ₹10 cup; there's no ITC at stake so the audit-trail value is negligible.

Revised invoice (Sec 31(3)(a) + Rule 53): between the *effective date of registration* and the *date the certificate is granted*, a newly-registered person may issue **revised invoices** for supplies already made. *Why:*

registration takes effect from an earlier date than the certificate arrives; the person supplied *before* they had a GSTIN to print, so the law lets them regularise those supplies (and pass on ITC).

4.2 Bill of Supply — Sec 31(3)(c) + Rule 49

Issued **instead of** a tax invoice by: - a **composition** taxpayer (they pay a flat rate and cannot collect GST); and - a supplier of **exempt** goods/services (no tax to charge).

It shows NO tax and carries the legend accordingly (a composition dealer must state "*composition taxable person, not eligible to collect tax on supplies*"). *Why*: if it showed tax, the recipient might wrongly claim ITC on tax that was never legitimately charged — corrupting the chain (Problem 3). Same 16-ish particulars minus rate/amount of tax. Small-value relaxation (< ₹200) also applies.

A registered person supplying **both taxable and exempt** goods may issue a single "**invoice-cum-bill of supply**" to an unregistered recipient (Rule 46A).

4.3 Receipt, Refund, and Payment Vouchers — Sec 31(3)(d)–(g)

These plug the gap between *money* and *supply*.

- **Receipt voucher — Sec 31(3)(d) + Rule 50**: issued when a registered person **receives an advance** for a supply. *Why*: for *services*, receipt of advance is a time-of-supply trigger, so tax may be due before the invoice — the receipt voucher documents that advance and its tax. (For *goods*, advance no longer triggers tax for most suppliers, but the voucher framework remains.) If the rate/place isn't known when the advance is received, treat rate as **18%** and supply as **inter-State** — sensible fallbacks so tax is still collected.
- **Refund voucher — Sec 31(3)(e) + Rule 51**: if the advance was received (receipt voucher issued) but **no supply happens and no invoice is issued**, and the money is refunded, issue a refund voucher. *Why*: it closes the loop and supports the refund of the tax paid on the advance.
- **Payment voucher — Sec 31(3)(g) + Rule 52**: a recipient liable under **reverse charge (RCM)** issues this **when making payment** to the supplier. *Why*: documents the RCM payment leg.
- **Self-invoice — Sec 31(3)(f)**: where a registered person receives goods/services from an **unregistered supplier under RCM**, the *recipient* issues an invoice **to himself** (the supplier can't, having no GSTIN). *Why*: the recipient owes the tax and needs a document to (a) discharge it and (b) later claim ITC on it — no self-invoice, no proof.

4.4 Delivery Challan — Rule 55

Used when goods move but there is **no supply / invoice yet**: - supply quantity unknown at removal (e.g., liquid gas); - goods sent for **job work**; - **inter-branch / stock transfer** not amounting to supply; - other notified cases (e.g., goods for exhibition, semi-knocked-down consignments).

Issued in **triplicate** (Original-consignee, Duplicate-transporter, Triplicate-consignor). *Why it exists*: the e-way-bill/matching system assumes documents accompany moving goods (Problem 2). When there's genuinely no invoice to issue, the challan is the stand-in so movement stays documented and legal.

4.5 Credit Notes and Debit Notes — Section 34 (the correction engine)

This is the heavily-examined heart of the chapter. Anchor on the **direction of the error**.

Credit Note — Sec 34(1)/(2) — issued by the SUPPLIER when the original invoice OVER-stated the tax. Triggers: 1. **taxable value or tax charged was more** than actual (over-billing / wrong higher rate); 2. **goods returned** by the recipient; 3. goods/services found **deficient**; 4. **post-supply discount** meeting Sec 15(3)(b) conditions.

Effect: it *reduces* the supplier's **output tax liability** — but **only if the reduction is passed correctly**.

The crucial condition (Sec 34(2)): the supplier may reduce output tax **only if the recipient has correspondingly reduced his ITC**. *Why:* this is the symmetry rule that protects the treasury. If A reduces output tax by ₹1,800 but B keeps the ₹1,800 credit, the government loses ₹1,800. So the reduction is only allowed when the mirror reversal happens on B's side. This is enforced through the return system (the credit note is declared in GSTR-1, flows to B's GSTR-2B, and B must reverse).

Time limit to declare a credit note (Sec 34(2)): by the **30th November** following the end of the financial year of the supply, **or** the date of filing the relevant **annual return, whichever is earlier**. *Why:* after this date the year is effectively closed for adjustments; allowing later reductions would let suppliers reopen settled tax periods.

Debit Note — Sec 34(3)/(4) — issued by the SUPPLIER when the original invoice UNDER-stated the tax. Triggers: taxable value or tax charged was **less** than actual (under-billing / wrong lower rate / extra supply).

Effect: it *increases* output tax liability. **No time limit** to issue a debit note (you can always pay *more* tax — the treasury never objects to extra collection). *Note for ITC:* the recipient's time limit to claim ITC on a debit note runs from the **debit note's own date/financial year** (per the Sec 16(4) amendment), not the original invoice's — a favourable, tested point.

Two structural rules students miss: - **Both notes are always issued by the supplier.** A "credit note" the buyer sends back is a commercial document with *no GST effect*. (Trap.) - **A GST credit/debit note need not be one-per-invoice.** Since 2019, a supplier may issue **one consolidated credit/debit note against multiple invoices** in a financial year — no need to link to a single original invoice number. *Why:* eases compliance for volume discounts spanning many invoices. - **Financial / commercial credit notes (no GST):** if a *post-supply discount* does **not** meet Sec 15(3)(b) (e.g., it wasn't agreed before supply, or ITC wasn't reversed), the supplier can still issue a **commercial credit note** — but **cannot reduce output tax**, and the recipient need not reverse ITC. Only the *taxable-value* leg is settled commercially. (Heavily tested — see Example 3.)

Contents (Rule 53): a credit/debit note must show the supplier's details, a consecutive serial number, date, the **corresponding tax-invoice number(s)** (or the reason if consolidated), the taxable value, and the tax adjusted.

4.6 E-invoicing — Rule 48(4) (the anti-fraud authentication layer)

What it is (and isn't): e-invoicing does **not** mean generating an invoice on a government website. The supplier generates the invoice in his own accounting system in a **standard schema (INV-01/JSON)**, then **uploads it to the Invoice Registration Portal (IRP)**, which validates it and returns: - a unique **Invoice Reference Number (IRN)** — a 64-character hash; and - a **signed QR code**. Only then is it a **legally valid tax invoice**. An invoice required to be e-invoiced but **not** carrying an IRN is **not a valid document** — and the recipient **cannot claim ITC** on it (ties back to Sec 16). *Why this design:* pre-clearance. Because the invoice is registered with the government *before* it enters the supply chain, a fake invoice (no real supply) can be

traced and blocked — directly attacking the fake-ITC racket (Problem 5). Data also auto-populates GSTR-1 and the e-way bill, killing duplicate entry.

Who must: registered persons whose **aggregate turnover exceeds the notified threshold (currently ₹5 crore)** in any preceding FY from 2017-18 onward, for **B2B supplies, exports, and credit/debit notes**. *Verify the current threshold for your attempt.*

Exempt from e-invoicing regardless of turnover: SEZ units (not developers), insurers, banks/NBFCs, GTAs, passenger-transport suppliers, suppliers of admission to cinema/multiplex, and government departments/local authorities. **B2C invoices are outside e-invoicing** (but large taxpayers must display a **dynamic QR code** on B2C invoices).

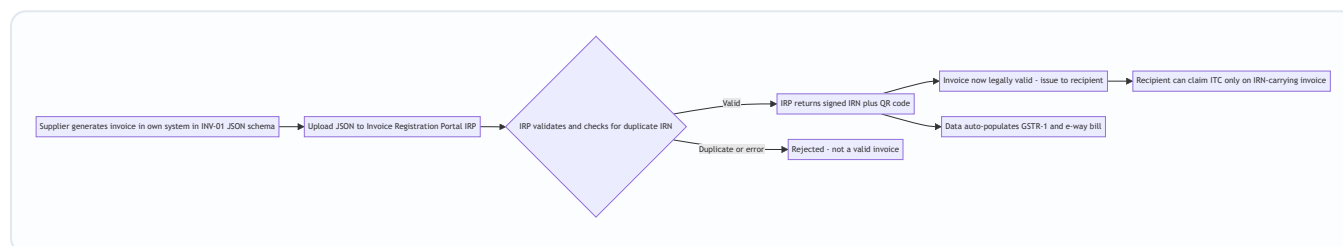


Figure 1 — the e-invoicing flow: authentication happens *BEFORE* the invoice enters the credit chain, so fakes are blocked at the door.

5. Worked Examples

Example 1 — Invoice timing: goods vs services

Facts. (a) Alpha Ltd removes machinery from its factory to customer B on **10 July**; goods reach B on **14 July**. (b) Alpha also renders a consultancy service to C, completed on **10 July**.

Solve. - **Goods (movement involved):** invoice must be issued **on or before removal = 10 July** (Sec 31(1) (a)). Delivery date (14 July) is irrelevant to invoicing. So the tax point sits in July. - **Service:** invoice must be issued **within 30 days of supply**, i.e., on or before **9 August** (Sec 31(2) + Rule 47). If Alpha were a bank/NBFC/insurer, the window would be **45 days** (till 24 August).

Reconcile. Goods → invoice *coincides with* physical removal (10 Jul); service → up to 30 days grace (till 9 Aug). Same completion date, different documentation deadlines — because the underlying economics differ.

Example 2 — Credit note for sales return, with the symmetry condition

Facts. On **5 May 2025**, Supplier S sells goods to Registered buyer R: taxable value **₹1,00,000**, IGST @18% = **₹18,000** (inter-State). R claims ₹18,000 ITC. On **20 June 2025**, R returns goods worth **₹40,000** (taxable value) as defective.

Solve. 1. S issues a **credit note** (Sec 34(1)) for taxable value ₹40,000 + IGST ₹7,200. 2. S may **reduce output tax by ₹7,200** — **but only because** R will reverse ₹7,200 of ITC (Sec 34(2) symmetry condition). Net position:

Party	Original	After credit note	Effect
Supplier S output tax	₹18,000	₹18,000 – ₹7,200 = ₹10,800	pays ₹7,200 less
Buyer R ITC	₹18,000	₹18,000 – ₹7,200 = ₹10,800	reverses ₹7,200

3. **Time-limit check:** the supply is in FY 2025-26. S must **declare** the credit note by **30 November 2026** or the date of filing the annual return for FY 2025-26, whichever is earlier. 20 June 2025 is well within limits.

Reconcile. Treasury is neutral: ₹7,200 less collected from S, ₹7,200 less credited to R. The symmetry rule made the reduction safe.

Example 3 — Post-supply discount: GST credit note vs commercial credit note

Facts. Supplier P sold goods across the year to dealer D on many invoices (total taxable value ₹50,00,000, GST ₹9,00,000, all credited by D). In March, P grants a **year-end volume discount of ₹2,00,000** (plus GST ₹36,000 on it).

Case A — discount was agreed *in the contract before the supplies* (Sec 15(3)(b) satisfied) and is linked to invoices, and D reverses ITC. - P issues a **GST credit note** (may be a *single consolidated* note against all the year's invoices). - P **reduces output tax by ₹36,000**; D **reverses ₹36,000 ITC**. Both taxable value and tax adjust.

Case B — discount was decided *after supply* / not pre-agreed, OR D will not reverse ITC. - Sec 15(3)(b) is **not** met, so P **cannot** reduce output tax. - P issues a **commercial (financial) credit note** for ₹2,00,000 only. **No GST adjustment**; D keeps full ₹9,00,000 ITC and does not reverse. - P has effectively borne the ₹36,000 GST on the discount.

Reconcile. The document's *label* is the same ("credit note"), but the *tax effect* is governed entirely by whether Sec 15(3)(b) conditions are met — the classic examiner trap.

Example 4 — Debit note for under-billing

Facts. On 12 August, Q invoices a supply at taxable value ₹80,000, CGST+SGST @18% = ₹14,400. In September Q realises the correct value was ₹90,000.

Solve. Q issues a **debit note** (Sec 34(3)) for the shortfall: taxable value ₹10,000 + tax ₹1,800. Q's output tax **increases by ₹1,800** in the month the debit note is issued. There is **no time limit** to issue it (extra tax is always welcome). Recipient may claim the additional ₹1,800 ITC, and his Sec 16(4) time limit runs from the **debit note's** financial year.

Reconcile. Original ₹14,400 + ₹1,800 = ₹16,200 = 18% of ₹90,000. Correct.

Example 5 — Which document? A rapid classification drill

Situation	Correct document	Section
Taxable inter-State sale of goods	Tax invoice (before removal)	31(1)
Composition dealer sells goods	Bill of supply	31(3)(c)
Trader sells only exempt fruit	Bill of supply	31(3)(c)
₹50,000 advance received for a service	Receipt voucher	31(3)(d)
That advance later refunded (no supply)	Refund voucher	31(3)(e)
Registered person pays lawyer (unregistered) under RCM	Self-invoice + payment voucher	31(3)(f)/(g)
Goods sent to job-worker	Delivery challan	Rule 55
Buyer returns goods	Credit note (by supplier)	34(1)
Supplier under-charged tax	Debit note (by supplier)	34(3)

6. Format / Summary

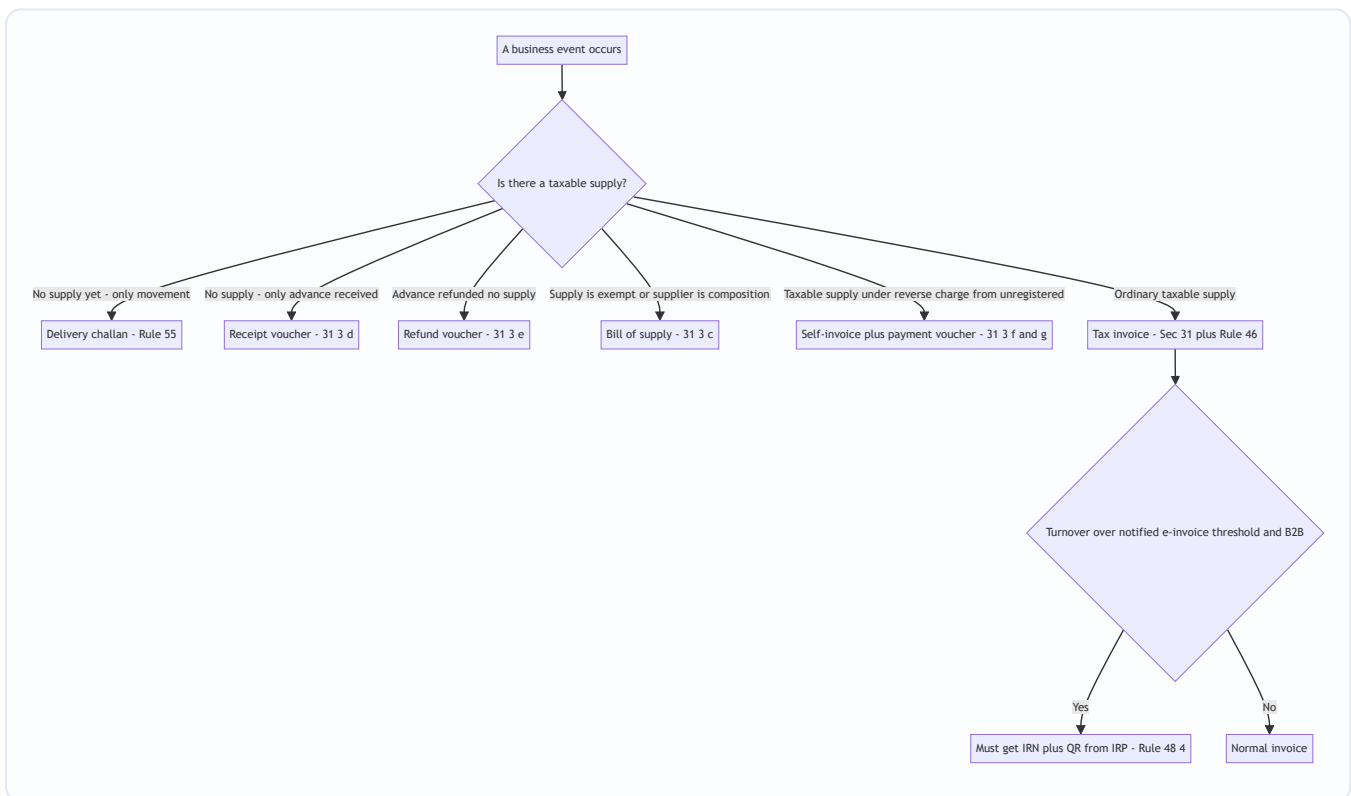


Figure 2 — the master decision tree: every GST document answers "what kind of event is this?"

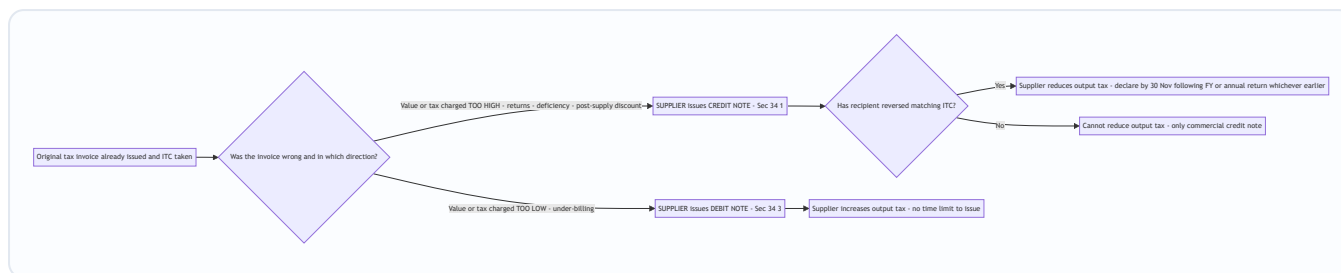


Figure 3 — the correction engine: direction of error picks the note; the symmetry condition and time limit gate the credit note.

One-line summaries table:

Document	Issued by	When	Shows tax?	Section
Tax invoice	Supplier	Goods: $\leq$ removal; Services: $\leq$ 30 (45) days	Yes	31(1)/(2)
Bill of supply	Composition / exempt supplier	With supply	No	31(3)(c)
Receipt voucher	Supplier	On receiving advance	Yes (on advance)	31(3)(d)
Refund voucher	Supplier	On refunding advance	Adjusts	31(3)(e)
Self-invoice	Recipient	RCM from unregistered	Yes	31(3)(f)
Payment voucher	Recipient	On paying RCM supplier	—	31(3)(g)
Delivery challan	Consignor	Movement w/o supply	No	Rule 55
Credit note	Supplier	Over-billed / return / discount	Reduces	34(1)
Debit note	Supplier	Under-billed	Increases	34(3)

7. Connections

- ← **Chapter 17 (Time of Supply)**: the invoice date is usually *the* time-of-supply trigger. Wrong invoice timing → wrong tax month. This chapter *implements* the timing rules you learned there.
- ← **Chapter 18 (Value of Supply)**: the "taxable value" printed on the invoice is the Sec 15 value; the Sec 15(3)(b) discount conditions decide whether a credit note can reduce tax (Example 3).
- → **Chapter on ITC (Sec 16)**: condition #1 for ITC is *possession of a tax invoice / debit note*. A missing, defective, or non-IRN invoice = **no ITC**. This chapter is the *precondition* for that one.
- → **Returns (GSTR-1 / GSTR-3B / GSTR-2B)**: invoices and credit/debit notes are *declared* in GSTR-1, flow to the recipient's GSTR-2B, and drive the matching that enforces Sec 34(2) symmetry.
- → **E-way bill**: the invoice/challan value and the transporter's copy feed the e-way-bill system for goods in movement.
- ↔ **Reverse charge (Chapter 15)**: self-invoice and payment voucher are the documentary machinery of RCM.

8. Traps & Examiner Tricks

1. **"The buyer issued a credit note."** *No.* Under GST, **only the supplier** issues credit/debit notes that adjust tax. A buyer's document has no GST effect.
 2. **Credit note = automatic tax reduction.** *No.* Output tax reduces **only if** the recipient reverses matching ITC (Sec 34(2)) **and** it's declared by the 30 Nov / annual-return deadline. Miss either → no reduction (commercial credit note only).
 3. **Debit note has a time limit.** *No issue-limit* — you can always pay more tax. (But the *recipient's ITC* time limit under Sec 16(4) now runs from the **debit note's** date, not the original invoice's — favourable, and tested.)
 4. **Invoice date = delivery date for goods.** *No.* It's **removal** date (or making-available if no movement), not delivery.
 5. **Confusing 30 vs 45 days for services.** 30 days generally; **45 days** only for banking companies, insurers, NBFCs.
 6. **Composition/exempt dealer issues a tax invoice.** *No* — **bill of supply**, showing no tax; composition dealer adds the "not eligible to collect tax" legend.
 7. **Post-supply discount always reduces GST.** *Only if* pre-agreed and linked to invoices per Sec 15(3)(b) *and* ITC reversed. Otherwise it's a commercial credit note — supplier eats the GST.
 8. **E-invoicing means generating the invoice on the GST portal.** *No* — you generate it in your own system and get it *authenticated* (IRN + QR) from the IRP. And an e-invoice-required invoice **without IRN is not valid** → **recipient loses ITC**.
 9. **A single credit note must map to a single invoice.** *No* — since 2019, one **consolidated** credit/debit note can cover many invoices.
 10. **TriPLICATE vs duplicate mix-up.** Goods → **triplicate** (extra copy for the transporter); services → **duplicate**.
 11. **Small-value ₹200 relaxation only if** recipient is unregistered *and* doesn't demand an invoice; then a *consolidated* invoice at day-end is allowed.
-

9. First-Principles Recap

Start from the one fact and rebuild the chapter without memorising:

1. GST runs on **seamless ITC**; a recipient's credit is only as real as the supplier's documented, matchable liability. → the **tax invoice** must exist, in a standard format, with a unique serial, issued by the supplier.
2. The invoice's *contents* are just "everything a matcher and an auditor need to reconcile A's outward with B's inward" → the 16 particulars.
3. The invoice's *timing* tracks the underlying trigger: goods have physical **removal** (invoice by then); services are continuous, so a **30/45-day** window.
4. When the event **isn't** a taxable supply, forcing a tax invoice would assert a false tax → a **family of substitute documents** (bill of supply, vouchers, self-invoice, delivery challan), each matched to its truth.
5. When the invoice turns out **wrong after the fact**, you can't erase it (both sides already reference it) → a **linked correcting note** issued by the supplier: **credit note** (over-charged, reduce) or **debit note** (under-

charged, increase). Reduction is gated by **symmetry** (recipient reverses ITC) and a **deadline**, because those protect the treasury.

6. Because fake invoices can poison the whole chain, high-turnover B2B invoices are **pre-authenticated** (IRN + QR) before they can be used → **e-invoicing**.

Everything is downstream of "protect the credit chain."

10. Quick-Revision Sheet

THE PIVOT: Tax invoice = supplier's output-tax evidence **AND** recipient's sole ITC basis. (Sec 31 + Rule 46)

TIME LIMITS (issue): - Goods: **before/at removal** (or making-available). Sec 31(1) - Services: **within 30 days** (banks/NBFC/insurer **45**). Sec 31(2) + Rule 47 - Sale-or-return: earlier of supply or **6 months** from removal. 31(7)

COPIES: Goods → **triplicate** (Recipient/Transporter/Supplier). Services → **duplicate** (Recipient/Supplier).

16 PARTICULARS hook: WHO (both GSTINs) · WHAT (HSN + desc + qty) · HOW-MUCH (taxable value + rate + tax, each head) · WHERE (place of supply) · SIGNED. Plus serial no. + date + RCM flag.

DOCUMENT PICKER: - Taxable supply → **Tax invoice** - Composition / exempt → **Bill of supply** (no tax) - Advance received → **Receipt voucher**; refunded → **Refund voucher** - RCM from unregistered → **Self-invoice + Payment voucher** - Movement w/o supply (job-work, transfer) → **Delivery challan** (Rule 55)

CREDIT NOTE (Sec 34(1)/(2)) — by SUPPLIER, invoice was TOO HIGH (return / deficiency / over-billing / Sec 15(3)(b) discount): - Reduces output tax **only if recipient reverses ITC**. - Declare by **30 Nov** following FY or annual return date, **whichever earlier**.

DEBIT NOTE (Sec 34(3)) — by SUPPLIER, invoice was TOO LOW: increases output tax; **no time limit** to issue. Recipient's ITC clock runs from the **debit note's** FY.

COMMERCIAL credit note: if Sec 15(3)(b) not met → no GST reduction, no ITC reversal.

E-INVOICING (Rule 48(4)): turnover > **₹5 cr** (verify), B2B + exports + credit/debit notes. Own-system JSON → IRP → **IRN + QR**. No IRN where required → **not a valid invoice** → **no ITC**. B2C excluded (but dynamic QR for large taxpayers). Exempt: banks, NBFCs, insurers, GTAs, passenger transport, cinema, SEZ *units*, govt.

GOLDEN RULE: Supplier issues everything (including credit/debit notes). Never erase — always **link and reverse symmetrically**.

Reminder: confirm the **e-invoicing threshold, HSN-digit slabs, service invoice window, and any 2025-26 amendments** against current ICAI study material for your exam attempt.

Q&A — Tax Invoice, Credit & Debit Notes

CGST Act, 2017 (**Sec 31–34**) read with CGST Rules, 2017 (**Rules 46–55A**); the IGST Act adopts these via **Sec 20 IGST**. The **e-invoicing turnover threshold (currently ₹5 crore aggregate turnover), HSN-digit slabs, the service-invoice window, small-value limits and the credit-note deadline (30 November)** are amendment-sensitive — **confirm the current figures from the ICAI Study Material/RTP for your attempt**. The *structure* — one pivotal document + substitute documents + correcting notes + e-authentication — is stable and is what the exam tests. GST rate of 18% is used throughout unless stated.

SECTION A — Concept-Check (Short Q&A)

A1. Why does GST need a *mandatory, standard-format tax invoice* at all? Because GST runs on **seamless ITC**, and the recipient's credit is only as real as the supplier's *documented, matchable* liability. **Sec 31 + Rule 46** make the invoice the single token that simultaneously records the supplier's output tax and authorises the recipient's ITC under **Sec 16**. One document, two mirror-image consequences.

A2. What is the time limit to issue a tax invoice for goods vs services? Goods — Sec 31(1): before or at the time of **removal** (where movement is involved) or **delivery/making available** (no movement). **Services — Sec 31(2) + Rule 47:** within **30 days** of supply of service (**45 days** for banking companies, insurers and NBFCs). *Why the difference:* goods have a clean physical trigger (removal); services are intangible/continuous, so the law gives a capped window.

A3. When is a *Bill of Supply* issued instead of a tax invoice, and what does it NOT show? Sec 31(3)(c) + Rule 49 — issued by a **composition** taxpayer and by a supplier of **exempt** goods/services. It shows **NO tax**. A composition dealer must carry the legend "*composition taxable person, not eligible to collect tax on supplies.*" *Why:* showing tax would let the recipient wrongly claim ITC on tax never legitimately charged.

A4. Name the four "money-but-no-supply / no-invoice" documents and their sections. (a) **Receipt voucher** — Sec 31(3)(d) + Rule 50, on receiving an advance; (b) **Refund voucher** — Sec 31(3)(e) + Rule 51, when that advance is refunded with no supply; (c) **Payment voucher** — Sec 31(3)(g) + Rule 52, by an RCM recipient on paying the supplier; (d) **Delivery challan** — Rule 55, when goods move without a supply (job-work, stock transfer).

A5. Who issues a *self-invoice* and why? Sec 31(3)(f) — the **recipient** issues an invoice to himself when he receives goods/services from an **unregistered supplier under reverse charge**. The unregistered supplier has no GSTIN and can issue nothing; the recipient owes the tax and needs a document to (a) discharge it and (b) later claim ITC.

A6. A credit note reduces output tax — is that automatic? No (Sec 34(2)). The supplier may reduce output tax **only if the recipient has correspondingly reversed his ITC**. This symmetry rule protects the treasury: if the supplier reduces tax but the recipient keeps credit, the government loses. It is enforced through the return system (credit note in GSTR-1 → recipient's GSTR-2B → reversal).

A7. State the time limit to *declare* a credit note. Sec 34(2): by the **30th November** following the end of the financial year of the original supply, **or** the date of filing the relevant **annual return, whichever is earlier**. After this the year is effectively closed for downward adjustments.

A8. Does a debit note have a time limit to issue? No. A debit note (**Sec 34(3)**) *increases* output tax — the treasury never objects to more tax, so there is no issue deadline. Note the favourable twist: the **recipient's** ITC time limit under **Sec 16(4)** runs from the **debit note's own financial year**, not the original invoice's.

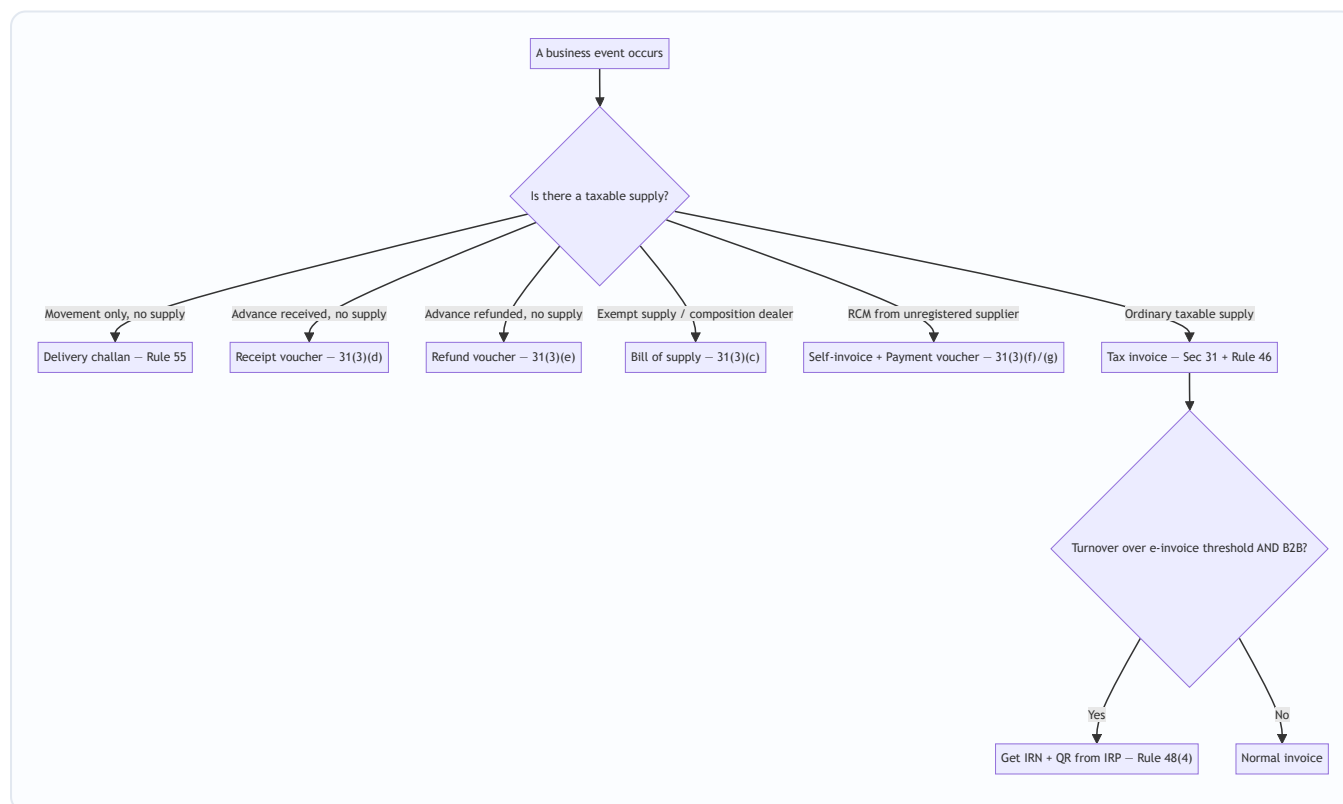
A9. Who issues credit and debit notes under GST? Always the SUPPLIER (Sec 34). A "credit note" a *buyer* sends back is a commercial document with **no GST effect**. This surprises accountants used to commercial practice and is a favourite examiner trap.

A10. GST credit note vs commercial/financial credit note — the distinction? If a post-supply discount meets **Sec 15(3)(b)** (pre-agreed, invoice-linked, ITC reversed), the supplier issues a **GST credit note** and reduces output tax. If those conditions fail, the supplier may issue only a **commercial credit note** — the taxable-value leg is settled, but **output tax is NOT reduced** and the recipient need not reverse ITC. Same label, opposite tax effect.

A11. What is e-invoicing, and what happens if a required IRN is missing? Rule 48(4): the supplier generates the invoice in his own system in the **INV-01 JSON schema**, uploads it to the **Invoice Registration Portal (IRP)**, and receives an **IRN + signed QR code**. An invoice required to be e-invoiced but **without an IRN is NOT a valid document** → **the recipient cannot claim ITC**. It is a *pre-authentication* layer that blocks fake invoices before they enter the credit chain.

A12. Copies of an invoice — goods vs services? Rule 48: goods → **triplicate** (Original-Recipient, Duplicate-Transporter, Triplicate-Supplier); services → **duplicate** (Original-Recipient, Duplicate-Supplier). The extra copy for goods lets the transporter carry proof during physical movement.

Document-picker decision map



SECTION B — Graded Computational Problems

B1 (Easy) — Invoice timing, goods vs services

Alpha Ltd **removes** machinery to customer B on **10 July**; goods **reach** B on **14 July**. Alpha also completes a consultancy service to C on **10 July**. State the last date to issue each invoice.

- **Goods (movement) — Sec 31(1)(a):** invoice on or before **removal = 10 July**. Delivery (14 July) is irrelevant.
- **Service — Sec 31(2) + Rule 47:** within **30 days** of supply → on or before **9 August**. If Alpha were a bank/NBFC/insurer → **45 days** → **24 August**.

Check: same completion date (10 Jul), different deadlines — because goods have a physical trigger, services get a capped grace window. ✓

B2 (Easy) — Credit note for a sales return (with the symmetry condition)

On **5 May 2025**, Supplier S sells goods to registered buyer R: taxable value **₹1,00,000**, IGST @18% = **₹18,000** (inter-State). R claims ₹18,000 ITC. On **20 June 2025**, R returns defective goods of taxable value **₹40,000**.

Party	Original	Credit note (₹40,000 + IGST ₹7,200)	After
S output tax	₹18,000	–₹7,200	₹10,800
R ITC	₹18,000	reverses ₹7,200	₹10,800

- S issues a **credit note (Sec 34(1))** for value ₹40,000 + IGST ₹7,200.
- S reduces output tax by ₹7,200 **only because** R reverses ₹7,200 ITC (**Sec 34(2)** symmetry).
- **Time-limit check:** supply is FY 2025-26 → declare by **30 Nov 2026** or annual-return date, whichever earlier. 20 Jun 2025 is well within limits.

Check: treasury neutral — ₹7,200 less collected from S, ₹7,200 less credited to R. $18\% \times ₹40,000 = ₹7,200$. ✓

B3 (Moderate) — Debit note for under-billing

On **12 August**, Q invoices a supply at taxable value **₹80,000**, CGST+SGST @18% = **₹14,400**. In **September** Q finds the correct value was **₹90,000**.

- Q issues a **debit note (Sec 34(3))** for the shortfall: taxable value **₹10,000** + tax **₹1,800**.
- Q's output tax **increases by ₹1,800** in the month the debit note is issued. **No time limit** to issue.
- R may claim the extra ₹1,800 ITC; R's Sec 16(4) clock runs from the **debit note's** FY.

Check: $₹14,400 + ₹1,800 = ₹16,200 = 18\% \times ₹90,000$. ✓

B4 (Moderate) — Advance for a service + receipt/refund vouchers

On **3 March 2026**, ConsultCo (registered) receives an advance of **₹1,18,000 (inclusive of 18% GST)** for a service, rate and place known. The client cancels on **10 April 2026** and the money is refunded; no invoice was issued.

- **Advance received:** issue **receipt voucher (Sec 31(3)(d))**. For *services*, receipt of advance is a **time-of-supply** trigger → tax is due on the advance.

- Value = $1,18,000 \times 100/118 = \text{₹}1,00,000$; GST = $1,18,000 \times 18/118 = \text{₹}18,000$ payable for March.
- **Refund with no supply:** issue **refund voucher (Sec 31(3)(e))**; ConsultCo adjusts/claims back the ₹18,000 tax paid on the advance.

Check: $1,00,000 + 18,000 = 1,18,000$; the receipt voucher tax reverses exactly on refund. ✓

B5 (Moderate) — Post-supply discount: GST credit note vs commercial credit note

Supplier P sold across the year to dealer D on many invoices: total taxable value **₹50,00,000**, GST **₹9,00,000** (all credited by D). In March, P grants a **year-end volume discount of ₹2,00,000** (GST thereon = ₹36,000).

Case A — pre-agreed in the contract, invoice-linked, and D reverses ITC (Sec 15(3)(b) met): - P issues a **GST credit note** — may be a **single consolidated note** against all the year's invoices (allowed since 2019). - P reduces output tax by **₹36,000**; D reverses **₹36,000** ITC. Both value and tax adjust.

Case B — surprise discount, not pre-agreed / D will not reverse (Sec 15(3)(b) NOT met): - P issues a **commercial credit note** for ₹2,00,000 only. **No GST adjustment**; D keeps full ₹9,00,000 ITC. - P effectively bears the ₹36,000 GST.

Check: GST difference between cases = ₹36,000 = $18\% \times ₹2,00,000$, exactly the ITC D must reverse in Case A. ✓

B6 (Exam-hard) — Full ITC set-off with a mid-year credit note

Beta Ltd (regular taxpayer) has the following for a tax period, all intra-State @18% (CGST 9% + SGST 9%):

Particular	Taxable value	CGST	SGST
Outward supplies	20,00,000	1,80,000	1,80,000
Less: credit note issued for goods returned (pre-agreed, buyer reverses ITC)	(2,00,000)	(18,000)	(18,000)
Inward supplies (eligible ITC)	12,00,000	1,08,000	1,08,000
Add: debit note received from a vendor (under-billing)	1,00,000	9,000	9,000

Compute net GST payable in cash.

Step 1 — Output tax after the credit note (Sec 34): - CGST = $1,80,000 - 18,000 = \text{₹}1,62,000$; SGST = $1,80,000 - 18,000 = \text{₹}1,62,000$.

Step 2 — Eligible ITC (invoice + debit note; Sec 16): - CGST ITC = $1,08,000 + 9,000 = \text{₹}1,17,000$; SGST ITC = $1,08,000 + 9,000 = \text{₹}1,17,000$. - The vendor's **debit note** is a valid ITC document; the buyer's ITC clock runs from the debit note's FY.

Step 3 — Set-off (CGST ITC only against CGST/IGST; SGST ITC only against SGST/IGST — no cross between CGST and SGST): - CGST payable = $1,62,000 - 1,17,000 = \text{₹}45,000$ cash. - SGST payable = $1,62,000 - 1,17,000 = \text{₹}45,000$ cash.

Total cash = ₹90,000.

Check: Net value added = $(20,00,000 - 2,00,000) - (12,00,000 + 1,00,000) = 18,00,000 - 13,00,000 = \text{₹}5,00,000$. GST on value added = $18\% \times 5,00,000 = \text{₹}90,000 = \text{₹}45,000 \text{ CGST} + \text{₹}45,000 \text{ SGST}$. ✓ (The correcting notes flowed straight into the set-off, and the tax equals tax on true value added.)

B7 (Exam-hard) — Which document + timing across a mixed scenario

Gamma Ltd, a regular registered taxpayer in Maharashtra, records these events. State the correct document, issuer, and section/rule for each.

#	Event	Document	Issuer	Provision
1	Inter-State taxable sale of goods, dispatched by truck	Tax invoice (before removal) + e-way bill	Supplier	31(1)(a)
2	Sends inputs to a job-worker in the same State	Delivery challan	Consignor	Rule 55
3	Receives legal service from an unregistered advocate (RCM)	Self-invoice + payment voucher	Recipient (Gamma)	31(3)(f)/(g)
4	Newly registered; supplied before certificate but after effective date	Revised invoice	Supplier	31(3)(a) + Rule 53
5	Sells goods to a walk-in customer for ₹150, customer doesn't want a bill	Consolidated tax invoice at day-end	Supplier	Rule 46 proviso
6	Sale of goods on sale-or-return basis; approval pending	Invoice by earlier of supply or 6 months from removal	Supplier	31(7)

Check: every row answers "what is the *truth* of the event?" — supply vs mere movement vs advance vs no-invoice-yet. ✓

B8 (Exam-hard) — e-invoicing eligibility and ITC consequence

Delta Ltd had aggregate turnover of **₹7 crore** in FY 2023-24. In FY 2025-26 it makes: (i) a B2B supply to a registered buyer, invoice **without IRN**; (ii) a B2C supply; (iii) issues a credit note to a B2B customer without IRN. Advise.

- Turnover > **₹5 crore** (notified threshold) → Delta **must** e-invoice its **B2B supplies, exports and credit/debit notes** (Rule 48(4)). (*Verify the current threshold for your attempt.*)
- **(i) B2B invoice without IRN = not a valid tax invoice** → the buyer **cannot claim ITC** (ties to Sec 16). Delta must generate the IRN.
- **(ii) B2C is outside e-invoicing**; no IRN needed (but large taxpayers must show a **dynamic QR code**).
- **(iii) Credit/debit notes also require IRN** — the note without IRN is invalid.

Check: e-invoicing covers B2B + exports + credit/debit notes above threshold; B2C excluded. ✓

SECTION C — Past-Paper-Style Full Questions

C1. "State the time limits for issue of tax invoice" (5-mark theory)

Q. Explain, with sections, the time limit for issuing a tax invoice in the case of (i) supply of goods involving movement; (ii) supply of goods not involving movement; (iii) supply of services; (iv) continuous supply of services; (v) goods sent on sale-or-return.

Model answer. (i) **Goods with movement — Sec 31(1)(a):** before or at the time of **removal** of goods for supply. (ii) **Goods without movement — Sec 31(1)(b):** before or at the time of **delivery / making available** to the recipient. (iii) **Services — Sec 31(2) + Rule 47:** within **30 days** of supply of service (**45 days** for banking companies, insurers, NBFCs). (iv) **Continuous supply of services — Sec 31(5):** if the due date of payment is ascertainable from the contract → on or before the **due date**; if not → before/at **receipt of payment**; if payment is linked to completion of an event → on or before that **event**. (v) **Sale-or-return / approval — Sec 31(7):** before or at the time of supply, **or 6 months from removal, whichever is earlier.**

C2. "Credit note or debit note — decide and compute" (6-mark application)

Q. On 4 June 2025, Ramesh & Co (registered, Karnataka) supplied goods to a registered buyer: taxable value ₹5,00,000, CGST 9% + SGST 9%. Later: (a) the buyer returned goods of taxable value ₹80,000 on 15 July 2025; (b) it was found that ₹20,000 of taxable value had been *under-charged* on the original invoice. State the documents, the party who issues them, the tax adjustment, and the time limits.

Model answer. - (a) **Sales return → CREDIT NOTE (Sec 34(1)), issued by Ramesh & Co (supplier).** Value ₹80,000; CGST ₹7,200 + SGST ₹7,200. Ramesh may **reduce output tax by ₹14,400 only if** the buyer **reverses ₹14,400 ITC (Sec 34(2)). Declare by 30 Nov 2026** or the annual-return date for FY 2025-26, whichever earlier. - (b) **Under-billing → DEBIT NOTE (Sec 34(3)), issued by Ramesh & Co (supplier).** Value ₹20,000; CGST ₹1,800 + SGST ₹1,800 → output tax **increases by ₹3,600. No time limit** to issue; the buyer's ITC clock on it runs from the debit note's FY. - **Key point:** *both* notes are issued by the **supplier** — the buyer never issues a GST credit/debit note.

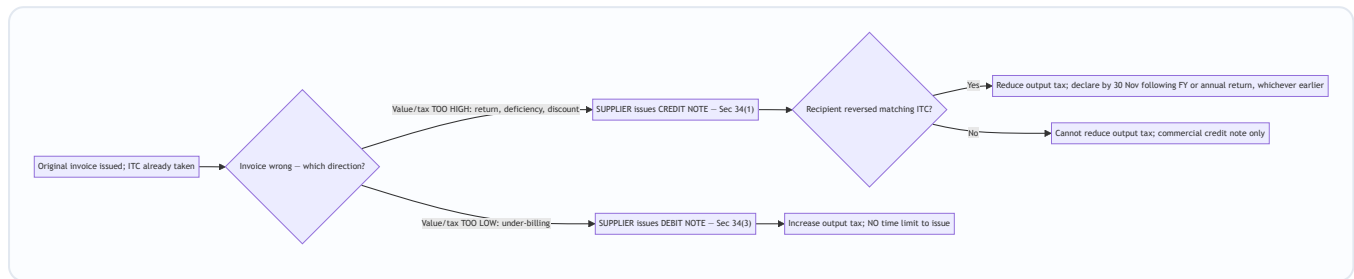
Check: credit note reverses tax on ₹80,000 (₹14,400); debit note adds tax on ₹20,000 (₹3,600). ✓

C3. "Explain e-invoicing and its interaction with ITC" (5-mark)

Q. What is e-invoicing under Rule 48(4)? Who is required to comply, who is exempt, and what is the consequence of issuing a B2B invoice without an IRN?

Model answer. - **Mechanism:** the supplier prepares the invoice in his own system in the standard **INV-01 (JSON) schema**, uploads it to the **Invoice Registration Portal (IRP)**, which validates it and returns a unique **IRN (64-char hash) + signed QR code**. Only then is it a legally valid tax invoice. Data auto-populates GSTR-1 and the e-way bill. - **Who must:** registered persons whose **aggregate turnover exceeded the notified threshold (currently ₹5 crore)** in *any* FY from 2017-18 onward, for **B2B supplies, exports, and credit/debit notes**. (*Verify current threshold.*) - **Exempt (regardless of turnover):** SEZ units (not developers), insurers, banks/NBFCs, GTAs, passenger-transport suppliers, cinema/multiplex admission suppliers, and government departments/local authorities. **B2C is outside** e-invoicing (large taxpayers display a dynamic QR code). - **Consequence:** a B2B invoice that *should* carry an IRN but does not is **not a valid document** → the **recipient loses ITC** (Sec 16). *Rationale:* pre-clearance blocks fake invoices before they poison the credit chain.

Correction-engine flow



SECTION D — MCQs / Case Scenarios

- D1.** A tax invoice for supply of goods involving movement must be issued — (a) within 30 days of removal; (b) before or at the time of removal; (c) on delivery; (d) within 6 months. → **(b)**. Sec 31(1)(a) ties the invoice to removal, not delivery.
- D2.** A composition dealer supplying goods must issue — (a) a tax invoice; (b) a bill of supply; (c) a receipt voucher; (d) a debit note. → **(b)**. Sec 31(3)(c) + Rule 49 — composition dealers cannot collect GST, so they issue a bill of supply showing no tax.
- D3.** Under GST, a credit note that adjusts tax is issued by — (a) the recipient; (b) the transporter; (c) the supplier; (d) either party. → **(c)**. Sec 34(1) — only the supplier issues it; a buyer's "credit note" has no GST effect.
- D4.** A supplier can reduce his output tax through a credit note only if — (a) the goods are physically returned; (b) the recipient reverses the corresponding ITC; (c) a GST officer approves; (d) it is issued within 30 days. → **(b)**. Sec 34(2) — the symmetry condition protects the treasury.
- D5.** The last date to *declare* a credit note for a supply made in FY 2024-25 is — (a) 31 March 2025; (b) 30 September 2025; (c) 30 November 2025 or annual-return date, whichever earlier; (d) no limit. → **(c)**. Sec 34(2). (Amendment-sensitive — verify the 30 Nov date.)
- D6.** The time limit to *issue* a debit note under Sec 34(3) is — (a) 30 November following the FY; (b) 6 months; (c) there is no time limit; (d) 30 days. → **(c)**. A debit note increases tax; the law imposes no issue deadline (extra tax is always welcome).
- D7.** Goods sent to a job-worker (no supply) must be accompanied by — (a) a tax invoice; (b) a bill of supply; (c) a delivery challan; (d) a payment voucher. → **(c)**. Rule 55 — movement without supply is documented by a delivery challan (in triplicate).
- D8.** A registered person receiving services from an unregistered supplier under RCM must issue — (a) a bill of supply; (b) a self-invoice; (c) a refund voucher; (d) nothing. → **(b)**. Sec 31(3)(f) — the recipient self-invoices because the unregistered supplier cannot.
- D9.** For supply of **goods**, a tax invoice is prepared in — (a) duplicate; (b) triplicate; (c) quadruplicate; (d) a single copy. → **(b)**. Rule 48 — triplicate (Recipient/Transporter/Supplier); services are in duplicate.
- D10.** An invoice that is required to be e-invoiced but is issued **without an IRN** — (a) is valid but attracts a penalty; (b) is not a valid document and ITC is denied to the recipient; (c) can be regularised later with no consequence; (d) is valid for B2C only. → **(b)**. Rule 48(4) read with Sec 16 — no IRN where required → invalid invoice → recipient loses ITC.

D11. Case scenario. Neptune Ltd (turnover ₹9 crore) supplies goods to a registered dealer and, separately, to walk-in retail customers. Which of its supplies require an IRN? (a) both; (b) only the B2B supply; (c) only the B2C supply; (d) neither. → **(b)**. Turnover exceeds the notified threshold, but e-invoicing covers only B2B/exports/credit-debit notes; **B2C is excluded** (dynamic QR only).

D12. Case scenario. On 2 May 2025, S sells goods to R (taxable value ₹1,00,000, IGST ₹18,000). On 1 August 2025 R returns 25% of the goods (pre-agreed, R will reverse ITC). By how much can S reduce output tax, and by when must the credit note be declared? (a) ₹18,000; by 31 Mar 2026; (b) ₹4,500; by 30 Nov 2025; (c) ₹4,500; by 30 Nov 2026 or annual-return date, whichever earlier; (d) nil; commercial note only. → **(c)**. $25\% \times ₹18,000 = ₹4,500$ (Sec 34); supply is FY 2025-26, so the deadline is 30 Nov 2026 / annual-return date, whichever earlier.

One-line traps to carry into the hall

- **Only the SUPPLIER** issues credit/debit notes — a buyer's note has no GST effect.
- **Credit note ≠ automatic tax reduction** — needs recipient's ITC reversal (Sec 34(2)) *and* declaration by 30 Nov / annual return.
- **Debit note has NO issue time limit**; the recipient's ITC clock on it runs from the debit note's FY (Sec 16(4)).
- **Invoice date for goods = removal date**, not delivery.
- **Services: 30 days generally, 45 days** only for banks/NBFC/insurers.
- **Composition/exempt** → **bill of supply** (no tax), not a tax invoice.
- **Post-supply discount reduces GST only if Sec 15(3)(b) is met** — else commercial credit note, supplier eats the GST.
- **E-invoicing = authenticate in your own system (IRN+QR)**, not "generate on the portal"; no IRN where required → no ITC.
- **Goods** → **triplicate**, **services** → **duplicate**; delivery challan for movement without supply (Rule 55).
- **CGST ITC never sets off against SGST** and vice-versa (B6) — a classic set-off slip.

Chapter 22 — Payment of Tax

Rates / thresholds / amendments flag: This chapter teaches the *machinery* of paying GST — Sections 49, 49A, 49B, 50, 51, 52 of the CGST Act, 2017 read with Rules 85–88B and the PMT-series forms. The *mechanism* is stable and permanent knowledge. But the **TDS threshold (₹2,50,000)**, the **TDS rate (2%)**, the **TCS rate (currently 0.5% CGST + 0.5% SGST)**, the **Rule 86B turnover trigger (₹50 lakh/month)**, and the **interest rates (18% / 24%)** must be **verified against current ICAI study material and the latest notifications for your attempt**. The logic below does not change; the numbers occasionally do.

1. The Problem — Why paying a self-assessed tax is harder than it sounds

Under GST there is **no assessing officer standing at your gate** each month totting up what you owe. GST is a *self-assessment* regime: the taxpayer computes his own liability, claims his own credit, and pays the balance — millions of taxpayers, crores of transactions, every month. This design is efficient, but it opens four dangerous gaps that a payment system must close *before* it can be trusted:

Problem 1 — Money and credit are not the same thing, yet both discharge tax. A taxpayer can pay GST in two utterly different currencies: **actual cash** deposited with the government, and **input tax credit (ITC)** — tax someone else already paid upstream. Cash is real revenue to the exchequer; ITC is merely a *bookkeeping offset* of tax already collected earlier in the chain. If the system mixed them into one undifferentiated pool, nobody — not the taxpayer, not the department — could ever answer "how much *real money* did this person contribute?" The two must be tracked in **separate, visible accounts**.

Problem 2 — Credit is not fungible across tax heads. GST is not one tax; it is **three parallel taxes** (CGST to the Centre, SGST to the State, IGST shared) sitting on the same invoice. A rupee of SGST credit belongs, ultimately, to a *State*. Letting a Maharashtra taxpayer use Maharashtra-SGST credit to pay CGST (the Centre's money) or, worse, another State's tax would silently transfer revenue between governments. The payment engine must enforce **which credit can pay which tax** — this is the whole reason the utilisation order (Sec 49(5), 49A, Rule 88A) exists.

Problem 3 — A taxpayer with dues from three months and a fresh liability will pay the "convenient" one first. Left to choose, a person facing an old demand, a current self-assessed tax, and interest will pay whatever stops the least painful clock — usually the current return — and let old dues rot. The law needs a **mandatory order of discharge** (Sec 49(8)) so that money lands on the *oldest, hardest* liability first.

Problem 4 — Some payers sit outside the normal supplier chain and would otherwise escape. A government department buying goods, or an e-commerce platform through which thousands of small unregistered sellers transact, are choke-points where tax can leak. The system plants **collection agents** here — TDS (Sec 51) and TCS (Sec 52) — who skim a small slice at source and deposit it against the real supplier's account, creating a paper trail that self-polices the chain.

The cascade-killing promise of GST — *seamless credit, tax only on value added* — collapses if payment is opaque. So the law builds a **glass-walled accounting system**: three electronic ledgers where every rupee of cash, every rupee of credit, and every rupee of liability is visible, dated, and rule-bound.

2. The Core Idea

Every registered person maintains three electronic ledgers on the common portal. The *Electronic Liability Register* (PMT-01) is what you OWE. The *Electronic Cash Ledger* (PMT-05) is real money you have DEPOSITED. The *Electronic Credit Ledger* (PMT-02) is the ITC you have EARNED. To pay tax, you DEBIT the liability register and CREDIT it is discharged by debiting either cash or credit — but credit can only pay OUTPUT TAX and only in a legally fixed order, while cash can pay ANYTHING.

Four load-bearing ideas organise the entire chapter:

1. **Separation of money from credit.** Cash and credit live in different ledgers precisely because they mean different things to the exchequer (Problem 1). Section 49(3) says the **cash ledger may be used for any payment — tax, interest, penalty, fee, any other amount**. Section 49(4) says the **credit ledger may be used ONLY for payment of output tax** — never for interest, penalty, or late fee.
2. **Credit flows along legal channels only.** ITC of one head cannot freely pay another. IGST credit is the universal solvent (pays anything); CGST and SGST credit are ring-fenced and can *never* cross into each other (Problem 2). This is the utilisation order.
3. **Oldest debts first.** The order of discharge (Sec 49(8)) forces money onto prior-period dues before current, and self-assessed tax before demands (Problem 3).
4. **Collect at the choke-points.** TDS and TCS are not new taxes — they are **advance collections** deposited into the *supplier's* cash ledger, plugging leakage where the normal chain is weak (Problem 4).

Everything technical below hangs off these four hooks.

3. Why It's Built This Way — the design logic behind each lever

Design choice	The problem it solves	How the Act implements it
Three separate ledgers	Keep money, credit and liability distinct and visible (Problem 1)	Sec 49(1),(2),(7); Rules 85–87
Cash pays anything; credit pays only output tax	Interest/penalty are the taxpayer's <i>own</i> cost — cannot be met from someone else's tax (ITC)	Sec 49(3) vs 49(4)
IGST credit used first and fully	IGST is the shared pool; draining it first keeps Centre–State settlement clean	Sec 49A + Rule 88A
CGST and SGST credit never cross	Protects each government's revenue (Problem 2)	Sec 49(5)(e),(f)
Mandatory order of discharge	Stops cherry-picking of easy dues (Problem 3)	Sec 49(8)
Interest on <i>net cash</i> for late returns	You should not pay interest on tax you had already parked as credit	Proviso to Sec 50(1) + Rule 88B(1)
Higher 24% interest for wrong ITC	Wrongly <i>used</i> credit is worse than merely late cash	Sec 50(3) + Rule 88B(3)
TDS by government buyers	Government spends are large and traceable — collect at source (Problem 4)	Sec 51
TCS by e-commerce operators	Aggregates thousands of small sellers — one choke-point (Problem 4)	Sec 52
Rule 86B — pay 1% in cash	Stops fraudsters discharging 100% liability with fake ITC	Rule 86B

The elegance to internalise: the payment system is a *plumbing diagram*, not a rulebook. Liability is the tank that must be emptied; cash and credit are two supply pipes; the valves between them open only in legally permitted directions. Learn the plumbing and every rule becomes obvious.

4. Full Technical Content — the ledgers, the order, the interest, the collectors

4.1 The three electronic ledgers (Section 49 read with Rules 85–87)

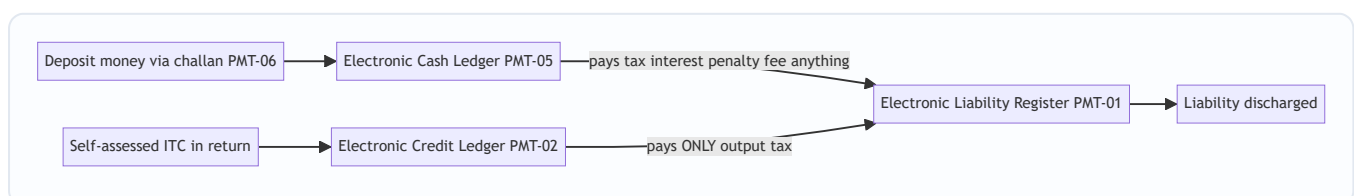


Figure 22.1 — The two supply pipes (cash and credit) both empty into the liability tank, but the credit pipe has a narrower mouth: output tax only.

(a) Electronic Cash Ledger — Sec 49(1), Rule 87 — Form GST PMT-05. This is your **deposited money**. You generate a challan in **Form GST PMT-06** (valid for **15 days**) and pay by internet banking, credit/debit card, NEFT/RTGS, or **over-the-counter (OTC) up to ₹10,000 per challan per tax period**. On successful

payment a **Challan Identification Number (CIN)** is generated and the amount is credited to the cash ledger under the relevant head and *minor head* (tax / interest / penalty / fee / others). *Why it matters:* Sec 49(3) — the balance here can be used for **any** payment: tax, interest, penalty, fee, or any other amount. It is real money, so it has no legal restriction on purpose.

(b) Electronic Credit Ledger — Sec 49(2), Rule 86 — Form GST PMT-02. This holds **ITC self-assessed in the return**. Sec 49(4): it can be used **only for payment of output tax** (CGST, SGST/UTGST or IGST). It can **never** discharge interest, penalty, late fee or the reverse-charge liability (RCM must be paid in cash, because you cannot use credit to pay a tax you are yourself the "supplier-substitute" for).

(c) Electronic Liability Register — Sec 49(7), Rule 85 — Form GST PMT-01. This is the running record of **everything you owe** — tax, interest, penalty, fee. It is debited as liabilities arise and reduced as they are discharged from the cash/credit ledgers.

Transfer between heads — Sec 49(10), Form GST PMT-09. Money wrongly deposited under one head/minor-head (say IGST-interest) can be transferred within the cash ledger to another head. Sec 49(11) allows this without it being treated as a refund. This fixed the old nightmare of stranded cash.

Other forms to recognise: **PMT-03** (re-credit of rejected refund), **PMT-04** (report discrepancy in a ledger), **PMT-07** (complaint where money debited but CIN not generated).

4.2 The order of utilisation of ITC — Sec 49(5), 49A, 49B, Rule 88A

This is the **single most examined computation in the chapter**. Read it as a set of valves.

Base rule — Sec 49(5): - **IGST credit** → pay IGST **first**, then CGST, then SGST/UTGST (any order after IGST). - **CGST credit** → pay CGST, then IGST. **Never SGST/UTGST** (Sec 49(5)(e)). - **SGST/UTGST credit** → pay SGST/UTGST, then IGST. **Never CGST** (Sec 49(5)(f)).

Section 49A (the "IGST-first" override): notwithstanding the above, the CGST/SGST credit can be used **only after the IGST credit has been fully exhausted**. IGST is the shared inter-governmental pool, so it must be drained first.

Rule 88A (the flexibility valve): IGST credit is first used for IGST; the **balance may then be applied to CGST and SGST/UTGST in any order and any proportion**. This one word — *proportion* — is where cash can be saved or wasted (see Worked Example 2).

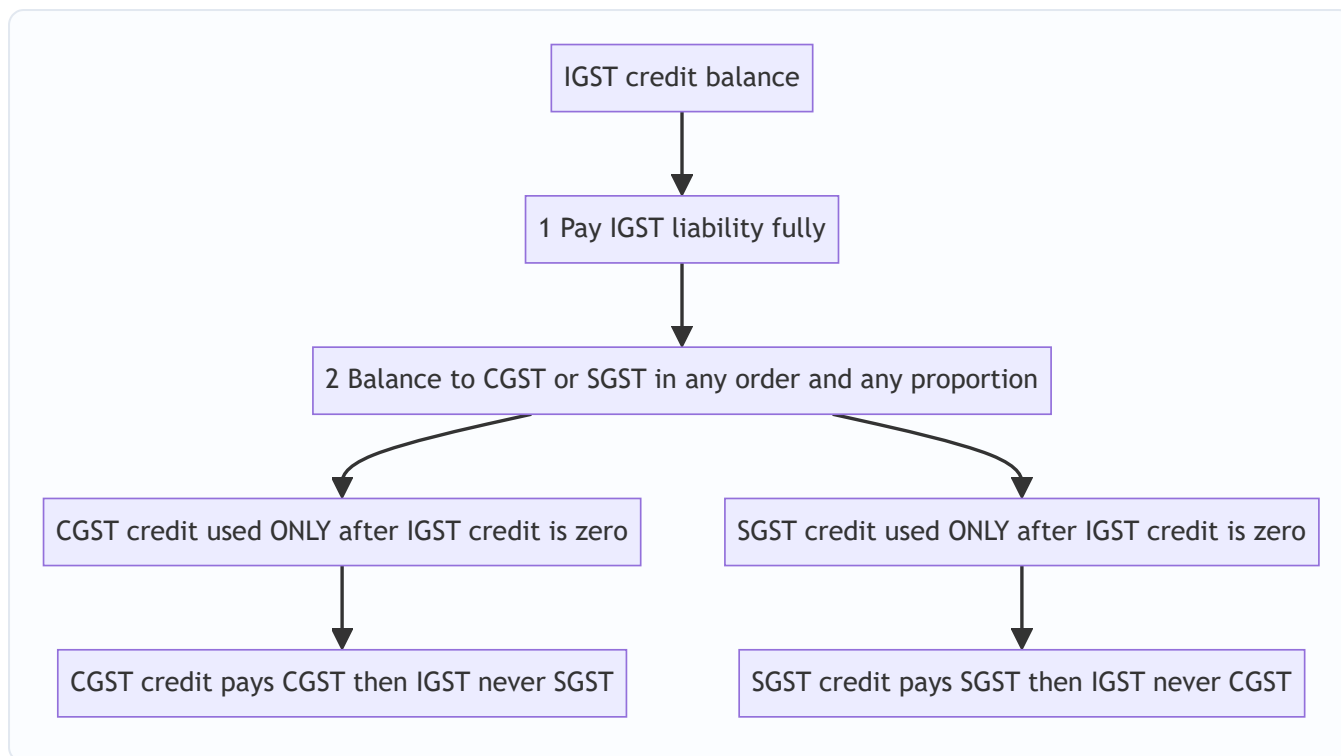


Figure 22.2 — The utilisation waterfall. IGST credit is spent first and completely; CGST and SGST credit are ring-fenced and can never touch each other.

Rule 86A — blocking of credit. The Commissioner may, on *reasonable belief* of fraudulent or ineligible ITC, block use of the credit ledger. A restraint, not a rate.

Rule 86B — the 1%-in-cash rule. Where **taxable turnover (other than exempt/zero-rated) in a month exceeds ₹50 lakh**, the taxpayer must discharge **at least 1% of the output tax liability in CASH** — i.e. credit can cover at most 99%. Rationale: a fraudster manufacturing fake ITC could otherwise pay tax entirely with fake credit and never touch cash. Exceptions exist (e.g. where income-tax of >₹1 lakh paid in each of last two years, or refund of >₹1 lakh received, government bodies, etc.). *Verify the exception list for your attempt.*

4.3 Order of discharge of liability — Sec 49(8)

Whatever cash/credit you have is applied in this **mandatory sequence**:

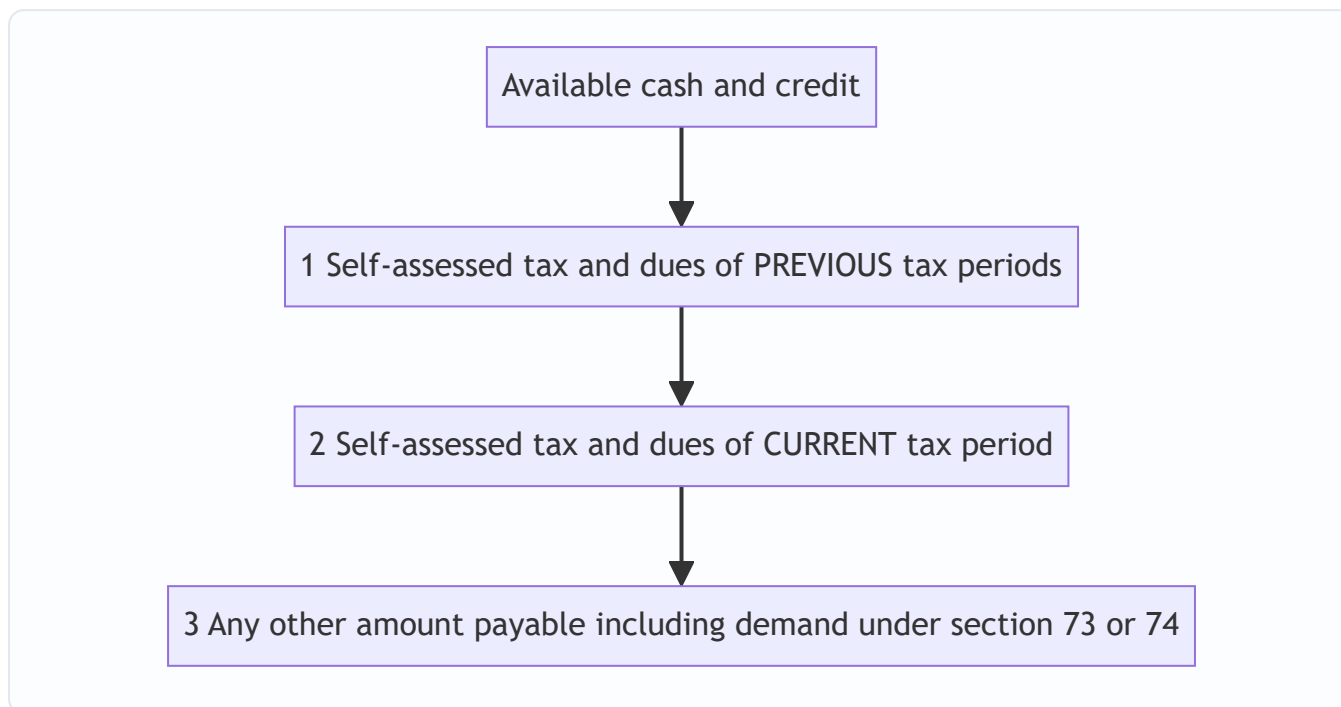


Figure 22.3 — Oldest first. You cannot pay this month's return while last month's return sits unpaid.

Within each level, tax, interest, penalty and fee are all "dues." The principle: **the government's oldest, most-at-risk claim is satisfied before you get to touch the comfortable current-period tax.**

4.4 Interest on delayed payment — Section 50 read with Rule 88B

Interest is **compensatory, not penal** — it is the time-value of money the government was deprived of. Two rates, two triggers:

Situation	Section	Rate	Base for interest (Rule 88B)
Delayed payment of tax (return filed late)	50(1)	18% p.a.	Net cash liability only — the portion paid by debiting the cash ledger, from due date to actual payment date (Rule 88B(1))
Tax otherwise short-paid / not paid (not via delayed return, e.g. detected in proceedings)	50(1)	18% p.a.	On the gross tax amount (Rule 88B(2))
ITC wrongly availed AND utilised	50(3)	24% p.a.	On the wrongly-utilised ITC, from date of utilisation to date of reversal/payment (Rule 88B(3))

The crucial concession — proviso to Sec 50(1): where a person files the return (GSTR-3B) *late*, interest is charged **only on that part of the tax paid in cash**, not on the portion set off by ITC. *Why?* Because the ITC was **already lying in the exchequer's hands** (someone paid it upstream) — the government was never actually short of that money, so charging interest on it would be double-counting. **Exception:** if the return is filed *after commencement of proceedings under Sec 73/74*, interest runs on the gross amount. This proviso was made **retrospective from 1 July 2017**.

Sec 50(3) — the "availed AND utilised" refinement (Finance Act 2022, retrospective from 1.7.2017): interest at 24% bites only when wrongful credit is **both availed and utilised**. Merely availing (parking)

wrong credit and reversing it before use attracts **no interest** — because unused credit did the exchequer no harm.

4.5 TDS under GST — Section 51 read with Rule 66

Who deducts (deductors): a department/establishment of Central or State Government, local authority, governmental agencies, and **notified persons** (e.g. PSUs, authorities/boards with $\geq 51\%$ government participation, societies established by government).

When and how much: deduct **2%** (as **1% CGST + 1% SGST**, or **2% IGST**) from payment made/credited to the supplier where **the total value of taxable supply under a contract exceeds ₹2,50,000**. The ₹2,50,000 is computed **excluding** CGST/SGST/IGST/cess shown in the invoice.

When NO TDS: where the **location of supplier and place of supply are in a State/UT different from the State/UT of registration of the recipient** — because in that inter-state-mismatch case the deductor could not get credit of the deduction, so the law simply exempts it.

Compliance: deposit by **10th of the next month**; file return in **Form GSTR-7** by the 10th; issue **TDS certificate in Form GSTR-7A**. The deducted amount appears in the **supplier's Electronic Cash Ledger** (auto-populated), which the supplier then uses to pay his own tax. Late deposit attracts **18% interest**.

4.6 TCS under GST — Section 52 read with Rule 67

Who collects: an **Electronic Commerce Operator (ECO)** (e.g. a marketplace) who collects the *consideration* on behalf of sellers supplying through its platform. (This does **not** apply where the ECO is itself liable to pay tax on the supply under **Sec 9(5)** — there it pays as supplier, so no collection at source.)

How much: **up to 1% (0.5% CGST + 0.5% SGST, or 1% IGST)** of the **net value of taxable supplies** made through it by other suppliers where consideration is collected by the ECO. **Net value = aggregate taxable supplies of goods/services (other than Sec 9(5) services) through the ECO – supplies returned to suppliers**, in the month.

Compliance: collect and deposit by **10th of the next month**; file **Form GSTR-8** by the 10th; an **annual statement** is also required. The collected TCS is credited to the **supplier's Electronic Cash Ledger**. A matching mechanism reconciles TCS against the supplier's declared supplies.

TDS vs TCS in one line: TDS = the *buyer* (government) skims 2% on large contracts; TCS = the *platform* skims ~1% on the sellers' net sales. Both land in the **real supplier's cash ledger** as pre-paid tax.

5. Worked Examples

Worked Example 1 — Straight set-off applying Rule 88A / Sec 49A

Given (for a month, intra-state + inter-state mix):

Head	Output tax liability	ITC available
IGST	₹1,00,000	₹1,30,000
CGST	₹80,000	₹50,000
SGST	₹80,000	₹40,000
Total	₹2,60,000	₹2,20,000

Step 1 — IGST credit first (Sec 49A). IGST credit ₹1,30,000 pays IGST liability ₹1,00,000. **Balance IGST credit = ₹30,000.**

Step 2 — Apply balance IGST credit to CGST/SGST (Rule 88A, any order). Apply the ₹30,000 to CGST. CGST now needs ₹80,000 – ₹30,000 = ₹50,000 more. IGST credit exhausted → now CGST/SGST credit may be used.

Step 3 — Own-head credit. CGST credit ₹50,000 pays remaining CGST ₹50,000 → **CGST fully discharged, CGST credit exhausted.** SGST credit ₹40,000 pays part of SGST ₹80,000 → remaining SGST ₹40,000.

Step 4 — Cash. Remaining SGST ₹40,000 paid from the cash ledger.

Head	Liability	Paid by IGST credit	Paid by own credit	Paid in CASH
IGST	1,00,000	1,00,000	—	0
CGST	80,000	30,000	50,000	0
SGST	80,000	—	40,000	40,000
Total	2,60,000	1,30,000	90,000	40,000

Reconciliation: credit used 1,30,000 + 90,000 = ₹2,20,000 = total ITC (fully used, nothing stranded). Cash ₹40,000. 2,20,000 + 40,000 = **₹2,60,000 = total liability.** ✓

Worked Example 2 — Why "any proportion" (Rule 88A) decides your cash outflow

Given: Output — CGST ₹1,00,000, SGST ₹1,00,000, IGST **nil**. ITC — IGST ₹1,00,000, CGST ₹20,000, SGST ₹90,000.

There is no IGST liability, so the entire ₹1,00,000 IGST credit must be spread over CGST and SGST. **How you split it changes the cash you pay.**

Suboptimal split — dump all IGST credit into CGST: - CGST 1,00,000 = IGST credit 1,00,000 → CGST fully paid, but **CGST own-credit ₹20,000 is now stranded** (it can only pay CGST/IGST, both nil). - SGST 1,00,000 = SGST credit 90,000 + **cash ₹10,000**. - **Cash paid = ₹10,000; ₹20,000 CGST credit carried forward unused.**

Optimal split — send IGST credit to the head with the weaker own-credit (CGST): - CGST 1,00,000 = own CGST credit 20,000 + **IGST credit 80,000** → fully paid, no cash. - SGST 1,00,000 = own SGST credit 90,000 + **IGST credit 10,000** → fully paid, no cash. - IGST credit used = 80,000 + 10,000 = 90,000; **balance IGST credit ₹10,000 carried forward.** - **Cash paid = ₹0.**

Reconciliation: total liability ₹2,00,000; total ITC ₹2,10,000. Optimal answer: credit used ₹2,00,000, cash ₹0, ₹10,000 IGST credit c/f. **The examiner's trap:** mechanical "IGST → CGST first" costs ₹10,000 cash and strands

₹20,000 credit. Rule 88A's *any proportion* lets you avoid it — always route IGST balance to the head whose own-head credit is short.

Worked Example 3 — Interest on delayed return (net-cash basis, Sec 50(1) proviso + Rule 88B(1))

Given: GSTR-3B for a month is due **20th**, filed **40 days late**. Output — IGST ₹30,000, CGST ₹50,000, SGST ₹50,000. ITC — IGST ₹40,000, CGST ₹20,000, SGST ₹20,000.

Step 1 — set off (as in Ex 1). - IGST credit 40,000: pays IGST 30,000; balance 10,000 → apply to CGST. - CGST 50,000 = IGST 10,000 + CGST credit 20,000 = 30,000 → cash **₹20,000**. - SGST 50,000 = SGST credit 20,000 → cash **₹30,000**.

Step 2 — net cash liability = ₹20,000 (CGST) + ₹30,000 (SGST) = ₹50,000. Interest under the proviso to Sec 50(1) runs **only on this ₹50,000**, not on the ₹80,000 discharged by ITC.

Step 3 — interest @18% for 40 days: - CGST: $20,000 \times 18\% \times 40/365 = 3,600 \times 40/365 = \text{₹}394.52$ - SGST: $30,000 \times 18\% \times 40/365 = 5,400 \times 40/365 = \text{₹}591.78$ - **Total interest = ₹986.30** ($\approx$ ₹986)

Cross-check on the aggregate: $50,000 \times 18\% \times 40/365 = 9,000 \times 40/365 = \text{₹}986.30$. ✓ **Contrast:** had interest been (wrongly) charged on gross tax ₹1,30,000 → $1,30,000 \times 18\% \times 40/365 = \text{₹}2,564.38$. The proviso saves the taxpayer ₹1,578 by not taxing time-value on credit already in the exchequer's hands.

Worked Example 4 — TDS under Section 51

Given: A State Government department contracts for taxable works of **₹5,00,000** (value excluding GST), GST @18% intra-state (CGST 9% + SGST 9%). Supplier and place of supply both in the department's State.

- Contract taxable value ₹5,00,000 > **₹2,50,000** → **TDS applies**.
- GST on invoice = ₹90,000 (CGST 45,000 + SGST 45,000); invoice total ₹5,90,000.
- **TDS = 2% of ₹5,00,000 = ₹10,000**, i.e. **CGST 1% = ₹5,000 + SGST 1% = ₹5,000**. (TDS is on value excluding tax.)
- Department pays supplier ₹5,90,000 – ₹10,000 = **₹5,80,000**, and deposits **₹10,000** by the **10th of next month** via **GSTR-7**, issuing **GSTR-7A**.
- The supplier's **Electronic Cash Ledger is credited with ₹10,000**, usable against his own liability.

Trap check: had the value been ₹2,50,000 exactly, no TDS (threshold is *exceeds* ₹2,50,000). Had supplier/PoS been in a different State from the recipient's registration → **no TDS** even above threshold.

Worked Example 5 — TCS under Section 52

Given: In a month, sellers make taxable supplies of **₹10,00,000** through an e-commerce operator; goods worth **₹1,00,000** are returned. All intra-state.

- **Net value of taxable supplies = ₹10,00,000 – ₹1,00,000 = ₹9,00,000.**
- **TCS @1% = ₹9,000**, collected as **CGST 0.5% = ₹4,500 + SGST 0.5% = ₹4,500.**
- The ECO deposits ₹9,000 by the **10th of next month** via **GSTR-8**; the amount is credited to the **suppliers' Electronic Cash Ledgers** in proportion to their supplies.

Reconciliation: TCS is on the *net* figure — returns are netted first, so the platform never over-collects on goods that came back.

6. Format / Summary Tables

The three ledgers at a glance:

Ledger	Form	Section	What it holds	Can pay
Cash	PMT-05	49(1),(3)	Money deposited via PMT-06 challan	Anything — tax, interest, penalty, fee, other
Credit	PMT-02	49(2),(4)	Self-assessed ITC	Output tax ONLY
Liability	PMT-01	49(7)	All amounts owed	(register of dues)

Credit utilisation matrix (can head-X credit pay head-Y tax?):

Credit ↓ / Tax →	IGST	CGST	SGST/UTGST
IGST	1st	Yes (after IGST)	Yes (after IGST)
CGST	Yes (after IGST credit gone)	1st	NEVER
SGST/UTGST	Yes (after IGST credit gone)	NEVER	1st

Interest & collection quick-map:

Item	Rate	Return	Due date	Lands in
Delayed tax (late return)	18% on net cash	—	—	—
Wrong ITC availed & utilised	24%	—	—	—
TDS (Sec 51)	2%	GSTR-7	10th next month	Supplier cash ledger
TCS (Sec 52)	~1% on net value	GSTR-8	10th next month	Supplier cash ledger

7. Connections — how this chapter wires into the rest of GST

- **Input Tax Credit chapter:** the credit ledger is *fed* by eligible ITC (Sec 16–18). Payment is where that credit is finally *spent*. The utilisation order here is the downstream half of the ITC story.
- **Returns chapter:** GSTR-3B is the document that *simultaneously* declares liability (debits PMT-01), reports ITC (credits PMT-02) and effects payment. The Sec 50(1) proviso (interest on net cash) is triggered by *late* GSTR-3B.
- **Time & Value of Supply:** they fix *how much* liability arises and *when* — this chapter is *how that liability is extinguished*.
- **Refunds chapter:** excess balance in the cash ledger, and wrongly rejected refunds re-credited via PMT-03, connect back here.
- **Demands & Recovery (Sec 73/74):** the "any other amount / demand" tier of the discharge order (Sec 49(8)(c)) and the gross-interest exception both point forward to that chapter.
- **Income-tax TDS/TCS (Chapter 10 of this guide):** same *philosophy* — collect at source at a choke-point — but GST TDS/TCS credit goes to the **cash ledger**, not against income tax. Do not confuse the two regimes.

8. Traps & Examiner Tricks

1. **Credit for interest/penalty — the classic wrong answer.** The credit ledger can pay *output tax only* (Sec 49(4)). Interest, penalty, late fee, and **RCM tax must be paid in CASH**. Any exam set-off that discharges interest from ITC is wrong.
 2. **Interest base = net cash, not gross.** For a *late-filed return*, interest under Sec 50(1) proviso is on the **cash portion only**. Charging 18% on the ITC-set-off portion is the most common examiner trap (see Ex 3). But note the exception: gross basis if return filed after Sec 73/74 proceedings begin.
 3. **"Availed" vs "availed and utilised" (24%).** Sec 50(3) interest bites only if wrong ITC is *utilised*. Wrong credit reversed before use → **no interest**.
 4. **IGST credit must be fully exhausted first (Sec 49A).** You cannot start using CGST/SGST credit while IGST credit remains. But *within* the leftover IGST credit, Rule 88A gives **free choice of order and proportion** — use it to avoid stranding own-head credit (Ex 2).
 5. **CGST ⇌ SGST cross-utilisation is NEVER allowed** (Sec 49(5)(e),(f)). A tempting but fatal shortcut.
 6. **TDS threshold is per contract, on value excluding GST, and exceeds ₹2,50,000** — exactly ₹2,50,000 = no TDS. And **no TDS on the supplier/PoS-different-State mismatch**.
 7. **TCS is on net value (after returns), at ~1%, not 2%** — don't borrow the TDS rate. And TCS does not apply where the ECO itself pays under Sec 9(5).
 8. **Order of discharge is mandatory (Sec 49(8)).** You cannot pay the current period while a previous-period due is open — a favourite conceptual MCQ.
 9. **Rule 86B (1% cash) applies on taxable turnover > ₹50 lakh per month** — not annual, not total turnover, and subject to exceptions.
 10. **PMT-09 transfers cash between heads (Sec 49(10))** — it is *not* a refund and *not* a credit-ledger transaction.
 11. **OTC deposit cap ₹10,000 per challan per tax period**, and challan (PMT-06) is valid only **15 days**.
-

9. First-Principles Recap

Start from the single sentence that generates the whole chapter: **GST is self-assessed, so payment must be a glass-walled, rule-bound accounting act, not an officer's demand.**

- Because **money ≠ credit** in what they mean to the exchequer, they live in **two ledgers**, and the harmless one (credit) is restricted to output tax while the real one (cash) can pay anything.
- Because **credit belongs to specific governments**, it flows only along legal channels: **IGST first and fully, then ring-fenced CGST and SGST that never cross**.
- Because taxpayers would pay the **easy due first**, the law fixes **oldest-first discharge**.
- Because interest is **compensatory**, it is charged only on money the exchequer was *actually* deprived of — hence **net cash** for late returns, and 24% only when wrong credit was **actually used**.
- Because the normal chain is **weak at government buyers and platforms**, collectors (TDS/TCS) skim a slice at source into the **supplier's cash ledger**.

If you can rebuild the ledgers, the utilisation waterfall, the discharge order, and the two interest bases from these five "because," you never need to memorise a single sub-section — you can *derive* them.

10. Quick-Revision Sheet

Ledgers (Sec 49): Cash (PMT-05, pays *anything*) · Credit (PMT-02, *output tax only*) · Liability (PMT-01).
Challan PMT-06 (valid 15 days, OTC $\leq$ ₹10,000). Transfer between cash heads = PMT-09 (Sec 49(10)).

Utilisation (Sec 49(5), 49A, Rule 88A): IGST credit → IGST first → then CGST/SGST *any order & proportion*.
CGST/SGST credit only *after IGST credit is zero*. CGST↔SGST **never** cross. Rule 86B: taxable turnover > ₹50L/month → $\geq 1\%$ liability in **cash**.

Order of discharge (Sec 49(8)): (1) previous-period dues → (2) current-period dues → (3) other amounts / Sec 73–74 demand.

Interest (Sec 50, Rule 88B): 18% on **net cash** for late return (proviso; retrospective 1.7.2017) — gross if after 73/74 proceedings. 24% on ITC **availed and utilised** (Sec 50(3)); no interest if reversed before use. Interest formula: **Amount $\times$ rate $\times$ days $\div$ 365**.

TDS (Sec 51): deductor = govt/local authority/notified; **2%** (1%+1%) where contract taxable value > **₹2,50,000** (excl. GST); no TDS on supplier/PoS-vs-recipient State mismatch; **GSTR-7** by 10th, certificate **GSTR-7A** → supplier **cash ledger**.

TCS (Sec 52): e-commerce operator; **~1%** (0.5%+0.5%) on **net value** (supplies – returns); not for Sec 9(5) supplies; **GSTR-8** by 10th → supplier **cash ledger**.

Golden reconciliation check on every set-off sum: *ITC used + Cash paid = Total output liability*, and *no head-credit should be stranded if it could legally have been applied*.

Reminder: re-verify the ₹2,50,000 TDS threshold, 2%/1% rates, ₹50L Rule 86B trigger, and 18%/24% interest rates against current ICAI material and notifications for your exam attempt — the mechanism is permanent, the figures are not.

Q&A — Payment of Tax

CGST Act, 2017 — **Sections 49, 49A, 49B, 50, 51, 52** read with **Rules 85–88B** and the PMT-series forms; IGST paid under the IGST Act but discharged through the same machinery (Sec 20 IGST applies Sec 49 etc.). **The mechanism (three ledgers, utilisation waterfall, discharge order, two interest bases, TDS/TCS as source collections) is permanent. The numbers — TDS threshold ₹2,50,000, TDS 2%, TCS 0.5%+0.5%, Rule 86B ₹50 lakh/month trigger, interest 18%/24% — are amendment/notification-sensitive. Confirm the current figures from the ICAI Study Material/RTP for your attempt.**

SECTION A — Concept-Check (Short Q&A)

A1. Name the three electronic ledgers, their forms, and what each holds. Sec 49. *Electronic Cash Ledger (PMT-05, Sec 49(1))* — real money deposited via challan PMT-06. *Electronic Credit Ledger (PMT-02, Sec 49(2))* — ITC self-assessed in the return. *Electronic Liability Register (PMT-01, Sec 49(7))* — the running record of all amounts owed (tax, interest, penalty, fee).

A2. Why are cash and credit kept in two separate ledgers instead of one pool? Because they mean different things to the exchequer. **Cash** is fresh revenue; **credit** is merely a bookkeeping offset of tax already collected upstream. Separating them (Sec 49(1) vs 49(2)) lets everyone see how much *real money* a taxpayer contributed — and lets the law restrict the harmless one (credit → output tax only, **Sec 49(4)**) while leaving cash free for any payment (**Sec 49(3)**).

A3. What can the cash ledger pay, and what can the credit ledger pay? Sec 49(3) — cash ledger pays **anything**: tax, interest, penalty, fee, or any other amount. **Sec 49(4)** — credit ledger pays **output tax only**; never interest, penalty, late fee, or reverse-charge (RCM) tax.

A4. State the base utilisation rule of Sec 49(5). IGST credit → IGST first, then CGST/SGST in any order. CGST credit → CGST, then IGST, **never SGST** (Sec 49(5)(e)). SGST/UTGST credit → SGST, then IGST, **never CGST** (Sec 49(5)(f)).

A5. What does Section 49A add on top of 49(5), and what does Rule 88A relax? Sec 49A — CGST/SGST credit may be used *only after IGST credit is fully exhausted* (IGST-first override). **Rule 88A** — after IGST credit pays IGST, its balance may go to CGST and SGST in **any order and any proportion** — the flexibility that lets you avoid stranding own-head credit.

A6. Why must IGST credit be exhausted first? IGST is the **shared inter-governmental pool** (Centre–State settlement). Draining it first keeps the settlement accounts clean and avoids leaving IGST credit stranded while cash is paid.

A7. State the mandatory order of discharge under Sec 49(8). (1) Self-assessed tax and dues of **previous** tax periods → (2) self-assessed tax and dues of the **current** tax period → (3) **any other amount** payable, including a demand under Sec 73/74. Oldest, most-at-risk claim first; you cannot pay the current return while a previous-period due is open.

A8. On what amount is interest charged for a late-filed return, and why? Proviso to Sec 50(1) + Rule 88B(1) — interest @18% runs on the **net cash portion only**, not on the ITC set-off portion. Reason: the ITC

was already in the exchequer's hands (paid upstream), so the government was never short of that money.

Exception: if the return is filed *after* Sec 73/74 proceedings commence, interest runs on the **gross** tax.

A9. When does the higher 24% interest apply? Sec 50(3) + Rule 88B(3) — only where ITC is **both availed AND utilised** wrongly. Merely availing (parking) wrong credit and reversing it before use attracts **no interest**, because unused credit did the exchequer no harm.

A10. What is Rule 86B and Rule 86A? Rule 86B — where **taxable turnover (excl. exempt/zero-rated) in a month exceeds ₹50 lakh**, at least **1% of output tax must be paid in cash** (credit covers at most 99%); stops discharge with 100% fake ITC. **Rule 86A** — the Commissioner may **block** use of the credit ledger on reasonable belief of fraudulent/ineligible ITC (a restraint, not a rate).

A11. TDS under Sec 51 — who, how much, threshold, and where it lands? Deductors = government departments, local authorities, notified persons (e.g. PSUs). Deduct **2% (1% CGST + 1% SGST, or 2% IGST)** where the taxable value **under a contract exceeds ₹2,50,000** (excluding GST). No TDS where supplier location + place of supply are in a State different from the recipient's registration State. Return **GSTR-7** by 10th, certificate **GSTR-7A**; amount lands in the **supplier's cash ledger**.

A12. TCS under Sec 52 — who, how much, on what base? An **Electronic Commerce Operator** collects **up to 1% (0.5% CGST + 0.5% SGST, or 1% IGST)** on the **net value of taxable supplies** (supplies – returns) made through it by other sellers. Not applicable where the ECO itself pays under **Sec 9(5)**. Return **GSTR-8** by 10th; amount lands in the **supplier's cash ledger**.

A13. What is Form PMT-09 for? Sec 49(10) — transfer of an amount **within the cash ledger** from one tax head/minor-head to another (e.g. IGST-interest → CGST-tax). **Sec 49(11)** confirms it is *not* treated as a refund. It fixes stranded/wrongly-deposited cash; it never touches the credit ledger.

SECTION B — Graded Computational Problems

B1 (Easy) — Straight set-off with IGST credit balance

Given (one month):

Head	Output liability	ITC available
IGST	60,000	90,000
CGST	70,000	40,000
SGST	70,000	30,000
Total	2,00,000	1,60,000

Step 1 — IGST credit first (Sec 49A). IGST credit 90,000 pays IGST 60,000. Balance IGST credit = **30,000**.

Step 2 — Balance IGST credit to CGST (Rule 88A). Apply 30,000 to CGST → CGST still needs 70,000 – 30,000 = 40,000. IGST credit now zero. **Step 3 — Own-head credit.** CGST credit 40,000 pays remaining CGST 40,000 → CGST discharged, CGST credit zero. SGST credit 30,000 pays part of SGST → remaining SGST = 70,000 – 30,000 = 40,000. **Step 4 — Cash.** SGST 40,000 from cash ledger.

Head	Liability	IGST credit	Own credit	Cash
IGST	60,000	60,000	—	0
CGST	70,000	30,000	40,000	0
SGST	70,000	—	30,000	40,000
Total	2,00,000	90,000	70,000	40,000

Reconciliation: credit used 90,000 + 70,000 = 1,60,000 = total ITC; cash 40,000; 1,60,000 + 40,000 = **2,00,000 = total liability.** ✓ Nothing stranded.

B2 (Moderate) — "Any proportion" (Rule 88A) decides cash outflow

Given: Output — CGST 1,20,000, SGST 1,20,000, IGST **nil**. ITC — IGST 1,20,000, CGST 30,000, SGST 1,00,000.

There is no IGST liability, so the full ₹1,20,000 IGST credit must be spread over CGST and SGST — and *how* you split it changes the cash.

Suboptimal (dump IGST credit into CGST first): - CGST 1,20,000 = IGST credit 1,20,000 → paid, but **CGST own-credit 30,000 stranded** (can only pay CGST/IGST, both now nil). - SGST 1,20,000 = SGST credit 1,00,000 + **cash 20,000**. - **Cash = 20,000; 30,000 CGST credit carried forward unused.**

Optimal (route IGST credit to the head with weaker own-credit = CGST): - CGST 1,20,000 = own CGST credit 30,000 + **IGST credit 90,000** → paid, no cash. - SGST 1,20,000 = own SGST credit 1,00,000 + **IGST credit 20,000** → paid, no cash. - IGST credit used = 90,000 + 20,000 = 1,10,000; **balance IGST credit 10,000 c/f.** - **Cash = 0.**

Reconciliation: liability 2,40,000; ITC 2,50,000. Optimal: credit used 2,40,000, cash 0, 10,000 IGST credit c/f. ✓ The mechanical split wastes ₹20,000 cash and strands ₹30,000 credit; Rule 88A's *any proportion* avoids it — always send the IGST balance to the head whose own-head credit is short.

B3 (Moderate) — Interest on a delayed return (net-cash basis)

Given: GSTR-3B due **20th**, filed **50 days late**. Output — IGST 40,000, CGST 60,000, SGST 60,000. ITC — IGST 50,000, CGST 25,000, SGST 25,000. (Assume a 365-day year.)

Step 1 — set-off. - IGST credit 50,000: pays IGST 40,000; balance 10,000 → apply to CGST. - CGST 60,000 = IGST 10,000 + CGST credit 25,000 = 35,000 → cash **25,000**. - SGST 60,000 = SGST credit 25,000 → cash **35,000**.

Step 2 — net cash liability = 25,000 + 35,000 = ₹60,000. Interest (proviso to Sec 50(1) + Rule 88B(1)) runs only on this ₹60,000, not on the ₹1,00,000 met by ITC.

Step 3 — interest @18% for 50 days: - CGST: $25,000 \times 18\% \times 50/365 = 4,500 \times 50/365 = \text{₹}616.44$ - SGST: $35,000 \times 18\% \times 50/365 = 6,300 \times 50/365 = \text{₹}863.01$ - **Total = ₹1,479.45 (≈ ₹1,479).**

Cross-check: $60,000 \times 18\% \times 50/365 = 10,800 \times 50/365 = \text{₹}1,479.45$. ✓ **Contrast:** on gross tax ₹1,60,000 → $1,60,000 \times 18\% \times 50/365 = \text{₹}3,945.21$ — the proviso saves ₹2,466 by not taxing time-value on credit already with the exchequer.

B4 (Moderate) — Interest at 24% on wrongly utilised ITC

Given: A taxpayer wrongly availed IGST credit of ₹80,000. Of this, ₹50,000 was **utilised** to pay output tax; the remaining ₹30,000 sat unused and was reversed on discovery. Days of default on the utilised portion = 90.

Answer (Sec 50(3) + Rule 88B(3)): Interest @24% applies **only on the ₹50,000 actually utilised**, from date of utilisation to date of reversal/payment. The ₹30,000 merely availed but reversed before use attracts **no interest**. Interest = $50,000 \times 24\% \times 90/365 = 12,000 \times 90/365 = \text{₹2,958.90} (\approx \text{₹2,959})$. *Trap:* charging 24% on the full ₹80,000 is wrong — "availed" alone is not enough; it must be "availed **and** utilised."

B5 (Exam-hard) — Combined set-off + Rule 86B + net-cash interest

Given (one month): Output — IGST 1,00,000, CGST 3,00,000, SGST 3,00,000 (total **7,00,000**). ITC — IGST 1,50,000, CGST 2,80,000, SGST 2,90,000. Monthly **taxable turnover = ₹80 lakh** (so Rule 86B applies). Return filed **30 days late**; assume 365 days.

Step 1 — set-off (optimise via Rule 88A). - IGST credit 1,50,000 pays IGST 1,00,000 → balance 50,000. Send it to CGST (the head we will test for cash). - CGST 3,00,000 = own CGST credit 2,80,000 + IGST credit 20,000 = 3,00,000 → **CGST fully by credit** (IGST credit balance now 50,000 – 20,000 = 30,000). - SGST 3,00,000 = own SGST credit 2,90,000 + IGST credit 30,000 = 3,20,000 available, need 3,00,000 → covered; IGST credit fully used, SGST own-credit 10,000 unused → **SGST fully by credit**.

Pure set-off would give **cash = 0**. But **Rule 86B** overrides: at least **1% of output tax must be paid in cash**.

Step 2 — Rule 86B floor. 1% of total output tax 7,00,000 = **₹7,000 minimum cash**, regardless of available credit. So ₹7,000 must be discharged in cash (credit may cover the other 99% = ₹6,93,000). The taxpayer therefore pays ₹7,000 cash and carries the corresponding unused credit forward.

Step 3 — interest on late return. Net cash liability here is the Rule 86B-mandated **₹7,000** (the only cash actually payable this month). Interest @18% for 30 days = $7,000 \times 18\% \times 30/365 = 1,260 \times 30/365 = \text{₹103.56} (\approx \text{₹104})$.

Reconciliation: liability 7,00,000 = credit used 6,93,000 + cash 7,000. ✓ Rule 86B converts what looked like a zero-cash month into a ₹7,000 minimum cash outflow, on which the late-filing interest then runs. *Note:* Rule 86B has exceptions (e.g. large income-tax paid in prior years, refunds > ₹1 lakh, government bodies) — verify the current list for your attempt.

B6 (Exam-hard) — TDS with threshold and inter-state mismatch

Given: (i) A State Govt department contracts intra-state works of **₹6,00,000** (excl. GST) @18%; supplier and place of supply in the department's own State. (ii) A second contract of **₹2,50,000** (excl. GST). (iii) A third contract of **₹4,00,000** where the supplier's location + place of supply are in **State X** but the recipient department is registered in **State Y**.

Contract (i): Value 6,00,000 > **2,50,000** → **TDS applies**. TDS = 2% of 6,00,000 = **₹12,000 (CGST 6,000 + SGST 6,000)**. GST on invoice = 1,08,000 (54,000 + 54,000); invoice total 7,08,000. Department pays supplier 7,08,000 – 12,000 = **₹6,96,000** and deposits ₹12,000 via **GSTR-7** by the 10th; supplier's **cash ledger** credited ₹12,000. **Contract (ii):** Value **exactly 2,50,000** — threshold is *exceeds* ₹2,50,000 → **NO TDS**. **Contract (iii):** Supplier/PoS State ≠ recipient's registration State → **NO TDS** (the mismatch exemption, Sec 51), even though 4,00,000 > threshold.

B7 (Exam-hard) — TCS on net value through an ECO

Given: In a month, sellers make taxable supplies of ₹25,00,000 through an e-commerce operator; ₹3,00,000 of goods are returned. Separately, ₹5,00,000 of supplies are those on which the **ECO itself is liable under Sec 9(5)**. All intra-state.

Step 1 — exclude Sec 9(5) supplies. TCS is only on supplies by *other sellers*: 25,00,000 – 5,00,000 = ₹20,00,000. **Step 2 — net value.** 20,00,000 – 3,00,000 (returns) = ₹17,00,000. **Step 3 — TCS @1%.** = ₹17,000 (CGST 8,500 + SGST 8,500), deposited via **GSTR-8** by the 10th; credited to the **sellers' cash ledgers**. *Trap:* returns are netted *before* applying the rate, and Sec 9(5) supplies never enter the base.

SECTION C — Past-Paper-Style Full Questions

C1. "M/s Alpha Ltd (registered in Delhi) has, for the month, output tax of IGST ₹90,000, CGST ₹1,50,000, SGST ₹1,50,000, and ITC of IGST ₹1,20,000, CGST ₹1,00,000, SGST ₹80,000. Compute the minimum cash payable under each head, utilising ITC in the most beneficial manner. State the provisions."

Provisions: Sec 49(5), 49A and Rule 88A. IGST credit first (fully), then CGST/SGST credit; balance IGST credit spread in the best proportion.

- **IGST liability 90,000** = IGST credit 90,000 → balance IGST credit 30,000.
- Route the ₹30,000 IGST balance to **SGST** (SGST own-credit 80,000 is weaker than CGST 1,00,000).
- **CGST 1,50,000** = CGST credit 1,00,000 + cash **50,000**.
- **SGST 1,50,000** = SGST credit 80,000 + IGST credit 30,000 = 1,10,000 → cash **40,000**.

Head	Liability	IGST credit	Own credit	Cash
IGST	90,000	90,000	—	0
CGST	1,50,000	—	1,00,000	50,000
SGST	1,50,000	30,000	80,000	40,000
Total	3,90,000	1,20,000	1,80,000	90,000

Reconciliation: credit 1,20,000 + 1,80,000 = 3,00,000; cash 90,000; total = **3,90,000**. ✓ Minimum cash = **CGST 50,000 + SGST 40,000 = ₹90,000**; IGST cash nil. (*Routing the IGST balance to CGST instead would still give total cash ₹90,000 here since both heads have surplus liability over own-credit — but the habit of feeding the weaker head is what protects you when one head's own-credit would otherwise be stranded.*)

C2. "Explain, with the statutory basis, why interest on a belatedly filed GSTR-3B is computed only on the net cash liability, and state the one situation where it is instead computed on the gross tax."

Model answer: Under the **proviso to Sec 50(1)**, read with **Rule 88B(1)**, where a return is filed after the due date, interest @18% p.a. is levied only on the tax paid by **debiting the electronic cash ledger** (the net cash component). The rationale: the ITC portion of the liability was already deposited with the government upstream by the earlier supplier, so the exchequer was never actually deprived of that money — charging interest on it would be double counting. **Exception:** where the return is furnished **after commencement of proceedings under Sec 73 or 74**, interest is charged on the **gross** tax liability (Rule 88B(2) basis), because

the concession is meant for honest late filers, not for those regularised only after detection. This proviso was given **retrospective effect from 1 July 2017**.

C3. "Distinguish TDS (Sec 51) from TCS (Sec 52) under GST on: who deducts/collects, rate, base, threshold, return, and where the amount is credited."

Feature	TDS — Sec 51	TCS — Sec 52
Who	Govt dept / local authority / notified persons (buyer side)	Electronic Commerce Operator (platform)
Rate	2% (1% CGST + 1% SGST / 2% IGST)	up to 1% (0.5% + 0.5% / 1% IGST)
Base	Taxable value under a contract (excl. GST)	Net value of taxable supplies (supplies – returns)
Threshold	Contract value > ₹2,50,000	No threshold
Not applicable	Supplier/PoS State ≠ recipient's reg. State	Supplies where ECO pays under Sec 9(5)
Return / cert.	GSTR-7 by 10th; cert. GSTR-7A	GSTR-8 by 10th; annual statement
Credited to	Supplier's electronic cash ledger	Supplier's electronic cash ledger

Both are **collections at source** at choke-points (Problem 4 of the design), not fresh taxes; both feed the real supplier's cash ledger as pre-paid tax.

SECTION D — MCQs / Case Scenarios

D1. The electronic credit ledger can be used to pay — (a) tax, interest and penalty (b) output tax only (c) any liability including late fee (d) RCM tax **Ans: (b).** Sec 49(4) restricts the credit ledger to output tax; interest/penalty/fee/RCM are cash only.

D2. After IGST credit pays IGST liability, its balance can be applied to CGST and SGST — (a) equally only (b) CGST first, then SGST (c) in any order and any proportion (d) SGST first, then CGST **Ans: (c).** Rule 88A gives free choice of order and proportion once IGST is paid.

D3. CGST credit can be used to pay — (a) CGST then SGST (b) CGST then IGST (c) any head (d) SGST then IGST **Ans: (b).** Sec 49(5)(e) — CGST then IGST; never SGST.

D4. Interest @24% under Sec 50(3) applies when ITC is — (a) merely availed (b) availed and utilised (c) reversed before use (d) carried forward **Ans: (b).** Rule 88B(3) — the credit must be both availed and utilised.

D5. A government department awards a taxable contract of ₹2,50,000 (excl. GST). TDS to be deducted — (a) ₹5,000 (b) ₹2,500 (c) Nil (d) ₹10,000 **Ans: (c).** Sec 51 triggers only where value *exceeds* ₹2,50,000; exactly ₹2,50,000 = no TDS.

D6. Under Sec 49(8), which is discharged first? (a) current-period self-assessed tax (b) previous-period dues (c) Sec 73/74 demand (d) interest of current period **Ans: (b).** Order of discharge: previous-period dues → current-period dues → other amounts/demands.

D7. Rule 86B (1% cash) is triggered when monthly **taxable** turnover exceeds — (a) ₹50 lakh (b) ₹1 crore (c) ₹20 lakh (d) ₹1.5 crore **Ans: (a).** Per month, on taxable turnover (excl. exempt/zero-rated); at least 1% of

output tax in cash.

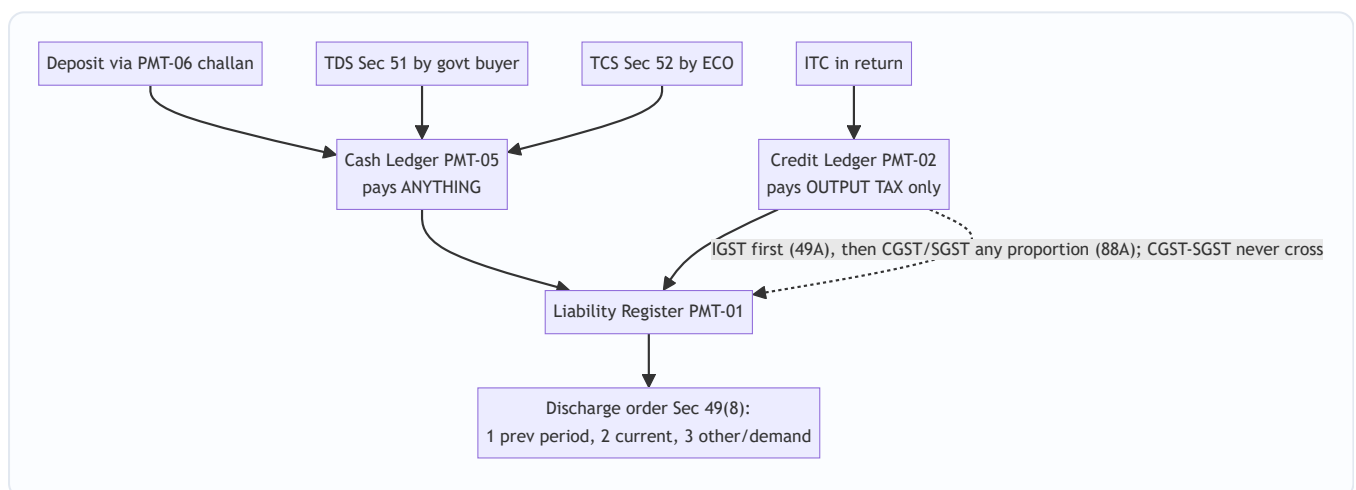
D8. Transfer of wrongly-deposited amount between heads of the cash ledger is done through — (a) PMT-03 (b) PMT-06 (c) PMT-09 (d) GSTR-7 **Ans: (c).** Sec 49(10), Form PMT-09; treated as not a refund (Sec 49(11)).

D9. An ECO's TCS is computed on — (a) gross supplies (b) net value = supplies – returns (c) supplies + tax (d) Sec 9(5) supplies **Ans: (b).** Sec 52 — net value; Sec 9(5) supplies are excluded (ECO pays as supplier there).

D10 (Case). X Ltd files GSTR-3B 20 days late. Output tax ₹2,00,000, of which ₹1,50,000 was set off by ITC and ₹50,000 paid in cash. Interest @18% (365-day year) is — (a) on ₹2,00,000 (b) on ₹50,000 (c) nil (d) on ₹1,50,000 **Ans: (b).** Proviso to Sec 50(1) — net cash only. Amount = $50,000 \times 18\% \times 20/365 = \text{₹}493.15$.

D11 (Case). A deposits ₹10,000 as IGST-tax but should have paid it as CGST-tax. To correct without claiming a refund he should — (a) file a refund claim (b) use PMT-09 to transfer within the cash ledger (c) reverse credit ledger (d) file GSTR-7 **Ans: (b).** Sec 49(10)/PMT-09 moves cash between heads; Sec 49(11) says it is not a refund.

Ledger-and-payment flow (revision map)



Golden reconciliation check for every set-off sum: *ITC used + Cash paid = Total output liability*, and no head-credit should be stranded if it could legally have been applied. Re-verify all rates and thresholds (TDS ₹2,50,000/2%, TCS 0.5%+0.5%, Rule 86B ₹50L/month, interest 18%/24%) against current ICAI material and notifications for your attempt — the mechanism is permanent, the figures are not.

Chapter 23 — Returns

Rates / thresholds / amendments flag: This chapter teaches the *architecture and logic* of the GST return system under Sections 37–48 of the CGST Act, 2017 read with Rules 59–68 of the CGST Rules. The **return structure is the single most amendment-prone corner of GST** — GSTR-2 and GSTR-3 were suspended and never operationalised, the QRMP scheme was bolted on, GSTR-2B replaced reliance on GSTR-2A, sequential-filing and three-year time-bars were inserted, and due dates get extended by notification almost every year. Treat the *design logic* below as permanent, but **verify every due date, the current turnover thresholds for QRMP, the late-fee caps, and the latest interest rates against current ICAI study material for your attempt**. The *why* is stable; the *numbers* move.

1. The Problem — Why a self-assessed tax needs periodic returns at all

Go back to the founding bargain of GST (Chapter 13). GST is a **self-assessed** tax: nobody sits at your gate stamping every invoice. You decide what you sold, you decide what tax you owe, you decide what input tax credit (ITC) you are entitled to, and you pay the net. The State does not pre-verify any of this. That is fast and cheap — but it hands the taxpayer a loaded pen. Two things can now go wrong, and both are fatal to the exchequer:

Problem 1 — Nobody knows what you did unless you tell them. If tax is self-assessed, the government has *no independent record* of your transactions. It cannot collect, cannot audit, cannot even know a registered person exists as an economic actor, unless the taxpayer *periodically declares* what happened. A tax without a declaration mechanism is a tax on the honour system with no ledger. The return **is** that ledger — the structured, periodic, machine-readable confession of "here is what I supplied, here is what I paid, here is the credit I claim, here is my net cash."

Problem 2 — The credit chain is only as honest as its weakest link. This is the deeper problem, and it is unique to a value-added tax. Recall the seamless-credit promise: the buyer claims ITC equal to the tax the seller charged. But that credit is a *claim by the buyer* — the buyer simply asserts "I paid ₹18,000 GST on my purchases, give me credit." How does the government know the seller ever *deposited* that ₹18,000? If it never checks, a buyer can fabricate invoices, claim credit on tax that was never paid into the treasury, and the government refunds real money against fake tax. This is the single largest fraud vector in every VAT/GST system on earth — **fake ITC on bogus invoices**.

So the return system must do far more than collect declarations. It must **cross-verify one taxpayer's claim against another taxpayer's declaration**. The buyer's credit must be *matched* to the seller's disclosed liability. My purchase is your sale. If your sales return does not show my invoice, my credit is suspect. **The return system is the machinery that makes the credit chain self-policing** — it turns millions of taxpayers into witnesses against each other, because the buyer *needs* the seller to file, and the seller *needs* to file to let the buyer claim.

That is the whole game. Periodic returns exist to (a) capture self-assessed liability in a ledger the State can act on, and (b) **weld each buyer's credit to a specific seller's declaration**, so that no rupee of ITC can exist that some seller did not first declare. Everything below — every form, every due date, every auto-population — is an implementation detail of those two goals.

2. The Core Idea

Each registered person files an outward-supply statement (GSTR-1) declaring every invoice they issued. The system reads all sellers' GSTR-1s and automatically hands each buyer a statement of the credit available to them (GSTR-2B). The buyer then files a summary return (GSTR-3B) declaring net liability and paying tax in cash, taking credit only up to what the system says is available. Once a year, an annual return (GSTR-9) reconciles the twelve monthly filings against the audited books.

Three load-bearing ideas organise the entire chapter:

1. **The outward statement of the seller is the raw material of the buyer's credit.** GSTR-1 is not just the seller's declaration of *his* tax — it is the *source data* from which the buyer's GSTR-2B is built. One taxpayer's return literally feeds another taxpayer's credit. This coupling is the anti-fraud engine.
2. **Credit is no longer self-declared — it is system-communicated.** The old dream (GSTR-2/GSTR-3 with buyer-side invoice matching) collapsed under complexity. The working system instead *pushes* an auto-drafted credit statement (GSTR-2B) to the buyer, and the law (Sec 16(2)(aa)) now says: **you cannot claim ITC that does not appear there.** Credit went from "assert and hope" to "claim what the system shows."
3. **The summary return is where money and credit meet.** GSTR-3B is the monthly settlement: output tax minus available ITC equals net payable in cash. It is the return that actually *moves money*.

Everything else — QRMP, IFF, late fees, sequential filing, the annual reconciliation — hangs off these three hooks.

3. Why It's Built This Way — the design logic behind each form

Before a single section, understand the *design choices*, because every rule is one of these in disguise.

Design choice	The problem it solves	How the Act implements it
A dedicated outward-supply statement	The State needs an invoice-level record to build the credit chain	GSTR-1, Sec 37
Auto-generate the buyer's credit statement from all sellers' GSTR-1	Match credit to declared liability without asking the buyer to reconcile manually	GSTR-2B (static, Rule 60), Sec 38
Bar credit not appearing in the auto-statement	Kill fake ITC on invoices no seller declared	Sec 16(2)(aa) — the credit "gate"
A summary return that computes and pays net tax	Actually collect the money each month	GSTR-3B, Sec 39, Rule 61
Force GSTR-1 to be filed <i>before</i> GSTR-3B	Ensure the seller's data exists before he pays, so buyers' credit is populated	Sec 39(10) — sequential filing
Force this month's filing only after last month's is done	Prevent gaps and stale, out-of-order ledgers	Sec 37(4) / 39(10) — no leapfrogging
A quarterly option for small taxpayers	Compliance cost is regressive; monthly filing crushes small firms	QRMP scheme (turnover $\leq$ threshold)
A once-a-year reconciliation with the books	Monthly returns are summaries; annual truth-up catches drift	GSTR-9 / GSTR-9C, Sec 44
Late fee per day + interest on late tax	Make delay costlier than compliance; self-enforcing deadlines	Sec 47 (late fee), Sec 50 (interest)
A hard time-bar on filing old returns	Stop indefinite reopening; force finality	Sec 37(5), 39(11), 44 — 3-year bar

The elegance to internalise: **the return system is a directed pipeline, not a set of independent forms.** Data flows one way — seller's GSTR-1 → system → buyer's GSTR-2B → buyer's GSTR-3B — and the sequencing rules exist purely to keep that pipeline from running dry or out of order. Once you see it as *one machine with a mandatory input order*, the due dates and the sequential-filing rules stop being arbitrary.

4. Full Technical Content — the forms, sections, due dates and conditions, with the "why"

4.1 The overall map (Sec 37–48)

Section	What it governs
Sec 37	Furnishing details of <i>outward</i> supplies (GSTR-1)
Sec 38	Communication of <i>inward</i> supplies and ITC (auto-drafted GSTR-2B)
Sec 39	Furnishing of returns (GSTR-3B and other periodic returns)
Sec 40	First return
Sec 44	Annual return (GSTR-9 / GSTR-9C)
Sec 45	Final return (GSTR-10, on cancellation)
Sec 46	Notice to return defaulters (GSTR-3A)
Sec 47	Levy of late fee
Sec 48	Goods and Services Tax Practitioners
Sec 50	Interest on delayed payment / excess ITC

4.2 GSTR-1 — the outward-supply statement (Sec 37, Rule 59)

What it is: An *invoice-level* declaration of every outward supply (sale) made in the tax period — B2B invoices individually, B2C above a threshold individually, small B2C in consolidated summaries, exports, credit/debit notes, and amendments. This is the **most granular** return; the whole credit chain is built from it.

Why invoice-level and not just a total? Because the buyer's credit is invoice-specific. If GSTR-1 only carried a lump-sum "total sales ₹50 lakh," the system could never tell *which buyer* is entitled to *which slice* of credit. Invoice-level detail is what lets the system split the seller's declaration and route each invoice's tax to the correct buyer's GSTR-2B. **Granularity in GSTR-1 = precision in the credit chain.**

Due date: - **Monthly filers:** 11th of the month following the tax period. - **QRMP filers (quarterly):** 13th of the month following the quarter, with an optional **Invoice Furnishing Facility (IFF)** to upload B2B invoices for the first two months of the quarter by the 13th of the next month — so their buyers don't wait a whole quarter for credit.

Why IFF exists: A quarterly GSTR-1 would starve the small filer's *buyers* of credit for up to three months — the buyer's GSTR-2B would be empty. IFF lets the quarterly seller push B2B invoices monthly so the credit pipeline keeps flowing, without forcing a full monthly return. It is a patch that reconciles "small-seller relief" with "don't break the buyer's credit."

Sequential filing (Sec 37(4)): A registered person **cannot furnish GSTR-1 for a period if GSTR-1 for any previous period has not been furnished.** No leapfrogging — the pipeline must fill in order.

Time-bar (Sec 37(5)): GSTR-1 **cannot be filed after three years** from its due date. *(Inserted to force finality; verify effective date/notification for your attempt.)*

4.3 GSTR-2B — the auto-drafted ITC statement (Sec 38, Rule 60)

What it is: A **static, auto-generated** statement of the ITC *available* to a recipient for a tax period, built by the system from all the recipient's suppliers' GSTR-1s (plus IFF, GSTR-5 of non-residents, GSTR-6 of ISD, and import data from ICEGATE). It is generated on the **14th** of the month, and once generated it does **not change** for that period.

GSTR-2A vs GSTR-2B — the distinction the examiner loves:

Feature	GSTR-2A	GSTR-2B
Nature	Dynamic — keeps updating as suppliers file/amend	Static — frozen once generated on the 14th
Purpose	A live view/reference	The authoritative basis for claiming ITC
Basis for ITC	No	Yes — Sec 16(2)(aa) ties credit to it

Why static? Because ITC must be claimed against a *fixed* number for a period. If the basis kept moving, you could never reconcile "credit claimed" to "credit available" — every recalculation would shift the goalposts. GSTR-2B freezes the picture on the 14th so the buyer has one stable figure to carry into GSTR-3B.

The credit gate — Sec 16(2)(aa): ITC on an invoice/debit note is available **only if** the details have been furnished by the supplier in *his* GSTR-1 **and communicated to the recipient** (i.e. it appears in GSTR-2B). *(Read with Sec 38 and Rule 36(4), which historically capped provisional credit; that cap has now hardened into a near-total bar — verify the current form of Rule 36(4) for your attempt.)*

This is the anti-fraud lock clicking shut. Before this, a buyer could claim credit on any invoice he held. Now, if the seller did not declare the invoice in GSTR-1, it never reaches the buyer's GSTR-2B, and the buyer *cannot* claim it. **The buyer's credit is now a hostage to the seller's filing** — which is exactly the leverage the system wants, because it makes every buyer a compliance enforcer of his own suppliers.

4.4 GSTR-3B — the summary return and payment (Sec 39, Rule 61)

What it is: A **summary** (not invoice-level) monthly/quarterly return declaring, in consolidated figures: total outward tax liability, eligible ITC, tax payable, and tax paid. **This is the return that discharges liability** — the payment happens here.

The computation inside GSTR-3B (the heart of it):

```
Output tax on outward supplies (from your records / GSTR-1)
LESS: Eligible ITC (capped at what GSTR-2B communicates)
= Net tax payable
  → discharged first from Electronic Credit Ledger (ITC), then Electronic Cash Ledger
```

Due date: - **Monthly filers:** 20th of the following month. - **QRMP filers:** staggered — **22nd or 24th** of the month following the quarter, depending on the State/UT of the principal place of business (a two-day

stagger to spread server load across the country).

QRMP monthly payment (PMT-06): A quarterly-return filer still pays *tax* monthly for the first two months via a challan (PMT-06), using either a **fixed sum method** (35% of last period's cash) or **self-assessment**. *Return* is quarterly; *payment* stays roughly monthly — because the government will not lend the taxpayer three months of interest-free float.

Sequential filing (Sec 39(10)): GSTR-3B for a period **cannot be filed unless GSTR-1 for the same period has been filed**. Order is forced: **declare (GSTR-1) before you settle (GSTR-3B)**. The reason is the pipeline — the seller's invoices must be in the system *before* he pays, so buyers' GSTR-2B is populated and the whole month's credit chain is consistent. You also cannot file this period's 3B if a previous 3B is pending.

Time-bar (Sec 39(11)): GSTR-3B cannot be filed after **three years** from its due date. (*Verify effective date.*)

4.5 The QRMP scheme — small-taxpayer relief

Who: Registered persons with aggregate turnover **up to ₹5 crore** in the preceding FY (*verify threshold*) may opt for **Quarterly Return** filing with **Monthly Payment**.

Why it exists: Compliance cost is *regressive* — filing twelve GSTR-1s and twelve GSTR-3Bs a year is trivial overhead for a large firm and a crushing burden for a tiny one. QRMP cuts filing frequency (returns become quarterly) while **preserving monthly cash flow to the treasury** (payment via PMT-06) and **preserving buyers' credit** (via IFF). It is the classic three-way reconciliation: relieve the small taxpayer, don't starve the exchequer, don't break the buyer.

4.6 The other periodic and special returns

Form	Who files it	Frequency / due date	Why it exists
CMP-08	Composition dealers	Quarterly, 18th of month after quarter	Composition pays a flat rate; this is the <i>payment</i> statement
GSTR-4	Composition dealers	Annual , 30th June of next FY (<i>verify</i>)	Annual return for composition — they don't touch the ITC chain, so no monthly detail needed
GSTR-5	Non-resident taxable persons	Monthly (13th)	Feeds recipients' GSTR-2B for imports of services
GSTR-6	Input Service Distributor (ISD)	Monthly, 13th	Distributes common-input credit to branches; feeds their GSTR-2B
GSTR-7	Persons deducting TDS (Sec 51)	Monthly, 10th	Reports tax deducted; deductee gets credit in cash ledger
GSTR-8	E-commerce operators collecting TCS (Sec 52)	Monthly, 10th	Reports tax collected at source on supplies through the platform
GSTR-9	Regular taxpayers	Annual , 31st December of next FY	Reconciles the year's monthly returns (see 4.7)
GSTR-9C	Taxpayers above turnover limit	With GSTR-9, 31st December	Self-certified reconciliation of returns vs audited financials
GSTR-10	Person whose registration is cancelled	Final return , within 3 months of cancellation (Sec 45)	Closes the account — declares stock/liability on exit
GSTR-11	Persons with a UIN (embassies etc.)	For claiming refunds	Not a liability return; refund enabler

Why so many forms? Each answers a *different actor's* relationship to the credit chain. A composition dealer sits *outside* the chain (no ITC), so his return is thin and annual. An ISD's whole job is *routing* credit, so his return is a distribution statement. A TDS/TCS deductor injects money into someone else's *cash* ledger, so his return credits a third party. **The form follows the actor's role in the pipeline.**

4.7 The annual return — GSTR-9 and GSTR-9C (Sec 44)

What it is: A consolidated annual statement reconciling the twelve monthly/quarterly returns with the taxpayer's books. **GSTR-9** is the annual return; **GSTR-9C** is a *reconciliation statement* (now self-certified) required for taxpayers whose turnover exceeds a notified limit, reconciling the annual return with the **audited financial statements**.

Why an annual return when you already filed monthly? Because monthly GSTR-3B is a *summary* filed under time pressure — errors, omissions and timing mismatches accumulate. The annual return is the **truth-up**: it forces the taxpayer to reconcile what he *declared and paid* across the year against what his *books*

actually say, and to pay any shortfall. It is the periodic close that catches the drift monthly summaries inevitably create.

Due date: 31st December following the end of the financial year (*verify*). **Time-bar (Sec 44):** cannot be furnished after **three years** from the due date.

4.8 First return (Sec 40) and Notice to defaulters (Sec 46)

- **First return (Sec 40):** A newly registered person declares, in his first return, outward supplies made **between the date he became liable to register and the date registration was granted** — so the gap period is not lost.
- **Notice to defaulters (Sec 46):** If a return is not filed, the officer issues **GSTR-3A** requiring filing within **15 days**. Ignore it and the officer may proceed to **best-judgement assessment (Sec 62)** — the State assesses your tax *for* you, on its own estimate. This is the stick behind the deadline: fail to self-assess and you lose control of the assessment entirely.

The two headline diagrams

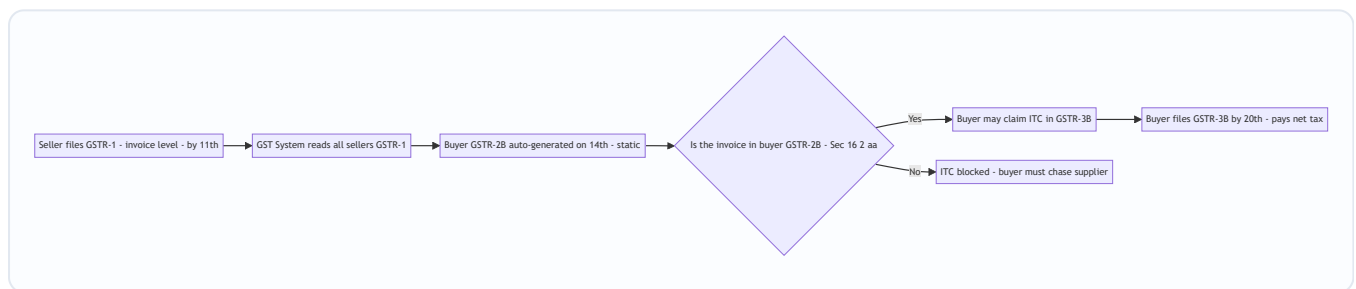


Figure 1 — How one taxpayer's return feeds another taxpayer's credit: the seller's GSTR-1 is the raw material of the buyer's GSTR-2B, and Sec 16(2)(aa) is the gate.

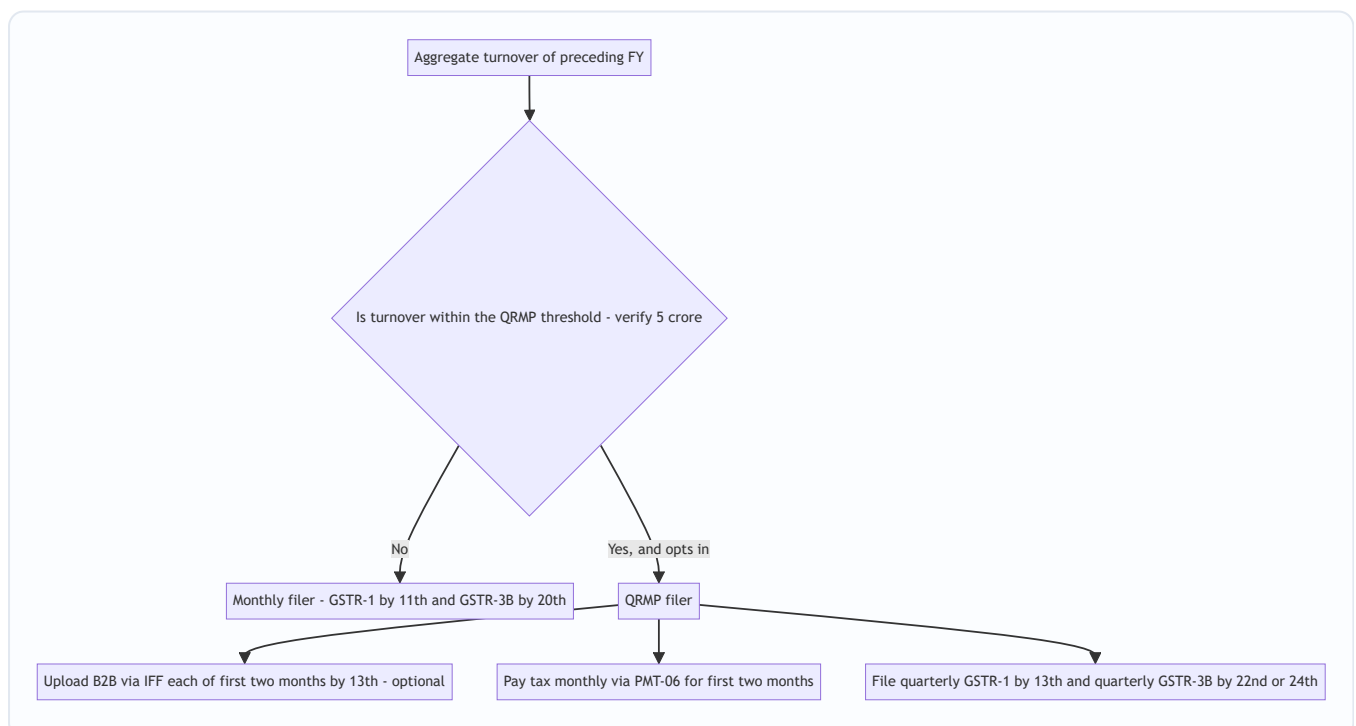


Figure 2 — Choosing the filing frequency: QRMP relieves the small taxpayer on returns while preserving monthly payment and buyer credit.

4.9 Late fee (Sec 47) and interest (Sec 50) — the self-enforcing deadlines

Late fee (Sec 47): A per-day charge for filing GSTR-1/GSTR-3B/annual return late — **₹100 per day under CGST + ₹100 under SGST = ₹200/day**, subject to a maximum; **nil returns** carry a reduced fee (e.g. ₹10 + ₹10 = ₹20/day). (*Caps are turnover-slabbed and revised by notification — verify current caps and nil-return fee for your attempt.*)

Why a per-day fee and not a flat penalty? Because the harm of a late return *grows with delay* — every extra day the seller's GSTR-1 is missing is another day his buyers cannot claim credit and the State cannot see the transaction. A per-day charge makes the cost track the harm and makes *prompt* filing rational even after you've already missed the date.

Interest (Sec 50): - Sec 50(1) — late payment of tax: 18% p.a. on the net tax paid late. Crucially, interest is on the amount paid *through the cash ledger* (i.e. the net liability), not on the portion set off by ITC that was already lying in the credit ledger — because that credit was already *tax in the system*. - **Sec 50(3) — wrongly availed and utilised ITC: 24% p.a.** The higher rate punishes credit that was not merely late but *wrong* and *used*.

Why interest is separate from late fee: the *late fee* prices the delayed *declaration* (the missing ledger entry); *interest* prices the delayed *money* (the treasury lost the time-value of tax it should have held). Two different harms, two different charges.

5. Worked Examples

Example 1 — The credit chain in motion (why GSTR-1 timing decides GSTR-2B)

Facts. Alpha Ltd (monthly filer) sells goods to Beta Ltd in **April 2026**, invoice value ₹10,00,000 + IGST @ 18% = ₹1,80,000. Beta also buys from Gamma Ltd in April: ₹4,00,000 + IGST ₹72,000. Alpha files its April GSTR-1 on **10 May** (on time). Gamma is a QRMP filer and does **not** use IFF, so Gamma's April invoices reach the system only when Gamma files its quarterly GSTR-1 on **13 July**.

Question. What ITC can Beta claim in its **April GSTR-3B** (filed 20 May)?

Step 1 — Build Beta's April GSTR-2B (generated 14 May). It contains only invoices from suppliers whose GSTR-1/IFF was filed by then. - Alpha's ₹1,80,000 — filed 10 May → **appears** in Beta's 2B. - Gamma's ₹72,000 — not filed until 13 July, no IFF → **does not appear** in April 2B.

Step 2 — Apply the Sec 16(2)(aa) gate. ITC claimable = only what is in GSTR-2B. - Alpha ₹1,80,000 → **eligible**. - Gamma ₹72,000 → **blocked in April**; it will appear in Beta's **July** GSTR-2B and be claimable then (subject to the Sec 16(4) annual time limit).

Step 3 — Beta's April ITC = ₹1,80,000.

Reconciliation / lesson. Beta paid ₹72,000 of real tax to Gamma but *cannot use it yet* — purely because Gamma delayed disclosure. **This is the design working as intended:** the buyer's credit is welded to the seller's filing. Beta now has every incentive to pressure Gamma to file (or use IFF). The chain polices itself.

Example 2 — Computing net tax and interest in GSTR-3B

Facts (monthly filer, May 2026). - Output IGST on outward supplies: ₹3,00,000. - Eligible ITC per GSTR-2B: IGST ₹1,10,000. - Opening balance in Electronic Credit Ledger: ₹0. Cash ledger: ₹0. - The taxpayer files and pays on **28 June** instead of the due date **20 June** — 8 days late.

Step 1 — Net tax payable.

Item	₹
Output tax (IGST)	3,00,000
Less: ITC available (IGST)	(1,10,000)
Net tax payable in cash	1,90,000

Step 2 — Interest under Sec 50(1) @ 18% p.a. on the net cash tax paid late. Interest = ₹1,90,000 × 18% × (8 / 365) = ₹1,90,000 × 0.18 × 0.021918 = **₹749.6 ≈ ₹750**.

Note: interest runs on ₹1,90,000 (the cash portion), **not** on ₹3,00,000 — the ₹1,10,000 met from ITC was already tax within the system.

Step 3 — Late fee under Sec 47. 8 days × ₹200/day (₹100 CGST + ₹100 SGST) = **₹1,600** (assuming a non-nil return and within the cap — verify current cap).

Step 4 — Total outflow on 28 June.

Item	₹
Net tax	1,90,000
Interest (Sec 50(1))	750
Late fee (Sec 47)	1,600
Total paid via cash ledger	1,92,350

Reconciliation. Tax, interest and late fee are three distinct heads and are paid under distinct minor heads in the cash ledger; ITC (credit ledger) can pay *tax* but **never** interest, late fee or penalty — those must come from cash. That last point is a favourite trap.

Example 3 — The annual reconciliation (GSTR-9 truth-up)

Facts. During FY 2025-26, Delta Ltd's **books** show total outward taxable turnover of ₹2,05,00,000 and output tax of ₹36,90,000. But the **sum of its twelve GSTR-3Bs** reported turnover ₹2,00,00,000 and output tax ₹36,00,000 — a March invoice of ₹5,00,000 (tax ₹90,000) was omitted and never corrected in a later 3B.

Question. What does GSTR-9 do, and what must Delta pay?

Step 1 — Reconcile books vs returns.

	Books	GSTR-3B (sum)	Difference
Turnover	2,05,00,000	2,00,00,000	5,00,000
Output tax	36,90,000	36,00,000	90,000

Step 2 — GSTR-9 discloses the additional liability. The annual return surfaces the ₹90,000 that was declared in books but never paid through the monthly returns. Delta must pay the ₹90,000 **plus interest under Sec 50(1)** from the original due date of the March 3B up to the date of payment (via DRC-03), because the tax was short-paid for that period.

Step 3 — Why this could not hide. Had there been no annual reconciliation, the ₹90,000 gap between books and returns might have surfaced only in a much later audit, with heavier consequences. **GSTR-9 is the mechanism that forces the taxpayer to find and fix his own drift** — and GSTR-9C, where applicable, makes a reconciliation with *audited* financials mandatory, closing the loop between the tax return universe and the accounting universe.

6. Format / Summary — the return calendar at a glance

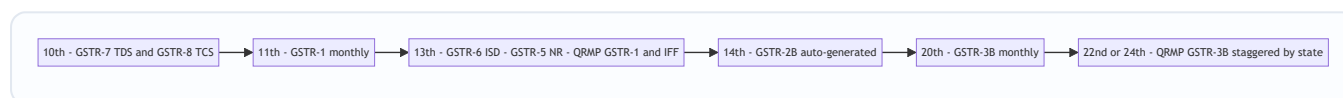


Figure 3 — The monthly rhythm: outward statements early, credit statement mid-month, settlement late.

Return	Who	Frequency	Due date (verify)	Section
GSTR-1	Regular (outward)	Monthly / Quarterly	11th / 13th	37
GSTR-2B	Auto-drafted ITC	Monthly	Generated 14th	38
GSTR-3B	Regular (summary + pay)	Monthly / Quarterly	20th / 22nd or 24th	39
CMP-08	Composition (payment)	Quarterly	18th	39
GSTR-4	Composition (annual)	Annual	30th June	39
GSTR-5	Non-resident	Monthly	13th	39
GSTR-6	ISD	Monthly	13th	39
GSTR-7	TDS deductor	Monthly	10th	39
GSTR-8	TCS (e-commerce)	Monthly	10th	52
GSTR-9 / 9C	Regular (annual)	Annual	31st December	44
GSTR-10	On cancellation	Once	Within 3 months	45

7. Connections — where this chapter plugs into the rest of GST

- ← **Input Tax Credit (Sec 16):** This chapter *operationalises* ITC. Sec 16(2)(aa) (invoice in GSTR-2B) and Sec 16(4) (time limit to claim) are *enforced through the return system*. Returns are where the ITC conditions actually bite.
- ← **Value of Supply (Sec 15) & Time of Supply:** GSTR-1 reports supplies at the *value* (Ch. 18) and in the *period* (Ch. 17) those chapters determine. Get time of supply wrong and the supply lands in the wrong return.

- ← **Payment of Tax (Electronic ledgers):** GSTR-3B is where the Electronic Credit Ledger and Cash Ledger are debited. The utilisation order (IGST credit first, then CGST/SGST rules) is applied *inside* GSTR-3B.
- → **Assessment (Sec 59–64):** Self-assessment (Sec 59) is the act of filing these returns. Fail, and Sec 46 → Sec 62 best-judgement assessment takes over.
- → **Refunds:** A refund claim (e.g. of accumulated ITC under inverted duty structure or exports) is computed off figures declared in these returns.
- → **Registration:** Only a registered person files these returns; cancellation triggers the GSTR-10 final return (Sec 45).

8. Traps & Examiner Tricks

1. **GSTR-2A ≠ GSTR-2B.** 2A is *dynamic* (keeps changing); 2B is *static* (frozen on the 14th) and is the **basis for ITC**. Questions that give you a "GSTR-2A figure updated later" are testing whether you know ITC is claimed off the *static* 2B for the period.
 2. **ITC (credit ledger) can pay tax only — never interest, late fee or penalty.** Those three must come from the **cash ledger**. A computation that nets interest against ITC is wrong.
 3. **Interest under Sec 50(1) runs on the net cash tax, not gross output tax.** Do not charge 18% on the whole output liability when part was met from ITC already in the system.
 4. **Sequential filing.** You cannot file GSTR-3B for a period unless GSTR-1 for the same period is filed (Sec 39(10)); and you cannot skip a prior period. Watch for questions where a taxpayer "files April 3B while March is pending" — not allowed.
 5. **QRMP: quarterly return, monthly payment.** The scheme does **not** defer tax by a quarter — PMT-06 keeps payment monthly. A question implying "QRMP means paying tax once a quarter" is a trap.
 6. **IFF is optional and only for the first two months of a quarter, B2B only, up to the 13th.** It does not replace the quarterly GSTR-1.
 7. **Nil return still needs filing.** A nil return is not "no return" — non-filing attracts late fee (at the reduced nil-return rate) and blocks sequential filing.
 8. **The three-year time-bar (Sec 37(5)/39(11)/44).** Old returns cannot be filed after three years from the due date. Distinguish this *filing* bar from the Sec 16(4) *ITC-claim* time limit — different provisions, different triggers.
 9. **Late fee is CGST + SGST both.** ₹100/day is *per Act*; total is ₹200/day. Candidates routinely halve it.
 10. **First return (Sec 40) covers the pre-registration gap** — supplies between liability date and grant of registration. Do not treat the first return as starting only from the registration date.
-

9. First-Principles Recap

Start from the one fact that generates everything: **GST is self-assessed, and its credit is a claim.** A self-assessed tax needs a *declaration* — so returns exist. A credit that is merely *claimed* invites fraud — so the declaration of the seller (GSTR-1) is turned into the *source* of the buyer's credit (GSTR-2B), and the law bars any credit the system did not communicate (Sec 16(2)(aa)). To make the money actually move, a summary return (GSTR-3B) nets output tax against communicated credit and collects the balance in cash. To keep the

pipeline flowing in order, filing is *sequenced* (declare before you settle; no leapfrogging). To relieve the small taxpayer without breaking the treasury or the buyer, QRMP splits *quarterly returns* from *monthly payment* and adds IFF. To catch the drift that monthly summaries create, an *annual reconciliation* (GSTR-9/9C) trues everything up against the books. And to make every deadline self-enforcing, delay costs a *per-day late fee* (for the missing declaration) and *interest* (for the delayed money). Every form, every date, every rule is one of these ideas wearing a number.

10. Quick-Revision Sheet

THE PIPELINE (memorise the direction): Seller GSTR-1 → System → Buyer GSTR-2B (static, 14th) → Buyer GSTR-3B (claim + pay). *One taxpayer's return feeds another's credit.*

KEY FORMS & DATES (verify each attempt): - GSTR-1 (outward, invoice-level): 11th monthly / 13th quarterly — Sec 37 - GSTR-2B (auto ITC, static): generated 14th — Sec 38 - GSTR-3B (summary + payment): 20th monthly / 22nd–24th QRMP — Sec 39 - GSTR-9 / 9C (annual + recon): 31st December — Sec 44 - GSTR-10 (final, on cancellation): within 3 months — Sec 45 - GSTR-7/8 (TDS/TCS): 10th

THE CREDIT GATE: Sec 16(2)(aa) — ITC only if the invoice appears in your GSTR-2B (seller must have filed GSTR-1).

SEQUENCING: GSTR-1 before GSTR-3B (Sec 39(10)); no skipping prior periods (Sec 37(4)); 3-year filing bar (Sec 37(5)/39(11)/44).

QRMP (turnover ≤ ₹5 cr, verify): Quarterly return, MONTHLY payment (PMT-06), optional IFF (B2B, first two months, by 13th).

MONEY RULES: - Net tax = Output tax – Eligible ITC (capped at GSTR-2B). - Credit ledger pays **tax only**; interest/late fee/penalty from **cash ledger**. - Interest Sec 50(1) = **18%** on net *cash* tax paid late; Sec 50(3) = **24%** on wrongly availed & utilised ITC. - Late fee Sec 47 = **₹100 CGST + ₹100 SGST/day** (nil return reduced), subject to cap.

DEFAULT → STICK: Non-filing → GSTR-3A notice (Sec 46, 15 days) → best-judgement assessment (Sec 62).

ONE-LINE WHY: Returns exist to turn a self-assessed tax into a *self-policing* one — by welding every buyer's credit to a specific seller's declaration.

Final flag: Return structure, QRMP thresholds, due dates, late-fee caps and the interest/time-bar provisions are the *most frequently amended* part of GST. Confirm every figure and the current status of GSTR-2/GSTR-3, Rule 36(4) and the three-year bars against the latest ICAI material for your exam attempt.

Q&A — Returns

CGST Act, 2017 **Sec 37–48** (returns) read with **Sec 16(2)(aa)** (ITC gate), **Sec 50** (interest) and **CGST Rules 59–68**; the IGST Act applies these via **Sec 20 IGST**. **The return system is the single most amendment-prone corner of GST.** Every due date, the QRMP turnover threshold (₹5 crore), the late-fee caps/slabs, the nil-return fee, and the current form of Rule 36(4) are **notification-driven — verify the live figures against the ICAI Study Material/RTP for your attempt.** The *architecture* (GSTR-1 → GSTR-2B → GSTR-3B, sequential filing, annual truth-up) is stable and is what the exam actually tests.

SECTION A — Concept-Check (Short Q&A)

A1. Why does a self-assessed tax like GST need periodic returns at all? Two reasons. (i) Under self-assessment the State has **no independent record** of a taxpayer's transactions — the return is the periodic, machine-readable ledger of "what I supplied, what I owe, what credit I claim." (ii) A value-added tax must **cross-verify** the buyer's ITC claim against the seller's declared liability, or fake ITC on bogus invoices drains the treasury. Returns weld each buyer's credit to a specific seller's declaration.

A2. What does GSTR-1 declare, and why must it be invoice-level (Sec 37)? GSTR-1 is the **outward-supply statement** — every sale invoice, B2C summaries, exports, credit/debit notes, amendments. It must be invoice-level because **the buyer's credit is invoice-specific**: only granular data lets the system split the seller's declaration and route each invoice's tax to the correct buyer's GSTR-2B. Granularity in GSTR-1 = precision in the credit chain.

A3. Distinguish GSTR-2A from GSTR-2B — the examiner's favourite. Both are auto-drafted inward-supply views. **GSTR-2A is dynamic** — it keeps updating as suppliers file/amend. **GSTR-2B (Sec 38, Rule 60) is static** — frozen once generated on the 14th, and it is the **authoritative basis for claiming ITC** under Sec 16(2)(aa). ITC must sit on a *fixed* number for a period; a moving basis could never be reconciled.

A4. What exactly is the "credit gate" in Sec 16(2)(aa)? ITC on an invoice/debit note is available **only if** the supplier furnished it in *his* GSTR-1 **and** it has been communicated to the recipient (i.e. it appears in GSTR-2B). If the seller never declared the invoice, it never reaches the buyer's 2B and the buyer **cannot claim it** — the buyer's credit becomes hostage to the seller's filing.

A5. What does GSTR-3B do, and how is it different from GSTR-1 (Sec 39)? GSTR-3B is the **summary return that pays the tax**: consolidated output tax – eligible ITC = net payable, discharged from the credit ledger then the cash ledger. GSTR-1 is invoice-level *declaration*; GSTR-3B is summary *settlement*. GSTR-1 moves data; GSTR-3B moves money.

A6. State the two sequential-filing rules and their single purpose. (i) **Sec 37(4)**: cannot file GSTR-1 if any earlier GSTR-1 is pending. (ii) **Sec 39(10)**: cannot file GSTR-3B for a period unless GSTR-1 for the **same period** is filed (and cannot leapfrog a pending earlier 3B). Purpose: keep the pipeline **filled and in order** — the seller's invoices must exist before he pays, so buyers' 2B is populated.

A7. What is QRMP, who is eligible, and what stays monthly? Quarterly Return, Monthly Payment — for registered persons with aggregate turnover **up to ₹5 crore** (*verify*) in the preceding FY. **Returns become quarterly** (GSTR-1 by 13th, GSTR-3B by 22nd/24th) but **tax stays monthly** via PMT-06 for the first two months. It relieves the small taxpayer without starving the treasury of monthly cash.

A8. What is the IFF and why was it bolted on? The **Invoice Furnishing Facility** lets a QRMP filer upload B2B invoices for the first two months of a quarter (by the 13th). Without it, a purely quarterly GSTR-1 would leave the small seller's *buyers* with an empty GSTR-2B for up to three months. IFF keeps the buyer's credit pipeline flowing.

A9. Why file an annual return (GSTR-9) when you already filed twelve GSTR-3Bs (Sec 44)? Monthly 3B is a summary filed under time pressure; errors and timing mismatches drift. **GSTR-9 is the truth-up** — it reconciles what was declared/paid across the year against the books and forces payment of any shortfall. **GSTR-9C** (self-certified) reconciles the annual return with **audited financials** above a turnover limit.

A10. Late fee (Sec 47) vs interest (Sec 50) — why two separate charges? The **late fee** prices the delayed *declaration* (the missing ledger entry) — a per-day charge because the harm grows daily. **Interest** prices the delayed *money* (the treasury's lost time-value of tax). Different harms, different heads.

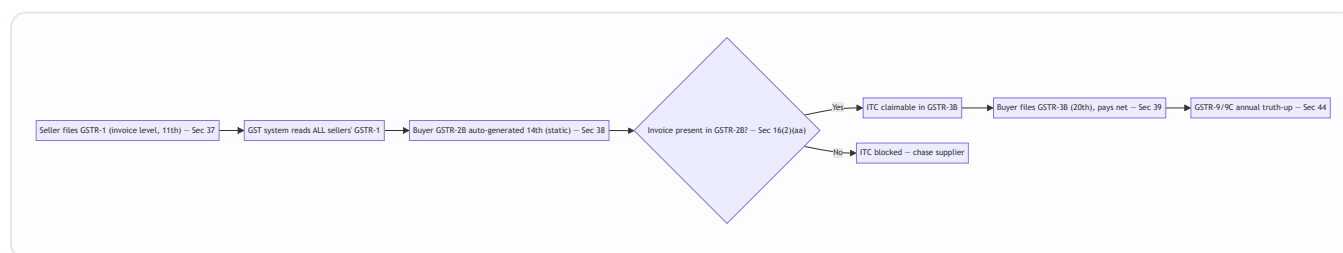
A11. Interest rates under Sec 50 — the two limbs. Sec 50(1): 18% p.a. on tax paid late, computed on the **net cash** portion (not the part met from ITC already sitting in the credit ledger). **Sec 50(3): 24% p.a.** on ITC **wrongly availed AND utilised** — the higher rate punishes credit that was both wrong and used.

A12. Can the Electronic Credit Ledger (ITC) pay interest and late fee? No. ITC can discharge only **tax**. Interest, late fee and penalty must be paid from the **Electronic Cash Ledger**. A classic trap.

A13. What are the first return (Sec 40) and the notice to defaulters (Sec 46)? **Sec 40:** a newly registered person declares in his first return the outward supplies made **between the date he became liable to register and the date registration was granted** — the gap is not lost. **Sec 46:** on non-filing, the officer issues **GSTR-3A** giving 15 days; ignore it and **best-judgement assessment (Sec 62)** follows.

A14. Flag the amendment-sensitive numbers in this chapter. All due dates; the ₹5 crore QRMP threshold; the ₹100+₹100/day late fee and its turnover-slabbed caps; the nil-return fee (₹10+₹10); the 3-year time-bars (Sec 37(5)/39(11)/44); and the current form of Rule 36(4). Verify each before the exam.

Return pipeline (one machine, mandatory input order)



SECTION B — Graded Computational Problems (full step-by-step)

B1 (Easy) — Net cash payable in GSTR-3B

Monthly filer, intra-State supplies only, May 2026. Output: CGST ₹90,000, SGST ₹90,000. Eligible ITC per GSTR-2B: CGST ₹50,000, SGST ₹50,000. Opening ledgers nil. Compute net cash.

Head	Output	Less ITC	Net cash
CGST	90,000	(50,000)	40,000
SGST	90,000	(50,000)	40,000
Total	1,80,000	(1,00,000)	80,000

Answer: Net tax **₹80,000** (₹40,000 CGST + ₹40,000 SGST) paid from the cash ledger; the ₹1,00,000 ITC discharges the rest from the credit ledger. *Data reconciles: 80,000 + 1,00,000 = 1,80,000 output. (Sec 39)*

B2 (Easy–Moderate) — Interest and late fee on delayed GSTR-3B (Sec 50(1), Sec 47)

Facts: net tax payable ₹1,90,000 (cash), due 20 June, filed & paid **28 June** (8 days late). Non-nil return, within cap.

Step 1 — Interest, Sec 50(1) @ 18% p.a. on the net cash tax: $= 1,90,000 \times 18\% \times 8/365 = 1,90,000 \times 0.18 \times 0.021918 = \text{₹750}$ (rounded). *Interest runs on ₹1,90,000, NOT on gross output — the ITC portion was already tax in the system.*

Step 2 — Late fee, Sec 47: 8 days $\times$ ₹200/day (₹100 CGST + ₹100 SGST) = **₹1,600**.

Step 3 — Total cash outflow on 28 June:

Head	₹
Net tax	1,90,000
Interest (Sec 50(1))	750
Late fee (Sec 47)	1,600
Total (all from cash ledger)	1,92,350

Trap: interest and late fee can NEVER be paid from ITC.

B3 (Moderate) — The full ITC set-off order (Sec 49, Rule 88A) inside GSTR-3B

Facts (monthly filer, June 2026). Output tax: **IGST ₹1,00,000, CGST ₹80,000, SGST ₹80,000**. ITC available per GSTR-2B: **IGST ₹1,50,000, CGST ₹30,000, SGST ₹30,000**. Set off using the mandated order: **IGST credit first (against IGST, then CGST/SGST in any order), then CGST credit against CGST/IGST, then SGST credit against SGST/IGST. CGST↔SGST cross-utilisation is barred.**

Step 1 — Utilise IGST credit ₹1,50,000 (must be exhausted first, Sec 49(5)(a)/Sec 49A): - vs IGST output ₹1,00,000 → uses 1,00,000; IGST output nil. IGST credit left ₹50,000. - Remaining ₹50,000 IGST credit → apply to CGST output ₹80,000 → uses 50,000; CGST output left ₹30,000. IGST credit now nil.

Step 2 — Utilise CGST credit ₹30,000 (vs CGST, then IGST — no IGST left): - vs CGST output ₹30,000 → uses 30,000; CGST output nil. CGST credit nil.

Step 3 — Utilise SGST credit ₹30,000 (vs SGST, then IGST — no IGST left): - vs SGST output ₹80,000 → uses 30,000; SGST output left ₹50,000. SGST credit nil.

Step 4 — Cash payable (whatever output remains):

Head	Output	Set off by	Cash
IGST	1,00,000	IGST 1,00,000	0
CGST	80,000	IGST 50,000 + CGST 30,000	0
SGST	80,000	SGST 30,000	50,000
Total	2,60,000	2,10,000 (ITC)	50,000

Answer: Net cash = ₹50,000 **SGST only. Reconciliation:** Total ITC used = 1,00,000 + 50,000 + 30,000 + 30,000 = ₹2,10,000 = total ITC available (1,50,000+30,000+30,000). Output 2,60,000 – ITC 2,10,000 = cash 50,000. ✓ *Note the trap: SGST is left short and CGST credit cannot cross over to pay it.*

B4 (Moderate–Hard) — GSTR-1 timing decides GSTR-2B (Sec 37 → Sec 38 → Sec 16(2) (aa))

Beta Ltd (monthly) makes April 2026 purchases: from **Alpha** ₹10,00,000 + IGST ₹1,80,000 (Alpha files GSTR-1 on 10 May); from **Gamma** (QRMP, **no IFF**) ₹4,00,000 + IGST ₹72,000 (reaches system only on quarterly GSTR-1, 13 July). Beta's output IGST for April = ₹2,50,000. What ITC and net cash in Beta's **April GSTR-3B**?

Step 1 — Beta's April GSTR-2B (generated 14 May): contains only Alpha's ₹1,80,000 (filed 10 May). Gamma's ₹72,000 is absent (no IFF, quarterly GSTR-1 not yet filed).

Step 2 — Sec 16(2)(aa) gate: claimable ITC = ₹1,80,000. Gamma's ₹72,000 is **blocked in April**; it appears in Beta's **July** 2B and is claimable then (subject to the Sec 16(4) annual limit).

Step 3 — Net cash: Output IGST 2,50,000 – ITC 1,80,000 = **₹70,000** cash.

Lesson: Beta paid ₹72,000 of *real* tax to Gamma but cannot use it yet — solely because Gamma delayed disclosure. The design is working: the chain polices itself, and Beta will pressure Gamma to use IFF.

B5 (Exam-Hard) — Annual reconciliation truth-up (Sec 44) with interest

Delta Ltd, FY 2025-26. **Books:** outward taxable turnover ₹2,05,00,000, output tax ₹36,90,000. **Sum of twelve GSTR-3Bs:** turnover ₹2,00,00,000, output tax ₹36,00,000. A March invoice of ₹5,00,000 (tax ₹90,000, intra-State → CGST ₹45,000 + SGST ₹45,000) was omitted and never corrected. The shortfall is paid via **DRC-03 on 30 Sept 2026**; March 3B due date was **20 April 2026** (163 days delay). No ITC available to offset (it is short-paid output).

Step 1 — Reconcile:

	Books	GSTR-3B (sum)	Difference
Turnover	2,05,00,000	2,00,00,000	5,00,000
Output tax	36,90,000	36,00,000	90,000

Step 2 — GSTR-9 surfaces the ₹90,000 declared in books but never paid. Delta pays it in cash via DRC-03 (CGST 45,000 + SGST 45,000).

Step 3 — Interest, Sec 50(1) @ 18% p.a., from original due date (20 Apr) to payment (30 Sep) = 163 days: = 90,000 × 18% × 163/365 = 90,000 × 0.18 × 0.446575 = **₹7,235** (rounded).

Step 4 — Total on 30 Sept: tax ₹90,000 + interest ₹7,235 = **₹97,235** (all cash).

Reconciliation / lesson: After payment, returns now match books (36,90,000). GSTR-9 is the mechanism that forces the taxpayer to find and fix his own drift before an audit does it for him; GSTR-9C would additionally tie the return universe to *audited* financials.

SECTION C — Past-Paper-Style Full Questions

C1. "Explain the concept of GSTR-2B and its role in claiming input tax credit. How does it differ from GSTR-2A?" (5 marks) Model answer. GSTR-2B (Sec 38, Rule 60) is a **static, auto-generated statement of the ITC available** to a recipient for a tax period, compiled by the system on the **14th** of the month from all suppliers' GSTR-1/IFF, GSTR-5 (non-resident), GSTR-6 (ISD) and ICEGATE import data. Once generated it does **not change** for that period. Its role: under **Sec 16(2)(aa)** a recipient may claim ITC **only if** the invoice appears in GSTR-2B — it is the authoritative, single, fixed figure carried into GSTR-3B. **Difference from GSTR-2A:** GSTR-2A is **dynamic** (updates continuously as suppliers file/amend) and serves as a live reference only, whereas GSTR-2B is **static/frozen** and is the *basis* for ITC. The static nature exists so ITC can be reconciled against a fixed number rather than a moving target. (*This is the anti-fraud lock: no seller declaration → no buyer credit.*)

C2. "Discuss the QRMP scheme — eligibility, the returns and payments involved, and the purpose of the Invoice Furnishing Facility." (6 marks) Model answer. **Eligibility:** registered persons with aggregate turnover **up to ₹5 crore** (*verify*) in the preceding FY may opt for **Quarterly Return, Monthly Payment**. **Returns:** GSTR-1 quarterly (by 13th of month after the quarter) and GSTR-3B quarterly (by **22nd or 24th**, staggered by State/UT to spread server load). **Payment:** tax is still paid **monthly** for the first two months via challan **PMT-06**, using either the **fixed-sum method** (35% of the preceding period's cash paid) or **self-assessment**. **Purpose of IFF:** a purely quarterly GSTR-1 would leave the small seller's buyers with an **empty GSTR-2B** for up to three months; the **IFF** lets the seller upload B2B invoices for the first two months (by 13th) so the buyer's credit pipeline keeps flowing. The scheme balances three interests: relieve the small taxpayer (quarterly returns), don't starve the exchequer (monthly PMT-06), don't break the buyer's credit (IFF).

C3. "State the provisions relating to late fee (Sec 47) and interest (Sec 50) on returns, and explain why they are separate levies." (5 marks) Model answer. **Late fee (Sec 47):** a **per-day** charge for late filing of GSTR-1/GSTR-3B/annual return — **₹100 CGST + ₹100 SGST = ₹200/day**, subject to a turnover-slabbed **maximum**; **nil returns** attract a reduced fee (₹10 + ₹10 = ₹20/day). **Interest (Sec 50): 50(1) — 18% p.a.** on tax paid late, on the **net cash** portion (not the ITC-funded portion); **50(3) — 24% p.a.** on ITC **wrongly availed and utilised**. **Why separate:** the late fee prices the delayed *declaration* — the missing ledger entry, whose harm grows daily, hence per-day; interest prices the delayed *money* — the treasury's lost time-value of tax. Neither can be discharged from the ITC/credit ledger; both are payable from the **cash ledger**. (*Caps, slabs and rates are notification-sensitive — verify.*)

C4. "A newly registered person and a person whose registration is cancelled each have a special return. Identify and explain them." (4 marks) Model answer. **First return — Sec 40:** the newly registered person declares, in his first return, the **outward supplies made between the date he became liable to register and the date registration was actually granted**, so no supply in the gap period escapes. **Final return — GSTR-10, Sec 45:** a person whose registration is **cancelled** must file GSTR-10 **within three months** of the date of cancellation (or order), declaring closing stock and any liability — it closes the account on exit. (*Contrast with the annual GSTR-9, which is a going-concern reconciliation, not an exit return.*)

SECTION D — MCQs / Case Scenarios

- D1.** GSTR-1 for a monthly filer is due on the — (a) 10th (b) **11th** (c) 13th (d) 20th **Answer: (b) 11th** — outward statement is filed early so the system can build buyers' 2B by the 14th. (Sec 37, Rule 59)
- D2.** ITC can be claimed only if the invoice appears in GSTR-2B. This condition is in — (a) Sec 16(1) (b) Sec 16(4) (c) **Sec 16(2)(aa)** (d) Sec 17(5) **Answer: (c)** — the credit gate tying ITC to the supplier's GSTR-1 communication. (*Sec 16(4) is the separate time-limit to claim.*)
- D3.** Which ledger can be used to pay a late fee under Sec 47? (a) Electronic Credit Ledger (b) **Electronic Cash Ledger** (c) Either (d) ITC of IGST only **Answer: (b)** — ITC pays only tax; interest/late fee/penalty are cash-only.
- D4.** A QRMP taxpayer pays tax for the first two months of a quarter through — (a) GSTR-3B (b) CMP-08 (c) **Challan PMT-06** (d) DRC-03 **Answer: (c)** — monthly payment via PMT-06 (fixed-sum or self-assessment); the *return* is quarterly.
- D5.** GSTR-2B is generated on the ___ and is ___. (a) 14th; dynamic (b) **14th; static** (c) 20th; static (d) 11th; dynamic **Answer: (b)** — frozen on the 14th so ITC rests on a fixed number. (Sec 38, Rule 60)
- D6. Case scenario.** Sun Ltd omits its March GSTR-1 but tries to file April's GSTR-1. The portal blocks it. Why? (a) April 3B is pending (b) **Sec 37(4) — cannot file GSTR-1 while an earlier GSTR-1 is unfiled** (c) GSTR-2B not generated (d) Turnover exceeded QRMP limit **Answer: (b)** — sequential filing forbids leapfrogging; the pipeline must fill in order.
- D7. Case scenario.** A composition dealer asks which returns he files. Correct pair — (a) GSTR-1 + GSTR-3B (b) GSTR-5 + GSTR-9 (c) **CMP-08 (quarterly payment) + GSTR-4 (annual)** (d) GSTR-6 + GSTR-9C **Answer: (c)** — composition sits *outside* the ITC chain, so its returns are thin: quarterly payment statement (CMP-08) and an annual return (GSTR-4).
- D8. Case scenario.** X Ltd wrongly availed and utilised ITC of ₹2,00,000. The interest rate is — (a) 18% (b) nil (c) **24% p.a. (Sec 50(3))** (d) 12% **Answer: (c)** — the higher rate applies because the credit was both **wrong and used**; 18% (Sec 50(1)) applies to merely late tax.
- D9.** GSTR-3B for a monthly filer cannot be filed unless — (a) GSTR-9 is filed (b) **GSTR-1 for the same period is filed (Sec 39(10))** (c) GSTR-2B is downloaded (d) late fee is paid **Answer: (b)** — declare (GSTR-1) before you settle (GSTR-3B).
- D10.** The self-certified reconciliation of the annual return with audited financials is — (a) GSTR-9 (b) **GSTR-9C** (c) GSTR-10 (d) GSTR-4 **Answer: (b)** — GSTR-9C reconciles GSTR-9 with audited accounts above the turnover limit (Sec 44).
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First-principles recap

The return system is **one directed pipeline, not a set of forms**: seller's GSTR-1 → system → buyer's GSTR-2B → buyer's GSTR-3B → annual GSTR-9 truth-up. Every rule is either (i) *filling* the pipeline (invoice-level GSTR-1, IFF), (ii) *ordering* it (sequential filing, Sec 37(4)/39(10)), (iii) *gating* credit to it (Sec 16(2)(aa), static 2B), or (iv) *enforcing* it (late fee Sec 47, interest Sec 50, defaulter notice Sec 46). Master the pipeline and the numbers — all amendment-sensitive — hang off it logically.